MIDTERM EXAMINATION

Production/Operations Managemnet-MGT613

SPRING 2011(17-05-2011)

Shared By Tahir Naveed

Question No: 1 (M - 1) .

Which of the following refers to the way an organization chooses to produce its goods or services?

Process selection

Process reengineering

Process redesign

Process design

Question No: 2 (M - 1) .

All of the following are the decision areas of an operations manager EXCEPT:

Inventory management

Scheduling tasks

Supply chain manageme

Financial reporting

Question No: 3 (M - 1) .

Which of the following statements describes an order-qualifier characteristic?

A competitive dimension used to make final decision among competitors

A factor which directly and significantly contribute to winning business

A factor which increases the profitability of the organization

A factor perceived as a minimum standard as a potential for purchase

Question No: 4 (M - 1) .

A business process is a logical set of tasks or activities that:

Are specific to the operations function

Are specific to the marketing function

Are interdependent with other processes

Have exactly the same performance measures for any process

Question No: 5 (M - 1) .

Which one the following formula or function can be used to measure the performance?

Flexibility + profit+ operations

Work + profit + value

Quality + speed + flexibility

Profit + Incentives + standards

Question No: 6 (M - 1) .

Which of the following is NOT an attribute to classify services?

Tangibility

Perishability

Simultaneity

Courtesy

Question No: 7 (M - 1) .

Which one of the following mathematical expressions is used to compute utilization?

Actual output / effective capacity

Actual output / design capacity

Actual output + effective capacity

Actual output - design capacity

Question No: 8 (M - 1) .

In which one of the following decision environments it is impossible to assess the likelihood of various future events?

Risk

Bounded rationality

Certainty

Uncertainty

Question No: 9 (M - 1) .

Which one of the following is an implication of laplace approach of decision making?

The best of the worst possible payoff

The best possible payoff

The best average payoff

The least of the worst regrets

Question No: 10 (M - 1) .

Which of the following is an example of a business that uses assembly line process structure?

Automobile assembly

Sugar refinery

Heavy equipment

French restaurants

Question No: 11 (M - 1) .

ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?

833 units

2000 units

5000 units

1012 units

Question No: 12 (M - 1) .

Which of the following is a system designed to coordinate all activities and information needed to complete business processes?

Enterprise resource planning

Supply chain management

New product development

Customer relationship management

Question No: 13 (M - 1) .

Which of the following approaches favors adopting a “go for it” strategy?

Maximin

Maximax

Minimax regret

Laplace

Question No: 14 (M - 1) .

Which one of the following mathematical expressions is used to compute utilization?

Actual output / effective capacity

Actual output / design capacity

Actual output + effective capacity

Actual output - design capacity

Question No: 1 (M - 1) .

A business process is a logical set of tasks or activities that:

Are specific to the operations function

Are specific to the marketing function

Are interdependent with other processes

Have exactly the same performance measures for any process

Process Improvement: Process mapping and lean tools are used to better plot out present process methods with an eye for improvement. The keys are to understand how each process functions by itself and sequenced, integrated and interdependent with other processes.

Question No: 2 (M - 1) .

Which one of the following formulae can be used to compute value?

(Quality + Speed – Flexibility) / Cost

(Quality + Speed+ Flexibility) / Cost

(Quality + Speed - Cost) / Flexibility

(Quality + Speed+ Cost) / Flexibility

Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost

Question No: 3 (M - 1) .

Which of the following is referred to as plans for achieving goals?

Rules

Strategies

Policies

Mission

Question No: 4 (M - 1) .

Which of the following statements corresponds to an order-winning characteristic?

A factor which may be significant in other parts of the organization

A factor which gives an organization a competitive edge

A factor which serves as a minimum standard for purchase

A factor which increases the profitability of the organization

Order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitor's services.

Question No: 5 (M - 1) .

To make operations strategy effective it should be:

Independent of the organization's strategy

Consistent with the organization's strategy

Developed by a first line manager

Independent of time dimension

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Question No: 6 (M - 1) .

Which one of the following techniques uses historical data to predict future value of a variable of interest?

Time series method

Causal forecasting method

Qualitative forecasting method

Intuitive forecasting method

Time series - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values.

Question No: 7 (M - 1) .

Which one of the following forecasting techniques uses explanatory variables to predict future demand?

Associative forecast

Time series forecast

Consumer survey

Executive opinion

Associative Models Forecasting technique that uses explanatory variables to predict future demand.

Question No: 8 (M - 1) .

Which one of the following involves completing a series of questionnaires each developed from the previous one, to achieve a consensus forecast?

Consumer surveys

Executive opinion

Time series forecast

Delphi method

Delphi method: Managers and staff complete a series of questionnaires, each developed from the previous one, to achieve a consensus forecast.

Question No: 9 (M - 1) .

In which one of the following situations, the use of a decision tree is required instead of a payoff table?

When there are more than three states of nature

When there are more than three decision payoffs

When the decision situation encompasses an extended time period

When a series of decisions is required

Decision tree: Extremely suitable for analyzing and evaluating situations which involve sequential decisions.

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Question No: 10 (M - 1) .

Which one of the following is an outcome of Maximin criterion?

The best of the worst possible payoff

The best possible payoff

The best average payoff

The least of the worst regrets

Maximin determines the worst payoff for each alternative; the operations manager chooses the best worst alternative. Meaning the least (best) of the worst.

Question No: 11 (M - 1) .

Given the table:

Possible Alternatives future demand

	Low (Rs.)	**High (Rs.)**
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct payoff under LAPLACE approach?

Rs. 9,000

Rs. 16,000

Rs. 33,000

Rs. 16,500

Solution:

Small Facility Rs. 18,000/2= Rs. 9000

Medium Rs. 32,000/2= Rs. 16,000

Large Rs. 33,000/2= Rs. 16,500

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Question No: 12 (M - 1) .

Which one of the following is called as the difference between designed and utilized capacity?

Design capacity

Effective capacity

Buffer capacity

Utilization rate

Capacity Cushion or Buffer is the difference between Designed and Utilized Capacity.

Question No: 13 (M - 1) .

Which one of the following mathematical expressions is used to compute utilization?

Actual output / effective capacity

Actual output / design capacity

Actual output + effective capacity

Actual output - design capacity

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Question No: 14 (M - 1) .

Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?

Cash flow and fixed cost

Present value and fixed cost

Cash flow and present value

Cash flow and profit

Operations manager along with managerial accountant often work to calculate what cash flow or present value in terms of rupees is available for the organization to proceed with a capacity alternative decision.

Question No: 15 (M - 1) .

Which one of the following is the first step in line balancing?

Specify the sequential relationship among tasks.

Determine the required cycle time.

Determine the minimum number of workstations.

Determine the desired output

Question No: 16 (M - 1) .

Which one of the following layout types is associated with car assembly?

Fixed position layout

Process layout

Product layout

Hybrid layout

Product layouts are used to achieve a smooth and rapid flow of large volumes of goods and customers through a system.

Question No: 17 (M - 1) .

What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?

0.03 minutes

1.8 minutes

2700 minutes

291 minutes

Solution:

9*60=540

540/300=1.8

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Question No: 18 (M - 1) .

What would be the output capacity if an assembly line operates for 7 hours per day with a cycle time of 2.0 minutes?

210 units per day

3.5 units per day

0.004 units per day

14 units per day

Solution:

7*60=420

420/2.0=210

Question No: 19 (M - 1) .

Which of the following probability distribution is used most extensively in dealing with forecasting errors?

Normal

Exponential

Beta

Pareto

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Question No: 20 (M - 1) .

Which of the following takes into consideration the design of aesthetics of the product?

Functional design

Production design

Service design

Product design

Product design has been considered to comprise three main elements:

1.Aesthetics

2. Ergonomics.

3. Technology.

Question No: 21 (M - 1) .

Which of the following factors are considered in product and service design?

Customer satisfaction, quality, and improvement costs

Employee motivation, quality, and production costs

Customer satisfaction, flexibility, and production costs

Customer satisfaction, quality, and production costs

A good product/service design can ensure customer satisfaction, quality and production costs.

Question No: 22 (M - 1) .

An automatic car wash is an example of which of the following?

Customized service

Batch processing

Intermittent processing

Standardized service

Question No: 23 (M - 1) .

Which of the following is an advantage of standardization?

Frozen designs

Customized parts

Interchangeable parts

Reduced variety

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Question No: 24 (M - 1) .

Which one of the following is the most significant disadvantage of standardization?

Reduced design costs

Interchangeable parts

Reduced variety

Customized parts

Question No: 25 (M - 1) .

Product life cycle is based on which of the following components?

Place

Demand

Supply

Price

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Question No: 26 (M - 1) .

Which one of the following is the final stage of product life cycle?

Growth

Decline

Maturity

Planning

Question No: 27 (M - 1) .

Which one of the following statements relates to the final stage of product life cycle?

Improve reliability, and reduce production costs

Improve packaging, and reliability

Improve reliability, and reduce quality

Improve reliability, and reduce promotion costs

DECLINE: In this phase, most of the organizations adopt a defensive design R&D Strategy in an attempt to prolong the life of the product by employing new packaging, redesigning it, improving its reliability.

Question No: 28 (M - 1) .

Which of the following refers to translate the voice of the customer into technical design requirements?

Concurrent design

Design for manufacture

Robust design

Quality functional deployment

Comprehensive QFD may involve four phases:

1.	Product Planning (House of Quality): translate customer requirement into product technical requirements to meet them.
2.	Product Design: translate technical requirements to key part characteristics or systems
3.	Process Planning: identify key process operations necessary to achieve key part characteristics.
4.	Production Planning (Process Control): establish process control plans, maintenance plans, training plans to control operations.

Question No: 29 (M - 1) .

Which one of the following is correct about the range of availability on a measuring index?

0.1 to 1.0

0 to 1.0

0.5 to 1.0

0.01 to 1.0

Question No: 30 (M - 1) .

What would be the availability if a carpenter is expected to be able to operate for 250 hours between repairs, and the mean repair time is expected to be 3 hours?

1.01

5.03

3.0

0.98

Solution:

Availability = (MTBF)/(MTBF + MTR)

=250/(250+3)

=250/253

=0.98

Question No: 31 (M - 1) .

Capacity planning involves answering all of the following questions EXCEPT:

What kind of capacity is needed?

How much is needed?

When is it needed?

Who is going to decide?

Question No: 32 (M - 1) .

The disadvantages of specialization to management include all of the following EXCEPT:

►More absenteeism
►Minimum responsibility
►More turnover
►More difficult to teach the job

Question No: 33 (M - 1) .

Which one of the following refers to a team having representatives from different functional areas of the organization?

Traditional work group

Self-directed team

Cross-functional team

Self motivated team

Cross-Functional Team: A team consisting of representatives from the various functions involved in product development.

Question No: 34 (M - 1) .

Which one of the following refers to the length of time needed to complete a job?

Work sampling methods

Work measurement

Job design

Methods analysis

Work measurements dealt specifically with the length of time needed to complete a job and was linked with Personnel Planning, Cost Estimation, Budgeting, Scheduling and Worker Compensation.

Question No: 35 (M - 1) .

Which one of the following location strategies follows a decentralized approach?

Process plant strategy

Market area plant strategy

Cost conservation strategy

Product plant strategy

Product plant strategy: (Decentralized approach).

Question No: 36 (M - 1) .

Which one of the following location strategies is favored by automobile manufacturers?

Product plant strategy

Process plant strategy

Market area plant strategy

Cost conservation strategy

Process plant strategy: Different plants focus on different aspects of process Automobile manufacturers – engine plant, body stamping plant, etc.

Question No: 37 (M - 1)Please choose one

Which of the following refers to bringing together engineering design and

manufacturing personnel early in the design phase.

Reverse engineering

Concurrent engineering

Manufacturability

Serviceability

Concurrent engineering is the bringing together of engineering design and manufacturing personnel early in the design phase.

Question No: 38 (M - 1) .

Which of the following is the primary input in capacity planning?

Supply chain capabilities

Competitors' strengths

Demand forecasts

Overall cost estimates

Question No: 39 (M - 1) .

Which of the following best describes the concept of the value chain?

The step-wise increases in product prices as raw materials are turned into goods/services

Adding financial value to an organization through the acquisition of other firms

A sequence of activities that involve movement of materials in a production facility

All steps in the transformation process that add value even if they don't come from manufacturing

Question No: 40 (M - 1) .

The Strategies which are more focused on maintaining or improving the quality of an

organization’s products or services are known as:

Quality at the source

Time based strategies

Cost leadership strategies

Quality-based strategies

Question No: 1 (M - 1) .
The management of systems or processes that creates goods and provides services is known as:

►Operation Management
►Operation/production Management
►Operation/Research Management
►Production/Research Management

Operations management: The management of systems or processes that create goods and/or provide services.

Question No: 2 (M - 1) .
Which one of the following forms of productivity has units of output per shift?

►Capital
►Energy
►**Labor**
►Machine
Labor Productivity: Units of output per labor hour

Question No: 3 (M - 1) .
Which one of the following forms of productivity is expressed as dollar value of output per kilowatt hour?

►Machine
►Capital
►**Energy**
►Labor

Energy Productivity:

Units of output per kilowatt-hour

Rupee value of output per kilowatt-hour

Question No: 4 (M - 1) .
What would be the productivity if a machine produced 50 units in 3 hours?

►0.066 units per hr
►**16.66 units per hr**
►6.766 units per hr
►60.66 units per hr
Machine Productivity **=**Units of output per machine hour = 50/3=16.66

Question No: 5 (M - 1) .
Which of the following functions of an organization consists of all activities directly related to production of a good or service?

►**Operations**
►Marketing
►Accounting
►Finance
The Operations function consists of all activities that are directly related to production of a good or service.

Question No: 6 (M - 1) .
Which of the following is **NOT** a decision to be made by operations managers?

►How much capacity is required to balance demand?
►What should be the location and layout of a facility?
►How to improve operational efficiency?

►**Which market areas to manufacture the products for?**

Question No: 7 (M - 1) .
All of the following are the decision areas of an operations manager EXCEPT:

► **Financial reporting**
►Inventory management
►Scheduling tasks
►Supply chain management

Question No: 8 (M - 1) .
Organizational strategies relate to which of the following sets of factors?

►**Survival, profitability, growth rate and market share**
►Profitability, survival, leads times and target market
►Quality, operating resources, growth rate and market share
►Scheduling, profitability, lead times and survival

Question No: 9 (M - 1) .
Which of the following statements describes an order-qualifier characteristic?

►A competitive dimension used to make final decision among competitors
►A factor which directly and significantly contribute to winning business
►A factor which increases the profitability of the organization
►**A factor perceived as a minimum standard as a potential for purchase**

Question No: 10 (M - 1) .
To make operations strategy effective it should be:

►Independent of the organization's strategy
►**Consistent with the organization's strategy**
►Developed by a first line manager
►Independent of time dimension

Question No: 11 (M - 1) .
Which one of the following correctly explains the qualitative forecasting technique?

It consists mainly of numerical descriptions and defies subjective inputs of managers.
It consists mainly of subjective inputs and defies particular numerical descriptions.
It consists mainly of subjective inputs and defies human factor, personal opinions.
It consists mainly of analyzing objective and hard data and defies human factor, opinion.
Qualitative Techniques: which use subjective inputs and no numerical data.

Question No: 12 (M - 1) .
Which one of the following correctly explains the quantitative forecasting technique?

► It consists mainly of numerical descriptions and resist subjective inputs of managers.
► It consists mainly of subjective inputs and resist particular numerical descriptions.
► It consists mainly of subjective inputs and resisit human factor, personal opinions.
► **It consists mainly of analyzing objective and hard data and resist human factor, opinion.**

Question No: 13 (M - 1) .
Given the table:

Possible future demand	
Low (Rs.)	High (Rs.)

10,000	8,000
12,000	20,000
18,000	15,000

Alternatives

Small facility
Medium facility
Large facility

Which one of the following is the correct payoff under MAXIMIN approach?

►Rs. 8,000
►Rs. 12,000
►**Rs. 18,000**
►Rs. 20,000
Maximin determines the worst payoff for each alternative; the operations manager chooses the best worst alternative. Meaning the least (best) of the worst.

Question No: 14 (M - 1) .
Given the table:

Alternatives	Possible future demand	
	Low (Rs.)	High (Rs.)
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct Pay off under LAPLACE approach?
► Rs.9,000
► Rs.16,000
► Rs.33,000
► **Rs.16,500**
Solution:
Small Facility Rs. 18,000/2= Rs. 9000
Medium Rs. 32,000/2= Rs. 16,000
Large Rs. 33,000/2= Rs. 16,500
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Question No: 15 (M - 1) .
Which one of the following is NOT a step of strategy process?

►Develop alternatives
►Monitor results
►**Consider risk averseness strategies**
►Specify criteria for decision

Question No: 16 (M - 1) .
As an operations manager you have collected data about the demand of certain product "P" over time "t". The data shows short-term fairly regular variations over the time period "t". Which one of the following is correctly explaining the behavior of the data?

►Cycle
►Random variation
►**Seasonality**
►Trend

Seasonality: Short-term fairly regular variations in data related to factors like weather, festive holidays and vacations.

Question No: 17 (M - 1) .
Which one of the following formula can be used to compute break even point?

►Q = VC / (R - VC)
►**Q = FC / (R - VC)**
►Q = VC / (R + FC)
►Q = FC / (R + VC)
Q= Quantity or Volume of Output
QBEP= Quantity or Volume of Output at BREAK EVEN, would be where
P=Profit is 0
So QBEP = FC/ R-VC

Question No: 18 (M - 1) .
ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?

►833 units
►2000 units
►**5000 units**
►1012 units
Solution:
QBEP = FC / (R - VC)
QBEP = 10000/(7-5)
QBEP =10000/2
QBEP = 5000 units

Question No: 19 (M - 1) .
Which one of the following manufacturing process is associated with high volume car manufacture?

►Job shop
►**Assembly line**
►Batch
►Automation

Question No: 20 (M - 1) .
Which one of the following is a characteristic of continuous process?

►High lead times
►Short process times
►The ability to handle high variety
►**The ability to handle high volumes**
Continuous process: In manufacturing, a continuous process is a method that is used by manufacturing or production companies to churn out the greatest quantity of a product over the last time.

Question No: 21 (M - 1) .
Which of the following refers the way an organization chooses to produce its good or services?

►**Process selection**
►Process reengineering
►Process redesign
►Process design
Process Selection refers to the way an organization chooses to produce its good or services.

Question No: 22 (M - 1) .
Which one of the following is an example of business that uses job shop process structure?

►**French restaurants**
►Heavy equipment
►Sugar refinery
►Automobile assembly
A job shop is a type of manufacturing process structure where batches of a variety of custom products are made. Examples of a job shop include a sheet metal, machine tool shop, a factory machining center, paint shops, a French restaurant, a commercial printing shop, and other manufacturers that make custom products.

Question No: 23 (M - 1) .
In which of the following layouts, work stations are arranged according to the general function they perform without regard to any particular product?

►Product
►**Process**
►Fixed-position
►Storage
In a Process layout, work stations are arranged according to the general function they perform without regard to any particular product.

Question No: 24 (M - 1) .
Which of the following layout types is associated with a supermarket?

►Fixed position layout
►**Process layout**
►Product layout
►Cellular layout
Examples of process layouts include supermarkets, hospitals, department stores and component manufacturers.

Question No: 25 (M - 1) - Please choose one
OSHA stands for which one of the following?

► Occupational stock hygiene administration
► **Occupational safety hygiene administration**
► Occupational safety hygiene agency
► Occupational science hygiene administration
OSHA refers to Occupational Safety Hygiene Administration

Question No: 26 (M - 1) .
In order to comply with the environmental standards, an organization implement Occupational Safety Hygiene Administration (OSHA) following is a way to accomplish this task?

►Promoting friendly relations among employees
►**Installing safety guards and devices to reduce the risk of potential accidents**
►Installing machinery to make the process speedy
►Installing machinery that provides cost effective output
Occupational Safety and Health Administration: federal agency of the United States that regulates workplace safety and health.

Question No: 27 (M - 1) .
Which one of the following statements is TRUE about product life cycle?

►It depicts demand of a product at various price levels
►**It depicts demand of a product with respect to time**
►It relates demand of a product to quality
►It relates demand of a product to market share

Question No: 28 (M - 1) .
Which one of the following is TRUE about Taguchi approach

►**To test the robustness of a design**
►To articulate the "voice of the customer"
►To reduce the degree of automation
►To create a concurrent design
The defining characteristics for the Taguchi approach include: Design a robust product.

Question No: 29 (M - 1) .
The disadvantages of specialization to management include all of the following EXCEPT:

►More absenteeism
►Minimum responsibility
►More turnover
►**More difficult to teach the job**

Question No: 30 (M - 1) .
Technology has impacted the work place by:

►Adding to the existing geographical barriers for recruiting
►Increasing the cost of telecommuting
►Increasing the amount required to be spent on training
►**Unifying the workforce to a common skill level**

Question No: 31 (M - 1) .
Which one of the following refers to a team having representatives from different functional areas of the organization?

►Traditional work group
►Self-directed team
►**Cross-functional team**
►Self motivated team
Cross-functional systems were designed to intergreate the activities of the entire business process, and are called so because they 'cross' departmental boundaries.

Question No: 32 (M - 1) .
Which one of the following is NOT a business application of forecasting?

►Budgeting
►Capacity planning
►Inventory management
►**Quality control**

Question No: 33 (M - 1) .
Which one of the following factors makes a forecast LESS perfect?

►**Randomness**
►Non serious attitude

►Non availability of data
►Un qualified personnel
Forecasts rarely perfect because of RANDOMNESS.

Question No: 34 (M - 1) .
Which one of the following is an example of community factors that affect location decisions?

►Transportation
►Quality of life
►Location of new markets
►Location of raw materials
Community Considerations: Quality of life.

Question No: 35 (M - 1) .
Which one of the following location strategies is favored by automobile manufacturers?

►Product plant strategy
►Process plant strategy
►Market area plant strategy
►Cost conservation strategy
Process plant strategy: Different plants focus on different aspects of process Automobile manufacturers – engine plant, body stamping plant, etc.

Question No: 36 (M - 1) .
Which one the following is an assumption of center of gravity method?

►The quantity to be shipped is variable
►The quantity to be shipped is fixed
►The quantity carries no value
►The quantity to be shipped should be extraordinarily high
The center of gravity method is used to determine the location of a single distribution center that will minimize distribution costs. It treats distribution cost as a linear function of the distance and the quantity shipped, which is assumed to be fixed.

Question No: 37 (M - 1) .
Which of the following statements would generally be considered as correct job shop?

►A continuous process has lower output volume as compared to job shop
►Equipment flexibility is lower in job shop than that of a continuous process
►Labour costs are higher in a Job Shop operation than in most other processes
►Batch processing produces a more standard range of products than continuous flow processes

Question No: 38 (M - 1) .
Which one of the following is NOT an input in the transformation process?

►Informations
►Services
►Facilities
►Materials

Question No: 39 (M - 1) .
Which one of the following describes the Naïve forecast?

►Attempt to predict the future value based on the past data.
►Determine long term upward or downward movement in data.
►Forecast for any period equals the previous period's actual value.
►Collect outside opinion of consumer and potential customers.

Naïve forecast: Estimating technique in which the last period's actual are used as this period's forecast, without adjusting them or attempting to establish causal factors.

Question No: 40 (M - 1) .
Which one of the following is an advantage of a moving average forecast?

►**All the values in the average are weighted equally**
►The method is reliable to forecast the demand accurately
►The method is easy to compute and easy to understand
►The most recent values are given the more weightage

Question No: 1 (M - 1) .
Within the operations function, which one of the following is a long-term management decision?

►Control decision
►Non-operational decision
►**Strategic decision**
►Tactical decision

Question No: 2 (M - 1) .
Which one of the following forms of productivity has units of output per dollar input?

►**Capital**
►Energy
►Labor
►Machine
Capital Productivity: Units of output per Rs. Input.
Dollar value of output per Rs. input

Question No: 3 (M - 1) .
Which one of the following is a measure of productivity that involves measuring inputs and outputs using a common unit of measurement?

►**Multifactor**
►Partial
►Single
►Total

Question No: 4 (M - 1) .
The major business function consisting of research and development, product design, manufacturing, marketing, distribution, and customer service is refers to:

►**Value chain**
►The transformation process
►Quality control
►Life cycle

The value chain includes costs associated with research and development, product design, manufacturing, marketing, distribution, and customer service.

Question No: 5 (M - 1) .
A business process is a logical set of tasks or activities that:

►Are specific to the operations function
►Are specific to the marketing function
►Are interdependent with other processes
►Have exactly the same performance measures for any process

Question No: 6 (M - 1) .
Which one of the following formulae can be used to compute value?

►(Quality + Speed - Flexibility) / Cost
►(Quality + Speed+ Flexibility) / Cost
►(Quality + Speed - Cost) / Flexibility
►(Quality + Speed+ Cost) / Flexibility
Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost

Question No: 7 (M - 1) .
Which one the following formula or function can be used to measure the performance?

► Flexibility + profit+ operations
►Work + profit + value
►Quality + speed + flexibility
►Profit + Incentives + standards
Performance= (Quality +Speed+ Flexibility)

Question No: 8 (M - 1) .
Which of the following statements corresponds to an order-winning characteristic?

►A factor which may be significant in other parts of the organization
►A factor which gives an organization a competitive edge
►A factor which serves as a minimum standard for purchase
►A factor which increases the profitability of the organization
Order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitor's services.

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Question No: 9 (M - 1) .
As a manager, you have defined the purpose of the forecasts. What should be the **next** step in forecasting process?

►Choose a forecasting technique.
►Determine the purpose of the forecast.
►Set up a time horizon or a time limit.

►Collect and analyze the appropriate data.

Steps in the Forecasting Process:

·Determine the purpose of the forecast
·Establish a time horizon.
·Select a forecasting technique
·Gather and analyze the appropriate data.
·Prepare the forecast.
·Monitor the forecast

Question No: 10 (M - 1) .

Which one of the following forecasting technique is based on historical data?

►Judgmental
►Associative
► Time series
► Qualitative

Time series - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values.

Question No: 11 (M - 1) .

Which one of the following forecasting techniques use subjective inputs from consumer surveys, sales staff, managers and experts?

►Time series
►Quantitative
►Judgmental
►Associative

Judgmental: uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts.

Question No: 12 (M - 1) .

Which of the following approaches favors adopting a “go for it” strategy?

►Maximin
►Maximax
►Minimax regret
►Laplace

Maximax: Go for it strategy.

Question No: 13 (M - 1) .

Possible future demand	
Low (Rs.)	**High (Rs.)**
10,000	8,000

12,000	20,000
18,000	15,000

Given the table:
Alternatives
Small facility Medium facility Large facility
Which one of the following is the correct payoff under MAXIMAX approach?

► Rs. 10,000
► Rs.18,000
► **Rs.20,000**
► Rs.32,000
MAXIMAX determines the best possible outcome.

Question No: 14 (M - 1) .
Which one of the following is NOT a step of decision making process?

►Develop alternatives
►Monitor results
►**Consider risk averseness strategies**
►Specify criteria for decision
The decision making process involves the following six important steps:
1. Specify Objectives and the Criteria for decision making
2. Develop Alternatives
3. Analyze and compare alternatives.
4. Select the best alternative.
5. Implement the chosen Alternative
6. Monitor the results to ensure the desired results are achieved.

Question No: 15 (M - 1) .
Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

►Introduction
►Growth
►**Maturity**
►Decline
In the market maturity phase the size of market starts to become constant with no considerable growth. Once this phase is reached, organisations tend to have a stable market share, all things kept constant. At this stage, organisations increase profitability by reducing costs and utilising available manufacturing capacity to the maximum.

Question No: 16 (M - 1) .
Which one of the following statement is TRUE about cost-volume relationship?

►**It represents the relationship between cost, revenue and volume of output.**
►It represents the relationship between cost and volume of output.

►It represents the relationship between cost and revenue.
►It represents the relationship between inputs, cost and volume of output.
Cost Volume Relationship focuses on relationships between costs, revenue and volume of output.

Question No: 17 (M - 1) .
Which one of the following formulae can be used to compute break even point?

►Q = VC / (R - VC)
►Q = FC / (R - VC)
►Q = VC / (R + FC)
►Q = FC / (R + VC)
Q= Quantity or Volume of Output
QBEP= Quantity or Volume of Output at BREAK EVEN, would be where
P=Profit is 0
So QBEP = FC/ R-VC

Question No: 18 (M - 1) .
ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?

►833 units
►2000 units
►5000 units
►1012 units
Solution:
QBEP = FC / (R - VC)
QBEP = 10000/(7-5)
QBEP =10000/2
QBEP = 5000 units

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Question No: 19 (M - 1) .
Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?

►Cash flow and fixed cost
►Present value and fixed cost
►Cash flow and present value
►Cash flow and profit
Operations manager along with managerial accountant often work to calculate what cash flow or present value in terms of rupees is available for the organization to proceed with a capacity alternative decision.

Question No: 20 (M - 1) .

Which of the following is a system designed to coordinate all activities and information needed to complete business processes?

►**Enterprise resource planning**
►Supply chain management
►New product development
►Customer relationship management
It is an enterprise-wide information system designed to coordinate all the resources, information, and activities needed to complete business processes such as order fulfillment or billing.

Question No: 21 (M - 1) .
Which of the following is **NOT** a characteristic of product layouts?

►**High material handling costs**
►Sequential arrangement of machines
►Standardized output
►Continuous production system

Question No: 22 (M - 1) .
Which one of the following layout types is associated with car assembly?

►Fixed position layout
►Process layout
►**Product layout**
►Hybrid layout
Product layouts are used to achieve a smooth and rapid flow of large volumes of goods and customers through a system.

Question No: 23 (M - 1) .
In exponential smoothing model, a denotes:

►**Smoothing constant**
►Actual forecast
►Forecast error
►Previous forecast
α= Alpha smoothing constant.

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Question No: 24 (M - 1) .
Which one of the following designs resists modifications?

►**Frozen design**
►Product design
►Service design
►Robust design

Question No: 25 (M - 1) .
Which one of the following is true about Taguchi approach?

►**To test the robustness of a design**
►To articulate the “voice of the customer”
►To reduce the degree of automation
►To create a concurrent design
The defining characteristics for the Taguchi approach include: Design a robust product.

Question No: 26 (M - 1) .
Which one of the following refers to using some of the components of old products in the manufacturing of new products?

►Manufacturability
►**Remanufacturing**
►Robust design
►Automation
Design for Remanufacturing: Using some of the components of the old products in the manufacture of new products.

Question No: 27 (M - 1) .
Which one of the following is a curve showing failure rate over time?

►Cost curve
►**Bath tub curve**
►Fish bone diagram
►Reliability curve
The bathtub curve is widely used in reliability engineering. It describes a particular form of the hazard function which comprises three parts:
- The first part is a decreasing failure rate, known as early failures.
- The second part is a constant failure rate, known as random failures.
- The third part is an increasing failure rate, known as wear-out failures.

Question No: 28 (M - 1) .
What would be the availability if a carpenter is expected to be able to operate for 250 hours between repairs and mean repair time is expected to be 3 hours.

►1.01
►5.03
►3.0
►**0.98**
Solution:
Availability = (MTBF)/(MTBF + MTR)
=250/(250+3)
=250/253
=0.98

Question No: 29 (M - 1) .
Which one of the following is the goal of method analysis?

► Dividing and analyzing a job
►Check individual human motions used to perform an operation
►Determining the length of time it will take to undertake a particular task
►Determining the amount of time a worker spends on various activities

Question No: 30 (M - 1) .
Which one of the following is an example of regional factors that affect location decisions?

►Transportation
►Quality of life
►Development support
►Location of new markets
Regional Factors:
Location of raw materials, Location of markets, Labor factors, Climate and taxes.

Question No: 31 (M - 1) .
Which one of the following is an example of site related factors that affect location decision?

►Transportation
►Quality of life
►Location of new markets
►Location of raw materials
Site Related Factors:
Land, Transportation, Environmental, Legal.

Question No: 32 (M - 1) .
Which one of the following statements is **true** about Occupational Safety Hygiene Administration (OSHA)?

►To safeguard against potential hazards
►To develop cost effective processes
►To implement legal standards
► To carry out implication of manufacturability and fitness
Occupational Safety and Health Administration: federal agency of the United States that regulates workplace safety and health.

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Question No: 33 (M - 1) .
Which one of the following is used to produce gasoline and petroleum products?

►Job shop
►Batch processing

►Assembly line
►**Continuous processing**
Continuous process is a method that is used by manufacturing or production companies to churn out the greatest quantity of a product over the last time. Manufacturers most often use the continuous process in the manufacture of chemicals, drugs, and glass, as well as in the refining process for crude oil.

Question No: 34 (M - 1).
The type of processing structure that is used for producing discrete products at higher volume is:

►Continuous Flow
►**Assembly Line**
►Batch
►Job shop

Question No: 35 (M - 1) .
An example of a business/industry that uses batch flow process structure is:

►Commercial printer
►**Heavy equipment**
►Automobile assembly
►Sugar refinery

Question No: 36 (M - 1) .
Services differ from manufacturing in all the following ways EXCEPT:

►Customers typically interact directly with the service delivery process.
►Consumption and production take place simultaneously.
►Services are intangible.
►**Services can be stored.**

Question No: 37 (M - 1) .
Quality, costs, lead times, operating resources are all related to which one of the following strategies.

►Organizational strategy
►Financial strategy
►**Operational strategy**
►Tectical strategy
Operations strategy is the total pattern of decisions which shape the long-term capabilities of any type of operations and their contribution to the overall strategy, through the reconciliation of market requirements with operations resources.

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Question No: 38 (M - 1) .
All of the following are examples of the transformation process EXCEPT:

►Cutting
►Packing
►**Facilitating**
►Labeling

Question No: 39 (M - 1) .
The purpose of _____ is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

► Total quality control
► Demand management
► Forecasting
► Operations management

Question No: 40 (M - 1) .
Which of the following is a characteristic of linear regression?

It is superior to a moving average
► **It is a causal forecasting model**
► It compensates for both trend and season
► It is superior to an exponential smoothing

Question No: 1 (M - 1) .
Which one of the following forms of productivity has units of output per shift?

► Capital
► Energy
► **Labor**
► Machine
Labor Productivity: Units of output per labor hour.

Question No: 2 (M - 1) .
Operations manager is responsible for all of the following EXCEPT:

► Forecasting
► Capacity planning
► Inventory management
► **Distributing organizations' goods**
Operations Managers job responsibility includes:

Forecasting, Capacity planning, Scheduling, Inventory Management, Quality Assurance and Control, Motivating employees & Deciding where to locate facilities.

Question No: 3 (M - 1) .
Which of the following is **NOT** a decision to be made by operations managers?

► How much capacity is required to balance demand?
► What should be the location and layout of a facility?
► How to improve operational efficiency?
► **Which market areas to manufacture the products for?**

Question No: 4 (M - 1) .
All of the following are the decision areas of an operations manager EXCEPT:

► Inventory management
► Scheduling tasks
► Supply chain management
► **Financial reporting**

Question No: 5 (M - 1) .
Which one of the following formulae can be used to compute value?

► (Quality + Speed – Flexibility) / Cost
► **(Quality + Speed+ Flexibility) / Cost**
► (Quality + Speed - Cost) / Flexibility
► (Quality + Speed+ Cost) / Flexibility
Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost

Question No: 6 (M - 1) .
Which one of the following forecasting techniques uses explanatory variables to predict future demand?

► **Quantitative forecast**
► Time series forecast
► Consumer survey
► Executive opinion
Quantitative methods involve either the extension of historical data or the development of associative models that attempt to utilize causal (explanatory) variables to make a forecast.

Question No: 7 (M - 1) .

Which one of the following involves completing a series of questionnaires each developed from the previous one, to achieve a consensus forecast?

► Consumer surveys
► Executive opinion
► Time series forecast
► Delphi method
Delphi method Managers and staff complete a series of questionnaires, each developed from the previous one, to achieve a consensus forecast

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Question No: 8 (M - 1) .
In which one of the following situations, the use of a decision tree is required instead of a payoff table?

► When there are more than three states of nature
►When there are more than three decision payoffs
► When the decision situation encompasses an extended time period
► When a series of decisions is required
Decision tree: Extremely suitable for analyzing and evaluating situations which involve sequential decisions.

Question No: 9 (M - 1) .
Which one of the following is an implication of laplace approach of decision making?

► The best of the worst possible payoff
► The best possible payoff
► The best average payoff
► The least of the worst regrets

Question No: 10 (M - 1) .
Which one of the following is a limitation of a moving average having a trend?

► The forecast lags behind the actual
► The forecast represents demand more accurately
► The forecast will not be accurate
► The forecast will not be reliable
Moving average: A technique that averages a number of recent actual values, updated as new values become available.

Question No: 11 (M - 1) .
Which of the following is a system designed to coordinate all activities and information needed to complete business processes?

► **Enterprise resource planning**
► Supply chain management
► New product development
► Customer relationship management

It is an enterprise-wide information system designed to coordinate all the resources, information, and activities needed to complete business processes such as order fulfillment or billing.

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Question No: 12 (M - 1) .

Which of the following is **NOT** a characteristic of product layouts?

► High material handling costs
► Sequential arrangement of machines
► Standardized output
► Continuous production system

Question No: 13 (M - 1) .

What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?

► 0.03 minutes
► **1.8 minutes**
► 2700 minutes
► 291 minutes

Solution:

9*60=540
540/300=1.8

Question No: 14 (M - 1) .

Which of the following factors are considered in product and service design?

► Customer satisfaction, quality, and improvement costs
► Employee motivation, quality, and production costs
► Customer satisfaction, flexibility, and production costs
► **Customer satisfaction, quality, and production costs**

A good product/service design can ensure customer satisfaction, quality and production costs.

Question No: 15 (M - 1) .

In order to comply with the environmental standards, an organization ABC has to implement Occupational Safety Hygiene Administration (OSHA).Which one of the following is a way to accomplish this task?

► Promoting friendly relations among employees
► **Installing safety guards and devices to reduce the risk of potential accidents**
► Installing machinery to make the process speedy
► Installing machinery that provides cost effective output
Occupational Safety and Health Administration: federal agency of the United States that regulates workplace safety and health.

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Question No: 16 (M - 1) .
Which one of the following is TRUE about Taguchi approach?

► **To test the robustness of a design**
► To articulate the "voice of the customer"
► To reduce the degree of automation
► To create a concurrent design
The defining characteristics for the Taguchi approach include: Design a robust product.

Question No: 17 (M - 1) .
Which one of the following refers to a design that takes into account organization's operational capabilities, when designing a product?

► Design for assembly
► **Design for manufacturing**
► Design for recycling
► Design for disassembly
Design for Manufacturing (DFM): The designers' consideration of the organization's manufacturing capabilities when designing a product.

Question No: 18 (M - 1) .
Which one of the following mathematical expressions can be used to compute availability?

► **(MTBF)/ (MTBF+MTR)**
► (MTBF)/ (MTBF-MTR)
► (MTR)/ (MTBF+MTR)
► (MTR)/ (MTBF-MTR)
Availability = (MTBF)/(MTBF + MTR)

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Question No: 19 (M - 1) .
Forecasting accuracy has_____ relation with time horizon.

► **Inverse**
► Linear
► Direct
► Parallel
Forecast accuracy decreases as time horizon increases.

Question No: 20 (M - 1) .
Which one of the following factors makes a forecast LESS perfect?

► **Randomness**
► Non serious attitude
► Non availability of data
► Un qualified personnel
Forecasts rarely perfect because of RANDOMNESS.

Question No: 21 (M - 1) .
Which one of the following is a key benefit of process plant strategy?

► Economies of scale
► Diseconomies of scale
► Product variety
► **Task specialization**
Process plant strategy: Individual plants are highly specialized and generate volumes.

Question No: 22 (M - 1) .
Which one of the following is used to produce gasoline and petroleum products?

► Job shop
► Batch processing
► Assembly line
► **Continuous processing**
Continuous process is a method that is used by manufacturing or production companies to churn out the greatest quantity of a product over the last time. Manufacturers most often use the continuous process in the manufacture of chemicals, drugs, and glass, as well as in the refining process for crude oil.

Question No: 23 (M - 1) .
Which of the following is **NOT** mark of a good layout in manufacturing?

► **Bottleneck operations**
► Straight line flow pattern (or adaption)

► Work stations close together
► Open plant floors (high visibility)

Question No: 24 (M - 1) .
Services differ from manufacturing in all the following ways EXCEPT:

► Customers typically interact directly with the service delivery process.
► Consumption and production take place simultaneously.
► Services are intangible.
► **Services can be stored.**

Question No: 25 (M - 1) .
All of the following are examples of time based strategies **EXCEPT**:

► Products /service design time
► Processing time
► Response time for complaints
► **Response time for innovation**

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Question No: 26 (M - 1) .
Which one of the following statements relates to the final stage of product life cycle?

► **Improve reliability, and reduce production costs**
► **Improve packaging, and reliability**
► Improve reliability, and reduce quality
► Improve reliability, and reduce promotion costs
DECLINE: In this phase, most of the organizations adopt a defensive design R&D Strategy in an attempt to prolong the life of the product by employing new packaging, redesigning it, improving its reliability.

Question No: 27 (M - 1) .

Which one of the following is responsible for administering environmental issues about product and service design?

Central Board Revenue

Environmental Protection Agency

Federal Drug Agency

Occupational Safety Hygiene Administration

EPA is active in all countries including Pakistan

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Question No: 28 (M - 1) .
Which of the following layouts facilitates the handling of varied processing requirements?

► Product layout
►Process layout
► Fixed-position layout
► Hybrib/Combination layout
Process layout. A Layout that can handle varied processing requirements.

Question No: 1 (M - 1) .
Within the operations function, which one of the following is a long-term management decision?

► Control decision
► Non-operational decision
► Strategic decision
► Tactical decision

Question No: 2 (M - 1) .
The management of systems or processes that creates goods and provides services is known as:

► Operation Management
► Operation/production Management
► Operation/Research Management
► Production/Research Management

Question No: 3 (M - 1) .
Which one of the following decision is NOT made by operations managers?

► How much capacity is required to balance demand?
► What should be the location and layout of a facility?
► How to improve operational efficiency?
► Which market areas to manufacture the products for?

Question No: 4 (M - 1) .
A business process is a logical set of tasks or activities that:

► Are specific to the operations function
► Are specific to the marketing function
► **Are interdependent with other processes**
► Have exactly the same performance measures for any process
Process Improvement: Process mapping and lean tools are used to better plot out present process methods with an eye for improvement. The keys are to understand how each process functions by itself and sequenced, integrated and interdependent with other processes.

Question No: 5 (M - 1) .
Which one the following formula or function can be used to measure the performance?

► Flexibility + profit+ operations
► Work + profit + value
► **Quality + speed + flexibility**
► Profit + Incentives + standards
Performance= (Quality +Speed+ Flexibility)

Question No: 6 (M - 1) .
Which of the following statements describes an order-qualifier characteristic?

► A competitive dimension used to make final decision among competitors
► A factor which directly and significantly contribute to winning business
► A factor which increases the profitability of the organization
► **A factor perceived as a minimum standard as a potential for purchase**

Question No: 7 (M - 1) .
Which one of the following forecasting techniques uses explanatory variables to predict future demand?

► **Associative forecast**
► Time series forecast
► Consumer survey
► Executive opinion
Associative models: uses explanatory variables to predict the future.

Question No: 8 (M - 1) .
In which one of the following decision environments it is impossible to assess the likelihood of various future events?

► Risk
► Bounded rationality

► Certainty
► **Uncertainty**

Question No: 9 (M - 1) .
Which one of the following is an implication of laplace approach of decision making?

► The best of the worst possible payoff
► The best possible payoff
► **The best average payoff**
► The least of the worst regrets

Question No: 10 (M - 1) .
Which one of the following is an outcome of MINIMAX regret?

► The best of the worst possible payoff
► The best possible payoff
► The best average payoff
► **The least of the worst regret**
MINIMAX regret: Chooses the alternative with the best worst.

Question No: 11 (M - 1) .
Which one of the following is a limitation of a moving average having a trend?

► **The forecast lags behind the actual**
► The forecast represents demand more accurately
► The forecast will not be accurate
► The forecast will not be reliable
Moving average: A technique that averages a number of recent actual values, updated as new values become available.

Question No: 12 (M - 1) .
Which one of the following refers to the maximum output that a firm can produce under ideal conditions?

► **Design capacity**
► Effective capacity
► Capacity planning
► Utilization rate D
Design capacity is the maximum output rate or service capacity an operation, process, or facility.

Question No: 13 (M - 1) .

Which one of the following is a characteristic of continuous process?

► High lead times
► Short process times
► The ability to handle high variety
► **The ability to handle high volumes**
Continuous process: In manufacturing, a continuous process is a method that is used by manufacturing or production companies to churn out the greatest quantity of a product over the last time.

Question No: 14 (M - 1) .
Which of the following is an example of a business that uses assembly line process structure?

► **Automobile assembly**
► Sugar refinery
► Heavy equipment
► French restaurants

Question No: 15 (M - 1) .
Which of the following layout types is associated with a supermarket?

► Fixed position layout
► **Process layout**
► Product layout
► Cellular layout
Examples of process layouts include supermarkets, hospitals, department stores and component manufacturers.

Question No: 16 (M - 1) .
Which one of the following layout types is associated with car assembly?

► Fixed position layout
► Process layout
► **Product layout**
► Hybrid layout
Product layouts are used to achieve a smooth and rapid flow of large volumes of goods and customers through a system.

Question No: 17 (M - 1) .
A department store discovered that in a four-month period, the best forecast can be determined by using 50 percent of the sales for the most recent month, 20 percent of the sales of two months ago, 10 percent of the sales of three months

ago, and 20 percent of the sales of four months ago. Which forecasting method should the store use to forecast demand?

► Simple Moving Average
► Linear Regression
► Time Series Analysis
► **Weighted Moving Average**

Question No: 18 (M - 1) .
Which one of the following is an application of simple exponential smoothing?

► Establishing durability
► Finding reliability
► **Scheduling services**
► Quality improvement

Question No: 19 (M - 1) .
Which of the following takes into consideration the design of aesthetics of the product?

► Functional design
► Production design
► Service design
► **Product design**
Product design has been considered to comprise three main elements:
1.Aesthetics
2. Ergonomics.
3. Technology.

Question No: 20 (M - 1) .
Which one of the following statements is TRUE about product life cycle?

► It depicts demand of a product at various price levels
► **It depicts demand of a product with respect to time**
► It relates demand of a product to quality
► It relates demand of a product to market share

Question No: 21 (M - 1) .
Which one of the following is TRUE about Taguchi approach?

► **To test the robustness of a design**
► To articulate the “voice of the customer”
► To reduce the degree of automation

► To create a concurrent design

The defining characteristics for the Taguchi approach include: Design a robust product.

Question No: 22 (M - 1) .

Which one of the following is a curve showing failure rate over time?

► Cost curve

► Bath tub curve

► Fish bone diagram

► Reliability curve

►Reliability curve

The bathtub curve is widely used in reliability engineering. It describes a particular form of the hazard function which comprises three parts:

- The first part is a decreasing failure rate, known as early failures.
- The second part is a constant failure rate, known as random failures.
- The third part is an increasing failure rate, known as wear-out failures.

Question No: 23 (M - 1) .

Which of following statement is **true** about effective capacity?

► It is the actual output achieved

► It is always less than actual output

► It is the maximum output that a firm can produce

► It is always less than designed capacity

Effective capacity: Actual maximum load or demand a device or system can carry or meet.

Question No: 24 (M - 1) .

Which one of the following is used to produce gasoline and petroleum products?

► Job shop

► Batch processing

► Assembly line

► Continuous processing

Continuous process is a method that is used by manufacturing or production companies to churn out the greatest quantity of a product over the last time. Manufacturers most often use the continuous process in the manufacture of chemicals, drugs, and glass, as well as in the refining process for crude oil.

Question No: 25 (M - 1) .

Quality, costs, lead times, operating resources are all related to which one of the following strategies.

► Organizational strategy
► Financial strategy
► **Operational strategy**
► Tectical strategy

Operations strategy is the total pattern of decisions which shape the long-term capabilities of any type of operations and their contribution to the overall strategy, through the reconciliation of market requirements with operations resources.

Question No: 26 (M - 1) .

Which one of the following refers to bringing together engineering design and manufacturing personnel early in the design phase.

► Reverse engineering
► **Concurrent engineering**
► Manufacturability
► Serviceability

Concurrent engineering is the bringing together of engineering design and manufacturing personnel early in the design phase.

Question No: 27 (M - 1) .

Which of the following refers to the way an organization chooses to produce its goods or services?

► **Process selection**
► Process reengineering
► Process redesign
► Process design

Process Selection refers to the way an organization chooses to produce its good or services.

Question No: 28 (M - 1) .

Which one of the following is the first step in line balancing?

► To specify the sequential relationship among tasks.
► **To determine the required cycle time.**
► To determine the minimum number of workstations.
► To determine the desired output

Question No: 1 (M - 1) .
Which one of the following decision is NOT made by operations managers?

► How much capacity is required to balance demand?
► What should be the location and layout of a facility?
► How to improve operational efficiency?
► Which market areas to manufacture the products for?

Question No: 2 (M - 1) .
Which one of the following is a measure of productivity that involves measuring inputs and outputs using a common unit of measurement?

► Multifactor
► Partial
► Single
► Total

Question No: 3 (M - 1) .
Which of the following functions of an organization consists of all activities directly related to production of a good or service?

► Operations
► Marketing
► Accounting
► Finance
The Operations function consists of all activities that are directly related to production of a good or service.

Question No: 4 (M - 1) .
Which of the following is **NOT** a decision to be made by operations managers?

► How much capacity is required to balance demand?
► What should be the location and layout of a facility?
► How to improve operational efficiency?
► Which market areas to manufacture the products for?

Question No: 5 (M - 1) .
To make operations strategy effective it should be:

► Independent of the organization's strategy
► Consistent with the organization's strategy
► Developed by a first line manager
► Independent of time dimension

Question No: 6 (M - 1) .
Which one of the following factors provides a basis for comparing alternative forecasting techniques?

► Time dimension
► Reliability factor
► **Degree of accuracy**
► Measuring units
Accuracy: This helps the end users to plan for possible errors and provide a basis for comparing the forecast with other alternative forecasts.

Question No: 7 (M - 1) .
Which one of the following forecasting technique is based on historical data?

► **Time series**
► Qualitative
► Judgmental
► Associative
Time series - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values.

Question No: 8 (M - 1) .
Which one of the following involves completing a series of questionnaires each developed from the previous one, to achieve a consensus forecast?

► Consumer surveys
► Executive opinion
► Time series forecast
► **Delphi method**
Delphi method Managers and staff complete a series of questionnaires, each developed from the previous one, to achieve a consensus forecast

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Question No: 9 (M - 1) .
In which one of the following situations, the use of a decision tree is required instead of a payoff table?

► When there are more than three states of nature
►When there are more than three decision payoffs
► When the decision situation encompasses an extended time period
► **When a series of decisions is required**

Decision tree: Extremely suitable for analyzing and evaluating situations which involve sequential decisions.

Question No: 10 (M - 1) .
Which one of the following is an index used to measure actual output relative to design capacity?

► Efficiency
► Effective capacity
► Effectiveness
► **Utilization**
Utilization = Actual Output / Design capacity

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Question No: 11 (M - 1) .
Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

► Introduction
► Growth
► **Maturity**
► Decline
In the market maturity phase the size of market starts to become constant with no considerable growth. Once this phase is reached, organisations tend to have a stable market share, all things kept constant. At this stage, organisations increase profitability by reducing costs and utilising available manufacturing capacity to the maximum.

Question No: 12 (M - 1) .
Which of the following statements is correct about capacity evaluating alternatives?

► **Minimum cost and optimal operating rate are functions of size of plant.**
► Minimum cost and optimal operating rate are functions of fixed cost.
► Minimum cost and productivity are functions of size of plant.
► Maximum cost and optimal operating rate are functions of size of plant.
Evaluating alternatives: Minimum cost & optimal operating rate are functions of size of production unit

Question No: 13 (M - 1) .
What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?

► 0.03 minutes

► **1.8 minutes**
► 2700 minutes
► 291 minutes
Solution:
9*60=540
540/300=1.8

Question No: 14 (M - 1) .
Which of the following factors are considered in product and service design?

► Customer satisfaction, quality, and improvement costs
► Employee motivation, quality, and production costs
► Customer satisfaction, flexibility, and production costs
► **Customer satisfaction, quality, and production costs**
A good product/service design can ensure customer satisfaction, quality and production costs.

Question No: 15 (M - 1) .
Which one of the following mathematical expressions can be used to compute availability?

► **(MTBF)/ (MTBF+MTR)**
► (MTBF)/ (MTBF-MTR)
► (MTR)/ (MTBF+MTR)
► (MTR)/ (MTBF-MTR)
Availability = (MTBF)/(MTBF + MTR)

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Question No: 16 (M - 1) .
The advantages of specialization to management include all of the following EXCEPT:

► Rapid training of the workforce
► Ease in recruiting new workers
► Fewer turnovers
► **Less boredom for workers**
Advantages of specialization To management:
1 Rapid training of the work force
2. Ease in recruiting new workers
3. High output due to simple and repetitive work

Question No: 17 (M - 1) .
Which one of the following refers to the length of time needed to complete a job?

► Work sampling methods
► **Work measurement**
► Job design
► Methods analysis

Work measurements dealt specifically with the length of time needed to complete a job and was linked with Personnel Planning, Cost Estimation, Budgeting, Scheduling and Worker Compensation.

Question No: 18 (M - 1) .

Which one of the following management functions is based on forecasting?

► **Planning**
► Organizing
► Leading
► Controlling

Question No: 19 (M - 1) .

Which one of the following is **TRUE** about the importance of capacity planning?

► It is profitable
► It increase the capacity of productive unit
► **It helps managers quantify production capability**
► It establishes good relationship with the customer

The capacity of an operating unit is an important piece of information for planning purposes: It enables managers to quantify production capability in terms of inputs or outputs.

Question No: 20 (M - 1) .

The type of processing structure that is used for producing discrete products at higher volume is:

► Continuous Flow
► **Assembly Line**
► Batch
► Job shop

Question No: 21 (M - 1) .

Which one of the following is TRUE about work sampling?

► It describes individual human motions that are used in a job task
► It involves determining the length of time it will take to undertake a particular task

► **It involves determining the amount of time a worker spends on various activities**
► It provides standard times for micro motions such as reach, move and release
Work Sampling is the statistical technique for determining the proportion of time spent by workers in various defined categories of activity.

Question No: 22 (M - 1) .
Which of the following **best** describes the concept of the value chain?

► The step-wise increases in product prices as raw materials are turned into goods/services
► Adding financial value to an organization through the acquisition of other firms
► A sequence of activities that involve movement of materials in a production facility
► **All steps in the transformation process that add value even if they don't come from manufacturing**

Question No: 23 (M - 1) .
Quality, costs, lead times, operating resources are all related to which one of the following strategies.

► Organizational strategy
► Financial strategy
► **Operational strategy**
► Tectical strategy
Operations strategy relates to products, processes, methods, operating resources, quality, costs, lead times, and scheduling.

Question No: 24 (M - 1) .
Which one of the following represents the series of a time forecast?

► Averaging, cycle, seasonality, random variations
► Trend, seasonality, exponential smoothing
► Trend, cycle, seasonality, moving average
► **Trend, cycle, seasonality, random variations**
Time Series Forecast :
Trend, Seasonality, Cycle, Irregular variations & Random variations.

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Question No: 25 (M - 1) .
The purpose of _____ is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

► Total quality control
► Demand management
► Forecasting
► Operations management

Question No: 26 (M - 1) .
Which relationship exists between the robustness of a product and the probability of failure?

► Positive relation
► Direct relation
► Inverse relation
► Negative relation

Question No: 27 (M - 1) .
Which of the following refers to the way an organization chooses to produce its goods or services?

► Process selection
► Process reengineering
► Process redesign
► Process design
Process Selection refers to the way an organization chooses to produce its good or services.

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Question No: 28 (M - 1) .
The formula for determining the required cycle time is operation time per day divided by:

► Sum of task times
► Actual output per day (in units)
► Number of workstations
►Desired output (in units)
CT = cycle time =OT/D
D represents the desired output.

Question No: 1 (M - 1) .

Who developed the use of standardization in large-scale mass production using a moving assembly line?

► Frederick Winslow Taylor
► Frank Gilbreth
► Adam Smith
► **Henry Ford**
Ford's main contributions to mass production/consumption were in the realm of process engineering. The hallmark of his system was standardization

Question No: 2 (M - 1) .
Which one of the following forms of productivity has units of output per shift?

► Capital
► Energy
► **Labor**
► Machine
Labor Productivity: Units of output per labor hour.

Question No: 3 (M - 1) .
Which one of the following forms of productivity has units of output per dollar input?

► **Capital**
► Energy
► Labor
► Machine
Capital Productivity: Units of output per Rs. Input.
Dollar value of output per Rs. input

Question No: 4 (M - 1) .
Which one of the following is a measure of productivity that involves measuring inputs and outputs using a common unit of measurement?

► **Multifactor**
► Partial
► Single
► Total

Question No: 5 (M - 1) .
What would be the productivity if 9 workers installed 650 square yards of carpeting in 6 hours?

► **12.03 square yards/hr**
► 72.20 square yards/hr
► 108.30 square yards/hr
► 5850 square yards/hr
Solution:
6×9=54
650/54=12.03

Question No: 6 (M - 1) .
Which one of the following formulae can be used to compute value?

► (Quality + Speed – Flexibility) / Cost
► **(Quality + Speed+ Flexibility) / Cost**
► (Quality + Speed - Cost) / Flexibility
► (Quality + Speed+ Cost) / Flexibility
Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost

Question No: 7 (M - 1) .
All of the following are examples of quantitative forecasting EXCEPT:

► **Delphi method**
► Time series analysis
► Associative models
► Naïve forecasting

Question No: 9 (M - 1) .
Which one of the following is a limitation of a moving average having a trend?

► **The forecast lags behind the actual**
► The forecast represents demand more accurately
► The forecast will not be accurate
► The forecast will not be reliable
Moving average: A technique that averages a number of recent actual values, updated as new values become available.

Question No: 10 (M - 1) .
Which one of the following is an index used to measure actual output relative to design capacity?

► Efficiency
► Effective capacity
► Effectiveness
► **Utilization**

Utilization = Actual Output / Design capacity

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Question No: 11 (M - 1) .
What would be the utilization, if 34 cars are produced in a day with a design capacity of 50 cars per day?

► **68%**
► 1.47%
► 84%
► 16%
=34/50×100
=68%

Question No: 12 (M - 1) .
Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

► Introduction
► Growth
► **Maturity**
► Decline
In the market maturity phase the size of market starts to become constant with no considerable growth. Once this phase is reached, organisations tend to have a stable market share, all things kept constant. At this stage, organisations increase profitability by reducing costs and utilising available manufacturing capacity to the maximum.

Question No: 13 (M - 1) .
Which one of the following layout types is associated with car assembly?

► Fixed position layout
► Process layout
► **Product layout**
► Hybrid layout
Product layouts are used to achieve a smooth and rapid flow of large volumes of goods and customers through a system.

Question No: 14 (M - 1) .
Which of the following probability distribution is used most extensively in dealing with forecasting errors?

► **Normal**
► Exponential

► Beta
► Pareto

Question No: 15 (M - 1) .
Which one of the following is an application of simple exponential smoothing?

► Establishing durability
► Finding reliability
► **Scheduling services**
► Quality improvement

William Berry, Vincent Mabert, and Myles Marcus have shown that simple exponential smoothing can be valuable in scheduling services, such as bank tellers.6 Their study showed that the causes of customer demand can be identified and used

Question No: 16 (M - 1) .
Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?

► Naive forecast
► **Exponential smoothing**
► Linear regression
► Judgmental forecast

Exponential Smoothing assigns exponentially decreasing weights as the observation get older. In other words, recent observations are given relatively more weight in forecasting than the older observations.

Question No: 17 (M - 1) .
Which of the following takes into consideration the design of aesthetics of the product?

► Functional design
► Production design
► Service design
► **Product design**

Product design has been considered to comprise three main elements:
1.Aesthetics
2. Ergonomics.
3. Technology.

Question No: 18 (M - 1) .
Which one of the following is the overall objective of product and service design?

► Customer satisfaction and variety
► **Customer satisfaction and profitability**

► Reliability and variety
► Quality and reliability

Question No: 19 (M - 1) .
Which one of the following is the final stage of product life cycle?

► Growth
► **Decline**
► Maturity
► Planning

Question No: 20 (M - 1) .
Which one of the following is the goal of method analysis?

► **Dividing and analyzing a job**
► Check individual human motions used to perform an operation
► Determining the length of time it will take to undertake a particular task
► Determining the amount of time a worker spends on various activities

Question No: 21 (M - 1) .
Which one of the following is the focus of predetermined motion time system?

► Individual human motions that are used in a job task
► Determining the length of time it will take to undertake a particular task
► Determining the amount of time a worker spends on various activities
► **Providing standard times for micro motions such as reach, move and release**
Reference (vuzs, parishy,17-05-2011)

Question No: 22 (M - 1) .
Which one of the following location strategies follows a decentralized approach?

► Process plant strategy
► Market area plant strategy
► Cost conservation strategy
► **Product plant strategy**
Product plant strategy: (Decentralized approach).

Question No: 23 (M - 1) .
Which one of the following location strategies is favored by automobile manufacturers?

► Product plant strategy
► **Process plant strategy**
► Market area plant strategy
► Cost conservation strategy
Process plant strategy: Different plants focus on different aspects of process Automobile manufacturers – engine plant, body stamping plant, etc.

Question No: 24 (M - 1) .
In which of the following approaches location decision is based on personal opinions and quantitative information?

► **Factor rating**
► Market area plant strategy
► Currency fluctuations
► Product plant strategy
Factor Rating: Decision based on quantitative and qualitative inputs.
Question No: 25 (M - 1) .
Which one of the following is **TRUE** about the importance of capacity planning?

► It is profitable
► It increase the capacity of productive unit
► **It helps managers quantify production capability**
► It establishes good relationship with the customer
The capacity of an operating unit is an important piece of information for planning purposes: It enables managers to quantify production capability in terms of inputs or outputs.

Question No: 26 (M - 1) .
Organizational strategies relate to which of the following sets of factors?

► **Survival, profitability, growth rate and market share**
► Profitability, survival, lead times and target market
► Quality, operating resources, growth rate and market share
► Scheduling, profitability, lead times and survival

Question No: 27 (M - 1) .
Which one of the following forecasting methods uses subjective inputs such as opinions from consumer surveys, sales staff, managers and experts?

► Time series model
► Least Square method
► **Judgmental forecasting model**
► Associative forecasting model

Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts.

Question No: 28 (M - 1) .
Transportation method helps in solving which of the following problems?

► **Facility location problems**
► Allocation of cost problems
► Workforce management problems
► Unfamiliar laws and regulaitons problems

Question No: 1 (M - 1) .

Which one of the following forms of productivity has units of output per shift?

► Capital
► Energy
► **Labor**
► Machine

Labor Productivity: Units of output per labor hour.

Question No: 2 (M - 1) .

All of the following are the decision areas of an operations manager EXCEPT:

► Inventory management
► Scheduling tasks
► Supply chain management
► **Financial reporting**

Question No: 3 (M - 1) .

Which one of the following formulae can be used to compute value?

► (Quality + Speed – Flexibility) / Cost
► **(Quality + Speed+ Flexibility) / Cost**

► (Quality + Speed - Cost) / Flexibility

► (Quality + Speed+ Cost) / Flexibility

Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost

Question No: 4 (M - 1) .

Which of the following refers to the essential elements of operations strategy?

► **Policies, tactics and objectives**

► Plans, strategies and vision

► Mission, goals and plans

► Mission, policies and distinctive competencies

Question No: 5 (M - 1) .

As a manager, you have defined the purpose of the forecasts. What should be the **next** step in forecasting process?

► Choose a forecasting technique.

► Determine the purpose of the forecast.

► **Set up a time horizon or a time limit.**

► Collect and analyze the appropriate data.

Steps in the Forecasting Process:

·Determine the purpose of the forecast

·Establish a time horizon.

·Select a forecasting technique

·Gather and analyze the appropriate data.

·Prepare the forecast.

·Monitor the forecast

Question No: 6 (M - 1) .

Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics?

► **Simple moving average**

► Delphi method

► Trend adjusted forecast

► Naïve forecast

The Moving Average model takes the average of several periods of data; the result is a dampened or smoothed data set; use this model when demand is stable and there is no evidence of a trend or seasonal pattern.

Question No: 7 (M - 1) .

Which one of the following mathematical expressions is used to compute utilization?

► Actual output / effective capacity

► **Actual output / design capacity**

► Actual output + effective capacity

► Actual output - design capacity

Utilization = Actual Out put/ Design Capacity

Question No: 8 (M - 1) .

Effective capacity is influenced by all of the following factors **EXCEPT**:

► Facilities

► **Product mix**

► Processes

► Operations

There are 7 determinants of effective capacity

Facility, Product and service, Process, Human factors, Operational factors, Supply chain factors & External factors.

Question No: 9 (M - 1) .

Which one of the following is concerned with short term capacity needs?

► Cycle

► Trends

► **Seasonality**

► Average

Short term capacity decisions refer to seasonal, random or irregular variations in demand.

Question No: 10 (M - 1) .

Which of the following statements is correct about capacity evaluating alternatives?

► **Minimum cost and optimal operating rate are functions of size of plant.**

► Minimum cost and optimal operating rate are functions of fixed cost.

► Minimum cost and productivity are functions of size of plant.

► Maximum cost and optimal operating rate are functions of size of plant.

Evaluating alternatives: Minimum cost & optimal operating rate are functions of size of production unit.

Question No: 11 (M - 1) .

Which of the following is an example of a business that uses assembly line process structure?

► **Automobile assembly**

► Sugar refinery

► Heavy equipment

► French restaurants

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Question No: 12 (M - 1) .

Which of the following layout types is associated with a supermarket?

► Fixed position layout

► **Process layout**

► Product layout

► Cellular layout

Examples of process layouts include supermarkets, hospitals, department stores and component manufacturers.

Question No: 13 (M - 1) .

Which one of the following defines the range of the smoothing constant (Alpha)?

► 2 and -2

► 1 and -1

► 0 and -1

► **0 and 1**

The smoothing constant must be a value in the range 0.0-1.0.

Question No: 14 (M - 1) .

Which method of forecasting is most widely used?

► Regression analysis

► Adaptive forecasting

► Weighted moving average

► **Exponential smoothing**

The Most Widely-Used Forecasting Method: Exponential Smoothing.

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Question No: 15 (M - 1) .

Which one of the following refers to a design that takes into account organization's operational capabilities, when designing a product?

► Design for assembly

► **Design for manufacturing**

► Design for recycling

► Design for disassembly

Design for Manufacturing (DFM): The designers' consideration of the organization's manufacturing capabilities when designing a product.

Question No: 16 (M - 1) .

What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?

► 6.02

► 2.0

► **0.99**

► 0.006

Solution:

Availability = (MTBF)/(MTBF + MTR)

=300/(300+2)

=300/302

=0.99

Question No: 17 (M - 1) .

Which of the following management level is responsible for long-range capacity planning?

► Lower management

► Middle management

► **Top management**

► Non managerial employees

Question No: 18 (M - 1) .

Which of the following is NOT an emerging trend in the workplace?

► Increasing workplace diversity
► **Decreasing work schedule flexibility**
► Increasing number of part time jobs
► Increasing use of temporary labor

Question No: 19 (M - 1) .

Which one of the following is NOT a business application of forecasting?

► Budgeting
► Capacity planning
► Inventory management
► **Quality control**

Question No: 20 (M - 1) .

Which one of the following is an example of site related factors that affect location decision?

► **Transportation**
► Quality of life
► Location of new markets
► Location of raw materials

Site Related Factors:

Land, Transportation, Environmental, Legal.

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Question No: 21 (M - 1) .

Which one of the following is TRUE about work sampling?

► It describes individual human motions that are used in a job task

► It involves determining the length of time it will take to undertake a particular task

► **It involves determining the amount of time a worker spends on various activities**

► It provides standard times for micro motions such as reach, move and release

Work Sampling is the statistical technique for determining the proportion of time spent by workers in various defined categories of activity.

Question No: 22 (M - 1) .

Services differ from manufacturing in all the following ways EXCEPT:

► Customers typically interact directly with the service delivery process.

► Consumption and production take place simultaneously.

► Services are intangible.

► **Services can be stored.**

Question No: 23 (M - 1) .

Which of the following is **NOT** an attribute to classify services?

► Tangibility

► Perishability

► Simultaneity

► **Courtesy**

Question No: 24 (M - 1) .

Organizational strategies relate to which of the following sets of factors?

► **Survival, profitability, growth rate and market share**

► Profitability, survival, lead times and target market

► Quality, operating resources, growth rate and market share

► Scheduling, profitability, lead times and survival

Question No: 25 (M - 1) .

The purpose of _____ is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

► Total quality control
► Demand management
► Forecasting
► Operations management

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Question No: 26 (M - 1) .

Which one of the following forecasting methods uses subjective inputs such as opinions from consumer surveys, sales staff, managers and experts?

► Time series model
► Least Square method
► **Judgmental forecasting model**
► Associative forecasting model

Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts.

Question No: 27 (M - 1) .

Which one of the following refers to translating the voice of the customer into technical design requirements?

► Concurrent design
► Design for manufacture
► Robust design
► **Quality function deployment**

Comprehensive QFD may involve four phases:

1. Product Planning (House of Quality): translate customer requirement into product techni
meet them.

2. Product Design: translate technical requirements to key part characteristics or systems
3. Process Planning: identify key process operations necessary to achieve key part charact
4. Production Planning (Process Control): establish process control plans, maintenance pla control operations.

Question No: 28 (M - 1) .

Which one of the following statements represents use of cost-volume analysis?

► It is a tool for reliability measurement
► It provides a base for marketing research
► **It helps in comparing capacity alternatives**
► It is important in product design

Cost-volume analysis: It is particularly useful as a tool for comparing capacity alternatives.

Composed & Solved
Honey G
Vu Askari Team
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Paper No. 01

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one
The management of systems or processes that creates goods and provides services is known as:

►**Operation Management**
►Operation/production Management
►Operation/Research Management
►Production/Research Management

Ref: Operations Management (The management of systems or processes that create goods and/or provide services) **(Handouts Page No. 03)**

Question No: 2 (Marks: 1) - Please choose one
Which one of the following forms of productivity has units of output per shift?

►Capital
►Energy
►**Labor**
►Machine

Ref: Labor Productivity:

- Units of output per labor hour
- Units of output per shift
- Value-added per labor hour **(Handouts Page No. 19)**

Question No: 3 (Marks: 1) - Please choose one
Which one of the following forms of productivity is expressed as dollar value of output per kilowatt hour?

►Machine
►Capital
►**Energy**
►Labor

Ref: Energy Productivity:

- Units of output per kilowatt-hour
- Rupee value of output per kilowatt-hour **(Handouts Page No. 19)**

Question No: 4 (Marks: 1) - Please choose one
What would be the productivity if a machine produced 50 units in 3 hours?

Note: Solve these papers by yourself
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► 0.066 units per hr
► **16.66 units per hr**
► 6.766 units per hr
► 60.66 units per hr

Ref: Productivity is a measure of the effective use of resources, usually expressed as the ratio of output to input .Also called Efficiency at times

Productivity = Units Produced / Hours

Productivity = 50 / 3 = 16.66 per hour

Question No: 5 (Marks: 1) - Please choose one

Which of the following functions of an organization consists of all activities directly related to production of a good or service?

► **Operations**
► Marketing
► Accounting
► Finance

Ref: The Operations function consists of all activities that are directly related to production of a good or service. **(Handouts Page No. 7)**

Question No: 6 (Marks: 1) - Please choose one

Which of the following is **NOT** a decision to be made by operations managers?

► How much capacity is required to balance demand?
► What should be the location and layout of a facility?
► How to improve operational efficiency?
► **Which market areas to manufacture the products for?**

Ref:
http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html **(See the Question No. 08)**

Question No: 7 (Marks: 1) - Please choose one

All of the following are the decision areas of an operations manager EXCEPT:

► **Financial reporting**
► Inventory management
► Scheduling tasks
► Supply chain management

Ref: Major operations decisions areas **include inventory**, capacity, quality, **scheduling**, process type, technology, location, layout, and **supply chain management**. **http://en.allexperts.com/q/Management-Consulting-2802/2011/2/Production-Operations-Management-1.htm**

Question No: 8 (Marks: 1) - Please choose one

Organizational strategies relate to which of the following sets of factors?

► **Survival, profitability, growth rate and market share**

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► Profitability, survival, leads times and target market
► Quality, operating resources, growth rate and market share
► Scheduling, profitability, lead times and survival

Ref: Survival, profitability, Growth rate, market share **(Book Page/Slide No. 13)**
http://docs.google.com/viewer?a=v&q=cache:bYWPs-Ig99IJ:highered.mcgraw-hill.com/sites/dl/free/0073525251/886181/stevenson11e_sample_ch02.pdf+Organizational+strategies+relate+to+which+of+the+following+sets+of+factors?+%E2%96%BA+Survival,+profitability,+growth+rate+and+market+share+%E2%96%BAProfitability,+survival,+leads+times+and+target+market+%E2%96%BAQuality,+operating+resources,+growth+rate+and+market+share+%E2%96%BAScheduling,+profitability,+lead+times+and+survival&hl=en&gl=pk&pid=bl&srcid=ADGEEShIkJnaEXjh-LlA3HACWDXOFhSy4GxPv8YQXZJlU3WT0go2JJj8vnbbzyuq3hxydg1DjvPnqXn6l7_WK80EPhN15OYu_iNw-IuxMf0zGIxME7Z2JTjx1YPoSJERrLKF0cWbvkXb&sig=AHIEtbRBvXb8MDQZrhUT8qmH-CP_4ToLlw&pli=1

Question No: 9 (Marks: 1) - Please choose one
Which of the following statements describes an order-qualifier characteristic?

► A competitive dimension used to make final decision among competitors
► A factor which directly and significantly contribute to winning business
► A factor which increases the profitability of the organization
► **A factor perceived as a minimum standard as a potential for purchase**

Ref: Order qualifiers are those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase while order winners **(Handouts Page No. 15)**

Question No: 10 (Marks: 1) - Please choose one
To make operations strategy effective it should be:

► Independent of the organization's strategy
► **Consistent with the organization's strategy**
► Developed by a first line manager
► Independent of time dimension

Ref: Operations strategy – The approach, consistent with organization strategy that is used to guide the operations function. We first study strategy design process with example for manufacturing and Services. **(Handouts Page No. 14)**

Question No: 11 (Marks: 1) - Please choose one
Which one of the following correctly explains the qualitative forecasting technique?

► It consists mainly of numerical descriptions and defies subjective inputs of managers.
► It consists mainly of subjective inputs and defies particular numerical descriptions
► **It consists mainly of subjective inputs and defies human factor, personal**

opinions.

► It consists mainly of analyzing objective and hard data and defies human factor, opinion.

Ref: Qualitative Techniques which use subjective inputs and no numerical data. It relies solely on soft information like human factors, personal opinion, hunches. Thus Qualitative Forecasts are often biased and tilted towards what the management wants to predict**. (Handouts Page No. 34)**

Question No: 12 (Marks: 1) - Please choose one

Which one of the following correctly explains the quantitative forecasting technique?

► **It consists mainly of numerical descriptions and resist subjective inputs of managers.**

► It consists mainly of subjective inputs and resist particular numerical descriptions.

► It consists mainly of subjective inputs and resist human factor, personal opinions.

► It consists mainly of analyzing objectives and hard data and resist human factor, opinion.

Ref: Quantitative research focuses on numbers or quantities. Quantitative studies have results that are based on numeric analysis and statistics. Often, these studies have many participants. It is not unusual for there to be over a thousand people in a quantitative research study. It is ideal to have a large number of participants because this gives analysis more statistical power. **http://www.associatedcontent.com/article/1622269/what_is_the_difference_between_qualitative.html**

Question No: 13 (Marks: 1) - Please choose one

Possible future demand	
Low (Rs.)	High (Rs.)
10,000	8,000
12,000	20,000
18,000	15,000

Which one of the following is the correct payoff under MAXIMIN approach?

► **Rs. 8,000**

► Rs. 12,000

► Rs. 18,000

► Rs. 20,000

Ref: Highest minus minimum
MAXMIN = 20000 – 12000 = 8000

Question No: 14 (Marks: 1) - Please choose one

Given the table:

Alternatives	Possible future demand	
	Low (Rs.)	High (Rs.)
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct Pay off under LAPLACE approach?

- Rs.9,000
- Rs.16,000
- Rs.33,000
- Rs.16,500

Ref: Take average for each alternative and choose the alternative with best average.
Small facility = 10000+8000=18000/2 =9000
Medium facility = 12000+20000 = 32000/2 = 16000
Large facility = 18000+15000 = 33000/2= 16500

Question No: 15 (Marks: 1) - Please choose one
Which one of the following is NOT a step of strategy process?

- Develop alternatives
- Monitor results
- **Consider risk averseness strategies**
- Specify criteria for decision

Ref: Normally the decision making process involves the following six important steps
1. **Specify Objectives and the Criteria for decision making**
2. **Develop Alternatives**
3. Analyze and compare alternatives.
4. Select the best alternative.
5. Implement the chosen Alternative
6. **Monitor the results** to ensure the desired results are achieved. **(Handouts Page No. 24)**

Question No: 16 (Marks: 1) - Please choose one
As an operations manager you have collected data about the demand of certain product "P" over time "t". The data shows short-term fairly regular variations over the time period "t". Which one of the following is correctly explaining the behavior of the data?

- Cycle
- Random variation

Note: Solve these papers by yourself
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► **Seasonality**
► Trend

Ref: Seasonality - short-term fairly regular variations in data related to factors like weather, festive holidays and vacations mostly experienced by supermarkets, restaurants, theatres, theme parks. **(Handouts Page No. 37)**

Question No: 17 (Marks: 1) - Please choose one
Which one of the following formula can be used to compute break even point?
► Q = VC / (R - VC)
► **Q = FC / (R - VC)**
► Q = VC / (R + FC)
► Q = FC / (R + VC)
Ref: QBEP= FC/ (R-VC) **(Handouts Page No. 76)**

Question No: 18 (Marks: 1) - Please choose one
ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?
► 833 units
► 2000 units
► **5000 units**
► 1012 units
Ref: QBEP = FC / (R - VC)
QBEP = 10000/ (7-5)
QBEP =10000/2
QBEP = 5000 Units

Question No: 19 (Marks: 1) - Please choose one
Which one of the following manufacturing process is associated with high volume car manufacture?
► Job shop
► **Assembly line**
► Batch
► Automation
Ref: Before discussing JIT look at in-line assembly systems (traditionally used in **high volume car manufacture**)
http://webcache.googleusercontent.com/search?q=cache:rJ2HjqtUCIQJ:www.ocr.org.uk/download/sm/ocr_13258_sm_gce_unit_f524.doc+%22manufacturing+process%22+for+%22high+volume+car+manufacture?%22&hl=en

Question No: 20 (Marks: 1) - Please choose one
Which one of the following is a characteristic of continuous process?
► High lead times

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► Short process times
► The ability to handle high variety
► **The ability to handle high volumes**

Ref: http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144864.cw/index.html **(In Multiple Choice Questions See the Question No. 11)**

Question No: 21 (Marks: 1) - Please choose one
Which of the following refers the way an organization chooses to produce its good or services?

► **Process selection**
► Process reengineering
► Process redesign
► Process design

Ref: Process Selection refers to the way an organization chooses to produce its good or services. **(Handouts Page No. 77)**

Question No: 22 (Marks: 1) - Please choose one
Which one of the following is an example of business that uses job shop process structure?

► **French restaurants**
► Heavy equipment
► Sugar refinery
► Automobile assembly

Ref: Examples of a job shop include a machine tool shop, a factory machining center, paint shops, a French restaurant, a commercial printing shop, and other manufacturers that make custom products in small lot sizes. **http://www.enotes.com/small-business-encyclopedia/job-shop**

Question No: 23 (Marks: 1) - Please choose one
In which of the following layouts, work stations are arranged according to the general function they perform without regard to any particular product?

► Product
► **Process**
► Fixed-position
► Storage

Ref: In a Process layout, work stations are arranged according to the general function they perform without regard to any particular product. **http://www.scribd.com/doc/12630674/MBA-IInd-SEM-POM-Chapter02-Layoutsimplfied**

Question No: 24 (Marks: 1) - Please choose one

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Which of the following layout types is associated with a supermarket?

►Fixed position layout
►**Process layout**
►Product layout
►Cellular layout

Ref: Supermarket layouts are essentially process layouts, http://docs.google.com/viewer?a=v&q=cache:lSjqXnqJinsJ:hkilter.com/courses/541/isl541_06.ppt+Which+of+the+following+layout+types+is+associated+with+a+supermarket%3F+%E2%96%BAFixed+position+layout+%E2%96%BAProcess+layout+%E2%96%BAProduct+layout+%E2%96%BACellular+layout&hl=en&gl=pk&pid=bl&srcid=ADGEESgjL0-us6bizOKeoG1FGkiYM86aIVo2pXsLNVhz2QCo4kalE27S2tQ6SGYrSzkeJHrBPIQd8zLHJm81nlwYCUNOvk8tSFyigfDzc4g8VsRZepfWBN0HTMjj8J8Fghtf50D4L0VW&sig=AHIEtbTxrTJMUmkozSV9o2BjZrPMqDx2HQ

Question No: 25 (Marks: 1) - Please choose one

OSHA stands for which one of the following?

►Occupational stock hygiene administration
►**Occupational safety hygiene administration**
►Occupational safety hygiene agency
►Occupational science hygiene administration

Ref: OSHA refers to Occupational Safety Hygiene Administration **(Handouts Page No. 46)**

Question No: 26 (Marks: 1) - Please choose one

In order to comply with the environmental standards, an organization implement Occupational Safety Hygiene Administration (OSHA) following is a way to accomplish this task?

►Promoting friendly relations among employees
►**Installing safety guards and devices to reduce the risk**
►Installing machinery to make the process speedy
►Installing machinery that provides cost effective output

Ref: The role of OSHA is to develop and enforce workplace safety standards, offer compliance assistance, training and education. **http://www.cwru.edu/med/epidbio/mphp439/Wellness_Workplace.htm**

Question No: 27 (Marks: 1) - Please choose one

Which one of the following statements is TRUE about product life cycle?

►It depicts demand of a product at various price levels
►**It depicts demand of a product with respect to time**
►It relates demand of a product to quality
►It relates demand of a product to market share

Ref: (See the handouts Page No.50 Diagrammed)

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Question No: 28 (Marks: 1) - Please choose one____
Which one of the following is TRUE about Taguchi Approach?

►**To test the robustness of a design**
►To articulate the "voice of the customer"
►To reduce the degree of automation
►To create a concurrent design

Ref: The defining characteristics for the Taguchi approach include:

- Design a robust product
- Insensitive to environmental factors either in manufacturing or in use.
- Central feature is Parameter Design. **(Handouts Page No. 52)**

Question No: 29 (Marks: 1) - Please choose one
The disadvantages of specialization to management include all of the following EXCEPT:

►More absenteeism
►Minimum responsibility
►More turnover
►**More difficult to teach the job**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 06)**

Question No: 30 (Marks: 1) - Please choose one
Technology has impacted the work place by:

►Adding to the existing geographical barriers for recruiting
►Increasing the cost of telecommuting
►Increasing the amount required to be spent on training
►**Unifying the workforce to a common skill level**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 10)**

Question No: 31 (Marks: 1) - Please choose one
Which one of the following refers to a team having representatives from different functional areas of the organization?

►Traditional work group
►Self-directed team
►**Cross-functional team**
►Self motivated team

Ref: While having representatives from different functions as team members is predicted to facilitate communication with non-team members from those functions, this structure may also create internal conflicts.

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http://docs.google.com/viewer?a=v&q=cache:CpKetaj5A98J:dspace.mit.edu/bitstream/handle/1721.1/2310/SWP-3179-22870423.pdf%3Fsequence%3D1+team+having+representatives+from+different+functional+areas+of+the+organization&hl=en&gl=pk&pid=bl&srcid=ADGEESiZz0JtbazwsFj3WOxuhpTDJ3LMgStdq5o3KAjjil6-ogLEsA07go0PRGGxnd9tFSN1EyQmfkxsF36ST6PakVPq8W0sFVgyN0kKutPRmM5vpEAOtjjM1eJkQDDCvaG0-o0P0BC5&sig=AHIEtbQPVw7bHUJDdOn5ZCFS7AOy6L3gTA

Question No: 32 (Marks: 1) - Please choose one
Which one of the following is NOT a business application of forecasting?

- ▶ Budgeting
- ▶ Capacity planning
- ▶ Inventory management
- ▶ **Quality control**

Ref: Forecasting in business forms the basis for budgeting and planning for capacity, sales, production, inventory, manpower, purchasing and more. **(Handouts Page No. 31)**

Question No: 33 (Marks: 1) - Please choose one
Which one of the following factors makes a forecast LESS perfect?

- ▶ **Randomness**
- ▶ Non serious attitude
- ▶ Non availability of data
- ▶ Un qualified personnel

Ref: Forecasts rarely perfect because of RANDOMNESS (having no specific pattern). Allowances should be made for inaccuracies**. (Handouts Page No. 33)**

Question No: 34 (Marks: 1) - Please choose one
Which one of the following is an example of community factors that affect location decisions?

- ▶ Transportation
- ▶ **Quality of life**
- ▶ Location of new markets
- ▶ Location of raw materials

Ref: Community Considerations

- Quality of life
- Services
- Attitudes
- Taxes
- Environmental regulations
- Utilities
- Developer support **(Handouts Page No. 96)**

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Question No: 35 (Marks: 1) - Please choose one
Which one of the following location strategies is favored by automobile manufacturers?

► Product plant strategy
► **Process plant strategy**
► Market area plant strategy
► Cost conservation strategy

Ref: Process plant strategy

- Different plants focus on different aspects of a process
- Automobile manufacturers – engine plant, body stamping plant, etc.
- Coordination across the system becomes a significant issue

http://docs.google.com/viewer?a=v&q=cache:qdhYzLa-nO8J:www.freeppts.net/get.php%3Ffid%3D64857+Process+plant+strategy+Different+plants+focus+on+different+aspects+of+a+process+Automobile+manufacturers+%E2%80%93+engine+plant,+body+stamping+plant,+etc.+Coordination+across+the+system+becomes+a+significant+issue&hl=en&gl=pk&pid=bl&srcid=ADGEEShw0DYERJZV-LnWXAw1GkOVioFaB_41KpymjwP1um272Ifa2KvJdSWt_N7o9bM2Nl2TK6BEfr7A6ZsnpbJnAzfJf_fQY3sBt0NHfO-DSI2wk880ruuZz6SqW8D8IOvN7ldYz5zr&sig=AHIEtbRh75YYaIVB4ltVMN7Yz0WjxBemRQ

Question No: 36 (Marks: 1) - Please choose one
Which one the following is an assumption of center of gravity method?

► The quantity to be shipped is variable
► **The quantity to be shipped is fixed**
► The quantity carries no value
► The quantity to be shipped should be extraordinarily high

Ref:
http://books.google.com.pk/books?id=AbFUpMcYPZUC&pg=PA160&lpg=PA160&dq=center+of+gravity+method+quantity+to+be+shipped+is+fixed&source=bl&ots=D0NnQmf8Ds&sig=LOP6V_PWiWa9CxYDLBx3CAOqxM8&hl=en&ei=TzO0TfngAoKr8APpj4iWDA&sa=X&oi=book_result&ct=result&resnum=3&ved=0CCIQ6AEwAg#v=onepage&q=center%20of%20gravity%20method%20quantity%20to%20be%20shipped%20is%20fixed&f=false

Question No: 37 (Marks: 1) - Please choose one
Which of the following statements would generally be considered as correct job shop?

► A continuous process has lower output volume as compared to job shop
► Equipment flexibility is lower in job shop than that of a continuous process
► **Labor costs are higher in a Job Shop operation than in most other processes**
► Batch processing produces a more standard range of products than continuous flow processes

Question No: 38 (Marks: 1) - Please choose one
Which one of the following is NOT an input in the transformation process?

► Information
► Services
► **Facilities**
► Materials

Ref: Inputs include materials, inventory, services, and land, and energy, human and capital resources. **(Handouts Page No. 02)**
ALSO SEE THIS LINK FOR FURTHER EXPLANATION:
http://www.jpcmediallc.com/acrobat/managment.pdf

Question No: 39 (Marks: 1) - Please choose one
Which one of the following describes the Naïve forecast?

► Attempt to predict the future value based on the past data.
► Determine long term upward or downward movement in data.
► **Forecast for any period equals the previous period's actual value.**
► Collect outside opinion of consumer and potential customers.

Ref: http://books.google.com.pk/books?id=8JM6wU_sBc0C&pg=PA145&lpg=PA145&dq=Na%C3%AFve+forecast+Forecast+for+any+period+equals+the+previous+period%E2%80%99s+actual+value&source=bl&ots=pZp4q8Kc8Q&sig=eBPVKOqJfUTmo-9Z-qAZtCRtY1I&hl=en&ei=IEW0Tb_yIciY8QPSyISWDA&sa=X&oi=book_result&ct=result&resnum=4&ved=0CCIQ6AEwAw#v=onepage&q&f=false.

Question No: 40 (Marks: 1) - Please choose one
Which one of the following is an advantage of a moving average forecast?

► All the values in the average are weighted equally.
► The method is reliable to forecast the demand accurately
► **The method is easy to compute and easy to understand**
► The most recent values are given the more weightage

Ref: Advantages of Moving Average Method

- Easily understood
- Easily computed
- Provides stable forecasts

http://docs.google.com/viewer?a=v&q=cache:wdnWQylxOkAJ:www.d.umn.edu/~rlindek1/POM/assets/IE3265_Forecasting.ppt+advantage+of+a+moving+average+forecast&hl=en&gl=pk&pid=bl&srcid=ADGEEShZWWuvuyYw3Thz0ywlMM_XmAjhWxa6y4_LN7PGbT0-xCjPa35T90GFnDvpcD_7xZ1wkiBOTsXkZA2ZfN1Rd0P250U9qN4pxWwnzD-KXlg3KxH2E5rrMrYEBizLt0onkUu4mgYP&sig=AHIEtbT3x_6N1LZaW2zQxpF7dpCl59PxTA

Question No: 41 (Marks: 5)

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Why some multinational corporations feel that globalization is not a good option?

The western worlds call these the disadvantages of Globalization, if an organization decides to pack up its business and leave a host company.

Disadvantages to Globalization

The common disadvantages which lead to a MNC forgoing globalization includes.

- Handing over proprietary Technology to host countries.
- Political risks.
- Poor Employee (Managers and worker) skills.
- Slow customer response time.
- Effective communication between interfaces difficult

Managing Global Operations

When organizations become global they often end up paying a heavy price in terms of managing complex managerial issues and challenges.

- Host country languages
- Host Country Norms and Customs.
- Workforce management
- Unfamiliar laws and regulations.
- Unexpected Cost mix.

Question No: 42 (Marks: 5)

Do you perceive that operation management and operation research are the same concepts?

NO both concepts are different from each other; we can elaborate both in the following manner:

Operation Management:

Operations management is an area of management concerned with overseeing, designing, and redesigning business operations in the production of goods and/or services. It involves the responsibility of ensuring that business operations are efficient in terms of using as little resources as needed, and effective in terms of meeting customer requirements. It is concerned with managing the process that converts inputs (in the forms of materials, labor, and energy) into outputs (in the form of goods and/or services). The relationship of operations management to senior management in commercial contexts can be compared to the relationship of line officers to the highest-level senior officers in military science. The highest-level officers shape the strategy and revise it over time, while the line officers make tactical decisions in support of carrying out the strategy.

Operation Research:

Operations research (also referred to as decision science or management science) is an interdisciplinary mathematical science that focuses on the effective *use* of technology by organizations. In contrast, many other science & engineering disciplines focus on technology giving secondary considerations to its use.

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Employing techniques from other mathematical sciences — such as mathematical modeling, statistical analysis, and mathematical optimization — operations research arrives at optimal or near-optimal solutions to complex decision-making problems. Because of its emphasis on human-technology interaction and because of its focus on practical applications, operations research has overlap with other disciplines, notably industrial engineering and management science, and draws on psychology and organization science. Operations Research is often concerned with determining the maximum (of profit, performance, or yield) or minimum (of loss, risk, or cost) of some real-world objective.

Paper No. 02

MIDTERM EXAMINATION
Spring 2010
MGT613- Production / Operations Management
Solved By Honey G <abdulhaiee2004@gmail.com>

Time: 60 min
Marks: 44

Question No: 1 (Marks: 1) - Please choose one
Within the operations function, which one of the following is a long-term management decision?

- ► Control decision
- ► Non-operational decision
- ► **Strategic decision**
- ► Tactical decision

Ref: Strategic Importance
1. Long term commitment/costs
2. Impact on investments, revenues, and operations
3. Supply chains **(Handouts Page No. 95)**

Question No: 2 (Marks: 1) - Please choose one
The management of systems or processes that creates goods and provides services is known as:

- ► **Operation Management**
- ► Operation/production Management

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► Operation/Research Management
► Production/Research Management

Ref: Hence, operations management is the management of systems or processes that create goods and/or provide services. http://highered.mcgraw-hill.com/sites/0073041912/student_view0/ebook/chapter1/chbody1/introduction.html

Question No: 3 (Marks: 1) - Please choose one
Which of the following is **NOT** a decision to be made by operations managers?

►How much capacity is required to balance demand?
►What should be the location and layout of a facility?
►How to improve operational efficiency?
►Which market areas to manufacture the products for?

Ref: http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html **(See the Question No. 08)**

Question No: 4 (Marks: 1) - Please choose one
A business process is a logical set of tasks or activities that:

► Are specific to the operations function
► Are specific to the marketing function
► Are interdependent with other processes
► Have exactly the same performance measures for any process

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter5/multiple_choice_quiz.html **(See the Question No. 05)**

Question No: 5 (Marks: 1) - Please choose one
Which one the following formula or function can be used to measure the performance?

► Flexibility + profit+ operations
► Work + profit + value
► Quality + speed + flexibility
► Profit + Incentives + standards

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 6 (Marks: 1) - Please choose one
Which of the following statements describes an order-qualifier characteristic?

► A competitive dimension used to make final decision among competitors
► A factor which directly and significantly contribute to winning business
► A factor which increases the profitability of the organization
►A factor perceived as a minimum standard as a potential for purchase

Ref: Order qualifiers are those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential

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purchase while order winners **(Handouts Page No. 15)**

Question No: 7 (Marks: 1) - Please choose one
Which one of the following forecasting techniques uses explanatory variables to predict future demand?

- ► **Associative forecast**
- ► Time series forecast
- ► Consumer survey
- ► Executive opinion

Ref: Associative Models: forecasting technique that uses explanatory variables to predict future demand. http://cramberry.net/sets/26728-operational-management-3

Question No: 8 (Marks: 1) - Please choose one
In which one of the following decision environments it is impossible to assess the likelihood of various future events?

- ► Risk
- ► Bounded rationality
- ► Certainty
- ► **Uncertainty**

Ref: Uncertainty: environments it is impossible to assess the likelihood of various future events. http://nrmt.files.wordpress.com/2011/04/15-decision-making-strategies.pdf

Question No: 9 (Marks: 1) - Please choose one
Which one of the following is an implication of LAPLACE approach of decision making?

- ► The best of the worst possible payoff
- ► The best possible payoff
- ► **The best average payoff**
- ► The least of the worst regrets

Ref: Laplace, the best payoff of the average for each alternative. **(Handouts Page No. 27)**

Question No: 10 (Marks: 1) - Please choose one
Which one of the following is an outcome of MINIMAX regret?

- ► The best of the worst possible payoff
- ► The best possible payoff
- ► The best average payoff
- ► **The least of the worst regret**

Ref: Minimax Regret: Determines the worst regret for each alternative **(Handouts Page No. 27)**

Question No: 11 (Marks: 1) - Please choose one
Which one of the following is a limitation of a moving average having a trend?

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► **The forecast lags behind the actual**
► The forecast represents demand more accurately
► The forecast will not be accurate
► The forecast will not be reliable

Ref: If, over several periods, a time series shows a change in the average value which corresponds to the trend model, the forecast values always lag behind the actual values by one or several periods in the first-order exponential smoothing procedure. http://help.sap.com/saphelp_45b/helpdata/en/a5/6320e843a211d189410000e829fbbd/content.htm

Question No: 12 (Marks: 1) - Please choose one
Which one of the following refers to the maximum output that a firm can produce under ideal conditions?

► **Design capacity**
► Effective capacity
► Capacity planning
► Utilization rate

Ref: Design capacity is the maximum output rate or service capacity an operation, process, or facility. **(Handouts Page No. 66)**

Question No: 13 (Marks: 1) - Please choose one
Which one of the following is a characteristic of continuous process?

► High lead times
► Short process times
► The ability to handle high variety
► **The ability to handle high volumes**

Ref: http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144864.cw/index.html **(In Multiple Choice Questions See the Question No. 11)**

Question No: 14 (Marks: 1) - Please choose one
Which of the following is an example of a business that uses assembly line process structure?

► **Automobile assembly**
► Sugar refinery
► Heavy equipment
► French restaurants

Ref: A good example of an assembly line is an automobile plant. http://www.netmba.com/operations/process/structure/

Question No: 15 (Marks: 1) - Please choose one
Which of the following layout types is associated with a supermarket?

► Fixed position layout

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► **Process layout**
► Product layout
► Cellular layout

Ref: Supermarket layouts are essentially process layouts, http://docs.google.com/viewer?a=v&q=cache:lSjqXnqJinsJ:hkilter.com/courses/541/isl541_06.ppt+Which+of+the+following+layout+types+is+associated+with+a+supermarket%3F+%E2%96%BAFixed+position+layout+%E2%96%BAProcess+layout+%E2%96%BAProduct+layout+%E2%96%BACellular+layout&hl=en&gl=pk&pid=bl&srcid=ADGEESgjL0-us6bizOKeoG1FGkiYM86aIVo2pXsLNVhz2QCo4kalE27S2tQ6SGYrSzkeJHrBPIQd8zLHJm81nlwYCUNOvk8tSFyigfDzc4g8VsRZepfWBN0HTMjj8J8Fghtf50D4L0VW&sig=AHIEtbTxrTJMUmkozSV9o2BjZrPMqDx2HQ

Question No: 16 (Marks: 1) - Please choose one
Which one of the following layout types is associated with car assembly?

► Fixed position layout
► Process layout
► **Product layout**
► Hybrid layout

Ref: Product – Layout should suit to the nature of product and its method of production. I.e. aircraft manufacturing and car manufacturing layouts will be different. Sales also affect the layout. http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 17 (Marks: 1) - Please choose one
A department store discovered that in a four-month period, the best forecast can be determined by using 50 percent of the sales for the most recent month, 20 percent of the sales of two months ago, 10 percent of the sales of three months ago, and 20 percent of the sales of four months ago. Which forecasting method should the store use to forecast demand?

► Simple Moving Average
► Linear Regression
► Time Series Analysis
► **Weighted Moving Average**

Ref: Weighted Moving Average
Whereas the simple moving average gives equal weight to each component of the moving average database, a weighted moving average allows any weights to be placed on each element, providing, of course, that the sum of all weights equals 1. **For example**, a department store may find that in a four-month period, the best forecast is derived by using 40 percent of the actual sales for the most recent month, 30 percent of two months ago, 20 percent of three months ago, and 10 percent of four months ago. http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+A+department+store+discovered+that+in+a+four-

month+period,+the+best+forecast+can+be+determined+by+using+50+percent+of+the+sales+for+the+most+recent+month,+20+percent+of+the+sales+of+two+months+ago,+10+percent+of+the+sales+of+three+months+ago,+and+20+percent+of+the+sales+of+four+months+ago.+Which+forecasting+method+should+the+store+use+to+forecast+demand%3F+%E2%96%BA+Simple+Moving+Average+%E2%96%BA+Linear+Regression+%E2%96%BA+Time+Series+Analysis+%E2%96%BA+Weighted+Moving+Average&hl=en&gl=pk&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8KnR5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbR6QAx5fG8CQkeTPpk7SBvpbuEl1A

Question No: 18 (Marks: 1) - Please choose one
Which one of the following is an application of simple exponential smoothing?

► Establishing durability
► Finding reliability
► **Scheduling services**
► Quality improvement

Question No: 19 (Marks: 1) - Please choose one
Which of the following takes into consideration the design of aesthetics of the product?

► Functional design
► Production design
► Service design
► **Product design**

Ref: Product design (i.e., industrial design) is perhaps most associated with aesthetic considerations http://www.acrwebsite.org/volumes/display.asp?id=7824

Question No: 20 (Marks: 1) - Please choose one
Which one of the following statements is TRUE about product life cycle?

► It depicts demand of a product at various price levels
► **It depicts demand of a product with respect to time**
► It relates demand of a product to quality
► It relates demand of a product to market share

Ref: (See the handouts Page No.50 Diagrammed)

Question No: 21 (Marks: 1) - Please choose one
Which one of the following is TRUE about Taguchi approach?

► **To test the robustness of a design**
► To articulate the "voice of the customer"
► To reduce the degree of automation
► To create a concurrent design

Ref: The defining characteristics for the Taguchi approach include:

- Design a robust product

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- Insensitive to environmental factors either in manufacturing or in use.
- Central feature is Parameter Design. **(Handouts Page No. 52)**

Question No: 22 (Marks: 1) - Please choose one
Which one of the following is a curve showing failure rate over time?

► Cost curve
► **Bath tub curve**
► Fish bone diagram
► Reliability curve

Ref: The figure above shows a bathtub shape and thus rightly is referred to as the Bathtub curve. On the Y axis we represent the Failure rate and on the X axis we represent the Time. **(Handouts Page No. 60)**

Question No: 23 (Marks: 1) - Please choose one
Which of following statement is **true** about effective capacity?

► It is the actual output achieved
► It is always less than actual output
► It is the maximum output that a firm can produce.
► **It is always less than designed capacity**

Ref:
http://books.google.com.pk/books?id=wUHzc8JtZzUC&pg=PA249&dq=effective+capacity+It+is+the+actual+output+achieved&hl=en&ei=4WV3TfycOIio8AP885jPCw&sa=X&oi=book_result&ct=result&resnum=1&sqi=2&ved=0CCcQ6AEwAA#v=onepage&q=effective%20capacity%20It%20is%20the%20actual%20output%20achieved&f=false
(Read the 3rd Paragraph)

Question No: 24 (Marks: 1) - Please choose one
Which one of the following is used to produce gasoline and petroleum products?

► Job shop
► Batch processing
► Assembly line
► **Continuous processing**

Ref: http://highered.mcgraw-hill.com/sites/0073403296/student_view0/chapter7/multiple_choice_quiz.html **(See the Question No. 02)**

Question No: 25 (Marks: 1) - Please choose one
Quality, costs, lead times, operating resources are all related to which one of the following strategies.

► Organizational strategy
► Financial strategy
► **Operational strategy**
► Tactical strategy

Ref: OPERATIONS STRATEGY: (Deals with the operations aspect of an organization). OS is related to products, processes, methods, operating resources, quality, costs, lead times, and scheduling.
http://docs.google.com/viewer?a=v&q=cache:Z8OTKodTI24J:bulatov.org.ua/teaching_courses/nam_operations/L2%2520PRODUCTIVITY,%2520COMPETITIVENESS,%2520STRATEGY.doc+Quality,+costs,+lead+times,+operating+resources+are+all+related+to+Operational+strategy&hl=en&pid=bl&srcid=ADGEESjFppdZdPqJCYGeE5eZ0lbXSbBIaQuAZHRq8WGSAb060LQFyePsZ7uLK3tBxikelBwidDvqI2uehI7dlnTODYpZMU2xVYk6oWk7IHpLh4hW3Brot6pOUAe-f0XbM42tJV6kLRzg&sig=AHIEtbTlW5C5SYPMTZqjIHd9wX_vuoJE6g

Question No: 26 (Marks: 1) - Please choose one
Which one of the following refers to bringing together engineering design and manufacturing personnel early in the design phase?

- ► Reverse engineering
- ► **Concurrent engineering**
- ► Manufacturability
- ► Serviceability

Ref: Concurrent engineering is the bringing together of engineering design and manufacturing personnel early in the design phase. **(Handouts page no. 53)**

Question No: 27 (Marks: 1) - Please choose one
Which of the following refers to the way an organization chooses to produce its goods or services?

- ► **Process selection**
- ► Process reengineering
- ► Process redesign
- ► Process design

Ref: Process Selection refers to the way an organization chooses to produce its good or services. **(Handouts Page No. 77)**

Question No: 28 (Marks: 1) - Please choose one
Which one of the following is the first step in line balancing?

- ► **Specify the sequential relationship among tasks**
- ► Determine the required cycle time.
- ► Determine the minimum number of workstations.
- ► Determine the desired output

Ref: http://www.slidefinder.net/c/chapter_manufacturing_processes/25822455 (See the Slide No. 13)

Question No: 29 (Marks: 3)
Write down at least three ways of improving reliability of a system.
We should develop the ability to understand the importance of reliability and at

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the same time identify the ways in which Reliability can be improved in the following generic ways.

1. Component design: Parts of a car
2. Production/assembly techniques: No reworks also fool proof assembly.
3. Testing: for trouble free final product
4. Redundancy/backups: not possible all the time but common remedy.
5. Preventive maintenance procedures
6. User education (operating manuals)
7. System design (we will discuss in later chapters, a senior management issue, but indicative that reliability is always considered VIP)
8. Research & Development (R&D) : Organized efforts to increase scientific knowledge or product innovation & may involve:

Question No: 30 (Marks: 3)

What qualities does a successful job design contain?

A successful Job Design must have the following qualities

1. Carried out by experienced personnel who have the necessary training and background.
2. Consistent with the goals of the organization.
3. in documented form.
4. Understood and agreed by both management and employees.
5. Shared with the new employees.
6. Factors that affect Job Design

Question No: 31 (Marks: 5)

Suppose you are the operations manager of ABC Corporation. To develop competence in business operations, you have to decide either to rely on the facilities available in-house or outsource. What are some of the factors you would base the decision on?

Reasons to (Produce in-House or Outsource) Make or Buy

There are 6 reasons which are available to us in order to decide whether to develop a competence in house or hire an outside competent organization to supply that product, service or particular expertise. The latter requires that the outsourcer to be honest, ethical, competent. It also requires that outsourcing contract should be flexible yet pragmatic and carry proper levels of services.

- Available capacity if an organization has the equipment, necessary skills and time, it often makes sense to produce an item or perform a service in house. The additional costs would be relatively small compared with those required to buy items or subcontract them.
- Expertise. If a firm lacks the expertise to do a job satisfactorily, buying might be a reasonable alternative.
- Quality considerations. Firms that specialize can usually offer higher quality than an organization can attain itself. Conversely, special quality

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requirements or the ability to closely monitor quality may cause an organization to perform a job itself.

- Nature of demand. When demand for an item is high and steady, the organization is often better off doing the work itself. However, wide fluctuations in demand or small orders are usually better handled by specialists, who are able to combine orders from multiple sources, which results in higher volume and tend to offset individual buyer fluctuation.
- Cost. Any cost savings achieved from buying or making must be weighed against the preceding factors. Cost savings might come from the item itself or from transportation cost savings. If there are fixed costs associated with making an item that cannot be reallocated if the item is purchased, that has to be recognized in cost analysis.
- Risk. Outsourcing or buying the services carries risk; often companies retain flexibility by carrying out certain critical activities in house and repetitive menial activities through outsourcing.

Question No: 32 (Marks: 5)
"Standardization plays an important role in product design". How will you describe this role?

Standardization is the extent to which there is an absence of variety in a product, service or process. Standardized products are immediately available to customers. You go to a market and request for a charger for your cellular phone, the shopkeeper would ask for the model, make and deliver you as special product which is made by your cell phone company or by an independent manufacturer, who provides a standardized compatible model.

Paper No. 03

MIDTERM EXAMINATION Spring 2010
MGT613- Production and operation management (Session - 3)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one
Which one of the following forms of productivity has units of output per shift?

- Capital
- Energy
- **Labor**
- Machine

Ref: Labor Productivity

- Units of output per labor hour
- Units of output per shift

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- Value-added per labor hour **(Handouts Page No. 19)**

Question No: 2 (Marks: 1) - Please choose one
All of the following are the decision areas of an operations manager EXCEPT:

► Inventory management
► Scheduling tasks
► Supply chain management
► **Financial reporting**

Ref: Major operations decisions areas **include inventory**, capacity, quality, **scheduling**, process type, technology, location, layout, and **supply chain management**. **http://en.allexperts.com/q/Management-Consulting-2802/2011/2/Production-Operations-Management-1.htm**

Question No: 3 (Marks: 1) - Please choose one
Which one of the following formulae can be used to compute value?

► (Quality + Speed – Flexibility) / Cost
► **(Quality + Speed+ Flexibility) / Cost**
► (Quality + Speed - Cost) / Flexibility
► (Quality + Speed+ Cost) / Flexibility

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 4 (Marks: 1) - Please choose one
Which of the following refers to the essential elements of operations strategy?

► Policies, tactics and objectives
► Plans, strategies and vision
► Mission, goals and plans
► **Mission, policies and distinctive competencies**

Question No: 5 (Marks: 1) - Please choose one
As a manager, you have defined the purpose of the forecasts. What should be the **next** step in forecasting process?

► Choose a forecasting technique.
► Determine the purpose of the forecast.
► **Set up a time horizon or a time limit.**
► Collect and analyze the appropriate data.

Ref: Steps in the Forecasting Process:

- **Determine the purpose of the forecast**: meaning what is the purpose and when will it be required. This will provide the level of detail for resources required man, machine, time and capital.
- **Establish a time horizon:** We already know that as time increases the accuracy of the Forecast decreases.
- **Select a forecasting technique:** whether qualitative or quantitative

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- **Gather and analyze the appropriate data:** It goes without saying that before a forecast can be delivered data is required. The closer the real life data more realistic would be the forecast. This may be the time when you would like to identify the important assumptions and suppositions.
- **Prepare the forecast:**
- **Monitor the forecast:** A forecast has to be closely monitored to determine whether it is fulfilling its basic purpose. This helps in re-examining the method, assumptions and validity of the data and preparing a revised forecast.

Question No: 6 (Marks: 1) - Please choose one
Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics?

► **Simple moving average**
► Delphi method
► Trend adjusted forecast
► Naïve forecast

Ref: The Moving Average model takes the average of several periods of data; the result is a dampened or smoothed data set; use this model when demand is stable and there is no evidence of a trend or seasonal pattern. http://www.shmula.com/forecasting-unweighted-and-weighted-moving-average-model/308/

Question No: 7 (Marks: 1) - Please choose one
Which one of the following mathematical expressions is used to compute utilization?

► Actual output / effective capacity
► **Actual output / design capacity**
► Actual output + effective capacity
► Actual output – design capacity

Ref: For example:
Actual Output = 36 units / day
Design Capacity = 50 units / day
Utilization = 36/50 * 100 = 72% **(Handouts Page No. 66)**

Question No: 8 (Marks: 1) - Please choose one
Effective capacity is influenced by all of the following factors **EXCEPT**:

► Facilities
► **Product mix**
► Processes
► Operations

Ref: There are 7 determinants of effective capacity namely:

- Facilities.
- Product and service factors
- Process factors

- Human factors
- Operational factors
- Supply chain factors
- External factors **(Handouts Page No. 66 and 67)**

Question No: 9 (Marks: 1) - Please choose one
Which one of the following is concerned with short term capacity needs?

► Cycle
► Trends
► **Seasonality**
► Average

Ref: Long term capacity decisions relate to overall level of capacity while short term capacity decisions refer to seasonal, random or irregular variations in demand. **(Handouts Page No. 76)**

Question No: 10 (Marks: 1) - Please choose one
Which of the following statements is correct about capacity evaluating alternatives?

► **Minimum cost and optimal operating rate are functions of size of plant.**
► Minimum cost and optimal operating rate are functions of fixed cost.
► Minimum cost and productivity are functions of size of plant.
► Maximum cost and optimal operating rate are functions of size of plant.

Ref: Evaluating Alternatives

- As the general capacity of the plant increases, the optimal output rate increases and the minimum cost for the optimal rate decreases.
- This is the prime reason why larger plants tend to have higher optimal output rates and lower minimum costs than smaller plants. **(Handouts page No. 69)**

Question No: 11 (Marks: 1) - Please choose one
Which of the following is an example of a business that uses assembly line process structure?

► **Automobile assembly**
► Sugar refinery
► Heavy equipment
► French restaurants

Ref: A good example of an assembly line is an automobile plant.
http://www.netmba.com/operations/process/structure/

Question No: 12 (Marks: 1) - Please choose one
Which of the following layout types is associated with a supermarket?

► Fixed position layout
► **Process layout**
► Product layout
► Cellular layout

Ref: Supermarket layouts are essentially process layouts, http://docs.google.com/viewer?a=v&q=cache:lSjqXnqJinsJ:hkilter.com/courses/541/isl541_06.ppt+Which+of+the+following+layout+types+is+associated+with+a+supermarket%3F+%E2%96%BAFixed+position+layout+%E2%96%BAProcess+layout+%E2%96%BAProduct+layout+%E2%96%BACellular+layout&hl=en&gl=pk&pid=bl&srcid=ADGEESgjL0-us6bizOKeoG1FGkiYM86aIVo2pXsLNVhz2QCo4kalE27S2tQ6SGYrSzkeJHrBPIQd8zLHJm81nlwYCUNOvk8tSFyigfDzc4g8VsRZepfWBN0HTMjj8J8Fghtf50D4L0VW&sig=AHIEtbTxrTJMUmkozSV9o2BjZrPMqDx2HQ

Question No: 13 (Marks: 1) - Please choose one
Which one of the following defines the range of the smoothing constant (Alpha)?

- ► 2 and -2
- ► 1 and -1
- ► 0 and -1
- ► **0 and 1**

Ref: alpha - the smoothing constant to use for this exponential smoothing model. Must be a value in the range 0.0 - 1.0 Values above 0.5 is uncommon - though they are still valid and are supported by this implementation. http://openforecast.sourceforge.net/docs/net/sourceforge/openforecast/models/TripleExponentialSmoothingModel.html

Question No: 14 (Marks: 1) - Please choose one
Which method of forecasting is most widely used?

- ► Regression analysis
- ► Adaptive forecasting
- ► Weighted moving average
- ► **Exponential smoothing**

Ref: Exponential smoothing is a widely method used of forecasting based on the time series itself. Unlike regression models, exponential smoothing does not imposed any deterministic model to fit the series other than what is inherent in the time series itself. http://home.ubalt.edu/ntsbarsh/stat-data/forecast.htm

Question No: 15 (Marks: 1) - Please choose one
Which one of the following refers to a design that takes into account organization's operational capabilities, when designing a product?

- ► Design for assembly
- ► **Design for manufacturing**
- ► Design for recycling
- ► Design for disassembly

Ref: Design for Manufacturing (DFM): The designers' consideration of the organization's manufacturing capabilities when designing a product. **(Handouts Page No. 51)**

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Question No: 16 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?

► 6.02
► 2.0
► **0.99**
► 0.006

Ref: Availability = (MTBF) / (MTBF + MTR)
MTBF = Mean time between factor =300
MTR = Mean repair time =2 hours
Availability = (300) / (300+2)
Availability =300 / 302
Availability = 0.99

Question No: 17 (Marks: 1) - Please choose one
Which of the following management level is responsible for long-range capacity planning?

► Lower management
► Middle management
► **Top management**
► Non managerial employees

Question No: 18 (Marks: 1) - Please choose one
Which of the following is NOT an emerging trend in the workplace?

► Increasing workplace diversity
► **Decreasing work schedule flexibility**
► Increasing number of part time jobs
► Increasing use of temporary labor

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 09)**

Question No: 19 (Marks: 1) - Please choose one
Which one of the following is NOT a business application of forecasting?

► Budgeting
► Capacity planning
► Inventory management
► **Quality control**

Ref: Forecasting in business forms the basis for budgeting and planning for capacity, sales, production, inventory, manpower, purchasing and more. **(Handouts Page No. 31)**

Question No: 20 (Marks: 1) - Please choose one

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Which one of the following is an example of site related factors that affect location decision?

► **Transportation**
► Quality of life
► Location of new markets
► Location of raw materials

Ref: Site Related Factors

- Land
- Transportation
- Environmental
- Legal **(Handouts Page No. 96)**
-

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is TRUE about work sampling?

► It describes individual human motions that are used in a job task
► It involves determining the length of time it will take to undertake a particular task
► **It involves determining the amount of time a worker spends on various activities**
► It provides standard times for micro motions such as reach, move and release

Ref: **Work Sampling** is the statistical technique for determining the proportion of time spent by workers in various defined categories of activity.
http://en.wikipedia.org/wiki/Work_sampling#cite_note-Groover-0

Question No: 22 (Marks: 1) - Please choose one

Services differ from manufacturing in all the following ways EXCEPT:

► Customers typically interact directly with the service delivery process.
► Consumption and production take place simultaneously.
► Services are intangible.
► **Services can be stored**

Ref: service operations are different from manufacturing operations in terms of

- Tangible and intangible output
- customer consumption
- use of labor and equipment
- customer contact
- customer participation in conversion process
- measuring activities and resources

http://wiki.answers.com/Q/How_do_service_operations_differ_from_manufacturing_operations

Question No: 23 (Marks: 1) - Please choose one

Which of the following is **NOT** an attribute to classify services?

► **Tangibility**

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- Perishability
- Simultaneity
- Courtesy

Ref: Services are all intangible. For example cleaning something or delivering a pizza they are services they don't produce anything.
http://answers.yahoo.com/question/index?qid=20090320204146AAlPtZT

Question No: 24 (Marks: 1) - Please choose one
Organizational strategies relate to which of the following sets of factors?

- **Survival, profitability, growth rate and market share**
- Profitability, survival, lead times and target market
- Quality, operating resources, growth rate and market share
- Scheduling, profitability, lead times and survival

Ref: Survival, profitability, Growth rate, market share **(Book Page/Slide No. 13)**
http://docs.google.com/viewer?a=v&q=cache:bYWPs-Ig99IJ:highered.mcgraw-hill.com/sites/dl/free/0073525251/886181/stevenson11e_sample_ch02.pdf+Organizational+strategies+relate+to+which+of+the+following+sets+of+factors?+%E2%96%BA+Survival,+profitability,+growth+rate+and+market+share+%E2%96%BAProfitability,+survival,+leads+times+and+target+market+%E2%96%BAQuality,+operating+resources,+growth+rate+and+market+share+%E2%96%BAScheduling,+profitability,+lead+times+and+survival&hl=en&gl=pk&pid=bl&srcid=ADGEEShIkJnaEXjh-LlA3HACWDXOFhSy4GxPv8YQXZJlU3WT0go2JJj8vnbbzyuq3hxydg1DjvPnqXn6l7_WK80EPhN15OYu_iNw-IuxMf0zGIxME7Z2JTjx1YPoSJERrLKF0cWbvkXb&sig=AHIEtbRBvXb8MDQZrhUT8qmH-CP_4ToLlw&pli=1

Question No: 25 (Marks: 1) - Please choose one
The purpose of _____ is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

- Total quality control
- **Demand management**
- Forecasting
- Operations management

Ref:
http://books.google.com/books?id=d3eREcsD35sC&pg=PA551&dq=The+purpose+of+demand+management+is+to+coordinate+and+control+all+sources+of+demand+so+the+productive+system+can+be+used+efficiently+and+the+product&hl=en&ei=gTCOTfjdJpCmvgP9pbC5DQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDkQ6AEwAg#v=onepage&q=The%20purpose%20of%20demand%20management%20is%20to%20coordinate%20and%20control%20all%20sources%20of%20demand%20so%20the%20productive%20system%20can%20be%20used%20efficiently%20and%20the%20product&f=true

Question No: 26 (Marks: 1) - Please choose one

Which one of the following forecasting methods uses subjective inputs such as opinions from consumer surveys, sales staff, managers and experts?

- ► Time series model
- ► Least Square method
- ► **Judgmental forecasting model**
- ► Associative forecasting model

Ref: Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts. These insights are not available publicly. **(Handouts Page No. 35)**

Question No: 27 (Marks: 1) - Please choose one

Which one of the following refers to translating the voice of the customer into technical design requirements?

- ► Concurrent design
- ► Design for manufacture
- ► Robust design
- ► **Quality function deployment**

Ref: A popular managerial view is that the Quality Function should be deployed at the source or at the design stage. We also should know what Quality Function Deployment is. Two common answers being that it is the voice of the customer (which always sets a standard for the service organization to follow) and the second one being that it should be in the form of a house of quality. **(Handouts Page No. 55)**

Question No: 28 (Marks: 1) - Please choose one

Which one of the following statements represents use of cost-volume analysis?

- ► It is a tool for reliability measurement
- ► It provides a base for marketing research
- ► **It helps in comparing capacity alternatives**
- ► It is important in product design

Ref: Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. The primary purpose of cost volume analysis is to estimate the income of an organization under different operating conditions. It is particularly useful as a tool for comparing capacity alternatives. **(Handouts Page No. 73)**

Question No: 29 (Marks: 3)

What are the reasons that support the use of process layout?

1. Product layouts are used to achieve a smooth and rapid flow of large volumes of goods and customers through a system.
2. The work is divided into a series of standardized tasks, permitting specialization of both labor and equipment.
3. The large volumes handled by these systems make it pertinent and necessary to

invest in equipment and job design.

4. Layouts should be arranged to make the best use of technological processing abilities to fulfill the requirements of both product and services.

5. In manufacturing environments the lines are referred to as production lines or assembly lines, depending on the type of activity involved.

6. In services side, the word line may or may not be used like Healthcare/Hospital Services line, Carwash (absence of word line here) or Cafeteria Line.

7. Without standardization, many of the benefits of the repetitive processing are lost.

8. Product Layouts achieve a high degree of labor and equipment utilization, which tends to offset their high equipment costs.

9. Operations are so closely tied up that a mechanical failure or high absenteeism (rains) would increase vulnerability of the Systems.

10. We can prevent breakdowns if we religiously follow preventive maintenance schedules, inspection and replacement of worn parts.

Question No: 30 (Marks: 3)

Suppose you are the operations manager of a manufacturing firm, why would you perceive concurrent engineering as a suitable approach with reference to product design?

Concurrent Engineering:

Concurrent engineering is the bringing together of engineering design and manufacturing personnel early in the design phase.

Why Suitable Approach to product Design:

- Manufacturing Personnel are able to identify production capabilities and capacities .They have thus the opportunity to inform the design group about the suitability of certain materials on the flipsides the designer would know the suitability of certain designs in aiding in cost reduction and quality improvement in production/assembly process.
- Early opportunities for design or procurement of critical tooling, some of which might have long lead times. This can result in a major shortening of the product development process, which should be a key competitive advantage.
- Early consideration of the Technical Feasibility of a particular design or a portion of a design. Again this can avoid serious problems during production. The emphasis can be on problem resolution instead of conflict resolution.

Question No: 31 (Marks: 5)

Which process system would you suggest for the following business/industry?

French restaurants	**(Job Shop Process)**
Heavy equipment	**(Batch Flow Process)**
Sugar refinery	**(Continuous Flow Process)**
Automobile assembly	**(Product layout)**
Commercial printer	**(Job Shop Process)**

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Question No: 32 (Marks: 5)
In some organizations capacity planning takes place very regularly and in some it takes place seldom. What are the factors that influence the frequency of capacity planning?

FACTORS INFLUENCE THE FREQUENCY OF CAPACITY PLANNING:

1. Capacity strategy for long-term demand which focus on demand patterns and takes into account growth rate and variability
2. Facilities that focus on cost of building and operating
3. Technological changes relate to rate and direction of technology changes
4. Behavior of competitors
5. Availability of capital and other inputs

Paper No. 04

MIDTERM EXAMINATION
Spring 2010
MGT613- Production / Operations Management (Session - 6)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one
Which one of the following decision is NOT made by operations managers?

- ► How much capacity is required to balance demand?
- ► What should be the location and layout of a facility?
- ► How to improve operational efficiency?
- ► **Which market areas to manufacture the products for?**

Ref:
http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html **(See the Question No. 08)**

Question No: 2 (Marks: 1) - Please choose one
Which one of the following is a measure of productivity that involves measuring inputs and outputs using a common unit of measurement?

- ► **Multifactor**
- ► Partial
- ► Single
- ► Total

Ref: Calculations of multifactor productivity measure inputs and outputs using a common unit of measurement, such as cost. For instance, the measure might use cost of inputs and units of the output:
http://docs.google.com/viewer?a=v&q=cache:bYWPs-Ig99IJ:highered.mcgraw-

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hill.com/sites/dl/free/0073525251/886181/stevenson11e_sample_ch02.pdf+Multifactor+is+a+measure+of+productivity+that+involves+measuring+inputs+and+outputs+using+a+common+unit+of+measurement&hl=en&gl=pk&pid=bl&srcid=ADGEEShIkJnaEXjh-LlA3HACWDXOFhSy4GxPv8YQXZJlU3WT0go2JJj8vnbbzyuq3hxydg1DjvPnqXn6l7_WK80EPhN15OYu_iNw-IuxMf0zGIxME7Z2JTjx1YPoSJERrLKF0cWbvkXb&sig=AHIEtbTWWf1ESOM052Hrkqk5mCU24fLbQA

Question No: 3 (Marks: 1) - Please choose one
Which of the following functions of an organization consists of all activities directly related to production of a good or service?

- **Operations**
- Marketing
- Accounting
- Finance

Ref: The Operations function consists of all activities that are directly related to production of a good or service. **(Handouts Page No. 7)**

Question No: 4 (Marks: 1) - Please choose one
Which of the following is **NOT** a decision to be made by operations managers?

- How much capacity is required to balance demand?
- What should be the location and layout of a facility?
- How to improve operational efficiency?
- **Which market areas to manufacture the products for?**

Ref:
http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html **(See the Question No. 08)**

Question No: 5 (Marks: 1) - Please choose one
To make operations strategy effective it should be:

- Independent of the organization's strategy
- **Consistent with the organization's strategy**
- Developed by a first line manager
- Independent of time dimension

Ref: Operations strategy – The approach, consistent with organization strategy that is used to guide the operations function. **(Handouts Page No. 14)**

Question No: 6 (Marks: 1) - Please choose one
Which one of the following factors provides a basis for comparing alternative forecasting techniques?

- Time dimension
- Reliability factor
- **Degree of accuracy**

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► Measuring units

Ref: Accuracy: Forecasts should be accurate. In fact it should carry the degree of accuracy, so the users are aware of the limitations of the forecast. This will also help the end users to plan for possible errors and provide a basis for comparing the forecast with other alternative forecasts **(Handouts Page No. 34)**

Question No: 7 (Marks: 1) - Please choose one
Which one of the following forecasting technique is based on historical data?

► **Time series**
► Qualitative
► Judgmental
► Associative

Ref: Time series - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values. **(Handouts page no. 35)**

Question No: 8 (Marks: 1) - Please choose one
Which one of the following involves completing a series of questionnaires each developed from the previous one, to achieve a consensus forecast?

► Consumer surveys
► Executive opinion
► Time series forecast
► **Delphi method**

Ref: Delphi method: Managers and staff complete a series of questionnaires, each developed from the previous one, to achieve a consensus forecast. **(Handouts Page No35)**

Question No: 9 (Marks: 1) - Please choose one
In which one of the following situations, the use of a decision tree is required instead of a payoff table?

► When there are more than three states of nature
► When there are more than three decision payoffs
► When the decision situation encompasses an extended time period
► **When a series of decisions is required**

Ref: However, a payoff table is usually limited to a single decision situation, as in our real estate investment example. If a decision situation requires a series of decisions, then a payoff table cannot be created, and a decision tree becomes the best method for decision analysis. http://flylib.com/books/en/3.287.1.160/1/

Question No: 10 (Marks: 1) - Please choose one
Which one of the following is an index used to measure actual output relative to design capacity?

► Efficiency

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► Effective capacity
► Effectiveness
► **Utilization**

Ref: It can be expressed as a ratio, where utilization = actual output divided by design capacity. This measure is used in both capacity planning and capacity requirements planning processes. http://www.bnet.com/topics/capacity+utilization

Question No: 11 (Marks: 1) - Please choose one
Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

► Introduction
► Growth
► **Maturity**
► Decline

Ref: Maturity Stage. As the products of firms move into the maturity stage, attracting highly skilled individuals is no longer as high a priority. Firms in the mature stage have an extensive internal labour market and extensive training and development programs. Firms in this stage may pay high wages to retain skilled talent. Economic downturns are handled by employee layoffs. Conflict resolutions and due process under collective bargaining are the grievance procedures with third party arbitration (Kochan & Chalykoff, 1985). **The environment (customer demand and competitors) becomes more stable and predictable (but as competitive) in comparison with the growth stage**.
http://docs.google.com/viewer?a=v&q=cache:jQVb4SnKAYsJ:www.rci.rutgers.edu/~sjacksox/PDF/DeterminantsofHRMPrioritiesandImplications.pdf+stages+of+product+life+cycle+relates+to+more+predictable+behavior+in+terms+of+capacity+requirements&hl=en&gl=pk&pid=bl&srcid=ADGEESigJYxwqHconGqfCMjw0LjJ83rXBJuDpDj9ii07-2VUwmVTBF6K-Xm7xu1THfTijPxrsbqKJD0KKZziOIaotlvC4pPqcwxZ2J3KdX3QIQo8iw3VCTRAsXg2Pk69UvRqQsYng7dB&sig=AHIEtbS89CgRHNC6-p0WknAgth-vMlRvbg

Question No: 12 (Marks: 1) - Please choose one
Which of the following statements is correct about capacity evaluating alternatives?

► **Minimum cost and optimal operating rate are functions of size of plant.**
► Minimum cost and optimal operating rate are functions of fixed cost.
► Minimum cost and productivity are functions of size of plant.
► Maximum cost and optimal operating rate are functions of size of plant.

Ref: Evaluating Alternatives

- As the general capacity of the plant increases, the optimal output rate increases and the minimum cost for the optimal rate decreases.
- This is the prime reason why larger plants tend to have higher optimal output rates and lower minimum costs than smaller plants. **(Handouts page No. 69)**

Question No: 13 (Marks: 1) - Please choose one
What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?

► 0.03 minutes
► **1.8 minutes**
► 2700 minutes
► 291 minutes

Ref: CT= Time Cycle = Operating Time / Desire Output
CT= Time Cycle = 9 * 60 / 300 = **1.8 minutes**

Question No: 14 (Marks: 1) - Please choose one
Which of the following factors are considered in product and service design?

► Customer satisfaction, quality, and improvement costs
► Employee motivation, quality, and production costs
► Customer satisfaction, flexibility, and production costs
► **Customer satisfaction, quality, and production costs**

Ref: A good product/service design can ensure customer satisfaction, quality and production costs. **(Handouts Page No. 44)**

Question No: 15 (Marks: 1) - Please choose one
Which one of the following mathematical expressions can be used to compute availability?

► **(MTBF)/ (MTBF+MTR)**
► (MTBF)/ (MTBF-MTR)
► (MTR)/ (MTBF+MTR)
► (MTR)/ (MTBF-MTR)

Ref: Availability = (MTBF)/ (MTBF + MTR) **(Handouts Page No. 63)**

Question No: 16 (Marks: 1) - Please choose one
The advantages of specialization to management include all of the following EXCEPT:

► Rapid training of the workforce
► Ease in recruiting new workers
► **Fewer turnovers**
► Less boredom for workers

Ref:
http://books.google.com.pk/books?id=d3eREcsD35sC&pg=PA224&lpg=PA224&dq=Advantages+of+specialization+To+management+1+Rapid+training+of+the+work+force+2.Ease+in+recruiting+new+workers+3.+High+output+due+to+simple+and+repetitive+work&source=bl&ots=R5XoCdpdob&sig=H_j0m4evxgrOj_nOQ9b65cT3pg8&hl=en&ei=kwi3TbT0J8HU4wbg4aD_Dw&sa=X&oi=book_result&ct=result&resnum=2&ved=0CBgQ6AEwAQ#v=onepage&q&f=false

Question No: 17 (Marks: 1) - Please choose one

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Which one of the following refers to the length of time needed to complete a job?

► Work sampling methods
► **Work measurement**
► Job design
► Methods analysis

Ref: And last but not the least work measurements dealt specifically with the length of time needed to complete a job and was linked with Personnel Planning, Cost Estimation, Budgeting, Scheduling and Worker Compensation. **(Handouts Page No. 93)**

Question No: 18 (Marks: 1) - Please choose one

Which one of the following management functions is based on forecasting?

► **Planning**
► Organizing
► Leading
► Controlling

Ref: Forecasting is used in the practice of Customer Demand Planning in every day business forecasting for manufacturing companies.
http://en.wikipedia.org/wiki/Forecasting

Question No: 19 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about the importance of capacity planning?

► It is profitable
► It increase the capacity of productive unit
► **It helps managers quantify production capability**
► It establishes good relationship with the customer

Ref: The operating unit might be a plant, department, machine, store, or worker. The capacity of an operating unit is an important piece of information for planning purposes: It enables managers to quantify production capability in terms of inputs or outputs, and thereby make other decisions or plans related to those quantities. The basic questions in capacity planning are the following:
1. What kind of capacity is needed?
2. How much is needed?
3. When is it needed?
http://docs.google.com/viewer?a=v&q=cache:XUm6ltzkqJwJ:amaiu.pbworks.com/f/ABI-301%2BLecture%2BNote%2B%2BNo.%2B3.doc+capacity+planning+helps+managers+quantify+production+capability&hl=en&pid=bl&srcid=ADGEESgdFdpntlZr3VP2j2fW79QGsGD51GhPti0lI2cZBZz6Na8bfUjBNDEB30R56MO7G2srDEW5gbqKE2ORdLy2rXBBcqsWedpL6ntC5Nd-Sso_COn_VnnbNA7Bgm_hGBkx-ptIoKup&sig=AHIEtbS2U8M8uNEWGDLCOxGTMQfTS59NpQ

Question No: 20 (Marks: 1) - Please choose one

The type of processing structure that is used for producing discrete products at higher

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volume is:

► Continuous Flow
► **Assembly Line**
► Batch
► Job shop

Ref: http://highered.mcgraw-hill.com/sites/0072983906/student_view0/chapter6/multiple_choice_quiz.html **(See the Question No. 3)**

Question No: 21 (Marks: 1) - Please choose one
Which one of the following is TRUE about work sampling?

► It describes individual human motions that are used in a job task
► It involves determining the length of time it will take to undertake a particular task
► **It involves determining the amount of time a worker spends on various activities**
► It provides standard times for micro motions such as reach, move and release

Ref: **Work Sampling** is the statistical technique for determining the proportion of time spent by workers in various defined categories of activity.
http://en.wikipedia.org/wiki/Work_sampling#cite_note-Groover-0

Question No: 22 (Marks: 1) - Please choose one
Which of the following **best** describes the concept of the value chain?

► The step-wise increases in product prices as raw materials are turned into goods/services
► Adding financial value to an organization through the acquisition of other firms
► A sequence of activities that involve movement of materials in a production facility
► **All steps in the transformation process that add value even if they don't come from manufacturing**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter1/multiple_choice_quiz.html **(See the Question No. 12)**

Question No: 23 (Marks: 1) - Please choose one
Quality, costs, lead times, operating resources are all related to which one of the following strategies.

► Organizational strategy
► Financial strategy
► **Operational strategy**
► Tectical strategy

Ref: OPERATIONS STRATEGY: (Deals with the operations aspect of an organization).

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OS is related to products, processes, methods, operating resources, quality, costs, lead times, and scheduling.
http://docs.google.com/viewer?a=v&q=cache:Z8OTKodTI24J:bulatov.org.ua/teaching_courses/nam_operations/L2%2520PRODUCTIVITY,%2520COMPETITIVENESS,%2520STRATEGY.doc+Quality,+costs,+lead+times,+operating+resources+are+all+related+to+Operational+strategy&hl=en&pid=bl&srcid=ADGEESjFppdZdPqJCYGeE5eZ0lbXSbBIaQuAZHRq8WGSAb060LQFyePsZ7uLK3tBxikelBwidDvqI2uehI7dlnTODYpZMU2xVYk6oWk7IHpLh4hW3Brot6pOUAe-f0XbM42tJV6kLRzg&sig=AHIEtbTlW5C5SYPMTZqjIHd9wX_vuoJE6g

Question No: 24 (Marks: 1) - Please choose one
Which one of the following represents the series of a time forecast?

- ► Averaging, cycle, seasonality, random variations
- ► Trend, seasonality, exponential smoothing
- ► Trend, cycle, seasonality, moving average
- ► **Trend, cycle, seasonality, random variations**

Ref:
http://books.google.com/books?id=8JM6wU_sBc0C&pg=PA144&dq=Which+one+of+the+following+represents+the+series+of+a+time+forecast?++++++++++++++Averaging#v=onepage&q&f=false

Question No: 25 (Marks: 1) - Please choose one
The purpose of _____ is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

- ► Total quality control
- ► **Demand management**
- ► Forecasting
- ► Operations management

Ref:
http://books.google.com/books?id=d3eREcsD35sC&pg=PA551&dq=The+purpose+of+demand+management+is+to+coordinate+and+control+all+sources+of+demand+so+the+productive+system+can+be+used+efficiently+and+the+product&hl=en&ei=gTCOTfjdJpCmvgP9pbC5DQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDkQ6AEwAg#v=onepage&q=The%20purpose%20of%20demand%20management%20is%20to%20coordinate%20and%20control%20all%20sources%20of%20demand%20so%20the%20productive%20system%20can%20be%20used%20efficiently%20and%20the%20product&f=true

Question No: 26 (Marks: 1) - Please choose one
Which relationship exists between the robustness of a product and the probability of failure?

- ► Positive relation
- ► Direct relation

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► **Inverse relation**
► Negative relation

Ref by Instructor: When the probability of failure is high then it means that there are flaws in the product design or in manufacturing which may affect the product negatively and can lead to its failure and this case the robustness which is the strength or the healthiness of the product will be low. **For the high robustness of the product the probability of failure must be low and the extent to which the relationship is Inverse depends upon the rate of the probability of failure**. For example if a product has 80% probability of functioning then the probability why would it fail will be of 20% and this is due to this inverse relationship.

Question No: 27 (Marks: 1) - Please choose one
Which of the following refers to the way an organization chooses to produce its goods or services?

► **Process selection**
► Process reengineering
► Process redesign
► Process design

Ref: Process Selection refers to the way an organization chooses to produce its good or services. **(Handouts Page No. 77)**

Question No: 28 (Marks: 1) - Please choose one
The formula for determining the required cycle time is operation time per day divided by:

► Sum of task times
► Actual output per day (in units)
► Number of workstations
► **Desired output (in units)**

Ref: Cycle time is the maximum time allowed at each workstation to complete its set of tasks on a unit. If CT represents cycle time and D represents the desired output then we can calculate cycle time as **(Handouts Page No. 85)**

Question No: 29 (Marks: 3)
Write down the characteristics of well designed service system?
1. A well designed system should be well versed with organization vision & mission.
2. It should cost effective
3. User friendly & sustainable.
4. It should have ability to make effective link between front & backend operations.
5. Accommodation of variable changes in future.
6. Simple requirements & handling few customer at every customer centre.

Question No: 30 (Marks: 3)
What qualities does a successful job design contain?
A successful job design contains following qualities.

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1. Carried out by experience personal who have necessary training & background.
2. Consistent with goals of organization
3. Shared with new employees
4. In documented Form
5. Understood & agreed by both management & employees
6. Factors that affect job design.

Question No: 31 (Marks: 5)

Suppose you want to estimate the time required to perform a certain task by the two employees. One employee's study yielded a mean of 6.4 minutes and standard deviation of 2.1 minutes with 95% confidence Interval. Other employee's study yielded a mean of 2.1 minutes and standard deviation of 6.4 minutes with confidence interval of 95%. Now how many observations you will need if desired maximum error is 10% of sample mean? (z= 1.96) Do both the employees have same number of observations?

Employee # 1:

Mean time = X = 6.4mints
Standard Deviation = S = 2.1mint.
z = 1.96
Error = A = 10% = 0.1
$n = (zs/ax)^2$
$= [(1.96)(2.1)/(0.1)(6.4)]^2$
$= [4.116/0.64]^2$
$= (6.43125)^2$
$= 41.36$
41 observations

Employee # 2:

Mean time = X = 2.1mints
Standard Deviation = S = 6.4mint.
z = 1.96
Error = A = 10% = 0.1
$n = (zs/ax)^2$
$= [(1.96)(6.4)/(0.1)(2.1)]^2$
$= [12.544/0.21]^2$
$= (59.733)^2$
$= 3568.03$
3568 observations

Question No: 32 (Marks: 5)

In some organizations capacity planning takes place very regularly and in some it takes place seldom. What are the factors that influence the frequency of capacity

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planning?

FACTORS INFLUENCE THE FREQUENCY OF CAPACITY PLANNING:

1. Capacity strategy for long-term demand which focus on demand patterns and takes into account growth rate and variability
2. Facilities that focus on cost of building and operating
3. Technological changes relate to rate and direction of technology changes
4. Behavior of competitors
5. Availability of capital and other inputs

Paper No. 05

MIDTERM EXAMINATION Spring 2009
MGT613- Production / Operations Management (Session - 1)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one
A business process is a logical set of tasks or activities that:

- ► Are specific to the operations function
- ► Are specific to the marketing function
- ► **Are interdependent with other processes**
- ► Have exactly the same performance measures for any process

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter5/multiple_choice_quiz.html **(See the Question No. 05)**

Question No: 2 (Marks: 1) - Please choose one
Which one of the following formulae can be used to compute value?

- ► (Quality + Speed – Flexibility) / Cost
- ► **(Quality + Speed+ Flexibility) / Cost**
- ► (Quality + Speed - Cost) / Flexibility
- ► (Quality + Speed+ Cost) / Flexibility

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 3 (Marks: 1) - Please choose one
Which of the following is referred to as plans for achieving goals?

- ► Rules
- ► **Strategies**
- ► Policies

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► Mission

Ref: Strategies are Plans for achieving organizational goals **(Handouts Page No. 12)**

Question No: 4 (Marks: 1) - Please choose one
Which of the following statements corresponds to an order-winning characteristic?

► A factor which may be significant in other parts of the organization
► **A factor which gives an organization a competitive edge**
► A factor which serves as a minimum standard for purchase
► A factor which increases the profitability of the organization

Ref: order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitor's services. **(Handouts Page No. 15)**

Question No: 5 (Marks: 1) - Please choose one
To make operations strategy effective it should be:

► Independent of the organization's strategy
► **Consistent with the organization's strategy**
► Developed by a first line manager
► Independent of time dimension

Ref: Operations strategy – The approach, consistent with organization strategy that is used to guide the operations function. We first study strategy design process with example for manufacturing and Services. **(Handouts Page No. 14)**

Question No: 6 (Marks: 1) - Please choose one
Which one of the following techniques uses historical data to predict future value of a variable of interest?

► **Time series method**
► Causal forecasting method
► Qualitative forecasting method
► Intuitive forecasting method

Ref: Time series - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values. **(Handouts page no. 35)**

Question No: 7 (Marks: 1) - Please choose one
Which one of the following forecasting techniques uses explanatory variables to predict future demand?

► **Associative forecast**
► Time series forecast
► Consumer survey
► Executive opinion

Ref: Associative Models: forecasting technique that uses explanatory variables to predict future demand. http://cramberry.net/sets/26728-operational-management-3

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Question No: 8 (Marks: 1) - Please choose one
Which one of the following involves completing a series of questionnaires each developed from the previous one, to achieve a consensus forecast?

- ► Consumer surveys
- ► Executive opinion
- ► Time series forecast
- ► **Delphi method**

Ref: Delphi method: Managers and staff complete a series of questionnaires, each developed from the previous one, to achieve a consensus forecast. **(Handouts Page No35)**

Question No: 9 (Marks: 1) - Please choose one
In which one of the following situations, the use of a decision tree is required instead of a payoff table?

- ► When there are more than three states of nature
- ► When there are more than three decision payoffs
- ► When the decision situation encompasses an extended time period
- ► **When a series of decisions is required**

Ref: However, a payoff table is usually limited to a single decision situation, as in our real estate investment example. If a decision situation requires a series of decisions, then a payoff table cannot be created, and a decision tree becomes the best method for decision analysis. http://flylib.com/books/en/3.287.1.160/1/

Question No: 10 (Marks: 1) - Please choose one
Which one of the following is an outcome of Maximin criterion?

- ► **The best of the worst possible payoff**
- ► The best possible payoff
- ► The best average payoff
- ► The least of the worst regrets

Ref: Maximin determines the worst payoff for each alternative; the operations manager chooses the best worst alternative. Meaning the least (best) of the worst. **(Handouts Page No. 26)**

Question No: 11 (Marks: 1) - Please choose one
Given the table:

Possible	Alternatives future demand	
	Low (Rs.)	High (Rs.)
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct payoff under LAPLACE approach?

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- Rs. 9,000
- Rs. 16,000
- Rs. 33,000
- **Rs. 16,500**

Ref: Take average for each alternative and choose the alternative with best average.
Small facility = 10000+8000=18000/2 =9000
Medium facility = 12000+20000 = 32000/2 = 16000
Large facility = 18000+15000 = 33000/2= 16500

Question No: 12 (Marks: 1) - Please choose one
Which one of the following is called as the difference between designed and utilized capacity?

- Design capacity
- Effective capacity
- **Buffer capacity**
- Utilization rate

Ref: Capacity cushion or buffer is the difference between designed and utilized capacity. http://www.docstoc.com/docs/54960443/Lecture-16ppt **(See the Slide No. 05)**

Question No: 13 (Marks: 1) - Please choose one
Which one of the following mathematical expressions is used to compute utilization?

- Actual output / effective capacity
- **Actual output / design capacity**
- Actual output + effective capacity
- Actual output - design capacity

Ref: For example:
Actual Output = 36 units / day
Design Capacity = 50 units / day
Utilization = 36/50 * 100 = 72% **(Handouts Page No. 66)**

Question No: 14 (Marks: 1) - Please choose one
Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?

- Cash flow and fixed cost
- Present value and fixed cost
- **Cash flow and present value**
- Cash flow and profit

Ref: Operations manager along with managerial accountant often work to calculate what cash flow or present value in terms of rupees is available for the organization to proceed with a capacity alternative decision. **(Handouts Page No. 76)**

Question No: 15 (Marks: 1) - Please choose one
Which one of the following is the first step in line balancing?

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► **Specify the sequential relationship among tasks**
► Determine the required cycle time.
► Determine the minimum number of workstations.
► Determine the desired output

Ref: http://www.slidefinder.net/c/chapter_manufacturing_processes/25822455 (See the Slide No. 13)

Question No: 16 (Marks: 1) - Please choose one
Which one of the following layout types is associated with car assembly?

► Fixed position layout
► Process layout
► **Product layout**
► Hybrid layout

Ref: Product – Layout should suit to the nature of product and its method of production. I.e. aircraft manufacturing and car manufacturing layouts will be different. Sales also affect the layout. http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 17 (Marks: 1) - Please choose one
What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?

► 0.03 minutes
► **1.8 minutes**
► 2700 minutes
► 291 minutes

Ref: CT= Time Cycle = Operating Time / Desire Output
CT= Time Cycle = 9 * 60 / 300 = **1.8 minutes**

Question No: 18 (Marks: 1) - Please choose one
What would be the output capacity if an assembly line operates for 7 hours per day with a cycle time of 2.0 minutes?

► 210 units per day
► **3.5 units per day**
► 0.004 units per day
► 14 units per day

Ref: Output Capacity = Operating Time / Cycle Time
Output Capacity = 7 / 2.0
Output Capacity = 3.5 Units per day

Question No: 19 (Marks: 1) - Please choose one
Which of the following probability distribution is used most extensively in dealing with forecasting errors?

► **Normal**
► Exponential

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► Beta
► Pareto

Ref: http://highered.mcgraw-hill.com/sites/0072443901/student_view0/chapter3/self_quiz_from_cd.html **(See the Question No. 10)**

Question No: 20 (Marks: 1) - Please choose one
Which of the following takes into consideration the design of aesthetics of the product?

► Functional design
► Production design
► Service design
► **Product design**

Ref: Product design (i.e., industrial design) is perhaps most associated with aesthetic considerations http://www.acrwebsite.org/volumes/display.asp?id=7824

Question No: 21 (Marks: 1) - Please choose one
Which of the following factors are considered in product and service design?

► Customer satisfaction, quality, and improvement costs
► Employee motivation, quality, and production costs
► Customer satisfaction, flexibility, and production costs
► **Customer satisfaction, quality, and production costs**

Ref: A good product/service design can ensure customer satisfaction, quality and production costs**. (Handouts Page No. 44)**

Question No: 22 (Marks: 1) - Please choose one
An automatic car wash is an example of which of the following?

► Customized service
► Batch processing
► Intermittent processing
► **Standardized service**

Ref: Standardized service implies that every customer or item processed receives essentially the same service. An automatic car wash is a good example.
http://highered.mcgraw-hill.com/sites/dl/free/0070911894/90584/2ndSampleCh4.pdf

Question No: 23 (Marks: 1) - Please choose one
Which of the following is an advantage of standardization?

► Frozen designs
► Customized parts
► **Interchangeable parts**
► Reduced variety

Ref: Advantages of Standardization

- Interchangeable parts
- Orders can be filled from inventory

- Easier repair & replacement
- Lower design costs. http://docs.google.com/viewer?a=v&q=cache:-HcGpKkXXGsJ:mkuyzu.etu.edu.tr/Chp4.pdf+advantage+of+standardization%3F+%E2%96%BA+Frozen+designs+%E2%96%BA+Customized+parts+%E2%96%BA+Interchangeable+parts+%E2%96%BA+Reduced+variety&hl=en&gl=pk&pid=bl&srcid=ADGEEShgD0r40WYN7Ah8bToiQKVOUwMol8VFKVcS2vJeitlzsbJWm6fdzboUL8-C9RzapNADGHnArzelc8KscxcMNZXHbDSWJAfakyrzuLT3Ww2YhDSABe-_l4JurNU6Ji-LS_qqG5AQ&sig=AHIEtbQ1hSU2is9EsB7nuPrO6QYqRiIzBQ

Question No: 24 (Marks: 1) - Please choose one
Which one of the following is the most significant disadvantage of standardization?

► Reduced design costs
► Interchangeable parts
► **Reduced variety**
► Customized parts

Ref: ALL ARE ADVANTAGES EXCEPT 3RD OPTION:
Advantages of Standardization

- Interchangeable parts
- Orders can be filled from inventory
- Easier repair & replacement
- Lower design costs. http://docs.google.com/viewer?a=v&q=cache:-HcGpKkXXGsJ:mkuyzu.etu.edu.tr/Chp4.pdf+advantage+of+standardization%3F+%E2%96%BA+Frozen+designs+%E2%96%BA+Customized+parts+%E2%96%BA+Interchangeable+parts+%E2%96%BA+Reduced+variety&hl=en&gl=pk&pid=bl&srcid=ADGEEShgD0r40WYN7Ah8bToiQKVOUwMol8VFKVcS2vJeitlzsbJWm6fdzboUL8-C9RzapNADGHnArzelc8KscxcMNZXHbDSWJAfakyrzuLT3Ww2YhDSABe-_l4JurNU6Ji-LS_qqG5AQ&sig=AHIEtbQ1hSU2is9EsB7nuPrO6QYqRiIzBQ

Question No: 25 (Marks: 1) - Please choose one
Product life cycle is based on which of the following components?

► Place
► **Demand**
► Supply
► Price

Ref: Life Cycle Strategies are based on Demand.
http://www.hammertap.com/nl_0050/

Question No: 26 (Marks: 1) - Please choose one
Which one of the following is the final stage of product life cycle?

► Growth

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► **Decline**
► Maturity
► Planning

Ref: The final stage in the life cycle is the decline.
http://www.davetalks.com/articles/who-wants-live-forever.html

Question No: 27 (Marks: 1) - Please choose one
Which one of the following statements relates to the final stage of product life cycle?

► Improve reliability, and reduce production costs
► **Improve packaging and reliability**
► Improve reliability, and reduce quality
► Improve reliability, and reduce promotion costs

Ref: DECLINE: In this phase, most of the organizations adopt a defensive design R&D Strategy in an attempt to prolong the life of the product by employing new packaging, redesigning it, improving its reliability.
http://www.websukat.com/TQM-product-life-cycle.htm

Question No: 28 (Marks: 1) - Please choose one
Which of the following refers to translate the voice of the customer into technical design requirements?

► Concurrent design
► Design for manufacture
► Robust design
► **Quality functional deployment**

Ref: A popular managerial view is that the Quality Function should be deployed at the source or at the design stage. We also should know what Quality Function Deployment is. Two common answers being that it is the voice of the customer (which always sets a standard for the service organization to follow) and the second one being that it should be in the form of a house of quality **(Handouts Page No. 55)**

Question No: 29 (Marks: 1) - Please choose one
Which one of the following is correct about the range of availability on a measuring index?

► 0.1 to 1.0
► **0 to 1.0**
► 0.5 to 1.0
► 0.01 to 1.0

Ref:
http://books.google.com.pk/books?id=818wT_TGJgAC&pg=PA23&lpg=PA23&dq=index+range+from+0+to+1.0&source=bl&ots=swmbQfISvn&sig=Nj0_bfiYtEEwwonlQAMYUkWh0Bw&hl=en&ei=fU-4Tf7SLM-xhAeY6rSADw&sa=X&oi=book_result&ct=result&resnum=7&ved=0CD8Q6AEwBjgK#v=onepage&q=index%20range%20from%200%20to%201.0&f=false

Note: Solve these papers by yourself
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Question No: 30 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 250 hours between repairs, and the mean repair time is expected to be 3 hours?

► 1.01
► 5.03
► 3.0
► **0.98**

Ref: Availability = (MTBF)/ (MTBF + MTR)
Availability = 250 / (250+3)
Availability = 250 / 253 = **0.988**

Question No: 31 (Marks: 1) - Please choose one
Capacity planning involves answering all of the following questions EXCEPT:

► What kind of capacity is needed?
► How much is needed?
► When is it needed?
► **Who is going to decide?**

Ref: These questions are:

1. What kind of capacity is needed?
2. How much is needed?
3. When is it needed? **(Handouts Page No. 64)**

Question No: 32 (Marks: 1) - Please choose one
The disadvantages of specialization to management include all of the following EXCEPT:

► More absenteeism
► Minimum responsibility
► More turnover
► **More difficult to teach the job**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 06)**

Question No: 33 (Marks: 1) - Please choose one
Which one of the following refers to a team having representatives from different functional areas of the organization?

► Traditional work group
► Self-directed team
► **Cross-functional team**
► Self motivated team

Ref: While having representatives from different functions as team members is predicted to facilitate communication with non-team members from those functions, this structure

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may also create internal conflicts.
http://docs.google.com/viewer?a=v&q=cache:CpKetaj5A98J:dspace.mit.edu/bitstream/handle/1721.1/2310/SWP-3179-22870423.pdf%3Fsequence%3D1+team+having+representatives+from+different+functional+areas+of+the+organization&hl=en&gl=pk&pid=bl&srcid=ADGEESiZz0JtbazwsFj3WOxuhpTDJ3LMgStdq5o3KAjjil6-ogLEsA07go0PRGGxnd9tFSN1EyQmfkxsF36ST6PakVPq8W0sFVgyN0kKutPRmM5vpEAOtjjM1eJkQDDCvaG0-o0P0BC5&sig=AHIEtbQPVw7bHUJDdOn5ZCFS7AOy6L3gTA

Question No: 34 (Marks: 1) - Please choose one
Which one of the following refers to the length of time needed to complete a job?

► Work sampling methods
► **Work measurement**
► Job design
► Methods analysis

Ref: And last but not the least work measurements dealt specifically with the length of time needed to complete a job and was linked with Personnel Planning, Cost Estimation, Budgeting, Scheduling and Worker Compensation. **(Handouts Page No. 93)**

Question No: 35 (Marks: 1) - Please choose one
Which one of the following location strategies follows a decentralized approach?

► Process plant strategy
► Market area plant strategy
► Cost conservation strategy
► **Product plant strategy**

Ref: P r o d u c t p l a n t s t r a t e g y :(Decentralized approach)
In this entire products or product lines are produced in separate plants
http://www.scribd.com/doc/50297174/11/Multiple-Plant-Strategies

Question No: 36 (Marks: 1) - Please choose one
Which one of the following location strategies is favored by automobile manufacturers?

► Product plant strategy
► **Process plant strategy**
► Market area plant strategy
► Cost conservation strategy

Ref: Process plant strategy: (Sharing of Problems/Improvements among plants) in this different plants concentrate on different aspects of a process.
E.g. Automobile manufacturers use this approach with different plants for Engines, Transmissions, Body Stamping, and Radiators.
http://www.scribd.com/doc/50297174/11/Multiple-Plant-Strategies

Question No: 37 (Marks: 1) - Please choose one

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Which of the following refers to bringing together engineering design and manufacturing personnel early in the design phase?

- ► Reverse engineering
- ► **Concurrent engineering**
- ► Manufacturability
- ► Serviceability

Ref: Concurrent engineering is the bringing together of engineering design and manufacturing personnel early in the design phase. **(Handouts page no. 53)**

Question No: 38 (Marks: 1) - Please choose one
Which of the following is the primary input in capacity planning?

- ► Supply chain capabilities
- ► Competitors' strengths
- ► **Demand forecasts**
- ► Overall cost estimates

Ref: Besides service level requirements, the other key input into the capacity planning process is a forecast or plan for the organization's future. Capacity planning is really just a process for determining the optimal way to satisfy business requirements such as forecasted increases in the amount of work to be done, while at the same time meeting service level requirements. http://www.teamquest.com/pdfs/whitepaper/tqwp23.pdf

Question No: 39 (Marks: 1) - Please choose one
Which of the following best describes the concept of the value chain?

- ► The step-wise increases in product prices as raw materials are turned into goods/services
- ► Adding financial value to an organization through the acquisition of other firms
- ► A sequence of activities that involve movement of materials in a production facility
- ► **All steps in the transformation process that add value even if they don't come from manufacturing**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter1/multiple_choice_quiz.html **(See the Question No. 12)**

Question No: 40 (Marks: 1) - Please choose one
The Strategies which are more focused on maintaining or improving the quality of an organization's products or services are known as:

- ► Quality at the source
- ► Time based strategies
- ► Cost leadership strategies
- ► **Quality-based strategies**

Ref: Quality-based strategies
Focuses on maintaining or improving the quality of an organization's products or services (Handouts Page No. 18)

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Question No: 41 (Marks: 5)
What are some of the reasons that do not favor the use of process layout?
1. Creates dull, repetitive jobs.
2. Poorly skilled workers may not maintain equipment or quality of output of service.
3. Fairly inflexible to changes in volume.
4. Highly susceptible to shutdowns.
5. Needs preventive maintenance.
6. Individual incentive plans are impractical

Question No: 42 (Marks: 5)
Do you perceive that operation management and operation research are the same concepts?
NO both concepts are different from each other; we can elaborate both in the following manner:
Operation Management:
Operations management is an area of management concerned with overseeing, designing, and redesigning business operations in the production of goods and/or services. It involves the responsibility of ensuring that business operations are efficient in terms of using as little resources as needed, and effective in terms of meeting customer requirements. It is concerned with managing the process that converts inputs (in the forms of materials, labor, and energy) into outputs (in the form of goods and/or services). The relationship of operations management to senior management in commercial contexts can be compared to the relationship of line officers to the highest-level senior officers in military science. The highest-level officers shape the strategy and revise it over time, while the line officers make tactical decisions in support of carrying out the strategy.
Operation Research:

Operations research (also referred to as decision science or management science) is an interdisciplinary mathematical science that focuses on the effective *use* of technology by organizations. In contrast, many other science & engineering disciplines focus on technology giving secondary considerations to its use.

Employing techniques from other mathematical sciences — such as mathematical modeling, statistical analysis, and mathematical optimization — operations research arrives at optimal or near-optimal solutions to complex decision-making problems. Because of its emphasis on human-technology interaction and because of its focus on practical applications, operations research has overlap with other disciplines, notably industrial engineering and management science, and draws on psychology and organization science. Operations Research is often concerned with determining the maximum (of profit, performance, or yield) or minimum (of loss, risk, or

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cost) of some real-world objective.

Paper No. 06

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 2)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one
Which one of the following forms of productivity has units of output per dollar input?

- **Capital**
- Energy
- Labor
- Machine

Ref: Capital Productivity
Units of output per Rs. input
Dollar value of output per Rs. Input **(Handouts Page No. 19)**

Question No: 2 (Marks: 1) - Please choose one
What would be the productivity if a machine produced 50 units in 3 hours?

- 0.066 units per hr
- **16.66 units per hr**
- 6.766 units per hr
- 60.66 units per hr

Ref: Productivity is a measure of the effective use of resources, usually expressed as the ratio of output to input .Also called Efficiency at times
Productivity = Units Produced / Hours
Productivity = 50 / 3 = 16.66 per hour

Question No: 3 (Marks: 1) - Please choose one
The major business function consisting of research and development, product design, manufacturing, marketing, distribution, and customer service is refers to:

- Value chain
- The transformation process
- Quality control

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► **Life cycle**

Ref:
http://books.google.com.pk/books?id=f5p17Sz5NLMC&pg=PA379&lpg=PA379&dq=of+research+and+development#v=onepage&q=of%20research%20and%20development&f=false

Question No: 4 (Marks: 1) - Please choose one
Which of the following is NOT usually considered a general characteristic of a service?

► Production and sales cannot easily be separated functionally
► Many services involve both tangible and intangible outputs
► **Production and consumption can always be separated**
► Degree of customer contact is high

Ref:. Since services are intangible, they cannot be stored. The production and consumption of a service usually occur at the same time.
http://docs.google.com/viewer?a=v&q=cache:L4jyS-JP7UsJ:highered.mcgraw-hill.com/sites/dl/free/0073403318/823112/Sample_Chap_01.pdf+Which+of+the+following+is+NOT+usually+considered+a+general+characteristic+of+a+service%3F+%E2%96%BA+Production+and+sales+cannot+easily+be+separated+functionally+%E2%96%BA+Many+services+involve+both+tangible+and+intangible+outputs+%E2%96%BA+Production+and+consumption+can+always+be+separated+%E2%96%BA+Degree+of+customer+contact+is+high&hl=en&gl=pk&pid=bl&srcid=ADGEEShuWM-Q96C6O4K2DaS9KmGK-rPQprFwAtcLde-7pLcrju7ARaKaP-W0cfES19wotDRnGLRXY2mt2-ESMdhRisXsgqIHrkAVBjXKgzKtFi9C8cxTZbCpNt1A4s-LEGwm619tSfgJ&sig=AHIEtbSbq2OWcRtK1dw4gNnlnLQJb-T-Kw

Question No: 5 (Marks: 1) - Please choose one
Which of the following statements corresponds to an order-winning characteristic?

► A factor which may be significant in other parts of the organization
► **A factor which gives an organization a competitive edge**
► A factor which serves as a minimum standard for purchase
► A factor which increases the profitability of the organization

Ref: order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitor's services. **(Handouts Page No. 15)**

Question No: 6 (Marks: 1) - Please choose one
Which one of the following is an implication of Laplace approach of decision making?

► The best of the worst possible payoff
► The best possible payoff
► **The best average payoff**
► The least of the worst regrets

Ref: Laplace, the best payoff of the average for each alternative. **(Handouts Page No. 27)**

Question No: 7 (Marks: 1) - Please choose one
Which one of the following is an outcome of Maximin criterion?

► **The best of the worst possible payoff**
► The best possible payoff
► The best average payoff
► The least of the worst regrets

Ref: Maximin determines the worst payoff for each alternative; the operations manager chooses the best worst alternative. Meaning the least (best) of the worst. **(Handouts Page No. 26)**

Question No: 8 (Marks: 1) - Please choose one
Given the table:

Possible Alternatives future demand

Possible future demand	
Low (Rs.)	High (Rs.)
10,000	8,000
12,000	20,000
18,000	15,000

Which one of the following is the correct payoff under MAXIMIN approach?

► **Rs. 8,000**
► Rs. 12,000
► Rs. 18,000
► Rs. 20,000

Ref: Highest minus minimum
MAXMIN = 20000 – 12000 = 8000

Question No: 9 (Marks: 1) - Please choose one
Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics?

► **Simple moving average**
► Delphi method
► Trend adjusted forecast
► Naïve forecast

Ref: The Moving Average model takes the average of several periods of data; the result is a dampened or smoothed data set; use this model when demand is stable and there is no evidence of a trend or seasonal pattern. http://www.shmula.com/forecasting-unweighted-and-weighted-moving-average-model/308/

Question No: 10 (Marks: 1) - Please choose one

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Which one of the following refers to the maximum output that a firm can produce under ideal conditions?

- **Design capacity**
- Effective capacity
- Capacity planning
- Utilization rate

Ref: Design capacity is the maximum output rate or service capacity an operation, process, or facility. **(Handouts Page No. 66)**

Question No: 11 (Marks: 1) - Please choose one
Which one of the following perspectives is the most obvious to be considered while evaluating alternatives for future capacity?

- Social
- Political
- **Economic**
- Legal

Ref:
http://books.google.com.pk/books?id=tqVIT0xE4NAC&pg=PA192&dq=Economic+perspectives+evaluating+alternatives+for+future+capacity&hl=en&ei=1o13TfntIoKCOrSY1McB&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q=Economic%20perspectives%20evaluating%20alternatives%20for%20future%20capacity&f=false

Question No: 12 (Marks: 1) - Please choose one
Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?

- Cash flow and fixed cost
- Present value and fixed cost
- **Cash flow and present value**
- Cash flow and profit

Ref: Operations manager along with managerial accountant often work to calculate what cash flow or present value in terms of rupees is available for the organization to proceed with a capacity alternative decision. **(Handouts Page No. 76)**

Question No: 13 (Marks: 1) - Please choose one
Which one of the following manufacturing process is associated with high volume car manufacture?

- Job shop
- **Assembly line**
- Batch
- Automation

Ref: Before discussing JIT look at in-line assembly systems (traditionally used in **high volume car manufacture**)

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http://webcache.googleusercontent.com/search?q=cache:rJ2HjqtUCIQJ:www.ocr.org.uk/download/sm/ocr_13258_sm_gce_unit_f524.doc+%22manufacturing+process%22+for+%22high+volume+car+manufacture?%22&hl=en

Question No: 14 (Marks: 1) - Please choose one
The formula for determining the required cycle time is operation time per day divided by:

- ► Sum of task times
- ► Actual output per day (in units)
- ► Number of workstations
- ► **Desired output (in units)**

Ref: Cycle time is the maximum time allowed at each workstation to complete its set of tasks on a unit. If CT represents cycle time and D represents the desired output then we can calculate cycle time as **(Handouts Page No. 85)**

Question No: 15 (Marks: 1) - Please choose one
Assembly lines relate most closely to a:

- ► Functional layout
- ► **Product layout**
- ► Process layout
- ► Departmental layout

Ref: Assembly lines are a special case of product layout. In a general sense, the term assembly line refers to progressive assembly linked by some material handling device.
http://docs.google.com/viewer?a=v&q=cache:3jUTDWx2e4IJ:www.ateneonline.it/chase2e/studenti/tn/6184-7_tn05.pdf+Assembly+lines+relate+most+closely+to+a:+%E2%96%BA+Functional+layout+%E2%96%BA+Product+layout+%E2%96%BA+Process+layout+%E2%96%BA+Departmental+layout&hl=en&gl=pk&pid=bl&srcid=ADGEESh8r19njYE70vMpgQzCTpHYGtIHlnmve9br89oTuU_polHaRdI1wM9dTpef325TYLnQrGfqlLZQN7v1tHTYHdzIBcO_H-HqJsTShQcxtKw8_4hfncmLzFGuSbmRyBtQgm3VrYB2&sig=AHIEtbRFRHNLG1Fl6jhNlX6n128_iEgUMg

Question No: 16 (Marks: 1) - Please choose one
Which one of the following layout type is associated with a restaurant?

- ► Fixed position layout
- ► Process layout
- ► Product layout
- ► **Hybrid layout**

Ref: http://books.google.com.pk/books?id=sWtlOeC-3pEC&pg=PA111&lpg=PA111&dq=Hybrid+layout++is+associated+with+a+restaurant&source=bl&ots=sL8qmiQ-be&sig=nzSNWZT-NbCFBtjrw0k73nnMMGc&hl=en&ei=UHe4Tdu5GoLJhAenzpGXDw&sa=X&oi=book_result&ct=result&resnum=4&ved=0CCkQ6AEwAw#v=onepage&q&f=false

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Question No: 17 (Marks: 1) - Please choose one
Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?

► **Exponential smoothing**
► Linear regression
► Judgmental forecast
► Naive forecast

Ref: In many applications (perhaps in most), the most recent occurrences are more indicative of the future than those in the more distant past. If this premise is valid – "that the importance of data diminishes as the past becomes more distant" - then exponential smoothing may be the most logical and easiest method to use. http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+Exponential+smoothing+is+based+on+the+assumption+that+past+data+is+more+indicative+of+the+future+than+the+most+recent+occurrences&hl=en&gl=pk&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8KnR5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbTwalQd7sTFtecd46RVg72u_ZLEEg

Question No: 18 (Marks: 1) - Please choose one
In exponential smoothing model, a denotes:

► **Smoothing constant**
► Actual forecast
► Forecast error
► Previous forecast

Ref: α = Alpha smoothing constant **(Handouts page No. 40)**

Question No: 19 (Marks: 1) - Please choose one
Which of the following takes into consideration the design of aesthetics of the product?

► Functional design
► Production design
► Service design
► **Product design**

Ref: Product design (i.e., industrial design) is perhaps most associated with aesthetic considerations http://www.acrwebsite.org/volumes/display.asp?id=7824

Question No: 20 (Marks: 1) - Please choose one
Which of the following factors are considered in product and service design?

► Customer satisfaction, quality, and improvement costs
► Employee motivation, quality, and production costs
► Customer satisfaction, flexibility, and production costs

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► **Customer satisfaction, quality, and production costs**

Ref: A good product/service design can ensure customer satisfaction, quality and production costs**. (Handouts Page No. 44)**

Question No: 21 (Marks: 1) - Please choose one
Which one of the following is the overall objective of product and service design?

► Customer satisfaction and variety
► **Customer satisfaction and profitability**
► Reliability and variety
► Quality and reliability

Ref: http://www.docstoc.com/docs/19583340/Chapter-4-product-and-service-designppt **(See the Slide No. 14)**

Question No: 22 (Marks: 1) - Please choose one
CBR stands for which one of the following?

► Commercial board of revenue
► Central board of recycling
► Central board of renovation
► **Central board of revenue**

Ref: CBR denotes Center Board of Revenue **(Handouts Page No. 46)**

Question No: 23 (Marks: 1) - Please choose one
Which one of the following designs resists modifications?

► **Frozen design**
► Product design
► Service design
► Robust design

Ref: Another disadvantage is that a manufacturer may freeze (standardize) a **design** prematurely and, once the **design** is **frozen**, it may find compelling reasons to resist modification.
http://webcache.googleusercontent.com/search?q=cache:ASewL4qNRRkJ:highered.mcgraw-hill.com/sites/dl/free/0073041912/354902/ste41912_ch04.pdf+Frozen+design+%E2%96%BA+Product+design+%E2%96%BA+Service+design+%E2%96%BA+Robust+design+resists+modifications&cd=3&hl=en&ct=clnk&gl=pk&source=www.google.com.pk

Question No: 24 (Marks: 1) - Please choose one
Which one of the following is a curve showing failure rate over time?

► Cost curve
► **Bath tub curve**
► Fish bone diagram
► Reliability curve

Ref: The figure above shows a bathtub shape and thus rightly is referred to as the

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Bathtub curve. On the Y axis we represent the Failure rate and on the X axis we represent the Time. **(Handouts Page No. 60)**

Question No: 25 (Marks: 1) - Please choose one
Which of the following management level is responsible for long-range capacity planning?

- ► Lower management
- ► Middle management
- ► **Top management**
- ► Non managerial employees

Question No: 26 (Marks: 1) - Please choose one
Capacity planning involves answering all of the following questions EXCEPT:

- ► What kind of capacity is needed?
- ► How much is needed?
- ► When is it needed?
- ► **Who is going to decide?**

Ref: These questions are:

4. What kind of capacity is needed?
5. How much is needed?
6. When is it needed? **(Handouts Page No. 64)**

Question No: 27 (Marks: 1) - Please choose one
The advantages of specialization to management include all of the following EXCEPT:

- ► Rapid training of the workforce
- ► Ease in recruiting new workers
- ► **Fewer turnovers**
- ► Less boredom for workers

Ref:
http://books.google.com.pk/books?id=d3eREcsD35sC&pg=PA224&lpg=PA224&dq=Advantages+of+specialization+To+management+1+Rapid+training+of+the+work+force+2.Ease+in+recruiting+new+workers+3.+High+output+due+to+simple+and+repetitive+work&source=bl&ots=R5XoCdpdob&sig=H_j0m4evxgrOj_nOQ9b65cT3pg8&hl=en&ei=kwi3TbT0J8HU4wbg4aD_Dw&sa=X&oi=book_result&ct=result&resnum=2&ved=0CBgQ6AEwAQ#v=onepage&q&f=false

Question No: 28 (Marks: 1) - Please choose one
The disadvantages of specialization to management include all of the following EXCEPT:

- ►More absenteeism
- ►Minimum responsibility
- ►More turnover
- ►**More difficult to teach the job**

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Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 06)**

Question No: 29 (Marks: 1) - Please choose one
Technology has impacted the work place by:

► Adding to the existing geographical barriers for recruiting
► Increasing the cost of telecommuting
► Increasing the amount required to be spent on training
► **Unifying the workforce to a common skill level**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No.10)**

Question No: 30 (Marks: 1) - Please choose one
Which of the following can be used to compute standard time?

► Multiplying the elemental average time by the rating factor
► Dividing the average elemental time by the rating factor
► Multiplying the normal cycle time by the rating factor
► **Multiplying the normal cycle time by one plus the allowance factor**

Ref: Standard Time=ST=NT X AF is the normal time plus allowance for delays like (getting a glass of water or going to the washroom human needs) **(Handouts Page No. 92)**

Question No: 31 (Marks: 1) - Please choose one
Which one of the following is the focus of predetermined motion time system?

► **Individual human motions that are used in a job task**
► Determining the length of time it will take to undertake a particular task
► Determining the amount of time a worker spends on various activities
► Providing standard times for micro motions such as reach move and release

Ref: Motion Study - is the systematic study of the human motions used to perform an operation - the purpose is to eliminate unnecessary motions used to perform an operation. It is very effective in improving worker productivity and lowering costs.
http://docs.google.com/viewer?a=v&q=cache:7JxnvEitpVAJ:hodgesh.people.cofc.edu/DSCI304/PPT/10%2520Design%2520of%2520Work%2520Systems.pps+Which+one+of+the+following+is+the+focus+of+predetermined+motion+time+system%3F+%E2%96%BAIndividual+human+motions+that+are+used+in+a+job+task+%E2%96%BADetermining+the+length+of+time+it+will+take+to+undertake+a+particular+task+%E2%96%BADetermining+the+amount+of+time+a+worker+spends+on+various+activities+%E2%96%BAProviding+standard+times+for+micro+motions+such+as+reach+move+and+release&hl=en&gl=pk&pid=bl&srcid=ADGEESg98089PrQON31UO76B07KiZnAHJC27_ixZbrsmxk_tTH9ugfa4o-LOC24-Z2pYwoxHbnfe5nai0vGFbUZBAylXV3bq9nQj_xvUtjXq5xsAFOgb3FJ8b98rnwbhCjd

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KLszZ3_wm&sig=AHIEtbSL8z2o7SHr_GiGcFUgUCLNFQFiAw

Question No: 32 (Marks: 1) - Please choose one
Which one of the following is an example of community factors that affect location decisions?

► Transportation
► **Quality of life**
► Location of new markets
► Location of raw materials

Ref: Community Considerations

- Quality of life
- Services
- Attitudes
- Taxes
- Environmental regulations
- Utilities
- Developer support **(Handouts Page No. 96)**

Question No: 33 (Marks: 1) - Please choose one
Which one of the following is an example of site related factors that affect location decision?

► **Transportation**
► Quality of life
► Location of new markets
► Location of raw materials

Ref: Site Related Factors

- Land
- Transportation
- Environmental
- Legal **(Handouts Page No. 96)**

Question No: 34 (Marks: 1) - Please choose one
Which one of the following location strategies follows a decentralized approach?

► Process plant strategy
► Market area plant strategy
► Cost conservation strategy
► **Product plant strategy**

Ref: P r o d u c t p l a n t s t r a t e g y :(Decentralized approach)
In this entire products or product lines are produced in separate plants
http://www.scribd.com/doc/50297174/11/Multiple-Plant-Strategies

Question No: 35 (Marks: 1) - Please choose one
Which of the following is the primary input in capacity planning?

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► Supply chain capabilities
► Competitors' strengths
► **Demand forecasts**
► Overall cost estimates

Ref: Besides service level requirements, the other key input into the capacity planning process is a forecast or plan for the organization's future. Capacity planning is really just a process for determining the optimal way to satisfy business requirements such as forecasted increases in the amount of work to be done, while at the same time meeting service level requirements. http://www.teamquest.com/pdfs/whitepaper/tqwp23.pdf

Question No: 36 (Marks: 1) - Please choose one
Which of the following statements would generally be considered as correct job shop?

► A continuous process has lower output volume as compared to job shop
► Equipment flexibility is lower in job shop than that of a continuous process
► **Labor costs are higher in a Job Shop operation than in most other processes**
► Batch processing produces a more standard range of products than continuous flow processes

Question No: 37 (Marks: 1) - Please choose one
Which one of the following is TRUE about work sampling?

► It describes individual human motions that are used in a job task
► It involves determining the length of time it will take to undertake a particular task
► **It involves determining the amount of time a worker spends on various activities**
► It provides standard times for micro motions such as reach, move and release

Ref: **Work Sampling** is the statistical technique for determining the proportion of time spent by workers in various defined categories of activity.
http://en.wikipedia.org/wiki/Work_sampling#cite_note-Groover-0

Question No: 38 (Marks: 1) - Please choose one
Services differ from manufacturing in all the following ways EXCEPT:

► Customers typically interact directly with the service delivery process.
► Consumption and production take place simultaneously.
► Services are intangible.
► **Services can be stored**

Ref: service operations are different from manufacturing operations in terms of

- Tangible and intangible output
- customer consumption
- use of labor and equipment
- customer contact
- customer participation in conversion process

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- measuring activities and resources

http://wiki.answers.com/Q/How_do_service_operations_differ_from_manufacturing_operations

Question No: 39 (Marks: 1) - Please choose one
_____ purpose is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

► Total quality control
► **Demand management**
► Forecasting
► Operations management

Ref:
http://books.google.com/books?id=d3eREcsD35sC&pg=PA551&dq=The+purpose+of+demand+management+is+to+coordinate+and+control+all+sources+of+demand+so+the+productive+system+can+be+used+efficiently+and+the+product&hl=en&ei=gTCOTfjdJpCmvgP9pbC5DQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDkQ6AEwAg#v=onepage&q=The%20purpose%20of%20demand%20management%20is%20to%20coordinate%20and%20control%20all%20sources%20of%20demand%20so%20the%20productive%20system%20can%20be%20used%20efficiently%20and%20the%20product&f=true

Question No: 40 (Marks: 1) - Please choose one
Forecasting for groups tend to be more accurate than forecasting for individual items because:

► A group is composed of a number of items
► A group exhibits a uniform behavior
► **A group cancels the forecasting errors among items**
► A group behavior is relatively less uncertain

Ref: Forecasts more accurate for groups vs. individuals naturally because forecasting errors in a group tend to cancel out forecasting errors for individuals**. (Handouts page No. 33)**

Question No: 41 (Marks: 5)
Operations management does not work in isolation within an organization. How would you relate marketing, finance and other functions to operations function?

Functions with in an Organization

- The Operations function consists of all activities that are directly related to production of a good or service.
- Operations function exist in services like healthcare, Police, Traffic, transportation, consultancy, food handling, restaurants etc.
- Operations function forms the core of all businesses.

Operations and Marketing

- Value addition refers to conversion of raw materials to finished goods or services.

- Value added often refers to the difference between the cost of the raw material and the price of the finished good.
- The revenues from selling goods is used in betterment of existing product or service or R &D, investment in new facilities and equipments
- Weeding out or eliminating non value adding operations. E.g. Storage of goods which have been produced ahead of scheduled production, increases storage and inventory costs. reducing storage cost would reduce transformation cost and thus increase value addition
- Marketing relates to selling of a good or service of the organization through advertising and pricing decisions.
- Marketing department assesses the customer's needs and communicate it to the operations people on short term and design people on the long term basis.
- Operations people need information about demand over a short range in order to purchase raw materials or manage inventory or schedule production plan where as the design people need information to redesign or simply sign new products or services.
- Marketing provides valuable information about the competitors customers needs and communicate it to the operations people on short term and design people on the long term basis.

Finance

- The finance function focuses on activities that relate to securing resources at favorable prices and then allocating these resources through out the organization.
- Finance and Operation Personnel exchange information and expertise in the following way
- Budgets
- Economic analysis of investment proposal
- Provision of funds

Question No: 42 (Marks: 5)

Suppose you want to estimate the time required to perform a certain task by the two employees. One employee's study yielded a mean of 6.4 minutes and standard deviation of 2.1 minutes with 95% confidence Interval. Other employee's study yielded a mean of 2.1 minutes and standard deviation of 6.4 minutes with confidence interval of 95%. Now how many observations you will need if desired maximum error is 10% of sample mean?(z= 1.96) Do both the employees have same number of observations?

Employee # 1:

Mean time = X = 6.4mints
Standard Deviation = S = 2.1mint.
z = 1.96
Error = A = 10% = 0.1
$n = (zs/ax)^2$

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$= [(1.96)(2.1)/(0.1)(6.4)]^2$
$= [4.116/0.64]^2$
$= (6.43125)^2$
$= 41.36$
41 observations

Employee # 2:
Mean time = X = 2.1mints
Standard Deviation = S = 6.4mint.
z = 1.96
Error = A = 10% = 0.1
$n = (zs/ax)^2$
$= [(1.96)(6.4)/(0.1)(2.1)]^2$
$= [12.544/0.21]^2$
$= (59.733)^2$
$= 3568.03$
3568 observations

Paper No. 07

MIDTERM EXAMINATION
Fall 2010
MGT613- Production / Operations Management (Session - 2)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one

Who developed the use of standardization in large-scale mass production using a moving assembly line?

- ► Frederick Winslow Taylor
- ► Frank Gilbreth
- ► Adam Smith
- ► **Henry Ford**

Ref: Mass production (also called **flow production**, **repetitive flow production**, **series production**, or **serial production**) is the production of large amounts of standardized products, including and especially on assembly lines. Mass production was popularized in the 1910s and 1920s by Henry Ford's Ford Motor Company, which introduced electric motors to the then-well-known technique of chain or sequential production.
http://en.wikipedia.org/wiki/Mass_production **OR**
http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter1/multiple_choice_quiz.html **(See the**

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Question No. 05)

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Question No: 2 (Marks: 1) - Please choose one

Which one of the following forms of productivity has units of output per shift?

- ► Capital
- ► Energy
- ► **Labor**
- ► Machine

Ref: Labor Productivity:

- Units of output per labor hour
- Units of output per shift
- Value-added per labor hour **(Handouts Page No. 19)**

Question No: 3 (Marks: 1) - Please choose one

Which one of the following forms of productivity has units of output per dollar input?

- ► **Capital**
- ► Energy
- ► Labor
- ► Machine

Ref: Capital Productivity
Units of output per Rs. input
Dollar value of output per Rs. Input **(Handouts Page No. 19)**

Question No: 4 (Marks: 1) - Please choose one

Which one of the following is a measure of productivity that involves measuring inputs and outputs using a common unit of measurement?

- ► **Multifactor**
- ► Partial
- ► Single
- ► Total

Ref: Calculations of multifactor productivity measure inputs and outputs using a common unit of measurement, such as cost. For instance, the measure might use cost of inputs and units of the output:
http://docs.google.com/viewer?a=v&q=cache:bYWPs-Ig99IJ:highered.mcgraw-hill.com/sites/dl/free/0073525251/886181/stevenson11e_sample_ch02.pdf+Multifactor+is+a+measure+of+productivity+that+involves+measuring+inputs+and+outputs+using+a+common+unit+of+measurement&hl=en&gl=pk&pid=bl&srcid=ADGEEShIkJnaEXjh-LlA3HACWDXOFhSy4GxPv8YQXZJlU3WT0go2JJj8vnbbzyuq3hxydg1DjvPnqXn6l7_WK80EPhN15OYu_iNw-IuxMf0zGIxME7Z2JTjx1YPoSJERrLKF0cWbvkXb&sig=AHIEtbTWWf1ESOM052Hrkqk5mCU24fLbQA

Question No: 5 (Marks: 1) - Please choose one

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What would be the productivity if 9 workers installed 650 square yards of carpeting in 6 hours?

► **12.03 square yards/hr**
► 72.20 square yards/hr
► 108.30 square yards/hr
► 5850 square yards/hr

Ref: Productivity = Output Quantity / Input Quantity
Productivity = 650 / (9 * 6)
Productivity = 650/54 = **12.03 Square yards**

Question No: 6 (Marks: 1) - Please choose one

Which one of the following formulae can be used to compute value?

► (Quality + Speed – Flexibility) / Cost
► **(Quality + Speed+ Flexibility) / Cost**
► (Quality + Speed - Cost) / Flexibility
► (Quality + Speed+ Cost) / Flexibility

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 7 (Marks: 1) - Please choose one

All of the following are examples of quantitative forecasting EXCEPT:

► **Delphi method**
► Time series analysis
► Associative models
► Naïve forecasting

Ref: http://www.slideshare.net/knksmart/forecasting-slides **(See the Slide No. 14)**

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is a limitation of a moving average having a trend?

► **The forecast lags behind the actual**
► The forecast represents demand more accurately
► The forecast will not be accurate
► The forecast will not be reliable

Ref: If, over several periods, a time series shows a change in the average value which corresponds to the trend model, the forecast values always lag behind the actual values by one or several periods in the first-order exponential smoothing procedure. http://help.sap.com/saphelp_45b/helpdata/en/a5/6320e843a211d189410000e829fbbd/content.htm

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is an index used to measure actual output relative to design capacity?

► Efficiency

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► Effective capacity
► Effectiveness
► **Utilization**

Ref: It can be expressed as a ratio, where utilization = actual output divided by design capacity. This measure is used in both capacity planning and capacity requirements planning processes. http://www.bnet.com/topics/capacity+utilization

Question No: 11 (Marks: 1) - Please choose one

What would be the utilization, if 34 cars are produced in a day with a design capacity of 50 cars per day?

► **68%**
► 1.47%
► 84%
► 16%

Ref: Utilization = Actual Capacity / Design Capacity * 100
Utilization = 34 / 50 * 100 = **68%**

Question No: 12 (Marks: 1) - Please choose one

Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

► Introduction
► Growth
► **Maturity**
► Decline

Ref: Maturity Stage. As the products of firms move into the maturity stage, attracting highly skilled individuals is no longer as high a priority. Firms in the mature stage have an extensive internal labour market and extensive training and development programs. Firms in this stage may pay high wages to retain skilled talent. Economic downturns are handled by employee layoffs. Conflict resolutions and due process under collective bargaining are the grievance procedures with third party arbitration (Kochan & Chalykoff, 1985). **The environment (customer demand and competitors) becomes more stable and predictable (but as competitive) in comparison with the growth stage**.
http://docs.google.com/viewer?a=v&q=cache:jQVb4SnKAYsJ:www.rci.rutgers.edu/~sjacksox/PDF/DeterminantsofHRMPrioritiesandImplications.pdf+stages+of+product+life+cycle+relates+to+more+predictable+behavior+in+terms+of+capacity+requirements&hl=en&gl=pk&pid=bl&srcid=ADGEESigJYxwqHconGqfCMjw0LjJ83rXBJuDpDj9ii07-2VUwmVTBF6K-Xm7xu1THfTijPxrsbqKJD0KKZziOIaotlvC4pPqcwxZ2J3KdX3QIQo8iw3VCTRAsXg2Pk69UvRqQsYng7dB&sig=AHIEtbS89CgRHNC6-p0WknAgth-vMlRvbg

Question No: 13 (Marks: 1) - Please choose one

Which one of the following layout types is associated with car assembly?

- ► Fixed position layout
- ► Process layout
- ► **Product layout**
- ► Hybrid layout

Ref: Product – Layout should suit to the nature of product and its method of production. I.e. aircraft manufacturing and car manufacturing layouts will be different. Sales also affect the layout. http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 14 (Marks: 1) - Please choose one

Which of the following probability distribution is used most extensively in dealing with forecasting errors?

- ► **Normal**
- ► Exponential
- ► Beta
- ► Pareto

Ref: http://highered.mcgraw-hill.com/sites/0072443901/student_view0/chapter3/self_quiz_from_cd.html **(See the Question No. 10)**

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is an application of simple exponential smoothing?

- ► Establishing durability
- ► Finding reliability
- ► **Scheduling services**
- ► Quality improvement

Question No: 16 (Marks: 1) - Please choose one

Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?

- ► **Exponential smoothing**
- ► Linear regression
- ► Judgmental forecast
- ► Naive forecast

Ref: In many applications (perhaps in most), the most recent occurrences are more indicative of the future than those in the more distant past. If this premise is valid – "that the importance of data diminishes as the past becomes more distant" - then exponential smoothing may be the most logical and easiest method to use. http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+Exponential+smoothing+is+based+on+the+assumption+that+past+data+is+more+indicative+of+the+future+than+the+most+recent+occurrences&hl=en&gl=pk&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8Kn

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Question No: 17 (Marks: 1) - Please choose one

Which of the following takes into consideration the design of aesthetics of the product?

- ► Functional design
- ► Production design
- ► Service design
- ► **Product design**

Ref: Product design (i.e., industrial design) is perhaps most associated with aesthetic considerations http://www.acrwebsite.org/volumes/display.asp?id=7824

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is the overall objective of product and service design?

- ► Customer satisfaction and variety
- ► **Customer satisfaction and profitability**
- ► Reliability and variety
- ► Quality and reliability

Ref: http://www.docstoc.com/docs/19583340/Chapter-4-product-and-service-designppt
(See the Slide No. 14)

Question No: 19 (Marks: 1) - Please choose one

Which one of the following is the final stage of product life cycle?

- ► Growth
- ► **Decline**
- ► Maturity
- ► Planning

Ref: The final stage in the life cycle is the decline.
http://www.davetalks.com/articles/who-wants-live-forever.html

Question No: 20 (Marks: 1) - Please choose one

Which one of the following is the goal of method analysis?

- ► **Dividing and analyzing a job**
- ► Check individual human motions used to perform an operation
- ► Determining the length of time it will take to undertake a particular task
- ► Determining the amount of time a worker spends on various activities

Ref: Design of Work Systems is used to describe the two basic approaches to job design.
(Handouts Page No. 87)

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is the focus of predetermined motion time system?

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► **Individual human motions that are used in a job task**
► Determining the length of time it will take to undertake a particular task
► Determining the amount of time a worker spends on various activities
► Providing standard times for micro motions such as reach move and release

Ref: Motion Study - is the systematic study of the human motions used to perform an operation - the purpose is to eliminate unnecessary motions used to perform an operation. It is very effective in improving worker productivity and lowering costs.
http://docs.google.com/viewer?a=v&q=cache:7JxnvEitpVAJ:hodgesh.people.cofc.edu/DSCI304/PPT/10%2520Design%2520of%2520Work%2520Systems.pps+Which+one+of+the+following+is+the+focus+of+predetermined+motion+time+system%3F+%E2%96%BAIndividual+human+motions+that+are+used+in+a+job+task+%E2%96%BADetermining+the+length+of+time+it+will+take+to+undertake+a+particular+task+%E2%96%BADetermining+the+amount+of+time+a+worker+spends+on+various+activities+%E2%96%BAProviding+standard+times+for+micro+motions+such+as+reach+move+and+release&hl=en&gl=pk&pid=bl&srcid=ADGEESg98089PrQON31UO76B07KiZnAHJC27_ixZbrsmxk_tTH9ugfa4o-LOC24-Z2pYwoxHbnfe5nai0vGFbUZBAylXV3bq9nQj_xvUtjXq5xsAFOgb3FJ8b98rnwbhCjdKLszZ3_wm&sig=AHIEtbSL8z2o7SHr_GiGcFUgUCLNFQFiAw

Question No: 22 (Marks: 1) - Please choose one

Which one of the following location strategies follows a decentralized approach?

► Process plant strategy
► Market area plant strategy
► Cost conservation strategy
► **Product plant strategy**

Ref: P r o d u c t p l a n t s t r a t e g y :(Decentralized approach)
In this entire products or product lines are produced in separate plants
http://www.scribd.com/doc/50297174/11/Multiple-Plant-Strategies

Question No: 23 (Marks: 1) - Please choose one

Which one of the following location strategies is favored by automobile manufacturers?

► Product plant strategy
► **Process plant strategy**
► Market area plant strategy
► Cost conservation strategy

Ref: Process plant strategy: (Sharing of Problems/Improvements among plants) in this different plants concentrate on different aspects of a process.
E.g. Automobile manufacturers use this approach with different plants for Engines, Transmissions, Body Stamping, and Radiators.
http://www.scribd.com/doc/50297174/11/Multiple-Plant-Strategies

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Question No: 24 (Marks: 1) - Please choose one

In which of the following approaches location decision is based on personal opinions and quantitative information?

► **Factor rating**
► Market area plant strategy
► Currency fluctuations
► Product plant strategy

Ref: Factor rating enables decision makers to incorporate their personal opinions and quantitative information in the decision process.
http://docs.google.com/viewer?a=v&q=cache:hle5jRNl1yUJ:farfromneutral.com/kaizen/wp-content/uploads/web_location_planning.pdf+Factor+rating+enables+decision+makers+to+incorporate+their+personal+opinions+and+quantitative+information&hl=en&pid=bl&srcid=ADGEESh4_F-ZX_uWV4qLQb5LaqEt_hOyLPwunPeMA0DqFcHqiMAkZG5tmP74ZKXG2hqBvICBPL8NehlKvFrgCCM5CtE1-Q1Y8WVDtcLK_Zr8sWybaKr67vdl4ZTIj5rdMy4CyfGqEiYl&sig=AHIEtbR8oCpDNOfTQM0UVhdYpjgMo34SgQ

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about the importance of capacity planning?

► It is profitable
► It increase the capacity of productive unit
► **It helps managers quantify production capability**
► It establishes good relationship with the customer

Ref: The operating unit might be a plant, department, machine, store, or worker. The capacity of an operating unit is an important piece of information for planning purposes: It enables managers to quantify production capability in terms of inputs or outputs, and thereby make other decisions or plans related to those quantities. The basic questions in capacity planning are the following:
1. What kind of capacity is needed?
2. How much is needed?
3. When is it needed?
http://docs.google.com/viewer?a=v&q=cache:XUm6ltzkqJwJ:amaiu.pbworks.com/f/ABI-301%2BLecture%2BNote%2B%2BNo.%2B3.doc+capacity+planning+helps+managers+quantify+production+capability&hl=en&pid=bl&srcid=ADGEESgdFdpntlZr3VP2j2fW79QGsGD51GhPti0lI2cZBZz6Na8bfUjBNDEB30R56MO7G2srDEW5gbqKE2ORdLy2rXBBcqsWedpL6ntC5Nd-Sso_COn_VnnbNA7Bgm_hGBkx-ptIoKup&sig=AHIEtbS2U8M8uNEWGDLCOxGTMQfTS59NpQ

Question No: 26 (Marks: 1) - Please choose one

Organizational strategies relate to which of the following sets of factors?

► **Survival, profitability, growth rate and market share**
► Profitability, survival, leads times and target market
► Quality, operating resources, growth rate and market share
► Scheduling, profitability, lead times and survival

Ref: Survival, profitability, Growth rate, market share **(Book Page/Slide No. 13)**
http://docs.google.com/viewer?a=v&q=cache:bYWPs-Ig99IJ:highered.mcgraw-hill.com/sites/dl/free/0073525251/886181/stevenson11e_sample_ch02.pdf+Organizational+strategies+relate+to+which+of+the+following+sets+of+factors?+%E2%96%BA+Survival,+profitability,+growth+rate+and+market+share+%E2%96%BAProfitability,+survival,+leads+times+and+target+market+%E2%96%BAQuality,+operating+resources,+growth+rate+and+market+share+%E2%96%BAScheduling,+profitability,+lead+times+and+survival&hl=en&gl=pk&pid=bl&srcid=ADGEEShIkJnaEXjh-LlA3HACWDXOFhSy4GxPv8YQXZJlU3WT0go2JJj8vnbbzyuq3hxydg1DjvPnqXn6l7_WK80EPhN15OYu_iNw-IuxMf0zGIxME7Z2JTjx1YPoSJERrLKF0cWbvkXb&sig=AHIEtbRBvXb8MDQZrhUT8qmH-CP_4ToLlw&pli=1

Question No: 27 (Marks: 1) - Please choose one

Which one of the following forecasting methods uses subjective inputs such as opinions from consumer surveys, sales staff, managers and experts?

► Time series model
► Least Square method
► **Judgmental forecasting model**
► Associative forecasting model

Ref: Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts. These insights are not available publicly. **(Handouts Page No. 35)**

Question No: 28 (Marks: 1) - Please choose one

Transportation method helps in solving which of the following problems?

► **Facility location problems**
► Allocation of cost problems
► Workforce management problems
► Unfamiliar laws and regulations problems

Ref: Transportation Method is a quantitative approach that can help solve multiple facility location problems. **(Handouts Page No. 98)**

Paper No. 08

Composed & Solved

Honey G

Vu Askari Team

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MIDTERM EXAMINATION

Spring 2009

MGT613- Production / Operations Management (Session - 1)

Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one

Which ONE of the following statements correctly explains the role of operation's manager?

- ► To coordinate the activities between marketing and finance department
- ► To sustain, protect and project the company's long term strategies
- ► To develop organizational strategy that reflects the operational strategy
- ► **To sustain, protect and project the company's operation/production side**

Ref: Whether profit or non profit, the role of an OPERATIONS MANAGER is to sustain, protect, and project the company's operations side. **(Handouts Page No. 01)**

Question No: 2 (Marks: 1) - Please choose one

What would be the productivity if a machine produced 50 units in 3 hours?

- ► 0.066 units per hr
- ► **16.66 units per hr**
- ► 6.766 units per hr
- ► 60.66 units per hr

Ref: Productivity is a measure of the effective use of resources, usually expressed as the ratio of output to input .Also called Efficiency at times

Productivity = Units Produced / Hours

Productivity = 50 / 3 = 16.66 per hour

Question No: 3 (Marks: 1) - Please choose one

Operations manager is responsible for all of the following EXCEPT:

- ► Forecasting
- ► Capacity planning
- ► Inventory management
- ► **Distributing organizations' goods**

Ref: Operations Managers job responsibility includes but is not limited to:

- Forecasting
- Capacity planning
- Scheduling
- Inventory Management
- Quality Assurance and Control
- Motivating employees
- Deciding where to locate facilities **(Handouts Page No. 03)**

Question No: 4 (Marks: 1) - Please choose one

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Which one of the following formulae can be used to compute value?

► (Quality + Speed – Flexibility) / Cost
► **(Quality + Speed+ Flexibility) / Cost**
► (Quality + Speed - Cost) / Flexibility
► (Quality + Speed+ Cost) / Flexibility

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 5 (Marks: 1) - Please choose one

Which one the following formula or function can be used to measure the performance?

► Flexibility + profit+ operations
► Work + profit + value
► **Quality + speed + flexibility**
► Profit + Incentives + standards

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 6 (Marks: 1) – Please choose one

Organizational strategies relate to which of the following sets of factors?

► **Survival, profitability, growth rate and market share**
► Profitability, survival, leads times and target market
► Quality, operating resources, growth rate and market share
► Scheduling, profitability, lead times and survival

Ref: Survival, profitability, Growth rate, market share **(Book Page/Slide No. 13)**
http://docs.google.com/viewer?a=v&q=cache:bYWPs-Ig99IJ:highered.mcgraw-hill.com/sites/dl/free/0073525251/886181/stevenson11e_sample_ch02.pdf+Organizational+strategies+relate+to+which+of+the+following+sets+of+factors?+%E2%96%BA+Survival,+profitability,+growth+rate+and+market+share+%E2%96%BAProfitability,+survival,+leads+times+and+target+market+%E2%96%BAQuality,+operating+resources,+growth+rate+and+market+share+%E2%96%BAScheduling,+profitability,+lead+times+and+survival&hl=en&gl=pk&pid=bl&srcid=ADGEEShIkJnaEXjh-LlA3HACWDXOFhSy4GxPv8YQXZJlU3WT0go2JJj8vnbbzyuq3hxydg1DjvPnqXn6l7_WK80EPhN15OYu_iNw-IuxMf0zGIxME7Z2JTjx1YPoSJERrLKF0cWbvkXb&sig=AHIEtbRBvXb8MDQZrhUT8qmH-CP_4ToLlw&pli=1

Question No: 7 (Marks: 1) - Please choose one

Which of the following statements corresponds to an order-winning characteristic?

► A factor which may be significant in other parts of the organization
► **A factor which gives an organization a competitive edge**
► A factor which serves as a minimum standard for purchase
► A factor which increases the profitability of the organization

Ref: order winners are the characteristics of an organization's services that cause it to

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be perceived as better than the competitor's services. **(Handouts Page No. 15)**

Question No: 8 (Marks: 1) - Please choose one
To make operations strategy effective it should be:

- ► Independent of the organization's strategy
- ► **Consistent with the organization's strategy**
- ► Developed by a first line manager
- ► Independent of time dimension

Ref: Operations strategy – The approach, consistent with organization strategy that is used to guide the operations function. We first study strategy design process with example for manufacturing and Services. **(Handouts Page No. 14)**

Question No: 9 (Marks: 1) - Please choose one
Which one of the following correctly explains the elements of a good forecast?

- ► Timely, having a purpose, accurate, written, reliable, meaningful
- ► Timely, accurate, judgmental, correctness, verbal, simple to use
- ► Timely, accurate, reliable, meaningful, written, simple to use
- ► Timely, accurate, reliable, consistent, meaningful, written, simple to use

Ref: Requirements of a Good Forecast

- Timely
- Reliable
- Accuracy.
- Meaningful
- Written/Documented.
- Simple **(Handouts Page No. 34)**

Question No: 10 (Marks: 1) - Please choose one
Which one of the following correctly explains the qualitative forecasting technique?

- ► It consists mainly of numerical descriptions and defies subjective inputs of managers.
- ► It consists mainly of subjective inputs and defies particular numerical descriptions
- ► **It consists mainly of subjective inputs and defies human factor, personal opinions.**
- ► It consists mainly of analyzing objective and hard data and defies human factor, opinion.

Ref: Qualitative Techniques which use subjective inputs and no numerical data. It relies solely on soft information like human factors, personal opinion, hunches. Thus Qualitative Forecasts are often biased and tilted towards what the management wants to predict**. (Handouts Page No. 34)**

Question No: 11 (Marks: 1) - Please choose one
Which one of the following correctly explains the quantitative forecasting technique?

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► **It consists mainly of numerical descriptions and resist subjective inputs of managers.**
► It consists mainly of subjective inputs and resist particular numerical descriptions.
► It consists mainly of subjective inputs and resist human factor, personal opinions.
► It consists mainly of analyzing objectives and hard data and resist human factor, opinion.

Ref: Quantitative research focuses on numbers or quantities. Quantitative studies have results that are based on numeric analysis and statistics. Often, these studies have many participants. It is not unusual for there to be over a thousand people in a quantitative research study. It is ideal to have a large number of participants because this gives analysis more statistical power. **http://www.associatedcontent.com/article/1622269/what_is_the_difference_between_qualitative.html**

Question No: 12 (Marks: 1) - Please choose one
Which one of the following forecasting techniques uses explanatory variables to predict future demand?

► **Associative forecast**
► Time series forecast
► Consumer survey
► Executive opinion

Ref: Associative Models: forecasting technique that uses explanatory variables to predict future demand. http://cramberry.net/sets/26728-operational-management-3

Question No: 13 (Marks: 1) - Please choose one
Given the table:
Alternatives Possible future demand

	Low (Rs.)	High (Rs.)
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct payoff under MAXIMAX approach?

► Rs. 10,000
► Rs. 18,000
► **Rs. 20,000**
► Rs. 32,000

Ref: Choose the Best maximum Value for MAXIMAX approach.

Question No: 14 (Marks: 1) - Please choose one
Which one of the following is a limitation of a moving average having a trend?

► **The forecast lags behind the actual**

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- ► The forecast represents demand more accurately
- ► The forecast will not be accurate
- ► The forecast will not be reliable

Ref: If, over several periods, a time series shows a change in the average value which corresponds to the trend model, the forecast values always lag behind the actual values by one or several periods in the first-order exponential smoothing procedure. http://help.sap.com/saphelp_45b/helpdata/en/a5/6320e843a211d189410000e829fbbd/content.htm

Question No: 15 (Marks: 1) - Please choose one
Which one of the following is an index used to measure actual output relative to design capacity?

- ► Efficiency
- ► Effective capacity
- ► Effectiveness
- ► **Utilization**

Ref: It can be expressed as a ratio, where utilization = actual output divided by design capacity. This measure is used in both capacity planning and capacity requirements planning processes. http://www.bnet.com/topics/capacity+utilization

Question No: 16 (Marks: 1) - Please choose one
Which one of the following mathematical expressions is used to compute utilization?

- ► Actual output / effective capacity
- ► **Actual output / design capacity**
- ► Actual output + effective capacity
- ► Actual output – design capacity

Ref: For example:
Actual Output = 36 units / day
Design Capacity = 50 units / day
Utilization = 36/50 * 100 = 72% **(Handouts Page No. 66)**

Question No: 17 (Marks: 1) - Please choose one
Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

- ► Introduction
- ► Growth
- ► **Maturity**
- ► Decline

Ref: Maturity Stage. As the products of firms move into the maturity stage, attracting highly skilled individuals is no longer as high a priority. Firms in the mature stage have an extensive internal labour market and extensive training and development programs. Firms in this stage may pay high wages to retain skilled talent. Economic downturns are handled by employee layoffs. Conflict resolutions and due process under collective

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bargaining are the grievance procedures with third party arbitration (Kochan & Chalykoff, 1985). **The environment (customer demand and competitors) becomes more stable and predictable (but as competitive) in comparison with the growth stage**.

http://docs.google.com/viewer?a=v&q=cache:jQVb4SnKAYsJ:www.rci.rutgers.edu/~sjacksox/PDF/DeterminantsofHRMPrioritiesandImplications.pdf+stages+of+product+life+cycle+relates+to+more+predictable+behavior+in+terms+of+capacity+requirements&hl=en&gl=pk&pid=bl&srcid=ADGEESigJYxwqHconGqfCMjw0LjJ83rXBJuDpDj9ii07-2VUwmVTBF6K-Xm7xu1THfTijPxrsbqKJD0KKZziOIaotlvC4pPqcwxZ2J3KdX3QIQo8iw3VCTRAsXg2Pk69UvRqQsYng7dB&sig=AHIEtbS89CgRHNC6-p0WknAgth-vMlRvbg

Question No: 18 (Marks: 1) - Please choose one
Which one of the following statement is TRUE about cost-volume relationship?

► **It represents the relationship between cost, revenue and volume of output.**
► It represents the relationship between cost and volume of output.
► It represents the relationship between cost and revenue.
► It represents the relationship between inputs, cost and volume of output.

Ref: Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. **(Handouts Page No. 73)**

Question No: 19 (Marks: 1) - Please choose one
Which one of the following formulae can be used to compute break even point?

► Q = VC / (R - VC)
► **Q = FC / (R - VC)**
► Q = VC / (R + FC)
► Q = FC / (R + VC)

Ref: QBEP= FC/ (R-VC) **(Handouts Page No. 76)**

Question No: 20 (Marks: 1) - Please choose one
Which one of the following is a characteristic of continuous process?

► High lead times
► Short process times
► The ability to handle high variety
► **The ability to handle high volumes**

Ref:
http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144864.cw/index.html **(In Multiple Choice Questions See the Question No. 11)**

Question No: 21 (Marks: 1) - Please choose one
Which of the following refers the way an organization chooses to produce its good or services?

► **Process selection**

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► Process reengineering
► Process redesign
► Process design

Ref: Process Selection refers to the way an organization chooses to produce its good or services. **(Handouts Page No. 77)**

Question No: 22 (Marks: 1) - Please choose one
Which one of the following best describes the cellular layout?

► It groups machines into departments according to their function.
► **It groups machines into small assembly lines that produce families of parts.**
► It allows production of larger lots by reducing set-up time.
► It encourages the use of large, efficient machinery.

Ref: http://cwx.prenhall.com/bookbind/pubbooks/russell/chapter7/multiple1/deluxe-content.html **(See the Question No. 03)**

Question No: 23 (Marks: 1) - Please choose one
Which one of the following statements is NOT correct about cycle time?

► It represents daily operating time divided by desired production
► It is the maximum allowable time at each work station
► It determines the time often items take to roll off in assembly line
► **It is the time required to complete a product from start to finish**

Ref: The cycle time is **not** the time required to complete a product from start to finish. This value would be the cycle time multiplied by the number of workstations. http://www.cbpa.ewu.edu/~pnemetzmills/OMch5/pracanswers.html **(See the Question No. 02)**

Question No: 24 (Marks: 1) - Please choose one
Which of the following layout types is associated with a supermarket?

► Fixed position layout
► **Process layout**
► Product layout
► Cellular layout

Ref: Supermarket layouts are essentially process layouts, http://docs.google.com/viewer?a=v&q=cache:lSjqXnqJinsJ:hkilter.com/courses/541/isl541_06.ppt+Which+of+the+following+layout+types+is+associated+with+a+supermarket%3F+%E2%96%BAFixed+position+layout+%E2%96%BAProcess+layout+%E2%96%BAProduct+layout+%E2%96%BACellular+layout&hl=en&gl=pk&pid=bl&srcid=ADGEESgjL0-us6bizOKeoG1FGkiYM86aIVo2pXsLNVhz2QCo4kalE27S2tQ6SGYrSzkeJHrBPIQd8zLHJm81nlwYCUNOvk8tSFyigfDzc4g8VsRZepfWBN0HTMjj8J8Fghtf50D4L0VW&sig=AHIEtbTxrTJMUmkozSV9o2BjZrPMqDx2HQ

Question No: 25 (Marks: 1) - Please choose one

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What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?

- ► 0.03 minutes
- ► **1.8 minutes**
- ► 2700 minutes
- ► 291 minutes

Ref: CT= Time Cycle = Operating Time / Desire Output
CT= Time Cycle = 9 * 60 / 300 = **1.8 minutes**

Question No: 26 (Marks: 1) - Please choose one
Which one of the following defines the range of the smoothing constant (Alpha)?

- ► 2 and -2
- ► 1 and -1
- ► 0 and -1
- ► **0 and 1**

Ref: alpha - the smoothing constant to use for this exponential smoothing model. Must be a value in the range 0.0 - 1.0 Values above 0.5 is uncommon - though they are still valid and are supported by this implementation.
http://openforecast.sourceforge.net/docs/net/sourceforge/openforecast/models/TripleExponentialSmoothingModel.html

Question No: 27 (Marks: 1) - Please choose one
Which of the following takes into consideration the design of aesthetics of the product?

- ► Functional design
- ► Production design
- ► Service design
- ► **Product design**

Ref: Product design (i.e., industrial design) is perhaps most associated with aesthetic considerations http://www.acrwebsite.org/volumes/display.asp?id=7824

Question No: 28 (Marks: 1) - Please choose one
Which one of the following refers to using some of the components of old products in the manufacturing of new products?

- ► Manufacturability
- ► **Remanufacturing**
- ► Robust design
- ► Automation

Ref: **Design for Remanufacturing:** Using some of the components of the old products in the manufacture of new products. **(Handouts Page No. 51)**

Question No: 29 (Marks: 1) - Please choose one
Which one of the following mathematical expressions can be used to compute availability?

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► **(MTBF)/ (MTBF+MTR)**
► (MTBF)/ (MTBF-MTR)
► (MTR)/ (MTBF+MTR)
► (MTR)/ (MTBF-MTR)

Ref: Availability = (MTBF)/ (MTBF + MTR) **(Handouts Page No. 63)**

Question No: 30 (Marks: 1) - Please choose one
Which one of the following is correct about the range of availability on a measuring index?

► 0.1 to 1.0
► **0 to 1.0**
► 0.5 to 1.0
► 0.01 to 1.0

Ref:
http://books.google.com.pk/books?id=818wT_TGJgAC&pg=PA23&lpg=PA23&dq=index+range+from+0+to+1.0&source=bl&ots=swmbQfISvn&sig=Nj0_bfiYtEEwwonlQAMYUkWh0Bw&hl=en&ei=fU-4Tf7SLM-xhAeY6rSADw&sa=X&oi=book_result&ct=result&resnum=7&ved=0CD8Q6AEwBjgK#v=onepage&q=index%20range%20from%200%20to%201.0&f=false

Question No: 31 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?

► 6.02
► 2.0
► **0.99**
► 0.006

Ref: Availability = (MTBF) / (MTBF + MTR)
MTBF = Mean time between factor =300
MTR = Mean repair time =2 hours
Availability = (300) / (300+2)
Availability =300 / 302
Availability = 0.99

Question No: 32 (Marks: 1) - Please choose one
Which one of the following operating levels is best with respect to capacity?

► The maximum point of the cost curve
► **The level of capacity for which average unit cost is minimized**
► The level of capacity for which average unit cost is maximized
► The level of capacity for which total cost is minimized

Ref:
http://books.google.com.pk/books?id=kNRkTmMCXDsC&pg=PA463&lpg=PA463&dq=The+level+of+capacity+for+which+average+unit+cost+is+minimized&source=bl&ots=

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mpafxu7HT9&sig=_yoCzNASj3gkyoRU0465QpSnOMw&hl=en&ei=Q91zTeinKMbxrQegneXTAQ&sa=X&oi=book_result&ct=result&resnum=2&ved=0CB4Q6AEwAQ#v=onepage&q=The%20level%20of%20capacity%20for%20which%20average%20unit%20cost%20is%20minimized&f=false

Question No: 33 (Marks: 1) - Please choose one
Which one of the following is the goal of work sampling?

- ► Individual human motions that are used in a job task
- ► Determining the length of time it will take to undertake a particular task
- ► **Determining the amount of time a worker spends on various activities**
- ► Specifying the content and methods to perform a job

Ref:
http://books.google.com.pk/books?id=B5j4D0U6QA0C&pg=PA127&lpg=PA127&dq=Determining+the+amount+of+time+a+worker+spends+on+various+activities&source=bl&ots=geHI2-3mR0&sig=eqWNikcpWGAHCSZtR7taWats1Dc&hl=en&ei=tvb-S8S2DpSh_Abt1pimCw&sa=X&oi=book_result&ct=result&resnum=10&ved=0CEQQ6AEwCQ#v=onepage&q&f=false **(See the Activity Sampling Second Paragraph)**

Question No: 34 (Marks: 1) - Please choose one
The advantages of specialization to management include all of the following EXCEPT:

- ► Rapid training of the workforce
- ► Ease in recruiting new workers
- ► **Fewer turnovers**
- ► Less boredom for workers

Ref:
http://books.google.com.pk/books?id=d3eREcsD35sC&pg=PA224&lpg=PA224&dq=Advantages+of+specialization+To+management+1+Rapid+training+of+the+work+force+2.Ease+in+recruiting+new+workers+3.+High+output+due+to+simple+and+repetitive+work&source=bl&ots=R5XoCdpdob&sig=H_j0m4evxgrOj_nOQ9b65cT3pg8&hl=en&ei=kwi3TbT0J8HU4wbg4aD_Dw&sa=X&oi=book_result&ct=result&resnum=2&ved=0CBgQ6AEwAQ#v=onepage&q&f=false

Question No: 35 (Marks: 1) - Please choose one
The disadvantages of specialization to management include all of the following EXCEPT:

- ► More absenteeism
- ► Minimum responsibility
- ► More turnover
- ► **More difficult to teach the job**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 06)**

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Question No: 36 (Marks: 1) - Please choose one
Which one of the following is NOT a business application of forecasting?

► Budgeting
► Capacity planning
► Inventory management
► **Quality control**

Ref: Forecasting in business forms the basis for budgeting and planning for capacity, sales, production, inventory, manpower, purchasing and more. **(Handouts Page No. 31)**

Question No: 37 (Marks: 1) - Please choose one
Services differ from manufacturing in all the following ways EXCEPT:

► Customers typically interact directly with the service delivery process.
► Consumption and production take place simultaneously.
► Services are intangible.
► **Services can be stored**

Ref: service operations are different from manufacturing operations in terms of

- Tangible and intangible output
- customer consumption
- use of labor and equipment
- customer contact
- customer participation in conversion process
- measuring activities and resources

http://wiki.answers.com/Q/How_do_service_operations_differ_from_manufacturing_operations

Question No: 38 (Marks: 1) - Please choose one
All of the following are examples of the transformation process EXCEPT:

► Cutting
► Packing
► **Facilitating**
► Labeling

Ref: Examples of Transforming process and input in Food Processor:

Inputs	**Process**
Raw vegetables	cleaning
Metal sheets	Making cans
Water	Making cans
Energy	Cutting
Labor	Cooking
Building	Packing
Equipment	Labeling

http://docs.google.com/viewer?a=v&q=cache:27Zjwa-o6_kJ:highered.mcgraw-hill.com/sites/dl/free/0070951675/436573/samplech01.pdf+examples+of+the+transformation+process+are+Cutting+%E2%96%BA+Packing+%E2%96%BA+Facilitating+%E2%

Note: Solve these papers by yourself
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96%BA+Labeling&hl=en&pid=bl&srcid=ADGEESi98aGPPXv5w0w-VBGRprednU-ENzzYtfDBdUfcf5sT5vBu0th2m1l74tG1Qt4oZOb-Fa69OEDb-QWocDFhQvspN6W9p8LqyxNvDaLoKOWUVy-_rmCYeoSCBOUcIepGwcQPLn7s&sig=AHIEtbQ8kba9NbTRC4loArQHlWN-H50AoQ

Question No: 39 (Marks: 1) - Please choose one
Which one of the following represents the series of a time forecast?

- ► Averaging, cycle, seasonality, random variations
- ► Trend, seasonality, exponential smoothing
- ► Trend, cycle, seasonality, moving average
- ► **Trend, cycle, seasonality, random variations**

Ref:
http://books.google.com/books?id=8JM6wU_sBc0C&pg=PA144&dq=Which+one+of+the+following+represents+the+series+of+a+time+forecast?++++++++++++++Averaging#v=onepage&q&f=false

Question No: 40 (Marks: 1) - Please choose one
Which of the following is a characteristic of linear regression?

- ► It is superior to a moving average
- ► **It is a causal forecasting model**
- ► It compensates for both trend and seasonal variations in demand
- ► It is superior to an exponential smoothing

Ref: Linear regression is used both for time series forecasting and for casual relationship forecasting. When the dependent variable (usually the vertical axis on the graph) changes as a result of time (plotted on the horizontal axis), it is time series analysis. When the dependent variable changes because of the change in another variable, this is a casual relationship (such as the demand of cold drinks increasing with the temperature).
http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+linear+regression+compensates+for+both+trend+and+seasonal+variations+in+demand&hl=en&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8KnR5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbQweGQ9quetmEqfenwFdiUUE2eZeg

Question No: 41 (Marks: 5)
Suppose you are working as an operation manager in an automobile company. Your company wants to move its manufacturing plant from one location to other location. What factors will affect the location decision according to your point of view?

Factors Affecting Location Decisions

The process of determining a geographic site for firms operations takes into account both manufacturing and marketing aspects. We just focus on the manufacturing aspects as it's more closely related to Operations Management

Manufacturing

- Favorable Labor Climate
- Proximity to markets.
- Quality of Life
- Proximity of Suppliers and Resources.
- Proximity to the Parent Company's facilities.
- Utilities, Taxes and Real estate costs.
- Other factors (expansion, construction costs, and location near the highway or main railways)

Question No: 42 (Marks: 5)

Calculate the exponential smoothing forecasts from the following data for the 6th period with constant (alpha) 0.40.

Period	**No. of complaints**
1	60
2	65
3	55
4	58
5	64

FORMULAE: Ft = Ft -1 + a (At-1 – Ft-1)

Ft = Coming timer period forecasting value
Ft-1 = 1 Past time forecasting value
a = Alpha Smoothing constant
At-1 = 1 Past time actual occurrence

At Period 1:

Ft = Ft -1 + a (At-1 – Ft-1)
Ft = 60 + 0.40 (0)
Ft = 60

At Period 02:

Ft = Ft -1 + a (At-1 – Ft-1)
Ft= 60 + 0.40 (60 – 60)
Ft = 60 + 0.40 (0)
Ft = 60

At Period 03:

Ft = Ft -1 + a (At-1 – Ft-1)
Ft= 60 + 0.40 (65 – 60)
Ft = 60 + 0.40 (5)
Ft = 60 +2
Ft = 62

At Period 04:

Ft = Ft -1 + a (At-1 – Ft-1)

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Ft= 62 + 0.40 (55 – 62)
Ft = 62 + 0.40 (-7)
Ft = 62 – 2.8
Ft = 59.2
At Period 05:
Ft = Ft -1 + a (At-1 – Ft-1)
Ft= 59.2 + 0.40 (58 – 59.2)
Ft = 59.2 + 0.40 (-0.48)
Ft = 59.2 – 0.192
Ft = 59.008
At Period 06:
Ft = Ft -1 + a (At-1 – Ft-1)
Ft= 59.008 + 0.40 (64 – 59.008)
Ft= 59.008 + 0.40 (4.992)
Ft= 59.008 + 1.9968
Ft= 61.0048

Paper No. 09

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 2)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one
Within the operations function, which one of the following is a long-term management decision?

- Control decision
- Non-operational decision
- **Strategic decision**
- Tactical decision

Ref: Strategic Importance
1. Long term commitment/costs
2. Impact on investments, revenues, and operations
3. Supply chains **(Handouts Page No. 95)**

Question No: 2 (Marks: 1) - Please choose one
Which one of the following forms of productivity has units of output per dollar input?

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► **Capital**
► Energy
► Labor
► Machine

Ref: Capital Productivity
Units of output per Rs. input
Dollar value of output per Rs. Input **(Handouts Page No. 19)**

Question No: 3 (Marks: 1) - Please choose one
Which one of the following is a measure of productivity that involves measuring inputs and outputs using a common unit of measurement?

► **Multifactor**
► Partial
► Single
► Total

Ref: Calculations of multifactor productivity measure inputs and outputs using a common unit of measurement, such as cost. For instance, the measure might use cost of inputs and units of the output:
http://docs.google.com/viewer?a=v&q=cache:bYWPs-Ig99IJ:highered.mcgraw-hill.com/sites/dl/free/0073525251/886181/stevenson11e_sample_ch02.pdf+Multifactor+is+a+measure+of+productivity+that+involves+measuring+inputs+and+outputs+using+a+common+unit+of+measurement&hl=en&gl=pk&pid=bl&srcid=ADGEEShIkJnaEXjh-LlA3HACWDXOFhSy4GxPv8YQXZJlU3WT0go2JJj8vnbbzyuq3hxydg1DjvPnqXn6l7_WK80EPhN15OYu_iNw-IuxMf0zGIxME7Z2JTjx1YPoSJERrLKF0cWbvkXb&sig=AHIEtbTWWf1ESOM052Hrkqk5mCU24fLbQA

Question No: 4 (Marks: 1) - Please choose one
The major business function consisting of research and development, product design, manufacturing, marketing, distribution, and customer service is refers to:

► Value chain
► The transformation process
► Quality control
► **Life cycle**

Ref:
http://books.google.com.pk/books?id=f5p17Sz5NLMC&pg=PA379&lpg=PA379&dq=of+research+and+development#v=onepage&q=of%20research%20and%20development&f=false

Question No: 5 (Marks: 1) - Please choose one
A business process is a logical set of tasks or activities that:

► Are specific to the operations function
► Are specific to the marketing function

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► **Are interdependent with other processes**
► Have exactly the same performance measures for any process

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter5/multiple_choice_quiz.html **(See the Question No. 05)**

Question No: 6 (Marks: 1) - Please choose one
Which one of the following formulae can be used to compute value?

► (Quality + Speed – Flexibility) / Cost
► **(Quality + Speed+ Flexibility) / Cost**
► (Quality + Speed - Cost) / Flexibility
► (Quality + Speed+ Cost) / Flexibility

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 7 (Marks: 1) - Please choose one
Which one the following formula or function can be used to measure the performance?

► Flexibility + profit+ operations
► Work + profit + value
► **Quality + speed + flexibility**
► Profit + Incentives + standards

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 8 (Marks: 1) - Please choose one
Which of the following statements corresponds to an order-winning characteristic?

► A factor which may be significant in other parts of the organization
► **A factor which gives an organization a competitive edge**
► A factor which serves as a minimum standard for purchase
► A factor which increases the profitability of the organization

Ref: order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitor's services. **(Handouts Page No. 15)**

Question No: 9 (Marks: 1) - Please choose one
As a manager, you have defined the purpose of the forecasts. What should be the **next** step in forecasting process?

► Choose a forecasting technique.
► Determine the purpose of the forecast.
► **Set up a time horizon or a time limit.**
► Collect and analyze the appropriate data.

Ref: Steps in the Forecasting Process:

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- **Determine the purpose of the forecast**: meaning what is the purpose and when will it be required. This will provide the level of detail for resources required man, machine, time and capital.
- **Establish a time horizon:** We already know that as time increases the accuracy of the Forecast decreases.
- **Select a forecasting technique:** whether qualitative or quantitative
- **Gather and analyze the appropriate data:** It goes without saying that before a forecast can be delivered data is required. The closer the real life data more realistic would be the forecast. This may be the time when you would like to identify the important assumptions and suppositions.
- **Prepare the forecast:**
- **Monitor the forecast:** A forecast has to be closely monitored to determine whether it is fulfilling its basic purpose. This helps in re-examining the method, assumptions and validity of the data and preparing a revised forecast.

Question No: 10 (Marks: 1) - Please choose one
Which one of the following forecasting technique is based on historical data?

► **Time series**
► Qualitative
► Judgmental
► Associative

Ref: Time series - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values. **(Handouts page no. 35)**

Question No: 11 (Marks: 1) - Please choose one
Which one of the following forecasting techniques use subjective inputs su from consumer surveys, sales staff, managers and experts?

►Time series
►Quantitative
►**Judgmental**
►Associative

Ref: Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts. These insights are not available publicly. **(Handouts Page No. 35)**

Question No: 12 (Marks: 1) - Please choose one
Which of the following approaches favors adopting a "go for it" strategy?

►Maximin
►**Maximax**
►Minimax regret

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►Laplace

Ref: Maximax:

- Maximax determines
- the best possible outcome
- Choose the Alternative with the best possible payoff.
- It does not take into account any other alternative then the best payoff.
- An optimistic approach.
- Go for it strategy. **(Handouts Page No. 26)**

Question No: 13 (Marks: 1) - Please choose one

Given the table:

Alternatives	**Possible future demand**	
	Low (Rs.)	**High (Rs.)**
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct payoff under MAXIMAX approach?

► Rs. 10,000
► Rs.18,000
► **Rs.20,000**
► Rs.32,000

Ref: Choose the Best maximum Value for MAXIMAX approach.

Question No: 14 (Marks: 1) - Please choose one

Which one of the following is NOT a step of decision making process?

►Develop alternatives
►Monitor results
►**Consider risk averseness strategies**
►Specify criteria for decision

Ref: Normally the decision making process involves the following six important steps

1. Specify Objectives and the Criteria for decision making
2. Develop Alternatives
3. Analyze and compare alternatives.
4. Select the best alternative.
5. Implement the chosen Alternative
6. Monitor the results to ensure the desired results are achieved.

(Handouts Page No. 24)

Question No: 15 (Marks: 1) - Please choose one

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Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

► Introduction
► Growth
► **Maturity**
► Decline

Ref: Maturity Stage. As the products of firms move into the maturity stage, attracting highly skilled individuals is no longer as high a priority. Firms in the mature stage have an extensive internal labour market and extensive training and development programs. Firms in this stage may pay high wages to retain skilled talent. Economic downturns are handled by employee layoffs. Conflict resolutions and due process under collective bargaining are the grievance procedures with third party arbitration (Kochan & Chalykoff, 1985). **The environment (customer demand and competitors) becomes more stable and predictable (but as competitive) in comparison with the growth stage**.

http://docs.google.com/viewer?a=v&q=cache:jQVb4SnKAYsJ:www.rci.rutgers.edu/~sjacksox/PDF/DeterminantsofHRMPrioritiesandImplications.pdf+stages+of+product+life+cycle+relates+to+more+predictable+behavior+in+terms+of+capacity+requirements&hl=en&gl=pk&pid=bl&srcid=ADGEESigJYxwqHconGqfCMjw0LjJ83rXBJuDpDj9ii07-2VUwmVTBF6K-Xm7xu1THfTijPxrsbqKJD0KKZziOIaotlvC4pPqcwxZ2J3KdX3QIQo8iw3VCTRAsXg2Pk69UvRqQsYng7dB&sig=AHIEtbS89CgRHNC6-p0WknAgth-vMlRvbg

Question No: 16 (Marks: 1) - Please choose one

Which one of the following statement is TRUE about cost-volume relationship?

► **It represents the relationship between cost, revenue and volume of output.**
► It represents the relationship between cost and volume of output.
► It represents the relationship between cost and revenue.
► It represents the relationship between inputs, cost and volume of output.

Ref: Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. **(Handouts Page No. 73)**

Question No: 17 (Marks: 1) - Please choose one

Which one of the following formulae can be used to compute break even point?

► Q = VC / (R - VC)
► **Q = FC / (R - VC)**
► Q = VC / (R + FC)
► Q = FC / (R + VC)

Ref: QBEP= FC/ (R-VC) **(Handouts Page No. 76)**

Question No: 18 (Marks: 1) - Please choose one

ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be

the break even point?

►833 units
►2000 units
►**5000 units**
►1012 units

Ref: QBEP = FC / (R - VC)
QBEP = 10000/ (7-5)
QBEP =10000/2
QBEP = 5000 Units

Question No: 19 (Marks: 1) - Please choose one
Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?

► Cash flow and fixed cost
► Present value and fixed cost
► **Cash flow and present value**
► Cash flow and profit

Ref: Operations manager along with managerial accountant often work to calculate what cash flow or present value in terms of rupees is available for the organization to proceed with a capacity alternative decision. **(Handouts Page No. 76)**

Question No: 20 (Marks: 1) - Please choose one
Which of the following is a system designed to coordinate all activities and information needed to complete business processes?

►**Enterprise resource planning**
►Supply chain management
►New product development
►Customer relationship management

Ref: Enterprise resource planning (ERP) is an enterprise-wide information system designed to coordinate all the resources, information, and activities needed to complete business processes such as order fulfillment or billing.
http://www.zbeanztech.com/open-source-erp

Question No: 21 (Marks: 1) - Please choose one
Which of the following is **NOT** a characteristic of product layouts?

►**High material handling costs**
►Sequential arrangement of machines
►Standardized output
►Continuous production system

Ref: http://www.authorstream.com/Presentation/partha.chatterjee004-831897-plant-layout/ **(See the Slide No. 5 and 6)**

Question No: 22 (Marks: 1) - Please choose one

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Which one of the following layout types is associated with car assembly?

- ► Fixed position layout
- ► Process layout
- ► **Product layout**
- ► Hybrid layout

Ref: Product – Layout should suit to the nature of product and its method of production. I.e. aircraft manufacturing and car manufacturing layouts will be different. Sales also affect the layout. http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 23 (Marks: 1) - Please choose one

In exponential smoothing model, a denotes:

- ► **Smoothing constant**
- ► Actual forecast
- ► Forecast error
- ► Previous forecast

Ref: α = Alpha smoothing constant **(Handouts page No. 40)**

Question No: 24 (Marks: 1) - Please choose one

Which one of the following designs resists modifications?

- ► **Frozen design**
- ► Product design
- ► Service design
- ► Robust design

Ref: Another disadvantage is that a manufacturer may freeze (standardize) a **design** prematurely and, once the **design** is **frozen**, it may find compelling reasons to resist modification.
http://webcache.googleusercontent.com/search?q=cache:ASewL4qNRRkJ:highered.mcgraw-hill.com/sites/dl/free/0073041912/354902/ste41912_ch04.pdf+Frozen+design+%E2%96%BA+Product+design+%E2%96%BA+Service+design+%E2%96%BA+Robust+design+resists+modifications&cd=3&hl=en&ct=clnk&gl=pk&source=www.google.com.pk

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is TRUE about Taguchi Approach?

- ► **To test the robustness of a design**
- ► To articulate the "voice of the customer"
- ► To reduce the degree of automation
- ► To create a concurrent design

Ref: The defining characteristics for the Taguchi approach include:

- Design a robust product
- Insensitive to environmental factors either in manufacturing or in use.
- Central feature is Parameter Design. **(Handouts Page No. 52)**

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Question No: 26 (Marks: 1) - Please choose one
Which one of the following refers to using some of the components of old products in the manufacturing of new products?

► Manufacturability
► **Remanufacturing**
► Robust design
► Automation

Ref: **Design for Remanufacturing:** Using some of the components of the old products in the manufacture of new products. **(Handouts Page No. 51)**

Question No: 27 (Marks: 1) - Please choose one
Which one of the following is a curve showing failure rate over time?

► Cost curve
► **Bath tub curve**
► Fish bone diagram
► Reliability curve

Ref: The figure above shows a bathtub shape and thus rightly is referred to as the Bathtub curve. On the Y axis we represent the Failure rate and on the X axis we represent the Time. **(Handouts Page No. 60)**

Question No: 28 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 250 hours between repairs, and the mean repair time is expected to be 3 hours?

► 1.01
► 5.03
► 3.0
► **0.98**

Ref: Availability = (MTBF)/ (MTBF + MTR)
Availability = 250 / (250+3)
Availability = 250 / 253 = **0.98**

Question No: 29 (Marks: 1) - Please choose one
Which one of the following is the goal of method analysis?

► **Dividing and analyzing a job**
► Check individual human motions used to perform an operation
► Determining the length of time it will take to undertake a particular task
► Determining the amount of time a worker spends on various activities

Ref: Design of Work Systems is used to describe the two basic approaches to job design. **(Handouts Page No. 87)**

Question No: 30 (Marks: 1) - Please choose one
Which one of the following is an example of regional factors that affect location decisions?

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► Transportation
► Quality of life
► Development support
► **Location of new markets**

Ref: Regional Factors

1. Location of raw materials
2. Location of markets
3. Labor factors
4. Climate and taxes **(Handouts Page No. 96)**

Question No: 31 (Marks: 1) - Please choose one

Which one of the following is an example of site related factors that affect location decision?

► **Transportation**
► Quality of life
► Location of new markets
► Location of raw materials

Ref: Site Related Factors

- Land
- Transportation
- Environmental
- Legal **(Handouts Page No. 96)**

Question No: 32 (Marks: 1) - Please choose one

Which one of the following statements is **true** about Occupational Safety Hygiene Administration (OSHA)?

► **To safeguard against potential hazards**
► To develop cost effective processes
► To implement legal standards
► To carry out implication of manufacturability and fitness

Ref: Under the OSH Act, OSHA develops and sets mandatory occupational safety and health requirements applicable to the more than 6 million workplaces in the U.S. OSHA relies on, among many others, industrial hygienists to evaluate jobs for potential health hazards.
http://www.laborcommission.utah.gov/UOSH/Outreach/ConstructionCD/www.osha.gov/SLTC/smallbusiness/sec5.html

Question No: 33 (Marks: 1) - Please choose one

Which one of the following is used to produce gasoline and petroleum products?

► Job shop
► Batch processing
► Assembly line
► **Continuous processing**

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Ref: http://highered.mcgraw-hill.com/sites/0073403296/student_view0/chapter7/multiple_choice_quiz.html **(See the Question No. 02)**

Question No: 34 (Marks: 1) - Please choose one
The type of processing structure that is used for producing discrete products at higher volume is:

► Continuous Flow
► **Assembly Line**
► Batch
► Job shop

Ref: http://highered.mcgraw-hill.com/sites/0072983906/student_view0/chapter6/multiple_choice_quiz.html **(See the Question No. 3)**

Question No: 35 (Marks: 1) - Please choose one
An example of a business/industry that uses batch flow process structure is:

►Commercial printer
►**Heavy equipment**
►Automobile assembly
►Sugar refinery

Ref: http://highered.mcgraw-hill.com/sites/0072983906/student_view0/chapter6/multiple_choice_quiz.html **(See the Question No. 04)**

Question No: 36 (Marks: 1) - Please choose one
Services differ from manufacturing in all the following ways EXCEPT:

► Customers typically interact directly with the service delivery process.
► Consumption and production take place simultaneously.
► Services are intangible.
► **Services can be stored**

Ref: service operations are different from manufacturing operations in terms of

- Tangible and intangible output
- customer consumption
- use of labor and equipment
- customer contact
- customer participation in conversion process
- measuring activities and resources

http://wiki.answers.com/Q/How_do_service_operations_differ_from_manufacturing_operations

Question No: 37 (Marks: 1) - Please choose one
Quality, costs, lead times, operating resources are all related to which one of the

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following strategies.

- ► Organizational strategy
- ► Financial strategy
- ► **Operational strategy**
- ► Tactical strategy

Ref: OPERATIONS STRATEGY: (Deals with the operations aspect of an organization). OS is related to products, processes, methods, operating resources, quality, costs, lead times, and scheduling.
http://docs.google.com/viewer?a=v&q=cache:Z8OTKodTI24J:bulatov.org.ua/teaching_courses/nam_operations/L2%2520PRODUCTIVITY,%2520COMPETITIVENESS,%2520STRATEGY.doc+Quality,+costs,+lead+times,+operating+resources+are+all+related+to+Operational+strategy&hl=en&pid=bl&srcid=ADGEESjFppdZdPqJCYGeE5eZ0lbXSbBIaQuAZHRq8WGSAb060LQFyePsZ7uLK3tBxikelBwidDvqI2uehI7dlnTODYpZMU2xVYk6oWk7IHpLh4hW3Brot6pOUAe-f0XbM42tJV6kLRzg&sig=AHIEtbTlW5C5SYPMTZqjIHd9wX_vuoJE6g

Question No: 38 (Marks: 1) - Please choose one
All of the following are examples of the transformation process EXCEPT:

- ► Cutting
- ► Packing
- ► **Facilitating**
- ► Labeling

Ref: Examples of Transforming process and input in Food Processor:

Inputs	**Process**
Raw vegetables	cleaning
Metal sheets	Making cans
Water	Making cans
Energy	Cutting
Labor	Cooking
Building	Packing
Equipment	Labeling

http://docs.google.com/viewer?a=v&q=cache:27Zjwa-o6_kJ:highered.mcgraw-hill.com/sites/dl/free/0070951675/436573/samplech01.pdf+examples+of+the+transformation+process+are+Cutting+%E2%96%BA+Packing+%E2%96%BA+Facilitating+%E2%96%BA+Labeling&hl=en&pid=bl&srcid=ADGEESi98aGPPXv5w0w-VBGRprednU-ENzzYtfDBdUfcf5sT5vBu0th2m1l74tG1Qt4oZOb-Fa69OEDb-QWocDFhQvspN6W9p8LqyxNvDaLoKOWUVy-_rmCYeoSCBOUcIepGwcQPLn7s&sig=AHIEtbQ8kba9NbTRC4loArQHlWN-H50AoQ

Question No: 39 (Marks: 1) - Please choose one
_____ purpose is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

- ► Total quality control

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► **Demand management**
► Forecasting
► Operations management

Ref:
http://books.google.com/books?id=d3eREcsD35sC&pg=PA551&dq=The+purpose+of+demand+management+is+to+coordinate+and+control+all+sources+of+demand+so+the+productive+system+can+be+used+efficiently+and+the+product&hl=en&ei=gTCOTfjdJpCmvgP9pbC5DQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDkQ6AEwAg#v=onepage&q=The%20purpose%20of%20demand%20management%20is%20to%20coordinate%20and%20control%20all%20sources%20of%20demand%20so%20the%20productive%20system%20can%20be%20used%20efficiently%20and%20the%20product&f=true

Question No: 40 (Marks: 1) - Please choose one
Which of the following is a characteristic of linear regression?

► It is superior to a moving average
► **It is a causal forecasting model**
► It compensates for both trend and seasonal variations in demand
► It is superior to an exponential smoothing

Ref: Linear regression is used both for time series forecasting and for casual relationship forecasting. When the dependent variable (usually the vertical axis on the graph) changes as a result of time (plotted on the horizontal axis), it is time series analysis. When the dependent variable changes because of the change in another variable, this is a casual relationship (such as the demand of cold drinks increasing with the temperature).
http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+linear+regression+compensates+for+both+trend+and+seasonal+variations+in+demand&hl=en&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8KnR5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbQweGQ9quetmEqfenwFdiUUE2eZeg

Paper No. 10

MIDTERM EXAMINATION
Spring 2010
MGT613- Production / Operations Management (Session - 5)
Solved By Honey G <abdulhaiee2004@gmail.com>

Time: 60 min

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Question No: 1 (Marks: 1) - Please choose one
Which one of the following forms of productivity has units of output per shift?

► Capital
► Energy
► **Labor**
► Machine

Ref: Labor Productivity:

- Units of output per labor hour
- Units of output per shift
- Value-added per labor hour **(Handouts Page No. 19)**

Question No: 2 (Marks: 1) - Please choose one
Operations manager is responsible for all of the following EXCEPT:

► Forecasting
► Capacity planning
► Inventory management
► **Distributing organizations' goods**

Ref: Operations Managers job responsibility includes but is not limited to:

- Forecasting
- Capacity planning
- Scheduling
- Inventory Management
- Quality Assurance and Control
- Motivating employees
- Deciding where to locate facilities **(Handouts Page No. 03)**

Question No: 3 (Marks: 1) - Please choose one
Which of the following is **NOT** a decision to be made by operations managers?

► How much capacity is required to balance demand?
► What should be the location and layout of a facility?
► How to improve operational efficiency?
► **Which market areas to manufacture the products for?**

Ref:
http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html **(See the Question No. 08)**

Question No: 4 (Marks: 1) - Please choose one
All of the following are the decision areas of an operations manager EXCEPT:

► **Financial reporting**
► Inventory management
► Scheduling tasks
► Supply chain management

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Ref: Major operations decisions areas **include inventory**, capacity, quality, **scheduling**, process type, technology, location, layout, and **supply chain management**. **http://en.allexperts.com/q/Management-Consulting-2802/2011/2/Production-Operations-Management-1.htm**

Question No: 5 (Marks: 1) - Please choose one
Which one of the following formulae can be used to compute value?

- ► (Quality + Speed – Flexibility) / Cost
- ► **(Quality + Speed+ Flexibility) / Cost**
- ► (Quality + Speed - Cost) / Flexibility
- ► (Quality + Speed+ Cost) / Flexibility

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 6 (Marks: 1) - Please choose one
Which one of the following forecasting techniques uses explanatory variables to predict future demand?

- ► **Quantitative forecast**
- ► Time series forecast
- ► Consumer survey
- ► Executive opinion

Ref: Associative model is the type of quantitative forecasting.
Associative Models: forecasting technique that uses explanatory variables to predict future demand. http://cramberry.net/sets/26728-operational-management-3

Question No: 7 (Marks: 1) - Please choose one
Which one of the following involves completing a series of questionnaires each developed from the previous one, to achieve a consensus forecast?

- ► Consumer surveys
- ► Executive opinion
- ► Time series forecast
- ► **Delphi method**

Ref: Delphi method: Managers and staff complete a series of questionnaires, each developed from the previous one, to achieve a consensus forecast. **(Handouts Page No35)**

Question No: 8 (Marks: 1) - Please choose one
In which one of the following situations, the use of a decision tree is required instead of a payoff table?

- ► When there are more than three states of nature
- ► When there are more than three decision payoffs
- ► When the decision situation encompasses an extended time period

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► **When a series of decisions is required**

Ref: However, a payoff table is usually limited to a single decision situation, as in our real estate investment example. If a decision situation requires a series of decisions, then a payoff table cannot be created, and a decision tree becomes the best method for decision analysis. http://flylib.com/books/en/3.287.1.160/1/

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is an implication of Laplace approach of decision making?

► The best of the worst possible payoff
► The best possible payoff
► **The best average payoff**
► The least of the worst regrets

Ref: Laplace, the best payoff of the average for each alternative. **(Handouts Page No. 27)**

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is a limitation of a moving average having a trend?

► **The forecast lags behind the actual**
► The forecast represents demand more accurately
► The forecast will not be accurate
► The forecast will not be reliable

Ref: If, over several periods, a time series shows a change in the average value which corresponds to the trend model, the forecast values always lag behind the actual values by one or several periods in the first-order exponential smoothing procedure. http://help.sap.com/saphelp_45b/helpdata/en/a5/6320e843a211d189410000e829fbbd/content.htm

Question No: 11 (Marks: 1) - Please choose one

Which of the following is a system designed to coordinate all activities and information needed to complete business processes?

► **Enterprise resource planning**
► Supply chain management
► New product development
► Customer relationship management

Ref: Enterprise resource planning (ERP) is an enterprise-wide information system designed to coordinate all the resources, information, and activities needed to complete business processes such as order fulfillment or billing.
http://www.zbeanztech.com/open-source-erp

Question No: 12 (Marks: 1) - Please choose one

Which of the following is **NOT** a characteristic of product layouts?

► **High material handling costs**
► Sequential arrangement of machines

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► Standardized output
► Continuous production system

Ref: http://www.authorstream.com/Presentation/partha.chatterjee004-831897-plant-layout/ **(See the Slide No. 5 and 6)**

Question No: 13 (Marks: 1) - Please choose one
What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?

► 0.03 minutes
► **1.8 minutes**
► 2700 minutes
► 291 minutes

Ref: CT= Time Cycle = Operating Time / Desire Output
CT= Time Cycle = 9 * 60 / 300 = **1.8 minutes**

Question No: 14 (Marks: 1) - Please choose one
Which of the following factors are considered in product and service design?

► Customer satisfaction, quality, and improvement costs
► Employee motivation, quality, and production costs
► Customer satisfaction, flexibility, and production costs
► **Customer satisfaction, quality, and production costs**

Ref: A good product/service design can ensure customer satisfaction, quality and production costs. **(Handouts Page No. 44)**

Question No: 15 (Marks: 1) - Please choose one
In order to comply with the environmental standards, an organization ABC has to implement Occupational Safety Hygiene Administration (OSHA).Which one of the following is a way to accomplish this task?

► Promoting friendly relations among employees
► **Installing safety guards and devices to reduce the risk of potential accidents**
► Installing machinery to make the process speedy
► Installing machinery that provides cost effective output

Ref: The main objective of this work was to analyze the occupational health and safety issues in the steel/iron re-rolling mills. The objectives are to identify the workplace accident risks and to certain the recommendations to evade these risks.
http://docs.google.com/viewer?a=v&q=cache:5vmpOun33BQJ:www.iepkc.org/7nsohs/parpers/A%2520Case%2520Study%2520OHS%2520---%2520Islamabad%2520-%2520Hira%2520amjad.pdf+Occupational+Safety+Hygiene+Administration+implement+Installing+safety+guards+and+devices+to+reduce+the+risk+of+potential+accidents&hl=en&gl=pk&pid=bl&srcid=ADGEESjVCZsxhbtlk27ez2kiT48yWHNjBP4Bp7xDrAzKH2OQcL-xkgZ12tEUONHstpxC9sZtu0YVJRdkLbZmU8OnSgFUMFeuyZG1K-PSYHgkMWGC92SFqlfcxwSZtaGplwWzA4lTVu-

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m&sig=AHIEtbQWvnlCJkI11nBMwos8uPmV4XYeRg

Question No: 16 (Marks: 1) - Please choose one
Which one of the following is TRUE about Taguchi Approach?

► **To test the robustness of a design**
► To articulate the "voice of the customer"
► To reduce the degree of automation
► To create a concurrent design

Ref: The defining characteristics for the Taguchi approach include:

- Design a robust product
- Insensitive to environmental factors either in manufacturing or in use.
- Central feature is Parameter Design. **(Handouts Page No. 52)**

Question No: 17 (Marks: 1) - Please choose one
Which one of the following refers to a design that takes into account organization's operational capabilities, when designing a product?

► Design for assembly
► **Design for manufacturing**
► Design for recycling
► Design for disassembly

Ref: Design for Manufacturing (DFM): The designers' consideration of the organization's manufacturing capabilities when designing a product. **(Handouts Page No. 51)**

Question No: 18 (Marks: 1) - Please choose one
Which one of the following mathematical expressions can be used to compute availability?

► **(MTBF)/ (MTBF+MTR)**
► (MTBF)/ (MTBF-MTR)
► (MTR)/ (MTBF+MTR)
► (MTR)\ (MTBF-MTR)

Ref: Availability = (MTBF)/ (MTBF + MTR) **(Handouts Page No. 63)**

Question No: 19 (Marks: 1) - Please choose one
Forecasting accuracy has_____ relation with time horizon.

► **Inverse**
► Linear
► Direct
► Parallel

Ref: Forecast accuracy decreases as time horizon increases indicating it is safe to make short range forecasts instead of long term forecasts. **(Handouts Page No. 33)**

Question No: 20 (Marks: 1) - Please choose one

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Which one of the following factors makes a forecast LESS perfect?

► **Randomness**
► Non serious attitude
► Non availability of data
► Un qualified personnel

Ref: Forecasts rarely perfect because of RANDOMNESS (having no specific pattern). Allowances should be made for inaccuracies**. (Handouts Page No. 33**

Question No: 21 (Marks: 1) - Please choose one
Which one of the following is a key benefit of process plant strategy?

► **Economies of scale**
► Diseconomies of scale
► Product variety
► Task specialization

Ref: http://books.google.com/books?id=tqVIT0xE4NAC&pg=PA369&dq=key+benefit+of+process+plant+strategy&hl=en&ei=cjd1TaX5LIfNrQeo39DRCg&sa=X&oi=book_result&ct=result&resnum=2&ved=0CDIQ6AEwAQ#v=onepage&q=key%20benefit%20of%20process%20plant%20strategy&f=false **(READ THE SECOND PARAGRAPH)**

Question No: 22 (Marks: 1) - Please choose one
Which one of the following is used to produce gasoline and petroleum products?

► Job shop
► Batch processing
► Assembly line
► **Continuous processing**

Ref: http://highered.mcgraw-hill.com/sites/0073403296/student_view0/chapter7/multiple_choice_quiz.html **(See the Question No. 02)**

Question No: 23 (Marks: 1) - Please choose one
Which of the following is **NOT** mark of a good layout in manufacturing?

► **Bottleneck operations**
► Straight line flow pattern (or adaption)
► Work stations close together
► Open plant floors (high visibility)

Ref: http://forecast.umkc.edu/ftppub/ba547/chapter_10.htm **(SEE THE QUESTION NO. 01)**

Question No: 24 (Marks: 1) - Please choose one
Services differ from manufacturing in all the following ways EXCEPT:

► Customers typically interact directly with the service delivery process.
► Consumption and production take place simultaneously.

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► Services are intangible.
► **Services can be stored**

Ref: service operations are different from manufacturing operations in terms of

- Tangible and intangible output
- customer consumption
- use of labor and equipment
- customer contact
- customer participation in conversion process
- measuring activities and resources

http://wiki.answers.com/Q/How_do_service_operations_differ_from_manufacturing_operations

Question No: 25 (Marks: 1) - Please choose one
All of the following are examples of time based strategies **EXCEPT**:

► Products /service design time
► Processing time
► Response time for complaints
► **Response time for innovation**

Ref: There are 6 time based strategies namely:-

1. **Planning Time:** The time required to react to a competitive threat, or to adopt new technologies, or to approve changes to an existing facility
2. **Products/Service Design Time:** The time needed to develop or market new or redesigned products or services
3. **Processing Time:** The time required to produce goods or services, includes repairing equipment, quality training, inventory etc
4. **Changeover Time:** is the time needed to change from producing one type of product or service to another. New model, new insurance /health service.
5. **Delivery Time:** is the time needed to fill orders.
6. **Response Time for complaints:** is the required to improve the model or service features according to customer inputs and improving employee working conditions. **(HANDOUTS PAGE NO. 18)**

Question No: 26 (Marks: 1) - Please choose one
Which one of the following statements relates to the final stage of product life cycle?

► Improve reliability, and reduce production costs
► **Improve packaging and reliability**
► Improve reliability, and reduce quality
► Improve reliability, and reduce promotion costs

Ref: DECLINE: In this phase, most of the organizations adopt a defensive design R&D Strategy in an attempt to prolong the life of the product by employing new packaging, redesigning it, improving its reliability.
http://www.websukat.com/TQM-product-life-cycle.htm

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Question No: 27 (Marks: 1) - Please choose one
Which one of the following is responsible for administering environmental issues about product and service design?

► Central Board of Revenue
► **Environmental Protection Agency**
► Federal Drug Agency
► **Occupational Safety Hygiene Administration**

Ref: Environmental. Operations Manager should also work with in the same Environmental laws as his organization. EPA is active in all countries including Pakistan and even a CEO can be jailed if there is a failure to comply with the Environment laws. **(HANDOUS PAGE NO. 47)**

Question No: 28 (Marks: 1) - Please choose one
Which of the following layouts facilitates the handling of varied processing requirements?

► Product layout
► **Process layout**
► Fixed-position layout
► Hybrib/Combination layout

Ref: Process layout. A Layout that can handle varied processing requirements. **(Handouts Page No. 80)**

Question No: 29 (Marks: 3)
How many multiple plant strategies are used in a company having multiple manufacturing facilities?
Mostly following are the below given multiple manufacturing facilities are used With combination in plant strategies;

- Product plant strategy
- Market area plant strategy
- Process plant strategy

Question No: 30 (Marks: 3)
What are the key steps involved in formulating a capacity planning strategy?
Following are the key steps involved in formulating a capacity planning strategy;
Steps for formulating a Capacity Planning Strategy

1. Estimate future capacity requirements
2. Evaluate existing capacity
3. Identify alternatives
4. Conduct financial analysis
5. Assess key qualitative issues
6. Select one alternative
7. Implement alternative chosen
8. Monitor results

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Question No: 31 (Marks: 5)
Suppose you are the operations manager of ABC Corporation. To develop competence in business operations, you have to decide either to rely on the facilities available in-house or outsource. What are some of the factors you would base the decision on?
Following are the factors which are available to us in order to decide whether to develop a competence in house or outsource competent organization to supply that product, service or particular expertise.

1. **Available capacity** if an organization has the equipment, necessary skills and time, it often makes sense to produce an item or perform a service in house. The additional costs would be relatively small compared with those required to buy items or subcontract them.

2. **Expertise.** If a firm lacks the expertise to do a job satisfactorily, buying might be a reasonable alternative.

3. **Quality considerations.** Firms that specialize can usually offer higher quality than an organization can attain itself. Conversely, special quality requirements or the ability to closely monitor quality may cause an organization to perform a job itself.

4. **Nature of demand.** When demand for an item is high and steady, the organization is often better off doing the work itself. However, wide fluctuations in demand or small orders are usually better handled by specialists, who are able to combine orders from multiple sources, which results in higher volume and tend to offset individual buyer fluctuation.

5. **Cost.** Any cost savings achieved from buying or making must be weighed against the preceding factors. Cost savings might come from the item itself or from transportation cost savings.

6. **Risk.** Outsourcing or buying the services carries risk; often companies retain flexibility by carrying out certain critical activities in house and repetitive menial activities through outsourcing.

Question No: 32 (Marks: 5)
"Standardization plays an important role in product design". How will you describe this role?
Standardization plays an important role in product design, because Standardization is the extent to which there is an absence of variety in a product, service or process.

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- Opportunities for long production runs and automation .Uninterrupted stock of components available, so production can be controlled and if possible a demand forecast may be used.

- Need for fewer parts justify increased expenditures on perfecting designs and improving quality control procedures. The company can free up its inventory carrying costs and use it on increasing its long term tangible and intangible quality standards

- Reduced training costs and time. An important advantage and can improve productivity.

Paper No. 11

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 2)
Solved By Honey G <abdulhaiee2004@gmail.com>

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Question No: 1 (Marks: 1) - Please choose one

Who developed the use of standardization in large-scale mass production using a moving assembly line?

► Frederick Winslow Taylor
► Frank Gilbreth
► Adam Smith
► **Henry Ford**

Ref: Mass production (also called **flow production**, **repetitive flow production**, **series production**, or **serial production**) is the production of large amounts of standardized products, including and especially on assembly lines. Mass production was popularized in the 1910s and 1920s by Henry Ford's Ford Motor Company, which introduced electric motors to the then-well-known technique of chain or sequential production.
http://en.wikipedia.org/wiki/Mass_production **OR**
http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter1/multiple_choice_quiz.html **(See the Question No. 05)**

Question No: 2 (Marks: 1) - Please choose one

Within the operations function, which one of the following is a long-term management decision?

► Control decision
► Non-operational decision
► **Strategic decision**
► Tactical decision

Ref: Strategic Importance
1. Long term commitment/costs
2. Impact on investments, revenues, and operations
3. Supply chains **(Handouts Page No. 95)**

Question No: 3 (Marks: 1) - Please choose one

Which one of the following forms of productivity has units of output per shift?

► Capital
► Energy
► **Labor**
► Machine

Ref: Labor Productivity:
- Units of output per labor hour
- Units of output per shift
- Value-added per labor hour **(Handouts Page No. 19)**

Question No: 4 (Marks: 1) - Please choose one

Which one of the following forms of productivity has units of output per dollar input?

► **Capital**
► Energy
► Labor
► Machine

Ref: Capital Productivity
Units of output per Rs. input
Dollar value of output per Rs. Input **(Handouts Page No. 19)**

Question No: 5 (Marks: 1) - Please choose one

Operations manager is responsible for all of the following EXCEPT:

► Forecasting
► Capacity planning
► Inventory management
► **Distributing organizations' goods**

Ref: Operations Managers job responsibility includes but is not limited to:
- Forecasting
- Capacity planning
- Scheduling
- Inventory Management
- Quality Assurance and Control

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- Motivating employees
- Deciding where to locate facilities **(Handouts Page No. 03)**

Question No: 6 (Marks: 1) - Please choose one

Which of the following is NOT usually considered a general characteristic of a service?

► Production and sales cannot easily be separated functionally
► Many services involve both tangible and intangible outputs
► **Production and consumption can always be separated**
► Degree of customer contact is high

Ref:. Since services are intangible, they cannot be stored. The production and consumption of a service usually occur at the same time.
http://docs.google.com/viewer?a=v&q=cache:L4jyS-JP7UsJ:highered.mcgraw-hill.com/sites/dl/free/0073403318/823112/Sample_Chap_01.pdf+Which+of+the+following+is+NOT+usually+considered+a+general+characteristic+of+a+service%3F+%E2%96%BA+Production+and+sales+cannot+easily+be+separated+functionally+%E2%96%BA+Many+services+involve+both+tangible+and+intangible+outputs+%E2%96%BA+Production+and+consumption+can+always+be+separated+%E2%96%BA+Degree+of+customer+contact+is+high&hl=en&gl=pk&pid=bl&srcid=ADGEEShuWM-Q96C6O4K2DaS9KmGK-rPQprFwAtcLde-7pLcrju7ARaKaP-W0cfES19wotDRnGLRXY2mt2-ESMdhRisXsgqIHrkAVBjXKgzKtFi9C8cxTZbCpNt1A4s-LEGwm619tSfgJ&sig=AHIEtbSbq2OWcRtK1dw4gNnlnLQJb-T-Kw

Question No: 7 (Marks: 1) - Please choose one

Which of the following is **NOT** a decision to be made by operations managers?

► How much capacity is required to balance demand?
► What should be the location and layout of a facility?
► How to improve operational efficiency?
► **Which market areas to manufacture the products for?**

Ref:
http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html **(See the Question No. 08)**

Question No: 8 (Marks: 1) - Please choose one

A business process is a logical set of tasks or activities that:

► Are specific to the operations function
► Are specific to the marketing function
► **Are interdependent with other processes**
► Have exactly the same performance measures for any process

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter5/multiple_choice_quiz.html **(See the Question No. 05)**

Question No: 9 (Marks: 1) - Please choose one

Which one of the following formulae can be used to compute value?

► (Quality + Speed – Flexibility) / Cost
► **(Quality + Speed+ Flexibility) / Cost**
► (Quality + Speed - Cost) / Flexibility
► (Quality + Speed+ Cost) / Flexibility

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 10 (Marks: 1) - Please choose one

Which of the following refers to the essential elements of operations strategy?

► Policies, tactics and objectives
► Plans, strategies and vision
► Mission, goals and plans
► **Mission, policies and distinctive competencies**

Question No: 11 (Marks: 1) - Please choose one

Which one of the following correctly explains the qualitative forecasting technique?

► It consists mainly of numerical descriptions and defies subjective inputs of managers.
► It consists mainly of subjective inputs and defies particular numerical descriptions
► **It consists mainly of subjective inputs and defies human factor, personal opinions**.
► It consists mainly of analyzing objective and hard data and defies human factor, opinion.

Ref: Qualitative Techniques which use subjective inputs and no numerical data. It relies solely on soft information like human factors, personal opinion, hunches. Thus Qualitative Forecasts are often biased and tilted towards what the management wants to predict**. (Handouts Page No. 34)**

Question No: 12 (Marks: 1) - Please choose one

Which of the following approaches favors adopting a "go for it" strategy?

►Maximin
►**Maximax**
►Minimax regret
►Laplace

Ref: Maximax:

- Maximax determines
- the best possible outcome
- Choose the Alternative with the best possible payoff.
- It does not take into account any other alternative then the best payoff.

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- An optimistic approach.
- Go for it strategy. **(Handouts Page No. 26)**

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is an outcome of Maximax?

- The best of the worst possible payoff
- **The best possible payoff**
- The best average payoff
- The least of the worst regrets

Ref: Maximax:

- Maximax determines
- the best possible outcome
- Choose the Alternative with the best possible payoff.
- It does not take into account any other alternative then the best payoff.
- An optimistic approach.
- Go for it strategy. **(Handouts Page No. 26)**

Question No: 14 (Marks: 1) - Please choose one

Which one of the following is a limitation of a moving average having a trend?

- **The forecast lags behind the actual**
- The forecast represents demand more accurately
- The forecast will not be accurate
- The forecast will not be reliable

Ref: If, over several periods, a time series shows a change in the average value which corresponds to the trend model, the forecast values always lag behind the actual values by one or several periods in the first-order exponential smoothing procedure. http://help.sap.com/saphelp_45b/helpdata/en/a5/6320e843a211d189410000e829fbbd/content.htm

Question No: 15 (Marks: 1) - Please choose one

Which of the following is a technique that averages a number of recent actual values that are updated as new values become available?

- **Simple moving average**
- Delphi method
- Trend adjusted forecast
- Naïve forecast

Ref: Moving average – A technique that averages a number of recent actual values, updated as new values become available. **(Handouts Page No. 37)**

Question No: 16 (Marks: 1) - Please choose one

A workers strike represents which of the following behaviors of a time series?

- Cycle

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- Trend
- Seasonality
- **Irregular variations**

Ref: Irregular variations - caused by unusual circumstances such as severe weathers, earthquakes, worker strikes, or major change in product or service**. (Handouts Page No. 37)**

Question No: 17 (Marks: 1) - Please choose one

Which one of the following is called as the difference between designed and utilized capacity?

- Design capacity
- Effective capacity
- **Buffer capacity**
- Utilization rate

Ref: Capacity cushion or buffer is the difference between designed and utilized capacity. http://www.docstoc.com/docs/54960443/Lecture-16ppt **(See the Slide No. 05)**

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is an index used to measure actual output relative to design capacity?

- Efficiency
- Effective capacity
- Effectiveness
- **Utilization**

Ref: It can be expressed as a ratio, where utilization = actual output divided by design capacity. This measure is used in both capacity planning and capacity requirements planning processes. http://www.bnet.com/topics/capacity+utilization

Question No: 19 (Marks: 1) - Please choose one

The formula for determining the required cycle time is operation time per day divided by:

- Sum of task times
- Actual output per day (in units)
- Number of workstations
- **Desired output (in units)**

Ref: Cycle time is the maximum time allowed at each workstation to complete its set of tasks on a unit. If CT represents cycle time and D represents the desired output then we can calculate cycle time as **(Handouts Page No. 85)**

Question No: 20 (Marks: 1) - Please choose one

Which one of the following layout type is associated with a restaurant?

- Fixed position layout
- Process layout
- Product layout

- **Hybrid layout**

Ref: http://books.google.com.pk/books?id=sWtlOeC-3pEC&pg=PA111&lpg=PA111&dq=Hybrid+layout++is+associated+with+a+restaurant&source=bl&ots=sL8qmiQ-be&sig=nzSNWZT-NbCFBtjrw0k73nnMMGc&hl=en&ei=UHe4Tdu5GoLJhAenzpGXDw&sa=X&oi=book_result&ct=result&resnum=4&ved=0CCkQ6AEwAw#v=onepage&q&f=false

Question No: 21 (Marks: 1) - Please choose one

Which one of the following mathematical expressions can be used to compute output capacity?

- **OT/CT**
- CT/OT
- CT+OT
- CT-OT

Ref: OC = Output Capacity = OT/CT **(HANDOUTS PAGE NO. 85)**

Question No: 22 (Marks: 1) - Please choose one

What would be the output capacity if an assembly line operates for 7 hours per day with a cycle time of 2.0 minutes?

- 210 units per day
- **3.5 units per day**
- 0.004 units per day
- 14 units per day

Ref: Output Capacity = Operating Time / Cycle Time
Output Capacity = 7 / 2.0
Output Capacity = 3.5 Units per day

Question No: 23 (Marks: 1) - Please choose one

Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?

- **Exponential smoothing**
- Linear regression
- Judgmental forecast
- Naive forecast

Ref: In many applications (perhaps in most), the most recent occurrences are more indicative of the future than those in the more distant past. If this premise is valid – "that the importance of data diminishes as the past becomes more distant" - then exponential smoothing may be the most logical and easiest method to use. http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+Exponential+smoothing+is+based+on+the+assumption+that+past+data+is+more+indicative+of+the+future+than+the+most+recent+occurrences&hl=en&gl=pk&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8Kn

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R5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbTwalQd7sTFtecd46RVg72u_ZLEEg

Question No: 24 (Marks: 1) - Please choose one

Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?

- **Functional design**
- Production design
- Service design
- Product design

Ref:
http://books.google.com/books?id=7m8VJP0I_ksC&pg=PA47&dq=design+meets+the+performance+characteristics+that+are+specified+in+the+product+concept&hl=en&ei=m8l0TduJJ8fKrAfEwuDSCg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q=design%20meets%20the%20performance%20characteristics%20that%20are%20specified%20in%20the%20product%20concept&f=false

Question No: 25 (Marks: 1) - Please choose one

CBR stands for which one of the following?

- Commercial board of revenue
- Central board of recycling
- Central board of renovation
- **Central board of revenue**

Ref: CBR denotes Center Board of Revenue **(Handouts Page No. 46)**

Question No: 26 (Marks: 1) - Please choose one

In order to comply with the environmental standards, an organization ABC has to implement Occupational Safety Hygiene Administration (OSHA).Which one of the following is a way to accomplish this task?

- Promoting friendly relations among employees
- **Installing safety guards and devices to reduce the risk of potential accidents**
- Installing machinery to make the process speedy
- Installing machinery that provides cost effective output

Ref: The main objective of this work was to analyze the occupational health and safety issues in the steel/iron re-rolling mills. The objectives are to identify the workplace accident risks and to certain the recommendations to evade these risks.
http://docs.google.com/viewer?a=v&q=cache:5vmpOun33BQJ:www.iepkc.org/7nsohs/parpers/A%2520Case%2520Study%2520OHS%2520---%2520Islamabad%2520-%2520Hira%2520amjad.pdf+Occupational+Safety+Hygiene+Administration+implement+Installing+safety+guards+and+devices+to+reduce+the+risk+of+potential+accidents&hl=en&gl=pk&pid=bl&srcid=ADGEESjVCZsxhbtlk27ez2kiT48yWHNjBP4Bp7xDrAzKH

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2OQcL-xkgZ12tEUONHstpxC9sZtu0YVJRdkLbZmU8OnSgFUMFeuyZG1K-PSYHgkMWGC92SFqlfcxwSZtaGplwWzA4lTVu-m&sig=AHIEtbQWvnlCJkI11nBMwos8uPmV4XYeRg

Question No: 27 (Marks: 1) - Please choose one

Which of the following is an advantage of standardization?

- Frozen designs
- Customized parts
- **Interchangeable parts**
- Reduced variety

Ref: Advantages of Standardization

- Interchangeable parts
- Orders can be filled from inventory
- Easier repair & replacement
- Lower design costs. http://docs.google.com/viewer?a=v&q=cache:-HcGpKkXXGsJ:mkuyzu.etu.edu.tr/Chp4.pdf+advantage+of+standardization%3F+%E2%96%BA+Frozen+designs+%E2%96%BA+Customized+parts+%E2%96%BA+Interchangeable+parts+%E2%96%BA+Reduced+variety&hl=en&gl=pk&pid=bl&srcid=ADGEEShgD0r40WYN7Ah8bToiQKVOUwMol8VFKVcS2vJeitlzsbJWm6fdzboUL8-C9RzapNADGHnArzelc8KscxcMNZXHbDSWJAfakyrzuLT3Ww2YhDSABe-_l4JurNU6Ji-LS_qqG5AQ&sig=AHIEtbQ1hSU2is9EsB7nuPrO6QYqRiIzBQ

Question No: 28 (Marks: 1) - Please choose one

Which of the following refers to translate the voice of the customer into technical design requirements?

- Concurrent design
- Design for manufacture
- Robust design
- **Quality functional deployment**

Ref: A popular managerial view is that the Quality Function should be deployed at the source or at the design stage. We also should know what Quality Function Deployment is. Two common answers being that it is the voice of the customer (which always sets a standard for the service organization to follow) and the second one being that it should be in the form of a house of quality **(Handouts Page No. 55)**

Question No: 29 (Marks: 1) - Please choose one

A product 'A' is specified to work well up to 30 degree Celsius temperature and 30% humidity. What would these specifications represent?

- Reliability factor
- **Standard conditions**
- Normal operating conditions
- Standard operating procedure

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Honey G

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Ref: standard condition for temperature and pressure (informally abbreviated as **STP**) are standard sets of conditions for experimental measurements, to allow comparisons to be made between different sets of data.
http://en.wikipedia.org/wiki/Standard_conditions_for_temperature_and_pressure

Question No: 30 (Marks: 1) - Please choose one

What would be the availability if a carpenter is expected to be able to operate for 350 hours between repairs, and the mean repair time is expected to be 3 hours?

- **0.99**
- 1.0
- 3.0
- 7.03

Ref: Availability = (MTBF) / (MTBF + MTR)
Availability = (350) / (350+3)
Availability =350 / 353
Availability = 0.99

Question No: 31 (Marks: 1) - Please choose one

What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?

- 6.02
- 2.0
- **0.99**
- 0.006

Ref: Availability = (MTBF) / (MTBF + MTR)
MTBF = Mean time between factor =300
MTR = Mean repair time =2 hours
Availability = (300) / (300+2)
Availability =300 / 302
Availability = 0.99

Question No: 32 (Marks: 1) - Please choose one

Which of the following management level is responsible for long-range capacity planning?

- Lower management
- Middle management
- **Top management**
- Non managerial employees

Question No: 33 (Marks: 1) - Please choose one

Capacity planning involves answering all of the following questions EXCEPT:

- What kind of capacity is needed?
- How much is needed?

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► When is it needed?
► **Who is going to decide?**

Ref: These questions are:

7. What kind of capacity is needed?
8. How much is needed?
9. When is it needed? **(Handouts Page No. 64)**

Question No: 34 (Marks: 1) - Please choose one

The disadvantages of specialization to management include all of the following EXCEPT:

► More absenteeism
► Minimum responsibility
► More turnover
► **More difficult to teach the job**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 06)**

Question No: 35 (Marks: 1) - Please choose one

Which of the following can be used to compute standard time?

► Multiplying the elemental average time by the rating factor
► Dividing the average elemental time by the rating factor
► Multiplying the normal cycle time by the rating factor
► **Multiplying the normal cycle time by one plus the allowance factor**

Ref: Standard Time=ST=NT X AF is the normal time plus allowance for delays like (getting a glass of water or going to the washroom human needs) **(Handouts Page No. 92)**

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is an example of community factors that affect location decisions?

► Transportation
► **Quality of life**
► Location of new markets
► Location of raw materials

Ref: Community Considerations

- Quality of life
- Services
- Attitudes
- Taxes
- Environmental regulations
- Utilities

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- Developer support **(Handouts Page No. 96)**

Question No: 37 (Marks: 1) - Please choose one

Which one of the following statements is **true** about Occupational Safety Hygiene Administration (OSHA)?

► **To safeguard against potential hazards**
► To develop cost effective processes
► To implement legal standards
► To carry out implication of manufacturability and fitness

Ref: Under the OSH Act, OSHA develops and sets mandatory occupational safety and health requirements applicable to the more than 6 million workplaces in the U.S. OSHA relies on, among many others, industrial hygienists to evaluate jobs for potential health hazards.
http://www.laborcommission.utah.gov/UOSH/Outreach/ConstructionCD/www.osha.gov/SLTC/smallbusiness/sec5.html

Question No: 38 (Marks: 1) - Please choose one

Which of the following is the primary input in capacity planning?

► Supply chain capabilities
► Competitors' strengths
► **Demand forecasts**
► Overall cost estimates

Ref: Besides service level requirements, the other key input into the capacity planning process is a forecast or plan for the organization's future. Capacity planning is really just a process for determining the optimal way to satisfy business requirements such as forecasted increases in the amount of work to be done, while at the same time meeting service level requirements. http://www.teamquest.com/pdfs/whitepaper/tqwp23.pdf

Question No: 39 (Marks: 1) - Please choose one

Services differ from manufacturing in all the following ways EXCEPT:

► Customers typically interact directly with the service delivery process.
► Consumption and production take place simultaneously.
► Services are intangible.
► **Services can be stored**

Ref: service operations are different from manufacturing operations in terms of

- Tangible and intangible output
- customer consumption
- use of labor and equipment
- customer contact
- customer participation in conversion process
- measuring activities and resources

http://wiki.answers.com/Q/How_do_service_operations_differ_from_manufacturing_ope

rations

Question No: 40 (Marks: 1) - Please choose one

Forecasting for groups tend to be more accurate than forecasting for individual items because:

- ► A group is composed of a number of items
- ► A group exhibits a uniform behavior
- ► **A group cancels the forecasting errors among items**
- ► A group behavior is relatively less uncertain

Ref: Forecasts more accurate for groups vs. individuals naturally because forecasting errors in a group tend to cancel out forecasting errors for individuals**. (Handouts page No. 33)**

Question No: 41 (Marks: 5)

Given the table:

Alternatives Possible future demand

	Low (Rs.)	**High (Rs.)**
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Calculate Maximax, Laplace and Minimax regret?

Maximax:

Choose the Best maximum Value for MAXIMAX approach which is 20,000

Laplace:

Small facility = 10000+8000=18000/2 =9000

Medium facility = 12000+20000 = 32000/2 = 16000

Large facility = 18000+15000 = 33000/2= 16500

So the Best Possible average is 16500 Laplace.

Minimax:

The minimum Amount is Rs. 8000

Question No: 42 (Marks: 5)

Suppose you are working as an operation manager in an automobile company. Your company wants to move its manufacturing plant from one location to other location. What factors will affect the location decision according to your point of view?

Factors Affecting Location Decisions

The process of determining a geographic site for firms operations takes into account both manufacturing and marketing aspects. We just focus on the manufacturing aspects as it's more closely related to Operations Management

Manufacturing

- ➢ Favorable Labor Climate
- ➢ Proximity to markets.
- ➢ Quality of Life

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- Proximity of Suppliers and Resources.
- Proximity to the Parent Company's facilities.
- Utilities, Taxes and Real estate costs.
- Other factors (expansion, construction costs, and location near the highway or main railways)

Paper No. 12

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 1)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one

Within the operations function, which one of the following is a long-term management decision?

► Control decision
► Non-operational decision
► **Strategic decision**
► Tactical decision

Ref: Strategic Importance
1. Long term commitment/costs
2. Impact on investments, revenues, and operations
3. Supply chains **(Handouts Page No. 95)**

Question No: 2 (Marks: 1) - Please choose one

What would be the productivity if 9 workers installed 650 square yards of carpeting in 6 hours?

► **12.03 square yards/hr**
► 72.20 square yards/hr
► 108.30 square yards/hr
► 5850 square yards/hr

Ref: Productivity = Output Quantity / Input Quantity
Productivity = 650 / (9 * 6)
Productivity = 650/54 = **12.03 Square yards**

Question No: 3 (Marks: 1) - Please choose one

All of the following are the decision areas of an operations manager EXCEPT:

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► **Financial reporting**
► Inventory management
► Scheduling tasks
► Supply chain management

Ref: Major operations decisions areas **include inventory**, capacity, quality, **scheduling**, process type, technology, location, layout, and **supply chain management**. **http://en.allexperts.com/q/Management-Consulting-2802/2011/2/Production-Operations-Management-1.htm**

Question No: 4 (Marks: 1) - Please choose one

Which of the following statements corresponds to an order-winning characteristic?

► A factor which may be significant in other parts of the organization
► **A factor which gives an organization a competitive edge**
► A factor which serves as a minimum standard for purchase
► A factor which increases the profitability of the organization

Ref: order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitor's services. **(Handouts Page No. 15)**

Question No: 5 (Marks: 1) - Please choose one

Which one of the following correctly explains the elements of a good forecast?

► Timely, having a purpose, accurate, written, reliable, meaningful
► Timely, accurate, judgmental, correctness, verbal, simple to use
► Timely, accurate, reliable, meaningful, written, simple to use
► Timely, accurate, reliable, consistent, meaningful, written, simple to use

Ref: Requirements of a Good Forecast

- Timely
- Reliable
- Accuracy.
- Meaningful
- Written/Documented.
- Simple **(Handouts Page No. 34)**

Question **No: 6 (Marks: 1) - Please choose one**

Which one of the following correctly explains the quantitative forecasting technique?

► **It consists mainly of numerical descriptions and resist subjective inputs of managers.**
► It consists mainly of subjective inputs and resist particular numerical descriptions.
► It consists mainly of subjective inputs and resist human factor, personal opinions.
► It consists mainly of analyzing objectives and hard data and resist human factor, opinion.

Ref: Quantitative research focuses on numbers or quantities. Quantitative studies have

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results that are based on numeric analysis and statistics. Often, these studies have many participants. It is not unusual for there to be over a thousand people in a quantitative research study. It is ideal to have a large number of participants because this gives analysis more statistical power. http://www.associatedcontent.com/article/1622269/what_is_the_difference_between_qualitative.html

Question No: 7 (Marks: 1) - Please choose one

Which one of the following forecasting techniques uses explanatory variables to predict future demand?

- ► **Associative forecast**
- ► Time series forecast
- ► Consumer survey
- ► Executive opinion

Ref: Associative Models: forecasting technique that uses explanatory variables to predict future demand. http://cramberry.net/sets/26728-operational-management-3

Question No: 8 (Marks: 1) - Please choose one

Which one of the following involves completing a series of questionnaires each developed from the previous one, to achieve a consensus forecast?

- ► Consumer surveys
- ► Executive opinion
- ► Time series forecast
- ► **Delphi method**

Ref: Delphi method: Managers and staff complete a series of questionnaires, each developed from the previous one, to achieve a consensus forecast. **(Handouts Page No35)**

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is a limitation of a moving average having a trend?

- ► **The forecast lags behind the actual**
- ► The forecast represents demand more accurately
- ► The forecast will not be accurate
- ► The forecast will not be reliable

Ref: If, over several periods, a time series shows a change in the average value which corresponds to the trend model, the forecast values always lag behind the actual values by one or several periods in the first-order exponential smoothing procedure. http://help.sap.com/saphelp_45b/helpdata/en/a5/6320e843a211d189410000e829fbbd/content.htm

Question No: 10 (Marks: 1) - Please choose one

Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics?

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► **Simple moving average**
► Delphi method
► Trend adjusted forecast
► Naïve forecast

Ref: The Moving Average model takes the average of several periods of data; the result is a dampened or smoothed data set; use this model when demand is stable and there is no evidence of a trend or seasonal pattern. http://www.shmula.com/forecasting-unweighted-and-weighted-moving-average-model/308/

Question No: 11 (Marks: 1) - Please choose one

Effective capacity is influenced by all of the following factors **EXCEPT**:

► Facilities
► **Product mix**
► Processes
► Operations

Ref: There are 7 determinants of effective capacity namely:

- Facilities.
- Product and service factors
- Process factors
- Human factors
- Operational factors
- Supply chain factors
- External factors **(Handouts Page No. 66 and 67)**

Question No: 12 (Marks: 1) - Please choose one

Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

► Introduction
► Growth
► **Maturity**
► Decline

Ref: Maturity Stage. As the products of firms move into the maturity stage, attracting highly skilled individuals is no longer as high a priority. Firms in the mature stage have an extensive internal labour market and extensive training and development programs. Firms in this stage may pay high wages to retain skilled talent. Economic downturns are handled by employee layoffs. Conflict resolutions and due process under collective bargaining are the grievance procedures with third party arbitration (Kochan & Chalykoff, 1985). **The environment (customer demand and competitors) becomes more stable and predictable (but as competitive) in comparison with the growth stage**.
http://docs.google.com/viewer?a=v&q=cache:jQVb4SnKAYsJ:www.rci.rutgers.edu/~sjacksox/PDF/DeterminantsofHRMPrioritiesandImplications.pdf+stages+of+product+life+cycle+relates+to+more+predictable+behavior+in+terms+of+capacity+requirements&hl=e

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Question No: 13 (Marks: 1) - Please choose one

Which one of the following statement is TRUE about cost-volume relationship?

- **It represents the relationship between cost, revenue and volume of output.**
- It represents the relationship between cost and volume of output.
- It represents the relationship between cost and revenue.
- It represents the relationship between inputs, cost and volume of output.

Ref: Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. **(Handouts Page No. 73)**

Question No: 14 (Marks: 1) - Please choose one

Which one of the following refers to the volume of output at which total cost equals total revenue?

- Optimal operating rate
- **Break even point**
- Feasible volume
- Utilization

Question No: 15 (Marks: 1) - Please choose one

Which one of the following manufacturing process is associated with high volume car manufacture?

- Job shop
- **Assembly line**
- Batch
- Automation

Ref: Before discussing JIT look at in-line assembly systems (traditionally used in **high volume car manufacture**)
http://webcache.googleusercontent.com/search?q=cache:rJ2HjqtUCIQJ:www.ocr.org.uk/download/sm/ocr_13258_sm_gce_unit_f524.doc+%22manufacturing+process%22+for+%22high+volume+car+manufacture?%22&hl=en

Question No: 16 (Marks: 1) - Please choose one

Which one of the following statements is NOT correct about cycle time?

- It represents daily operating time divided by desired production
- It is the maximum allowable time at each work station
- It determines the time often items take to roll off in assembly line
- **It is the time required to complete a product from start to finish**

Ref: The cycle time is **not** the time required to complete a product from start to finish.

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This value would be the cycle time multiplied by the number of workstations. http://www.cbpa.ewu.edu/~pnemetzmills/OMch5/pracanswers.html **(See the Question No. 02)**

Question No: 17 (Marks: 1) - Please choose one

Which one of the following layout type is associated with a restaurant?

- ► Fixed position layout
- ► Process layout
- ► Product layout
- ► **Hybrid layout**

Ref: http://books.google.com.pk/books?id=sWtlOeC-3pEC&pg=PA111&lpg=PA111&dq=Hybrid+layout++is+associated+with+a+restaurant&source=bl&ots=sL8qmiQ-be&sig=nzSNWZT-NbCFBtjrw0k73nnMMGc&hl=en&ei=UHe4Tdu5GoLJhAenzpGXDw&sa=X&oi=book_result&ct=result&resnum=4&ved=0CCkQ6AEwAw#v=onepage&q&f=false

Question No: 18 (Marks: 1) - Please choose one

Which of the following layout types is associated with a supermarket?

- ►Fixed position layout
- ►**Process layout**
- ►Product layout
- ►Cellular layout

Ref: Supermarket layouts are essentially process layouts, http://docs.google.com/viewer?a=v&q=cache:lSjqXnqJinsJ:hkilter.com/courses/541/isl541_06.ppt+Which+of+the+following+layout+types+is+associated+with+a+supermarket%3F+%E2%96%BAFixed+position+layout+%E2%96%BAProcess+layout+%E2%96%BAProduct+layout+%E2%96%BACellular+layout&hl=en&gl=pk&pid=bl&srcid=ADGEESgjL0-us6bizOKeoG1FGkiYM86aIVo2pXsLNVhz2QCo4kalE27S2tQ6SGYrSzkeJHrBPIQd8zLHJm81nlwYCUNOvk8tSFyigfDzc4g8VsRZepfWBN0HTMjj8J8Fghtf50D4L0VW&sig=AHIEtbTxrTJMUmkozSV9o2BjZrPMqDx2HQ

Question No: 19 (Marks: 1) - Please choose one

Which one of the following layout types is associated with car assembly?

- ► Fixed position layout
- ► Process layout
- ► **Product layout**
- ► Hybrid layout

Ref: Product – Layout should suit to the nature of product and its method of production. I.e. aircraft manufacturing and car manufacturing layouts will be different. Sales also affect the layout. http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 20 (Marks: 1) - Please choose one

In which one of the following techniques, the least squares method models uses one dependent and one or more independent variables?

- Trend adjusted forecast
- Simple moving average
- **Regression analysis**
- Exponential smoothing

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter9/multiple_choice_quiz.html **(See the Question No. 02)**

Question No: 21 (Marks: 1) - Please choose one

In exponential smoothing model, a denotes:

- **Smoothing constant**
- Actual forecast
- Forecast error
- Previous forecast

Ref: α = Alpha smoothing constant **(Handouts page No. 40)**

Question No: 22 (Marks: 1) - Please choose one

Which one of the following is responsible for administering environmental issues about product and service design?

- Central Board of Revenue
- **Environmental Protection Agency**
- Federal Drug Agency
- **Occupational Safety Hygiene Administration**

Ref: Environmental. Operations Manager should also work with in the same Environmental laws as his organization. EPA is active in all countries including Pakistan and even a CEO can be jailed if there is a failure to comply with the Environment laws. **(HANDOUS PAGE NO. 47)**

Question No: 23 (Marks: 1) - Please choose one

Which of the following takes into consideration the design of a esthetics of the product?

- Functional design
- Production design
- Service design
- **Product design**

Ref:
http://books.google.com.pk/books?id=CFlyglsIINYC&pg=PA40&dq=design+of+aesthetics+of+the+product&hl=en&ei=gdZzTaWSNM6O4gb8pc3JDQ&sa=X&oi=boo#v=onepage&q=design%20of%20aesthetics%20of%20the%20product&f=false

Question No: 24 (Marks: 1) - Please choose one

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Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?

- **Functional design**
- Production design
- Service design
- Product design

Ref:
http://books.google.com/books?id=7m8VJP0I_ksC&pg=PA47&dq=design+meets+the+performance+characteristics+that+are+specified+in+the+product+concept&hl=en&ei=m8l0TduJJ8fKrAfEwuDSCg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q=design%20meets%20the%20performance%20characteristics%20that%20are%20specified%20in%20the%20product%20concept&f=false

Question No: 25 (Marks: 1) - Please choose one

Which of the following factors are considered in product and service design?

- Customer satisfaction, quality, and improvement costs
- Employee motivation, quality, and production costs
- Customer satisfaction, flexibility, and production costs
- **Customer satisfaction, quality, and production costs**

Ref: A good product/service design can ensure customer satisfaction, quality and production costs. **(Handouts Page No. 44)**

Question No: 26 (Marks: 1) - Please choose one

CBR stands for which one of the following?

- Commercial board of revenue
- Central board of recycling
- Central board of renovation
- **Central board of revenue**

Ref: CBR denotes Center Board of Revenue **(Handouts Page No. 46)**

Question No: 27 (Marks: 1) - Please choose one

An automatic car wash is an example of which of the following?

- Customized service
- Batch processing
- Intermittent processing
- **Standardized service**

Ref: Standardized service implies that every customer or item processed receives essentially the same service. An automatic car wash is a good example.
http://highered.mcgraw-hill.com/sites/dl/free/0070911894/90584/2ndSampleCh4.pdf

Question No: 28 (Marks: 1) - Please choose one

Which one of the following statements relates to the final stage of product life cycle?

- Improve reliability, and reduce production costs

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► **Improve packaging and reliability**
► Improve reliability, and reduce quality
► Improve reliability, and reduce promotion costs

Ref: DECLINE: In this phase, most of the organizations adopt a defensive design R&D Strategy in an attempt to prolong the life of the product by employing new packaging, redesigning it, improving its reliability.
http://www.websukat.com/TQM-product-life-cycle.htm

Question No: 29 (Marks: 1) - Please choose one

Which one of the following statements is TRUE about product life cycle?

►It depicts demand of a product at various price levels
►**It depicts demand of a product with respect to time**
►It relates demand of a product to quality
►It relates demand of a product to market share

Ref: (See the handouts Page No.50 Diagrammed)

Question No: 30 (Marks: 1) - Please choose one

Technology has impacted the work place by:

►Adding to the existing geographical barriers for recruiting
►Increasing the cost of telecommuting
►Increasing the amount required to be spent on training
►**Unifying the workforce to a common skill level**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No.10)**

Question No: 31 (Marks: 1) - Please choose one

CPFR stands for which of the following?

► Collaborative Promotion, Forecasting, and Replenishment
► Collaborative Planning, Forecasting, and Reactivity
► Co-operative Planning, Function, and Replenishment
► **Collaborative Planning, Forecasting, and Replenishment**

Ref: CPFR is an acronym derived from the first letters of the following phrase: Collaborative Planning, Forecasting and Replenishment. **(Handouts Page No. 177)**

Question No: 32 (Marks: 1) - Please choose one

Forecasting accuracy has relation with time horizon.

► **Inverse**
► Linear
► Direct
► Parallel

Ref: Forecast accuracy decreases as time horizon increases indicating it is safe to make short range forecasts instead of long term forecasts. **(Handouts Page No. 33)**

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Question No: 33 (Marks: 1) - Please choose one

Which one of the following is a key benefit of process plant strategy?

► **Economies of scale**
► Diseconomies of scale
► Product variety
► Task specialization

Ref:
http://books.google.com/books?id=tqVIT0xE4NAC&pg=PA369&dq=key+benefit+of+process+plant+strategy&hl=en&ei=cjd1TaX5LIfNrQeo39DRCg&sa=X&oi=book_result&ct=result&resnum=2&ved=0CDIQ6AEwAQ#v=onepage&q=key%20benefit%20of%20process%20plant%20strategy&f=false **(READ THE SECOND PARAGRAPH)**

Question No: 34 (Marks: 1) - Please choose one

Which one the following is an assumption of center of gravity method?

► The quantity to be shipped is variable
► **The quantity to be shipped is fixed**
► The quantity carries no value
► The quantity to be shipped should be extraordinarily high

Ref:
http://books.google.com.pk/books?id=AbFUpMcYPZUC&pg=PA160&lpg=PA160&dq=center+of+gravity+method+quantity+to+be+shipped+is+fixed&source=bl&ots=D0NnQmf8Ds&sig=LOP6V_PWiWa9CxYDLBx3CAOqxM8&hl=en&ei=TzO0TfngAoKr8APpj4iWDA&sa=X&oi=book_result&ct=result&resnum=3&ved=0CCIQ6AEwAg#v=onepage&q=center%20of%20gravity%20method%20quantity%20to%20be%20shipped%20is%20fixed&f=false

Question No: 35 (Marks: 1) - Please choose one

Which of the following is the primary input in capacity planning?

► Supply chain capabilities
► Competitors' strengths
► **Demand forecasts**
► Overall cost estimates

Ref: Besides service level requirements, the other key input into the capacity planning process is a forecast or plan for the organization's future. Capacity planning is really just a process for determining the optimal way to satisfy business requirements such as forecasted increases in the amount of work to be done, while at the same time meeting service level requirements. http://www.teamquest.com/pdfs/whitepaper/tqwp23.pdf

Question No: 36 (Marks: 1) - Please choose one

The type of processing structure that is used for producing discrete products at higher volume is:

► Continuous Flow

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► **Assembly Line**
► Batch
► Job shop

Ref: http://highered.mcgraw-hill.com/sites/0072983906/student_view0/chapter6/multiple_choice_quiz.html **(See the Question No. 3)**

Question No: 37 (Marks: 1) - Please choose one

Quality, costs, lead times, operating resources are all related to which one of the following strategies.

► Organizational strategy
► Financial strategy
► **Operational strategy**
► Tactical strategy

Ref: OPERATIONS STRATEGY: (Deals with the operations aspect of an organization). OS is related to products, processes, methods, operating resources, quality, costs, lead times, and scheduling.
http://docs.google.com/viewer?a=v&q=cache:Z8OTKodTI24J:bulatov.org.ua/teaching_courses/nam_operations/L2%2520PRODUCTIVITY,%2520COMPETITIVENESS,%2520STRATEGY.doc+Quality,+costs,+lead+times,+operating+resources+are+all+related+to+Operational+strategy&hl=en&pid=bl&srcid=ADGEESjFppdZdPqJCYGeE5eZ0lbXSbBIaQuAZHRq8WGSAb060LQFyePsZ7uLK3tBxikelBwidDvqI2uehI7dlnTODYpZMU2xVYk6oWk7IHpLh4hW3Brot6pOUAe-f0XbM42tJV6kLRzg&sig=AHIEtbTlW5C5SYPMTZqjIHd9wX_vuoJE6g

Question No: 38 (Marks: 1) - Please choose one

The Strategies which are more focused on maintaining or improving the quality of an organization's products or services are known as:

► Quality at the source
► Time based strategies
► Cost leadership strategies
► **Quality-based strategies**

Ref: Quality-based strategies
Focuses on maintaining or improving the quality of an organization's products or services (Handouts Page No. 18)

Question No: 39 (Marks: 1) - Please choose one

Which of the following is **NOT** an attribute to classify services?

► **Tangibility**
► Perishability
► Simultaneity
► Courtesy

Ref: Services are all intangible. For example cleaning something or delivering a pizza

they are services they don't produce anything.
http://answers.yahoo.com/question/index?qid=20090320204146AAlPtZT

Question No: 40 (Marks: 1) - Please choose one

Forecasting for groups tend to be more accurate than forecasting for individual items because:

- ► A group is composed of a number of items
- ► A group exhibits a uniform behavior
- ► **A group cancels the forecasting errors among items**
- ► A group behavior is relatively less uncertain

Ref: Forecasts more accurate for groups vs. individuals naturally because forecasting errors in a group tend to cancel out forecasting errors for individuals. **(Handouts page No. 33)**

Question No: 41 (Marks: 5)

How would you reveal the usefulness of naive forecasts?

- ➢ Naive forecasting (NF) techniques are quantitative forecasting tools that use only the historical data of the variable being forecasted in the analysis. Therefore, all other influences that may impact on the variable are excluded from the analysis and the forecast.
- ➢ NF provides a convenient way to generate quick and easy forecasts for the short time horizon.
- ➢ Forecast is not affected by environment.
- ➢ The forecast will miss turning points.

Question No: 42 (Marks: 5)

Which process system would you suggest for the following business/industry?

French restaurants	**(Job Shop Process)**
Heavy equipment	**(Batch Flow Process)**
Sugar refinery	**(Continuous Flow Process)**
Automobile assembly	**(Product layout)**
Commercial printer	**(Job Shop Process)**

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Paper No. 13

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 4)

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Composed & Solved

Honey G

Vu Askari Team

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Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one

Who developed the use of standardization in large-scale mass production using a moving assembly line?

- ► Frederick Winslow Taylor
- ► Frank Gilbreth
- ► Adam Smith
- ► **Henry Ford**

Ref: Mass production (also called **flow production**, **repetitive flow production**, **series production**, or **serial production**) is the production of large amounts of standardized products, including and especially on assembly lines. Mass production was popularized in the 1910s and 1920s by Henry Ford's Ford Motor Company, which introduced electric motors to the then-well-known technique of chain or sequential production.
http://en.wikipedia.org/wiki/Mass_production **OR**
http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter1/multiple_choice_quiz.html **(See the Question No. 05)**

Question No: 2 (Marks: 1) - Please choose one

The management of systems or processes that creates goods and provides services is known as:

- ► **Operation Management**
- ► Operation/production Management
- ► Operation/Research Management
- ► Production/Research Management

Ref: Operations Management (The management of systems or processes that create goods and/or provide services) **(Handouts Page No. 03)**

Question No: 3 (Marks: 1) - Please choose one

Which of the following statements corresponds to an order-winning characteristic?

- ► A factor which may be significant in other parts of the organization
- ► **A factor which gives an organization a competitive edge**
- ► A factor which serves as a minimum standard for purchase
- ► A factor which increases the profitability of the organization

Ref: order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitor's services. **(Handouts Page No. 15)**

Question No: 4 (Marks: 1) - Please choose one

Which one of the following correctly explains the quantitative forecasting technique?

- ► **It consists mainly of numerical descriptions and resist subjective inputs of managers.**

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► It consists mainly of subjective inputs and resist particular numerical descriptions.
► It consists mainly of subjective inputs and resist human factor, personal opinions.
► It consists mainly of analyzing objectives and hard data and resist human factor, opinion.

Ref: Quantitative research focuses on numbers or quantities. Quantitative studies have results that are based on numeric analysis and statistics. Often, these studies have many participants. It is not unusual for there to be over a thousand people in a quantitative research study. It is ideal to have a large number of participants because this gives analysis more statistical power. **http://www.associatedcontent.com/article/1622269/what_is_the_difference_between_qualitative.html**

Question No: 5 (Marks: 1) - Please choose one
Which one of the following is a pessimistic approach in decision making theory?

► **Maximin**
► Maximax
► Minimax regret
► Laplace

Ref: Maximin

- Maximin determines the worst payoff for each alternative; the operations manager chooses the best worst alternative. Meaning the least (best) of the worst.
- It is a pessimistic approach.
- Ensures a guaranteed minimum **(Handouts Page No. 26)**

Question No: 6 (Marks: 1) - Please choose one
In which one of the following decision environments it is impossible to assess the likelihood of various future events?

► Risk
► Bounded rationality
► Certainty
► **Uncertainty**

Ref: Uncertainty: environments it is impossible to assess the likelihood of various future events. http://nrmt.files.wordpress.com/2011/04/15-decision-making-strategies.pdf

Question No: 7 (Marks: 1) - Please choose one
Given the table:

Possible	Alternatives future demand	
	Low (Rs.)	High (Rs.)
Small facility	10,000	8,000
Medium facility	12,000	20,000

Large facility	18,000	15,000

Which one of the following is the correct payoff under LAPLACE approach?

- ► Rs. 9,000
- ► Rs. 16,000
- ► Rs. 33,000
- ► **Rs. 16,500**

Ref: Take average for each alternative and choose the alternative with best average.
Small facility = 10000+8000=18000/2 =9000
Medium facility = 12000+20000 = 32000/2 = 16000
Large facility = 18000+15000 = 33000/2= 16500

Question No: 8 (Marks: 1) - Please choose one
Which one of the following is an index used to measure actual output relative to design capacity?

- ► Efficiency
- ► Effective capacity
- ► Effectiveness
- ► **Utilization**

Ref: It can be expressed as a ratio, where utilization = actual output divided by design capacity. This measure is used in both capacity planning and capacity requirements planning processes. http://www.bnet.com/topics/capacity+utilization

Question No: 9 (Marks: 1) - Please choose one
Effective capacity is influenced by all of the following factors **EXCEPT**:

- ► Facilities
- ► **Product mix**
- ► Processes
- ► Operations

Ref: There are 7 determinants of effective capacity namely:

- Facilities.
- Product and service factors
- Process factors
- Human factors
- Operational factors
- Supply chain factors
- External factors **(Handouts Page No. 66 and 67)**

Question No: 10 (Marks: 1) - Please choose one
ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?

- ►833 units

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► 2000 units
► **5000 units**
► 1012 units

Ref: QBEP = FC / (R - VC)
QBEP = 10000/ (7-5)
QBEP =10000/2
QBEP = 5000 Units

Question No: 11 (Marks: 1) - Please choose one
Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?

► Cash flow and fixed cost
► Present value and fixed cost
► **Cash flow and present value**
► Cash flow and profit

Ref: Operations manager along with managerial accountant often work to calculate what cash flow or present value in terms of rupees is available for the organization to proceed with a capacity alternative decision. **(Handouts Page No. 76)**

Question No: 12 (Marks: 1) - Please choose one
The process selection should take into account all of the following EXCEPT:

► Capacity planning
► Design of work systems
► **Production forecasts**
► Selection of technology

Ref: Process Selection refers to the way an organization chooses to produce its good or services. It takes into account selection of technology, capacity planning, layout of facilities, and design of work systems. **(Handouts Page No. 77)**

Question No: 13 (Marks: 1) - Please choose one
Which one of the following is an example of business that uses job shop process structure?

► **French restaurants**
► Heavy equipment
► Sugar refinery
► Automobile assembly

Ref: Examples of a job shop include a machine tool shop, a factory machining center, paint shops, a French restaurant, a commercial printing shop, and other manufacturers that make custom products in small lot sizes. **http://www.enotes.com/small-business-encyclopedia/job-shop**

Question No: 14 (Marks: 1) - Please choose one
Assembly lines relate most closely to a:

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- Functional layout
- **Product layout**
- Process layout
- Departmental layout

Ref: Assembly lines are a special case of product layout. In a general sense, the term assembly line refers to progressive assembly linked by some material handling device. http://docs.google.com/viewer?a=v&q=cache:3jUTDWx2e4IJ:www.ateneonline.it/chase2e/studenti/tn/6184-7_tn05.pdf+Assembly+lines+relate+most+closely+to+a:+%E2%96%BA+Functional+layout+%E2%96%BA+Product+layout+%E2%96%BA+Process+layout+%E2%96%BA+Departmental+layout&hl=en&gl=pk&pid=bl&srcid=ADGEESh8r19njYE70vMpgQzCTpHYGtIHlnmve9br89oTuU_polHaRdI1wM9dTpef325TYLnQrGfqlLZQN7v1tHTYHdzIBcO_H-HqJsTShQcxtKw8_4hfncmLzFGuSbmRyBtQgm3VrYB2&sig=AHIEtbRFRHNLG1Fl6jhNlX6n128_iEgUMg

Question No: 15 (Marks: 1) - Please choose one
Which one of the following mathematical expressions can be used to compute output capacity?

- **OT/CT**
- CT/OT
- CT+OT
- CT-OT

Ref: OC = Output Capacity = OT/CT **(HANDOUTS PAGE NO. 85)**

Question No: 16 (Marks: 1) - Please choose one
Which one of the following is an application of simple exponential smoothing?

- Establishing durability
- Finding reliability
- **Scheduling services**
- Quality improvement

Question No: 17 (Marks: 1) - Please choose one
Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?

- **Exponential smoothing**
- Linear regression
- Judgmental forecast
- Naive forecast

Ref: In many applications (perhaps in most), the most recent occurrences are more indicative of the future than those in the more distant past. If this premise is valid – "that the importance of data diminishes as the past becomes more distant" - then exponential smoothing may be the most logical and easiest method to use.

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http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+Exponential+smoothing+is+based+on+the+assumption+that+past+data+is+more+indicative+of+the+future+than+the+most+recent+occurrences&hl=en&gl=pk&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8KnR5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbTwalQd7sTFtecd46RVg72u_ZLEEg

Question No: 18 (Marks: 1) - Please choose one
Which of the following factors are considered in product and service design?

- ► Customer satisfaction, quality, and improvement costs
- ► Employee motivation, quality, and production costs
- ► Customer satisfaction, flexibility, and production costs
- ► **Customer satisfaction, quality, and production costs**

Ref: A good product/service design can ensure customer satisfaction, quality and production costs**. (Handouts Page No. 44)**

Question No: 19 (Marks: 1) - Please choose one
Which one of the following refers to using some of the components of old products in the manufacturing of new products?

- ► Manufacturability
- ► **Remanufacturing**
- ► Robust design
- ► Automation

Ref: **Design for Remanufacturing:** Using some of the components of the old products in the manufacture of new products. **(Handouts Page No. 51)**

Question No: 20 (Marks: 1) - Please choose one
Which one of the following mathematical expressions can be used to compute availability?

- ► **(MTBF)/ (MTBF+MTR)**
- ► (MTBF)/ (MTBF-MTR)
- ► (MTR)/ (MTBF+MTR)
- ► (MTR)/ (MTBF-MTR)

Ref: Availability = (MTBF)/ (MTBF + MTR) **(Handouts Page No. 63)**

Question No: 21 (Marks: 1) - Please choose one
Which one of the following is a curve showing failure rate over time?

- ► Cost curve
- ► **Bath tub curve**
- ► Fish bone diagram
- ► Reliability curve

Ref: The figure above shows a bathtub shape and thus rightly is referred to as the Bathtub curve. On the Y axis we represent the Failure rate and on the X axis we represent the Time. **(Handouts Page No. 60)**

Question No: 22 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 350 hours between repairs, and the mean repair time is expected to be 3 hours?

- **0.99**
- 1.0
- 3.0
- 7.03

Ref: Availability = (MTBF) / (MTBF + MTR)
Availability = (350) / (350+3)
Availability =350 / 353
Availability = 0.99

Question No: 23 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?

- 6.02
- 2.0
- **0.99**
- 0.006

Ref: Availability = (MTBF) / (MTBF + MTR)
MTBF = Mean time between factor =300
MTR = Mean repair time =2 hours
Availability = (300) / (300+2)
Availability =300 / 302
Availability = 0.99

Question No: 24 (Marks: 1) - Please choose one
Which of the following is NOT an emerging trend in the workplace?

- Increasing workplace diversity
- **Decreasing work schedule flexibility**
- Increasing number of part time jobs
- Increasing use of temporary labor

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 09)**

Question No: 25 (Marks: 1) - Please choose one
Which one of the following is NOT a business application of forecasting?

- Budgeting

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► Capacity planning
► Inventory management
► **Quality control**

Ref: Forecasting in business forms the basis for budgeting and planning for capacity, sales, production, inventory, manpower, purchasing and more. **(Handouts Page No. 31)**

Question No: 26 (Marks: 1) - Please choose one
Which one of the following factors makes a forecast LESS perfect?

► **Randomness**
► Non serious attitude
► Non availability of data
► Un qualified personnel

Ref: Forecasts rarely perfect because of RANDOMNESS (having no specific pattern). Allowances should be made for inaccuracies**. (Handouts Page No. 33**

Question No: 27 (Marks: 1) - Please choose one
Which one of the following is an example of regional factors that affect location decisions?

► Transportation
► Quality of life
► Development support
► **Location of new markets**

Ref: Regional Factors

5. Location of raw materials
6. Location of markets
7. Labor factors
8. Climate and taxes **(Handouts Page No. 96)**

Question No: 28 (Marks: 1) - Please choose one
Which one of the following location strategies is favored by automobile manufacturers?

► Product plant strategy
► **Process plant strategy**
► Market area plant strategy
► Cost conservation strategy

Ref: Process plant strategy: (Sharing of Problems/Improvements among plants) in this different plants concentrate on different aspects of a process.
E.g. Automobile manufacturers use this approach with different plants for Engines, Transmissions, Body Stamping, and Radiators.
http://www.scribd.com/doc/50297174/11/Multiple-Plant-Strategies

Question No: 29 (Marks: 1) - Please choose one
Which one of the following is a key benefit of process plant strategy?

► **Economies of scale**

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► Diseconomies of scale
► Product variety
► Task specialization

Ref:
http://books.google.com/books?id=tqVIT0xE4NAC&pg=PA369&dq=key+benefit+of+process+plant+strategy&hl=en&ei=cjd1TaX5LIfNrQeo39DRCg&sa=X&oi=book_result&ct=result&resnum=2&ved=0CDIQ6AEwAQ#v=onepage&q=key%20benefit%20of%20process%20plant%20strategy&f=false **(READ THE SECOND PARAGRAPH)**

Question No: 30 (Marks: 1) - Please choose one
Which one of the following statements is **true** about Occupational Safety Hygiene Administration (OSHA)?

► **To safeguard against potential hazards**
► To develop cost effective processes
► To implement legal standards
► To carry out implication of manufacturability and fitness

Ref: Under the OSH Act, OSHA develops and sets mandatory occupational safety and health requirements applicable to the more than 6 million workplaces in the U.S. OSHA relies on, among many others, industrial hygienists to evaluate jobs for potential health hazards.
http://www.laborcommission.utah.gov/UOSH/Outreach/ConstructionCD/www.osha.gov/SLTC/smallbusiness/sec5.html

Question No: 31 (Marks: 1) - Please choose one
Which one of the following is NOT an input in the transformation process?

► Information
► Services
► **Facilities**
► Materials

Ref: Inputs include materials, inventory, services, and land, and energy, human and capital resources. **(Handouts Page No. 02)**
ALSO SEE THIS LINK FOR FURTHER EXPLANATION:
http://www.jpcmediallc.com/acrobat/managment.pdf

Question No: 32 (Marks: 1) - Please choose one
Forecasting for groups tend to be more accurate than forecasting for individual items because:

► A group is composed of a number of items
► A group exhibits a uniform behavior
► **A group cancels the forecasting errors among items**
► A group behavior is relatively less uncertain

Ref: Forecasts more accurate for groups vs. individuals naturally because forecasting errors in a group tend to cancel out forecasting errors for individuals. **(Handouts page**

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No. 33)

Question No: 33 (Marks: 1) - Please choose one
Which one of the following is a possible disadvantage of a moving average forecast?

- ► The method is unable to forecast the demand accurately
- ► The method is easy to compute and easy to understand
- ► **All the values in the average are weighted equally**
- ► The most recent values are given the more weightage

Ref: One disadvantage of using moving averages for forecasting is that in calculating the average all the observations are given equal weight.
http://people.brunel.ac.uk/~mastjjb/jeb/or/forecast.html

Question No: 34 (Marks: 1) - Please choose one
The purpose of _____ is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

- ► Total quality control
- ► **Demand management**
- ► Forecasting
- ► Operations management

Ref:
http://books.google.com/books?id=d3eREcsD35sC&pg=PA551&dq=The+purpose+of+demand+management+is+to+coordinate+and+control+all+sources+of+demand+so+the+productive+system+can+be+used+efficiently+and+the+product&hl=en&ei=gTCOTfjdJpCmvgP9pbC5DQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDkQ6AEwAg#v=onepage&q=The%20purpose%20of%20demand%20management%20is%20to%20coordinate%20and%20control%20all%20sources%20of%20demand%20so%20the%20productive%20system%20can%20be%20used%20efficiently%20and%20the%20product&f=true

Question No: 35 (Marks: 1) - Please choose one
Which one of the following forecasting methods uses subjective inputs such as opinions from consumer surveys, sales staff, managers and experts?

- ► Time series model
- ► Least Square method
- ► **Judgmental forecasting model**
- ► Associative forecasting model

Ref: Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts. These insights are not available publicly. **(Handouts Page No. 35)**

Question No: 36 (Marks: 1) - Please choose one
Which of the following is a technique that averages a number of recent actual values that

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are updated as new values become available?

- **Simple moving average**
- Delphi method
- Trend adjusted forecast
- Naïve forecast

Ref: Moving average – A technique that averages a number of recent actual values, updated as new values become available. **(Handouts Page No. 37)**

Question No: 37 (Marks: 1) - Please choose one
Which one of the following statement is TRUE about cost-volume relationship?

- **It represents the relationship between cost, revenue and volume of output.**
- It represents the relationship between cost and volume of output.
- It represents the relationship between cost and revenue.
- It represents the relationship between inputs, cost and volume of output.

Ref: Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. **(Handouts Page No. 73)**

Question No: 38 (Marks: 1) - Please choose one
Which one of the following statements represents use of cost-volume analysis?

- It is a tool for reliability measurement
- It provides a base for marketing research
- **It helps in comparing capacity alternatives**
- It is important in product design

Ref: Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. The primary purpose of cost volume analysis is to estimate the income of an organization under different operating conditions. It is particularly useful as a tool for comparing capacity alternatives. **(Handouts Page No. 73)**

Question No: 39 (Marks: 1) - Please choose one
Which one of the following best describes the cellular layout?

- It groups machines into departments according to their function.
- **It groups machines into small assembly lines that produce families of parts.**
- It allows production of larger lots by reducing set-up time.
- It encourages the use of large, efficient machinery.

Ref: http://cwx.prenhall.com/bookbind/pubbooks/russell/chapter7/multiple1/deluxe-content.html **(See the Question No. 03)**

Question No: 40 (Marks: 1) - Please choose one
Transportation method helps in solving which of the following problems?

- **Facility location problems**
- Allocation of cost problems
- Workforce management problems
- Unfamiliar laws and regulations problems

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Ref: Transportation Method is a quantitative approach that can help solve multiple facility location problems. **(Handouts Page No. 98)**

Question No: 41 (Marks: 5)

ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 15,000: variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit.

· What would be the break even point?

· What would be the breakeven point if variable cost gets increased by 10%, revenue decreased by 10% and fixed remains same?

Part A:

Q=Fixed Cost/ Revenue – Variable Cost
Q =15000/7.5
Q =7500 units

Part B:

Q = Fixed Cost/ Revenue – Variable Cost
Q =15000/7-0.7-(5+0.5)
Q =15000/6.3-5.5
Q =15000/0.8
Q =18750 units

Question No: 42 (Marks: 5)

What is demand management? Explain its various factors?

Demand Management:

Demand management is the process of cutting cost by influencing the quantity and/or specification of the products and services you are procuring.

The following are the Factors of Demand Management:

- Finished Goods/Services
- Raw Material
- Component Parts
- Sub-Assemblies etc

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Paper No. 14

MIDTERM EXAMINATION Spring 2009
MGT613- Production / Operation Management (Session - 2)

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Question No: 1 (Marks: 1) - Please choose one
Within the operations function, which one of the following is a long-term management decision?

- ► Control decision
- ► Non-operational decision
- ► **Strategic decision**
- ► Tactical decision

Ref: Strategic Importance
1. Long term commitment/costs
2. Impact on investments, revenues, and operations
3. Supply chains **(Handouts Page No. 95)**

Question No: 2 (Marks: 1) - Please choose one
Which one of the following forms of productivity has units of output per shift?

- ►Capital
- ►Energy
- ►**Labor**
- ►Machine

Ref: Labor Productivity:

- Units of output per labor hour
- Units of output per shift
- Value-added per labor hour **(Handouts Page No. 19)**

Question No: 3 (Marks: 1) - Please choose one
Which one of the following is a measure of productivity that involves measuring inputs and outputs using a common unit of measurement?

- ► **Multifactor**
- ► Partial
- ► Single
- ► Total

Ref: Calculations of multifactor productivity measure inputs and outputs using a common unit of measurement, such as cost. For instance, the measure might use cost of inputs and units of the output:
http://docs.google.com/viewer?a=v&q=cache:bYWPs-Ig99IJ:highered.mcgraw-hill.com/sites/dl/free/0073525251/886181/stevenson11e_sample_ch02.pdf+Multifactor+is+a+measure+of+productivity+that+involves+measuring+inputs+and+outputs+using+a+common+unit+of+measurement&hl=en&gl=pk&pid=bl&srcid=ADGEEShIkJnaEXjh-LlA3HACWDXOFhSy4GxPv8YQXZJlU3WT0go2JJj8vnbbzyuq3hxydg1DjvPnqXn6l7_WK80EPhN15OYu_iNw-IuxMf0zGIxME7Z2JTjx1YPoSJERrLKF0cWbvkXb&sig=AHIEtbTWWf1ESOM052Hr

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kqk5mCU24fLbQA

Question No: 4 (Marks: 1) - Please choose one
The major business function consisting of research and development, product design, manufacturing, marketing, distribution, and customer service is refers to:

- ► Value chain
- ► The transformation process
- ► Quality control
- ► **Life cycle**

Ref: http://books.google.com.pk/books?id=f5p17Sz5NLMC&pg=PA379&lpg=PA379&dq=of+research+and+development#v=onepage&q=of%20research%20and%20development&f=false

Question No: 5 (Marks: 1) - Please choose one
A business process is a logical set of tasks or activities that:

- ► Are specific to the operations function
- ► Are specific to the marketing function
- ► **Are interdependent with other processes**
- ► Have exactly the same performance measures for any process

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter5/multiple_choice_quiz.html **(See the Question No. 05)**

Question No: 6 (Marks: 1) - Please choose one
Which one of the following formulae can be used to compute value?

- ► (Quality + Speed – Flexibility) / Cost
- ► **(Quality + Speed+ Flexibility) / Cost**
- ► (Quality + Speed - Cost) / Flexibility
- ► (Quality + Speed+ Cost) / Flexibility

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 7 (Marks: 1) - Please choose one
Which one the following formula or function can be used to measure the performance?

- ► Flexibility + profit+ operations
- ► Work + profit + value
- ► **Quality + speed + flexibility**
- ► Profit + Incentives + standards

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost (Handouts page No. 10)

Question No: 8 (Marks: 1) - Please choose one
Which of the following statements corresponds to an order-winning characteristic?

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► A factor which may be significant in other parts of the organization
► **A factor which gives an organization a competitive edge**
► A factor which serves as a minimum standard for purchase
► A factor which increases the profitability of the organization

Ref: order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitor's services. **(Handouts Page No. 15)**

Question No: 9 (Marks: 1) - Please choose one
As a manager, you have defined the purpose of the forecasts. What should be the **next** step in forecasting process?

► Choose a forecasting technique.
► Determine the purpose of the forecast.
► **Set up a time horizon or a time limit.**
► Collect and analyze the appropriate data.

Ref: Steps in the Forecasting Process:

- **Determine the purpose of the forecast**: meaning what is the purpose and when will it be required. This will provide the level of detail for resources required man, machine, time and capital.
- **Establish a time horizon:** We already know that as time increases the accuracy of the Forecast decreases.
- **Select a forecasting technique:** whether qualitative or quantitative
- **Gather and analyze the appropriate data:** It goes without saying that before a forecast can be delivered data is required. The closer the real life data more realistic would be the forecast. This may be the time when you would like to identify the important assumptions and suppositions.
- **Prepare the forecast:**
- **Monitor the forecast:** A forecast has to be closely monitored to determine whether it is fulfilling its basic purpose. This helps in re-examining the method, assumptions and validity of the data and preparing a revised forecast.

Question No: 10 (Marks: 1) - Please choose one
Which one of the following forecasting technique is based on historical data?

► **Time series**
► Qualitative
► Judgmental
► Associative

Ref: Time series - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values. **(Handouts page no. 35)**

Question No: 11 (Marks: 1) - Please choose one Which one of the following Which one of the following forecasting techniques use subjective inputs su from consumer

surveys, sales staff, managers and experts?

►Time series
►Quantitative
►**Judgmental**
►Associative

Ref: Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts. These insights are not available publicly. **(Handouts Page No. 35)**

Question No: 12 (Marks: 1) - Please choose one
Which of the following approaches favors adopting a "go for it" strategy?

►Maximin
►**Maximax**
►Minimax regret
►Laplace

Ref: Maximax:

- Maximax determines
- the best possible outcome
- Choose the Alternative with the best possible payoff.
- It does not take into account any other alternative then the best payoff.
- An optimistic approach.
- Go for it strategy. **(Handouts Page No. 26)**

Question No: 13 (Marks: 1) - Please choose one
Given the table:
Alternatives Possible future demand

	Low (Rs.)	High (Rs.)
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct payoff under MAXIMAX approach?

►Rs. 10,000
►Rs. 18,000
►**Rs. 20,000**
►Rs. 32,000

Ref: Choose the Best maximum Value for MAXIMAX approach.

Question No: 14 (Marks: 1) - Please choose one
Which one of the following is NOT a step of decision making process?

►Develop alternatives
►Monitor results
►**Consider risk averseness strategies**

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► Specify criteria for decision

Ref: Normally the decision making process involves the following six important steps

7. Specify Objectives and the Criteria for decision making
8. Develop Alternatives
9. Analyze and compare alternatives.
10. Select the best alternative.
11. Implement the chosen Alternative
12. Monitor the results to ensure the desired results are achieved.

(Handouts Page No. 24)

Question No: 15 (Marks: 1) - Please choose one

Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

► Introduction
► Growth
► **Maturity**
► Decline

Ref: Maturity Stage. As the products of firms move into the maturity stage, attracting highly skilled individuals is no longer as high a priority. Firms in the mature stage have an extensive internal labour market and extensive training and development programs. Firms in this stage may pay high wages to retain skilled talent. Economic downturns are handled by employee layoffs. Conflict resolutions and due process under collective bargaining are the grievance procedures with third party arbitration (Kochan & Chalykoff, 1985). **The environment (customer demand and competitors) becomes more stable and predictable (but as competitive) in comparison with the growth stage**.

http://docs.google.com/viewer?a=v&q=cache:jQVb4SnKAYsJ:www.rci.rutgers.edu/~sjacksox/PDF/DeterminantsofHRMPrioritiesandImplications.pdf+stages+of+product+life+cycle+relates+to+more+predictable+behavior+in+terms+of+capacity+requirements&hl=en&gl=pk&pid=bl&srcid=ADGEESigJYxwqHconGqfCMjw0LjJ83rXBJuDpDj9ii07-2VUwmVTBF6K-Xm7xu1THfTijPxrsbqKJD0KKZziOIaotlvC4pPqcwxZ2J3KdX3QIQo8iw3VCTRAsXg2Pk69UvRqQsYng7dB&sig=AHIEtbS89CgRHNC6-p0WknAgth-vMlRvbg

Question No: 16 (Marks: 1) - Please choose one

Which one of the following statement is TRUE about cost-volume relationship?

► **It represents the relationship between cost, revenue and volume of output.**
► It represents the relationship between cost and volume of output.
► It represents the relationship between cost and revenue.
► It represents the relationship between inputs, cost and volume of output.

Ref: Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. **(Handouts Page No. 73)**

Question No: 17 (Marks: 1) - Please choose one
Which one of the following formulae can be used to compute break even point?

► Q = VC / (R - VC)
► **Q = FC / (R - VC)**
► Q = VC / (R + FC)
► Q = FC / (R + VC)

Ref: QBEP= FC/ (R-VC) **(Handouts Page No. 76)**

Question No: 18 (Marks: 1) - Please choose one
ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?

► 833 units
► 2000 units
► **5000 units**
► 1012 units

Ref: QBEP = FC / (R - VC)
QBEP = 10000/ (7-5)
QBEP =10000/2
QBEP = 5000 Units

Question No: 19 (Marks: 1) - Please choose one
Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?

► Cash flow and fixed cost
► Present value and fixed cost
► **Cash flow and present value**
► Cash flow and profit

Ref: Operations manager along with managerial accountant often work to calculate what cash flow or present value in terms of rupees is available for the organization to proceed with a capacity alternative decision. **(Handouts Page No. 76)**

Question No: 20 (Marks: 1) - Please choose one
Which of the following is a system designed to coordinate all activities and information needed to complete business processes?

► **Enterprise resource planning**
► Supply chain management
► New product development
► Customer relationship management

Ref: Enterprise resource planning (ERP) is an enterprise-wide information system designed to coordinate all the resources, information, and activities needed to complete business processes such as order fulfillment or billing.
http://www.zbeanztech.com/open-source-erp

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Question No: 21 (Marks: 1) - Please choose one
Which of the following is **NOT** a characteristic of product layouts?

► **High material handling costs**
► Sequential arrangement of machines
► Standardized output
► Continuous production system

Ref: http://www.authorstream.com/Presentation/partha.chatterjee004-831897-plant-layout/ **(See the Slide No. 5 and 6)**

Question No: 22 (Marks: 1) - Please choose one
Which one of the following layout types is associated with car assembly?

► Fixed position layout
► Process layout
► **Product layout**
► Hybrid layout

Ref: Product – Layout should suit to the nature of product and its method of production. I.e. aircraft manufacturing and car manufacturing layouts will be different. Sales also affect the layout. http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 23 (Marks: 1) - Please choose one
In exponential smoothing model, a denotes:

► **Smoothing constant**
► Actual forecast
► Forecast error
► Previous forecast

Ref: α = Alpha smoothing constant **(Handouts page No. 40)**

Question No: 24 (Marks: 1) - Please choose one
Which one of the following designs resists modifications?

► **Frozen design**
► Product design
► Service design
► Robust design

Ref: Another disadvantage is that a manufacturer may freeze (standardize) a **design** prematurely and, once the **design** is **frozen**, it may find compelling reasons to resist modification.
http://webcache.googleusercontent.com/search?q=cache:ASewL4qNRRkJ:highered.mcgraw-hill.com/sites/dl/free/0073041912/354902/ste41912_ch04.pdf+Frozen+design+%E2%96%BA+Product+design+%E2%96%BA+Service+design+%E2%96%BA+Robust+design+resists+modifications&cd=3&hl=en&ct=clnk&gl=pk&source=www.google.com.pk

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Question No: 25 (Marks: 1) - Please choose one
Which one of the following is TRUE about Taguchi Approach?

► **To test the robustness of a design**
► To articulate the "voice of the customer"
► To reduce the degree of automation
► To create a concurrent design

Ref: The defining characteristics for the Taguchi approach include:

- Design a robust product
- Insensitive to environmental factors either in manufacturing or in use.
- Central feature is Parameter Design. **(Handouts Page No. 52)**

Question No: 26 (Marks: 1) - Please choose one
Which one of the following refers to using some of the components of old products in the manufacturing of new products?

► Manufacturability
► **Remanufacturing**
► Robust design
► Automation

Ref: **Design for Remanufacturing:** Using some of the components of the old products in the manufacture of new products. **(Handouts Page No. 51)**

Question No: 27 (Marks: 1) - Please choose one
Which one of the following is a curve showing failure rate over time?

► Cost curve
► **Bath tub curve**
► Fish bone diagram
► Reliability curve

Ref: The figure above shows a bathtub shape and thus rightly is referred to as the Bathtub curve. On the Y axis we represent the Failure rate and on the X axis we represent the Time. **(Handouts Page No. 60)**

Question No: 28 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 250 hours between repairs, and the mean repair time is expected to be 3 hours?

► 1.01
► 5.03
► 3.0
► **0.98**

Ref: Availability = (MTBF)/ (MTBF + MTR)
Availability = 250 / (250+3)
Availability = 250 / 253 **= 0.98**

Question No: 29 (Marks: 1) - Please choose one

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Which one of the following is the goal of method analysis?

► **Dividing and analyzing a job**
► Check individual human motions used to perform an operation
► Determining the length of time it will take to undertake a particular task
► Determining the amount of time a worker spends on various activities

Ref: Design of Work Systems is used to describe the two basic approaches to job design. **(Handouts Page No. 87)**

Question No: 30 (Marks: 1) - Please choose one
Which one of the following is an example of regional factors that affect location decisions?

► Transportation
► Quality of life
► Development support
► **Location of new markets**

Ref: Regional Factors

9. Location of raw materials
10. Location of markets
11. Labor factors
12. Climate and taxes **(Handouts Page No. 96)**

Question No: 31 (Marks: 1) - Please choose one
Which one of the following is an example of site related factors that affect location decision?

► **Transportation**
► Quality of life
► Location of new markets
► Location of raw materials

Ref: Site Related Factors

- Land
- Transportation
- Environmental
- Legal **(Handouts Page No. 96)**

Question No: 32 (Marks: 1) - Please choose one
Which one of the following statements is **true** about Occupational Safety Hygiene Administration (OSHA)?

► **To safeguard against potential hazards**
► To develop cost effective processes
► To implement legal standards
► To carry out implication of manufacturability and fitness

Ref: Under the OSH Act, OSHA develops and sets mandatory occupational safety and health requirements applicable to the more than 6 million workplaces in the U.S. OSHA

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relies on, among many others, industrial hygienists to evaluate jobs for potential health hazards.
http://www.laborcommission.utah.gov/UOSH/Outreach/ConstructionCD/www.osha.gov/SLTC/smallbusiness/sec5.html

Question No: 33 (Marks: 1) - Please choose one
Which one of the following is used to produce gasoline and petroleum products?

- ► Job shop
- ► Batch processing
- ► Assembly line
- ► **Continuous processing**

Ref: http://highered.mcgraw-hill.com/sites/0073403296/student_view0/chapter7/multiple_choice_quiz.html **(See the Question No. 02)**

Question No: 34 (Marks: 1) - Please choose one
The type of processing structure that is used for producing discrete products at higher volume is:

- ► Continuous Flow
- ► **Assembly Line**
- ► Batch
- ► Job shop

Ref: http://highered.mcgraw-hill.com/sites/0072983906/student_view0/chapter6/multiple_choice_quiz.html **(See the Question No. 3)**

Question No: 35 (Marks: 1) - Please choose one
An example of a business/industry that uses batch flow process structure is:

- ► Commercial printer
- ► **Heavy equipment**
- ► Automobile assembly
- ► Sugar refinery

Ref: http://highered.mcgraw-hill.com/sites/0072983906/student_view0/chapter6/multiple_choice_quiz.html **(See the Question No. 04)**

Question No: 36 (Marks: 1) - Please choose one
Services differ from manufacturing in all the following ways EXCEPT:

- ► Customers typically interact directly with the service delivery process.
- ► Consumption and production take place simultaneously.
- ► Services are intangible.
- ► **Services can be stored**

Ref: service operations are different from manufacturing operations in terms of

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- Tangible and intangible output
- customer consumption
- use of labor and equipment
- customer contact
- customer participation in conversion process
- measuring activities and resources

http://wiki.answers.com/Q/How_do_service_operations_differ_from_manufacturing_operations

Question No: 37 (Marks: 1) - Please choose one
Quality, costs, lead times, operating resources are all related to which one of the following strategies.

► Organizational strategy
► Financial strategy
► **Operational strategy**
► Tactical strategy

Ref: OPERATIONS STRATEGY: (Deals with the operations aspect of an organization). OS is related to products, processes, methods, operating resources, quality, costs, lead times, and scheduling.
http://docs.google.com/viewer?a=v&q=cache:Z8OTKodTI24J:bulatov.org.ua/teaching_courses/nam_operations/L2%2520PRODUCTIVITY,%2520COMPETITIVENESS,%2520STRATEGY.doc+Quality,+costs,+lead+times,+operating+resources+are+all+related+to+Operational+strategy&hl=en&pid=bl&srcid=ADGEESjFppdZdPqJCYGeE5eZ0lbXSbBIaQuAZHRq8WGSAb060LQFyePsZ7uLK3tBxikelBwidDvqI2uehI7dlnTODYpZMU2xVYk6oWk7IHpLh4hW3Brot6pOUAe-f0XbM42tJV6kLRzg&sig=AHIEtbTlW5C5SYPMTZqjIHd9wX_vuoJE6g

Question No: 38 (Marks: 1) - Please choose one
All of the following are examples of the transformation process EXCEPT:

► Cutting
► Packing
► **Facilitating**
► Labeling

Ref: Examples of Transforming process and input in Food Processor:

Inputs	**Process**
Raw vegetables	cleaning
Metal sheets	Making cans
Water	Making cans
Energy	Cutting
Labor	Cooking
Building	Packing
Equipment	Labeling

http://docs.google.com/viewer?a=v&q=cache:27Zjwa-o6_kJ:highered.mcgraw-

hill.com/sites/dl/free/0070951675/436573/samplech01.pdf+examples+of+the+transformation+process+are+Cutting+%E2%96%BA+Packing+%E2%96%BA+Facilitating+%E2%96%BA+Labeling&hl=en&pid=bl&srcid=ADGEESi98aGPPXv5w0w-VBGRprednU-ENzzYtfDBdUfcf5sT5vBu0th2m1l74tG1Qt4oZOb-Fa69OEDb-QWocDFhQvspN6W9p8LqyxNvDaLoKOWUVy-_rmCYeoSCBOUcIepGwcQPLn7s&sig=AHIEtbQ8kba9NbTRC4loArQHlWN-H50AoQ

Question No: 39 (Marks: 1) - Please choose one

_____ purpose is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

- ► Total quality control
- ► **Demand management**
- ► Forecasting
- ► Operations management

Ref:

http://books.google.com/books?id=d3eREcsD35sC&pg=PA551&dq=The+purpose+of+demand+management+is+to+coordinate+and+control+all+sources+of+demand+so+the+productive+system+can+be+used+efficiently+and+the+product&hl=en&ei=gTCOTfjdJpCmvgP9pbC5DQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDkQ6AEwAg#v=onepage&q=The%20purpose%20of%20demand%20management%20is%20to%20coordinate%20and%20control%20all%20sources%20of%20demand%20so%20the%20productive%20system%20can%20be%20used%20efficiently%20and%20the%20product&f=true

Question No: 40 (Marks: 1) - Please choose one

Which of the following is a characteristic of linear regression?

- ► It is superior to a moving average
- ► **It is a causal forecasting model**
- ► It compensates for both trend and seasonal variations in demand
- ► It is superior to an exponential smoothing

Ref: Linear regression is used both for time series forecasting and for casual relationship forecasting. When the dependent variable (usually the vertical axis on the graph) changes as a result of time (plotted on the horizontal axis), it is time series analysis. When the dependent variable changes because of the change in another variable, this is a casual relationship (such as the demand of cold drinks increasing with the temperature).

http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+linear+regression+compensates+for+both+trend+and+seasonal+variations+in+demand&hl=en&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8KnR5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbQweGQ9quetmEqfenwFdiUUE2eZeg

Composed & Solved
Honey G
Vu Askari Team
www.vuaskari.com

Paper No. 15

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 1)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one
A business process is a logical set of tasks or activities that:

- ► Are specific to the operations function
- ► Are specific to the marketing function
- ► **Are interdependent with other processes**
- ► Have exactly the same performance measures for any process

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter5/multiple_choice_quiz.html **(See the Question No. 05)**

Question No: 2 (Marks: 1) - Please choose one
Which of the following is referred to as plans for achieving goals?

- ► Rules
- ► **Strategies**
- ► Policies
- ► Mission

Ref: Strategies are Plans for achieving organizational goals **(Handouts Page No. 12)**

Question No: 3 (Marks: 1) - Please choose one
To make operations strategy effective it should be:

- ► Independent of the organization's strategy
- ► **Consistent with the organization's strategy**
- ► Developed by a first line manager
- ► Independent of time dimension

Ref: Operations strategy – The approach, consistent with organization strategy that is used to guide the operations function. We first study strategy design process with example for manufacturing and Services. **(Handouts Page No. 14)**

Question No: 4 (Marks: 1) - Please choose one
Which one of the following techniques uses historical data to predict future value of a variable of interest?

- ► **Time series method**

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- ► Causal forecasting method
- ► Qualitative forecasting method
- ► Intuitive forecasting method

Ref: Time series - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values. **(Handouts page no. 35)**

Question No: 5 (Marks: 1) - Please choose one
Which one of the following forecasting techniques uses explanatory variables to predict future demand?

- ► **Associative forecast**
- ► Time series forecast
- ► Consumer survey
- ► Executive opinion

Ref: Associative Models: forecasting technique that uses explanatory variables to predict future demand. http://cramberry.net/sets/26728-operational-management-3

Question No: 6 (Marks: 1) - Please choose one
Which one of the following involves completing a series of questionnaires each developed from the previous one, to achieve a consensus forecast?

- ► Consumer surveys
- ► Executive opinion
- ► Time series forecast
- ► **Delphi method**

Ref: Delphi method: Managers and staff complete a series of questionnaires, each developed from the previous one, to achieve a consensus forecast. **(Handouts Page No35)**

Question No: 7 (Marks: 1) - Please choose one
In which one of the following situations, the use of a decision tree is required instead of a payoff table?

- ► When there are more than three states of nature
- ► When there are more than three decision payoffs
- ► When the decision situation encompasses an extended time period
- ► **When a series of decisions is required**

Ref: However, a payoff table is usually limited to a single decision situation, as in our real estate investment example. If a decision situation requires a series of decisions, then a payoff table cannot be created, and a decision tree becomes the best method for decision analysis. http://flylib.com/books/en/3.287.1.160/1/

Question No: 08 (Marks: 1) - Please choose one
Given the table:

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Possible	Alternatives future demand	
	Low (Rs.)	High (Rs.)
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct payoff under LAPLACE approach?

- Rs. 9,000
- Rs. 16,000
- Rs. 33,000
- **Rs. 16,500**

Ref: Take average for each alternative and choose the alternative with best average.
Small facility = 10000+8000=18000/2 =9000
Medium facility = 12000+20000 = 32000/2 = 16000
Large facility = 18000+15000 = 33000/2= 16500

Question No: 9 (Marks: 1) - Please choose one
Which one of the following is called as the difference between designed and utilized capacity?

- Design capacity
- Effective capacity
- **Buffer capacity**
- Utilization rate

Ref: Capacity cushion or buffer is the difference between designed and utilized capacity.
http://www.docstoc.com/docs/54960443/Lecture-16ppt **(See the Slide No. 05)**

Question No: 10 (Marks: 1) - Please choose one
Which one of the following mathematical expressions is used to compute utilization?

- Actual output / effective capacity
- **Actual output / design capacity**
- Actual output + effective capacity
- Actual output – design capacity

Ref: For example:
Actual Output = 36 units / day
Design Capacity = 50 units / day
Utilization = 36/50 * 100 = 72% **(Handouts Page No. 66)**

Question No: 11 (Marks: 1) - Please choose one
Which one of the following is the first step in line balancing?

- **Specify the sequential relationship among tasks**
- Determine the required cycle time.
- Determine the minimum number of workstations.

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► Determine the desired output

Ref: http://www.slidefinder.net/c/chapter_manufacturing_processes/25822455 (See the Slide No. 13)

Question No: 12 (Marks: 1) - Please choose one
What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?

► 0.03 minutes
► **1.8 minutes**
► 2700 minutes
► 291 minutes

Ref: CT= Time Cycle = Operating Time / Desire Output
CT= Time Cycle = 9 * 60 / 300 = **1.8 minutes**

Question No: 13 (Marks: 1) - Please choose one
What would be the output capacity if an assembly line operates for 7 hours per day with a cycle time of 2.0 minutes?

► 210 units per day
► **3.5 units per day**
► 0.004 units per day
► 14 units per day

Ref: Output Capacity = Operating Time / Cycle Time
Output Capacity = 7 / 2.0
Output Capacity = 3.5 Units per day

Question No: 14 (Marks: 1) - Please choose one
Which of the following factors are considered in product and service design?

► Customer satisfaction, quality, and improvement costs
► Employee motivation, quality, and production costs
► Customer satisfaction, flexibility, and production costs
► **Customer satisfaction, quality, and production costs**

Ref: A good product/service design can ensure customer satisfaction, quality and production costs. **(Handouts Page No. 44)**

Question No: 15 (Marks: 1) - Please choose one
An automatic car wash is an example of which of the following?

► Customized service
► Batch processing
► Intermittent processing
► **Standardized service**

Ref: Standardized service implies that every customer or item processed receives essentially the same service. An automatic car wash is a good example.

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http://highered.mcgraw-hill.com/sites/dl/free/0070911894/90584/2ndSampleCh4.pdf

Question No: 16 (Marks: 1) - Please choose one
Which of the following is an advantage of standardization?

► Frozen designs
► Customized parts
► **Interchangeable parts**
► Reduced variety

Ref: Advantages of Standardization

- Interchangeable parts
- Orders can be filled from inventory
- Easier repair & replacement
- Lower design costs. http://docs.google.com/viewer?a=v&q=cache:-HcGpKkXXGsJ:mkuyzu.etu.edu.tr/Chp4.pdf+advantage+of+standardization%3F+%E2%96%BA+Frozen+designs+%E2%96%BA+Customized+parts+%E2%96%BA+Interchangeable+parts+%E2%96%BA+Reduced+variety&hl=en&gl=pk&pid=bl&srcid=ADGEEShgD0r40WYN7Ah8bToiQKVOUwMol8VFKVcS2vJeitlzsbJWm6fdzboUL8-C9RzapNADGHnArzelc8KscxcMNZXHbDSWJAfakyrzuLT3Ww2YhDSABe-_l4JurNU6Ji-LS_qqG5AQ&sig=AHIEtbQ1hSU2is9EsB7nuPrO6QYqRiIzBQ

Question No: 17 (Marks: 1) - Please choose one
Which one of the following is the most significant disadvantage of standardization?

► Reduced design costs
► Interchangeable parts
► **Reduced variety**
► Customized parts

Ref: ALL ARE ADVANTAGES EXCEPT 3RD OPTION:

Advantages of Standardization

- Interchangeable parts
- Orders can be filled from inventory
- Easier repair & replacement
- Lower design costs. http://docs.google.com/viewer?a=v&q=cache:-HcGpKkXXGsJ:mkuyzu.etu.edu.tr/Chp4.pdf+advantage+of+standardization%3F+%E2%96%BA+Frozen+designs+%E2%96%BA+Customized+parts+%E2%96%BA+Interchangeable+parts+%E2%96%BA+Reduced+variety&hl=en&gl=pk&pid=bl&srcid=ADGEEShgD0r40WYN7Ah8bToiQKVOUwMol8VFKVcS2vJeitlzsbJWm6fdzboUL8-C9RzapNADGHnArzelc8KscxcMNZXHbDSWJAfakyrzuLT3Ww2YhDSABe-_l4JurNU6Ji-LS_qqG5AQ&sig=AHIEtbQ1hSU2is9EsB7nuPrO6QYqRiIzBQ

Question No: 18 (Marks: 1) - Please choose one
Product life cycle is based on which of the following components?

► Place
► **Demand**
► Supply
► Price

Ref: Life Cycle Strategies are based on Demand.
http://www.hammertap.com/nl_0050/

Question No: 19 (Marks: 1) - Please choose one
Which one of the following statements relates to the final stage of product life cycle?

► Improve reliability, and reduce production costs
► **Improve packaging and reliability**
► Improve reliability, and reduce quality
► Improve reliability, and reduce promotion costs

Ref: DECLINE: In this phase, most of the organizations adopt a defensive design R&D Strategy in an attempt to prolong the life of the product by employing new packaging, redesigning it, improving its reliability.
http://www.websukat.com/TQM-product-life-cycle.htm

Question No: 20 (Marks: 1) - Please choose one
Which of the following refers to translate the voice of the customer into technical design requirements?

► Concurrent design
► Design for manufacture
► Robust design
► **Quality functional deployment**

Ref: A popular managerial view is that the Quality Function should be deployed at the source or at the design stage. We also should know what Quality Function Deployment is. Two common answers being that it is the voice of the customer (which always sets a standard for the service organization to follow) and the second one being that it should be in the form of a house of quality **(Handouts Page No. 55)**

Question No: 21 (Marks: 1) - Please choose one
Which one of the following is correct about the range of availability on a measuring index?

► 0.1 to 1.0
► **0 to 1.0**
► 0.5 to 1.0
► 0.01 to 1.0

Ref:
http://books.google.com.pk/books?id=818wT_TGJgAC&pg=PA23&lpg=PA23&dq=index+range+from+0+to+1.0&source=bl&ots=swmbQfISvn&sig=Nj0_bfiYtEEwwonlQAMYUkWh0Bw&hl=en&ei=fU-4Tf7SLM-

xhAeY6rSADw&sa=X&oi=book_result&ct=result&resnum=7&ved=0CD8Q6AEwBjgK#v=onepage&q=index%20range%20from%200%20to%201.0&f=false

Question No: 22 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 250 hours between repairs, and the mean repair time is expected to be 3 hours?

► 1.01
► 5.03
► 3.0
► **0.98**

Ref: Availability = (MTBF)/ (MTBF + MTR)
Availability = 250 / (250+3)
Availability = 250 / 253 **= 0.988**

Question No: 23 (Marks: 1) - Please choose one
Which one of the following refers to a team having representatives from different functional areas of the organization?

►Traditional work group
►Self-directed team
► **Cross-functional team**
►Self motivated team

Ref: While having representatives from different functions as team members is predicted to facilitate communication with non-team members from those functions, this structure may also create internal conflicts.
http://docs.google.com/viewer?a=v&q=cache:CpKetaj5A98J:dspace.mit.edu/bitstream/handle/1721.1/2310/SWP-3179-22870423.pdf%3Fsequence%3D1+team+having+representatives+from+different+functional+areas+of+the+organization&hl=en&gl=pk&pid=bl&srcid=ADGEESiZz0JtbazwsFj3WOxuhpTDJ3LMgStdq5o3KAjjil6-ogLEsA07go0PRGGxnd9tFSN1EyQmfkxsF36ST6PakVPq8W0sFVgyN0kKutPRmM5vpEAOtjjM1eJkQDDCvaG0-o0P0BC5&sig=AHIEtbQPVw7bHUJDdOn5ZCFS7AOy6L3gTA

Question No: 24 (Marks: 1) - Please choose one
Which one of the following refers to the length of time needed to complete a job?

► Work sampling methods
► **Work measurement**
► Job design
► Methods analysis

Ref: And last but not the least work measurements dealt specifically with the length of time needed to complete a job and was linked with Personnel Planning, Cost Estimation, Budgeting, Scheduling and Worker Compensation. **(Handouts Page No. 93)**

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Question No: 25 (Marks: 1) - Please choose one
Which of the following refers to bringing together engineering design and manufacturing personnel early in the design phase?

► Reverse engineering
► **Concurrent engineering**
► Manufacturability
► Serviceability

Ref: Concurrent engineering is the bringing together of engineering design and manufacturing personnel early in the design phase. **(Handouts page no. 53)**

Question No: 26 (Marks: 1) - Please choose one
Which of the following is the primary input in capacity planning?

► Supply chain capabilities
► Competitors' strengths
► **Demand forecasts**
► Overall cost estimates

Ref: Besides service level requirements, the other key input into the capacity planning process is a forecast or plan for the organization's future. Capacity planning is really just a process for determining the optimal way to satisfy business requirements such as forecasted increases in the amount of work to be done, while at the same time meeting service level requirements. http://www.teamquest.com/pdfs/whitepaper/tqwp23.pdf

Question No: 27 (Marks: 1) - Please choose one
Which of the following **best** describes the concept of the value chain?

► The step-wise increases in product prices as raw materials are turned into goods/services
► Adding financial value to an organization through the acquisition of other firms
► A sequence of activities that involve movement of materials in a production facility
► **All steps in the transformation process that add value even if they don't come from manufacturing**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter1/multiple_choice_quiz.html **(See the Question No. 12)**

Question No: 28 (Marks: 1) - Please choose one
The Strategies which are more focused on maintaining or improving the quality of an organization's products or services are known as:

► Quality at the source
► Time based strategies
► Cost leadership strategies
► **Quality-based strategies**

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Ref: Quality-based strategies
Focuses on maintaining or improving the quality of an organization's products or services (Handouts Page No. 18)

Paper No. 16

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 1)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 __ (Marks: 1) - Please choose one
Which ONE of the following statements correctly explains the role of operation's manager?

- ► To coordinate the activities between marketing and finance department
- ► To sustain, protect and project the company's long term strategies
- ► To develop organizational strategy that reflects the operational strategy
- ► **To sustain, protect and project the company's operation/production side**

Ref: Whether profit or non profit, the role of an OPERATIONS MANAGER is to sustain, protect, and project the company's operations side. **(Handouts Page No. 01)**

Question No: 2 __ (Marks: 1) - Please choose one
Which one of the following decision is NOT made by operations managers?

- ► How much capacity is required to balance demand?
- ► What should be the location and layout of a facility?
- ► How to improve operational efficiency?
- ► **Which market areas to manufacture the products for?**

Ref:
http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html **(See the Question No. 08)**

Question No: 3 __ (Marks: 1) - Please choose one
The major business function consisting of research and development, product design, manufacturing, marketing, distribution, and customer service is refers to:

- ► Value chain
- ► The transformation process
- ► Quality control
- ► **Life cycle**

Ref:

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http://books.google.com.pk/books?id=f5p17Sz5NLMC&pg=PA379&lpg=PA379&dq=of+research+and+development#v=onepage&q=of%20research%20and%20development&f=false

Question No: 4 (Marks: 1) - Please choose one
Which of the following is referred to as plans for achieving goals?

► Rules
► **Strategies**
► Policies
► Mission

Ref: Strategies are Plans for achieving organizational goals **(Handouts Page No. 12)**

Question No: 5 (Marks: 1) - Please choose one
Which of the following statements corresponds to an order-winning characteristic?

► A factor which may be significant in other parts of the organization
► **A factor which gives an organization a competitive edge**
► A factor which serves as a minimum standard for purchase
► A factor which increases the profitability of the organization

Ref: order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitor's services. **(Handouts Page No. 15)**

Question No: 6 __ (Marks: 1) - Please choose one
Which of the following statements describes an order-qualifier characteristic?

► A competitive dimension used to make final decision among competitors
► A factor which directly and significantly contribute to winning business
► A factor which increases the profitability of the organization
► **A factor perceived as a minimum standard as a potential for purchase**

Ref: Order qualifiers are those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase while order winners **(Handouts Page No. 15)**

Question No: 7 (Marks: 1) - Please choose one
As a manager, you have defined the purpose of the forecasts. What should be the **next** step in forecasting process?

► Choose a forecasting technique.
► Determine the purpose of the forecast.
► **Set up a time horizon or a time limit.**
► Collect and analyze the appropriate data.

Ref: Steps in the Forecasting Process:

- **Determine the purpose of the forecast**: meaning what is the purpose and when will it be required. This will provide the level of detail for resources required man, machine, time and capital.

- **Establish a time horizon:** We already know that as time increases the accuracy of the Forecast decreases.
- **Select a forecasting technique:** whether qualitative or quantitative
- **Gather and analyze the appropriate data:** It goes without saying that before a forecast can be delivered data is required. The closer the real life data more realistic would be the forecast. This may be the time when you would like to identify the important assumptions and suppositions.
- **Prepare the forecast:**
- **Monitor the forecast:** A forecast has to be closely monitored to determine whether it is fulfilling its basic purpose. This helps in re-examining the method, assumptions and validity of the data and preparing a revised forecast.

Question No: 8 __ (Marks: 1) - Please choose one
Which one of the following techniques uses historical data to predict future value of a variable of interest?

► **Time series method**
► Causal forecasting method
► Qualitative forecasting method
► Intuitive forecasting method

Ref: Time series - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values. **(Handouts page no. 35)**

Question No: 9 __ (Marks: 1) - Please choose one
Which one of the following forecasting techniques use subjective inputs such as opinions from consumer surveys, sales staff, managers and experts?
Time series
Quantitative
Judgmental
Associative
Ref: Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts. These insights are not available publicly. **(Handouts Page No. 35)**

Question No: 10 __ (Marks: 1) - Please choose one
Which of the following approaches favors adopting a "go for it" strategy?

►Maximin
►**Maximax**
►Minimax regret
►Laplace

Ref: Maximax:

- Maximax determines
- the best possible outcome
- Choose the Alternative with the best possible payoff.
- It does not take into account any other alternative then the best payoff.
- An optimistic approach.
- Go for it strategy. **(Handouts Page No. 26)**

Question No: 11 (Marks: 1) - Please choose one
In which one of the following situations, the use of a decision tree is required instead of a payoff table?

► When there are more than three states of nature
► When there are more than three decision payoffs
► When the decision situation encompasses an extended time period
► **When a series of decisions is required**

Ref: However, a payoff table is usually limited to a single decision situation, as in our real estate investment example. If a decision situation requires a series of decisions, then a payoff table cannot be created, and a decision tree becomes the best method for decision analysis. http://flylib.com/books/en/3.287.1.160/1/

Question No: 12 (Marks: 1) - Please choose one
Which one of the following is a limitation of a moving average having a trend?

► **The forecast lags behind the actual**
► The forecast represents demand more accurately
► The forecast will not be accurate
► The forecast will not be reliable

Ref: If, over several periods, a time series shows a change in the average value which corresponds to the trend model, the forecast values always lag behind the actual values by one or several periods in the first-order exponential smoothing procedure. http://help.sap.com/saphelp_45b/helpdata/en/a5/6320e843a211d189410000e829fbbd/content.htm

Question No: 13 (Marks: 1) - Please choose one
Which one of the following reasons account for using moving average in forecasting?

► It eliminates the trend
► **It smoothes the random fluctuations**
► It counteracts the seasonal variations
► It approximates the period average

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter9/multiple_choice_quiz.html
(See the Question No. 06)

Question No: 14 (Marks: 1) - Please choose one
Which one of the following refers to the maximum output that a firm can produce under

ideal conditions?

- ► **Design capacity**
- ► Effective capacity
- ► Capacity planning
- ► Utilization rate

Ref: Design capacity is the maximum output rate or service capacity an operation, process, or facility. **(Handouts Page No. 66)**

Question No: 15 __ (Marks: 1) - Please choose one
Which one of the following mathematical expressions is used to compute utilization?

- ► Actual output / effective capacity
- ► **Actual output / design capacity**
- ► Actual output + effective capacity
- ► Actual output – design capacity

Ref: For example:
Actual Output = 36 units / day
Design Capacity = 50 units / day
Utilization = 36/50 * 100 = 72% **(Handouts Page No. 66)**

Question No: 16 (Marks: 1) - Please choose one
What would be the utilization, if 40 cars are produced in a day with a design capacity of 60 cars per day?

- ► **67%**
- ► 20%
- ► 100%
- ► 150%

Ref: Utilization = Actual output / design capacity
Utilization = 40/60 *100 = 67%

Question No: 17 (Marks: 1) - Please choose one
Which of the following statements is correct about capacity evaluating alternatives?

- ► **Minimum cost and optimal operating rate are functions of size of plant.**
- ► Minimum cost and optimal operating rate are functions of fixed cost.
- ► Minimum cost and productivity are functions of size of plant.
- ► Maximum cost and optimal operating rate are functions of size of plant.

Ref: Evaluating Alternatives

- As the general capacity of the plant increases, the optimal output rate increases and the minimum cost for the optimal rate decreases.
- This is the prime reason why larger plants tend to have higher optimal output rates and lower minimum costs than smaller plants. **(Handouts page No. 69)**

Question No: 18 (Marks: 1) - Please choose one
Which one of the following is the first step in line balancing?

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► **Specify the sequential relationship among tasks**
► Determine the required cycle time.
► Determine the minimum number of workstations.
► Determine the desired output

Ref: http://www.slidefinder.net/c/chapter_manufacturing_processes/25822455 (See the Slide No. 13)

Question No: 19 (Marks: 1) - Please choose one
The formula for determining the required cycle time is operation time per day divided by:

► Sum of task times
► Actual output per day (in units)
► Number of workstations
► **Desired output (in units)**

Ref: Cycle time is the maximum time allowed at each workstation to complete its set of tasks on a unit. If CT represents cycle time and D represents the desired output then we can calculate cycle time as **(Handouts Page No. 85)**

Question No: 20 __ (Marks: 1) - Please choose one
Which one of the following statements is NOT correct about cycle time?

► It represents daily operating time divided by desired production
► It is the maximum allowable time at each work station
► It determines the time often items take to roll off in assembly line
► **It is the time required to complete a product from start to finish**

Ref: The cycle time is **not** the time required to complete a product from start to finish. This value would be the cycle time multiplied by the number of workstations. http://www.cbpa.ewu.edu/~pnemetzmills/OMch5/pracanswers.html **(See the Question No. 02)**

Question No: 21 __ (Marks: 1) - Please choose one
What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?

► 0.03 minutes
► **1.8 minutes**
► 2700 minutes
► 291 minutes

Ref: CT= Time Cycle = Operating Time / Desire Output
CT= Time Cycle = 9 * 60 / 300 = **1.8 minutes**

Question No: 22 __ (Marks: 1) - Please choose one
What would be the output capacity if an assembly line operates for 7 hours per day with a cycle time of 2.0 minutes?

► 210 units per day
► **3.5 units per day**

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► 0.004 units per day
► 14 units per day

Ref: Output Capacity = Operating Time / Cycle Time
Output Capacity = 7 / 2.0
Output Capacity = 3.5 Units per day

Question No: 23 __ (Marks: 1) - Please choose one
Which one of the following types of manufacturing layout is considered a hybrid?

► Process layout
► Product layout
► Fixed-position layout
► **All of the given options**

Ref: Hybrid/Combination: A Layout that makes use of the combination of Product, Process or Fixed Position Layout. **(Handouts Page No. 80)**

Question No: 24 __ (Marks: 1) - Please choose one
A department store discovered that in a four-month period, the best forecast can be determined by using 50 percent of the sales for the most recent month, 20 percent of the sales of two months ago, 10 percent of the sales of three months ago, and 20 percent of the sales of four months ago. Which forecasting method should the store use to forecast demand?

► Simple Moving Average
► Linear Regression
► Time Series Analysis
► **Weighted Moving Average**

Ref: Weighted Moving Average
Whereas the simple moving average gives equal weight to each component of the moving average database, a weighted moving average allows any weights to be placed on each element, providing, of course, that the sum of all weights equals 1. **For example**, a department store may find that in a four-month period, the best forecast is derived by using 40 percent of the actual sales for the most recent month, 30 percent of two months ago, 20 percent of three months ago, and 10 percent of four months ago.
http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+A+department+store+discovered+that+in+a+four-month+period,+the+best+forecast+can+be+determined+by+using+50+percent+of+the+sales+for+the+most+recent+month,+20+percent+of+the+sales+of+two+months+ago,+10+percent+of+the+sales+of+three+months+ago,+and+20+percent+of+the+sales+of+four+months+ago.+Which+forecasting+method+should+the+store+use+to+forecast+demand%3F+%E2%96%BA+Simple+Moving+Average+%E2%96%BA+Linear+Regression+%E2%96%BA+Time+Series+Analysis+%E2%96%BA+Weighted+Moving+Average&hl=en&gl=pk&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8KnR5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-

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BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbR6QAx5fG8CQkeTPpk7SBvpbuEl1A

Question No: 25 __ (Marks: 1) - Please choose one
Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?

- **Exponential smoothing**
- Linear regression
- Judgmental forecast
- Naive forecast

Ref: In many applications (perhaps in most), the most recent occurrences are more indicative of the future than those in the more distant past. If this premise is valid – "that the importance of data diminishes as the past becomes more distant" - then exponential smoothing may be the most logical and easiest method to use. http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+Exponential+smoothing+is+based+on+the+assumption+that+past+data+is+more+indicative+of+the+future+than+the+most+recent+occurrences&hl=en&gl=pk&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8KnR5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbTwalQd7sTFtecd46RVg72u_ZLEEg

Question No: 26 (Marks: 1) - Please choose one
Which of the following takes into consideration the design of aesthetics of the product?

- Functional design
- Production design
- Service design
- **Product design**

Ref: Product design (i.e., industrial design) is perhaps most associated with aesthetic considerations http://www.acrwebsite.org/volumes/display.asp?id=7824

Question No: 27 (Marks: 1) - Please choose one
Which of the following is an advantage of standardization?

- Frozen designs
- Customized parts
- **Interchangeable parts**
- Reduced variety

Ref: Advantages of Standardization

- Interchangeable parts
- Orders can be filled from inventory
- Easier repair & replacement

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- Lower design costs. http://docs.google.com/viewer?a=v&q=cache:-HcGpKkXXGsJ:mkuyzu.etu.edu.tr/Chp4.pdf+advantage+of+standardization%3F+%E2%96%BA+Frozen+designs+%E2%96%BA+Customized+parts+%E2%96%BA+Interchangeable+parts+%E2%96%BA+Reduced+variety&hl=en&gl=pk&pid=bl&srcid=ADGEEShgD0r40WYN7Ah8bToiQKVOUwMol8VFKVcS2vJeitlzsbJWm6fdzboUL8-C9RzapNADGHnArzelc8KscxcMNZXHbDSWJAfakyrzuLT3Ww2YhDSABe-_l4JurNU6Ji-LS_qqG5AQ&sig=AHIEtbQ1hSU2is9EsB7nuPrO6QYqRiIzBQ

Question No: 28 (Marks: 1) - Please choose one
Which one of the following is the most significant disadvantage of standardization?

► Reduced design costs
► Interchangeable parts
► **Reduced variety**
► Customized parts

Ref: ALL ARE ADVANTAGES EXCEPT 3RD OPTION:
Advantages of Standardization

- Interchangeable parts
- Orders can be filled from inventory
- Easier repair & replacement
- Lower design costs. http://docs.google.com/viewer?a=v&q=cache:-HcGpKkXXGsJ:mkuyzu.etu.edu.tr/Chp4.pdf+advantage+of+standardization%3F+%E2%96%BA+Frozen+designs+%E2%96%BA+Customized+parts+%E2%96%BA+Interchangeable+parts+%E2%96%BA+Reduced+variety&hl=en&gl=pk&pid=bl&srcid=ADGEEShgD0r40WYN7Ah8bToiQKVOUwMol8VFKVcS2vJeitlzsbJWm6fdzboUL8-C9RzapNADGHnArzelc8KscxcMNZXHbDSWJAfakyrzuLT3Ww2YhDSABe-_l4JurNU6Ji-LS_qqG5AQ&sig=AHIEtbQ1hSU2is9EsB7nuPrO6QYqRiIzBQ

Question No: 29 (Marks: 1) - Please choose one
Which one of the following is TRUE about Taguchi Approach?

► **To test the robustness of a design**
► To articulate the "voice of the customer"
► To reduce the degree of automation
► To create a concurrent design

Ref: The defining characteristics for the Taguchi approach include:

- Design a robust product
- Insensitive to environmental factors either in manufacturing or in use.
- Central feature is Parameter Design. **(Handouts Page No. 52)**

Question No: 30 (Marks: 1) - Please choose one
Which one of the following is correct about the range of availability on a measuring index?

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- 0.1 to 1.0
- **0 to 1.0**
- 0.5 to 1.0
- 0.01 to 1.0

Ref:
http://books.google.com.pk/books?id=818wT_TGJgAC&pg=PA23&lpg=PA23&dq=index+range+from+0+to+1.0&source=bl&ots=swmbQfISvn&sig=Nj0_bfiYtEEwwonlQAMYUkWh0Bw&hl=en&ei=fU-4Tf7SLM-xhAeY6rSADw&sa=X&oi=book_result&ct=result&resnum=7&ved=0CD8Q6AEwBjgK#v=onepage&q=index%20range%20from%200%20to%201.0&f=false

Question No: 31 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 350 hours between repairs, and the mean repair time is expected to be 3 hours?

- **0.99**
- 1.0
- 3.0
- 7.03

Ref: Availability = (MTBF) / (MTBF + MTR)
Availability = (350) / (350+3)
Availability =350 / 353
Availability = 0.99

Question No: 32 (Marks: 1) - Please choose one
Which of the following management level is responsible for long-range capacity planning?

- Lower management
- Middle management
- **Top management**
- Non managerial employees

Question No: 33 (Marks: 1) - Please choose one
Which one of the following refers to a team having representatives from different functional areas of the organization?

- Traditional work group
- Self-directed team
- **Cross-functional team**
- Self motivated team

Ref: While having representatives from different functions as team members is predicted to facilitate communication with non-team members from those functions, this structure may also create internal conflicts.
http://docs.google.com/viewer?a=v&q=cache:CpKetaj5A98J:dspace.mit.edu/bitstream/handle/1721.1/2310/SWP-3179-

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22870423.pdf%3Fsequence%3D1+team+having+representatives+from+different+functional+areas+of+the+organization&hl=en&gl=pk&pid=bl&srcid=ADGEESiZz0JtbazwsFj3WOxuhpTDJ3LMgStdq5o3KAjjil6-ogLEsA07go0PRGGxnd9tFSN1EyQmfkxsF36ST6PakVPq8W0sFVgyN0kKutPRmM5vpEAOtjjM1eJkQDDCvaG0-o0P0BC5&sig=AHIEtbQPVw7bHUJDdOn5ZCFS7AOy6L3gTA

Question No: 34 (Marks: 1) - Please choose one
Which of the following refers to changing the job role of one worker with another?

- ► **Job rotation**
- ► Job enlargement
- ► Job enrichment
- ► Job design

Ref: Job rotation is the systematic movement of employees from job to job within an organization, as a way to achieve many different human resources objectives : for simply staffing jobs, for orienting new employees, for preventing job boredom, and, finally, for training employees and enhancing their career development.
http://www.explorehr.org/articles/Career_Management/Career_Development_Program.html

Question No: 35 (Marks: 1) - Please choose one
W Which one of the following is NOT a business application of forecasting?

- ► Budgeting
- ► Capacity planning
- ► Inventory management
- ► **Quality control**

Ref: Forecasting in business forms the basis for budgeting and planning for capacity, sales, production, inventory, manpower, purchasing and more. **(Handouts Page No. 31)**

Question No: 36 __ (Marks: 1) - Please choose one
Which one of the following is an example of site related factors that affect location decision?

- ► **Transportation**
- ► Quality of life
- ► Location of new markets
- ► Location of raw materials

Ref: Site Related Factors

- Land
- Transportation
- Environmental
- Legal **(Handouts Page No. 96)**

Question No: 37 __ (Marks: 1) - Please choose one
In which of the following approaches location decision is based on personal opinions and quantitative information?

► **Factor rating**
► Market area plant strategy
► Currency fluctuations
► Product plant strategy

Ref: Factor rating enables decision makers to incorporate their personal opinions and quantitative information in the decision process.
http://docs.google.com/viewer?a=v&q=cache:hle5jRNl1yUJ:farfromneutral.com/kaizen/wp-content/uploads/web_location_planning.pdf+Factor+rating+enables+decision+makers+to+incorporate+their+personal+opinions+and+quantitative+information&hl=en&pid=bl&srcid=ADGEESh4_F-ZX_uWV4qLQb5LaqEt_hOyLPwunPeMA0DqFcHqiMAkZG5tmP74ZKXG2hqBvICBPL8NehlKvFrgCCM5CtE1-Q1Y8WVDtcLK_Zr8sWybaKr67vdl4ZTIj5rdMy4CyfGqEiYl&sig=AHIEtbR8oCpDNOfTQM0UVhdYpjgMo34SgQ

Question No: 38 __ (Marks: 1) - Please choose one
Which of the following **best** describes the concept of the value chain?

► The step-wise increases in product prices as raw materials are turned into goods/services
► Adding financial value to an organization through the acquisition of other firms
► A sequence of activities that involve movement of materials in a production facility
► **All steps in the transformation process that add value even if they don't come from manufacturing**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter1/multiple_choice_quiz.html **(See the Question No. 12)**

Question No: 39 (Marks: 1) - Please choose one
The Strategies which are more focused on maintaining or improving the quality of an organization's products or services are known as:

► Quality at the source
► Time based strategies
► Cost leadership strategies
► **Quality-based strategies**

Ref: Quality-based strategies
Focuses on maintaining or improving the quality of an organization's products or services (Handouts Page No. 18)

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Question No: 40 __ (Marks: 1) - Please choose one
Which one of the following describes the Naïve forecast?

► Attempt to predict the future value based on the past data.
► Determine long term upward or downward movement in data.
► **Forecast for any period equals the previous period's actual value.**
► Collect outside opinion of consumer and potential customers.

Ref: http://books.google.com.pk/books?id=8JM6wU_sBc0C&pg=PA145&lpg=PA145&dq=Na%C3%AFve+forecast+Forecast+for+any+period+equals+the+previous+period%E2%80%99s+actual+value&source=bl&ots=pZp4q8Kc8Q&sig=eBPVKOqJfUTmo-9Z-qAZtCRtY1I&hl=en&ei=IEW0Tb_yIciY8QPSyISWDA&sa=X&oi=book_result&ct=result&resnum=4&ved=0CCIQ6AEwAw#v=onepage&q&f=false.

Paper No. 17

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 2)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one
The major business function consisting of research and development, product design, manufacturing, marketing, distribution, and customer service is refers to:

► Value chain
► The transformation process
► Quality control
► **Life cycle**

Ref: http://books.google.com.pk/books?id=f5p17Sz5NLMC&pg=PA379&lpg=PA379&dq=of+research+and+development#v=onepage&q=of%20research%20and%20development&f=false

Question No: 2 (Marks: 1) - Please choose one
Which of the following is NOT usually considered a general characteristic of a service?

► Production and sales cannot easily be separated functionally
► Many services involve both tangible and intangible outputs
► **Production and consumption can always be separated**
► Degree of customer contact is high

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Ref:. Since services are intangible, they cannot be stored. The production and consumption of a service usually occur at the same time.
http://docs.google.com/viewer?a=v&q=cache:L4jyS-JP7UsJ:highered.mcgraw-hill.com/sites/dl/free/0073403318/823112/Sample_Chap_01.pdf+Which+of+the+following+is+NOT+usually+considered+a+general+characteristic+of+a+service%3F+%E2%96%BA+Production+and+sales+cannot+easily+be+separated+functionally+%E2%96%BA+Many+services+involve+both+tangible+and+intangible+outputs+%E2%96%BA+Production+and+consumption+can+always+be+separated+%E2%96%BA+Degree+of+customer+contact+is+high&hl=en&gl=pk&pid=bl&srcid=ADGEEShuWM-Q96C6O4K2DaS9KmGK-rPQprFwAtcLde-7pLcrju7ARaKaP-W0cfES19wotDRnGLRXY2mt2-ESMdhRisXsgqIHrkAVBjXKgzKtFi9C8cxTZbCpNt1A4s-LEGwm619tSfgJ&sig=AHIEtbSbq2OWcRtK1dw4gNnlnLQJb-T-Kw

Question No: 3 (Marks: 1) - Please choose one
Which one of the following is an implication of LAPLACE approach of decision making?

- ► The best of the worst possible payoff
- ► The best possible payoff
- ► **The best average payoff**
- ► The least of the worst regrets

Ref: Laplace, the best payoff of the average for each alternative. **(Handouts Page No. 27)**

Question No: 4 (Marks: 1) - Please choose one
Which one of the following is an outcome of Maximin criterion?

- ► **The best of the worst possible payoff**
- ► The best possible payoff
- ► The best average payoff
- ► The least of the worst regrets

Ref: Maximin determines the worst payoff for each alternative; the operations manager chooses the best worst alternative. Meaning the least (best) of the worst. **(Handouts Page No. 26)**

Question No: 5 (Marks: 1) - Please choose one
Given the table:

Possible future demand	
Low (Rs.)	High (Rs.)
10,000	8,000
12,000	20,000
18,000	15,000

Which one of the following is the correct payoff under MAXIMIN approach?

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► **Rs. 8,000**
► Rs. 12,000
► Rs. 18,000
► Rs. 20,000

Ref: Highest minus minimum
MAXMIN = 20000 – 12000 = 8000

Question No: 6 (Marks: 1) - Please choose one
Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics?

► **Simple moving average**
► Delphi method
► Trend adjusted forecast
► Naïve forecast

Ref: The Moving Average model takes the average of several periods of data; the result is a dampened or smoothed data set; use this model when demand is stable and there is no evidence of a trend or seasonal pattern. http://www.shmula.com/forecasting-unweighted-and-weighted-moving-average-model/308/

Question No: 7 (Marks: 1) - Please choose one
Which one of the following refers to the maximum output that a firm can produce under ideal conditions?

► **Design capacity**
► Effective capacity
► Capacity planning
► Utilization rate

Ref: Design capacity is the maximum output rate or service capacity an operation, process, or facility. **(Handouts Page No. 66)**

Question No: 8 (Marks: 1) - Please choose one
Which one of the following perspectives is the most obvious to be considered while evaluating alternatives for future capacity?

► Social
► Political
► **Economic**
► Legal

Ref:
http://books.google.com.pk/books?id=tqVIT0xE4NAC&pg=PA192&dq=Economic+perspectives+evaluating+alternatives+for+future+capacity&hl=en&ei=1o13TfntIoKCOrSY1McB&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q=Economic%20perspectives%20evaluating%20alternatives%20for%20future%20capacity&f=false

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Question No: 9 (Marks: 1) - Please choose one
Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?

- ► Cash flow and fixed cost
- ► Present value and fixed cost
- ► **Cash flow and present value**
- ► Cash flow and profit

Ref: Operations manager along with managerial accountant often work to calculate what cash flow or present value in terms of rupees is available for the organization to proceed with a capacity alternative decision. **(Handouts Page No. 76)**

Question No: 10 (Marks: 1) - Please choose one
Which one of the following manufacturing process is associated with high volume car manufacture?

- ► Job shop
- ► **Assembly line**
- ► Batch
- ► Automation

Ref: Before discussing JIT look at in-line assembly systems (traditionally used in **high volume car manufacture**)
http://webcache.googleusercontent.com/search?q=cache:rJ2HjqtUCIQJ:www.ocr.org.uk/download/sm/ocr_13258_sm_gce_unit_f524.doc+%22manufacturing+process%22+for+%22high+volume+car+manufacture?%22&hl=en

Question No: 11 (Marks: 1) - Please choose one
The formula for determining the required cycle time is operation time per day divided by:

- ► Sum of task times
- ► Actual output per day (in units)
- ► Number of workstations
- ► **Desired output (in units)**

Ref: Cycle time is the maximum time allowed at each workstation to complete its set of tasks on a unit. If CT represents cycle time and D represents the desired output then we can calculate cycle time as **(Handouts Page No. 85)**

Question No: 12 (Marks: 1) - Please choose one
Assembly lines relate most closely to a:

- ► Functional layout
- ► **Product layout**
- ► Process layout
- ► Departmental layout

Ref: Assembly lines are a special case of product layout. In a general sense, the term assembly line refers to progressive assembly linked by some material handling device.

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Question No: 13 (Marks: 1) - Please choose one
Which one of the following layout type is associated with a restaurant?

- ► Fixed position layout
- ► Process layout
- ► Product layout
- ► **Hybrid layout**

Ref: http://books.google.com.pk/books?id=sWtlOeC-3pEC&pg=PA111&lpg=PA111&dq=Hybrid+layout++is+associated+with+a+restaurant&source=bl&ots=sL8qmiQ-be&sig=nzSNWZT-NbCFBtjrw0k73nnMMGc&hl=en&ei=UHe4Tdu5GoLJhAenzpGXDw&sa=X&oi=book_result&ct=result&resnum=4&ved=0CCkQ6AEwAw#v=onepage&q&f=false

Question No: 14 (Marks: 1) - Please choose one
In exponential smoothing model, a denotes:

- ► **Smoothing constant**
- ► Actual forecast
- ► Forecast error
- ► Previous forecast

Ref: α = Alpha smoothing constant **(Handouts page No. 40)**

Question No: 15 (Marks: 1) - Please choose one
CBR stands for which one of the following?

- ► Commercial board of revenue
- ► Central board of recycling
- ► Central board of renovation
- ► **Central board of revenue**

Ref: CBR denotes Center Board of Revenue **(Handouts Page No. 46)**

Question No: 16 (Marks: 1) - Please choose one
Which one of the following designs resists modifications?

- ► **Frozen design**
- ► Product design
- ► Service design

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► Robust design

Ref: Another disadvantage is that a manufacturer may freeze (standardize) a **design** prematurely and, once the **design** is **frozen**, it may find compelling reasons to resist modification.
http://webcache.googleusercontent.com/search?q=cache:ASewL4qNRRkJ:highered.mcgraw-hill.com/sites/dl/free/0073041912/354902/ste41912_ch04.pdf+Frozen+design+%E2%96%BA+Product+design+%E2%96%BA+Service+design+%E2%96%BA+Robust+design+resists+modifications&cd=3&hl=en&ct=clnk&gl=pk&source=www.google.com.pk

Question No: 17 (Marks: 1) - Please choose one
Which one of the following is a curve showing failure rate over time?

► Cost curve
► **Bath tub curve**
► Fish bone diagram
► Reliability curve

Ref: The figure above shows a bathtub shape and thus rightly is referred to as the Bathtub curve. On the Y axis we represent the Failure rate and on the X axis we represent the Time. **(Handouts Page No. 60)**

Question No: 18 (Marks: 1) - Please choose one
Which of the following management level is responsible for long-range capacity planning?

► Lower management
► Middle management
► **Top management**
► Non managerial employees

Question No: 19 (Marks: 1) - Please choose one
Capacity planning involves answering all of the following questions EXCEPT:

► What kind of capacity is needed?
► How much is needed?
► When is it needed?
► **Who is going to decide?**

Ref: These questions are:

10. What kind of capacity is needed?
11. How much is needed?
12. When is it needed? **(Handouts Page No. 64)**

Question No: 20 (Marks: 1) - Please choose one
The disadvantages of specialization to management include all of the following EXCEPT:

►More absenteeism

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►Minimum responsibility
►More turnover
►**More difficult to teach the job**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 06)**

Question No: 21 (Marks: 1) - Please choose one
The disadvantages of specialization to management include all of the following EXCEPT:

►More absenteeism
►Minimum responsibility
►More turnover
►**More difficult to teach the job**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 06)**

Question No: 22 (Marks: 1) - Please choose one
Technology has impacted the work place by:

►Adding to the existing geographical barriers for recruiting
►Increasing the cost of telecommuting
►Increasing the amount required to be spent on training
►**Unifying the workforce to a common skill level**

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 10)**

Question No: 23 (Marks: 1) - Please choose one
Which of the following can be used to compute standard time?

►Multiplying the elemental average time by the rating factor
►Dividing the average elemental time by the rating factor
►Multiplying the normal cycle time by the rating factor
►**Multiplying the normal cycle time by one plus the allowance factor**

Ref: Standard Time=ST=NT X AF is the normal time plus allowance for delays like (getting a glass of water or going to the washroom human needs) **(Handouts Page No. 92)**

Question No: 24 (Marks: 1) - Please choose one
Which one of the following is an example of community factors that affect location decisions?

►Transportation
►**Quality of life**

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►Location of new markets
►Location of raw materials

Ref: Community Considerations

- Quality of life
- Services
- Attitudes
- Taxes
- Environmental regulations
- Utilities
- Developer support **(Handouts Page No. 96)**

Question No: 25 (Marks: 1) - Please choose one
Which one of the following is an example of site related factors that affect location decision?

► **Transportation**
► Quality of life
► Location of new markets
► Location of raw materials

Ref: Site Related Factors

- Land
- Transportation
- Environmental
- Legal **(Handouts Page No. 96)**

Question No: 26 (Marks: 1) - Please choose one
Which of the following statements would generally be considered as correct job shop?

►A continuous process has lower output volume as compared to job shop
►Equipment flexibility is lower in job shop than that of a continuous process
►**Labor costs are higher in a Job Shop operation than in most other processes**
►Batch processing produces a more standard range of products than continuous flow processes

Question No: 27 (Marks: 1) - Please choose one
Which one of the following is TRUE about work sampling?

► It describes individual human motions that are used in a job task
► It involves determining the length of time it will take to undertake a particular task
► **It involves determining the amount of time a worker spends on various activities**
► It provides standard times for micro motions such as reach, move and release

Ref: **Work Sampling** is the statistical technique for determining the proportion of time spent by workers in various defined categories of activity.

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Honey G
Vu Askari Team
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http://en.wikipedia.org/wiki/Work_sampling#cite_note-Groover-0

Question No: 28 (Marks: 1) - Please choose one
The purpose of _____ is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

► Total quality control
► **Demand management**
► Forecasting
► Operations management

Ref:
http://books.google.com/books?id=d3eREcsD35sC&pg=PA551&dq=The+purpose+of+demand+management+is+to+coordinate+and+control+all+sources+of+demand+so+the+productive+system+can+be+used+efficiently+and+the+product&hl=en&ei=gTCOTfjdJpCmvgP9pbC5DQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDkQ6AEwAg#v=onepage&q=The%20purpose%20of%20demand%20management%20is%20to%20coordinate%20and%20control%20all%20sources%20of%20demand%20so%20the%20productive%20system%20can%20be%20used%20efficiently%20and%20the%20product&f=true

Question No: 29 (Marks: 1) - Please choose one
Forecasting for groups tend to be more accurate than forecasting for individual items because:

► A group is composed of a number of items
► A group exhibits a uniform behavior
► **A group cancels the forecasting errors among items**
► A group behavior is relatively less uncertain

Ref: Forecasts more accurate for groups vs. individuals naturally because forecasting errors in a group tend to cancel out forecasting errors for individuals**. (Handouts page No. 33)**

Paper No. 18

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 2)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 __ (Marks: 1) - Please choose one
Which of the following is **NOT** a decision to be made by operations managers?

►How much capacity is required to balance demand?
►What should be the location and layout of a facility?
►How to improve operational efficiency?

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► **Which market areas to manufacture the products for?**

Ref:
http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html **(See the Question No. 08)**

Question No: 2 (Marks: 1) - Please choose one
Which one of the following forecasting technique is based on historical data?

► **Time series**
► Qualitative
► Judgmental
► Associative

Ref: Time series - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values. **(Handouts page no. 35)**

Question No: 3 __ (Marks: 1) - Please choose one
Which one of the following is an outcome of Maximax?

- The best of the worst possible payoff
- **The best possible payoff**
- The best average payoff
- The least of the worst regrets

Ref: Maximax:

- Maximax determines
- the best possible outcome
- Choose the Alternative with the best possible payoff.
- It does not take into account any other alternative then the best payoff.
- An optimistic approach.
- Go for it strategy. **(Handouts Page No. 26)**

Question No: 4 __ (Marks: 1) - Please choose one
Given the table:
Possible Alternatives future demand

Possible future demand	
Low (Rs.)	High (Rs.)
10,000	8,000
12,000	20,000
18,000	15,000

Which one of the following is the correct payoff under MAXIMIN approach?

► **Rs. 8,000**
► Rs. 12,000
► Rs. 18,000

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► Rs. 20,000

Ref: Highest minus minimum
MAXMIN = 20000 – 12000 = 8000

Question No: 5 __ (Marks: 1) - Please choose one
A workers strike represents which of the following behaviors of a time series?

- Cycle
- Trend
- Seasonality
- **Irregular variations**

Ref: Irregular variations - caused by unusual circumstances such as severe weathers, earthquakes, worker strikes, or major change in product or service**. (Handouts Page No. 37)**

Question No: 6 (Marks: 1) - Please choose one
Which one of the following is an index used to measure actual output relative to design capacity?

- ► Efficiency
- ► Effective capacity
- ► Effectiveness
- ► **Utilization**

Ref: It can be expressed as a ratio, where utilization = actual output divided by design capacity. This measure is used in both capacity planning and capacity requirements planning processes. http://www.bnet.com/topics/capacity+utilization

Question No: 7 __ (Marks: 1) - Please choose one
What would be the utilization, if 34 cars are produced in a day with a design capacity of 50 cars per day?

- ► **68%**
- ► 1.47%
- ► 84%
- ► 16%

Ref: Utilization = Actual Capacity / Design Capacity * 100
Utilization = 34 / 50 * 100 = **68%**

Question No: 8 __ (Marks: 1) - Please choose one
Effective capacity is influenced by all of the following factors **EXCEPT**:

- ► Facilities
- ► **Product mix**
- ► Processes
- ► Operations

Ref: There are 7 determinants of effective capacity namely:

- Facilities.

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- Product and service factors
- Process factors
- Human factors
- Operational factors
- Supply chain factors
- External factors **(Handouts Page No. 66 and 67)**

Question No: 9 (Marks: 1) - Please choose one
Which one of the following statements represents use of cost-volume analysis?

► It is a tool for reliability measurement
► It provides a base for marketing research
► **It helps in comparing capacity alternatives**
► It is important in product design

Ref: Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. The primary purpose of cost volume analysis is to estimate the income of an organization under different operating conditions. It is particularly useful as a tool for comparing capacity alternatives. **(Handouts Page No. 73)**

Question No: 10 (Marks: 1) - Please choose one
ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?

►833 units
►2000 units
►**5000 units**
►1012 units

Ref: QBEP = FC / (R - VC)
QBEP = 10000/ (7-5)
QBEP =10000/2
QBEP = 5000 Units

Question No: 11 (Marks: 1) - Please choose one
Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?

► Cash flow and fixed cost
► Present value and fixed cost
► **Cash flow and present value**
► Cash flow and profit

Ref: Operations manager along with managerial accountant often work to calculate what cash flow or present value in terms of rupees is available for the organization to proceed with a capacity alternative decision. **(Handouts Page No. 76)**

Question No: 12 (Marks: 1) - Please choose one

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Which of the following is an example of a business that uses assembly line process structure?

- **Automobile assembly**
- Sugar refinery
- Heavy equipment
- French restaurants

Ref: A good example of an assembly line is an automobile plant.
http://www.netmba.com/operations/process/structure/

Question No: 13 (Marks: 1) - Please choose one
Which one of the following is a type of layout where equipment, machinery and people are moved as required?

- Product layout
- **Fixed position layout**
- Process layout
- Hybrid layout

Ref: Fixed Position layout: A Layout in which the product or project remains stationary, and workers, materials and equipment are moved as needed **(Handouts Page No 80)**

Question No: 14___ (Marks: 1) - Please choose one
A self-service cafeteria is usually positioned as:

- Process layout
- Fixed position layout
- Hybrid layout
- **Product layout**

Ref: In services side, the word line may or may not be used like Healthcare/Hospital Services line, Carwash (absence of word line here) or Cafeteria Line. **(Handouts Page No. 80)**

Question No: 15 (Marks: 1) - Please choose one
Which one of the following mathematical expressions can be used to compute output capacity?

- **OT/CT**
- CT/OT
- CT+OT
- CT-OT

Ref: OC = Output Capacity = OT/CT **(HANDOUTS PAGE NO. 85)**

Question No: 16 (Marks: 1) - Please choose one
Which one of the following types of manufacturing layout is considered a hybrid?

- Process layout
- Product layout

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► Fixed-position layout
► **All of the given options**

Ref: Hybrid/Combination: A Layout that makes use of the combination of Product, Process or Fixed Position Layout. **(Handouts Page No. 80)**

Question No: 17 (Marks: 1) - Please choose one
Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?

► **Exponential smoothing**
► Linear regression
► Judgmental forecast
► Naive forecast

Ref: In many applications (perhaps in most), the most recent occurrences are more indicative of the future than those in the more distant past. If this premise is valid – "that the importance of data diminishes as the past becomes more distant" - then exponential smoothing may be the most logical and easiest method to use. http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+Exponential+smoothing+is+based+on+the+assumption+that+past+data+is+more+indicative+of+the+future+than+the+most+recent+occurrences&hl=en&gl=pk&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8KnR5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbTwalQd7sTFtecd46RVg72u_ZLEEg

Question No: 18 (Marks: 1) - Please choose one
Which one of the following is responsible for administering environmental issues about product and service design?

► Central Board of Revenue
► **Environmental Protection Agency**
► Federal Drug Agency
► **Occupational Safety Hygiene Administration**

Ref: Environmental. Operations Manager should also work with in the same Environmental laws as his organization. EPA is active in all countries including Pakistan and even a CEO can be jailed if there is a failure to comply with the Environment laws. **(HANDOUS PAGE NO. 47)**

Question No: 19 __ (Marks: 1) - Please choose one
Which of the following factors are considered in product and service design?

► Customer satisfaction, quality, and improvement costs
► Employee motivation, quality, and production costs
► Customer satisfaction, flexibility, and production costs
► **Customer satisfaction, quality, and production costs**

Ref: A good product/service design can ensure customer satisfaction, quality and production costs. **(Handouts Page No. 44)**

Question No: 20 (Marks: 1) - Please choose one
OSHA stands for which one of the following?

► Occupational stock hygiene administration
► **Occupational safety hygiene administration**
► Occupational safety hygiene agency
► Occupational science hygiene administration

Ref: OSHA refers to Occupational Safety Hygiene Administration **(Handouts Page No. 46)**

Question No: 21 (Marks: 1) - Please choose one
In order to comply with the environmental standards, an organization ABC has to implement Occupational Safety Hygiene Administration (OSHA).Which one of the following is a way to accomplish this task?

► Promoting friendly relations among employees
► **Installing safety guards and devices to reduce the risk of potential accidents**
► Installing machinery to make the process speedy
► Installing machinery that provides cost effective output

Ref: The main objective of this work was to analyze the occupational health and safety issues in the steel/iron re-rolling mills. The objectives are to identify the workplace accident risks and to certain the recommendations to evade these risks.
http://docs.google.com/viewer?a=v&q=cache:5vmpOun33BQJ:www.iepkc.org/7nsohs/parpers/A%2520Case%2520Study%2520OHS%2520---%2520Islamabad%2520-%2520Hira%2520amjad.pdf+Occupational+Safety+Hygiene+Administration+implement+Installing+safety+guards+and+devices+to+reduce+the+risk+of+potential+accidents&hl=en&gl=pk&pid=bl&srcid=ADGEESjVCZsxhbtlk27ez2kiT48yWHNjBP4Bp7xDrAzKH2OQcL-xkgZ12tEUONHstpxC9sZtu0YVJRdkLbZmU8OnSgFUMFeuyZG1K-PSYHgkMWGC92SFqlfcxwSZtaGplwWzA4lTVu-m&sig=AHIEtbQWvnlCJkI11nBMwos8uPmV4XYeRg

Question No: 22 (Marks: 1) - Please choose one
Which one of the following designs resists modifications?

► **Frozen design**
► Product design
► Service design
► Robust design

Ref: Another disadvantage is that a manufacturer may freeze (standardize) a **design** prematurely and, once the **design** is **frozen**, it may find compelling reasons to resist modification.
http://webcache.googleusercontent.com/search?q=cache:ASewL4qNRRkJ:highered.mcgr

Note: Solve these papers by yourself
This VU Group is not responsible for any solved content
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aw-hill.com/sites/dl/free/0073041912/354902/ste41912_ch04.pdf+Frozen+design+%E2%96%BA+Product+design+%E2%96%BA+Service+design+%E2%96%BA+Robust+design+resists+modifications&cd=3&hl=en&ct=clnk&gl=pk&source=www.google.com.pk

Question No: 23 __ (Marks: 1) - Please choose one
Which one of the following is TRUE about Taguchi Approach?

► **To test the robustness of a design**
► To articulate the "voice of the customer"
► To reduce the degree of automation
► To create a concurrent design

Ref: The defining characteristics for the Taguchi approach include:

- Design a robust product
- Insensitive to environmental factors either in manufacturing or in use.
- Central feature is Parameter Design. **(Handouts Page No. 52)**

Question No: 24 __ (Marks: 1) - Please choose one
Which one of the following refers to a design that takes into account organization's operational capabilities, when designing a product?

► Design for assembly
► **Design for manufacturing**
► Design for recycling
► Design for disassembly

Ref: Design for Manufacturing (DFM): The designers' consideration of the organization's manufacturing capabilities when designing a product. **(Handouts Page No. 51**

Question No: 25 (Marks: 1) - Please choose one
Which one of the following refers to using some of the components of old products in the manufacturing of new products?

► Manufacturability
► **Remanufacturing**
► Robust design
► Automation

Ref: **Design for Remanufacturing:** Using some of the components of the old products in the manufacture of new products. **(Handouts Page No. 51)**

Question No: 26 __ (Marks: 1) - Please choose one
MTBF refers to which of the following?

► Measure time before failure
► **Mean time between failures**
► Mean time before failure
► Measure test before failure

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Ref: We represent mean time between failures by MTBF **(Handouts Page No. 63)**

Question No: 27___ (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?

- ► 6.02
- ► 2.0
- ► **0.99**
- ► 0.006

Ref: Availability = (MTBF) / (MTBF + MTR)
MTBF = Mean time between factor =300
MTR = Mean repair time =2 hours
Availability = (300) / (300+2)
Availability =300 / 302
Availability = 0.99

Question No: 28 __ (Marks: 1) - Please choose one
Which of the following management level is responsible for long-range capacity planning?

- ► Lower management
- ► Middle management
- ► **Top management**
- ► Non managerial employees

Question No: 29 (Marks: 1) - Please choose one
Capacity planning involves answering all of the following questions EXCEPT:

- ► What kind of capacity is needed?
- ► How much is needed?
- ► When is it needed?
- ► **Who is going to decide?**

Ref: These questions are:
13. What kind of capacity is needed?
14. How much is needed?
15. When is it needed? **(Handouts Page No. 64)**

Question No: 30 (Marks: 1) - Please choose one
Which one of the following is the goal of method analysis?

- ► **Dividing and analyzing a job**
- ► Check individual human motions used to perform an operation
- ► Determining the length of time it will take to undertake a particular task
- ► Determining the amount of time a worker spends on various activities

Ref: Design of Work Systems is used to describe the two basic approaches to job design.

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(Handouts Page No. 87)

Question No: 31 (Marks: 1) - Please choose one
Which one of the following is the goal of work sampling?

► Individual human motions that are used in a job task
► Determining the length of time it will take to undertake a particular task
► **Determining the amount of time a worker spends on various activities**
► Specifying the content and methods to perform a job

Ref:
http://books.google.com.pk/books?id=B5j4D0U6QA0C&pg=PA127&lpg=PA127&dq=Determining+the+amount+of+time+a+worker+spends+on+various+activities&source=bl&ots=geHI2-3mR0&sig=eqWNikcpWGAHCSZtR7taWats1Dc&hl=en&ei=tvb-S8S2DpSh_Abt1pimCw&sa=X&oi=book_result&ct=result&resnum=10&ved=0CEQQ6AEwCQ#v=onepage&q&f=false **(See the Activity Sampling Second Paragraph)**

Question No: 32 (Marks: 1) - Please choose one
Which one of the following refers to a team having representatives from different functional areas of the organization?

►Traditional work group
►Self-directed team
►**Cross-functional team**
►Self motivated team

Ref: While having representatives from different functions as team members is predicted to facilitate communication with non-team members from those functions, this structure may also create internal conflicts.
http://docs.google.com/viewer?a=v&q=cache:CpKetaj5A98J:dspace.mit.edu/bitstream/handle/1721.1/2310/SWP-3179-22870423.pdf%3Fsequence%3D1+team+having+representatives+from+different+functional+areas+of+the+organization&hl=en&gl=pk&pid=bl&srcid=ADGEESiZz0JtbazwsFj3WOxuhpTDJ3LMgStdq5o3KAjjil6-ogLEsA07go0PRGGxnd9tFSN1EyQmfkxsF36ST6PakVPq8W0sFVgyN0kKutPRmM5vpEAOtjjM1eJkQDDCvaG0-o0P0BC5&sig=AHIEtbQPVw7bHUJDdOn5ZCFS7AOy6L3gTA

Question No: 33 (Marks: 1) - Please choose one
Which one of the following is NOT a business application of forecasting?

►Budgeting
►Capacity planning
►Inventory management
►**Quality control**

Ref: Forecasting in business forms the basis for budgeting and planning for capacity, sales, production, inventory, manpower, purchasing and more. **(Handouts Page No. 31)**

Question No: 34 __ (Marks: 1) - Please choose one
Which one of the following factors makes a forecast LESS perfect?

► **Randomness**
► Non serious attitude
► Non availability of data
► Un qualified personnel

Ref: Forecasts rarely perfect because of RANDOMNESS (having no specific pattern). Allowances should be made for inaccuracies**. (Handouts Page No. 33)**

Question No: 35 (Marks: 1) - Please choose one
An example of a business/industry that uses batch flow process structure is:

► Commercial printer
► **Heavy equipment**
► Automobile assembly
► Sugar refinery

Ref: http://highered.mcgraw-hill.com/sites/0072983906/student_view0/chapter6/multiple_choice_quiz.html **(See the Question No. 04)**

Question No: 36 __ (Marks: 1) - Please choose one
Which one of the following is TRUE about work sampling?

► It describes individual human motions that are used in a job task
► It involves determining the length of time it will take to undertake a particular task
► **It involves determining the amount of time a worker spends on various activities**
► It provides standard times for micro motions such as reach, move and release

Ref: **Work Sampling** is the statistical technique for determining the proportion of time spent by workers in various defined categories of activity.
http://en.wikipedia.org/wiki/Work_sampling#cite_note-Groover-0

Question No: 37 (Marks: 1) - Please choose one
Which of the following is a difference of service organizations as compared to manufacturing organizations?

► Manufacturing organizations are more specialized than service organizations
► Manufacturing firms have more variety than service organizations.
► Service firms are more flexible than manufacturing organizations
► **Manufacturing decisions are made by maximizing the profit potential**

Ref: Often, in manufacturing, decisions must be made that involve optimization: minimizing costs, minimizing materials waste, maximizing profit, etc.
http://www.justanswer.com/math/35zql-introduction-often-manufacturing-decisions-made.html

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Question No: 38 (Marks: 1) - Please choose one
All of the following are examples of time based strategies **EXCEPT**:

► Products /service design time
► Processing time
► Response time for complaints
► **Response time for innovation**

Ref: There are 6 time based strategies namely:-

7. **Planning Time:** The time required to react to a competitive threat, or to adopt new technologies, or to approve changes to an existing facility
8. **Products/Service Design Time:** The time needed to develop or market new or redesigned products or services
9. **Processing Time:** The time required to produce goods or services, includes repairing equipment, quality training, inventory etc
10. **Changeover Time:** is the time needed to change from producing one type of product or service to another. New model, new insurance /health service.
11. **Delivery Time:** is the time needed to fill orders.
12. **Response Time for complaints:** is the required to improve the model or service features according to customer inputs and improving employee working conditions. **(HANDOUTS PAGE NO. 18)**

Question No: 39 __ (Marks: 1) - Please choose one
_____ purpose is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

► Total quality control
► **Demand management**
► Forecasting
► Operations management

Ref:
http://books.google.com/books?id=d3eREcsD35sC&pg=PA551&dq=The+purpose+of+demand+management+is+to+coordinate+and+control+all+sources+of+demand+so+the+productive+system+can+be+used+efficiently+and+the+product&hl=en&ei=gTCOTfjdJpCmvgP9pbC5DQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDkQ6AEwAg#v=onepage&q=The%20purpose%20of%20demand%20management%20is%20to%20coordinate%20and%20control%20all%20sources%20of%20demand%20so%20the%20productive%20system%20can%20be%20used%20efficiently%20and%20the%20product&f=true

Question No: 40 (Marks: 1) - Please choose one
Which one of the following is an advantage of a moving average forecast?

► All the values in the average are weighted equally.
► The method is reliable to forecast the demand accurately
► **The method is easy to compute and easy to understand**

► The most recent values are given the more weightage

Ref: Advantages of Moving Average Method

- Easily understood
- Easily computed
- Provides stable forecasts

http://docs.google.com/viewer?a=v&q=cache:wdnWQylxOkAJ:www.d.umn.edu/~rlindek1/POM/assets/IE3265_Forecasting.ppt+advantage+of+a+moving+average+forecast&hl=en&gl=pk&pid=bl&srcid=ADGEEShZWWuvuyYw3Thz0ywlMM_XmAjhWxa6y4_LN7PGbT0-xCjPa35T90GFnDvpcD_7xZ1wkiBOTsXkZA2ZfN1Rd0P250U9qN4pxWwnzD-KXlg3KxH2E5rrMrYEBizLt0onkUu4mgYP&sig=AHIEtbT3x_6N1LZaW2zQxpF7dpCl59PxTA

Paper No. 19

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 2)
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one
Within the operations function, which one of the following is a long-term management decision?

► Control decision
► Non-operational decision
► **Strategic decision**
► Tactical decision

Ref: Strategic Importance
1. Long term commitment/costs
2. Impact on investments, revenues, and operations
3. Supply chains **(Handouts Page No. 95)**

Question No: 2 (Marks: 1) - Please choose one
Which one the following formula or function can be used to measure the performance?

► Flexibility + profit+ operations
► Work + profit + value
► **Quality + speed + flexibility**
► Profit + Incentives + standards

Ref: Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost
(Handouts page No. 10)

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Question No: 3 (Marks: 1) - Please choose one
Which of the following statements corresponds to an order-winning characteristic?

► A factor which may be significant in other parts of the organization
► **A factor which gives an organization a competitive edge**
► A factor which serves as a minimum standard for purchase
► A factor which increases the profitability of the organization

Ref: order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitor's services. **(Handouts Page No. 15)**

Question No: 4 (Marks: 1) - Please choose one
As a manager, you have defined the purpose of the forecasts. What should be the **next** step in forecasting process?

► Choose a forecasting technique.
► Determine the purpose of the forecast.
► **Set up a time horizon or a time limit.**
► Collect and analyze the appropriate data.

Ref: Steps in the Forecasting Process:

- **Determine the purpose of the forecast**: meaning what is the purpose and when will it be required. This will provide the level of detail for resources required man, machine, time and capital.
- **Establish a time horizon:** We already know that as time increases the accuracy of the Forecast decreases.
- **Select a forecasting technique:** whether qualitative or quantitative
- **Gather and analyze the appropriate data:** It goes without saying that before a forecast can be delivered data is required. The closer the real life data more realistic would be the forecast. This may be the time when you would like to identify the important assumptions and suppositions.
- **Prepare the forecast:**
- **Monitor the forecast:** A forecast has to be closely monitored to determine whether it is fulfilling its basic purpose. This helps in re-examining the method, assumptions and validity of the data and preparing a revised forecast.

Question No: 5 (Marks: 1) - Please choose one
Which one of the following forecasting technique is based on historical data?

► **Time series**
► Qualitative
► Judgmental
► Associative

Ref: Time series - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values. **(Handouts page no. 35)**

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Question No: 6 (Marks: 1) - Please choose one
Which one of the following forecasting techniques use subjective inputs su from consumer surveys, sales staff, managers and experts?

► Time series
► Quantitative
► **Judgmental**
► Associative

Ref: Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts. These insights are not available publicly. **(Handouts Page No. 35)**

Question No: 7 (Marks: 1) - Please choose one
Which of the following approaches favours adopting a "go for it" strategy?

► Maximin
► **Maximax**
► Minimax regret
► Laplace

Ref: Maximax:

- Maximax determines
- the best possible outcome
- Choose the Alternative with the best possible payoff.
- It does not take into account any other alternative then the best payoff.
- An optimistic approach.
- Go for it strategy. **(Handouts Page No. 26)**

Question No: 8 (Marks: 1) - Please choose one
Given the table:

Alternatives	**Possible future demand**	
	Low (Rs.)	**High (Rs.)**
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct payoff under MAXIMAX approach?

► Rs. 10,000
► Rs.18,000
► **Rs.20,000**
► Rs.32,000

Ref: Choose the Best maximum Value for MAXIMAX approach.

Question No: 9 (Marks: 1) - Please choose one
Which one of the following is NOT a step of decision making process?

► Develop alternatives
► Monitor results
► **Consider risk averseness strategies**
► Specify criteria for decision

Ref: Normally the decision making process involves the following six important steps.

13. Specify Objectives and the Criteria for decision making
14. Develop Alternatives
15. Analyze and compare alternatives.
16. Select the best alternative.
17. Implement the chosen Alternative
18. Monitor the results to ensure the desired results are achieved.

(Handouts Page No. 24)

Question No: 10 (Marks: 1) - Please choose one
Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

► Introduction
► Growth
► **Maturity**
► Decline

Ref: Maturity Stage. As the products of firms move into the maturity stage, attracting highly skilled individuals is no longer as high a priority. Firms in the mature stage have an extensive internal labour market and extensive training and development programs. Firms in this stage may pay high wages to retain skilled talent. Economic downturns are handled by employee layoffs. Conflict resolutions and due process under collective bargaining are the grievance procedures with third party arbitration (Kochan & Chalykoff, 1985). **The environment (customer demand and competitors) becomes more stable and predictable (but as competitive) in comparison with the growth stage**.

http://docs.google.com/viewer?a=v&q=cache:jQVb4SnKAYsJ:www.rci.rutgers.edu/~sjacksox/PDF/DeterminantsofHRMPrioritiesandImplications.pdf+stages+of+product+life+cycle+relates+to+more+predictable+behavior+in+terms+of+capacity+requirements&hl=en&gl=pk&pid=bl&srcid=ADGEESigJYxwqHconGqfCMjw0LjJ83rXBJuDpDj9ii07-2VUwmVTBF6K-Xm7xu1THfTijPxrsbqKJD0KKZziOIaotlvC4pPqcwxZ2J3KdX3QIQo8iw3VCTRAsXg2Pk69UvRqQsYng7dB&sig=AHIEtbS89CgRHNC6-p0WknAgth-vMlRvbg

Question No: 11 (Marks: 1) - Please choose one
Which one of the following statement is TRUE about cost-volume relationship?

► **It represents the relationship between cost, revenue and volume of output.**
► It represents the relationship between cost and volume of output.
► It represents the relationship between cost and revenue.
► It represents the relationship between inputs, cost and volume of output.

Ref: Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. **(Handouts Page No. 73)**

Question No: 12 (Marks: 1) - Please choose one
Which one of the following formulae can be used to compute break even point?

► Q = VC / (R - VC)
► **Q = FC / (R - VC)**
► Q = VC / (R + FC)
► Q = FC / (R + VC)

Ref: QBEP= FC/ (R-VC) **(Handouts Page No. 76)**

Question No: 13 (Marks: 1) - Please choose one
Which of the following is a system designed to coordinate all activities and information needed to complete business processes?

► **Enterprise resource planning**
► Supply chain management
► New product development
► Customer relationship management

Ref: Enterprise resource planning (ERP) is an enterprise-wide information system designed to coordinate all the resources, information, and activities needed to complete business processes such as order fulfillment or billing.
http://www.zbeanztech.com/open-source-erp

Question No: 14 (Marks: 1) - Please choose one
Which of the following is **NOT** a characteristic of product layouts?

► **High material handling costs**
► Sequential arrangement of machines
► Standardized output
► Continuous production system

Ref: http://www.authorstream.com/Presentation/partha.chatterjee004-831897-plant-layout/ **(See the Slide No. 5 and 6)**

Question No: 15 (Marks: 1) - Please choose one
Which one of the following refers to using some of the components of old products in the manufacturing of new products?

► Manufacturability
► **Remanufacturing**
► Robust design
► Automation

Ref: **Design for Remanufacturing:** Using some of the components of the old products in the manufacture of new products. **(Handouts Page No. 51)**

Question No: 16 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 250 hours between repairs, and the mean repair time is expected to be 3 hours?

► 1.01
► 5.03
► 3.0
► **0.98**

Ref: Availability = (MTBF)/ (MTBF + MTR)
Availability = 250 / (250+3)
Availability = 250 / 253 = **0.988**

Question No: 17 (Marks: 1) - Please choose one
Which one of the following is the goal of method analysis?

► **Dividing and analyzing a job**
► Check individual human motions used to perform an operation
► Determining the length of time it will take to undertake a particular task
► Determining the amount of time a worker spends on various activities

Ref: Design of Work Systems is used to describe the two basic approaches to job design. **(Handouts Page No. 87)**

Question No: 18 (Marks: 1) - Please choose one
Which one of the following is an example of regional factors that affect location decisions?

► Transportation
► Quality of life
► Development support
► **Location of new markets**

Ref: Regional Factors

13. Location of raw materials
14. Location of markets
15. Labor factors
16. Climate and taxes **(Handouts Page No. 96)**

Question No: 19 (Marks: 1) - Please choose one
Which one of the following statements is **true** about Occupational Safety Hygiene Administration (OSHA)?

► **To safeguard against potential hazards**
► To develop cost effective processes
► To implement legal standards

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► To carry out implication of manufacturability and fitness

Ref: Under the OSH Act, OSHA develops and sets mandatory occupational safety and health requirements applicable to the more than 6 million workplaces in the U.S. OSHA relies on, among many others, industrial hygienists to evaluate jobs for potential health hazards.
http://www.laborcommission.utah.gov/UOSH/Outreach/ConstructionCD/www.osha.gov/SLTC/smallbusiness/sec5.html

Question No: 20 (Marks: 1) - Please choose one
Which one of the following is used to produce gasoline and petroleum products?

► Job shop
► Batch processing
► Assembly line
► **Continuous processing**

Ref: http://highered.mcgraw-hill.com/sites/0073403296/student_view0/chapter7/multiple_choice_quiz.html **(See the Question No. 02)**

Question No: 21 (Marks: 1) - Please choose one
The type of processing structure that is used for producing discrete products at higher volume is:

► Continuous Flow
► **Assembly Line**
► Batch
► Job shop

Ref: http://highered.mcgraw-hill.com/sites/0072983906/student_view0/chapter6/multiple_choice_quiz.html **(See the Question No. 3)**

Question No: 22 (Marks: 1) - Please choose one
An example of a business/industry that uses batch flow process structure is:

► Commercial printer
► **Heavy equipment**
► Automobile assembly
► Sugar refinery

Ref: http://highered.mcgraw-hill.com/sites/0072983906/student_view0/chapter6/multiple_choice_quiz.html **(See the Question No. 04)**

Question No: 23 (Marks: 1) - Please choose one
Quality, costs, lead times, operating resources are all related to which one of the following strategies.

► Organizational strategy

► Financial strategy
► **Operational strategy**
► Tactical strategy

Ref: OPERATIONS STRATEGY: (Deals with the operations aspect of an organization). OS is related to products, processes, methods, operating resources, quality, costs, lead times, and scheduling.
http://docs.google.com/viewer?a=v&q=cache:Z8OTKodTI24J:bulatov.org.ua/teaching_courses/nam_operations/L2%2520PRODUCTIVITY,%2520COMPETITIVENESS,%2520STRATEGY.doc+Quality,+costs,+lead+times,+operating+resources+are+all+related+to+Operational+strategy&hl=en&pid=bl&srcid=ADGEESjFppdZdPqJCYGeE5eZ0lbXSbBIaQuAZHRq8WGSAb060LQFyePsZ7uLK3tBxikelBwidDvqI2uehI7dlnTODYpZMU2xVYk6oWk7IHpLh4hW3Brot6pOUAe-f0XbM42tJV6kLRzg&sig=AHIEtbTlW5C5SYPMTZqjIHd9wX_vuoJE6g

Question No: 24 (Marks: 1) - Please choose one
All of the following are examples of the transformation process EXCEPT:

► Cutting
► Packing
► **Facilitating**
► Labeling

Ref: Examples of Transforming process and input in Food Processor:

Inputs	**Process**
Raw vegetables	cleaning
Metal sheets	Making cans
Water	Making cans
Energy	Cutting
Labor	Cooking
Building	Packing
Equipment	Labeling

http://docs.google.com/viewer?a=v&q=cache:27Zjwa-o6_kJ:highered.mcgraw-hill.com/sites/dl/free/0070951675/436573/samplech01.pdf+examples+of+the+transformation+process+are+Cutting+%E2%96%BA+Packing+%E2%96%BA+Facilitating+%E2%96%BA+Labeling&hl=en&pid=bl&srcid=ADGEESi98aGPPXv5w0w-VBGRprednU-ENzzYtfDBdUfcf5sT5vBu0th2m1l74tG1Qt4oZOb-Fa69OEDb-QWocDFhQvspN6W9p8LqyxNvDaLoKOWUVy-_rmCYeoSCBOUcIepGwcQPLn7s&sig=AHIEtbQ8kba9NbTRC4loArQHlWN-H50AoQ

Question No: 25 (Marks: 1) - Please choose one
Which of the following is a characteristic of linear regression?

► It is superior to a moving average
► **It is a causal forecasting model**
► It compensates for both trend and seasonal variations in demand
► It is superior to an exponential smoothing

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Ref: Linear regression is used both for time series forecasting and for casual relationship forecasting. When the dependent variable (usually the vertical axis on the graph) changes as a result of time (plotted on the horizontal axis), it is time series analysis. When the dependent variable changes because of the change in another variable, this is a casual relationship (such as the demand of cold drinks increasing with the temperature).
http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+linear+regression+compensates+for+both+trend+and+seasonal+variations+in+demand&hl=en&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8KnR5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbQweGQ9quetmEqfenwFdiUUE2eZeg

Paper No. 20

MIDTERM EXAMINATION
Spring 2010
MGT613- Production / Operations Management
Solved By Honey G <abdulhaiee2004@gmail.com>

Question No: 1 (Marks: 1) - Please choose one
Which of the following statements describes an order-qualifier characteristic?

► A competitive dimension used to make final decision among competitors
► A factor which directly and significantly contribute to winning business
► A factor which increases the profitability of the organization
► **A factor perceived as a minimum standard as a potential for purchase**

Ref: Order qualifiers are those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase while order winners **(Handouts Page No. 15)**

Question No: 2 (Marks: 1) - Please choose one
In which one of the following decision environments it is impossible to assess the likelihood of various future events?

► Risk
► Bounded rationality
► Certainty
► **Uncertainty**

Ref: Uncertainty: environments it is impossible to assess the likelihood of various future events. http://nrmt.files.wordpress.com/2011/04/15-decision-making-strategies.pdf

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Question No: 3 (Marks: 1) - Please choose one
Which one of the following is an outcome of MINIMAX regret?

- ► The best of the worst possible payoff
- ► The best possible payoff
- ► The best average payoff
- ► **The least of the worst regret**

Ref: Minimax Regret: Determines the worst regret for each alternative **(Handouts Page No. 27)**

Question No: 4 (Marks: 1) - Please choose one
Which one of the following is a limitation of a moving average having a trend?

- ► **The forecast lags behind the actual**
- ► The forecast represents demand more accurately
- ► The forecast will not be accurate
- ► The forecast will not be reliable

Ref: If, over several periods, a time series shows a change in the average value which corresponds to the trend model, the forecast values always lag behind the actual values by one or several periods in the first-order exponential smoothing procedure. http://help.sap.com/saphelp_45b/helpdata/en/a5/6320e843a211d189410000e829fbbd/content.htm

Question No: 5 (Marks: 1) - Please choose one
Which of the following is an example of a business that uses assembly line process structure?

- ► **Automobile assembly**
- ► Sugar refinery
- ► Heavy equipment
- ► French restaurants

Ref: A good example of an assembly line is an automobile plant. http://www.netmba.com/operations/process/structure/

Question No: 6 (Marks: 1) - Please choose one
Which one of the following layout types is associated with car assembly?

- ► Fixed position layout
- ► Process layout
- ► **Product layout**
- ► Hybrid layout

Ref: Product – Layout should suit to the nature of product and its method of production. I.e. aircraft manufacturing and car manufacturing layouts will be different. Sales also affect the layout. http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 7 (Marks: 1) - Please choose one
A department store discovered that in a four-month period, the best forecast can be

determined by using 50 percent of the sales for the most recent month, 20 percent of the sales of two months ago, 10 percent of the sales of three months ago, and 20 percent of the sales of four months ago. Which forecasting method should the store use to forecast demand?

► Simple Moving Average
► Linear Regression
► Time Series Analysis
► **Weighted Moving Average**

Ref: Weighted Moving Average

Whereas the simple moving average gives equal weight to each component of the moving average database, a weighted moving average allows any weights to be placed on each element, providing, of course, that the sum of all weights equals 1. **For example**, a department store may find that in a four-month period, the best forecast is derived by using 40 percent of the actual sales for the most recent month, 30 percent of two months ago, 20 percent of three months ago, and 10 percent of four months ago.
http://docs.google.com/viewer?a=v&q=cache:QTJvd6__zt8J:nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6%2BFORECASTING%2BTECHNIQUES-%2BFormatted.pdf+A+department+store+discovered+that+in+a+four-month+period,+the+best+forecast+can+be+determined+by+using+50+percent+of+the+sales+for+the+most+recent+month,+20+percent+of+the+sales+of+two+months+ago,+10+percent+of+the+sales+of+three+months+ago,+and+20+percent+of+the+sales+of+four+months+ago.+Which+forecasting+method+should+the+store+use+to+forecast+demand%3F+%E2%96%BA+Simple+Moving+Average+%E2%96%BA+Linear+Regression+%E2%96%BA+Time+Series+Analysis+%E2%96%BA+Weighted+Moving+Average&hl=en&gl=pk&pid=bl&srcid=ADGEESg3c6cLEJGxFAeYDJmynagPFzwnMIlzbF5wpI0nxIgJ8KnR5-4fdDQIvMBxXbViOzr6hLd0Xq3ud6w8Ed-BwMdhALCi9obVbWP0pS7MXJEau43xq_TfOulMECZdpwnV3g0TLOyY&sig=AHIEtbR6QAx5fG8CQkeTPpk7SBvpbuEl1A

Question No: 8 (Marks: 1) - Please choose one
Which one of the following statements is TRUE about product life cycle?

► It depicts demand of a product at various price levels
► **It depicts demand of a product with respect to time**
► It relates demand of a product to quality
► It relates demand of a product to market share

Ref: (See the handouts Page No.50 Diagrammed)

Question No: 9 (Marks: 1) - Please choose one
Which of following statement is **true** about effective capacity?

► It is the actual output achieved
► It is always less than actual output
► It is the maximum output that a firm can produce.
► **It is always less than designed capacity**

Ref:
http://books.google.com.pk/books?id=wUHzc8JtZzUC&pg=PA249&dq=effective+capacity+It+is+the+actual+output+achieved&hl=en&ei=4WV3TfycOIio8AP885jPCw&sa=X&oi=book_result&ct=result&resnum=1&sqi=2&ved=0CCcQ6AEwAA#v=onepage&q=effective%20capacity%20It%20is%20the%20actual%20output%20achieved&f=false
(Read the 3rd Paragraph)

Question No: 10 (Marks: 1) - Please choose **one**
Which one of the following refers to bringing together engineering design and manufacturing personnel early in the design phase?

- ► Reverse engineering
- ► **Concurrent engineering**
- ► Manufacturability
- ► Serviceability

Ref: Concurrent engineering is the bringing together of engineering design and manufacturing personnel early in the design phase. **(Handouts page no. 53)**

Question No: 11 (Marks: 1) - Please choose one
Which of the following refers to the way an organization chooses to produce its goods or services?

- ► **Process selection**
- ► Process reengineering
- ► Process redesign
- ► Process design

Ref: Process Selection refers to the way an organization chooses to produce its good or services. **(Handouts Page No. 77)**

Question No: 12 (Marks: 1) - Please choose one
The purpose of _____ is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

- ► Total quality control
- ► **Demand management**
- ► Forecasting
- ► Operations management

Ref:
http://books.google.com/books?id=d3eREcsD35sC&pg=PA551&dq=The+purpose+of+demand+management+is+to+coordinate+and+control+all+sources+of+demand+so+the+productive+system+can+be+used+efficiently+and+the+product&hl=en&ei=gTCOTfjdJpCmvgP9pbC5DQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDkQ6AEwAg#v=onepage&q=The%20purpose%20of%20demand%20management%20is%20to%20coordinate%20and%20control%20all%20sources%20of%20demand%20so%20the%20productive%20system%20can%20be%20used%20efficiently%20and%20the%20product&f=true

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Question No: 13 (Marks: 1) - Please choose one
Which of the following is **NOT** an attribute to classify services?

► **Tangibility**
► Perishability
► Simultaneity
► Courtesy

Ref: Services are all intangible. For example cleaning something or delivering a pizza they are services they don't produce anything.
http://answers.yahoo.com/question/index?qid=20090320204146AAlPtZT

Question No: 14 (Marks: 1) - Please choose one
Which of the following is NOT an emerging trend in the workplace?

► Increasing workplace diversity
► **Decreasing work schedule flexibility**
► Increasing number of part time jobs
► Increasing use of temporary labor

Ref: http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html **(See the Question No. 09)**

Question No: 15 (Marks: 1) - Please choose one
Which method of forecasting is most widely used?

► Regression analysis
► Adaptive forecasting
► Weighted moving average
► **Exponential smoothing**

Ref: Exponential smoothing is a widely method used of forecasting based on the time series itself. Unlike regression models, exponential smoothing does not imposed any deterministic model to fit the series other than what is inherent in the time series itself.
http://home.ubalt.edu/ntsbarsh/stat-data/forecast.htm

Question No: 16 (Marks: 1) - Please choose one
Which one of the following is concerned with short term capacity needs?

► Cycle
► Trends
► **Seasonality**
► Average

Ref: Long term capacity decisions relate to overall level of capacity while short term capacity decisions refer to seasonal, random or irregular variations in demand. **(Handouts Page No. 76)**

Question No: 26 (Marks: 1) - Please choose one

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Which relationship exists between the robustness of a product and the probability of failure?

- ► Positive relation
- ► Direct relation
- ► **Inverse relation**
- ► Negative relation

Ref by Instructor: When the probability of failure is high then it means that there are flaws in the product design or in manufacturing which may affect the product negatively and can lead to its failure and this case the robustness which is the strength or the healthiness of the product will be low. **For the high robustness of the product the probability of failure must be low and the extent to which the relationship is Inverse depends upon the rate of the probability of failure**. For example if a product has 80% probability of functioning then the probability why would it fail will be of 20% and this is due to this inverse relationship.

Question No: 27 (Marks: 1) - Please choose one
Which one of the following management functions is based on forecasting?

- ► **Planning**
- ► Organizing
- ► Leading
- ► Controlling

Ref: Forecasting is used in the practice of Customer Demand Planning in every day business forecasting for manufacturing companies.
http://en.wikipedia.org/wiki/Forecasting

Question No: 28 (Marks: 1) - Please choose one
Which one of the following factors provides a basis for comparing alternative forecasting techniques?

- ► Time dimension
- ► Reliability factor
- ► **Degree of accuracy**
- ► Measuring units

Ref: Accuracy: Forecasts should be accurate. In fact it should carry the degree of accuracy, so the users are aware of the limitations of the forecast. This will also help the end users to plan for possible errors and provide a basis for comparing the forecast with other alternative forecasts **(Handouts Page No. 34)**

Question No: 29 (Marks: 1) - Please choose one
Which of the following functions of an organization consists of all activities directly related to production of a good or service?

- ► **Operations**

► Marketing
► Accounting
► Finance

Ref: The Operations function consists of all activities that are directly related to production of a good or service. **(Handouts Page No. 7)**

Question No: 30 (Marks: 1) - Please choose one
Which of following statement is **true** about effective capacity?

► It is the actual output achieved
► It is always less than actual output
► It is the maximum output that a firm can produce.
► **It is always less than designed capacity**

Ref:
http://books.google.com.pk/books?id=wUHzc8JtZzUC&pg=PA249&dq=effective+capacity+It+is+the+actual+output+achieved&hl=en&ei=4WV3TfycOIio8AP885jPCw&sa=X&oi=book_result&ct=result&resnum=1&sqi=2&ved=0CCcQ6AEwAA#v=onepage&q=effective%20capacity%20It%20is%20the%20actual%20output%20achieved&f=false
(Read the 3rd Paragraph)

Question No: 31 (Marks: 1) - Please choose one
In which one of the following decision environments it is impossible to assess the likelihood of various future events?

► Risk
► Bounded rationality
► Certainty
► **Uncertainty**

Ref: Uncertainty: environments it is impossible to assess the likelihood of various future events. http://nrmt.files.wordpress.com/2011/04/15-decision-making-strategies.pdf

Question No: 32 (Marks: 1) - Please choose one
Which of the following is **NOT** mark of a good layout in manufacturing?

► **Bottleneck operations**
► Straight line flow pattern (or adaption)
► Work stations close together
► Open plant floors (high visibility)

Ref: http://forecast.umkc.edu/ftppub/ba547/chapter_10.htm **(SEE THE QUESTION NO. 01)**

Question No: 33 (Marks: 1) - Please choose one
All of the following are examples of time based strategies **EXCEPT**:

► Products /service design time
► Processing time
► Response time for complaints

► **Response time for innovation**

Ref: There are 6 time based strategies namely:-

13. **Planning Time:** The time required to react to a competitive threat, or to adopt new technologies, or to approve changes to an existing facility
14. **Products/Service Design Time:** The time needed to develop or market new or redesigned products or services
15. **Processing Time:** The time required to produce goods or services, includes repairing equipment, quality training, inventory etc
16. **Changeover Time:** is the time needed to change from producing one type of product or service to another. New model, new insurance /health service.
17. **Delivery Time:** is the time needed to fill orders.
18. **Response Time for complaints:** is the required to improve the model or service features according to customer inputs and improving employee working conditions. **(HANDOUTS PAGE NO. 18)**

Question No: 34 (Marks: 1) - Please choose one
Which one of the following is a key benefit of process plant strategy?

► **Economies of scale**
► Diseconomies of scale
► Product variety
► Task specialization

Ref:
http://books.google.com/books?id=tqVIT0xE4NAC&pg=PA369&dq=key+benefit+of+process+plant+strategy&hl=en&ei=cjd1TaX5LIfNrQeo39DRCg&sa=X&oi=book_result&ct=result&resnum=2&ved=0CDIQ6AEwAQ#v=onepage&q=key%20benefit%20of%20process%20plant%20strategy&f=false **(READ THE SECOND PARAGRAPH)**

Question No: 35 (Marks: 1) - Please choose one
Which one of the following refers to a design that takes into account organization's operational capabilities, when designing a product?

► Design for assembly
► **Design for manufacturing**
► Design for recycling
► Design for disassembly

Ref: Design for Manufacturing (DFM): The designers' consideration of the organization's manufacturing capabilities when designing a product. **(Handouts Page No. 51)**

Question No: 36 (Marks: 1) - Please choose one
Which of the following layouts facilitates the handling of varied processing requirements?

► Product layout
► **Process layout**

► Fixed-position layout
► Hybrib/Combination layout

Ref: Process layout. A Layout that can handle varied processing requirements. **(Handouts Page No. 80)**

Question No: 37 (Marks: 1) - Please choose one
Which one of the following forecasting techniques uses explanatory variables to predict future demand?

► **Associative forecast**
► Time series forecast
► Consumer survey
► Executive opinion

Ref: Associative Models: forecasting technique that uses explanatory variables to predict future demand. http://cramberry.net/sets/26728-operational-management-3

Question No: 38 (Marks: 1) - Please choose one
Which one of the following layout types is associated with car assembly?

► Fixed position layout
► Process layout
► **Product layout**
► Hybrid layout

Ref: Product – Layout should suit to the nature of product and its method of production. I.e. aircraft manufacturing and car manufacturing layouts will be different. Sales also affect the layout. http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 39 (Marks: 1) - Please choose one
Which one of the following is an outcome of MINIMAX regret?

► The best of the worst possible payoff
► The best possible payoff
► The best average payoff
► **The least of the worst regret**

Ref: Minimax Regret: Determines the worst regret for each alternative **(Handouts Page No. 27)**

Question No: 40 (Marks: 1) - Please choose one
Which one of the following is an index used to measure actual output relative to design capacity?

► Efficiency
► Effective capacity
► Effectiveness
► **Utilization**

Ref: It can be expressed as a ratio, where utilization = actual output divided by design capacity. This measure is used in both capacity planning and capacity requirements

planning processes. http://www.bnet.com/topics/capacity+utilization

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The management of systems or processes that creates goods and provides services is known as:

- **OperationManagement**
- Operation/production Management
- Operation/ResearchManagement
- Production/Research Management

Which one of the following forms of productivity has units of output per shift?

- Capital
- Energy
- **Labor**
- Machine

Which one of the following forms of productivity is expressed as dollar value of output per kilowatt hour?

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- **16.66 units per hr**
- 6.766 units per hr
- 60.66 units per hr

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Which of the following functions of an organization consists of all activities directly related to production of a good or service?

- **Operations**
- Marketing
- Accounting
- Finance

Which of the following is **NOT** a decision to be made by operations managers?

- How much capacity is required to balance demand?
- What should be the location and layout of a facility?
- How to improve operational efficiency?
- **Which market areas to manufacture the products for?**

All of the following are the decision areas of an operations manager EXCEPT:

- **Financial reporting**
- Inventory management
- Scheduling tasks
- Supply chain management

Organizational strategies relate to which of the following sets of factors?

- **Survival, profitability, growth rate and market share**
- Profitability, survival, leads times and target market
- Quality, operating resources, growth rate and market share
- Scheduling, profitability, lead times and survival

Which of the following statements describes an order-qualifier characteristic?

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►A competitive dimension used to make final decision among competitors

►A factor which directly and significantly contribute to winning business

►A factor which increases the profitability of the organization

►A factor perceived as a minimumstandard as a potential for purchase

To make operations strategy effective it should be:

►Independent of the organization's strategy

►Consistent with the organization's strategy

►Developed by a first line manager

►Independent of time dimension

Which one of the following correctly explains the qualitative forecasting technique?

► It consists mainly of numerical descriptions and defies subjective inputs of managers.

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► It consists mainly of analyzing objectives and hard data and resist human factor, opinion.

Which one of the following is NOT a step of strategy process?

►Develop alternatives

►Monitor results

►**Consider risk averseness strategies**

►Specify criteria for decision

As an operations manager you have collected data about the demand of certain product "P" over time "t". The data shows short-term fairly regular variations over the time period "t".Which one of the following is correctly explaining the behavior of the data?

►Cycle

►Random variation

►**Seasonality**

►Trend

Which one of the following formula can be used to compute break even point?

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- ▶Q = VC/ (R - VC)
- **▶Q = FC / (R - VC)**
- ▶Q = VC/ (R + FC)
- ▶Q = FC / (R + VC)

ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?

- ▶833 units
- ▶2000 units
- **▶5000 units**
- ▶1012 units

Which one of the following manufacturing process is associated with high volume car manufacture?

- ▶Job shop
- **▶Assembly line**
- ▶Batch
- ▶Automation

Which one of the following is a characteristic of continuous process?

- ▶High lead times
- ▶Short process times
- ▶The ability to handle high variety
- **▶The ability to handle high volumes**

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Which of the following refers the way an organization chooses to produce its good or services?

- **Process selection**
- Process reengineering
- Process redesign
- Process design

Which one of the following is an example of business that uses job shop process structure?

- **French restaurants**
- Heavy equipment
- Sugar refinery
- Automobile assembly

In which of the following layouts, work stations are arranged according to the general function they perform without regard to any particular product?

- Product
- **Process**
- Fixed-position
- Storage

Which of the following layout types is associated with a supermarket?

- Fixed position layout
- **Process layout**
- Product layout

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►Cellular layout

OSHA stands for which one of the following?

► Occupational stock hygiene administration

► **Occupational safety hygiene administration**

► Occupational safety hygiene agency

► Occupational science hygiene administration

In order to comply with the environmental standards, an organization implement Occupational Safety Hygiene Administration (OSHA) following is a way to accomplish this task?

►Promoting friendly relations among employees

► **Installing safety guards and devices to reduce the risk**

►Installing machinery to make the process speedy

►Installingmachinery that provides cost effective output

Which one of the following statements is TRUE about product life cycle?

►It depicts demand of a product at various price levels

► **It depicts demand of a product with respect to time**

►It relates demand of a product to quality

►It relates demand of a product to market share

Which one of the following is TRUE about Taguchi Approach?

► **To test the robustness of a design**

►To articulate the “voice of the customer”

►To reduce the degree of automation

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►To create a concurrent design

Questions:

Question No: 1 (Marks: 3)

What are the reasons that support the use of process layout?

Question No: 2 (Marks: 3)

Suppose you are the operations manager of a manufacturing firm, why would you perceive concurrent engineering as a suitable approach with reference to product design?

Question No: 3 (Marks: 5)

Which process system would you suggest for the following business/industry?

French restaurants **(Job Shop Process)**

Heavy equipment **(Batch Flow Process)**

Sugar refinery **(Continuous Flow Process)**

Automobile assembly **(Product layout)**

Commercial printer **(Job Shop Process)**

Question No: 4 (Marks: 5)

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In some organizations capacity planning takes place very regularly and in some it takes place seldom. What are the factors that influence the frequency of capacity planning?

Question No: 5 (Marks: 5)

Why some multinational corporations feel that globalization is not a good option?

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The disadvantages of specialization to management include all of the following EXCEPT:

- ▶ More absenteeism
- ▶ Minimum responsibility
- ▶ More turnover
- ▶ **More difficult to teach the job**

Technology has impacted the work place by:

- ▶ Adding to the existing geographical barriers for recruiting
- ▶ Increasing the cost of telecommuting
- ▶ Increasing the amount required to be spent on training
- ▶ **Unifying the workforce to a common skill level**

Which one of the following refers to a team having representatives from different functional areas of the organization?

- ▶ Traditional work group
- ▶ Self-directed team
- ▶ **Cross-functional team**
- ▶ Selfmotivated team

Which one of the following is NOT a business application of forecasting?

- ▶ Budgeting
- ▶ Capacity planning
- ▶ Inventory management
- ▶ **Quality control**

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Which one of the following factors makes a forecast LESS perfect?

- **Randomness**
- Non serious attitude
- Non availability of data
- Un qualified personnel

Which one of the following is an example of community factors that affect location decisions?

- Transportation
- **Quality of life**
- Location of new markets
- Location of raw materials

Which one of the following location strategies is favored by automobile manufacturers?

- Product plant strategy
- **Process plant strategy**
- Market area plant strategy
- Cost conservation strategy

Which one the following is an assumption of center of gravity method?

- The quantity to be shipped is variable
- **The quantity to be shipped is fixed**
- The quantity carries no value
- The quantity to be shipped should be extraordinarily high

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Which of the following statements would generally be considered as correct job shop?

►A continuous process has lower output volume as compared to job shop

►Equipment flexibility is lower in job shop than that of a continuous process

►Labor costs are higher in a Job Shop operation than in most other processes

►Batch processing produces a more standard range of products than continuous flow processes

Which one of the following is NOT an input in the transformation process?

►Information

►Services

►Facilities

►Materials

Which one of the following describes the Naïve forecast?

►Attempt to predict the future value based on the past data.

►Determine long term upward or downward movement in data.

►Forecast for any period equals the previous period's actual value.

►Collect outside opinion of consumer and potential customers.

Which one of the following is an advantage of a moving average forecast?

►All the values in the average are weighted equally.

►The method is reliable to forecast the demand accurately

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► **The method is easy to compute and easy to understand**

► The most recent values are given the more weightage

Within the operations function, which one of the following is a long-term management decision?

► Control decision

► Non-operational decision

► **Strategic decision**

► Tactical decision

The management of systems or processes that creates goods and provides services is known as:

► **Operation Management**

► Operation/production Management

► Operation/ResearchManagement

► Production/Research Management

Which of the following is **NOT** a decision to be made by operations managers?

► How much capacity is required to balance demand?

► What should be the location and layout of a facility?

► How to improve operational efficiency?

► **Which market areas to manufacture the products for?**

A business process is a logical set of tasks or activities that:

► Are specific to the operations function

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► Are specific to the marketing function

► **Are interdependent with other processes**

► Have exactly the same performance measures for any process

Which one the following formula or function can be used to measure the performance?

► Flexibility + profit+ operations

► Work + profit + value

► **Quality + speed + flexibility**

► Profit + Incentives + standards

Which of the following statements describes an order-qualifier characteristic?

► A competitive dimension used to make final decision among competitors

► A factor which directly and significantly contribute to winning business

► A factor which increases the profitability of the organization

► **A factor perceived as a minimumstandard as a potential for purchase**

Which one of the following forecasting techniques uses explanatory variables to predict future demand?

► **Associative forecast**

► Time series forecast

► Consumer survey

► Executive opinion

In which one of the following decision environments it is impossible to assess the likelihood of various future events?

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- Risk
- Bounded rationality
- Certainty
- **Uncertainty**

Which one of the following is an implication of LAPLACE approach of decision making?

- The best of the worst possible payoff
- The best possible payoff
- **The best average payoff**
- The least of the worst regrets

Which one of the following is an outcome of MINIMAX regret?

- The best of the worst possible payoff
- The best possible payoff
- The best average payoff
- **The least of the worst regret**

Which one of the following is a limitation of a moving average having a trend?

- **The forecast lags behind the actual**
- The forecast represents demand more accurately
- The forecast will not be accurate
- The forecast will not be reliable

Which one of the following refers to the maximum output that a firm can produce under ideal conditions?

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- **Design capacity**
- Effective capacity
- Capacity planning
- Utilization rate

Which one of the following is a characteristic of continuous process?

- High lead times
- Short process times
- The ability to handle high variety
- **The ability to handle high volumes**

Which of the following is an example of a business that uses assembly line process structure?

- **Automobile assembly**
- Sugar refinery
- Heavy equipment
- French restaurants

Which of the following layout types is associated with a supermarket?

- Fixed position layout
- **Process layout**
- Product layout
- Cellular layout

Questions:

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Question No: 1 (Marks: 5)

Do you perceive that operation management and operation research are the same concepts?

Question No: 1 (Marks: 3)

Write down at least threeways of improving reliability of a system.

Question No: 3 (Marks: 3)

What qualities does a successful job design contain?

Question No: 4 (Marks: 5)

Suppose you are the operations manager of ABC Corporation. To develop competence in business operations, you have to decide either to rely on the facilities available in-house or outsource. What are some of the factors you would base the decision on?

Question No: 5 (Marks: 5)

“Standardization plays an important role in product design". How will you describe this role?

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Which one of the following layout types is associated with car assembly?

- ▶ Fixed position layout
- ▶ Process layout
- ▶ **Product layout**
- ▶ Hybrid layout

A department store discovered that in a four-month period, the best forecast can be determined by using 50 percent of the sales for the most recent month, 20 percent of the sales of two months ago, 10 percent of the sales of three months ago, and 20 percent of the sales of four months ago. Which forecasting method should the store use to forecast demand?

- ▶ Simple MovingAverage
- ▶ Linear Regression
- ▶ Time Series Analysis
- ▶ **WeightedMoving Average**

Which one of the following is an application of simple exponential smoothing?

- ▶ Establishing durability
- ▶ Finding reliability
- ▶ **Scheduling services**
- ▶ Quality improvement

Which of the following takes into consideration the design of aesthetics of the product?

- ▶ Functional design

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- Production design
- Service design
- **Product design**

Which one of the following statements is TRUE about product life cycle?

- It depicts demand of a product at various price levels
- **It depicts demand of a product with respect to time**
- It relates demand of a product to quality
- It relates demand of a product to market share

Which one of the following is TRUE about Taguchi approach?

- **To test the robustness of a design**
- To articulate the "voice of the customer"
- To reduce the degree of automation
- To create a concurrent design

Which one of the following is a curve showing failure rate over time?

- Cost curve
- **Bath tub curve**
- Fish bone diagram
- Reliability curve

Which of following statement is **true** about effective capacity?

- It is the actual output achieved
- It is always less than actual output
- It is the maximum output that a firm can produce.

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► **It is always less than designed capacity**

Which one of the following is used to produce gasoline and petroleum products?

► Job shop

► Batch processing

► Assembly line

► **Continuous processing**

Quality, costs, lead times, operating resources are all related to which one of the following strategies.

► Organizational strategy

► Financial strategy

► **Operational strategy**

► Tactical strategy

Which one of the following refers to bringing together engineering design and manufacturing personnel early in the design phase?

► Reverse engineering

► **Concurrent engineering**

► Manufacturability

► Serviceability

Which of the following refers to the way an organization chooses to produce its goods or services?

► **Process selection**

► Process reengineering

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- Process redesign
- Process design

Which one of the following is the first step in line balancing?

- **Specify the sequential relationship among tasks**
- Determine the required cycle time.
- Determine the minimum number of workstations.
- Determine the desired output

Which one of the following forms of productivity has units of output per shift?

- Capital
- Energy
- **Labor**
- Machine

All of the following are the decision areas of an operations manager EXCEPT:

- Inventory management
- Scheduling tasks
- Supply chain management
- **Financial reporting**

Which one of the following formulae can be used to compute value?

- (Quality + Speed – Flexibility) / Cost
- **(Quality + Speed+ Flexibility) / Cost**
- (Quality + Speed - Cost) / Flexibility
- (Quality + Speed+ Cost) / Flexibility

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Which of the following refers to the essential elements of operations strategy?

- ► Policies, tactics and objectives
- ► Plans, strategies and vision
- ► Mission, goals and plans
- ► **Mission, policies and distinctive competencies**

As a manager, you have defined the purpose of the forecasts. What should be the **next** step in forecasting process?

- ► Choose a forecasting technique.
- ► Determine the purpose of the forecast.
- ► **Set up a time horizon or a time limit.**
- ► Collect and analyze the appropriate data.

Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics?

- ► **Simple moving average**
- ► Delphi method
- ► Trend adjusted forecast
- ► Naïve forecast

Which one of the following mathematical expressions is used to compute utilization?

- ► Actual output / effective capacity
- ► **Actual output / design capacity**

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- Actual output + effective capacity
- Actual output – design capacity

Effective capacity is influenced by all of the following factors **EXCEPT**:

- Facilities
- **Product mix**
- Processes
- Operations

Which one of the following is concerned with short term capacity needs?

- Cycle
- Trends
- **Seasonality**
- Average

Which of the following statements is correct about capacity evaluating alternatives?

- **Minimumcost and optimal operating rate are functions of size of plant.**
- Minimum cost and optimal operating rate are functions of fixed cost.
- Minimum cost and productivity are functions of size of plant.
- Maximum cost and optimal operating rate are functions of size of plant.

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- Heavy equipment
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- **Process layout**
- Product layout
- Cellular layout

Which one of the following defines the range of the smoothing constant (Alpha)?

- 2 and -2
- 1 and -1
- 0 and -1
- **0 and 1**

Which method of forecasting ismost widely used?

- Regression analysis
- Adaptive forecasting
- Weighted moving average
- **Exponential smoothing**

Which one of the following refers to a design that takes into account organization's operational capabilities, when designing a product?

- Design for assembly
- **Design for manufacturing**
- Design for recycling

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► Design for disassembly

What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?

► 6.02

► 2.0

► **0.99**

► 0.006

Which of the following management level is responsible for long-range capacity planning?

► Lower management

► Middle management

► **Top management**

► Non managerial employees

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- ▶ Profitability, survival, leads times and target market
- ▶ Quality, operating resources, growth rate and market share
- ▶ Scheduling, profitability, lead times and survival

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►**Consider risk averseness strategies**

►Specify criteria for decision

As an operations manager you have collected data about the demand of certain product "P" over time "t". The data shows short-term fairly regular variations over the time period "t".Which one of the following is correctly explaining the behavior of the data?

►Cycle

►Random variation

►**Seasonality**

►Trend

Which one of the following formula can be used to compute break even point?

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► Q = VC/ (R - VC)

► **Q = FC / (R - VC)**

► Q = VC/ (R + FC)

► Q = FC / (R + VC)

ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?

► 833 units

► 2000 units

► **5000 units**

► 1012 units

Which one of the following manufacturing process is associated with high volume car manufacture?

► Job shop

► **Assembly line**

► Batch

► Automation

Which one of the following is a characteristic of continuous process?

► High lead times

► Short process times

► The ability to handle high variety

► **The ability to handle high volumes**

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Which of the following refers the way an organization chooses to produce its good or services?

- **Process selection**
- Process reengineering
- Process redesign
- Process design

Which one of the following is an example of business that uses job shop process structure?

- **French restaurants**
- Heavy equipment
- Sugar refinery
- Automobile assembly

In which of the following layouts, work stations are arranged according to the general function they perform without regard to any particular product?

- Product
- **Process**
- Fixed-position
- Storage

Which of the following layout types is associated with a supermarket?

- Fixed position layout
- **Process layout**
- Product layout

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►Cellular layout

OSHA stands for which one of the following?

► Occupational stock hygiene administration

► **Occupational safety hygiene administration**

► Occupational safety hygiene agency

► Occupational science hygiene administration

In order to comply with the environmental standards, an organization implement Occupational Safety Hygiene Administration (OSHA) following is a way to accomplish this task?

►Promoting friendly relations among employees

► **Installing safety guards and devices to reduce the risk**

►Installing machinery to make the process speedy

►Installingmachinery that provides cost effective output

Which one of the following statements is TRUE about product life cycle?

►It depicts demand of a product at various price levels

► **It depicts demand of a product with respect to time**

►It relates demand of a product to quality

►It relates demand of a product to market share

Which one of the following is TRUE about Taguchi Approach?

► **To test the robustness of a design**

►To articulate the “voice of the customer”

►To reduce the degree of automation

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►To create a concurrent design

The disadvantages of specialization to management include all of the following EXCEPT:

►More absenteeism

►Minimum responsibility

►More turnover

►**More difficult to teach the job**

Technology has impacted the work place by:

►Adding to the existing geographical barriers for recruiting

►Increasing the cost of telecommuting

►Increasing the amount required to be spent on training

►**Unifying the workforce to a common skill level**

Which one of the following refers to a team having representatives from different functional areas of the organization?

►Traditional work group

►Self-directed team

►**Cross-functional team**

►Selfmotivated team

Which one of the following is NOT a business application of forecasting?

►Budgeting

►Capacity planning

►Inventory management

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► **Quality control**

Which one of the following factors makes a forecast LESS perfect?

► **Randomness**

► Non serious attitude

► Non availability of data

► Un qualified personnel

Which one of the following is an example of community factors that affect location decisions?

► Transportation

► **Quality of life**

► Location of new markets

► Location of raw materials

Which one of the following location strategies is favored by automobile manufacturers?

► Product plant strategy

► **Process plant strategy**

► Market area plant strategy

► Cost conservation strategy

Which one the following is an assumption of center of gravity method?

► The quantity to be shipped is variable

► **The quantity to be shipped is fixed**

► The quantity carries no value

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►The quantity to be shipped should be extraordinarily high

Which of the following statements would generally be considered as correct job shop?

►A continuous process has lower output volume as compared to job shop

►Equipment flexibility is lower in job shop than that of a continuous process

►Labor costs are higher in a Job Shop operation than in most other processes

►Batch processing produces a more standard range of products than continuous flow processes

Which one of the following is NOT an input in the transformation process?

►Information

►Services

►Facilities

►Materials

Which one of the following describes the Naïve forecast?

►Attempt to predict the future value based on the past data.

►Determine long term upward or downward movement in data.

►Forecast for any period equals the previous period's actual value.

►Collect outside opinion of consumer and potential customers.

Which one of the following is an advantage of a moving average forecast?

►All the values in the average are weighted equally.

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►The method is reliable to forecast the demand accurately

►**The method is easy to compute and easy to understand**

►The most recent values are given the more weightage

Within the operations function, which one of the following is a long-term management decision?

► Control decision

► Non-operational decision

► **Strategic decision**

► Tactical decision

The management of systems or processes that creates goods and provides services is known as:

► **Operation Management**

► Operation/production Management

► Operation/ResearchManagement

► Production/Research Management

Which of the following is **NOT** a decision to be made by operations managers?

►How much capacity is required to balance demand?

►What should be the location and layout of a facility?

►How to improve operational efficiency?

►**Which market areas to manufacture the products for?**

A business process is a logical set of tasks or activities that:

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- Are specific to the operations function
- Are specific to the marketing function
- **Are interdependent with other processes**
- Have exactly the same performance measures for any process

Which one the following formula or function can be used to measure the performance?

- Flexibility + profit+ operations
- Work + profit + value
- **Quality + speed + flexibility**
- Profit + Incentives + standards

Which of the following statements describes an order-qualifier characteristic?

- A competitive dimension used to make final decision among competitors
- A factor which directly and significantly contribute to winning business
- A factor which increases the profitability of the organization
- **A factor perceived as a minimumstandard as a potential for purchase**

Which one of the following forecasting techniques uses explanatory variables to predict future demand?

- **Associative forecast**
- Time series forecast
- Consumer survey
- Executive opinion

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In which one of the following decision environments it is impossible to assess the likelihood of various future events?

- Risk
- Bounded rationality
- Certainty
- **Uncertainty**

Which one of the following is an implication of LAPLACE approach of decision making?

- The best of the worst possible payoff
- The best possible payoff
- **The best average payoff**
- The least of the worst regrets

Which one of the following is an outcome of MINIMAX regret?

- The best of the worst possible payoff
- The best possible payoff
- The best average payoff
- **The least of the worst regret**

Which one of the following is a limitation of a moving average having a trend?

- **The forecast lags behind the actual**
- The forecast represents demand more accurately
- The forecast will not be accurate
- The forecast will not be reliable

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Which one of the following refers to the maximum output that a firm can produce under ideal conditions?

- **Design capacity**
- Effective capacity
- Capacity planning
- Utilization rate

Which one of the following is a characteristic of continuous process?

- High lead times
- Short process times
- The ability to handle high variety
- **The ability to handle high volumes**

Which of the following is an example of a business that uses assembly line process structure?

- **Automobile assembly**
- Sugar refinery
- Heavy equipment
- French restaurants

Which of the following layout types is associated with a supermarket?

- Fixed position layout
- **Process layout**
- Product layout
- Cellular layout

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Which one of the following layout types is associated with car assembly?

- ▶ Fixed position layout
- ▶ Process layout
- ▶ **Product layout**
- ▶ Hybrid layout

A department store discovered that in a four-month period, the best forecast can be determined by using 50 percent of the sales for the most recent month, 20 percent of the sales of two months ago, 10 percent of the sales of three months ago, and 20 percent of the sales of four months ago. Which forecasting method should the store use to forecast demand?

- ▶ Simple MovingAverage
- ▶ Linear Regression
- ▶ Time Series Analysis
- ▶ **WeightedMoving Average**

Which one of the following is an application of simple exponential smoothing?

- ▶ Establishing durability
- ▶ Finding reliability
- ▶ **Scheduling services**
- ▶ Quality improvement

Which of the following takes into consideration the design of aesthetics of the product?

- ▶ Functional design

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- Production design
- Service design
- **Product design**

Which one of the following statements is TRUE about product life cycle?

- It depicts demand of a product at various price levels
- **It depicts demand of a product with respect to time**
- It relates demand of a product to quality
- It relates demand of a product to market share

Which one of the following is TRUE about Taguchi approach?

- **To test the robustness of a design**
- To articulate the "voice of the customer"
- To reduce the degree of automation
- To create a concurrent design

Which one of the following is a curve showing failure rate over time?

- Cost curve
- **Bath tub curve**
- Fish bone diagram
- Reliability curve

Which of following statement is **true** about effective capacity?

- It is the actual output achieved
- It is always less than actual output
- It is the maximum output that a firm can produce.

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► **It is always less than designed capacity**

Which one of the following is used to produce gasoline and petroleum products?

► Job shop

► Batch processing

► Assembly line

► **Continuous processing**

Quality, costs, lead times, operating resources are all related to which one of the following strategies.

► Organizational strategy

► Financial strategy

► **Operational strategy**

► Tactical strategy

Which one of the following refers to bringing together engineering design and manufacturing personnel early in the design phase?

► Reverse engineering

► **Concurrent engineering**

► Manufacturability

► Serviceability

Which of the following refers to the way an organization chooses to produce its goods or services?

► **Process selection**

► Process reengineering

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- Process redesign
- Process design

Which one of the following is the first step in line balancing?

- **Specify the sequential relationship among tasks**
- Determine the required cycle time.
- Determine the minimum number of workstations.
- Determine the desired output

Which one of the following forms of productivity has units of output per shift?

- Capital
- Energy
- **Labor**
- Machine

All of the following are the decision areas of an operations manager EXCEPT:

- Inventory management
- Scheduling tasks
- Supply chain management
- **Financial reporting**

Which one of the following formulae can be used to compute value?

- (Quality + Speed – Flexibility) / Cost
- **(Quality + Speed+ Flexibility) / Cost**
- (Quality + Speed - Cost) / Flexibility
- (Quality + Speed+ Cost) / Flexibility

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Which of the following refers to the essential elements of operations strategy?

- ► Policies, tactics and objectives
- ► Plans, strategies and vision
- ► Mission, goals and plans
- ► **Mission, policies and distinctive competencies**

As a manager, you have defined the purpose of the forecasts. What should be the **next** step in forecasting process?

- ► Choose a forecasting technique.
- ► Determine the purpose of the forecast.
- ► **Set up a time horizon or a time limit.**
- ► Collect and analyze the appropriate data.

Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics?

- ► **Simple moving average**
- ► Delphi method
- ► Trend adjusted forecast
- ► Naïve forecast

Which one of the following mathematical expressions is used to compute utilization?

- ► Actual output / effective capacity
- ► **Actual output / design capacity**

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- Actual output + effective capacity
- Actual output – design capacity

Effective capacity is influenced by all of the following factors **EXCEPT**:

- Facilities
- **Product mix**
- Processes
- Operations

Which one of the following is concerned with short term capacity needs?

- Cycle
- Trends
- **Seasonality**
- Average

Which of the following statements is correct about capacity evaluating alternatives?

- **Minimumcost and optimal operating rate are functions of size of plant.**
- Minimum cost and optimal operating rate are functions of fixed cost.
- Minimum cost and productivity are functions of size of plant.
- Maximum cost and optimal operating rate are functions of size of plant.

Which of the following is an example of a business that uses assembly line process structure?

- **Automobile assembly**
- Sugar refinery

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- Heavy equipment
- French restaurants

Which of the following layout types is associated with a supermarket?

- Fixed position layout
- **Process layout**
- Product layout
- Cellular layout

Which one of the following defines the range of the smoothing constant (Alpha)?

- 2 and -2
- 1 and -1
- 0 and -1
- **0 and 1**

Which method of forecasting ismost widely used?

- Regression analysis
- Adaptive forecasting
- Weighted moving average
- **Exponential smoothing**

Which one of the following refers to a design that takes into account organization's operational capabilities, when designing a product?

- Design for assembly
- **Design for manufacturing**
- Design for recycling

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► Design for disassembly

What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?

► 6.02

► 2.0

► **0.99**

► 0.006

Which of the following management level is responsible for long-range capacity planning?

► Lower management

► Middle management

► **Top management**

► Non managerial employees

Which of the following is NOT an emerging trend in the workplace?

► Increasing workplace diversity

► **Decreasing work schedule flexibility**

► Increasing number of part time jobs

► Increasing use of temporary labor

Which one of the following is NOT a business application of forecasting?

► Budgeting

► Capacity planning

► Inventory management

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► **Quality control**

Which one of the following is an example of site related factors that affect location decision?

► **Transportation**

► Quality of life

► Location of new markets

► Location of raw materials

Which one of the following is TRUE about work sampling?

► It describes individual human motions that are used in a job task

► It involves determining the length of time it will take to undertake a particular task

► **It involves determining the amount of time a worker spends on various activities**

► It provides standard times for micro motions such as reach, move and release

Services differ from manufacturing in all the following ways EXCEPT:

► Customers typically interact directly with the service delivery process.

► Consumption and production take place simultaneously.

► Services are intangible.

► **Services can be stored**

Which of the following is **NOT** an attribute to classify services?

► **Tangibility**

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- Perishability
- Simultaneity
- Courtesy

Organizational strategies relate to which of the following sets of factors?

- **Survival, profitability, growth rate and market share**
- Profitability, survival, lead times and target market
- Quality, operating resources, growth rate and market share
- Scheduling, profitability, lead times and survival

The purpose of _____ is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

- Total quality control
- **Demand management**
- Forecasting
- Operations management

Questions:

Question No: 1 (Marks: 3)

What are the reasons that support the use of process layout?

Question No: 2 (Marks: 3)

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Suppose you are the operations manager of a manufacturing firm, why would you perceive concurrent engineering as a suitable approach with reference to product design?

Question No: 3 (Marks: 5)

Which process system would you suggest for the following business/industry?

French restaurants **(Job Shop Process)**

Heavy equipment **(Batch Flow Process)**

Sugar refinery **(Continuous Flow Process)**

Automobile assembly **(Product layout)**

Commercial printer **(Job Shop Process)**

Question No: 4 (Marks: 5)

In some organizations capacity planning takes place very regularly and in some it takes place seldom. What are the factors that influence the frequency of capacity planning?

Question No: 5 (Marks: 5)

Why some multinational corporations feel that globalization is not a good option?

Question No: 6 (Marks: 5)

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Do you perceive that operation management and operation research are the same concepts?

Question No: 7 (Marks: 3)

Write down at least threeways of improving reliability of a system.

Question No: 8 (Marks: 3)

What qualities does a successful job design contain?

Question No: 9 (Marks: 5)

Suppose you are the operations manager of ABC Corporation. To develop competence in business operations, you have to decide either to rely on the facilities available in-house or outsource. What are some of the factors you would base the decision on?

Question No: 10 (Marks: 5)

“Standardization plays an important role in product design". How will you describe this role?

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Composed & Solved

Hafiz Salman Majeed & Qazi (1 Nation) & Aysha Mirza & Maha Shah & Dua Wiki

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MGT613 Online Quiz#1 From Lecture# 1 to 13 Solved By

Hafiz Salman Majeed and Qazi(1 Nation) Aysha Mirza & Maha Shah & Dua Wiki

Question # 1 of 15 (Start time: 08:42:06 PM) Total Marks: 1
Which of the following statements corresponds to an order-winning characteristic?
Select correct option:

A factor which may be significant in other parts of the organization
A factor which gives an organization a competitive edge
A factor which serves as a minimum standard for purchase
A factor which increases the profitability of the organization

Question # 2 of 15 (Start time: 08:43:23 PM) Total Marks: 1
Which one of the following is NOT a business application of forecasting?
Select correct option:

Budgeting
Capacity planning
Inventory management
Quality control

Question # 3 of 15 (Start time: 08:44:13 PM) Total Marks: 1
A term strategy is referred to as
Select correct option:

The goal that is to be achieved
A functional area of the firm
An action plan to achieve a mission
The purpose for which an organization is established

Question # 4 of 15 (Start time: 08:45:32 PM) Total Marks: 1
Operational strategies mostly function on two dimensions that are:
Select correct option:

Quality management and Service/Manufacturing Strategy
Quality and Operation Management
Service/Manufacturing Strategy and Functional Management
Operation and Functional Management

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Question # 5 of 15 (Start time: 08:46:45 PM) Total Marks: 1
Robustness of a product is _____ related with the probability of failure.
Select correct option:

Directly
Inversely
Linearly
Positively

Question # 6 of 15 (Start time: 08:48:07 PM) Total Marks: 1
The operational strategy must be in line with the:
Select correct option:

Department goals
Organizational goals
Management goals
None of the above

Question # 7 of 15 (Start time: 08:49:23 PM) Total Marks: 1
Collaborative Planning, Forecasting, and Replenishment (CPFR) a Web based tool used to coordinate demand forecasting, _____ and inventory replenishment between supply chain trading partners.
Select correct option:

Production and purchase planning
Demand and supply planning
Quantitative forecasting
Demand management

Question # 8 of 15 (Start time: 08:50:45 PM) Total Marks: 1
Which one of the followings is the most closest to the linear regression?
Select correct option:

Trend projection method of forecasting
Weighted moving average forecasting
Simple moving average forecasting
Naïve forecasting

Question # 9 of 15 (Start time: 08:52:10 PM) Total Marks: 1
A gradual, long term upward or downward movement in data is referred to as:
Select correct option:

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Cycle
Trend
Seasonality
Random variation

Question # 10 of 15 (Start time: 08:52:53 PM) Total Marks: 1
The systematic plan of action with defined resources is called:
Select correct option:

Competitiveness
Strategy
Productivity
Flexibility

Question # 11 of 15 (Start time: 08:53:45 PM) Total Marks: 1
Which method of forecasting is the most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 12 of 15 (Start time: 08:55:07 PM) Total Marks: 1
Which one of the following refers to a decision environment in which relevant parameters have known values?
Select correct option:

Certainty
Uncertainty
Risk
Bounded rationality

Question # 13 of 15 (Start time: 08:56:26 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

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Question # 14 of 15 (Start time: 08:57:52 PM) Total Marks: 1
Which one of the following management functions is based on forecasting?
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 15 of 15 (Start time: 08:58:38 PM) Total Marks: 1
The role of a ---------- manager is to sustain, protect, and project the company's operations side.
Select correct option:

Project Manager
Operations Manager
Finance Manager
Marketing Manager

Question # 1 of 15 (Start time: 09:37:56 PM) Total Marks: 1
All of the following are examples of transformation process EXCEPT:
Select correct option:

Cutting
Packing
Facilitating
Labeling

Question # 2 of 15 (Start time: 09:39:22 PM) Total Marks: 1
How organizations assure that the designed strategy is giving the required output or results?
Select correct option:

Increase in demand of the product
By measuring the productivity
Environmental scanning
Raw materials are effectively used

Question # 3 of 15 (Start time: 09:40:50 PM) Total Marks: 1
Which one of the following forms of productivity has units of output per dollar input?
Select correct option:

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Capital
Energy
Labor
Machine

Question # 4 of 15 (Start time: 09:41:27 PM) Total Marks: 1
Which one of the following is the final stage of product life cycle?
Select correct option:

Growth
Decline
Maturity
Planning

Question # 5 of 15 (Start time: 09:42:08 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

Question # 6 of 15 (Start time: 09:43:35 PM) Total Marks: 1
Which one of the following is an application of simple exponential smoothing?
Select correct option:

Establishing durability
Finding reliability
Scheduling services
Quality improvement

Question # 7 of 15 (Start time: 09:44:58 PM) Total Marks: 1
Which one of the following is an implication of laplace approach of decision making?
Select correct option:

The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets

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Question # 8 of 15 (Start time: 09:46:00 PM) Total Marks: 1
Which probability distribution is used most extensively in dealing with forecasting errors?
Select correct option:

Normal
Exponential
Beta
Pareto

Question # 9 of 15 (Start time: 09:47:13 PM) Total Marks: 1
Which one of the following statements relates to the final stage of product life cycle?
Select correct option:

Improved reliability, and reduced quality
Improved packaging, and reliability
Improved reliability, and reduced production costs
Improved reliability, and reduced promotion costs

Question # 10 of 15 (Start time: 09:48:14 PM) Total Marks: 1
Which of the following is not the true representation the concept of time series model?
Select correct option:

Exponential smoothing
Moving averages
Naïve approach
Linear regression

Question # 11 of 15 (Start time: 09:49:40 PM) Total Marks: 1
With regard to a regression-based forecast, the standard error of the estimate gives a measure of:
Select correct option:

Required time to derive the forecast equation
Validation time period of the forecast
The maximum error of the forecast
Variability around the regression line

Question # 12 of 15 (Start time: 09:51:06 PM) Total Marks: 1
The industrial revolution came into;
Select correct option:

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1770
1920
1911
1815

Question # 13 of 15 (Start time: 09:52:03 PM) Total Marks: 1
In time series forecast the population shifts, changing income and cultural changes refers to:
Select correct option:

Trend
Seasonality
Cycle
Irregular Variations

Question # 14 of 15 (Start time: 09:53:09 PM) Total Marks: 1
Which one of the following strategies specifies how the firm will employ its production capabilities to support its corporate strategy?
Select correct option:

Tactical
Operations
Manufacturing
Production

Question # 15 of 15 (Start time: 09:54:33 PM) Total Marks: 1
Forecasting or prediction for organizations will always be:
Select correct option:

Failure
Success
Sometimes failure and sometimes success
Complex

Which one of the following forecasts is quick and easy to prepare?

Time series
Delphi
Naive
Associative

Which one of the following forecasting techniques is used to identify a trend when data is

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neither growing nor declining rapidly and has no seasonal characteristics.

Simple Moving Average
Delphi method
Trend Adjusted Forecast
Naive Forecast

In which one of the following decision environments it is impossible to assess the likelihood of various future events?

Certainty
Uncertainty
Risk
Bounded Rationally

To make operations strategy effective it should be:

Independent of the organization's strategy
Consistent with the organization's strategy
Developed by a first line manager
Independent of time dimension

Those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase is called:

Order Winners
Order Qualifiers
Order Takers
None of the above

Which one of the following is an implication of laplace approach of decision making? Select correct option:

The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets

More routine purchasing, handling and inspection is an example of:

Customization
Mass Customization

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Standardization
None of the above

Which of the following provide guidance and directions for carrying out operations?

Tactics
Strategies
Policies
Mission

_____ is a wave like variations of more than one year's duration.

Cycle
Trend
Seasonality
Random Variation

Which one of the following correctly represents a set of time series forecats?

Averaging, cycle, seasonality, random variation
Trend, seasonality, exponential smoothing
Trend, cycle, seasonality, moving average
Trend, cycle, seasonality, random variation

Which of the following forecasting techniques induce personal bias in a forecast?

Qualitative
Quantitative
Associative
Trend forecast

All of the following are examples of Qualitative forecasting except:

Judgmental
Delphi method
Consumer Survey
Naïve Forecasting

Operational strategies mostly function on two dimensions that are:
Select correct option:

Quality management and Service/Manufacturing Strategy

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Quality and Operation Management
Service/Manufacturing Strategy and Functional Management
Operation and Functional Management

_____ means that the relevant parameters such as cost, capacity and demand have known values.

Risk
Certainty
Uncertainty
None of above

The productivity measure output/ (labor + machine) will be named as:

Partial measure
Multifactor measure
Total Measure
None of the above

Question # 1 of 15 (Start time: 04:08:33 PM) Total Marks: 1
Which of the following is not an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of Customer Contact

Question # 2 of 15 (Start time: 04:09:27 PM) Total Marks: 1
Which one of the following factors makes a forecast LESS perfect?
Select correct option:

Randomness
Non serious attitude
Non availability of data
Un qualified personnel

Question # 3 of 15 (Start time: 04:10:44 PM) Total Marks: 1
Which one of the following is true about Taguchi approach?
Select correct option:

To test the robustness of a design

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To articulate the "voice of the customer"
To reduce the degree of automation
To create a concurrent design

Question # 4 of 15 (Start time: 04:11:24 PM) Total Marks: 1
Which of the following provide guidance and directions for carrying out operations?
Select correct option:

Tactics
Strategies
Policies
Mission

Question # 5 of 15 (Start time: 04:11:30 PM) Total Marks: 1
Which one of the following is the final stage of product life cycle?
Select correct option:

Growth
Decline
Maturity
Planning

Question # 6 of 15 (Start time: 04:11:37 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 7 of 15 (Start time: 04:11:55 PM) Total Marks: 1
Tools like Decision trees and Graphical sensitivity analysis are being used for what purpose?
Select correct option:

For the evaluation of the alternatives
For analyzing decision problems
For making optimistic decisions
Non of the above

Question # 8 of 15 (Start time: 04:13:21 PM) Total Marks: 1

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A term strategy is referred to as
Select correct option:

The goal that is to be achieved
A functional area of the firm
An action plan to achieve a mission
The purpose for which an organization is established

Question # 9 of 15 (Start time: 04:13:30 PM) Total Marks: 1
Productivity ratios are used in;
Select correct option:

Planning work force requirements
Scheduling equipments
Financial analysis
All of the above

Question # 10 of 15 (Start time: 04:14:13 PM) Total Marks: 1
Which of the following forecasting technique is used when introducing new products, services, new features and new packaging?
Select correct option:

Quantitative technique
Associative model
Focus group
Judgmental forecast

Question # 11 of 15 (Start time: 04:15:13 PM) Total Marks: 1
Characteristics like taste, feel, expertise, image or reputation relates to ----------.
Select correct option:

Subjective inputs
Objective inputs
Quantitative technique
None of the given options

Question # 12 of 15 (Start time: 04:16:33 PM) Total Marks: 1
Group Consensus relates to which of the following judgmental forecasting technique?
Select correct option:

Sales force
Consumer surveys

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Delphi method
Executive opinions

Question # 13 of 15 (Start time: 04:17:49 PM) Total Marks: 1
The three major business functions necessary to all organizations are:
Select correct option:

Accounting, personnel, operations
Marketing, finance/accounting, operations
Marketing, accounting, personnel
Marketing, finance, operations

Question # 14 of 15 (Start time: 04:19:16 PM) Total Marks: 1
Which of the following functions of an organization consists of all activities directly related to production of a good or service?
Select correct option:

Operations
Marketing
Accounting
Finance

Question # 15 of 15 (Start time: 04:19:44 PM) Total Marks: 1
Increases in productivity are difficult to achieve if one of the following situation occurs
Select correct option:

The task is more intellectual and personal
The task is more quantitative and repetitive
The task is more physical and tangible
The task is more good-producing and standardized

Question # 1 of 15 (Start time: 04:33:42 PM) Total Marks: 1
Forecasts help managers by reducing the degree of:
Select correct option:

Accuracy
Precision
Uncertainty
Reliability

Question # 2 of 15 (Start time: 04:34:53 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?

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Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 3 of 15 (Start time: 04:35:22 PM) Total Marks: 1
Collaborative Planning, Forecasting, and Replenishment (CPFR) a Web based tool used to coordinate demand forecasting, _____ and inventory replenishment between supply chain trading partners.
Select correct option:

Production and purchase planning
Demand and supply planning
Quantitative forecasting
Demand management

Question # 4 of 15 (Start time: 04:35:29 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

Question # 5 of 15 (Start time: 04:35:37 PM) Total Marks: 1
Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation
All of the above

Question # 6 of 15 (Start time: 04:36:04 PM) Total Marks: 1
Which one of the following is NOT a key internal factor in formulating operations strategy?
Select correct option:

Competition

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Financial resources
Human resources
Products and services

Question # 7 of 15 (Start time: 04:37:05 PM) Total Marks: 1
Overall broad picture of the organization is depicted by its _____ that provides detailed and broader scope.
Select correct option:

Operations strategy
Organizational strategy
Marketing strategy
Manufacturing units

Question # 8 of 15 (Start time: 04:38:32 PM) Total Marks: 1
Which of the following statements describes an order-qualifier characteristic?
Select correct option:

A competitive dimension used to make final decision among competitors
A factor which directly and significantly contribute to winning business
A factor which increases the profitability of the organization
A factor perceived as a minimum standard as a potential for purchase

Question # 9 of 15 (Start time: 04:39:05 PM) Total Marks: 1
As the time horizon increases the accuracy of the forecast:
Select correct option:

Decreases
Increases
Is not affected with time horizon
None of the above

Question # 10 of 15 (Start time: 04:39:46 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 11 of 15 (Start time: 04:40:13 PM) Total Marks: 1

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Which one of the following is the most significant disadvantage of standardization?
Select correct option:

Frozen designs
Interchangeable parts
Reduced variety
Customized parts

Question # 12 of 15 (Start time: 04:41:07 PM) Total Marks: 1
Which of the following is the main source of a poor decision making by the managers?
Select correct option:

Failure to check their facts
Failure to plan for unexpected events
Failure to connect the problem to the overall strategy
All of the above

Question # 13 of 15 (Start time: 04:41:52 PM) Total Marks: 1
Which one of the following is true about Taguchi approach?
Select correct option:

To test the robustness of a design
To articulate the "voice of the customer"
To reduce the degree of automation
To create a concurrent design

Question # 14 of 15 (Start time: 04:41:58 PM) Total Marks: 1
Those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase is called:
Select correct option:

Order Winners
Order Qualifiers
Order Takers
None of the above

Question # 15 of 15 (Start time: 04:42:16 PM) Total Marks: 1
The subjective inputs obtained from sources such as consumer surveys, sales staff, managers and executives are the classification of _____ forecast.
Select correct option:

Judgmental

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Time series
Associate models
Naive

Question # 1 of 15 (Start time: 04:48:08 PM) Total Marks: 1
Robustness of a product is _____ related with the probability of failure.
Select correct option:

Directly
Inversely
Linearly
Positively

Question # 2 of 15 (Start time: 04:48:15 PM) Total Marks: 1
Which of the following statements is TURE about production system?
Select correct option:

A user of resources to transform inputs into some desired outputs
Enhancing value added services
Only desired output in the form of products or manufactured goods
Making efficient use of Internet technology

Question # 3 of 15 (Start time: 04:48:40 PM) Total Marks: 1
Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?
Select correct option:

Functional design
Production design
Service design
Product design

Question # 4 of 15 (Start time: 04:49:21 PM) Total Marks: 1
Which of the following statements describes an order-qualifier characteristic?
Select correct option:

A competitive dimension used to make final decision among competitors
A factor which directly and significantly contribute to winning business
A factor which increases the profitability of the organization
A factor perceived as a minimum standard as a potential for purchase

Question # 5 of 15 (Start time: 04:49:28 PM) Total Marks: 1

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Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation
All of the above

Question # 6 of 15 (Start time: 04:49:35 PM) Total Marks: 1
Which one of the following is an implication of laplace approach of decision making?
Select correct option:

The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets

Question # 7 of 15 (Start time: 04:49:42 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

Question # 8 of 15 (Start time: 04:49:48 PM) Total Marks: 1
Characteristics like taste, feel, expertise, image or reputation relates to ----------.
Select correct option:

Subjective inputs
Objective inputs
Quantitative technique
None of the given options

Question # 9 of 15 (Start time: 04:49:54 PM) Total Marks: 1
Which one of the following is the most significant disadvantage of standardization?
Select correct option:

Frozen designs
Interchangeable parts
Reduced variety

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Customized parts

Question # 10 of 15 (Start time: 04:50:00 PM) Total Marks: 1
Which one of the following correctly represents a set of time series forecats?
Select correct option:

Averaging, cycle, seasonality, random variations
Trend, seasonality, exponential smoothing
Trend, cycle, seasonality, moving average
Trend, cycle, seasonality, random variations

Question # 11 of 15 (Start time: 04:50:20 PM) Total Marks: 1
The total weight assigned to actual occurrences should be equal to:
Select correct option:

0
1
2
3

Question # 12 of 15 (Start time: 04:51:31 PM) Total Marks: 1
Which one of the following is not a step of decision process:
Select correct option:

Specify objectives
Determine the product of chance probabilities
Analyze and select alternative
Implement and monitor the result

Question # 13 of 15 (Start time: 04:52:12 PM) Total Marks: 1
The pioneers of transforming management to scientific domain are:
Select correct option:

Fredrick Taylor
Lillian and Frank Gilbreths
Henry Fayol
Both A & B

Question # 14 of 15 (Start time: 04:53:14 PM) Total Marks: 1
Units of output per shift is:
Select correct option:

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Energy Productivity
Machine Productivity
Labor Productivity
Capital Productivity

Question # 15 of 15 (Start time: 04:53:41 PM) Total Marks: 1
Organizational strategies relate to which of the following sets of factors?
Select correct option:

Survival, profitability, growth rate and market share
Profitability, survival, lead times and target market
Quality, operating resources, growth rate and market share
Scheduling, profitability, lead times and survival

Question # 1 of 15 (Start time: 05:00:35 PM) Total Marks: 1
Which of the following includes the quantitative methods of forecasting?
Select correct option:

Sales force composite
Exponential smoothing
Consumer market survey
Jury of executive opinion

Question # 2 of 15 (Start time: 05:01:51 PM) Total Marks: 1
The forecasting model that attempts to predict the future value based on the past data is known as:
Select correct option:

Delphi Method
Time series Analysis
Associative Models
Naïve Forecasting

Question # 3 of 15 (Start time: 05:03:10 PM) Total Marks: 1
Those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase is called:
Select correct option:

Order Winners
Order Qualifiers
Order Takers
None of the above

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Question # 4 of 15 (Start time: 05:03:25 PM) Total Marks: 1
Which one of the following is the overall objective of product and service design?
Select correct option:

Customer satisfaction and variety
Reliability and variety
Quality and reliability
Customer satisfaction and profitability

Question # 5 of 15 (Start time: 05:03:56 PM) Total Marks: 1
Which of the following is not an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of Customer Contact

Question # 6 of 15 (Start time: 05:04:05 PM) Total Marks: 1
Which one of the following factors provides a basis for comparing alternative forecasting techniques?
Select correct option:

Time dimension
Reliability factor
Degree of accuracy
Measuring units

Question # 7 of 15 (Start time: 05:04:32 PM) Total Marks: 1
Which of the following is a technique for fitting a line to a set of points?
Select correct option:

Regression
Trend
Cycle
Moving average

Question # 8 of 15 (Start time: 05:05:15 PM) Total Marks: 1
Which one of the following forms of productivity has units of output per dollar input?
Select correct option:

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Capital
Energy
Labor
Machine

Question # 9 of 15 (Start time: 05:05:21 PM) Total Marks: 1
Which of the following is not the true representation the concept of time series model?
Select correct option:

Exponential smoothing
Moving averages
Naïve approach
Linear regression

Question # 10 of 15 (Start time: 05:05:38 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 11 of 15 (Start time: 05:05:46 PM) Total Marks: 1
In exponential smoothing model, a denotes:
Select correct option:

Smoothing constant
Previous forecast
Forecast error
Actual forecast

Question # 12 of 15 (Start time: 05:07:05 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 13 of 15 (Start time: 05:07:12 PM) Total Marks: 1

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The productivity measure output/ (labor + machine) will be named as:
Select correct option:

Partial measure
Multifactor measure
Total measure
None of the above

Question # 14 of 15 (Start time: 05:07:20 PM) Total Marks: 1
For which of the following approaches, the forecast of any period equals the previous period's forecast?
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 15 of 15 (Start time: 05:08:33 PM) Total Marks: 1
Organizational strategy is different from operations strategy because it is;
Select correct option:

Prepared by middle managers
Narrower in scope
Longer in time horizon
All of the above

Question # 1 of 15 (Start time: 05:35:09 PM) Total Marks: 1
CBR stands for which one of the following?
Select correct option:

Commercial Board of Revenue
Central Board of Recycling
Central Board of Renovation
Central Board of Revenue

Question # 2 of 15 (Start time: 05:35:31 PM) Total Marks: 1
Suppose an operations manager is having a pessimistic approach of decision making under uncertain conditions. What approach he will follow for decision making?
Select correct option:

Maximin

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Maximax
Laplace
Non of the above

Question # 3 of 15 (Start time: 05:36:57 PM) Total Marks: 1
Which one of the following is NOT a key internal factor in formulating operations strategy?
Select correct option:

Competition
Financial resources
Human resources
Products and services

Question # 4 of 15 (Start time: 05:37:03 PM) Total Marks: 1
Completion of any operations depends upon the slowest process in the assembly line. What operations managers need to do in order to be successful?
Select correct option:

Target and eliminate bottlenecks
Identify the bottlenecks
Make slowest process more slow
Non of the above

Question # 5 of 15 (Start time: 05:38:28 PM) Total Marks: 1
Which of the following is a technique for fitting a line to a set of points?
Select correct option:

Regression
Trend
Cycle
Moving average

Question # 6 of 15 (Start time: 05:38:35 PM) Total Marks: 1
Which one the following formula or function can be used to measure the performance?
Select correct option:

Flexibility + profit+ operations
Work + profit + value
Quality + speed + flexibility
Profit + Incentives + standards

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Question # 7 of 15 (Start time: 05:39:09 PM) Total Marks: 1
The industrial revolution came into;
Select correct option:

1770
1920
1911
1815

Question # 8 of 15 (Start time: 05:39:15 PM) Total Marks: 1
"Business forecasting is only used for predicting demand". This statement is
Select correct option:

Totally right
Totally wrong
Partially right
None of the above

Question # 9 of 15 (Start time: 05:40:41 PM) Total Marks: 1
In exponential smoothing model, a denotes:
Select correct option:

Smoothing constant
Previous forecast
Forecast error
Actual forecast

Question # 10 of 15 (Start time: 05:40:50 PM) Total Marks: 1
Tools like Decision trees and Graphical sensitivity analysis are being used for what purpose?
Select correct option:

For the evaluation of the alternatives
For analyzing decision problems
For making optimistic decisions
Non of the above

Question # 11 of 15 (Start time: 05:40:59 PM) Total Marks: 1
Which probability distribution is used most extensively in dealing with forecasting errors?
Select correct option:

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Normal
Exponential
Beta
Pareto

Question # 12 of 15 (Start time: 05:41:14 PM) Total Marks: 1
The systematic processing of data to yield information is a part of _____.
Select correct option:

Management science
Information sciences
Industrial engineering
Scientific management

Question # 13 of 15 (Start time: 05:42:23 PM) Total Marks: 1
Which one of the following is NOT a business application of forecasting?
Select correct option:

Budgeting
Capacity planning
Inventory management
Quality control

Question # 14 of 15 (Start time: 05:42:41 PM) Total Marks: 1
Productivity ratios are used in;
Select correct option:

Planning work force requirements
Scheduling equipments
Financial analysis
All of the above

Question # 15 of 15 (Start time: 05:42:47 PM) Total Marks: 1
Which one of the followings is the most closest to the linear regression?
Select correct option:

Trend projection method of forecasting
Weighted moving average forecasting
Simple moving average forecasting
Naïve forecasting

Question # 1 of 15 (Start time: 06:26:30 PM) Total Marks: 1

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In forecasting, planning the use of system relates to the _____ plans.
Select correct option:

Long term
Short term
Both long and short term
None of the above

Question # 2 of 15 (Start time: 06:27:56 PM) Total Marks: 1
How organizations assure that the designed strategy is giving the required output or results?
Select correct option:

Increase in demand of the product
By measuring the productivity
Environmental scanning
Raw materials are effectively used

Question # 3 of 15 (Start time: 06:29:21 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 4 of 15 (Start time: 06:29:46 PM) Total Marks: 1
A gradual, long term upward or downward movement in data is referred to as:
Select correct option:

Cycle
Trend
Seasonality
Random variation

Question # 5 of 15 (Start time: 06:30:11 PM) Total Marks: 1
Completion of any operations depends upon the slowest process in the assembly line. What operations managers need to do in order to be successful?
Select correct option:

Target and eliminate bottlenecks

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Identify the bottlenecks
Make slowest process more slow
Non of the above

Question # 6 of 15 (Start time: 06:33:12 PM) Total Marks: 1
All of the following are examples of Qualitative forecasting except:
Select correct option:

Judgmental
Delphi Method
Consumer Survey
Naïve Forecasting

Question # 7 of 15 (Start time: 06:34:16 PM) Total Marks: 1
OSHA stands for: which one of the following?
Select correct option:

Occupational Safety Hygiene Administration
Occupational Stock Hygiene Administration
Occupational Safety Hygiene Agency
Occupational Science Hygiene Administration

Question # 8 of 15 (Start time: 06:35:07 PM) Total Marks: 1
Which one of the following management functions is based on forecasting?
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 9 of 15 (Start time: 06:35:31 PM) Total Marks: 1
The operational strategy must be in line with the:
Select correct option:

Department goals
Organizational goals
Management goals
None of the above

Question # 10 of 15 (Start time: 06:35:54 PM) Total Marks: 1
Patterns of time series that repeat themselves after a period of days or weeks are called:

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Select correct option:

Seasonality
Random variation
Cycles
Trends

Question # 11 of 15 (Start time: 06:37:19 PM) Total Marks: 1
"What business are we in?" This statement will come under:
Select correct option:

Mission Statement
Goals
Tactics
Strategies

Question # 12 of 15 (Start time: 06:38:33 PM) Total Marks: 1
Forecasting or prediction for organizations will always be:
Select correct option:

Failure
Success
Sometimes failure and sometimes success
Complex

Question # 13 of 15 (Start time: 06:39:19 PM) Total Marks: 1
Sequence of data points that are measured typically at successive times at regular time intervals is known as:
Select correct option:

Moving average
Weighted moving average
Time series
Forecasts

Question # 14 of 15 (Start time: 06:40:06 PM) Total Marks: 1
Services differ from manufacturing in all the following ways EXCEPT:
Select correct option:

Customers typically interact directly with the service delivery process
Consumption and production take place simultaneously.
Services are intangible.

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Services can be stored.

Question # 15 of 15 (Start time: 06:41:17 PM) Total Marks: 1
Productivity ratios are used for planning workforce requirements, scheduling equipments and _____.
Select correct option:

Satisfying customers
Financial analysis
Management decisions
None of the above

Question # 1 of 15 (Start time: 06:58:12 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

Question # 2 of 15 (Start time: 06:59:00 PM) Total Marks: 1
Group Consensus relates to which of the following judgmental forecasting technique?
Select correct option:

Sales force
Consumer surveys
Delphi method
Executive opinions

Question # 3 of 15 (Start time: 06:59:46 PM) Total Marks: 1
The subjective inputs obtained from sources such as consumer surveys, sales staff, managers and executives are the classification of _____ forecast.
Select correct option:

Judgmental
Time series
Associate models
Naive

Question # 4 of 15 (Start time: 07:00:12 PM) Total Marks: 1
A term strategy is referred to as

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Select correct option:

The goal that is to be achieved
A functional area of the firm
An action plan to achieve a mission
The purpose for which an organization is established

Question # 5 of 15 (Start time: 07:00:26 PM) Total Marks: 1
Robustness of a product is _____ related with the probability of failure.
Select correct option:

Directly
Inversely
Linearly
Positively

Question # 6 of 15 (Start time: 07:00:38 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 7 of 15 (Start time: 07:01:11 PM) Total Marks: 1
_____ means that the relevant parameters such as cost, capacity and demand have known values.
Select correct option:

Risk
Certainty
Uncertainty
None of above

Question # 8 of 15 (Start time: 07:01:40 PM) Total Marks: 1
The industrial revolution came into;
Select correct option:

1770
1920
1911

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1815

Question # 9 of 15 (Start time: 07:01:52 PM) Total Marks: 1
Which probability distribution is used most extensively in dealing with forecasting errors?
Select correct option:

Normal
Exponential
Beta
Pareto

Question # 10 of 15 (Start time: 07:02:10 PM) Total Marks: 1
Following are all examples of distinctive competencies EXCEPT;
Select correct option:

Price
Quality
Planning
Flexibility

Question # 11 of 15 (Start time: 07:03:11 PM) Total Marks: 1
Which one of the following management functions is based on forecasting?
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 12 of 15 (Start time: 07:03:42 PM) Total Marks: 1
Which one of the following is not a step of decision process:
Select correct option:

Specify objectives
Determine the product of chance probabilities
Analyze and select alternative
Implement and monitor the result

Question # 13 of 15 (Start time: 07:04:39 PM) Total Marks: 1
The role of a ---------- manager is to sustain, protect, and project the company's operations side.

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Select correct option:

Project Manager
Operations Manager
Finance Manager
Marketing Manager

Question # 14 of 15 (Start time: 07:05:36 PM) Total Marks: 1
In which one of the following decision environments it is impossible to assess the likelihood of various future events?
Select correct option:

Certainty
Uncertainty
Risk
Bounded rationality

Question # 15 of 15 (Start time: 07:06:23 PM) Total Marks: 1
Which one of the following is the overall objective of product and service design?
Select correct option:

Customer satisfaction and variety
Reliability and variety
Quality and reliability
Customer satisfaction and profitability

Question # 1 of 15 (Start time: 07:10:05 PM) Total Marks: 1
Which of the following favors adopting a "go for it" strategy?
Select correct option:

Maximin
Maximax
Minimax regret
Laplace

Question # 2 of 15 (Start time: 07:10:57 PM) Total Marks: 1
The systematic plan of action with defined resources is called:
Select correct option:

Competitiveness
Strategy
Productivity

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Flexibility

Question # 3 of 15 (Start time: 07:11:22 PM) Total Marks: 1
Which of the following is NOT an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of customer contact

Question # 4 of 15 (Start time: 07:12:44 PM) Total Marks: 1
Organizational strategy is different from operations strategy because it is;
Select correct option:

Prepared by middle managers
Narrower in scope
Longer in time horizon
All of the above

Question # 5 of 15 (Start time: 07:13:34 PM) Total Marks: 1
Which one of the following is not a step of decision process:
Select correct option:

Specify objectives
Determine the product of chance probabilities
Analyze and select alternative
Implement and monitor the result

Question # 6 of 15 (Start time: 07:13:45 PM) Total Marks: 1
As the size of the smoothing constant increases:
Select correct option:

More weight is put on historic demand data.
More weight is put on recent demand data.
The sensitivity of the model decreases.
The stability of the model increases.

Question # 7 of 15 (Start time: 07:15:09 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

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Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 8 of 15 (Start time: 07:15:23 PM) Total Marks: 1
For which of the following approaches, the forecast of any period equals the previous period's forecast?
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 9 of 15 (Start time: 07:16:33 PM) Total Marks: 1
Strategy design process in initiated by:
Select correct option:

Corporate strategy
Needs of the customer
Operations Strategy
All of the above

Question # 10 of 15 (Start time: 07:17:39 PM) Total Marks: 1
Forecasts help managers by reducing the degree of:
Select correct option:

Accuracy
Precision
Uncertainty
Reliability

Question # 11 of 15 (Start time: 07:18:41 PM) Total Marks: 1
In operations management the time required to react appropriately to a competitor's strategies or technology up gradation is called:
Select correct option:

Processing time
Changeover time
Response Time
Planning time

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Question # 12 of 15 (Start time: 07:20:09 PM) Total Marks: 1
"What business are we in?" This statement will come under:
Select correct option:

Mission Statement
Goals
Tactics
Strategies

Question # 13 of 15 (Start time: 07:20:30 PM) Total Marks: 1
An automatic car wash is an example of which of the following?
Select correct option:

Standardized service
Customized service
Batch processing
Intermittent processing

Question # 14 of 15 (Start time: 07:21:22 PM) Total Marks: 1
Which one of the following refers to using some of the components of old products in the manufacture of new products?
Select correct option:

Remanufacturing
Robust design
Automation
Manufacturability

Question # 15 of 15 (Start time: 07:22:05 PM) Total Marks: 1
Which one of the following statements relates to the final stage of product life cycle?
Select correct option:

Improved reliability, and reduced quality
Improved packaging, and reliability
Improved reliability, and reduced production costs
Improved reliability, and reduced promotion costs

Question # 1 of 15 (Start time: 07:30:34 PM) Total Marks: 1
Group Consensus relates to which of the following judgmental forecasting technique?
Select correct option:

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Sales force
Consumer surveys
Delphi method
Executive opinions

Question # 2 of 15 (Start time: 07:31:08 PM) Total Marks: 1
The systematic processing of data to yield information is a part of _____.
Select correct option:

Management science
Information sciences
Industrial engineering
Scientific management

Question # 3 of 15 (Start time: 07:31:51 PM) Total Marks: 1
An organization has described its distinctive characteristics. So, what is the next step in formulating the strategy?
Select correct option:

Productivity Measures
Environmental scanning
Selecting the market segment
Competitor's distinctiveness

Question # 4 of 15 (Start time: 07:33:18 PM) Total Marks: 1
Most of the organizations adopt a defensive design R&D Strategy in an attempt to prolong the life of the product by employing new packaging, redesigning it, improving its reliability. This is _____ phase in product life cycle.
Select correct option:

Growth
Maturity
Saturation
Decline

Question # 5 of 15 (Start time: 07:34:08 PM) Total Marks: 1
Which one the following formula or function can be used to measure the performance?
Select correct option:

Flexibility + profit+ operations
Work + profit + value
Quality + speed + flexibility

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Profit + Incentives + standards

Question # 6 of 15 (Start time: 07:35:20 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 7 of 15 (Start time: 07:36:13 PM) Total Marks: 1
_____ means that the relevant parameters such as cost, capacity and demand have known values.
Select correct option:

Risk
Certainty
Uncertainty
None of above

Question # 8 of 15 (Start time: 07:36:33 PM) Total Marks: 1
The companies that are competing on cost, their chance to gain the competitive advantage over their competitors is:
Select correct option:

Based on flexibility
Based on uniqueness of their products
Based on reliability of scheduling
Based upon low cost leadership

Question # 9 of 15 (Start time: 07:37:55 PM) Total Marks: 1
The forecasting model that attempts to predict the future value based on the past data is known as:
Select correct option:

Delphi Method
Time series Analysis
Associative Models
Naïve Forecasting

Question # 10 of 15 (Start time: 07:38:54 PM) Total Marks: 1

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How organizations assure that the designed strategy is giving the required output or results?
Select correct option:

Increase in demand of the product
By measuring the productivity
Environmental scanning
Raw materials are effectively used

Question # 11 of 15 (Start time: 07:39:11 PM) Total Marks: 1
A tool to measure effective use of resources and usually expressed as the ratio of output to input is known as;
Select correct option:

Production ratio
Productivity
Reliability
Operations ratio

Question # 12 of 15 (Start time: 07:40:19 PM) Total Marks: 1
In time series forecast the population shifts, changing income and cultural changes refers to:
Select correct option:

Trend
Seasonality
Cycle
Irregular Variations

Question # 13 of 15 (Start time: 07:40:51 PM) Total Marks: 1
Organization whether manufacturing product or delivering a service are made to operate in three dimensions that are:
Select correct option:

Legal, Ethical, and Environmental
Legal, Environmental, Social
Legal, Ethical, Social
Ethical, Environmental, Social

Question # 14 of 15 (Start time: 07:41:55 PM) Total Marks: 1
Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?

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Select correct option:

Functional design
Production design
Service design
Product design

Question # 15 of 15 (Start time: 07:42:30 PM) Total Marks: 1
Which ONE of the following forms a bridge between two islands of Engineering and Management?
Select correct option:

Production Engineering
Operations Management
Industrial Management
Operations Engineering

Question # 1 of 15 (Start time: 08:53:13 PM) Total Marks: 1
Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation
All of the above

Question # 2 of 15 (Start time: 08:53:33 PM) Total Marks: 1
All of the following are examples of transformation process EXCEPT:
Select correct option:

Cutting
Packing
Facilitating
Labeling

Question # 3 of 15 (Start time: 08:53:52 PM) Total Marks: 1
Organizational strategies relate to which of the following sets of factors?
Select correct option:

Survival, profitability, growth rate and market share
Profitability, survival, lead times and target market
Quality, operating resources, growth rate and market share

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Scheduling, profitability, lead times and survival

Question # 4 of 15 (Start time: 08:54:28 PM) Total Marks: 1
Which one the following formula or function can be used to measure the performance?
Select correct option:

Flexibility + profit+ operations
Work + profit + value
Quality + speed + flexibility
Profit + Incentives + standards

Question # 5 of 15 (Start time: 08:54:43 PM) Total Marks: 1
Which ONE of the following statement correctly explains the difference between operations management (OM) and operations research (OR)?
Select correct option:

OM relies on mathematical modeling and OR focus on practical scenarios.
OM is more powerful to improve the whole system OR relies on mathematical modeling.
OM is relies on practical scenarios and Or relies on Mathematical modeling.
OM relies on mathematical modeling and OR is considered to be one of the critical tools of mangers.

Question # 6 of 15 (Start time: 08:56:07 PM) Total Marks: 1
Releasing products with defects should be informed to the customers. This statement comes under _____ frame work.
Select correct option:

Legal
Ethical
Environmental
None of the above

Question # 7 of 15 (Start time: 08:57:04 PM) Total Marks: 1
Patterns of time series that repeat themselves after a period of days or weeks are called:
Select correct option:

Seasonality
Random variation
Cycles
Trends

Question # 8 of 15 (Start time: 08:57:45 PM) Total Marks: 1

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As the size of the smoothing constant increases:
Select correct option:

More weight is put on historic demand data.
More weight is put on recent demand data.
The sensitivity of the model decreases.
The stability of the model increases.

Question # 9 of 15 (Start time: 08:58:10 PM) Total Marks: 1
How organizations assure that the designed strategy is giving the required output or results?
Select correct option:

Increase in demand of the product
By measuring the productivity
Environmental scanning
Raw materials are effectively used

Question # 10 of 15 (Start time: 08:58:22 PM) Total Marks: 1
Which of the following is a technique for fitting a line to a set of points?
Select correct option:

Regression
Trend
Cycle
Moving average

Question # 11 of 15 (Start time: 08:59:00 PM) Total Marks: 1
Which of the following includes the quantitative methods of forecasting?
Select correct option:

Sales force composite
Exponential smoothing
Consumer market survey
Jury of executive opinion

Question # 12 of 15 (Start time: 08:59:41 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method
Naïve forecast

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Associative model
Judgmental forecast

Question # 13 of 15 (Start time: 09:00:08 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

Question # 14 of 15 (Start time: 09:00:19 PM) Total Marks: 1
"What business are we in?" This statement will come under:
Select correct option:

Mission Statement
Goals
Tactics
Strategies

Question # 15 of 15 (Start time: 09:00:28 PM) Total Marks: 1
Units of output per shift is:
Select correct option:

Energy Productivity
Machine Productivity
Labor Productivity
Capital Productivity

Question # 1 of 15 (Start time: 09:05:32 PM) Total Marks: 1
A gradual, long term upward or downward movement in data is referred to as:
Select correct option:

Cycle
Trend
Seasonality
Random variation

Question # 2 of 15 (Start time: 09:05:48 PM) Total Marks: 1
Which one of the followings appears to provide the best prospect for increases in productivity?

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Select correct option:

Management
Raw materials
Labor
Capital

Question # 3 of 15 (Start time: 09:07:16 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 4 of 15 (Start time: 09:07:43 PM) Total Marks: 1
Which one of the following is the final stage of product life cycle?
Select correct option:

Growth
Decline
Maturity
Planning

Question # 5 of 15 (Start time: 09:07:56 PM) Total Marks: 1
Which of the following provide guidance and directions for carrying out operations?
Select correct option:

Tactics
Strategies
Policies
Mission

Question # 6 of 15 (Start time: 09:08:17 PM) Total Marks: 1
Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation
All of the above

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Question # 7 of 15 (Start time: 09:08:27 PM) Total Marks: 1
Tools like Decision trees and Graphical sensitivity analysis are being used for what purpose?
Select correct option:

For the evaluation of the alternatives
For analyzing decision problems
For making optimistic decisions
Non of the above

Question # 8 of 15 (Start time: 09:08:55 PM) Total Marks: 1
CBR stands for which one of the following?
Select correct option:

Commercial Board of Revenue
Central Board of Recycling
Central Board of Renovation
Central Board of Revenue

Question # 9 of 15 (Start time: 09:09:10 PM) Total Marks: 1
Overall broad picture of the organization is depicted by its _____ that provides detailed and broader scope.
Select correct option:

Operations strategy
Organizational strategy
Marketing strategy
Manufacturing units

Question # 10 of 15 (Start time: 09:09:54 PM) Total Marks: 1
_____ is a wave like variations of more than one year's duration.
Select correct option:

Cycle
Trend
Seasonality
Random variation

Question # 11 of 15 (Start time: 09:10:29 PM) Total Marks: 1
The total weight assigned to actual occurrences should be equal to:
Select correct option:

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0
1
2
3

Question # 12 of 15 (Start time: 09:11:25 PM) Total Marks: 1
Time based strategies include:
Select correct option:

Planning and processing time
Product/service design and Change over time
Delivery and Response time
All of the above

Question # 13 of 15 (Start time: 09:12:33 PM) Total Marks: 1
Collaborative Planning, Forecasting, and Replenishment (CPFR) a Web based tool used to coordinate demand forecasting, _____ and inventory replenishment between supply chain trading partners.
Select correct option:

Production and purchase planning
Demand and supply planning
Quantitative forecasting
Demand management

Question # 14 of 15 (Start time: 09:12:53 PM) Total Marks: 1
Organizational strategies relate to which of the following sets of factors?
Select correct option:

Survival, profitability, growth rate and market share
Profitability, survival, lead times and target market
Quality, operating resources, growth rate and market share
Scheduling, profitability, lead times and survival

Question # 15 of 15 (Start time: 09:13:21 PM) Total Marks: 1
Which one of the following is NOT a key external factor in formulating operations strategy?
Select correct option:

Economic conditions
Human resources

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Political conditions
Legal environment

Question # 1 of 15 (Start time: 09:21:45 PM) Total Marks: 1
Which one of the followings appears to provide the best prospect for increases in productivity?
Select correct option:

Management
Raw materials
Labor
Capital

Question # 2 of 15 (Start time: 09:21:59 PM) Total Marks: 1
Which of the following statements is TURE about production system?
Select correct option:

A user of resources to transform inputs into some desired outputs
Enhancing value added services
Only desired output in the form of products or manufactured goods
Making efficient use of Internet technology

Question # 3 of 15 (Start time: 09:22:32 PM) Total Marks: 1
Time based strategies include:
Select correct option:

Planning and processing time
Product/service design and Change over time
Delivery and Response time
All of the above

Question # 4 of 15 (Start time: 09:22:41 PM) Total Marks: 1
Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?
Select correct option:

Functional design
Production design
Service design
Product design

Question # 5 of 15 (Start time: 09:23:10 PM) Total Marks: 1

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Overall broad picture of the organization is depicted by its _____ that provides detailed and broader scope.
Select correct option:

Operations strategy
Organizational strategy
Marketing strategy
Manufacturing units

Question # 6 of 15 (Start time: 09:23:20 PM) Total Marks: 1
Tools like Decision trees and Graphical sensitivity analysis are being used for what purpose?
Select correct option:

For the evaluation of the alternatives
For analyzing decision problems
For making optimistic decisions
Non of the above

Question # 7 of 15 (Start time: 09:23:31 PM) Total Marks: 1
Which one of the following strategies specifies how the firm will employ its production capabilities to support its corporate strategy?
Select correct option:

Tactical
Operations
Manufacturing
Production

Question # 8 of 15 (Start time: 09:24:03 PM) Total Marks: 1
Which one of the following formulae can be used to compute value?
Select correct option:

(Quality + Speed – Flexibility) / Cost
(Quality + Speed+ Flexibility) / Cost
(Quality + Speed - Cost) / Flexibility
(Quality + Speed+ Cost) / Flexibility

Question # 9 of 15 (Start time: 09:25:28 PM) Total Marks: 1
Forecasts help managers by reducing the degree of:
Select correct option:

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Accuracy
Precision
Uncertainty
Reliability

Question # 10 of 15 (Start time: 09:25:44 PM) Total Marks: 1
Organizational strategy is different from operations strategy because it is;
Select correct option:

Prepared by middle managers
Narrower in scope
Longer in time horizon
All of the above

Question # 11 of 15 (Start time: 09:25:53 PM) Total Marks: 1
Which of the following is not an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of Customer Contact

Question # 12 of 15 (Start time: 09:26:04 PM) Total Marks: 1
Decision Tree is read from:
Select correct option:

Right to left
Left to right
Top to bottom
Bottom to top

Question # 13 of 15 (Start time: 09:27:20 PM) Total Marks: 1
Which of the following functions of an organization consists of all activities directly related to production of a good or service?
Select correct option:

Operations
Marketing
Accounting
Finance

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Question # 14 of 15 (Start time: 09:27:45 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 15 of 15 (Start time: 09:27:56 PM) Total Marks: 1
Techniques having numerical data include which of the following?
Select correct option:

Subjective inputs
Qualitative technique
Quantitative technique
Delphi method

Question # 1 of 15 (Start time: 09:32:11 PM) Total Marks: 1
As a manager, you have defined the purpose of the forecasts. What should be the next step in forecasting process?
Select correct option:

Collecting and analyzing the appropriate data
Determining the purpose of the forecast
Choosing a forecasting technique
Setting up a time horizon or a time limit

Question # 4 of 15 (Start time: 09:34:26 PM) Total Marks: 1
Which of the following statements describes an order-qualifier characteristic?
Select correct option:

A competitive dimension used to make final decision among competitors
A factor which directly and significantly contribute to winning business
A factor which increases the profitability of the organization
A factor perceived as a minimum standard as a potential for purchase

Question # 7 of 15 (Start time: 09:36:37 PM) Total Marks: 1
When using exponential smoothing how the smoothing constant can be determined?
Select correct option:

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With the help of the accuracy of the previous forecasts
By using MAD (Mean Absolute deviation)
By choosing to maximize positive bias
By using random variations

Question # 9 of 15 (Start time: 10:01:32 PM) Total Marks: 1
Which one of the following factors provides a basis for comparing alternative forecasting techniques?
Select correct option:

Time dimension
Reliability factor
Degree of accuracy
Measuring units

Question # 10 of 15 (Start time: 10:01:54 PM) Total Marks: 1
Robustness of a product is _____ related with the probability of failure.
Select correct option:

Directly
Inversely
Linearly
Positively

Question # 11 of 15 (Start time: 10:02:19 PM) Total Marks: 1
Suppose an operations manager is having a pessimistic approach of decision making under uncertain conditions. What approach he will follow for decision making?
Select correct option:

Maximin
Maximax
Laplace
Non of the above

Question # 12 of 15 (Start time: 10:03:23 PM) Total Marks: 1
The productivity measure output/ (labor + machine) will be named as:
Select correct option:

Partial measure
Multifactor measure
Total measure
None of the above

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Question # 13 of 15 (Start time: 10:03:53 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 14 of 15 (Start time: 10:04:03 PM) Total Marks: 1
Strategy design process in initiated by:
Select correct option:

Corporate strategy
Needs of the customer
Operations Strategy
All of the above

Question # 15 of 15 (Start time: 10:04:18 PM) Total Marks: 1
Planning workforce requirements, scheduling of the equipment and financial analysis are the major uses of_____.
Select correct option:

Productivity ratios
Productivity Growth
Multifactor productivity
Operations strategy

Question # 1 of 15 (Start time: 10:06:41 PM) Total Marks: 1
All of the following are examples of transformation process EXCEPT:
Select correct option:

Cutting
Packing
Facilitating
Labeling

Question # 2 of 15 (Start time: 10:06:52 PM) Total Marks: 1
Which of the following forecasting technique is used when introducing new products, services, new features and new packaging?
Select correct option:

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Quantitative technique
Associative model
Focus group
Judgmental forecast

Question # 3 of 15 (Start time: 10:07:17 PM) Total Marks: 1
The forecasting model that attempts to predict the future value based on the past data is known as:
Select correct option:

Delphi Method
Time series Analysis
Associative Models
Naïve Forecasting

Question # 4 of 15 (Start time: 10:07:35 PM) Total Marks: 1
Which method of forecasting is the most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 5 of 15 (Start time: 10:08:07 PM) Total Marks: 1
In exponential smoothing model, a denotes:
Select correct option:

Smoothing constant
Previous forecast
Forecast error
Actual forecast

Question # 6 of 15 (Start time: 10:08:33 PM) Total Marks: 1
In operations management the time required to react appropriately to a competitor's strategies or technology up gradation is called:
Select correct option:

Processing time
Changeover time
Response Time

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Planning time

Question # 7 of 15 (Start time: 10:08:53 PM) Total Marks: 1
The subjective inputs obtained from sources such as consumer surveys, sales staff, managers and executives are the classification of _____ forecast.
Select correct option:

Judgmental
Time series
Associate models
Naive

Question # 8 of 15 (Start time: 10:09:15 PM) Total Marks: 1
Which ONE of the following forms a bridge between two islands of Engineering and Management?
Select correct option:

Production Engineering
Operations Management
Industrial Management
Operations Engineering

Question # 9 of 15 (Start time: 10:09:30 PM) Total Marks: 1
Which one of the following is the most significant disadvantage of standardization?
Select correct option:

Frozen designs
Interchangeable parts
Reduced variety
Customized parts

Question # 10 of 15 (Start time: 10:10:42 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 11 of 15 (Start time: 10:10:52 PM) Total Marks: 1
Which one of the following forms of productivity has units of output per dollar input?

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Select correct option:

Capital
Energy
Labor
Machine

Question # 12 of 15 (Start time: 10:11:03 PM) Total Marks: 1
How organizations assure that the designed strategy is giving the required output or results?
Select correct option:

Increase in demand of the product
By measuring the productivity
Environmental scanning
Raw materials are effectively used

Question # 13 of 15 (Start time: 10:11:13 PM) Total Marks: 1
Materials, land, energy and human and capital resources are the examples of:
Select correct option:

Inputs
Transformation
Outputs
Productivity

Question # 14 of 15 (Start time: 10:12:29 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 15 of 15 (Start time: 10:12:39 PM) Total Marks: 1
Services differ from manufacturing in all the following ways EXCEPT:
Select correct option:

Customers typically interact directly with the service delivery process
Consumption and production take place simultaneously.
Services are intangible.

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Services can be stored.

Question # 1 of 15 (Start time: 10:37:24 PM) Total Marks: 1
In exponential smoothing model, a denotes:
Select correct option:

Smoothing constant
Previous forecast
Forecast error
Actual forecast

Question # 2 of 15 (Start time: 10:37:39 PM) Total Marks: 1
_____ allows the managers to anticipate the future so that they can plan accordingly.
Select correct option:

Planning
Controlling
Forecasting
Organizing

Question # 3 of 15 (Start time: 10:38:33 PM) Total Marks: 1
Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?
Select correct option:

Functional design
Production design
Service design
Product design

Question # 4 of 15 (Start time: 10:38:48 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 5 of 15 (Start time: 10:38:59 PM) Total Marks: 1
In decision making theory the next step after implementing the best possible alternative is to:

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Select correct option:

Develop Alternatives
Develop results
Monitor the results
Implementation

Question # 6 of 15 (Start time: 10:40:27 PM) Total Marks: 1
As a manager, you have defined the purpose of the forecasts. What should be the next step in forecasting process?
Select correct option:

Choose a forecasting technique.
Determine the purpose of the forecast.
Set up a time horizon or a time limit
Collect and analyze the appropriate data.

Question # 7 of 15 (Start time: 10:41:22 PM) Total Marks: 1
Increases in productivity are difficult to achieve if one of the following situation occurs
Select correct option:

The task is more intellectual and personal
The task is more quantitative and repetitive
The task is more physical and tangible
The task is more good-producing and standardized

Question # 8 of 15 (Start time: 10:41:34 PM) Total Marks: 1
_____ means that the relevant parameters such as cost, capacity and demand have known values.
Select correct option:

Risk
Certainty
Uncertainty
None of above

Question # 9 of 15 (Start time: 10:41:48 PM) Total Marks: 1
Organization whether manufacturing product or delivering a service are made to operate in three dimensions that are:
Select correct option:

Legal, Ethical, and Environmental

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Legal, Environmental, Social
Legal, Ethical, Social
Ethical, Environmental, Social

Question # 10 of 15 (Start time: 10:42:04 PM) Total Marks: 1
The systematic processing of data to yield information is a part of _____.
Select correct option:

Management science
Information sciences
Industrial engineering
Scientific management

Question # 11 of 15 (Start time: 10:42:18 PM) Total Marks: 1
Which ONE of the following forms a bridge between two islands of Engineering and Management?
Select correct option:

Production Engineering
Operations Management
Industrial Management
Operations Engineering

Question # 12 of 15 (Start time: 10:42:30 PM) Total Marks: 1
Which of the following functions of an organization consists of all activities directly related to production of a good or service?
Select correct option:

Operations
Marketing
Accounting
Finance

Question # 13 of 15 (Start time: 10:42:54 PM) Total Marks: 1
Which one of the following is a productivity measure based on all inputs?
Select correct option:

Capital productivity
Multifactor productivity
Partial productivity
Total productivity

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Question # 14 of 15 (Start time: 10:44:18 PM) Total Marks: 1
Forecasting accuracy has_____ relation with time horizon.
Select correct option:

Inverse
Linear
Direct
Parallel

Question # 15 of 15 (Start time: 10:45:13 PM) Total Marks: 1
Completion of any operations depends upon the slowest process in the assembly line.
What operations managers need to do in order to be successful?
Select correct option:

Target and eliminate bottlenecks
Identify the bottlenecks
Make slowest process more slow
Non of the above

Question # 1 of 15 (Start time: 10:49:02 PM) Total Marks: 1
With regard to a regression-based forecast, the standard error of the estimate gives a measure of:
Select correct option:

Required time to derive the forecast equation
Validation time period of the forecast
The maximum error of the forecast
Variability around the regression line

Question # 2 of 15 (Start time: 10:49:22 PM) Total Marks: 1
Which one of the following is the overall objective of product and service design?
Select correct option:

Customer satisfaction and variety
Reliability and variety
Quality and reliability
Customer satisfaction and profitability

Question # 3 of 15 (Start time: 10:49:33 PM) Total Marks: 1
Which ONE of the following statement correctly explains the difference between operations management (OM) and operations research (OR)?
Select correct option:

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OM relies on mathematical modeling and OR focus on practical scenarios.
OM is more powerful to improve the whole system OR relies on mathematical modeling.
OM is relies on practical scenarios and Or relies on Mathematical modeling.
OM relies on mathematical modeling and OR is considered to be one of the critical tools of mangers.

Question # 4 of 15 (Start time: 10:49:50 PM) Total Marks: 1
Which one of the following management functions is based on forecasting?
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 5 of 15 (Start time: 10:50:17 PM) Total Marks: 1
Productivity ratios are used for planning workforce requirements, scheduling equipments and _____.
Select correct option:

Satisfying customers
Financial analysis
Management decisions
None of the above

Question # 6 of 15 (Start time: 10:50:31 PM) Total Marks: 1
Productivity ratios are used in:
Select correct option:

Planning work force requirements
Scheduling equipments
Financial analysis
All of the above

Question # 7 of 15 (Start time: 10:50:44 PM) Total Marks: 1
Which of the following statements corresponds to an order-winning characteristic?
Select correct option:

A factor which may be significant in other parts of the organization
A factor which gives an organization a competitive edge
A factor which serves as a minimum standard for purchase

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A factor which increases the profitability of the organization

Question # 8 of 15 (Start time: 10:51:00 PM) Total Marks: 1
The major business functions consisting of research and development, product design, manufacturing, marketing, distribution, and customer service refer to:
Select correct option:

The transformation process
Value chain
Life cycle
Quality control

Question # 9 of 15 (Start time: 10:52:27 PM) Total Marks: 1
Completion of any operations depends upon the slowest process in the assembly line. What operations managers need to do in order to be successful?
Select correct option:

Target and eliminate bottlenecks
Identify the bottlenecks
Make slowest process more slow
Non of the above

Question # 10 of 15 (Start time: 10:52:42 PM) Total Marks: 1
All of the following are examples of Qualitative forecasting except:
Select correct option:

Judgmental
Delphi Method
Consumer Survey
Naïve Forecasting

Question # 11 of 15 (Start time: 10:53:24 PM) Total Marks: 1
What are the ways to promote growth of any organization in terms of its output?
Select correct option:

Bring additional inputs into production
Increase productivity
Both A & B
Non of the above

Question # 12 of 15 (Start time: 10:54:15 PM) Total Marks: 1
Manufacturability is the ease of fabrication and/or assembly which is important for:

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Select correct option:

Cost and Productivity
Productivity and Quality
Cost and Quality
Cost, productivity and Quality

Question # 13 of 15 (Start time: 10:54:57 PM) Total Marks: 1
For which of the following approaches, the forecast of any period equals the previous period's forecast?
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 14 of 15 (Start time: 10:55:22 PM) Total Marks: 1
Which of the following statement is NOT correct with respect to models in operations management?
Select correct option:

Models are easy to use, less expensive
Models have specific objectives
Models don't have the standardized format
Models enables "what if" questions

Question # 15 of 15 (Start time: 10:56:40 PM) Total Marks: 1
Operations based strategy involves all activities except;
Select correct option:

Supply chain management
Quick response to customer needs
Flexibility and inventory management
Identifying customer wants and needs

Question # 1 of 15 (Start time: 11:05:32 PM) Total Marks: 1
Organizations that produce something other than physical products are called:
Select correct option:

Cultural goods transformation
Data transfer groups

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Transformation organizations
Service organizations

Question # 2 of 15 (Start time: 11:06:29 PM) Total Marks: 1
In exponential smoothing model, a denotes:
Select correct option:

Smoothing constant
Previous forecast
Forecast error
Actual forecast

Question # 3 of 15 (Start time: 11:06:42 PM) Total Marks: 1
Which of the following is NOT an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of customer contact

Question # 4 of 15 (Start time: 11:06:53 PM) Total Marks: 1
Sequence of data points that are measured typically at successive times at regular time intervals is known as:
Select correct option:

Moving average
Weighted moving average
Time series
Forecasts

Question # 5 of 15 (Start time: 11:07:13 PM) Total Marks: 1
Strategy design process in initiated by:
Select correct option:

Corporate strategy
Needs of the customer
Operations Strategy
All of the above

Question # 6 of 15 (Start time: 11:07:25 PM) Total Marks: 1
The forecasting model that is based upon estimates of salesperson's expected sales is

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likely to be called _____.
Select correct option:

Delphi method
Sales force combination
Consumer market survey
Panel of executive opinion

Question # 7 of 15 (Start time: 11:08:48 PM) Total Marks: 1
For which of the following approaches, the forecast of any period equals the previous period's forecast?
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 8 of 15 (Start time: 11:09:13 PM) Total Marks: 1
Releasing products with defects should be informed to the customers. This statement comes under _____ frame work.
Select correct option:

Legal
Ethical
Environmental
None of the above

Question # 9 of 15 (Start time: 11:09:36 PM) Total Marks: 1
"What business are we in?" This statement will come under:
Select correct option:

Mission Statement
Goals
Tactics
Strategies

Question # 10 of 15 (Start time: 11:09:45 PM) Total Marks: 1
Which ONE of the following statement correctly explains the difference between operations management (OM) and operations research (OR)?
Select correct option:

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OM relies on mathematical modeling and OR focus on practical scenarios.
OM is more powerful to improve the whole system OR relies on mathematical modeling.
OM is relies on practical scenarios and Or relies on Mathematical modeling.
OM relies on mathematical modeling and OR is considered to be one of the critical tools of mangers.

Question # 11 of 15 (Start time: 11:09:56 PM) Total Marks: 1
Productivity ratios are used for planning workforce requirements, scheduling equipments and _____.
Select correct option:

Satisfying customers
Financial analysis
Management decisions
None of the above

Question # 12 of 15 (Start time: 11:10:08 PM) Total Marks: 1
As the size of the smoothing constant increases:
Select correct option:

More weight is put on historic demand data.
More weight is put on recent demand data.
The sensitivity of the model decreases.
The stability of the model increases.

Question # 13 of 15 (Start time: 11:10:23 PM) Total Marks: 1
The pioneers of transforming management to scientific domain are:
Select correct option:

Fredrick Taylor
Lillian and Frank Gilbreths
Henry Fayol
Both A & B

Question # 14 of 15 (Start time: 11:11:35 PM) Total Marks: 1
_____ allows the managers to anticipate the future so that they can plan accordingly.
Select correct option:

Planning
Controlling
Forecasting
Organizing

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Question # 15 of 15 (Start time: 11:11:50 PM) Total Marks: 1
Which one of the following strategies specifies how the firm will employ its production capabilities to support its corporate strategy?
Select correct option:

Tactical
Operations
Manufacturing
Production

Question # 1 of 15 (Start time: 11:16:18 PM) Total Marks: 1
Which one of the following formulae can be used to compute value?
Select correct option:

(Quality + Speed – Flexibility) / Cost
(Quality + Speed+ Flexibility) / Cost
(Quality + Speed - Cost) / Flexibility
(Quality + Speed+ Cost) / Flexibility

Question # 2 of 15 (Start time: 11:16:42 PM) Total Marks: 1
The companies that are competing on cost, their chance to gain the competitive advantage over their competitors is:
Select correct option:

Based on flexibility
Based on uniqueness of their products
Based on reliability of scheduling
Based upon low cost leadership

Question # 3 of 15 (Start time: 11:17:17 PM) Total Marks: 1
Which one of the following is the most significant disadvantage of standardization?
Select correct option:

Frozen designs
Interchangeable parts
Reduced variety
Customized parts

Question # 4 of 15 (Start time: 11:17:41 PM) Total Marks: 1
Sequence of data points that are measured typically at successive times at regular time intervals is known as:

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Select correct option:

Moving average
Weighted moving average
Time series
Forecasts

Question # 5 of 15 (Start time: 11:17:53 PM) Total Marks: 1
Operations based strategy involves all activities except;
Select correct option:

Supply chain management
Quick response to customer needs
Flexibility and inventory management
Identifying customer wants and needs

Question # 6 of 15 (Start time: 11:18:15 PM) Total Marks: 1
Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation
All of the above

Question # 7 of 15 (Start time: 11:18:26 PM) Total Marks: 1
_____is the bringing together of engineering design and manufacturing personnel early in the design phase.
Select correct option:

Reverse engineering
Concurrent engineering
Manufacturability
Serviceability

Question # 8 of 15 (Start time: 11:19:07 PM) Total Marks: 1
The subjective inputs obtained from sources such as consumer surveys, sales staff, managers and executives are the classification of _____ forecast.
Select correct option:

Judgmental
Time series

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Associate models
Naive

Question # 9 of 15 (Start time: 11:19:31 PM) Total Marks: 1
Which method of forecasting is most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 10 of 15 (Start time: 11:20:55 PM) Total Marks: 1
In exponential smoothing model, a denotes:
Select correct option:

Smoothing constant
Previous forecast
Forecast error
Actual forecast

Question # 11 of 15 (Start time: 11:21:16 PM) Total Marks: 1
Which of the following includes the quantitative methods of forecasting?
Select correct option:

Sales force composite
Exponential smoothing
Consumer market survey
Jury of executive opinion

Question # 12 of 15 (Start time: 11:21:35 PM) Total Marks: 1
A strategy that is narrower in scope and in more detail is:
Select correct option:

Organizational Strategy
Time and Quality Strategy
Operational Strategy
Manufacturing/Service Strategy

Question # 13 of 15 (Start time: 11:22:26 PM) Total Marks: 1
Those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase is called:

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Select correct option:

Order Winners
Order Qualifiers
Order Takers
None of the above

Question # 14 of 15 (Start time: 11:23:26 PM) Total Marks: 1
Which of the following is the main source of a poor decision making by the managers?
Select correct option:

Failure to check their facts
Failure to plan for unexpected events
Failure to connect the problem to the overall strategy
All of the above

Question # 15 of 15 (Start time: 11:24:03 PM) Total Marks: 1
What are the ways to promote growth of any organization in terms of its output?
Select correct option:

Bring additional inputs into production
Increase productivity
Both A & B
Non of the above

Question # 1 of 15 (Start time: 11:31:18 PM) Total Marks: 1
Which method of forecasting is most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 2 of 15 (Start time: 11:31:34 PM) Total Marks: 1
Which one of the following forecasts is quick and easy to prepare?
Select correct option:

Time series
Delphi
Naïve
Associative

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Question # 3 of 15 (Start time: 11:32:01 PM) Total Marks: 1
Which of the following provide guidance and directions for carrying out operations?
Select correct option:

Tactics
Strategies
Policies
Mission

Question # 4 of 15 (Start time: 11:32:13 PM) Total Marks: 1
Which of the following includes the quantitative methods of forecasting?
Select correct option:

Sales force composite
Exponential smoothing
Consumer market survey
Jury of executive opinion

Question # 5 of 15 (Start time: 11:32:27 PM) Total Marks: 1
Which one of the following factors makes a forecast LESS perfect?
Select correct option:

Randomness
Non serious attitude
Non availability of data
Un qualified personnel

Question # 6 of 15 (Start time: 11:32:52 PM) Total Marks: 1
Organizations that produce something other than physical products are called:
Select correct option:

Cultural goods transformation
Data transfer groups
Transformation organizations
Service organizations

Question # 7 of 15 (Start time: 11:33:05 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative

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Quantitative
Associative
Trend forecast

Question # 8 of 15 (Start time: 11:33:18 PM) Total Marks: 1
More routine purchasing, handling and inspection is an example of:
Select correct option:

Customization
Mass Customization
Standardization
None of the above

Question # 9 of 15 (Start time: 11:34:04 PM) Total Marks: 1
Which probability distribution is used most extensively in dealing with forecasting errors?
Select correct option:

Normal
Exponential
Beta
Pareto

Question # 10 of 15 (Start time: 11:34:20 PM) Total Marks: 1
As the time horizon increases the accuracy of the forecast:
Select correct option:

Decreases
Increases
Is not affected with time horizon
None of the above

Question # 11 of 15 (Start time: 11:34:43 PM) Total Marks: 1
Which one of the following is not a step of decision process:
Select correct option:

Specify objectives
Determine the product of chance probabilities
Analyze and select alternative
Implement and monitor the result

Question # 12 of 15 (Start time: 11:35:08 PM) Total Marks: 1

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Sequence of data points that are measured typically at successive times at regular time intervals is known as:
Select correct option:

Moving average
Weighted moving average
Time series
Forecasts

Question # 13 of 15 (Start time: 11:35:34 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 14 of 15 (Start time: 11:35:45 PM) Total Marks: 1
Tools like Decision trees and Graphical sensitivity analysis are being used for what purpose?
Select correct option:

For the evaluation of the alternatives
For analyzing decision problems
For making optimistic decisions
Non of the above

Question # 15 of 15 (Start time: 11:35:59 PM) Total Marks: 1
Which one of the following management functions is based on forecasting?
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 1 of 15 (Start time: 11:39:38 PM) Total Marks: 1
Which of the following forecasting technique is used when introducing new products, services, new features and new packaging?
Select correct option:

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Quantitative technique
Associative model
Focus group
Judgmental forecast

Question # 2 of 15 (Start time: 11:40:05 PM) Total Marks: 1
CBR stands for which one of the following?
Select correct option:

Commercial Board of Revenue
Central Board of Recycling
Central Board of Renovation
Central Board of Revenue

Question # 3 of 15 (Start time: 11:40:17 PM) Total Marks: 1
Which of the following is the main source of a poor decision making by the managers?
Select correct option:

Failure to check their facts
Failure to plan for unexpected events
Failure to connect the problem to the overall strategy
All of the above

Question # 4 of 15 (Start time: 11:40:28 PM) Total Marks: 1
For which of the following approaches, the forecast of any period equals the previous period's forecast?
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 5 of 15 (Start time: 11:40:49 PM) Total Marks: 1
Strategy design process in initiated by:
Select correct option:

Corporate strategy
Needs of the customer
Operations Strategy
All of the above

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Question # 6 of 15 (Start time: 11:40:59 PM) Total Marks: 1
As the time horizon increases the accuracy of the forecast:
Select correct option:

Decreases
Increases
Is not affected with time horizon
None of the above

Question # 7 of 15 (Start time: 11:41:11 PM) Total Marks: 1
Which of the following is NOT an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of customer contact

Question # 8 of 15 (Start time: 11:41:22 PM) Total Marks: 1
Which one of the following correctly represents a set of time series forecats?
Select correct option:

Averaging, cycle, seasonality, random variations
Trend, seasonality, exponential smoothing
Trend, cycle, seasonality, moving average
Trend, cycle, seasonality, random variations

Question # 9 of 15 (Start time: 11:41:35 PM) Total Marks: 1
Forecasts help managers by reducing the degree of:
Select correct option:

Accuracy
Precision
Uncertainty
Reliability

Question # 10 of 15 (Start time: 11:41:49 PM) Total Marks: 1
Which one of the following strategies specifies how the firm will employ its production capabilities to support its corporate strategy?
Select correct option:

Tactical

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Operations
Manufacturing
Production

Question # 11 of 15 (Start time: 11:42:03 PM) Total Marks: 1
Which one of the following factors makes a forecast LESS perfect?
Select correct option:

Randomness
Non serious attitude
Non availability of data
Un qualified personnel

Question # 12 of 15 (Start time: 11:42:14 PM) Total Marks: 1
The major business functions consisting of research and development, product design, manufacturing, marketing, distribution, and customer service refer to:
Select correct option:

The transformation process
Value chain
Life cycle
Quality control

Question # 13 of 15 (Start time: 11:42:27 PM) Total Marks: 1
The concept of Agile organization refers to:
Select correct option:

Flexibility
Quality
Quick Response
Profitability

Question # 14 of 15 (Start time: 11:43:46 PM) Total Marks: 1
_____ allows the managers to anticipate the future so that they can plan accordingly.
Select correct option:

Planning
Controlling
Forecasting
Organizing

Question # 15 of 15 (Start time: 11:43:58 PM) Total Marks: 1

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Which one of the following is an implication of laplace approach of decision making?
Select correct option:

The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets

Question # 1 of 15 (Start time: 11:47:35 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

Question # 2 of 15 (Start time: 11:47:41 PM) Total Marks: 1
Which one of the following is the final stage of product life cycle?
Select correct option:

Growth
Decline
Maturity
Planning

Question # 3 of 15 (Start time: 11:47:46 PM) Total Marks: 1
Which one of the following factors provides a basis for comparing alternative forecasting techniques?
Select correct option:

Time dimension
Reliability factor
Degree of accuracy
Measuring units

Question # 4 of 15 (Start time: 11:47:54 PM) Total Marks: 1
Organizations that produce something other than physical products are called:
Select correct option:

Cultural goods transformation
Data transfer groups

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Transformation organizations
Service organizations

Question # 5 of 15 (Start time: 11:48:17 PM) Total Marks: 1
Patterns of time series that repeat themselves after a period of days or weeks are called:
Select correct option:

Seasonality
Random variation
Cycles
Trends

Question # 6 of 15 (Start time: 11:48:25 PM) Total Marks: 1
In forecasting, planning the use of system relates to the _____ plans.
Select correct option:

Long term
Short term
Both long and short term
None of the above

Question # 7 of 15 (Start time: 11:48:32 PM) Total Marks: 1
Operational strategies mostly function on two dimensions that are:
Select correct option:

Quality management and Service/Manufacturing Strategy
Quality and Operation Management
Service/Manufacturing Strategy and Functional Management
Operation and Functional Management

Question # 8 of 15 (Start time: 11:48:50 PM) Total Marks: 1
Which of the following is a technique for fitting a line to a set of points?
Select correct option:

Regression
Trend
Cycle
Moving average

Question # 9 of 15 (Start time: 11:48:56 PM) Total Marks: 1
All of the following are steps in forecasting process EXCEPT:
Select correct option:

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Determine the purpose of the forecast
Establish a time horizon
Assigning weights to the criteria
Monitor the forecast

Question # 10 of 15 (Start time: 11:50:20 PM) Total Marks: 1
More routine purchasing, handling and inspection is an example of:
Select correct option:

Customization
Mass Customization
Standardization
None of the above

Question # 11 of 15 (Start time: 11:50:27 PM) Total Marks: 1
As the size of the smoothing constant increases:
Select correct option:

More weight is put on historic demand data.
More weight is put on recent demand data.
The sensitivity of the model decreases.
The stability of the model increases.

Question # 12 of 15 (Start time: 11:50:35 PM) Total Marks: 1
Which one of the followings appears to provide the best prospect for increases in productivity?
Select correct option:

Management
Raw materials
Labor
Capital

Question # 13 of 15 (Start time: 11:50:41 PM) Total Marks: 1
Following are all examples of distinctive competencies EXCEPT;
Select correct option:

Price
Quality
Planning
Flexibility

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Question # 14 of 15 (Start time: 11:50:58 PM) Total Marks: 1
Releasing products with defects should be informed to the customers. This statement comes under _____ frame work.
Select correct option:

Legal
Ethical
Environmental
None of the above

Question # 15 of 15 (Start time: 11:51:06 PM) Total Marks: 1
Which one of the following is a productivity measure based on all inputs?
Select correct option:

Capital productivity
Multifactor productivity
Partial productivity
Total productivity

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Question # 1 of 15 (Start time: 10:49:05 PM) Total Marks: 1
Which one of the following is a characteristic of a continuous process?
Select correct option:

High lead times
Short process times
The ability to handle high variety
The ability to handle high volumes

Question # 2 of 15 (Start time: 10:49:30 PM) Total Marks: 1
Four important pillars capital, quality, _____ and technology. are responsible for positively as well as negatively affecting on the Productivity of the organization.
Select correct option:

Customers
Process
System
Management

Question # 3 of 15 (Start time: 10:50:04 PM) Total Marks: 1
Robustness of a product is _____ related with the probability of failure.
Select correct option:

Directly
Inversely
Linearly
Positively

Question # 4 of 15 (Start time: 10:50:39 PM) Total Marks: 1
As a manager, you have defined the purpose of the forecasts. What should be the next step in forecasting process?
Select correct option:

Choose a forecasting technique.
Determine the purpose of the forecast.
Set up a time horizon or a time limit
Collect and analyze the appropriate data.

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Question # 5 of 15 (Start time: 10:51:08 PM) Total Marks: 1
Techniques having numerical data include which of the following?
Select correct option:

Subjective inputs
Qualitative technique
Quantitative technique
Delphi method

Question # 6 of 15 (Start time: 10:51:29 PM) Total Marks: 1
The systematic plan of action with defined resources is called:
Select correct option:

Competitiveness
Strategy
Productivity
Flexibility

Question # 7 of 15 (Start time: 10:52:08 PM) Total Marks: 1
Which one of the following refers to the volume of output at which total cost equals total revenue?
Select correct option:

Optimal operating rate
Break even point
Feasible volume
Utilization

Question # 8 of 15 (Start time: 10:53:28 PM) Total Marks: 1
The forecasting model that attempts to predict the future value based on the past data is known as:
Select correct option:

Delphi Method
Time series Analysis
Associative Models
Naïve Forecasting

Question # 9 of 15 (Start time: 10:54:03 PM) Total Marks: 1
Which of the following refers the way an organization chooses to produce its good or services?
Select correct option:

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Process selection
Process reengineering
Process redesign
Process design

Question # 10 of 15 (Start time: 10:54:44 PM) Total Marks: 1
Which one of the followings appears to provide the best prospect for increases in productivity?
Select correct option:

Management
Raw materials
Labor
Capital

Question # 11 of 15 (Start time: 10:55:52 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 12 of 15 (Start time: 10:56:21 PM) Total Marks: 1
Patterns of time series that repeat themselves after a period of days or weeks are called:
Select correct option:

Seasonality
Random variation
Cycles
Trends

Question # 13 of 15 (Start time: 10:57:39 PM) Total Marks: 1
Which one of the following is correct about the range of availability on a measuring index?
Select correct option:

0.1 to 1.0
0 to 1.0
0.5 to 1.0
0.01 to 1.0

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Question # 14 of 15 (Start time: 10:59:00 PM) Total Marks: 1
The forecasting time horizon that would typically be easiest to predict would be:
Select correct option:

Medium-range
Long-range
Short-range
Intermediate range

Question # 15 of 15 (Start time: 10:59:24 PM) Total Marks: 1
Which one of the following is the correct order of layout types from low volume/high variety to high volume/low variety?
Select correct option:

Fixed position, process, cell, product
Fixed position, cell, process, product
Fixed position, process, product, cell
Process, fixed position, cell, product

Question # 1 of 15 (Start time: 11:17:53 PM) Total Marks: 1
Productivity ratios are used in;
Select correct option:

Planning work force requirements
Scheduling equipments
Financial analysis
All of the above

Question # 2 of 15 (Start time: 11:18:31 PM) Total Marks: 1
In which one of the following decision environments it is impossible to assess the likelihood of various future events?
Select correct option:

Certainty
Uncertainty
Risk
Bounded rationality

Question # 3 of 15 (Start time: 11:18:59 PM) Total Marks: 1
The method that considers several variables related to the variable being predicted is:
Select correct option:

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Exponential smoothing
Weighted moving average
Multiple regressions
Moving average

Question # 4 of 15 (Start time: 11:20:21 PM) Total Marks: 1
The operational strategy must be in line with the:
Select correct option:

Department goals
Organizational goals
Management goals
None of the above

Question # 5 of 15 (Start time: 11:20:46 PM) Total Marks: 1
In terms of operations management the forecast which projects a company's sales is called:
Select correct option:

Economic forecast
Technological forecast
Demand forecast
Associative model

Question # 6 of 15 (Start time: 11:21:12 PM) Total Marks: 1
Which of the following management level is responsible for long-range capacity planning?
Select correct option:

Lower management
Middle management
Top management
All the management levels

Question # 7 of 15 (Start time: 11:22:33 PM) Total Marks: 1
A gradual, long term upward or downward movement in data is referred to as:
Select correct option:

Cycle
Trend
Seasonality
Random variation

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Question # 8 of 15 (Start time: 11:22:59 PM) Total Marks: 1
Which of the following forecasting technique is used when introducing new products, services, new features and new packaging?
Select correct option:

Quantitative technique
Associative model
Focus group
Judgmental forecast

Question # 9 of 15 (Start time: 11:23:40 PM) Total Marks: 1
Which one of the following statements relates to the final stage of product life cycle?
Select correct option:

Improved reliability, and reduced quality
Improved packaging, and reliability
Improved reliability, and reduced production costs
Improved reliability, and reduced promotion costs

Question # 10 of 15 (Start time: 11:24:16 PM) Total Marks: 1
The systematic plan of action with defined resources is called:
Select correct option:

Competitiveness
Strategy
Productivity
Flexibility

Question # 11 of 15 (Start time: 11:24:39 PM) Total Marks: 1
As the time horizon increases the accuracy of the forecast:
Select correct option:

Decreases
Increases
Is not affected with time horizon
None of the above

Question # 12 of 15 (Start time: 11:25:02 PM) Total Marks: 1
Which of the following includes the quantitative methods of forecasting?
Select correct option:

Sales force composite
Exponential smoothing

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Consumer market survey
Jury of executive opinion

Question # 13 of 15 (Start time: 11:26:20 PM) Total Marks: 1
Which one of the following is not the property of the Naïve forecast?
Select correct option:

Simplicity of usage
Costly
Quick and easy to prepare
Easily understandable

Question # 14 of 15 (Start time: 11:26:48 PM) Total Marks: 1
Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics.
Select correct option:

Simple moving average
Delphi method
Trend adjusted forecast
Naïve forecast

Question # 15 of 15 (Start time: 11:27:35 PM) Total Marks: 1
"What business are we in?" This statement will come under:
Select correct option:

Mission Statement
Goals
Tactics
Strategies

Question # 1 of 15 (Start time: 11:34:37 PM) Total Marks: 1
Forecasts help managers by reducing the degree of:
Select correct option:

Accuracy
Precision
Uncertainty
Reliability

Question # 2 of 15 (Start time: 11:35:38 PM) Total Marks: 1
In operations management the time required to react appropriately to a competitor's strategies or technology up gradation is called:

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Select correct option:

Processing time
Changeover time
Response Time
Planning time

Question # 3 of 15 (Start time: 11:37:05 PM) Total Marks: 1
A strategy that is narrower in scope and in more detail is:
Select correct option:

Organizational Strategy
Time and Quality Strategy
Operational Strategy
Manufacturing/Service Strategy

Question # 4 of 15 (Start time: 11:37:39 PM) Total Marks: 1
As a manager, you have defined the purpose of the forecasts. What should be the next step in forecasting process?
Select correct option:

Choose a forecasting technique.
Determine the purpose of the forecast.
Set up a time horizon or a time limit
Collect and analyze the appropriate data.

Question # 5 of 15 (Start time: 11:37:52 PM) Total Marks: 1
The operational strategy must be in line with the:
Select correct option:

Department goals
Organizational goals
Management goals
None of the above

Question # 6 of 15 (Start time: 11:38:17 PM) Total Marks: 1
The frequency of capacity choice decisions is influenced by all of the following factors EXCEPT:
Select correct option:

Stability of demand
Technological changes
Competitive forces

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Cost factor

Question # 7 of 15 (Start time: 11:39:42 PM) Total Marks: 1
Operational strategies mostly function on two dimensions that are:
Select correct option:

Quality management and Service/Manufacturing Strategy
Quality and Operation Management
Service/Manufacturing Strategy and Functional Management
Operation and Functional Management

Question # 8 of 15 (Start time: 11:40:13 PM) Total Marks: 1
The subjective inputs obtained from sources such as consumer surveys, sales staff, managers and executives are the classification of _____ forecast.
Select correct option:

Judgmental
Time series
Associate models
Naive

Question # 9 of 15 (Start time: 11:40:45 PM) Total Marks: 1
The forecasting model that is based upon estimates of salesperson's expected sales is likely to be called _____.
Select correct option:

Delphi method
Sales force combination
Consumer market survey
Panel of executive opinion

Question # 10 of 15 (Start time: 11:42:02 PM) Total Marks: 1
Which one of the following correctly explains the elements of a good forecast?
Select correct option:

Timely, having a purpose, accurate, written, reliable, meaningful
Timely, accurate, judgmental, correctness, verbal, simple to use
Timely, accurate, reliable, meaningful, written, simple to use
Timely, accurate, reliable, consistent, meaningful, written, simple to use

Question # 11 of 15 (Start time: 11:42:58 PM) Total Marks: 1
With regard to a regression-based forecast, the standard error of the estimate gives a measure of:

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Select correct option:

Required time to derive the forecast equation
Validation time period of the forecast
The maximum error of the forecast
Variability around the regression line

Question # 12 of 15 (Start time: 11:44:02 PM) Total Marks: 1
Which one of the following refers to the volume of output at which total cost equals total revenue?
Select correct option:

Optimal operating rate
Break even point
Feasible volume
Utilization

Question # 13 of 15 (Start time: 11:44:24 PM) Total Marks: 1
Which one of the following refers to a decision environment in which relevant parameters have known values?
Select correct option:

Certainty
Uncertainty
Risk
Bounded rationality

Question # 14 of 15 (Start time: 11:44:49 PM) Total Marks: 1
Strategy design process in initiated by:
Select correct option:

Corporate strategy
Needs of the customer
Operations Strategy
All of the above

Question # 15 of 15 (Start time: 11:45:26 PM) Total Marks: 1
The pioneers of transforming management to scientific domain are:
Select correct option:

Fredrick Taylor
Lillian and Frank Gilbreths
Henry Fayol

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Both A & B

Question # 1 of 15 (Start time: 12:02:52 AM) Total Marks: 1
Which of the following statements corresponds to an order-winning characteristic?
Select correct option:

A factor which may be significant in other parts of the organization
A factor which gives an organization a competitive edge
A factor which serves as a minimum standard for purchase
A factor which increases the profitability of the organization

Question # 2 of 15 (Start time: 12:04:07 AM) Total Marks: 1
Which method of forecasting is the most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 3 of 15 (Start time: 12:05:08 AM) Total Marks: 1
Which one of the following is correct about the range of availability on a measuring index?
Select correct option:

0.1 to 1.0
0 to 1.0
0.5 to 1.0
0.01 to 1.0

Question # 4 of 15 (Start time: 12:05:24 AM) Total Marks: 1
Organization whether manufacturing product or delivering a service are made to operate in three dimensions that are:
Select correct option:

Legal, Ethical, and Environmental
Legal, Environmental, Social
Legal, Ethical, Social
Ethical, Environmental, Social

Question # 5 of 15 (Start time: 12:05:54 AM) Total Marks: 1
Which one of the following refers to a decision environment in which relevant parameters have known values?

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Select correct option:

Certainty
Uncertainty
Risk
Bounded rationality

Question # 6 of 15 (Start time: 12:06:15 AM) Total Marks: 1
Which of the following management level is responsible for long-range capacity planning?
Select correct option:

Lower management
Middle management
Top management
All the management levels

Question # 7 of 15 (Start time: 12:06:26 AM) Total Marks: 1
In decision making theory the next step after implementing the best possible alternative is to:
Select correct option:

Develop Alternatives
Develop results
Monitor the results
Implementation

Question # 8 of 15 (Start time: 12:06:58 AM) Total Marks: 1
The major business functions consisting of research and development, product design, manufacturing, marketing, distribution, and customer service refer to:
Select correct option:

The transformation process
Value chain
Life cycle
Quality control

Question # 9 of 15 (Start time: 12:07:58 AM) Total Marks: 1
Those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase is called:
Select correct option:

Order Winners

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Order Qualifiers
Order Takers
None of the above

Question # 10 of 15 (Start time: 12:08:36 AM) Total Marks: 1
Decision Tree is read from:
Select correct option:

Right to left
Left to right
Top to bottom
Bottom to top

Question # 11 of 15 (Start time: 12:09:04 AM) Total Marks: 1
Which method of forecasting is most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 12 of 15 (Start time: 12:09:27 AM) Total Marks: 1
Group Consensus relates to which of the following judgmental forecasting technique?
Select correct option:

Sales force
Consumer surveys
Delphi method
Executive opinions

Question # 13 of 15 (Start time: 12:10:44 AM) Total Marks: 1
Completion of any operations depends upon the slowest process in the assembly line.
What operations managers need to do in order to be successful?
Select correct option:

Target and eliminate bottlenecks
Identify the bottlenecks
Make slowest process more slow
Non of the above

Question # 14 of 15 (Start time: 12:11:06 AM) Total Marks: 1
Which one of the following is not the property of the Naïve forecast?

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Select correct option:

Simplicity of usage
Costly
Quick and easy to prepare
Easily understandable

Question # 15 of 15 (Start time: 12:11:18 AM) Total Marks: 1
The ratio of the real value of output to the combined input of labor and capital is called:
Select correct option:

Labor Productivity
Capital Productivity
Energy Productivity
Multifactor Productivity

Question # 1 of 15 (Start time: 12:16:13 AM) Total Marks: 1
Which one of the following correctly represents a set of time series forecats?
Select correct option:

Averaging, cycle, seasonality, random variations
Trend, seasonality, exponential smoothing
Trend, cycle, seasonality, moving average
Trend, cycle, seasonality, random variations

Question # 2 of 15 (Start time: 12:16:35 AM) Total Marks: 1
In time series forecast the population shifts, changing income and cultural changes refers to:
Select correct option:

Trend
Seasonality
Cycle
Irregular Variations

Question # 3 of 15 (Start time: 12:17:06 AM) Total Marks: 1
In decision making theory the next step after implementing the best possible alternative is to:
Select correct option:

Develop Alternatives
Develop results
Monitor the results

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Implementation

Question # 4 of 15 (Start time: 12:17:26 AM) Total Marks: 1
Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?
Select correct option:

Functional design
Production design
Service design
Product design

Question # 5 of 15 (Start time: 12:17:50 AM) Total Marks: 1
Which of the following is NOT a characteristic of product layouts?
Select correct option:

High material handling costs
Sequential arrangement of machines
Standardized output
Continuous production system

Question # 6 of 15 (Start time: 12:18:28 AM) Total Marks: 1
As a manager, you have defined the purpose of the forecasts. What should be the next step in forecasting process?
Select correct option:

Choose a forecasting technique.
Determine the purpose of the forecast.
Set up a time horizon or a time limit
Collect and analyze the appropriate data.

Question # 7 of 15 (Start time: 12:18:39 AM) Total Marks: 1
Which of the following is not the true representation the concept of time series model?
Select correct option:

Exponential smoothing
Moving averages
Naïve approach
Linear regression

Question # 8 of 15 (Start time: 12:20:05 AM) Total Marks: 1
Which ONE of the following statement correctly explains the difference between operations management (OM) and operations research (OR)?

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Select correct option:

OM relies on mathematical modeling and OR focus on practical scenarios.
OM is more powerful to improve the whole system OR relies on mathematical modeling.
OM is relies on practical scenarios and Or relies on Mathematical modeling.
OM relies on mathematical modeling and OR is considered to be one of the critical tools of mangers.

Question # 9 of 15 (Start time: 12:21:09 AM) Total Marks: 1
With regard to a regression-based forecast, the standard error of the estimate gives a measure of:
Select correct option:

Required time to derive the forecast equation
Validation time period of the forecast
The maximum error of the forecast
Variability around the regression line

Question # 10 of 15 (Start time: 12:21:30 AM) Total Marks: 1
Forecasts help managers by reducing the degree of:
Select correct option:

Accuracy
Precision
Uncertainty
Reliability

Question # 11 of 15 (Start time: 12:21:41 AM) Total Marks: 1
Which one of the following factors makes a forecast LESS perfect?
Select correct option:

Randomness
Non serious attitude
Non availability of data
Un qualified personnel

Question # 12 of 15 (Start time: 12:22:06 AM) Total Marks: 1
Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation

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All of the above

Question # 13 of 15 (Start time: 12:22:18 AM) Total Marks: 1
Which of the following management level is responsible for long-range capacity planning?
Select correct option:

Lower management
Middle management
Top management
All the management levels

Question # 14 of 15 (Start time: 12:22:27 AM) Total Marks: 1
The major business functions consisting of research and development, product design, manufacturing, marketing, distribution, and customer service refer to:
Select correct option:

The transformation process
Value chain
Life cycle
Quality control

Question # 15 of 15 (Start time: 12:22:39 AM) Total Marks: 1
Which of the following statement is NOT correct with respect to models in operations management?
Select correct option:

Models are easy to use, less expensive
Models have specific objectives
Models don't have the standardized format
Models enables "what if" questions

Question # 1 of 15 (Start time: 12:27:43 AM) Total Marks: 1
In which one of the following decision environments it is impossible to assess the likelihood of various future events?
Select correct option:

Certainty
Uncertainty
Risk
Bounded rationality

Question # 2 of 15 (Start time: 12:28:13 AM) Total Marks: 1

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Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation
All of the above

Question # 3 of 15 (Start time: 12:28:23 AM) Total Marks: 1
Group Consensus relates to which of the following judgmental forecasting technique?
Select correct option:

Sales force
Consumer surveys
Delphi method
Executive opinions

Question # 4 of 15 (Start time: 12:28:33 AM) Total Marks: 1
Operations based strategy involves all activities except;
Select correct option:

Supply chain management
Quick response to customer needs
Flexibility and inventory management
Identifying customer wants and needs

Question # 5 of 15 (Start time: 12:28:57 AM) Total Marks: 1
Which of the following functions of an organization consists of all activities directly related to production of a good or service?
Select correct option:

Operations
Marketing
Accounting
Finance

Question # 6 of 15 (Start time: 12:29:29 AM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey

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Exponential smoothing

Question # 7 of 15 (Start time: 12:29:58 AM) Total Marks: 1
CBR stands for which one of the following?
Select correct option:

Commercial Board of Revenue
Central Board of Recycling
Central Board of Renovation
Central Board of Revenue

Question # 8 of 15 (Start time: 12:30:14 AM) Total Marks: 1
Sequence of data points that are measured typically at successive times at regular time intervals is known as:
Select correct option:

Moving average
Weighted moving average
Time series
Forecasts

Question # 9 of 15 (Start time: 12:30:57 AM) Total Marks: 1
Forecasting accuracy has_____ relation with time horizon.
Select correct option:

Inverse
Linear
Direct
Parallel

Question # 10 of 15 (Start time: 12:31:19 AM) Total Marks: 1
Which one of the following is used to produce gasoline and petroleum products?
Select correct option:

Job Shop
Batch processing
Assembly line
Continuous processing

Question # 11 of 15 (Start time: 12:32:44 AM) Total Marks: 1
Which of the following provide guidance and directions for carrying out operations?
Select correct option:

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Tactics
Strategies
Policies
Mission

Question # 12 of 15 (Start time: 12:33:43 AM) Total Marks: 1
Which of the following includes the quantitative methods of forecasting?
Select correct option:

Sales force composite
Exponential smoothing
Consumer market survey
Jury of executive opinion

Question # 13 of 15 (Start time: 12:34:01 AM) Total Marks: 1
All of the following are steps in forecasting process EXCEPT:
Select correct option:

Determine the purpose of the forecast
Establish a time horizon
Assigning weights to the criteria
Monitor the forecast

Question # 14 of 15 (Start time: 12:34:43 AM) Total Marks: 1
Which of the following is NOT an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of customer contact

Question # 15 of 15 (Start time: 12:35:03 AM) Total Marks: 1
Which one of the following management functions is based on forecasting?
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 1 of 15 (Start time: 12:38:45 AM) Total Marks: 1
A term strategy is referred to as

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Select correct option:

The goal that is to be achieved
A functional area of the firm
An action plan to achieve a mission
The purpose for which an organization is established

Question # 2 of 15 (Start time: 12:39:07 AM) Total Marks: 1
Parabolic, exponential and growth are element of:
Select correct option:

Linear trends
Non linear Trends
Forecast accuracy
None of the above

Question # 3 of 15 (Start time: 12:39:47 AM) Total Marks: 1
The concept of Agile organization refers to:
Select correct option:

Flexibility
Quality
Quick Response
Profitability

Question # 4 of 15 (Start time: 12:40:09 AM) Total Marks: 1
The productivity measure output/ (labor + machine) will be named as:
Select correct option:

Partial measure
Multifactor measure
Total measure
None of the above

Question # 5 of 15 (Start time: 12:40:32 AM) Total Marks: 1
Which one of the following manufacturing process is associated with high volume car manufacture?
Select correct option:

Job shop
Assembly line
Batch
Automation

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Question # 6 of 15 (Start time: 12:41:37 AM) Total Marks: 1
Which of the following forecasting technique is used when introducing new products, services, new features and new packaging?
Select correct option:

Quantitative technique
Associative model
Focus group
Judgmental forecast

Question # 7 of 15 (Start time: 12:42:00 AM) Total Marks: 1
All of the following are examples of transformation process EXCEPT:
Select correct option:

Cutting
Packing
Facilitating
Labeling

Question # 8 of 15 (Start time: 12:42:35 AM) Total Marks: 1
Robustness of a product is _____ related with the probability of failure.
Select correct option:

Directly
Inversely
Linearly
Positively

Question # 9 of 15 (Start time: 12:42:46 AM) Total Marks: 1
Which method of forecasting is most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 10 of 15 (Start time: 12:43:07 AM) Total Marks: 1
Which one of the following is NOT used for decision making under uncertainty?
Select correct option:

Maximax

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Mmaximin
Mminimax regret
EMV criterion

Question # 11 of 15 (Start time: 12:43:39 AM) Total Marks: 1
An organization has described its distinctive characteristics. So, what is the next step in formulating the strategy?
Select correct option:

Productivity Measures
Environmental scanning
Selecting the market segment
Competitor's distinctiveness

Question # 12 of 15 (Start time: 12:44:11 AM) Total Marks: 1
The forecasting model that attempts to predict the future value based on the past data is known as:
Select correct option:

Delphi Method
Time series Analysis
Associative Models
Naïve Forecasting

Question # 13 of 15 (Start time: 12:44:37 AM) Total Marks: 1
Which of the following terms are important for financial analysis?
Select correct option:

Cash flow and profit
Cash flow and present value
Present value and fixed cost
Cash flow and fixed cost

Question # 14 of 15 (Start time: 12:45:43 AM) Total Marks: 1
Forecasts help managers by reducing the degree of:
Select correct option:

Accuracy
Precision
Uncertainty
Reliability

Question # 15 of 15 (Start time: 12:45:53 AM) Total Marks: 1

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Tools like Decision trees and Graphical sensitivity analysis are being used for what purpose?
Select correct option:

For the evaluation of the alternatives
For analyzing decision problems
For making optimistic decisions
Non of the above

Question # 1 of 15 (Start time: 12:49:15 AM) Total Marks: 1
Which of the following influences on the sales of a product is the most difficult to forecast?
Select correct option:

Seasonal
Trend
Nonlinear trend
Cyclical

Question # 2 of 15 (Start time: 12:49:40 AM) Total Marks: 1
Which method of forecasting is the most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 3 of 15 (Start time: 12:49:51 AM) Total Marks: 1
The three major business functions necessary to all organizations are:
Select correct option:

Accounting, personnel, operations
Marketing, finance/accounting, operations
Marketing, accounting, personnel
Marketing, finance, operations

Question # 4 of 15 (Start time: 12:50:16 AM) Total Marks: 1
A gradual, long term upward or downward movement in data is referred to as:
Select correct option:

Cycle
Trend

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Seasonality
Random variation

Question # 5 of 15 (Start time: 12:50:38 AM) Total Marks: 1
Which ONE of the following statement correctly explains the difference between operations management (OM) and operations research (OR)?
Select correct option:

OM relies on mathematical modeling and OR focus on practical scenarios.
OM is more powerful to improve the whole system OR relies on mathematical modeling.
OM is relies on practical scenarios and Or relies on Mathematical modeling.
OM relies on mathematical modeling and OR is considered to be one of the critical tools of mangers.

Question # 6 of 15 (Start time: 12:50:47 AM) Total Marks: 1
_____ allows the managers to anticipate the future so that they can plan accordingly.
Select correct option:

Planning
Controlling
Forecasting
Organizing

Question # 7 of 15 (Start time: 12:51:12 AM) Total Marks: 1
Materials, land, energy and human and capital resources are the examples of:
Select correct option:

Inputs
Transformation
Outputs
Productivity

Question # 8 of 15 (Start time: 12:51:34 AM) Total Marks: 1
Which one of the following is a productivity measure based on all inputs?
Select correct option:

Capital productivity
Multifactor productivity
Partial productivity
Total productivity

Question # 9 of 15 (Start time: 12:51:57 AM) Total Marks: 1
Flexible operations comes under the example of:

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Select correct option:

Strategy
Tactics
Mission
Goals

Question # 10 of 15 (Start time: 12:52:30 AM) Total Marks: 1
Parabolic, exponential and growth are element of:
Select correct option:

Linear trends
Non linear Trends
Forecast accuracy
None of the above

Question # 11 of 15 (Start time: 12:52:47 AM) Total Marks: 1
Planning workforce requirements, scheduling of the equipment and financial analysis are the major uses of_____.
Select correct option:

Productivity ratios
Productivity Growth
Multifactor productivity
Operations strategy

Question # 12 of 15 (Start time: 12:53:08 AM) Total Marks: 1
Which one of the following forecasts is quick and easy to prepare?
Select correct option:

Time series
Delphi
Naïve
Associative

Question # 13 of 15 (Start time: 12:53:29 AM) Total Marks: 1
The role of a ---------- manager is to sustain, protect, and project the company's operations side.
Select correct option:

Project Manager
Operations Manager
Finance Manager

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Marketing Manager

Question # 14 of 15 (Start time: 12:53:44 AM) Total Marks: 1
Time based strategies include:
Select correct option:

Planning and processing time
Product/service design and Change over time
Delivery and Response time
All of the above

Question # 15 of 15 (Start time: 12:54:02 AM) Total Marks: 1
Forecasts help managers by reducing the degree of:
Select correct option:

Accuracy
Precision
Uncertainty
Reliability

Question # 1 of 15 (Start time: 01:06:45 AM) Total Marks: 1
Materials, land, energy and human and capital resources are the examples of:
Select correct option:

Inputs
Transformation
Outputs
Productivity

Question # 2 of 15 (Start time: 01:06:55 AM) Total Marks: 1
Which of the following management level is responsible for long-range capacity planning?
Select correct option:

Lower management
Middle management
Top management
All the management levels

Question # 3 of 15 (Start time: 01:07:01 AM) Total Marks: 1
Which one of the following refers to the volume of output at which total cost equals total revenue?
Select correct option:

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Optimal operating rate
Break even point
Feasible volume
Utilization

Question # 4 of 15 (Start time: 01:07:09 AM) Total Marks: 1
The three major business functions necessary to all organizations are:
Select correct option:

Accounting, personnel, operations
Marketing, finance/accounting, operations
Marketing, accounting, personnel
Marketing, finance, operations

Question # 5 of 15 (Start time: 01:07:14 AM) Total Marks: 1
Operational strategies mostly function on two dimensions that are:
Select correct option:

Quality management and Service/Manufacturing Strategy
Quality and Operation Management
Service/Manufacturing Strategy and Functional Management
Operation and Functional Management

Question # 6 of 15 (Start time: 01:07:20 AM) Total Marks: 1
A method in which each quantity is to be averaged according to its assigned weight is known as?
Select correct option:

Weighted moving average
Exponential moving average
Cumulative moving average
Moving average

Question # 7 of 15 (Start time: 01:08:38 AM) Total Marks: 1
Services differ from manufacturing in all the following ways EXCEPT:
Select correct option:

Customers typically interact directly with the service delivery process
Consumption and production take place simultaneously.
Services are intangible.
Services can be stored.

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Question # 8 of 15 (Start time: 01:09:12 AM) Total Marks: 1
Which one of the following refers to using some of the components of old products in the manufacture of new products?
Select correct option:

Remanufacturing
Robust design
Automation
Manufacturability

Question # 9 of 15 (Start time: 01:09:29 AM) Total Marks: 1
To make operations strategy effective it should be:
Select correct option:

Independent of the organization's strategy
Consistent with the organization's strategy
Developed by a first line manager
Independent of time dimension

Question # 10 of 15 (Start time: 01:09:45 AM) Total Marks: 1
Which one of the following is an implication of laplace approach of decision making?
Select correct option:

The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets

Question # 11 of 15 (Start time: 01:10:00 AM) Total Marks: 1
_____ allows the managers to anticipate the future so that they can plan accordingly.
Select correct option:

Planning
Controlling
Forecasting
Organizing

Question # 12 of 15 (Start time: 01:10:07 AM) Total Marks: 1
The frequency of capacity choice decisions is influenced by all of the following factors EXCEPT:
Select correct option:

Stability of demand

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Technological changes
Competitive forces
Cost factor

Question # 13 of 15 (Start time: 01:10:14 AM) Total Marks: 1
A strategy that is narrower in scope and in more detail is:
Select correct option:

Organizational Strategy
Time and Quality Strategy
Operational Strategy
Manufacturing/Service Strategy

Question # 14 of 15 (Start time: 01:10:30 AM) Total Marks: 1
Operations based strategy involves all activities except;
Select correct option:

Supply chain management
Quick response to customer needs
Flexibility and inventory management
Identifying customer wants and needs

Question # 15 of 15 (Start time: 01:10:37 AM) Total Marks: 1
Forecasting or prediction for organizations will always be:
Select correct option:

Failure
Success
Sometimes failure and sometimes success
Complex

Question # 3 of 15 (Start time: 01:30:49 AM) Total Marks: 1
A product 'A' is specified to work well up to 30 degree Celsius temperature and 30% humidity. What would these specifications represent?
Select correct option:

Reliability factor
Standard conditions
Normal operating conditions
Standard operating procedure

Question # 4 of 15 (Start time: 01:32:04 AM) Total Marks: 1
An example of a business/industry that uses batch flow process structure is:

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Select correct option:

Commercial printer
Heavy equipment
Automobile assembly
Sugar refinery

Question # 3 of 15 (Start time: 01:45:14 AM) Total Marks: 1
Which of the following is a system designed to coordinate all activities and information needed to complete business processes?
Select correct option:

Enterprise resource planning
Supply chain management
New product development
Customer relationship management

Question # 6 of 15 (Start time: 01:47:36 AM) Total Marks: 1
Which one of the following is an index used to measure actual output relative to design capacity?
Select correct option:

Utilization
Efficiency
Effective capacity
Effectiveness

Question # 9 of 15 (Start time: 01:49:32 AM) Total Marks: 1
Which one of the following refers to the maximum output that a firm can produce under ideal conditions?
Select correct option:

Design capacity
Effective capacity
Capacity planning
Utilization rate

Question # 11 of 15 (Start time: 01:50:47 AM) Total Marks: 1
Which of the following is NOT usually considered a general characteristic of a service?
Select correct option:

Degree of customer contact is high
Production and sales cannot easily be separated functionally

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Many services involve both tangible and intangible outputs
Production and consumption can always be separated

Question # 13 of 15 (Start time: 02:18:44 AM) Total Marks: 1
MTBF refers to which of the following?
Select correct option:

Measure time before failure
Mean time between failures
Mean time before failure
Measure test before failure

Question # 15 of 15 (Start time: 02:20:04 AM) Total Marks: 1
The type of processing structure that is used for producing discrete products at higher volume is:
Select correct option:

Continuous Flow
Assembly Line
Batch
Job Shop

Question # 6 of 15 (Start time: 02:23:43 AM) Total Marks: 1
Which one of the following mathematical expressions can be used to compute availability?
Select correct option:

(MTBF)/ (MTBF+MTR)
(MTBF)/ (MTBF-MTR)
(MTR)/ (MTBF+MTR)
(MTR)/ (MTBF-MTR)

Question # 7 of 15 (Start time: 02:24:44 AM) Total Marks: 1
Which one of the following layout type is also called line layout?
Select correct option:

Fixed Position layout
Process layout
Product layout
Cellular layout

Question # 2 of 15 (Start time: 02:29:31 AM) Total Marks: 1
Which one of the following is concerned in short term capacity needs?

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Select correct option:

Cycle
Trends
Seasonality
Average

Question # 11 of 15 (Start time: 02:32:30 AM) Total Marks: 1
Which of the following does not enhance developing capacity alternatives?
Select correct option:

Designing flexibility into the system
Taking a big picture approach
Staying focused on quantitative factors
Smoothing capacity requirements

Question # 1 of 15 (Start time: 02:44:06 AM) Total Marks: 1
Assembly lines relate most closely to a:
Select correct option:

Functional layout
Product layout
Process layout
Departmental layout

Question # 2 of 15 (Start time: 02:45:18 AM) Total Marks: 1
Which one of the following represents a use of cost-volume analysis?
Select correct option:

It is a tool for reliability measurement
It provides a base for marketing research
It helps in identification of cost related to production
It is important in product design

Question # 8 of 15 (Start time: 02:53:55 AM) Total Marks: 1
Which one of the following formula can be used to compute break even point?
Select correct option:

Q = FC / (R + VC)
Q = VC / (R + FC)
Q = VC / (R - VC)
Q = FC / (R - VC)

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Question # 4 of 15 (Start time: 03:14:31 AM) Total Marks: 1
Which one of the following is a type of layout where equipment, machinery and people are moved as required?
Select correct option:

Product layout
Fixed position layout
Process layout
Hybrid layout

Question # 4 of 15 (Start time: 03:19:45 AM) Total Marks: 1
Which one of the following is a curve showing failure rate over time?
Select correct option:

Cost curve
Bath tub curve
Fish bone diagram
Reliability curve

Question # 3 of 15 (Start time: 03:25:48 AM) Total Marks: 1
Which one of the following is a disadvantage of a process layout?
Select correct option:

A variety of processing requirements
Use of individual incentive system
Minimizing material handling costs
Equipment utilization rate is high

Question # 5 of 15 (Start time: 03:27:30 AM) Total Marks: 1
In which of the following layouts, work stations are arranged according to the general function they perform without regard to any particular product?
Select correct option:

Product
Process
Fixed-position
Storage

Question # 6 of 15 (Start time: 03:36:19 PM) Total Marks: 1
A tool to measure effective use of resources and usually expressed as the ratio of output to input is known as;
Select correct option:

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Production ratio
Productivity
Reliability
Operations ratio

Which of the following refers the way an organization chooses to produce its good or services?
Select correct option:

Process selection
Process reengineering
Process redesign
Process design

Which one of the following is a characteristic of a continuous process?
Select correct option:

High lead times
Short process times
The ability to handle high variety
The ability to handle high volumes

Which one of the following layout type is associated with a restaurant?
Select correct option:

Fixed position layout
Process layout
Product layout
Hybrid layout

Which one of the following layout type is associated with a supermarket?
Select correct option:

Fixed Position layout
Process layout
Product layout
Cellular layout

The type of processing structure that is used to produce gasoline, chemicals, and steel is known as.
Select correct option:

Job Shop

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Batch
Assembly Line
Continuous Flow

Which one of the following operating levels is best with respect to capacity?
Select correct option:

The maximum point of the cost curve
The level of capacity for which average unit cost is minimized
The level of capacity for which average unit cost is maximized
The level of capacity for which total cost is minimized

The process selection should take into account all of the following EXCEPT:
Select correct option:

Capacity planning
Design of work systems
Production forecasts
Selection of technology

In terms of operations management the forecast which projects a company's sales is called:
Select correct option:

Economic forecast
Technological forecast
Demand forecast
Associative model

The ratio of the real value of output to the combined input of labor and capital is called:
Select correct option:

Labor Productivity
Capital Productivity
Energy Productivity
Multifactor Productivity

Question # 4 of 15
Within the operations function, which one of the following is a long-term management decision?
Select correct option:

Control decision

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Non-operational decision
Strategic decision
Tactical decision

Question # 12 of 15
Which one of the following is not the property of the Naïve forecast?
Select correct option:

Simplicity of usage
Costly
Quick and easy to prepare
Easily understandable

Question # 14 of 15
The forecasting time horizon that would typically be easiest to predict would be:
Select correct option:

Medium-range
Long-range
Short-range
Intermediate range

Which one of the following reasons account for using moving average in forecasting?
Select correct option:

It eliminates the trend
It smoothes the random fluctuations
It counteracts the seasonal variations
It approximates the period average

Which one of the following is used to generate consensus forecast?
Select correct option:

Delphi method
Time series method
Exponential smoothing
Associative model

Question # 7 of 15 (Start time: 08:50:13 AM) Total Marks: 1
Parabolic, exponential and growth are element of:
Select correct option:

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Linear trends
Non linear Trends
Forecast accuracy
None of the above

Question # 7 of 15 (Start time: 08:50:13 AM) Total Marks: 1
Which one of the following correctly explains the elements of a good forecast?
Select correct option:

Timely, having a purpose, accurate, written, reliable, meaningful
Timely, accurate, judgmental, correctness, verbal, simple to use
Timely, accurate, reliable, meaningful, written, simple to use
Timely, accurate, reliable, consistent, meaningful, written, simple to use

Question # 5 of 15 (Start time: 08:48:04 AM)
The method that considers several variables related to the variable being predicted is:
Select correct option:

Exponential smoothing
Weighted moving average
Multiple regressions
Moving average

Flexible operations comes under the example of:
Select correct option:

Strategy
Tactics
Mission
Goals

Productivity refers to the ratio of output to input, in your views what are the measures by which productivity can be increased?
Select correct option:

Inputs increase while outputs remain the same
Outputs decrease while inputs remain the same
Inputs and outputs increase proportionately
Inputs decrease while outputs remain the same

Four important pillars capital, quality, _____ and technology. are responsible for positively as well as negatively affecting on the Productivity of the organization.

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Select correct option:

Customers
Process
System
Management

Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics.
Select correct option:

Simple moving average
Delphi method
Trend adjusted forecast
Naïve forecast

Which one of the following reasons account for using moving average in forecasting?
Select correct option:

It eliminates the trend
It smoothes the random fluctuations
It counteracts the seasonal variations
It approximates the period average

Parabolic, exponential and growth are element of:
Select correct option:

Linear trends
Non linear Trends
Forecast accuracy
None of the above

Product life cycle is based on:
Select correct option

Price
Place
Demand
Supply

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A technique that averages the number of recent actual values and forms a new value is called:
Select correct option:

Exponential Smoothing
Weighted Moving average
Moving average
Non of the above

Which one of the following is an outcome of Maximin criterion?
Select correct option:

The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets

Which of the following influences on the sales of a product is the most difficult to forecast?
Select correct option:

Seasonal
Trend
Nonlinear trend
Cyclical

Which one of the following is a measure of productivity that involves measuring inputs and outputs using a common unit of measurement?
Select correct option:

Multifactor
Partial
Single
Total

The forecasting time horizon that would typically be easiest to predict would be:
Select correct option:

Medium-range
Long-range
Short-range
Intermediate range

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Product life cycle is based on:
Select correct option:

Price
Place
Demand
Supply

Which one of the following is NOT used for decision making under uncertainty?
Select correct option:

Maximax
Mmaximin
Mminimax regret
EMV criterion

Question # 1 of 15 (Start time: 08:42:06 PM) Total Marks: 1
Which of the following statements corresponds to an order-winning characteristic?
Select correct option:

A factor which may be significant in other parts of the organization
A factor which gives an organization a competitive edge
A factor which serves as a minimum standard for purchase
A factor which increases the profitability of the organization

Question # 2 of 15 (Start time: 08:43:23 PM) Total Marks: 1
Which one of the following is NOT a business application of forecasting?
Select correct option:

Budgeting
Capacity planning
Inventory management
Quality control

Question # 3 of 15 (Start time: 08:44:13 PM) Total Marks: 1
A term strategy is referred to as
Select correct option:

The goal that is to be achieved
A functional area of the firm
An action plan to achieve a mission
The purpose for which an organization is established

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Question # 4 of 15 (Start time: 08:45:32 PM) Total Marks: 1
Operational strategies mostly function on two dimensions that are:
Select correct option:

Quality management and Service/Manufacturing Strategy
Quality and Operation Management
Service/Manufacturing Strategy and Functional Management
Operation and Functional Management

Question # 5 of 15 (Start time: 08:46:45 PM) Total Marks: 1
Robustness of a product is _____ related with the probability of failure.
Select correct option:

Directly
Inversely
Linearly
Positively

Question # 6 of 15 (Start time: 08:48:07 PM) Total Marks: 1
The operational strategy must be in line with the:
Select correct option:

Department goals
Organizational goals
Management goals
None of the above

Question # 7 of 15 (Start time: 08:49:23 PM) Total Marks: 1
Collaborative Planning, Forecasting, and Replenishment (CPFR) a Web based tool used to coordinate demand forecasting, _____ and inventory replenishment between supply chain trading partners.
Select correct option:

Production and purchase planning
Demand and supply planning
Quantitative forecasting
Demand management

Question # 8 of 15 (Start time: 08:50:45 PM) Total Marks: 1
Which one of the followings is the most closest to the linear regression?
Select correct option:

Trend projection method of forecasting

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Weighted moving average forecasting
Simple moving average forecasting
Naïve forecasting

Question # 9 of 15 (Start time: 08:52:10 PM) Total Marks: 1
A gradual, long term upward or downward movement in data is referred to as:
Select correct option:

Cycle
Trend
Seasonality
Random variation

Question # 10 of 15 (Start time: 08:52:53 PM) Total Marks: 1
The systematic plan of action with defined resources is called:
Select correct option:

Competitiveness
Strategy
Productivity
Flexibility

Question # 11 of 15 (Start time: 08:53:45 PM) Total Marks: 1
Which method of forecasting is the most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 12 of 15 (Start time: 08:55:07 PM) Total Marks: 1
Which one of the following refers to a decision environment in which relevant parameters have known values?
Select correct option:

Certainty
Uncertainty
Risk
Bounded rationality

Question # 13 of 15 (Start time: 08:56:26 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?

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Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 14 of 15 (Start time: 08:57:52 PM) Total Marks: 1
Which one of the following management functions is based on forecasting?
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 15 of 15 (Start time: 08:58:38 PM) Total Marks: 1
The role of a ---------- manager is to sustain, protect, and project the company's operations side.
Select correct option:

Project Manager
Operations Manager
Finance Manager
Marketing Manager

Question # 1 of 15 (Start time: 09:37:56 PM) Total Marks: 1
All of the following are examples of transformation process EXCEPT:
Select correct option:

Cutting
Packing
Facilitating
Labeling

Question # 2 of 15 (Start time: 09:39:22 PM) Total Marks: 1
How organizations assure that the designed strategy is giving the required output or results?
Select correct option:

Increase in demand of the product
By measuring the productivity
Environmental scanning

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Raw materials are effectively used

Question # 3 of 15 (Start time: 09:40:50 PM) Total Marks: 1
Which one of the following forms of productivity has units of output per dollar input?
Select correct option:

Capital
Energy
Labor
Machine

Question # 4 of 15 (Start time: 09:41:27 PM) Total Marks: 1
Which one of the following is the final stage of product life cycle?
Select correct option:

Growth
Decline
Maturity
Planning

Question # 5 of 15 (Start time: 09:42:08 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

Question # 6 of 15 (Start time: 09:43:35 PM) Total Marks: 1
Which one of the following is an application of simple exponential smoothing?
Select correct option:

Establishing durability
Finding reliability
Scheduling services
Quality improvement

Question # 7 of 15 (Start time: 09:44:58 PM) Total Marks: 1
Which one of the following is an implication of laplace approach of decision making?
Select correct option:

The best of the worst possible payoff

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The best possible payoff
The best average payoff
The least of the worst regrets

Question # 8 of 15 (Start time: 09:46:00 PM) Total Marks: 1
Which probability distribution is used most extensively in dealing with forecasting errors?
Select correct option:

Normal
Exponential
Beta
Pareto

Question # 9 of 15 (Start time: 09:47:13 PM) Total Marks: 1
Which one of the following statements relates to the final stage of product life cycle?
Select correct option:

Improved reliability, and reduced quality
Improved packaging, and reliability
Improved reliability, and reduced production costs
Improved reliability, and reduced promotion costs

Question # 10 of 15 (Start time: 09:48:14 PM) Total Marks: 1
Which of the following is not the true representation the concept of time series model?
Select correct option:

Exponential smoothing
Moving averages
Naïve approach
Linear regression

Question # 11 of 15 (Start time: 09:49:40 PM) Total Marks: 1
With regard to a regression-based forecast, the standard error of the estimate gives a measure of:
Select correct option:

Required time to derive the forecast equation
Validation time period of the forecast
The maximum error of the forecast
Variability around the regression line

Question # 12 of 15 (Start time: 09:51:06 PM) Total Marks: 1

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The industrial revolution came into;
Select correct option:

1770
1920
1911
1815

Question # 13 of 15 (Start time: 09:52:03 PM) Total Marks: 1
In time series forecast the population shifts, changing income and cultural changes refers to:
Select correct option:

Trend
Seasonality
Cycle
Irregular Variations

Question # 14 of 15 (Start time: 09:53:09 PM) Total Marks: 1
Which one of the following strategies specifies how the firm will employ its production capabilities to support its corporate strategy?
Select correct option:

Tactical
Operations
Manufacturing
Production

Question # 15 of 15 (Start time: 09:54:33 PM) Total Marks: 1
Forecasting or prediction for organizations will always be:
Select correct option:

Failure
Success
Sometimes failure and sometimes success
Complex

Which one of the following forecasts is quick and easy to prepare?

Time series
Delphi
Naive
Associative

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Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics.

Simple Moving Average
Delphi method
Trend Adjusted Forecast
Naive Forecast

In which one of the following decision environments it is impossible to assess the likelihood of various future events?

Certainty
Uncertainty
Risk
Bounded Rationally

To make operations strategy effective it should be:

Independent of the organization's strategy
Consistent with the organization's strategy
Developed by a first line manager
Independent of time dimension

Those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase is called:

Order Winners
Order Qualifiers
Order Takers
None of the above

Which one of the following is an implication of laplace approach of decision making? Select correct option:

The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets

More routine purchasing, handling and inspection is an example of:

Customization

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Mass Customization
Standardization
None of the above

Which of the following provide guidance and directions for carrying out operations?

Tactics
Strategies
Policies
Mission

_____ is a wave like variations of more than one year's duration.

Cycle
Trend
Seasonality
Random Variation

Which one of the following correctly represents a set of time series forecats?

Averaging, cycle, seasonality, random variation
Trend, seasonality, exponential smoothing
Trend, cycle, seasonality, moving average
Trend, cycle, seasonality, random variation

Which of the following forecasting techniques induce personal bias in a forecast?

Qualitative
Quantitative
Associative
Trend forecast

All of the following are examples of Qualitative forecasting except:

Judgmental
Delphi method
Consumer Survey
Naïve Forecasting

Operational strategies mostly function on two dimensions that are:
Select correct option:

Quality management and Service/Manufacturing Strategy

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Quality and Operation Management
Service/Manufacturing Strategy and Functional Management
Operation and Functional Management

_____ means that the relevant parameters such as cost, capacity and demand have known values.

Risk
Certainty
Uncertainty
None of above

The productivity measure output/ (labor + machine) will be named as:

Partial measure
Multifactor measure
Total Measure
None of the above

Question # 1 of 15 (Start time: 04:08:33 PM) Total Marks: 1
Which of the following is not an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of Customer Contact

Question # 2 of 15 (Start time: 04:09:27 PM) Total Marks: 1
Which one of the following factors makes a forecast LESS perfect?
Select correct option:

Randomness
Non serious attitude
Non availability of data
Un qualified personnel

Question # 3 of 15 (Start time: 04:10:44 PM) Total Marks: 1
Which one of the following is true about Taguchi approach?
Select correct option:

To test the robustness of a design
To articulate the “voice of the customer”

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To reduce the degree of automation
To create a concurrent design

Question # 4 of 15 (Start time: 04:11:24 PM) Total Marks: 1
Which of the following provide guidance and directions for carrying out operations?
Select correct option:

Tactics
Strategies
Policies
Mission

Question # 5 of 15 (Start time: 04:11:30 PM) Total Marks: 1
Which one of the following is the final stage of product life cycle?
Select correct option:

Growth
Decline
Maturity
Planning

Question # 6 of 15 (Start time: 04:11:37 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 7 of 15 (Start time: 04:11:55 PM) Total Marks: 1
Tools like Decision trees and Graphical sensitivity analysis are being used for what purpose?
Select correct option:

For the evaluation of the alternatives
For analyzing decision problems
For making optimistic decisions
Non of the above

Question # 8 of 15 (Start time: 04:13:21 PM) Total Marks: 1
A term strategy is referred to as
Select correct option:

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The goal that is to be achieved
A functional area of the firm
An action plan to achieve a mission
The purpose for which an organization is established

Question # 9 of 15 (Start time: 04:13:30 PM) Total Marks: 1
Productivity ratios are used in;
Select correct option:

Planning work force requirements
Scheduling equipments
Financial analysis
All of the above

Question # 10 of 15 (Start time: 04:14:13 PM) Total Marks: 1
Which of the following forecasting technique is used when introducing new products, services, new features and new packaging?
Select correct option:

Quantitative technique
Associative model
Focus group
Judgmental forecast

Question # 11 of 15 (Start time: 04:15:13 PM) Total Marks: 1
Characteristics like taste, feel, expertise, image or reputation relates to ----------.
Select correct option:

Subjective inputs
Objective inputs
Quantitative technique
None of the given options

Question # 12 of 15 (Start time: 04:16:33 PM) Total Marks: 1
Group Consensus relates to which of the following judgmental forecasting technique?
Select correct option:

Sales force
Consumer surveys
Delphi method
Executive opinions

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Question # 13 of 15 (Start time: 04:17:49 PM) Total Marks: 1
The three major business functions necessary to all organizations are:
Select correct option:

Accounting, personnel, operations
Marketing, finance/accounting, operations
Marketing, accounting, personnel
Marketing, finance, operations

Question # 14 of 15 (Start time: 04:19:16 PM) Total Marks: 1
Which of the following functions of an organization consists of all activities directly related to production of a good or service?
Select correct option:

Operations
Marketing
Accounting
Finance

Question # 15 of 15 (Start time: 04:19:44 PM) Total Marks: 1
Increases in productivity are difficult to achieve if one of the following situation occurs
Select correct option:

The task is more intellectual and personal
The task is more quantitative and repetitive
The task is more physical and tangible
The task is more good-producing and standardized

Question # 1 of 15 (Start time: 04:33:42 PM) Total Marks: 1
Forecasts help managers by reducing the degree of:
Select correct option:

Accuracy
Precision
Uncertainty
Reliability

Question # 2 of 15 (Start time: 04:34:53 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion

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Consumer market survey
Exponential smoothing

Question # 3 of 15 (Start time: 04:35:22 PM) Total Marks: 1
Collaborative Planning, Forecasting, and Replenishment (CPFR) a Web based tool used to coordinate demand forecasting, _____ and inventory replenishment between supply chain trading partners.
Select correct option:

Production and purchase planning
Demand and supply planning
Quantitative forecasting
Demand management

Question # 4 of 15 (Start time: 04:35:29 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

Question # 5 of 15 (Start time: 04:35:37 PM) Total Marks: 1
Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation
All of the above

Question # 6 of 15 (Start time: 04:36:04 PM) Total Marks: 1
Which one of the following is NOT a key internal factor in formulating operations strategy?
Select correct option:

Competition
Financial resources
Human resources
Products and services

Question # 7 of 15 (Start time: 04:37:05 PM) Total Marks: 1

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Overall broad picture of the organization is depicted by its _____ that provides detailed and broader scope.
Select correct option:

Operations strategy
Organizational strategy
Marketing strategy
Manufacturing units

Question # 8 of 15 (Start time: 04:38:32 PM) Total Marks: 1
Which of the following statements describes an order-qualifier characteristic?
Select correct option:

A competitive dimension used to make final decision among competitors
A factor which directly and significantly contribute to winning business
A factor which increases the profitability of the organization
A factor perceived as a minimum standard as a potential for purchase

Question # 9 of 15 (Start time: 04:39:05 PM) Total Marks: 1
As the time horizon increases the accuracy of the forecast:
Select correct option:

Decreases
Increases
Is not affected with time horizon
None of the above

Question # 10 of 15 (Start time: 04:39:46 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 11 of 15 (Start time: 04:40:13 PM) Total Marks: 1
Which one of the following is the most significant disadvantage of standardization?
Select correct option:

Frozen designs
Interchangeable parts
Reduced variety

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Customized parts

Question # 12 of 15 (Start time: 04:41:07 PM) Total Marks: 1
Which of the following is the main source of a poor decision making by the managers?
Select correct option:

Failure to check their facts
Failure to plan for unexpected events
Failure to connect the problem to the overall strategy
All of the above

Question # 13 of 15 (Start time: 04:41:52 PM) Total Marks: 1
Which one of the following is true about Taguchi approach?
Select correct option:

To test the robustness of a design
To articulate the "voice of the customer"
To reduce the degree of automation
To create a concurrent design

Question # 14 of 15 (Start time: 04:41:58 PM) Total Marks: 1
Those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase is called:
Select correct option:

Order Winners
Order Qualifiers
Order Takers
None of the above

Question # 15 of 15 (Start time: 04:42:16 PM) Total Marks: 1
The subjective inputs obtained from sources such as consumer surveys, sales staff, managers and executives are the classification of _____ forecast.
Select correct option:

Judgmental
Time series
Associate models
Naive

Question # 1 of 15 (Start time: 04:48:08 PM) Total Marks: 1
Robustness of a product is _____ related with the probability of failure.
Select correct option:

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Directly
Inversely
Linearly
Positively

Question # 2 of 15 (Start time: 04:48:15 PM) Total Marks: 1
Which of the following statements is TURE about production system?
Select correct option:

A user of resources to transform inputs into some desired outputs
Enhancing value added services
Only desired output in the form of products or manufactured goods
Making efficient use of Internet technology

Question # 3 of 15 (Start time: 04:48:40 PM) Total Marks: 1
Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?
Select correct option:

Functional design
Production design
Service design
Product design

Question # 4 of 15 (Start time: 04:49:21 PM) Total Marks: 1
Which of the following statements describes an order-qualifier characteristic?
Select correct option:

A competitive dimension used to make final decision among competitors
A factor which directly and significantly contribute to winning business
A factor which increases the profitability of the organization
A factor perceived as a minimum standard as a potential for purchase

Question # 5 of 15 (Start time: 04:49:28 PM) Total Marks: 1
Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation
All of the above

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Question # 6 of 15 (Start time: 04:49:35 PM) Total Marks: 1
Which one of the following is an implication of laplace approach of decision making?
Select correct option:

The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets

Question # 7 of 15 (Start time: 04:49:42 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

Question # 8 of 15 (Start time: 04:49:48 PM) Total Marks: 1
Characteristics like taste, feel, expertise, image or reputation relates to ----------.
Select correct option:

Subjective inputs
Objective inputs
Quantitative technique
None of the given options

Question # 9 of 15 (Start time: 04:49:54 PM) Total Marks: 1
Which one of the following is the most significant disadvantage of standardization?
Select correct option:

Frozen designs
Interchangeable parts
Reduced variety
Customized parts

Question # 10 of 15 (Start time: 04:50:00 PM) Total Marks: 1
Which one of the following correctly represents a set of time series forecats?
Select correct option:

Averaging, cycle, seasonality, random variations
Trend, seasonality, exponential smoothing
Trend, cycle, seasonality, moving average

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Trend, cycle, seasonality, random variations

Question # 11 of 15 (Start time: 04:50:20 PM) Total Marks: 1
The total weight assigned to actual occurrences should be equal to:
Select correct option:

0
1
2
3

Question # 12 of 15 (Start time: 04:51:31 PM) Total Marks: 1
Which one of the following is not a step of decision process:
Select correct option:

Specify objectives
Determine the product of chance probabilities
Analyze and select alternative
Implement and monitor the result

Question # 13 of 15 (Start time: 04:52:12 PM) Total Marks: 1
The pioneers of transforming management to scientific domain are:
Select correct option:

Fredrick Taylor
Lillian and Frank Gilbreths
Henry Fayol
Both A & B

Question # 14 of 15 (Start time: 04:53:14 PM) Total Marks: 1
Units of output per shift is:
Select correct option:

Energy Productivity
Machine Productivity
Labor Productivity
Capital Productivity

Question # 15 of 15 (Start time: 04:53:41 PM) Total Marks: 1
Organizational strategies relate to which of the following sets of factors?
Select correct option:

Survival, profitability, growth rate and market share

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Profitability, survival, lead times and target market
Quality, operating resources, growth rate and market share
Scheduling, profitability, lead times and survival

Question # 1 of 15 (Start time: 05:00:35 PM) Total Marks: 1
Which of the following includes the quantitative methods of forecasting?
Select correct option:

Sales force composite
Exponential smoothing
Consumer market survey
Jury of executive opinion

Question # 2 of 15 (Start time: 05:01:51 PM) Total Marks: 1
The forecasting model that attempts to predict the future value based on the past data is known as:
Select correct option:

Delphi Method
Time series Analysis
Associative Models
Naïve Forecasting

Question # 3 of 15 (Start time: 05:03:10 PM) Total Marks: 1
Those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase is called:
Select correct option:

Order Winners
Order Qualifiers
Order Takers
None of the above

Question # 4 of 15 (Start time: 05:03:25 PM) Total Marks: 1
Which one of the following is the overall objective of product and service design?
Select correct option:

Customer satisfaction and variety
Reliability and variety
Quality and reliability
Customer satisfaction and profitability

Question # 5 of 15 (Start time: 05:03:56 PM) Total Marks: 1

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Which of the following is not an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of Customer Contact

Question # 6 of 15 (Start time: 05:04:05 PM) Total Marks: 1
Which one of the following factors provides a basis for comparing alternative forecasting techniques?
Select correct option:

Time dimension
Reliability factor
Degree of accuracy
Measuring units

Question # 7 of 15 (Start time: 05:04:32 PM) Total Marks: 1
Which of the following is a technique for fitting a line to a set of points?
Select correct option:

Regression
Trend
Cycle
Moving average

Question # 8 of 15 (Start time: 05:05:15 PM) Total Marks: 1
Which one of the following forms of productivity has units of output per dollar input?
Select correct option:

Capital
Energy
Labor
Machine

Question # 9 of 15 (Start time: 05:05:21 PM) Total Marks: 1
Which of the following is not the true representation the concept of time series model?
Select correct option:

Exponential smoothing
Moving averages
Naïve approach

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Linear regression

Question # 10 of 15 (Start time: 05:05:38 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 11 of 15 (Start time: 05:05:46 PM) Total Marks: 1
In exponential smoothing model, a denotes:
Select correct option:

Smoothing constant
Previous forecast
Forecast error
Actual forecast

Question # 12 of 15 (Start time: 05:07:05 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 13 of 15 (Start time: 05:07:12 PM) Total Marks: 1
The productivity measure output/ (labor + machine) will be named as:
Select correct option:

Partial measure
Multifactor measure
Total measure
None of the above

Question # 14 of 15 (Start time: 05:07:20 PM) Total Marks: 1
For which of the following approaches, the forecast of any period equals the previous period's forecast?
Select correct option:

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Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 15 of 15 (Start time: 05:08:33 PM) Total Marks: 1
Organizational strategy is different from operations strategy because it is;
Select correct option:

Prepared by middle managers
Narrower in scope
Longer in time horizon
All of the above

Question # 1 of 15 (Start time: 05:35:09 PM) Total Marks: 1
CBR stands for which one of the following?
Select correct option:

Commercial Board of Revenue
Central Board of Recycling
Central Board of Renovation
Central Board of Revenue

Question # 2 of 15 (Start time: 05:35:31 PM) Total Marks: 1
Suppose an operations manager is having a pessimistic approach of decision making under uncertain conditions. What approach he will follow for decision making?
Select correct option:

Maximin
Maximax
Laplace
Non of the above

Question # 3 of 15 (Start time: 05:36:57 PM) Total Marks: 1
Which one of the following is NOT a key internal factor in formulating operations strategy?
Select correct option:

Competition
Financial resources
Human resources
Products and services

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Question # 4 of 15 (Start time: 05:37:03 PM) Total Marks: 1
Completion of any operations depends upon the slowest process in the assembly line. What operations managers need to do in order to be successful?
Select correct option:

Target and eliminate bottlenecks
Identify the bottlenecks
Make slowest process more slow
Non of the above

Question # 5 of 15 (Start time: 05:38:28 PM) Total Marks: 1
Which of the following is a technique for fitting a line to a set of points?
Select correct option:

Regression
Trend
Cycle
Moving average

Question # 6 of 15 (Start time: 05:38:35 PM) Total Marks: 1
Which one the following formula or function can be used to measure the performance?
Select correct option:

Flexibility + profit+ operations
Work + profit + value
Quality + speed + flexibility
Profit + Incentives + standards

Question # 7 of 15 (Start time: 05:39:09 PM) Total Marks: 1
The industrial revolution came into;
Select correct option:

1770
1920
1911
1815

Question # 8 of 15 (Start time: 05:39:15 PM) Total Marks: 1
"Business forecasting is only used for predicting demand". This statement is
Select correct option:

Totally right
Totally wrong

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Partially right
None of the above

Question # 9 of 15 (Start time: 05:40:41 PM) Total Marks: 1
In exponential smoothing model, a denotes:
Select correct option:

Smoothing constant
Previous forecast
Forecast error
Actual forecast

Question # 10 of 15 (Start time: 05:40:50 PM) Total Marks: 1
Tools like Decision trees and Graphical sensitivity analysis are being used for what purpose?
Select correct option:

For the evaluation of the alternatives
For analyzing decision problems
For making optimistic decisions
Non of the above

Question # 11 of 15 (Start time: 05:40:59 PM) Total Marks: 1
Which probability distribution is used most extensively in dealing with forecasting errors?
Select correct option:

Normal
Exponential
Beta
Pareto

Question # 12 of 15 (Start time: 05:41:14 PM) Total Marks: 1
The systematic processing of data to yield information is a part of _____.
Select correct option:

Management science
Information sciences
Industrial engineering
Scientific management

Question # 13 of 15 (Start time: 05:42:23 PM) Total Marks: 1
Which one of the following is NOT a business application of forecasting?

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Select correct option:

Budgeting
Capacity planning
Inventory management
Quality control

Question # 14 of 15 (Start time: 05:42:41 PM) Total Marks: 1
Productivity ratios are used in;
Select correct option:

Planning work force requirements
Scheduling equipments
Financial analysis
All of the above

Question # 15 of 15 (Start time: 05:42:47 PM) Total Marks: 1
Which one of the followings is the most closest to the linear regression?
Select correct option:

Trend projection method of forecasting
Weighted moving average forecasting
Simple moving average forecasting
Naïve forecasting

Question # 1 of 15 (Start time: 06:26:30 PM) Total Marks: 1
In forecasting, planning the use of system relates to the _____ plans.
Select correct option:

Long term
Short term
Both long and short term
None of the above

Question # 2 of 15 (Start time: 06:27:56 PM) Total Marks: 1
How organizations assure that the designed strategy is giving the required output or results?
Select correct option:

Increase in demand of the product
By measuring the productivity
Environmental scanning
Raw materials are effectively used

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Question # 3 of 15 (Start time: 06:29:21 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 4 of 15 (Start time: 06:29:46 PM) Total Marks: 1
A gradual, long term upward or downward movement in data is referred to as:
Select correct option:

Cycle
Trend
Seasonality
Random variation

Question # 5 of 15 (Start time: 06:30:11 PM) Total Marks: 1
Completion of any operations depends upon the slowest process in the assembly line. What operations managers need to do in order to be successful?
Select correct option:

Target and eliminate bottlenecks
Identify the bottlenecks
Make slowest process more slow
Non of the above

Question # 6 of 15 (Start time: 06:33:12 PM) Total Marks: 1
All of the following are examples of Qualitative forecasting except:
Select correct option:

Judgmental
Delphi Method
Consumer Survey
Naïve Forecasting

Question # 7 of 15 (Start time: 06:34:16 PM) Total Marks: 1
OSHA stands for: which one of the following?
Select correct option:

Occupational Safety Hygiene Administration

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Occupational Stock Hygiene Administration
Occupational Safety Hygiene Agency
Occupational Science Hygiene Administration

Question # 8 of 15 (Start time: 06:35:07 PM) Total Marks: 1
Which one of the following management functions is based on forecasting?
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 9 of 15 (Start time: 06:35:31 PM) Total Marks: 1
The operational strategy must be in line with the:
Select correct option:

Department goals
Organizational goals
Management goals
None of the above

Question # 10 of 15 (Start time: 06:35:54 PM) Total Marks: 1
Patterns of time series that repeat themselves after a period of days or weeks are called:
Select correct option:

Seasonality
Random variation
Cycles
Trends

Question # 11 of 15 (Start time: 06:37:19 PM) Total Marks: 1
"What business are we in?" This statement will come under:
Select correct option:

Mission Statement
Goals
Tactics
Strategies

Question # 12 of 15 (Start time: 06:38:33 PM) Total Marks: 1
Forecasting or prediction for organizations will always be:
Select correct option:

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Failure
Success
Sometimes failure and sometimes success
Complex

Question # 13 of 15 (Start time: 06:39:19 PM) Total Marks: 1
Sequence of data points that are measured typically at successive times at regular time intervals is known as:
Select correct option:

Moving average
Weighted moving average
Time series
Forecasts

Question # 14 of 15 (Start time: 06:40:06 PM) Total Marks: 1
Services differ from manufacturing in all the following ways EXCEPT:
Select correct option:

Customers typically interact directly with the service delivery process
Consumption and production take place simultaneously.
Services are intangible.
Services can be stored.

Question # 15 of 15 (Start time: 06:41:17 PM) Total Marks: 1
Productivity ratios are used for planning workforce requirements, scheduling equipments and _____.
Select correct option:

Satisfying customers
Financial analysis
Management decisions
None of the above

Question # 1 of 15 (Start time: 06:58:12 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

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Question # 2 of 15 (Start time: 06:59:00 PM) Total Marks: 1
Group Consensus relates to which of the following judgmental forecasting technique?
Select correct option:

Sales force
Consumer surveys
Delphi method
Executive opinions

Question # 3 of 15 (Start time: 06:59:46 PM) Total Marks: 1
The subjective inputs obtained from sources such as consumer surveys, sales staff, managers and executives are the classification of _____ forecast.
Select correct option:

Judgmental
Time series
Associate models
Naive

Question # 4 of 15 (Start time: 07:00:12 PM) Total Marks: 1
A term strategy is referred to as
Select correct option:

The goal that is to be achieved
A functional area of the firm
An action plan to achieve a mission
The purpose for which an organization is established

Question # 5 of 15 (Start time: 07:00:26 PM) Total Marks: 1
Robustness of a product is _____ related with the probability of failure.
Select correct option:

Directly
Inversely
Linearly
Positively

Question # 6 of 15 (Start time: 07:00:38 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method

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Naïve forecast
Associative model
Judgmental forecast

Question # 7 of 15 (Start time: 07:01:11 PM) Total Marks: 1
_____ means that the relevant parameters such as cost, capacity and demand have known values.
Select correct option:

Risk
Certainty
Uncertainty
None of above

Question # 8 of 15 (Start time: 07:01:40 PM) Total Marks: 1
The industrial revolution came into;
Select correct option:

1770
1920
1911
1815

Question # 9 of 15 (Start time: 07:01:52 PM) Total Marks: 1
Which probability distribution is used most extensively in dealing with forecasting errors?
Select correct option:

Normal
Exponential
Beta
Pareto

Question # 10 of 15 (Start time: 07:02:10 PM) Total Marks: 1
Following are all examples of distinctive competencies EXCEPT;
Select correct option:

Price
Quality
Planning
Flexibility

Question # 11 of 15 (Start time: 07:03:11 PM) Total Marks: 1

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Which one of the following management functions is based on forecasting?
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 12 of 15 (Start time: 07:03:42 PM) Total Marks: 1
Which one of the following is not a step of decision process:
Select correct option:

Specify objectives
Determine the product of chance probabilities
Analyze and select alternative
Implement and monitor the result

Question # 13 of 15 (Start time: 07:04:39 PM) Total Marks: 1
The role of a ---------- manager is to sustain, protect, and project the company's operations side.
Select correct option:

Project Manager
Operations Manager
Finance Manager
Marketing Manager

Question # 14 of 15 (Start time: 07:05:36 PM) Total Marks: 1
In which one of the following decision environments it is impossible to assess the likelihood of various future events?
Select correct option:

Certainty
Uncertainty
Risk
Bounded rationality

Question # 15 of 15 (Start time: 07:06:23 PM) Total Marks: 1
Which one of the following is the overall objective of product and service design?
Select correct option:

Customer satisfaction and variety
Reliability and variety

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Quality and reliability
Customer satisfaction and profitability

Question # 1 of 15 (Start time: 07:10:05 PM) Total Marks: 1
Which of the following favors adopting a “go for it” strategy?
Select correct option:

Maximin
Maximax
Minimax regret
Laplace

Question # 2 of 15 (Start time: 07:10:57 PM) Total Marks: 1
The systematic plan of action with defined resources is called:
Select correct option:

Competitiveness
Strategy
Productivity
Flexibility

Question # 3 of 15 (Start time: 07:11:22 PM) Total Marks: 1
Which of the following is NOT an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of customer contact

Question # 4 of 15 (Start time: 07:12:44 PM) Total Marks: 1
Organizational strategy is different from operations strategy because it is;
Select correct option:

Prepared by middle managers
Narrower in scope
Longer in time horizon
All of the above

Question # 5 of 15 (Start time: 07:13:34 PM) Total Marks: 1
Which one of the following is not a step of decision process:
Select correct option:

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Specify objectives
Determine the product of chance probabilities
Analyze and select alternative
Implement and monitor the result

Question # 6 of 15 (Start time: 07:13:45 PM) Total Marks: 1
As the size of the smoothing constant increases:
Select correct option:

More weight is put on historic demand data.
More weight is put on recent demand data.
The sensitivity of the model decreases.
The stability of the model increases.

Question # 7 of 15 (Start time: 07:15:09 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 8 of 15 (Start time: 07:15:23 PM) Total Marks: 1
For which of the following approaches, the forecast of any period equals the previous period's forecast?
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 9 of 15 (Start time: 07:16:33 PM) Total Marks: 1
Strategy design process in initiated by:
Select correct option:

Corporate strategy
Needs of the customer
Operations Strategy
All of the above

Question # 10 of 15 (Start time: 07:17:39 PM) Total Marks: 1

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Forecasts help managers by reducing the degree of:
Select correct option:

Accuracy
Precision
Uncertainty
Reliability

Question # 11 of 15 (Start time: 07:18:41 PM) Total Marks: 1
In operations management the time required to react appropriately to a competitor's strategies or technology up gradation is called:
Select correct option:

Processing time
Changeover time
Response Time
Planning time

Question # 12 of 15 (Start time: 07:20:09 PM) Total Marks: 1
"What business are we in?" This statement will come under:
Select correct option:

Mission Statement
Goals
Tactics
Strategies

Question # 13 of 15 (Start time: 07:20:30 PM) Total Marks: 1
An automatic car wash is an example of which of the following?
Select correct option:

Standardized service
Customized service
Batch processing
Intermittent processing

Question # 14 of 15 (Start time: 07:21:22 PM) Total Marks: 1
Which one of the following refers to using some of the components of old products in the manufacture of new products?
Select correct option:

Remanufacturing
Robust design

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Automation
Manufacturability

Question # 15 of 15 (Start time: 07:22:05 PM) Total Marks: 1
Which one of the following statements relates to the final stage of product life cycle?
Select correct option:

Improved reliability, and reduced quality
Improved packaging, and reliability
Improved reliability, and reduced production costs
Improved reliability, and reduced promotion costs

Question # 1 of 15 (Start time: 07:30:34 PM) Total Marks: 1
Group Consensus relates to which of the following judgmental forecasting technique?
Select correct option:

Sales force
Consumer surveys
Delphi method
Executive opinions

Question # 2 of 15 (Start time: 07:31:08 PM) Total Marks: 1
The systematic processing of data to yield information is a part of _____.
Select correct option:

Management science
Information sciences
Industrial engineering
Scientific management

Question # 3 of 15 (Start time: 07:31:51 PM) Total Marks: 1
An organization has described its distinctive characteristics. So, what is the next step in formulating the strategy?
Select correct option:

Productivity Measures
Environmental scanning
Selecting the market segment
Competitor's distinctiveness

Question # 4 of 15 (Start time: 07:33:18 PM) Total Marks: 1
Most of the organizations adopt a defensive design R&D Strategy in an attempt to prolong the life of the product by employing new packaging, redesigning it, improving its

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reliability. This is _____ phase in product life cycle.
Select correct option:

Growth
Maturity
Saturation
Decline

Question # 5 of 15 (Start time: 07:34:08 PM) Total Marks: 1
Which one the following formula or function can be used to measure the performance?
Select correct option:

Flexibility + profit+ operations
Work + profit + value
Quality + speed + flexibility
Profit + Incentives + standards

Question # 6 of 15 (Start time: 07:35:20 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 7 of 15 (Start time: 07:36:13 PM) Total Marks: 1
_____ means that the relevant parameters such as cost, capacity and demand have known values.
Select correct option:

Risk
Certainty
Uncertainty
None of above

Question # 8 of 15 (Start time: 07:36:33 PM) Total Marks: 1
The companies that are competing on cost, their chance to gain the competitive advantage over their competitors is:
Select correct option:

Based on flexibility
Based on uniqueness of their products

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Based on reliability of scheduling
Based upon low cost leadership

Question # 9 of 15 (Start time: 07:37:55 PM) Total Marks: 1
The forecasting model that attempts to predict the future value based on the past data is known as:
Select correct option:

Delphi Method
Time series Analysis
Associative Models
Naïve Forecasting

Question # 10 of 15 (Start time: 07:38:54 PM) Total Marks: 1
How organizations assure that the designed strategy is giving the required output or results?
Select correct option:

Increase in demand of the product
By measuring the productivity
Environmental scanning
Raw materials are effectively used

Question # 11 of 15 (Start time: 07:39:11 PM) Total Marks: 1
A tool to measure effective use of resources and usually expressed as the ratio of output to input is known as;
Select correct option:

Production ratio
Productivity
Reliability
Operations ratio

Question # 12 of 15 (Start time: 07:40:19 PM) Total Marks: 1
In time series forecast the population shifts, changing income and cultural changes refers to:
Select correct option:

Trend
Seasonality
Cycle
Irregular Variations

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Question # 13 of 15 (Start time: 07:40:51 PM) Total Marks: 1
Organization whether manufacturing product or delivering a service are made to operate in three dimensions that are:
Select correct option:

Legal, Ethical, and Environmental
Legal, Environmental, Social
Legal, Ethical, Social
Ethical, Environmental, Social

Question # 14 of 15 (Start time: 07:41:55 PM) Total Marks: 1
Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?
Select correct option:

Functional design
Production design
Service design
Product design

Question # 15 of 15 (Start time: 07:42:30 PM) Total Marks: 1
Which ONE of the following forms a bridge between two islands of Engineering and Management?
Select correct option:

Production Engineering
Operations Management
Industrial Management
Operations Engineering

Question # 1 of 15 (Start time: 08:53:13 PM) Total Marks: 1
Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation
All of the above

Question # 2 of 15 (Start time: 08:53:33 PM) Total Marks: 1
All of the following are examples of transformation process EXCEPT:
Select correct option:

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Cutting
Packing
Facilitating
Labeling

Question # 3 of 15 (Start time: 08:53:52 PM) Total Marks: 1
Organizational strategies relate to which of the following sets of factors?
Select correct option:

Survival, profitability, growth rate and market share
Profitability, survival, lead times and target market
Quality, operating resources, growth rate and market share
Scheduling, profitability, lead times and survival

Question # 4 of 15 (Start time: 08:54:28 PM) Total Marks: 1
Which one the following formula or function can be used to measure the performance?
Select correct option:

Flexibility + profit+ operations
Work + profit + value
Quality + speed + flexibility
Profit + Incentives + standards

Question # 5 of 15 (Start time: 08:54:43 PM) Total Marks: 1
Which ONE of the following statement correctly explains the difference between operations management (OM) and operations research (OR)?
Select correct option:

OM relies on mathematical modeling and OR focus on practical scenarios.
OM is more powerful to improve the whole system OR relies on mathematical modeling.
OM is relies on practical scenarios and Or relies on Mathematical modeling.
OM relies on mathematical modeling and OR is considered to be one of the critical tools of mangers.

Question # 6 of 15 (Start time: 08:56:07 PM) Total Marks: 1
Releasing products with defects should be informed to the customers. This statement comes under _____ frame work.
Select correct option:

Legal
Ethical
Environmental
None of the above

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Question # 7 of 15 (Start time: 08:57:04 PM) Total Marks: 1
Patterns of time series that repeat themselves after a period of days or weeks are called:
Select correct option:

Seasonality
Random variation
Cycles
Trends

Question # 8 of 15 (Start time: 08:57:45 PM) Total Marks: 1
As the size of the smoothing constant increases:
Select correct option:

More weight is put on historic demand data.
More weight is put on recent demand data.
The sensitivity of the model decreases.
The stability of the model increases.

Question # 9 of 15 (Start time: 08:58:10 PM) Total Marks: 1
How organizations assure that the designed strategy is giving the required output or results?
Select correct option:

Increase in demand of the product
By measuring the productivity
Environmental scanning
Raw materials are effectively used

Question # 10 of 15 (Start time: 08:58:22 PM) Total Marks: 1
Which of the following is a technique for fitting a line to a set of points?
Select correct option:

Regression
Trend
Cycle
Moving average

Question # 11 of 15 (Start time: 08:59:00 PM) Total Marks: 1
Which of the following includes the quantitative methods of forecasting?
Select correct option:

Sales force composite

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Exponential smoothing
Consumer market survey
Jury of executive opinion

Question # 12 of 15 (Start time: 08:59:41 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 13 of 15 (Start time: 09:00:08 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

Question # 14 of 15 (Start time: 09:00:19 PM) Total Marks: 1
"What business are we in?" This statement will come under:
Select correct option:

Mission Statement
Goals
Tactics
Strategies

Question # 15 of 15 (Start time: 09:00:28 PM) Total Marks: 1
Units of output per shift is:
Select correct option:

Energy Productivity
Machine Productivity
Labor Productivity
Capital Productivity

Question # 1 of 15 (Start time: 09:05:32 PM) Total Marks: 1
A gradual, long term upward or downward movement in data is referred to as:
Select correct option:

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Cycle
Trend
Seasonality
Random variation

Question # 2 of 15 (Start time: 09:05:48 PM) Total Marks: 1
Which one of the followings appears to provide the best prospect for increases in productivity?
Select correct option:

Management
Raw materials
Labor
Capital

Question # 3 of 15 (Start time: 09:07:16 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 4 of 15 (Start time: 09:07:43 PM) Total Marks: 1
Which one of the following is the final stage of product life cycle?
Select correct option:

Growth
Decline
Maturity
Planning

Question # 5 of 15 (Start time: 09:07:56 PM) Total Marks: 1
Which of the following provide guidance and directions for carrying out operations?
Select correct option:

Tactics
Strategies
Policies
Mission

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Question # 6 of 15 (Start time: 09:08:17 PM) Total Marks: 1
Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation
All of the above

Question # 7 of 15 (Start time: 09:08:27 PM) Total Marks: 1
Tools like Decision trees and Graphical sensitivity analysis are being used for what purpose?
Select correct option:

For the evaluation of the alternatives
For analyzing decision problems
For making optimistic decisions
Non of the above

Question # 8 of 15 (Start time: 09:08:55 PM) Total Marks: 1
CBR stands for which one of the following?
Select correct option:

Commercial Board of Revenue
Central Board of Recycling
Central Board of Renovation
Central Board of Revenue

Question # 9 of 15 (Start time: 09:09:10 PM) Total Marks: 1
Overall broad picture of the organization is depicted by its _____ that provides detailed and broader scope.
Select correct option:

Operations strategy
Organizational strategy
Marketing strategy
Manufacturing units

Question # 10 of 15 (Start time: 09:09:54 PM) Total Marks: 1
_____ is a wave like variations of more than one year's duration.
Select correct option:

Cycle

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Trend
Seasonality
Random variation

Question # 11 of 15 (Start time: 09:10:29 PM) Total Marks: 1
The total weight assigned to actual occurrences should be equal to:
Select correct option:

0
1
2
3

Question # 12 of 15 (Start time: 09:11:25 PM) Total Marks: 1
Time based strategies include:
Select correct option:

Planning and processing time
Product/service design and Change over time
Delivery and Response time
All of the above

Question # 13 of 15 (Start time: 09:12:33 PM) Total Marks: 1
Collaborative Planning, Forecasting, and Replenishment (CPFR) a Web based tool used to coordinate demand forecasting, _____ and inventory replenishment between supply chain trading partners.
Select correct option:

Production and purchase planning
Demand and supply planning
Quantitative forecasting
Demand management

Question # 14 of 15 (Start time: 09:12:53 PM) Total Marks: 1
Organizational strategies relate to which of the following sets of factors?
Select correct option:

Survival, profitability, growth rate and market share
Profitability, survival, lead times and target market
Quality, operating resources, growth rate and market share
Scheduling, profitability, lead times and survival

Question # 15 of 15 (Start time: 09:13:21 PM) Total Marks: 1

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Which one of the following is NOT a key external factor in formulating operations strategy?
Select correct option:

Economic conditions
Human resources
Political conditions
Legal environment

Question # 1 of 15 (Start time: 09:21:45 PM) Total Marks: 1
Which one of the followings appears to provide the best prospect for increases in productivity?
Select correct option:

Management
Raw materials
Labor
Capital

Question # 2 of 15 (Start time: 09:21:59 PM) Total Marks: 1
Which of the following statements is TURE about production system?
Select correct option:

A user of resources to transform inputs into some desired outputs
Enhancing value added services
Only desired output in the form of products or manufactured goods
Making efficient use of Internet technology

Question # 3 of 15 (Start time: 09:22:32 PM) Total Marks: 1
Time based strategies include:
Select correct option:

Planning and processing time
Product/service design and Change over time
Delivery and Response time
All of the above

Question # 4 of 15 (Start time: 09:22:41 PM) Total Marks: 1
Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?
Select correct option:

Functional design

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Production design
Service design
Product design

Question # 5 of 15 (Start time: 09:23:10 PM) Total Marks: 1
Overall broad picture of the organization is depicted by its _____ that provides detailed and broader scope.
Select correct option:

Operations strategy
Organizational strategy
Marketing strategy
Manufacturing units

Question # 6 of 15 (Start time: 09:23:20 PM) Total Marks: 1
Tools like Decision trees and Graphical sensitivity analysis are being used for what purpose?
Select correct option:

For the evaluation of the alternatives
For analyzing decision problems
For making optimistic decisions
Non of the above

Question # 7 of 15 (Start time: 09:23:31 PM) Total Marks: 1
Which one of the following strategies specifies how the firm will employ its production capabilities to support its corporate strategy?
Select correct option:

Tactical
Operations
Manufacturing
Production

Question # 8 of 15 (Start time: 09:24:03 PM) Total Marks: 1
Which one of the following formulae can be used to compute value?
Select correct option:

(Quality + Speed – Flexibility) / Cost
(Quality + Speed+ Flexibility) / Cost
(Quality + Speed - Cost) / Flexibility
(Quality + Speed+ Cost) / Flexibility

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Question # 9 of 15 (Start time: 09:25:28 PM) Total Marks: 1
Forecasts help managers by reducing the degree of:
Select correct option:

Accuracy
Precision
Uncertainty
Reliability

Question # 10 of 15 (Start time: 09:25:44 PM) Total Marks: 1
Organizational strategy is different from operations strategy because it is;
Select correct option:

Prepared by middle managers
Narrower in scope
Longer in time horizon
All of the above

Question # 11 of 15 (Start time: 09:25:53 PM) Total Marks: 1
Which of the following is not an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of Customer Contact

Question # 12 of 15 (Start time: 09:26:04 PM) Total Marks: 1
Decision Tree is read from:
Select correct option:

Right to left
Left to right
Top to bottom
Bottom to top

Question # 13 of 15 (Start time: 09:27:20 PM) Total Marks: 1
Which of the following functions of an organization consists of all activities directly related to production of a good or service?
Select correct option:

Operations
Marketing

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Accounting
Finance

Question # 14 of 15 (Start time: 09:27:45 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 15 of 15 (Start time: 09:27:56 PM) Total Marks: 1
Techniques having numerical data include which of the following?
Select correct option:

Subjective inputs
Qualitative technique
Quantitative technique
Delphi method

Question # 1 of 15 (Start time: 09:32:11 PM) Total Marks: 1
As a manager, you have defined the purpose of the forecasts. What should be the next step in forecasting process?
Select correct option:

Collecting and analyzing the appropriate data
Determining the purpose of the forecast
Choosing a forecasting technique
Setting up a time horizon or a time limit

Question # 4 of 15 (Start time: 09:34:26 PM) Total Marks: 1
Which of the following statements describes an order-qualifier characteristic?
Select correct option:

A competitive dimension used to make final decision among competitors
A factor which directly and significantly contribute to winning business
A factor which increases the profitability of the organization
A factor perceived as a minimum standard as a potential for purchase

Question # 7 of 15 (Start time: 09:36:37 PM) Total Marks: 1
When using exponential smoothing how the smoothing constant can be determined?

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Select correct option:

With the help of the accuracy of the previous forecasts
By using MAD (Mean Absolute deviation)
By choosing to maximize positive bias
By using random variations

Question # 9 of 15 (Start time: 10:01:32 PM) Total Marks: 1
Which one of the following factors provides a basis for comparing alternative forecasting techniques?
Select correct option:

Time dimension
Reliability factor
Degree of accuracy
Measuring units

Question # 10 of 15 (Start time: 10:01:54 PM) Total Marks: 1
Robustness of a product is _____ related with the probability of failure.
Select correct option:

Directly
Inversely
Linearly
Positively

Question # 11 of 15 (Start time: 10:02:19 PM) Total Marks: 1
Suppose an operations manager is having a pessimistic approach of decision making under uncertain conditions. What approach he will follow for decision making?
Select correct option:

Maximin
Maximax
Laplace
Non of the above

Question # 12 of 15 (Start time: 10:03:23 PM) Total Marks: 1
The productivity measure output/ (labor + machine) will be named as:
Select correct option:

Partial measure
Multifactor measure
Total measure

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None of the above

Question # 13 of 15 (Start time: 10:03:53 PM) Total Marks: 1
The main constituents of the Quantitative methods of forecasting are?
Select correct option:

Sales force composite
Panel of executive opinion
Consumer market survey
Exponential smoothing

Question # 14 of 15 (Start time: 10:04:03 PM) Total Marks: 1
Strategy design process in initiated by:
Select correct option:

Corporate strategy
Needs of the customer
Operations Strategy
All of the above

Question # 15 of 15 (Start time: 10:04:18 PM) Total Marks: 1
Planning workforce requirements, scheduling of the equipment and financial analysis are the major uses of_____.
Select correct option:

Productivity ratios
Productivity Growth
Multifactor productivity
Operations strategy

Question # 1 of 15 (Start time: 10:06:41 PM) Total Marks: 1
All of the following are examples of transformation process EXCEPT:
Select correct option:

Cutting
Packing
Facilitating
Labeling

Question # 2 of 15 (Start time: 10:06:52 PM) Total Marks: 1
Which of the following forecasting technique is used when introducing new products, services, new features and new packaging?
Select correct option:

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Quantitative technique
Associative model
Focus group
Judgmental forecast

Question # 3 of 15 (Start time: 10:07:17 PM) Total Marks: 1
The forecasting model that attempts to predict the future value based on the past data is known as:
Select correct option:

Delphi Method
Time series Analysis
Associative Models
Naïve Forecasting

Question # 4 of 15 (Start time: 10:07:35 PM) Total Marks: 1
Which method of forecasting is the most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 5 of 15 (Start time: 10:08:07 PM) Total Marks: 1
In exponential smoothing model, a denotes:
Select correct option:

Smoothing constant
Previous forecast
Forecast error
Actual forecast

Question # 6 of 15 (Start time: 10:08:33 PM) Total Marks: 1
In operations management the time required to react appropriately to a competitor's strategies or technology up gradation is called:
Select correct option:

Processing time
Changeover time
Response Time
Planning time

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Question # 7 of 15 (Start time: 10:08:53 PM) Total Marks: 1
The subjective inputs obtained from sources such as consumer surveys, sales staff, managers and executives are the classification of _____ forecast.
Select correct option:

Judgmental
Time series
Associate models
Naive

Question # 8 of 15 (Start time: 10:09:15 PM) Total Marks: 1
Which ONE of the following forms a bridge between two islands of Engineering and Management?
Select correct option:

Production Engineering
Operations Management
Industrial Management
Operations Engineering

Question # 9 of 15 (Start time: 10:09:30 PM) Total Marks: 1
Which one of the following is the most significant disadvantage of standardization?
Select correct option:

Frozen designs
Interchangeable parts
Reduced variety
Customized parts

Question # 10 of 15 (Start time: 10:10:42 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 11 of 15 (Start time: 10:10:52 PM) Total Marks: 1
Which one of the following forms of productivity has units of output per dollar input?
Select correct option:

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Capital
Energy
Labor
Machine

Question # 12 of 15 (Start time: 10:11:03 PM) Total Marks: 1
How organizations assure that the designed strategy is giving the required output or results?
Select correct option:

Increase in demand of the product
By measuring the productivity
Environmental scanning
Raw materials are effectively used

Question # 13 of 15 (Start time: 10:11:13 PM) Total Marks: 1
Materials, land, energy and human and capital resources are the examples of:
Select correct option:

Inputs
Transformation
Outputs
Productivity

Question # 14 of 15 (Start time: 10:12:29 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 15 of 15 (Start time: 10:12:39 PM) Total Marks: 1
Services differ from manufacturing in all the following ways EXCEPT:
Select correct option:

Customers typically interact directly with the service delivery process
Consumption and production take place simultaneously.
Services are intangible.
Services can be stored.

Question # 1 of 15 (Start time: 10:37:24 PM) Total Marks: 1

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In exponential smoothing model, a denotes:
Select correct option:

Smoothing constant
Previous forecast
Forecast error
Actual forecast

Question # 2 of 15 (Start time: 10:37:39 PM) Total Marks: 1
_____ allows the managers to anticipate the future so that they can plan accordingly.
Select correct option:

Planning
Controlling
Forecasting
Organizing

Question # 3 of 15 (Start time: 10:38:33 PM) Total Marks: 1
Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?
Select correct option:

Functional design
Production design
Service design
Product design

Question # 4 of 15 (Start time: 10:38:48 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 5 of 15 (Start time: 10:38:59 PM) Total Marks: 1
In decision making theory the next step after implementing the best possible alternative is to:
Select correct option:

Develop Alternatives
Develop results

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Monitor the results
Implementation

Question # 6 of 15 (Start time: 10:40:27 PM) Total Marks: 1
As a manager, you have defined the purpose of the forecasts. What should be the next step in forecasting process?
Select correct option:

Choose a forecasting technique.
Determine the purpose of the forecast.
Set up a time horizon or a time limit
Collect and analyze the appropriate data.

Question # 7 of 15 (Start time: 10:41:22 PM) Total Marks: 1
Increases in productivity are difficult to achieve if one of the following situation occurs
Select correct option:

The task is more intellectual and personal
The task is more quantitative and repetitive
The task is more physical and tangible
The task is more good-producing and standardized

Question # 8 of 15 (Start time: 10:41:34 PM) Total Marks: 1
_____ means that the relevant parameters such as cost, capacity and demand have known values.
Select correct option:

Risk
Certainty
Uncertainty
None of above

Question # 9 of 15 (Start time: 10:41:48 PM) Total Marks: 1
Organization whether manufacturing product or delivering a service are made to operate in three dimensions that are:
Select correct option:

Legal, Ethical, and Environmental
Legal, Environmental, Social
Legal, Ethical, Social
Ethical, Environmental, Social

Question # 10 of 15 (Start time: 10:42:04 PM) Total Marks: 1

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The systematic processing of data to yield information is a part of _____.
Select correct option:

Management science
Information sciences
Industrial engineering
Scientific management

Question # 11 of 15 (Start time: 10:42:18 PM) Total Marks: 1
Which ONE of the following forms a bridge between two islands of Engineering and Management?
Select correct option:

Production Engineering
Operations Management
Industrial Management
Operations Engineering

Question # 12 of 15 (Start time: 10:42:30 PM) Total Marks: 1
Which of the following functions of an organization consists of all activities directly related to production of a good or service?
Select correct option:

Operations
Marketing
Accounting
Finance

Question # 13 of 15 (Start time: 10:42:54 PM) Total Marks: 1
Which one of the following is a productivity measure based on all inputs?
Select correct option:

Capital productivity
Multifactor productivity
Partial productivity
Total productivity

Question # 14 of 15 (Start time: 10:44:18 PM) Total Marks: 1
Forecasting accuracy has_____ relation with time horizon.
Select correct option:

Inverse
Linear

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Direct
Parallel

Question # 15 of 15 (Start time: 10:45:13 PM) Total Marks: 1
Completion of any operations depends upon the slowest process in the assembly line. What operations managers need to do in order to be successful?
Select correct option:

Target and eliminate bottlenecks
Identify the bottlenecks
Make slowest process more slow
Non of the above

Question # 1 of 15 (Start time: 10:49:02 PM) Total Marks: 1
With regard to a regression-based forecast, the standard error of the estimate gives a measure of:
Select correct option:

Required time to derive the forecast equation
Validation time period of the forecast
The maximum error of the forecast
Variability around the regression line

Question # 2 of 15 (Start time: 10:49:22 PM) Total Marks: 1
Which one of the following is the overall objective of product and service design?
Select correct option:

Customer satisfaction and variety
Reliability and variety
Quality and reliability
Customer satisfaction and profitability

Question # 3 of 15 (Start time: 10:49:33 PM) Total Marks: 1
Which ONE of the following statement correctly explains the difference between operations management (OM) and operations research (OR)?
Select correct option:

OM relies on mathematical modeling and OR focus on practical scenarios.
OM is more powerful to improve the whole system OR relies on mathematical modeling.
OM is relies on practical scenarios and Or relies on Mathematical modeling.
OM relies on mathematical modeling and OR is considered to be one of the critical tools of mangers.

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Question # 4 of 15 (Start time: 10:49:50 PM) Total Marks: 1
Which one of the following management functions is based on forecasting?
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 5 of 15 (Start time: 10:50:17 PM) Total Marks: 1
Productivity ratios are used for planning workforce requirements, scheduling equipments and _____.
Select correct option:

Satisfying customers
Financial analysis
Management decisions
None of the above

Question # 6 of 15 (Start time: 10:50:31 PM) Total Marks: 1
Productivity ratios are used in;
Select correct option:

Planning work force requirements
Scheduling equipments
Financial analysis
All of the above

Question # 7 of 15 (Start time: 10:50:44 PM) Total Marks: 1
Which of the following statements corresponds to an order-winning characteristic?
Select correct option:

A factor which may be significant in other parts of the organization
A factor which gives an organization a competitive edge
A factor which serves as a minimum standard for purchase
A factor which increases the profitability of the organization

Question # 8 of 15 (Start time: 10:51:00 PM) Total Marks: 1
The major business functions consisting of research and development, product design, manufacturing, marketing, distribution, and customer service refer to:
Select correct option:

The transformation process

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Value chain
Life cycle
Quality control

Question # 9 of 15 (Start time: 10:52:27 PM) Total Marks: 1
Completion of any operations depends upon the slowest process in the assembly line. What operations managers need to do in order to be successful?
Select correct option:

Target and eliminate bottlenecks
Identify the bottlenecks
Make slowest process more slow
Non of the above

Question # 10 of 15 (Start time: 10:52:42 PM) Total Marks: 1
All of the following are examples of Qualitative forecasting except:
Select correct option:

Judgmental
Delphi Method
Consumer Survey
Naïve Forecasting

Question # 11 of 15 (Start time: 10:53:24 PM) Total Marks: 1
What are the ways to promote growth of any organization in terms of its output?
Select correct option:

Bring additional inputs into production
Increase productivity
Both A & B
Non of the above

Question # 12 of 15 (Start time: 10:54:15 PM) Total Marks: 1
Manufacturability is the ease of fabrication and/or assembly which is important for:
Select correct option:

Cost and Productivity
Productivity and Quality
Cost and Quality
Cost, productivity and Quality

Question # 13 of 15 (Start time: 10:54:57 PM) Total Marks: 1
For which of the following approaches, the forecast of any period equals the previous

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period's forecast?
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 14 of 15 (Start time: 10:55:22 PM) Total Marks: 1
Which of the following statement is NOT correct with respect to models in operations management?
Select correct option:

Models are easy to use, less expensive
Models have specific objectives
Models don't have the standardized format
Models enables "what if" questions

Question # 15 of 15 (Start time: 10:56:40 PM) Total Marks: 1
Operations based strategy involves all activities except;
Select correct option:

Supply chain management
Quick response to customer needs
Flexibility and inventory management
Identifying customer wants and needs

Question # 1 of 15 (Start time: 11:05:32 PM) Total Marks: 1
Organizations that produce something other than physical products are called:
Select correct option:

Cultural goods transformation
Data transfer groups
Transformation organizations
Service organizations

Question # 2 of 15 (Start time: 11:06:29 PM) Total Marks: 1
In exponential smoothing model, a denotes:
Select correct option:

Smoothing constant
Previous forecast
Forecast error

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Actual forecast

Question # 3 of 15 (Start time: 11:06:42 PM) Total Marks: 1
Which of the following is NOT an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of customer contact

Question # 4 of 15 (Start time: 11:06:53 PM) Total Marks: 1
Sequence of data points that are measured typically at successive times at regular time intervals is known as:
Select correct option:

Moving average
Weighted moving average
Time series
Forecasts

Question # 5 of 15 (Start time: 11:07:13 PM) Total Marks: 1
Strategy design process in initiated by:
Select correct option:

Corporate strategy
Needs of the customer
Operations Strategy
All of the above

Question # 6 of 15 (Start time: 11:07:25 PM) Total Marks: 1
The forecasting model that is based upon estimates of salesperson's expected sales is likely to be called _____.
Select correct option:

Delphi method
Sales force combination
Consumer market survey
Panel of executive opinion

Question # 7 of 15 (Start time: 11:08:48 PM) Total Marks: 1
For which of the following approaches, the forecast of any period equals the previous period's forecast?

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Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 8 of 15 (Start time: 11:09:13 PM) Total Marks: 1
Releasing products with defects should be informed to the customers. This statement comes under _____ frame work.
Select correct option:

Legal
Ethical
Environmental
None of the above

Question # 9 of 15 (Start time: 11:09:36 PM) Total Marks: 1
"What business are we in?" This statement will come under:
Select correct option:

Mission Statement
Goals
Tactics
Strategies

Question # 10 of 15 (Start time: 11:09:45 PM) Total Marks: 1
Which ONE of the following statement correctly explains the difference between operations management (OM) and operations research (OR)?
Select correct option:

OM relies on mathematical modeling and OR focus on practical scenarios.
OM is more powerful to improve the whole system OR relies on mathematical modeling.
OM is relies on practical scenarios and Or relies on Mathematical modeling.
OM relies on mathematical modeling and OR is considered to be one of the critical tools of mangers.

Question # 11 of 15 (Start time: 11:09:56 PM) Total Marks: 1
Productivity ratios are used for planning workforce requirements, scheduling equipments and _____.
Select correct option:

Satisfying customers

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Financial analysis
Management decisions
None of the above

Question # 12 of 15 (Start time: 11:10:08 PM) Total Marks: 1
As the size of the smoothing constant increases:
Select correct option:

More weight is put on historic demand data.
More weight is put on recent demand data.
The sensitivity of the model decreases.
The stability of the model increases.

Question # 13 of 15 (Start time: 11:10:23 PM) Total Marks: 1
The pioneers of transforming management to scientific domain are:
Select correct option:

Fredrick Taylor
Lillian and Frank Gilbreths
Henry Fayol
Both A & B

Question # 14 of 15 (Start time: 11:11:35 PM) Total Marks: 1
_____ allows the managers to anticipate the future so that they can plan accordingly.
Select correct option:

Planning
Controlling
Forecasting
Organizing

Question # 15 of 15 (Start time: 11:11:50 PM) Total Marks: 1
Which one of the following strategies specifies how the firm will employ its production capabilities to support its corporate strategy?
Select correct option:

Tactical
Operations
Manufacturing
Production

Question # 1 of 15 (Start time: 11:16:18 PM) Total Marks: 1
Which one of the following formulae can be used to compute value?

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Select correct option:

(Quality + Speed – Flexibility) / Cost
(Quality + Speed+ Flexibility) / Cost
(Quality + Speed - Cost) / Flexibility
(Quality + Speed+ Cost) / Flexibility

Question # 2 of 15 (Start time: 11:16:42 PM) Total Marks: 1
The companies that are competing on cost, their chance to gain the competitive advantage over their competitors is:
Select correct option:

Based on flexibility
Based on uniqueness of their products
Based on reliability of scheduling
Based upon low cost leadership

Question # 3 of 15 (Start time: 11:17:17 PM) Total Marks: 1
Which one of the following is the most significant disadvantage of standardization?
Select correct option:

Frozen designs
Interchangeable parts
Reduced variety
Customized parts

Question # 4 of 15 (Start time: 11:17:41 PM) Total Marks: 1
Sequence of data points that are measured typically at successive times at regular time intervals is known as:
Select correct option:

Moving average
Weighted moving average
Time series
Forecasts

Question # 5 of 15 (Start time: 11:17:53 PM) Total Marks: 1
Operations based strategy involves all activities except;
Select correct option:

Supply chain management
Quick response to customer needs
Flexibility and inventory management

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Identifying customer wants and needs

Question # 6 of 15 (Start time: 11:18:15 PM) Total Marks: 1
Which of the following statement correctly explains the role of operations management?
Select correct option:

Sustain the company's operation
Protect the company's operation
Project the company's operation
All of the above

Question # 7 of 15 (Start time: 11:18:26 PM) Total Marks: 1
_____is the bringing together of engineering design and manufacturing personnel early in the design phase.
Select correct option:

Reverse engineering
Concurrent engineering
Manufacturability
Serviceability

Question # 8 of 15 (Start time: 11:19:07 PM) Total Marks: 1
The subjective inputs obtained from sources such as consumer surveys, sales staff, managers and executives are the classification of _____ forecast.
Select correct option:

Judgmental
Time series
Associate models
Naive

Question # 9 of 15 (Start time: 11:19:31 PM) Total Marks: 1
Which method of forecasting is most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 10 of 15 (Start time: 11:20:55 PM) Total Marks: 1
In exponential smoothing model, a denotes:
Select correct option:

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Smoothing constant
Previous forecast
Forecast error
Actual forecast

Question # 11 of 15 (Start time: 11:21:16 PM) Total Marks: 1
Which of the following includes the quantitative methods of forecasting?
Select correct option:

Sales force composite
Exponential smoothing
Consumer market survey
Jury of executive opinion

Question # 12 of 15 (Start time: 11:21:35 PM) Total Marks: 1
A strategy that is narrower in scope and in more detail is:
Select correct option:

Organizational Strategy
Time and Quality Strategy
Operational Strategy
Manufacturing/Service Strategy

Question # 13 of 15 (Start time: 11:22:26 PM) Total Marks: 1
Those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase is called:
Select correct option:

Order Winners
Order Qualifiers
Order Takers
None of the above

Question # 14 of 15 (Start time: 11:23:26 PM) Total Marks: 1
Which of the following is the main source of a poor decision making by the managers?
Select correct option:

Failure to check their facts
Failure to plan for unexpected events
Failure to connect the problem to the overall strategy
All of the above

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Question # 15 of 15 (Start time: 11:24:03 PM) Total Marks: 1
What are the ways to promote growth of any organization in terms of its output?
Select correct option:

Bring additional inputs into production
Increase productivity
Both A & B
Non of the above

Question # 1 of 15 (Start time: 11:31:18 PM) Total Marks: 1
Which method of forecasting is most widely used?
Select correct option:

Regression analysis
Adaptive forecasting
Weighted moving average
Exponential smoothing

Question # 2 of 15 (Start time: 11:31:34 PM) Total Marks: 1
Which one of the following forecasts is quick and easy to prepare?
Select correct option:

Time series
Delphi
Naïve
Associative

Question # 3 of 15 (Start time: 11:32:01 PM) Total Marks: 1
Which of the following provide guidance and directions for carrying out operations?
Select correct option:

Tactics
Strategies
Policies
Mission

Question # 4 of 15 (Start time: 11:32:13 PM) Total Marks: 1
Which of the following includes the quantitative methods of forecasting?
Select correct option:

Sales force composite
Exponential smoothing
Consumer market survey

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Jury of executive opinion

Question # 5 of 15 (Start time: 11:32:27 PM) Total Marks: 1
Which one of the following factors makes a forecast LESS perfect?
Select correct option:

Randomness
Non serious attitude
Non availability of data
Un qualified personnel

Question # 6 of 15 (Start time: 11:32:52 PM) Total Marks: 1
Organizations that produce something other than physical products are called:
Select correct option:

Cultural goods transformation
Data transfer groups
Transformation organizations
Service organizations

Question # 7 of 15 (Start time: 11:33:05 PM) Total Marks: 1
Which of the following forecasting techniques induce personal bias in a forecast?
Select correct option:

Qualitative
Quantitative
Associative
Trend forecast

Question # 8 of 15 (Start time: 11:33:18 PM) Total Marks: 1
More routine purchasing, handling and inspection is an example of:
Select correct option:

Customization
Mass Customization
Standardization
None of the above

Question # 9 of 15 (Start time: 11:34:04 PM) Total Marks: 1
Which probability distribution is used most extensively in dealing with forecasting errors?
Select correct option:

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Normal
Exponential
Beta
Pareto

Question # 10 of 15 (Start time: 11:34:20 PM) Total Marks: 1
As the time horizon increases the accuracy of the forecast:
Select correct option:

Decreases
Increases
Is not affected with time horizon
None of the above

Question # 11 of 15 (Start time: 11:34:43 PM) Total Marks: 1
Which one of the following is not a step of decision process:
Select correct option:

Specify objectives
Determine the product of chance probabilities
Analyze and select alternative
Implement and monitor the result

Question # 12 of 15 (Start time: 11:35:08 PM) Total Marks: 1
Sequence of data points that are measured typically at successive times at regular time intervals is known as:
Select correct option:

Moving average
Weighted moving average
Time series
Forecasts

Question # 13 of 15 (Start time: 11:35:34 PM) Total Marks: 1
The method that uses explanatory variables to predict the future is known as:
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 14 of 15 (Start time: 11:35:45 PM) Total Marks: 1

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Tools like Decision trees and Graphical sensitivity analysis are being used for what purpose?
Select correct option:

For the evaluation of the alternatives
For analyzing decision problems
For making optimistic decisions
Non of the above

Question # 15 of 15 (Start time: 11:35:59 PM) Total Marks: 1
Which one of the following management functions is based on forecasting?
Select correct option:

Planning
Organizing
Leading
Controlling

Question # 1 of 15 (Start time: 11:39:38 PM) Total Marks: 1
Which of the following forecasting technique is used when introducing new products, services, new features and new packaging?
Select correct option:

Quantitative technique
Associative model
Focus group
Judgmental forecast

Question # 2 of 15 (Start time: 11:40:05 PM) Total Marks: 1
CBR stands for which one of the following?
Select correct option:

Commercial Board of Revenue
Central Board of Recycling
Central Board of Renovation
Central Board of Revenue

Question # 3 of 15 (Start time: 11:40:17 PM) Total Marks: 1
Which of the following is the main source of a poor decision making by the managers?
Select correct option:

Failure to check their facts
Failure to plan for unexpected events

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Failure to connect the problem to the overall strategy
All of the above

Question # 4 of 15 (Start time: 11:40:28 PM) Total Marks: 1
For which of the following approaches, the forecast of any period equals the previous period's forecast?
Select correct option:

Delphi method
Naïve forecast
Associative model
Judgmental forecast

Question # 5 of 15 (Start time: 11:40:49 PM) Total Marks: 1
Strategy design process in initiated by:
Select correct option:

Corporate strategy
Needs of the customer
Operations Strategy
All of the above

Question # 6 of 15 (Start time: 11:40:59 PM) Total Marks: 1
As the time horizon increases the accuracy of the forecast:
Select correct option:

Decreases
Increases
Is not affected with time horizon
None of the above

Question # 7 of 15 (Start time: 11:41:11 PM) Total Marks: 1
Which of the following is NOT an attribute to classify services?
Select correct option:

Tangibility
Perishability
Simultaneity
Degree of customer contact

Question # 8 of 15 (Start time: 11:41:22 PM) Total Marks: 1
Which one of the following correctly represents a set of time series forecats?
Select correct option:

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Averaging, cycle, seasonality, random variations
Trend, seasonality, exponential smoothing
Trend, cycle, seasonality, moving average
Trend, cycle, seasonality, random variations

Question # 9 of 15 (Start time: 11:41:35 PM) Total Marks: 1
Forecasts help managers by reducing the degree of:
Select correct option:

Accuracy
Precision
Uncertainty
Reliability

Question # 10 of 15 (Start time: 11:41:49 PM) Total Marks: 1
Which one of the following strategies specifies how the firm will employ its production capabilities to support its corporate strategy?
Select correct option:

Tactical
Operations
Manufacturing
Production

Question # 11 of 15 (Start time: 11:42:03 PM) Total Marks: 1
Which one of the following factors makes a forecast LESS perfect?
Select correct option:

Randomness
Non serious attitude
Non availability of data
Un qualified personnel

Question # 12 of 15 (Start time: 11:42:14 PM) Total Marks: 1
The major business functions consisting of research and development, product design, manufacturing, marketing, distribution, and customer service refer to:
Select correct option:

The transformation process
Value chain
Life cycle
Quality control

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Question # 13 of 15 (Start time: 11:42:27 PM) Total Marks: 1
The concept of Agile organization refers to:
Select correct option:

Flexibility
Quality
Quick Response
Profitability

Question # 14 of 15 (Start time: 11:43:46 PM) Total Marks: 1
_____ allows the managers to anticipate the future so that they can plan accordingly.
Select correct option:

Planning
Controlling
Forecasting
Organizing

Question # 15 of 15 (Start time: 11:43:58 PM) Total Marks: 1
Which one of the following is an implication of laplace approach of decision making?
Select correct option:

The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets

Question # 1 of 15 (Start time: 11:47:35 PM) Total Marks: 1
Which one of the following is NOT the input in the transformation process?
Select correct option:

Informations
Services
Facilities
Materials

Question # 2 of 15 (Start time: 11:47:41 PM) Total Marks: 1
Which one of the following is the final stage of product life cycle?
Select correct option:

Growth
Decline

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Maturity
Planning

Question # 3 of 15 (Start time: 11:47:46 PM) Total Marks: 1
Which one of the following factors provides a basis for comparing alternative forecasting techniques?
Select correct option:

Time dimension
Reliability factor
Degree of accuracy
Measuring units

Question # 4 of 15 (Start time: 11:47:54 PM) Total Marks: 1
Organizations that produce something other than physical products are called:
Select correct option:

Cultural goods transformation
Data transfer groups
Transformation organizations
Service organizations

Question # 5 of 15 (Start time: 11:48:17 PM) Total Marks: 1
Patterns of time series that repeat themselves after a period of days or weeks are called:
Select correct option:

Seasonality
Random variation
Cycles
Trends

Question # 6 of 15 (Start time: 11:48:25 PM) Total Marks: 1
In forecasting, planning the use of system relates to the _____ plans.
Select correct option:

Long term
Short term
Both long and short term
None of the above

Question # 7 of 15 (Start time: 11:48:32 PM) Total Marks: 1
Operational strategies mostly function on two dimensions that are:
Select correct option:

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Quality management and Service/Manufacturing Strategy
Quality and Operation Management
Service/Manufacturing Strategy and Functional Management
Operation and Functional Management

Question # 8 of 15 (Start time: 11:48:50 PM) Total Marks: 1
Which of the following is a technique for fitting a line to a set of points?
Select correct option:

Regression
Trend
Cycle
Moving average

Question # 9 of 15 (Start time: 11:48:56 PM) Total Marks: 1
All of the following are steps in forecasting process EXCEPT:
Select correct option:

Determine the purpose of the forecast
Establish a time horizon
Assigning weights to the criteria
Monitor the forecast

Question # 10 of 15 (Start time: 11:50:20 PM) Total Marks: 1
More routine purchasing, handling and inspection is an example of:
Select correct option:

Customization
Mass Customization
Standardization
None of the above

Question # 11 of 15 (Start time: 11:50:27 PM) Total Marks: 1
As the size of the smoothing constant increases:
Select correct option:

More weight is put on historic demand data.
More weight is put on recent demand data.
The sensitivity of the model decreases.
The stability of the model increases.

Question # 12 of 15 (Start time: 11:50:35 PM) Total Marks: 1

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Which one of the followings appears to provide the best prospect for increases in productivity?
Select correct option:

Management
Raw materials
Labor
Capital

Question # 13 of 15 (Start time: 11:50:41 PM) Total Marks: 1
Following are all examples of distinctive competencies EXCEPT;
Select correct option:

Price
Quality
Planning
Flexibility

Question # 14 of 15 (Start time: 11:50:58 PM) Total Marks: 1
Releasing products with defects should be informed to the customers. This statement comes under _____ frame work.
Select correct option:

Legal
Ethical
Environmental
None of the above

Question # 15 of 15 (Start time: 11:51:06 PM) Total Marks: 1
Which one of the following is a productivity measure based on all inputs?
Select correct option:

Capital productivity
Multifactor productivity
Partial productivity
Total productivity

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MGT613 MID TERM 16 PAPERS

Solved by

Asam Saeed Fariha Maqool Anam Asalm

Chanda Rehman and Kamran Haider

Paper 1

MIDTERM EXAMINATION

Spring 2009

MGT613- Production / Operations Management (Session - 1)

Question No: 1 (Marks: 1) - Please choose one

Which ONE of the following statements correctly explains the role of operation's manager?

To coordinate the activities between marketing and finance department

To sustain, protect and project the company's long term strategies

To develop organizational strategy that reflects the operational strategy

To sustain, protect and project the company's operation/production side

. **(page 1)Whether profit or non profit, the role of an OPERATIONS MANAGER is to sustain, protect, and project the company's operations side.**

Question No: 2 (Marks: 1) - Please choose one

What would be the productivity if a machine produced 50 units in 3 hours?

0.066 units per hr

16.66 units per hr

6.766 units per hr

60.66 units per hr

50 /3 = 16.66

Question No: 3 (Marks: 1) - Please choose one

Operations manager is responsible for all of the following EXCEPT:

Forecasting

Capacity planning

Inventory management

Distributing organizations' goods

Operations Managers job responsibility includes but is not limited to☹ (page 3)

Ø Forecasting

Ø Capacity planning

Ø Scheduling

Inventory Management

Ø Quality Assurance and Control

Ø Motivating employees

Ø Deciding where to locate facilities

Question No: 4 (Marks: 1) - Please choose one

Which one of the following formulae can be used to compute value?

(Quality + Speed – Flexibility) / Cost

(Quality + Speed+ Flexibility) / Cost

(Quality + Speed - Cost) / Flexibility

(Quality + Speed+ Cost) / Flexibility

Question No: 5 (Marks: 1) - Please choose one

Which one the following formula or function can be used to measure the performance?

Flexibility + profit+ operations

Work + profit + value

Quality + speed + flexibility

Profit + Incentives + standards

Question No: 6 (Marks: 1) – Please choose one

Organizational strategies relate to which of the following sets of factors?

Survival, profitability, growth rate and market share

Profitability, survival, leads times and target market

Quality, operating resources, growth rate and market share

Scheduling, profitability, lead times and survival

(page 43)http://highered.mcgraw-hill.com/sites/dl/free/0072443901/21708/ste43901_ch02qxd.pdf

Question No: 7 (Marks: 1) - Please choose one

Which of the following statements corresponds to an order-winning characteristic?

A factor which may be significant in other parts of the organization

A factor which gives an organization a competitive edge

A factor which serves as a minimum standard for purchase

A factor which increases the profitability of the organization

(Handout page 15)order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitors services

Order winners are the criteria that differentiate the products and services of the firm from others'. These are the characteristics of an organization's goods or services that cause it to be perceived as better than competitors' products

Question No: 8 (Marks: 1) - Please choose one

To make operations strategy effective it should be:

Independent of the organization's strategy

Consistent with the organization's strategy

Developed by a first line manager

Independent of time dimension

·Operations strategy – The approach, consistent with organization strategy that is used to guide the operations function page#14

Question No: 9 (Marks: 1) - Please choose one

Which one of the following correctly explains the elements of a good forecast?

Timely, having a purpose, accurate, written, reliable, meaningful

Timely, accurate, judgmental, correctness, verbal, simple to use

Timely, accurate, reliable, meaningful, written, simple to use

Timely, accurate, reliable, consistent, meaningful, written, simple to use

(Handout Page 34) •Timely, •Reliable, •Accuracy, Meaningful Forecast, Written/Documented, Simple to understand and use

Question No: 10 (Marks: 1) - Please choose one

Which one of the following correctly explains the qualitative forecasting technique?

It consists mainly of numerical descriptions and defies subjective inputs of managers.
It consists mainly of subjective inputs and defies particular numerical descriptions.
It consists mainly of subjective inputs and defies human factor, personal opinions.
It consists mainly of analyzing objective and hard data and defies human factor, opinion.

(page 34)Qualitative Techniques which use subjective inputs and no numerical data. It relies solely on soft information like human factors, personal opinion, hunches. Thus Qualitative Forecasts are often biased and tilted towards what the management wants to predict.

Question No: 11 (Marks: 1) - Please choose one

Which one of the following correctly explains the quantitative forecasting technique?

It consists mainly of numerical descriptions and resists subjective inputs of managers.

It consists mainly of subjective inputs and resists particular numerical descriptions.

It consists mainly of subjective inputs and resist human factor, personal opinions.

It consists mainly of analyzing objective and hard data and resist human factor, opinion.

http://www.referenceforbusiness.com/management/Ex-Gov/Forecasting.html

Question No: 12 (Marks: 1) - Please choose one

Which one of the following forecasting techniques uses explanatory variables to predict future demand?

Associative forecast

Time series forecast

Consumer survey

Executive opinion

(page 35)Associative models - uses explanatory variables to predict the future for example demand for a small car may be dependant upon increase in price of petrol or CNG. The analysis in this case would employ a mathematical model that would relate the predicted variable with the predictor variable or variables.

Question No: 13 (Marks: 1) - Please choose one

Given the table:

Alternatives Possible future demand

	Low (Rs.)	High (Rs.)
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct payoff under MAXIMAX approach?

Rs. 10,000

Rs. 18,000

Rs. 20,000

Rs. 32,000

(reference) Example

The maximax criterion (an optimistic approach):

1. **For each option, find the maximum payoff**
2. **Choose the option with the greatest maximum payoff**

Investment Choice (Alternatives)	**Profit in $1,000's (States of Nature)**		
	Strong Economy	**Stable Economy**	**Weak Economy**
Large factory	**200**	**50**	**-120**
Average factory	**90**	**120**	**-30**
Small factory	**40**	**30**	**20**
Maximum profit large factory	**200**		
Maximum profit			

average factory	**120**		
Maximum profit small factory	**40**		

Greatest maximum is to chosen large factory

Question No: 14 (Marks: 1) - Please choose one

Which one of the following is a limitation of a moving average having a trend?

The forecast lags behind the actual

The forecast represents demand more accurately

The forecast will not be accurate

The forecast will not be reliable

http://www.tradertech.com/fast_break.asp

However, traditional moving averages have one very serious deficiency. They are a 'lagging' technical indicator. This means that moving averages, due to their mathematical construction (averaging prices over a number of prior periods) tend to lag behind the current market price.

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is an index used to measure actual output relative to design capacity?

Utilization

Efficiency

Effective capacity

Effectiveness

(Handout page 66) Efficiency and Utilization Example

Question No: 16 (Marks: 1) - Please choose one

Which one of the following mathematical expressions is used to compute utilization?

Actual output / effective capacity

Actual output / design capacity

Actual output + effective capacity

Actual output - design capacity

(Handout page 66) Efficiency and Utilization Example

Question No: 17 (Marks: 1) - Please choose one

Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

Introduction

Growth

Maturity (not sure)

Decline

Question No: 18 (Marks: 1) - Please choose one

Which one of the following statement is TRUE about cost-volume relationship?

It represents the relationship between cost, revenue and volume of output.

It represents the relationship between cost and volume of output.

It represents the relationship between cost and revenue.

It represents the relationship between inputs, cost and volume of output.

(handout page 73)Cost Volume Relationship focuses on relationships between costs, revenue and volume of output

Question No: 19 (Marks: 1) - Please choose one

Which one of the following formulae can be used to compute break even point?

Q = VC / (R - VC)

Q = FC / (R - VC)

Q = VC / (R + FC)

Q = FC / (R + VC)

Question No: 20 (Marks: 1) - Please choose one

Which one of the following is a characteristic of continuous process?

High lead times

Short process times

The ability to handle high variety

The ability to handle high volumes

(Q#11)http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144864.cw/index.html

Question No: 21 (Marks: 1) - Please choose one

Which of the following refers the way an organization chooses to produce its good or services?

Process selection

Process reengineering

Process redesign

Process design

(page 77). Process Selection refers to the way an organization chooses to produce its good or services

Question No: 22 (Marks: 1) - Please choose one

Which one of the following best describes the cellular layout?

It groups machines into departments according to their function.

It groups machines into small assembly lines that produce families of parts.

It allows production of larger lots by reducing set-up time.

It encourages the use of large, efficient machinery.

(Q#3)http://cwx.prenhall.com/bookbind/pubbooks/russell/chapter7/multiple1/deluxe-content.html
(page 83)Cellular Production
– Layout in which machines are grouped into a cell that can process items that have similar processing requirements.
Group Technology
- **– The grouping into part families of items with similar design or manufacturing characteristics.**

Question No: 23 (Marks: 1) - Please choose one

Which one of the following statements is NOT correct about cycle time?

It represents daily operating time divided by desired production

It is the maximum allowable time at each work station

It determines the time often items take to roll off in assembly line

It is the time required to complete a product from start to finish

(Question 2)http://www.cbpa.ewu.edu/~pnemetzmills/OMch5/pracanswers.html

Question No: 24 (Marks: 1) - Please choose one

Which of the following layout types is associated with a supermarket?

Fixed position layout

Process layout

Product layout

Cellular layout

(Q#2)http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144918.cw/index.html

Question No: 25 (Marks: 1) - Please choose one

What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?

0.03 minutes

1.8 minutes

2700 minutes

291 minutes

Question No: 26 (Marks: 1) - Please choose one

Which one of the following defines the range of the smoothing constant (Alpha)?

2 and -2

1 and -1

0 and -1

0 and 1

(page 15-6)http://books.google.com.pk/books?id=MsQKG4Cu3xwC&pg=SA15-PA6&dq=range+of+the+smoothing+constant+%28Alpha%29?++++++0+and+1&hl=en&ei=19JzTevyHY-64Qbhg6GDDQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDAQ6AEwAg#v=onepage&q=smoothing%20constant%2C%20a%2C%20lies%20between%200%20and%201%2C&f=false

Question No: 27 (Marks: 1) - Please choose one

Which of the following takes into consideration the design of aesthetics of the product?

Functional design

Production design

Service design

Product design

(reference 1st (http://www.acrwebsite.org/volumes/display.asp?id=7824

Product design (i.e., industrial design) is perhaps most associated with aesthetic considerations (Bel Geddes 1934, pp. 222-241)

http://books.google.com.pk/books?id=CFlyglsIINYC&pg=PA40&dq=design+of+aesthetics+of+the+product&hl=en&ei=gdZzTaWSNM6O4gb8pc3JDQ&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDkQ6AEwAw#v=onepage&q=ROLE%20OF%20AESTHETICS%20IN%20PRODUCT%20DESIGN%20Considering%20the%20importance%20of%20aesthetics&f=false

Question No: 28 (Marks: 1) - Please choose one

Which one of the following refers to using some of the components of old products in the

manufacturing of new products?

Manufacturability

Remanufacturing

Robust design

Automation

(Handout page 51) Design for Remanufacturing: Using some of the components of the old products in the manufacture of new products.

Question No: 29 (Marks: 1) - Please choose one

Which one of the following mathematical expressions can be used to compute availability?

(MTBF)/ (MTBF+MTR)

(MTBF)/ (MTBF-MTR)

(MTR)/ (MTBF+MTR)

(MTR)/ (MTBF-MTR)

(page 63)Availability = (MTBF)/(MTBF + MTR)

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is correct about the range of availability on a measuring index?

0.1 to 1.0

0 to 1.0

0.5 to 1.0

0.01 to 1.0

(page23)http://books.google.com/books?id=818wT_TGJgAC&pg=PA23&dq=range+of+availability+on+a+measuring+index&hl=en&ei=BcmMTbzCFdDirAfIprTQDQ&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDoQ6AEwAw#v=onepage&q&f=false

Question No: 31 (Marks: 1) - Please choose one

What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?

6.02

2.0

0.99

0.006

we represent mean time between failures by MTBF and mean time to repair by MTR

Availability = (MTBF)/(MTBF + MTR)

= 300/ 300+2

= 0.99

Question No: 32 (Marks: 1) - Please choose one

Which one of the following operating levels is best with respect to capacity?

The maximum point of the cost curve

The level of capacity for which average unit cost is minimized

The level of capacity for which average unit cost is maximized

The level of capacity for which total cost is minimized

(page463)http://books.google.com.pk/books?id=kNRkTmMCXDsC&pg=PA463&lpg=PA463&dq=The+level+of+capacity+for+which+average+unit+cost+is+minimized&source=bl&ots=mpafxu7HT9&sig=_yoCzNASj3gkyoRU0465QpSnOMw&hl=en&ei=Q91zTeinKMbxrQegneXTAQ&sa=X&oi=book_result&ct=result&resnum=2&ved=0CB4Q6AEwAQ#v=onepage&q=The%20level%20of%20capacity%20for%20which%20average%20unit%20cost%20is%20minimized&f=false

Question No: 33 (Marks: 1) - Please choose one

Which one of the following is the goal of work sampling?

Individual human motions that are used in a job task

Determining the length of time it will take to undertake a particular task

Determining the amount of time a worker spends on various activities

Specifying the content and methods to perform a job

(page300)http://books.google.com.pk/books?id=B1DLXuts73cC&pg=PA300&dq=goal+of+work+sampling&hl=en&ei=Qd9zTf_zKMLKrAefmYjTCg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CC8Q6AEwAA#v=onepage&q=goal%20of%20work%20sampling&f=false

Question No: 34 (Marks: 1) - Please choose one

The advantages of specialization to management include all of the following EXCEPT:

Rapid training of the workforce

Ease in recruiting new workers

Fewer turnovers

Less boredom for workers

(Q#5)http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html

Question No: 35 (Marks: 1) - Please choose one

The disadvantages of specialization to management include all of the following EXCEPT:

More absenteeism

Minimum responsibility

More difficult to teach the job

(Q#6)http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is NOT a business application of forecasting?

Budgeting

Capacity planning

Inventory management

Quality control

(page 31)·Forecasting in business forms the basis for budgeting and planning for capacity, sales, production, inventory, manpower, purchasing and more

Question No: 37 (Marks: 1) - Please choose one

Services differ from manufacturing in all the following ways EXCEPT:

Customers typically interact directly with the service delivery process.

Consumption and production take place simultaneously.

Services are intangible.

Services can be stored.

Question No: 38 (Marks: 1) - Please choose one

All of the following are examples of the transformation process EXCEPT:

Cutting

Packing

Facilitating

Labeling (not sure)

Question No: 39 (Marks: 1) - Please choose one

Which one of the following represents the series of a time forecast?

Averaging, cycle, seasonality, random variations

Trend, seasonality, exponential smoothing

Trend, cycle, seasonality, moving average

Trend, cycle, seasonality, random variations

(handout page 37) *T rend, S easonality,* C ycle, *I rregular variations, R andom variations*

http://books.google.com/books?id=8JM6wU_sBc0C&pg=PA144&dq=Which+one+of+the+following+represents+the+series+of+a+time+forecast?++++++++++++++Averaging,+cycle,+seasonality,+random+variations++++++++++++Trend,+seasonality,+exponential+smoothing++++++++++++Trend,+cycle,+seasonality,+moving+average++++++++++++Trend,+cycle,+seasonality,+random+variations&hl=en&ei=duRzTcu4DJGIrAfkloTSCg&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDYQ6AEwAw#v=onepage&q&f=false

Question No: 40 (Marks: 1) - Please choose one

Which of the following is a characteristic of linear regression?

It is superior to a moving average

It is a causal forecasting model

It compensates for both trend and seasonal variations in demand

It is superior to an exponential smoothing

(Q#5)http://cwx.prenhall.com/bookbind/pubbooks/russell/chapter10/multiple1/deluxe-content.html

Paper 2

MIDTERM EXAMINATION

Spring 2009

MGT613- Production / Operations Management (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Who developed the use of standardization in large-scale mass production using a moving assembly line?

- Frederick Winslow Taylor
- Frank Gilbreth
- Adam Smith
- **Henry Ford**

(Q#5)http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter1/multiple_choice_quiz.html

Question No: 2 (Marks: 1) - Please choose one

Within the operations function, which one of the following is a long-term management decision?

- Control decision
- Non-operational decision
- **Strategic decision**
- Tactical decision

(page 87) http://books.google.com/books?id=HGVuSNG-xQ0C&pg=PA87&dq=Within+the+operations+function,+which+one+of+the+following+is+a+long-term+management+decision?+%E2%96%BAControl+decision+%E2%96%BANon-operational+decision+%E2%96%BAStrategic+decision+%E2%96%BATactical+decision&hl=en&ei=4Q1yTeHdB4XyrQfH6ZXSCg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q&f=false

Question No: 3 (Marks: 1) - Please choose one

Which one of the following forms of productivity has units of output per shift?

- Capital
- Energy
- **Labor**
- Machine

Labor Productivity
Units of output per labor hour
Units of output per shift
Value-added per labor hour

Question No: 4 (Marks: 1) - Please choose one

Which one of the following forms of productivity has units of output per dollar input?

- **Capital**
- Energy
- Labor
- Machine

Capital Productivity Units of output per Rs. Input Dollar value of output per Rs. input

Question No: 5 (Marks: 1) - Please choose one

Operations manager is responsible for all of the following EXCEPT:

- Forecasting
- Capacity planning
- Inventory management
- **Distributing organizations' goods**

Operations Managers job responsibility includes but is not limited to☹ (page 3)

Ø Forecasting

Ø Capacity planning

Ø Scheduling

Inventory Management

Ø Quality Assurance and Control

Ø Motivating employees

Ø Deciding where to locate facilities

Question No: 6 (Marks: 1) - Please choose one

Which of the following is NOT usually considered a general characteristic of a service?

- Production and sales cannot easily be separated functionally
- Many services involve both tangible and intangible outputs
- **Production and consumption can always be separated**
- Degree of customer contact is high

(Q#6)http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html

Question No: 7 (Marks: 1) - Please choose one

Which of the following is NOT a decision to be made by operations managers?

- How much capacity is required to balance demand?
- What should be the location and layout of a facility?
- How to improve operational efficiency?
- **Which market areas to manufacture the products for?**

Q#8http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html

Question No: 8 (Marks: 1) - Please choose one

A business process is a logical set of tasks or activities that:

- Are specific to the operations function
- Are specific to the marketing function
- **Are interdependent with other processes**
- Have exactly the same performance measures for any process

http://www.martymodell.com/pgsa2/pgsa13.html

A process is a sequence of related activities, or may be a sequence of related tasks which make up an activity. These activities or tasks are usually interdependent, and there is a well-defined flow from one activity to another or from one task to another.

Question No: 9 (Marks: 1) - Please choose one

Which one of the following formulae can be used to compute value?

- (Quality + Speed – Flexibility) / Cost
- **(Quality + Speed+ Flexibility) / Cost**
- (Quality + Speed - Cost) / Flexibility
- (Quality + Speed+ Cost) / Flexibility

Question No: 10 (Marks: 1) - Please choose one

Which of the following refers to the essential elements of operations strategy?

- Policies, tactics and objectives
- Plans, strategies and vision
- **Mission, goals and plans**
- Mission, policies and distinctive competencies

(page31)http://books.google.com/books?id=sW1FhvAHIWwC&pg=PA31&dq=Mission,+goals+and+plans+is+operation+strategy&hl=en&ei=AeSMTdv-J8HOrQfP2vnqDQ&sa=X&oi=book_result&ct=result&resnum=10&ved=0CGAQ6AEwCQ#v=onepage&q=Mission%2C%20goals%20and%20plans%20is%20operation%20strategy&f=false

Question No: 11 (Marks: 1) - Please choose one

Which one of the following correctly explains the qualitative forecasting technique?

- It consists mainly of numerical descriptions and defies subjective inputs of managers.
- It consists mainly of subjective inputs and defies particular numerical descriptions.
- **It consists mainly of subjective inputs and defies human factor, personal opinions.**
- It consists mainly of analyzing objective and hard data and defies human factor, opinion.

Qualitative Techniques which use subjective inputs and no numerical data. It relies solely on soft information like human factors, personal opinion, hunches. Thus Qualitative Forecasts are often biased and tilted towards what the management wants to predict

Question No: 12 (Marks: 1) - Please choose one

Which of the following approaches favors adopting a "go for it" strategy?

- Maximin
- **Maximax**
- Minimax regret
- Laplace

Maximax(page 26)

- **Maximax determines**
- **the best possible outcome**
- **Choose the Alternative with the best possible payoff.**
- **It does not take into account any other alternative then the best payoff.**
- **An optimistic approach.**
- **Go for it strategy.**

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is an outcome of Maximax?

- The best of the worst possible payoff
- **The best possible payoff**
- The best average payoff
- The least of the worst regrets

Maximax(page 26)

- **Maximax determines**
- **the best possible outcome**
- **Choose the Alternative with the best possible payoff.**
- **It does not take into account any other alternative then the best payoff.**
- **An optimistic approach.**
- **Go for it strategy**

Question No: 14 (Marks: 1) - Please choose one

Which one of the following is a limitation of a moving average having a trend?

- **The forecast lags behind the actual**
- The forecast represents demand more accurately
- The forecast will not be accurate
- The forecast will not be reliable

Ref:

However, traditional moving averages have one very serious deficiency. They are a 'lagging' technical indicator. This means that moving averages, due to their mathematical construction (averaging prices over a number of prior periods) tend to lag behind the current market price.

http://www.tradertech.com/fast_break.asp

Question No: 15 (Marks: 1) - Please choose one

Which of the following is a technique that averages a number of recent actual values that are updated as new values become available?

- **Simple moving average**
- Delphi method
- Trend adjusted forecast
- Naïve forecast

***(Handout page 37)Moving average* – A technique that averages a number of recent actual values, updated as new values become available.**

Question No: 16 (Marks: 1) - Please choose one

A workers strike represents which of the following behaviors of a time series?

- Cycle
- Trend
- Seasonality

- **Irregular variations**

(page 37)Irregular variations **- caused by unusual circumstances such as severe weathers, earthquakes, worker strikes, or major change in product or service. They do not capture or reflect the true behavior of a variable and can distort the overall picture. These should be identified and removed from the data.**

Question No: 17 (Marks: 1) - Please choose one

Which one of the following is called as the difference between designed and utilized capacity?

- **Design capacity (not sure)**
- Effective capacity
- Buffer capacity
- Utilization rate

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is an index used to measure actual output relative to design capacity?

- **Utilization**
- Efficiency
- Effective capacity
- Effectiveness

(Handout page 66) Efficiency and Utilization Example

Question No: 19 (Marks: 1) - Please choose one

The formula for determining the required cycle time is operation time per day divided by:

- Sum of task times
- Actual output per day (in units)
- Number of workstation
- **Desired output (in units)**

(Handout page 85) cycle time = OT/ D

Question No: 20 (Marks: 1) - Please choose one

Which one of the following layout type is associated with a restaurant?

- Fixed position layout
- Process layout
- Product layout
- **Hybrid layout**

(page111)http://books.google.com/books?id=sWtlOeC-3pEC&pg=PA111&lpg=PA111&dq=following+layout+type+is+associated+with+a+restaurant?+++%09Fixed+position+layout++%09Process+layout++%09Product+layout++%09Hybrid+layout&source=bl&ots=sKhwhoT_jf&sig=QT8hpUDBj8MAKX_WQYluvYvcPy4&hl=en&ei=NcN0TerPC4W8rAf5ytnRCg&sa=X&oi=book_result&ct=result&resnum=4&ved=0CCkQ6AEwAw#v=onepage&q&f=false

Question No: 21 (Marks: 1) - Please choose one

Which one of the following mathematical expressions can be used to compute output capacity?

- **OT/CT**

- CT/OT
- CT+OT
- CT-OT

(page 85)If OC is the Output capacity, OT is the operating Time and CT is the Cycle time then output capacity = OT/CT

Question No: 22 (Marks: 1) - Please choose one

What would be the output capacity if an assembly line operates for 7 hours per day with a cycle time of 2.0 minutes?

- 210 units per day
- **3.5 units per day**
- 0.004 units per day
- 14 units per day

output capacity = OT/CT
= 7/2.0
= 3.5

Question No: 23 (Marks: 1) - Please choose one

Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?

- Exponential smoothing
- Linear regression
- **Judgmental forecast**
- Naive forecast

http://books.google.com/books?id=dNThzoekGQcC&pg=PA191&dq=Judgmental+forecast+technique+is+based+on+the+assumption+that+past+data+is+more+indicative+of+the+future+than+the&hl=en&ei=Ish0TYidH4HPrQf9q4XSCg&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDUQ6AEwAw#v=onepage&q&f=false

Question No: 24 (Marks: 1) - Please choose one

Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?

- **Functional design**
- Production design
- Service design
- Product design

(page51)
http://books.google.com/books?id=7m8VJP0I_ksC&pg=PA47&dq=design+meets+the+performance+characteristics+that+are+specified+in+the+product+concept&hl=en&ei=m8l0TduJJ8fKrAfEwuDSCg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q=design%20meets%20the%20performance%20characteristics%20that%20are%20specified%20in%20the%20product%20concept&f=false

Question No: 25 (Marks: 1) - Please choose one

CBR stands for which one of the following?

- Commercial board of revenue
- Central board of recycling
- Central board of renovation
- **Central board of revenue**

(page 46)CBR denotes Center Board of Revenue

Question No: 26 (Marks: 1) - Please choose one

In order to comply with the environmental standards, an organization ABC has to implement Occupational Safety Hygiene Administration (OSHA).Which one of the following is a way to accomplish this task?

- Promoting friendly relations among employees
- **Installing safety guards and devices to reduce the risk of potential accidents**
- Installing machinery to make the process speedy
- Installing machinery that provides cost effective output

(Handout page 46)

Question No: 27 (Marks: 1) - Please choose one

Which of the following is an advantage of standardization?

- Frozen designs
- Customized parts
- **Interchangeable parts**
- Reduced variety

(slide 11)
http://docs.google.com/viewer?a=v&q=cache:irU_blx_IywJ:zonecours.hec.ca/documents/H2011-1-2179442.Session7-ProductandProcessDesign.ppt+is+an+advantage+of+standardization%3F+Frozen+designs+Customized+parts+Interchangeable+parts+Reduced+variety&hl=en&pid=bl&srcid=ADGEESiRCjPPEGCrPoJ5gKeS4jDJi5K2y58gT-tmkGTpUwD2zUUcK2A-JHjO6KXoo3NaS3fYTbXPJFnxrTsh8_gHAMewUhhTMF3zs0Z3DTqgQD54mBQclpeFRV6Xcc2E6GqxGnf7J_s1&sig=AHIEtbSvIibe8xH8bREtNxavtACqS7Idfg

Question No: 28 (Marks: 1) - Please choose one

Which of the following refers to translate the voice of the customer into technical design requirements?

- Concurrent design
- Design for manufacture
- Robust design
- **Quality functional deployment**

(page43)
http://books.google.com.pk/books?id=ecCBaLGmSX4C&pg=PA43&dq=voice+of+the+customer+into+technical+design+requirements&hl=en&ei=9s10TbD_AcW28QP3paWvCA&sa=X&oi=book_result&ct=result&resnum=2&ved=0CCsQ6AEwAQ#v=onepage&q=voice%20of%20the%20customer%20into%20technical%20design%20requirements&f=false

Question No: 29 (Marks: 1) - Please choose one

A product 'A' is specified to work well up to 30 degree Celsius temperature and 30% humidity. What would these specifications represent?

- Reliability factor
- **Standard conditions**
- Normal operating conditions
- Standard operating procedure

http://www.weatherforecastingplus.info/category/demand-forecasting

Question No: 30 (Marks: 1) - Please choose one

What would be the availability if a carpenter is expected to be able to operate for 350 hours between repairs, and the mean repair time is expected to be 3 hours?

- **0.99**
- 1.0
- 3.0
- 7.03

Availability = (MTBF)/(MTBF + MTR)
350/353 = 0.99

Question No: 31 (Marks: 1) - Please choose one

What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?

- 6.02
- 2.0
- **0.99**
- 0.006

Question No: 32 (Marks: 1) - Please choose one

Which of the following management level is responsible for long-range capacity planning?

- Lower management
- Middle management
- **Top management**
- Non managerial employees

(Q#8)http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter7/multiple_choice_quiz.html
Top-level management
*** Require an extensive knowledge of management roles and skills.**
*** They have to be very aware of external factors such as markets.**
*** Their decisions are generally of a long-term nature**
*** Their decisions are made using analytic, directive, conceptual and/or behavioral/participative processes**
*** They are responsible for strategic decisions.**
*** They have to chalk out the plan and see that plan may be effective in the future.**
*** They are executive in nature.**
http://en.wikipedia.org/wiki/Management

Question No: 33 (Marks: 1) - Please choose one

Capacity planning involves answering all of the following questions EXCEPT:

- What kind of capacity is needed?
- How much is needed?
- When is it needed?
- **Who is going to decide?**

(Handout page 64)
What kind of capacity is needed?
2. How much is needed?
3. When is it needed?

Question No: 34 (Marks: 1) - Please choose one

The disadvantages of specialization to management include all of the following EXCEPT:

- More absenteeism
- Minimum responsibility
- More turnover
- **More difficult to teach the job**

http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html

Question No: 35 (Marks: 1) - Please choose one

Which of the following can be used to compute standard time?

- Multiplying the elemental average time by the rating factor
- Dividing the average elemental time by the rating factor
- Multiplying the normal cycle time by the rating factor
- **Multiplying the normal cycle time by one plus the allowance factor**

(page 92)Standard Time=ST=NT X AF is the normal time plus allowance for delays like (getting a glass of water or going to the washroom human needs)

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is an example of community factors that affect location decisions?

- Transportation
- **Quality of life**
- Location of new markets
- Location of raw materials

(page 96)Community Considerations

- **Quality of life**
- **Services**
- **Attitudes**
- **Taxes**
- **Environmental regulations**
- **Utilities**
- **Developer support**

Question No: 37 (Marks: 1) - Please choose one

Which one of the following statements is true about Occupational Safety Hygiene Administration (OSHA)?

- **To safeguard against potential hazards**
- To develop cost effective processes
- To implement legal standards
- To carry out implication of manufacturability and fitness

Question No: 38 (Marks: 1) - Please choose one

Which of the following is the primary input in capacity planning?

- Supply chain capabilities
- Competitors' strengths
- **Demand forecasts**
- Overall cost estimates

(page 31)A statement about the future value of a variable of interest such as resource requirements, capacity planning, SCM and product or service demand.
http://en.wikipedia.org/wiki/Capacity_planning

Question No: 39 (Marks: 1) - Please choose one

Services differ from manufacturing in all the following ways EXCEPT:

- Customers typically interact directly with the service delivery process.
- Consumption and production take place simultaneously.
- Services are intangible.
- **Services can be stored.**

Question No: 40 (Marks: 1) - Please choose one

Forecasting for groups tend to be more accurate than forecasting for individual items because:

- A group is composed of a number of items
- A group exhibits a uniform behavior
- **A group cancels the forecasting errors among items**
- A group behavior is relatively less uncertain

(page 33) Forecasts more accurate for groups vs. individuals naturally because forecasting errors in a group tend to cancel out forecasting errors for individuals.

Paper 3

MIDTERM EXAMINATION

Spring 2009

MGT613- Production / Operations Management (Session - 1)

Question No: 1 (Marks: 1) - Please choose one

Within the operations function, which one of the following is a long-term management decision?

- Control decision
- Non-operational decision
- **Strategic decision**
- Tactical decision

Question No: 2 (Marks: 1) - Please choose one

What would be the productivity if 9 workers installed 650 square yards of carpeting in 6 hours?

- **12.03 square yards/hr**
- 72.20 square yards/hr
- 108.30 square yards/hr
- 5850 square yards/hr

productivity = 650/ 9*6 = 12.03

(reference)]

OPERATIONS STRATEGY

E.g. 4 workers installed 720 square yards of carpeting in 8 hours.
Productivity = 720/(4*8) = 22.5 yards/hour

Question No: 3 (Marks: 1) - Please choose one

All of the following are the decision areas of an operations manager EXCEPT:

- **Financial reporting**
- Inventory management
- Scheduling tasks
- Supply chain management

http://wiki.answers.com/Q/What_are_Operations_management_decisions

Question No: 4 (Marks: 1) - Please choose one

Which of the following statements corresponds to an order-winning characteristic?

- A factor which may be significant in other parts of the organization
- **A factor which gives an organization a competitive edge**
- A factor which serves as a minimum standard for purchase
- A factor which increases the profitability of the organization

(Handout page 15)order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitors services

Question No: 5 (Marks: 1) - Please choose one

Which one of the following correctly explains the elements of a good forecast?

- Timely, having a purpose, accurate, written, reliable, meaningful
- Timely, accurate, judgmental, correctness, verbal, simple to use
- **Timely, accurate, reliable, meaningful, written, simple to use**
- Timely, accurate, reliable, consistent, meaningful, written, simple to use

(Handout page 34)

Question No: 6 (Marks: 1) - Please choose one

Which one of the following correctly explains the quantitative forecasting technique?

- **It consists mainly of numerical descriptions and resist subjective inputs of managers.**
- It consists mainly of subjective inputs and resist particular numerical descriptions.
- It consists mainly of subjective inputs and resisit human factor, personal opinions.
- It consists mainly of analyzing objective and hard data and resist human factor, opinion.

Question No: 7 (Marks: 1) - Please choose one

Which one of the following forecasting techniques uses explanatory variables to predict future demand?

- **Associative forecast**
- Time series forecast
- Consumer survey
- Executive opinion

(page 35)Associative models - uses explanatory variables to predict the future for example demand for a small car may be dependant upon increase in price of petrol or CNG. The analysis in this case would employ a mathematical model that would relate the predicted variable with the predictor variable or variables

Question No: 8 (Marks: 1) - Please choose one

Which one of the following involves completing a series of questionnaires each developed from the previous one, to achieve a consensus forecast?

- Consumer surveys
- Executive opinion
- Time series forecast

- **Delphi method**

(page 35)Delphi method: Managers and staff complete a series of questionnaires, each developed from the previous one, to achieve a consensus forecast

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is a limitation of a moving average having a trend?

- **The forecast lags behind the actual**
- The forecast represents demand more accurately
- The forecast will not be accurate
- The forecast will not be reliable

http://www.tradertech.com/fast_break.asp

However, traditional moving averages have one very serious deficiency. They are a 'lagging' technical indicator. This means that moving averages, due to their mathematical construction (averaging prices over a number of prior periods) tend to lag behind the current market price.

Question No: 10 (Marks: 1) - Please choose one

Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics?

- **Simple moving average**
- Delphi method
- Trend adjusted forecast
- Naïve forecast

(slide23)

http://docs.google.com/viewer?a=v&q=cache:d1D_zneuTfMJ:www.kf.vu.lt/~albud/progn/Erasmus/Engl-VU/ppt/General_Quantitative_forecasting_methods_in_library_management.ppt+forecasting+techniques+is+used+to+identify+a+trend+when+data+is+neither+growing+nor+declining+rapidly+and+has+no+seasonal+characteristics&hl=en&pid=bl&srcid=ADGEESg4H4O-NpULiPJqkwY9nZNHhO4G-oJhtEnTEyU7NPYzOKiUnWSpu9iFqs5CxIsf-Y45QRl7sSK_e9L0IKnoBMCuMyaXtjJWdhZEhnmaGVukQ5mUrFxLkCRhM8iOz8gS1dKjwny5&sig=AHIEtbSUhaGN_GXPBrAFvNkOaWVNAFlDxQ

Question No: 11 (Marks: 1) - Please choose one

Effective capacity is influenced by all of the following factors EXCEPT:

- Facilities
- **Product mix**
- Processes
- Operations

(Handout page 66 and 67)

Question No: 12 (Marks: 1) - Please choose one

Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

- Introduction

- Growth
- **Maturity**
- Decline

Question No: 13 (Marks: 1) - Please choose one

Which one of the following statement is TRUE about cost-volume relationship?

- It **represents the relationship between cost, revenue and volume of output.**
- It represents the relationship between cost and volume of output.
- It represents the relationship between cost and revenue.
- It represents the relationship between inputs, cost and volume of output.

(page 73)Cost Volume Relationship focuses on relationships between costs, revenue and volume of output

Question No: 14 (Marks: 1) - Please choose one

Which one of the following refers to the volume of output at which total cost equals total revenue?

- Optimal operating rate
- **Break even point**
- Feasible volume
- Utilization

Question No: 15 (Marks: 1) - Please choose one

Which one of the following manufacturing process is associated with high volume car manufacture?

- Job shop
- **Assembly line**
- Batch
- Automation

http://en.wikipedia.org/wiki/Assembly_line
http://books.google.com.pk/books?id=HH0vVv6dMb0C&pg=PA427&lpg=PA427&dq=Which+one+of+the+following+manufacturing+process+is+associated+with+high+volume+car+manufacture?+++%09Job+shop++%09Assembly+line++%09Batch++%09Automation&source=bl&ots=X5Y3Vc2O6W&sig=iB6U8p_0dJahlQd-wB_IFcPZUIQ&hl=en&ei=xiJ1TcbYLMfZsgaCs5n5DA&sa=X&oi=book_result&ct=result&resnum=4&ved=0CCsQ6AEwAw#v=onepage&q=assembly%20line%20it%20reaches%20mass%20production&f=false

Question No: 16 (Marks: 1) - Please choose one

Which one of the following statements is NOT correct about cycle time?

- It represents daily operating time divided by desired production
- It is the maximum allowable time at each work station
- It determines the time often items take to roll off in assembly line
- **It is the time required to complete a product from start to finish**

(Question 2)http://www.cbpa.ewu.edu/~pnemetzmills/OMch5/pracanswers.html

Question No: 17 (Marks: 1) - Please choose one

Which one of the following layout type is associated with a restaurant?

- Fixed position layout

- Process layout
- Product layout
- **Hybrid layout**

http://books.google.com/books?id=sWtlOeC-3pEC&pg=PA111&lpg=PA111&dq=following+layout+type+is+associated+with+a+restaurant?+++%09Fixed+position+layout++%09Process+layout++%09Product+layout++%09Hybrid+layout&source=bl&ots=sKhwhoT_jf&sig=QT8hpUDBj8MAKX_WQYluvYycPy4&hl=en&ei=NcN0TerPC4W8rAf5ytnRCg&sa=X&oi=book_result&ct=result&resnum=4&ved=0CCkQ6AEwAw#v=onepage&q&f=false

Question No: 18 (Marks: 1) - Please choose one

Which of the following layout types is associated with a supermarket?

- Fixed position layout
- **Process layout**
- Product layout
- Cellular layout

(Q#2)http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144918.cw/index.html

Question No: 19 (Marks: 1) - Please choose one

Which one of the following layout types is associated with car assembly?

- Fixed position layout
- Process layout
- **Product layout**
- Hybrid layout

Product – Layout should suit to the nature of product and its method of production. i.e. aircraft manufacturing and car manufacturing layouts will be different. Sales also affects the layout.

http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 20 (Marks: 1) - Please choose one

In which one of the following techniques, the least squares method models uses one dependent and one or more independent variables?

- Trend adjusted forecast
- Simple moving average
- **Regression analysis**
- Exponential smoothing

(Question 2)http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter9/multiple_choice_quiz.html

Question No: 21 (Marks: 1) - Please choose one

In exponential smoothing model, a denotes:

- **Smoothing constant**
- Actual forecast
- Forecast error
- Previous forecast

(Handout page 40)a = Alpha smoothing constant

Question No: 22 (Marks: 1) - Please choose one

Which one of the following is responsible for administering environmental issues about product and service design?

- Central Board Revenue
- Environmental Protection Agency
- Federal Drug Agency
- **Occupational Safety Hygiene Administration**

Question No: 23 (Marks: 1) - Please choose one

Which of the following takes into consideration the design of aesthetics of the product?

- Functional design
- Production design
- Service design
- **Product design**

(reference 1st (http://www.acrwebsite.org/volumes/display.asp?id=7824

Product design (i.e., industrial design) is perhaps most associated with aesthetic considerations (Bel Geddes 1934, pp. 222-241)

http://books.google.com.pk/books?id=CFlyglsIINYC&pg=PA40&dq=design+of+aesthetics+of+the+product&hl=en&ei=gdZzTaWSNM6O4gb8pc3JDQ&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDkQ6AEwAw#v=onepage&q=ROLE%20OF%20AESTHETICS%20IN%20PRODUCT%20DESIGN%20Considering%20the%20importance%20of%20aesthetics&f=false

Question No: 24 (Marks: 1) - Please choose one

Which of the following ensures that the design meets the performance characteristics that are specified in the product concept?

- **Functional design**
- Production design
- Service design
- Product design

(page51)

http://books.google.com/books?id=7m8VJP0I_ksC&pg=PA47&lpg=PA47&dq=design+meets+the+performance+characteristics+that+are+specified+in+the+product+concept&source=bl&ots=ZWJA95EKbR&sig=SUtZQrDK3TQArKPZz60fesUU-nM&hl=en&ei=Hix1TaKaNYa3rAfC6KDSCg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CBMQ6AEwAA#v=onepage&q=design%20meets%20the%20performance%20characteristics%20that%20are%20specified%20in%20the%20product%20concept&f=false

Question No: 25 (Marks: 1) - Please choose one

Which of the following factors are considered in product and service design?

- Customer satisfaction, quality, and improvement costs
- Employee motivation, quality, and production costs
- Customer satisfaction, flexibility, and production costs
- **Customer satisfaction, quality, and production costs**

(Handout page 44)A good product/service design can ensure customer satisfaction, quality and production costs

Question No: 26 (Marks: 1) - Please choose one

CBR stands for which one of the following?

- Commercial board of revenue
- Central board of recycling
- Central board of renovation
- **Central board of revenue**

Question No: 27 (Marks: 1) - Please choose one

An automatic car wash is an example of which of the following?

- Customized service
- Batch processing
- Intermittent processing
- **Standardized service**

Standardized service implies that every customer or item processed receives essentially the same service. An automatic car wash is a good example; each car, regardless of how clean or dirty it is, receives the same service. Standardized processes deliver standardized service or produce standardized goods.
http://highered.mcgraw-hill.com/sites/dl/free/0070911894/90584/2ndSampleCh4.pdf

Question No: 28 (Marks: 1) - Please choose one

Which one of the following statements relates to the final stage of product life cycle?

- Improve reliability, and reduce production costs
- **Improve packaging, and reliability**
- Improve reliability, and reduce quality
- Improve reliability, and reduce promotion costs

http://www.websukat.com/TQM-product-life-cycle.htm

Question No: 29 (Marks: 1) - Please choose one

Which one of the following statements is TRUE about product life cycle?

- It depicts demand of a product at various price levels
- **It depicts demand of a product with respect to time**
- It relates demand of a product to quality
- It relates demand of a product to market share

http://en.wikipedia.org/wiki/Product_life_cycle_management_%28marketing%29

Question No: 30 (Marks: 1) - Please choose one

Technology has impacted the work place by:

- Adding to the existing geographical barriers for recruiting
- Increasing the cost of telecommuting
- Increasing the amount required to be spent on training
- **Unifying the workforce to a common skill level**

http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html

Question No: 31 (Marks: 1) - Please choose one

CPFR stands for which of the following?

- Collaborative Promotion, Forecasting, and Replenishment
- Collaborative Planning, Forecasting, and Reactivity
- Co-operative Planning, Function, and Replenishment

- **Collaborative Planning, Forecasting, and Replenishment**

(page 177)CPFR is an acronym derived from the first letters of the following phrase: Collaborative Planning, Forecasting and Replenishment

Question No: 32 (Marks: 1) - Please choose one

Forecasting accuracy has relation with time horizon.

- **Inverse**
- Linear
- Direct
- Parallel

(page 33)Forecast accuracy decreases as time horizon increases indicating it is safe to make short range forecasts instead of long term forecasts. If you can recall we had talked about Flexible and Agile Corporations in the past.

Question No: 33 (Marks: 1) - Please choose one

Which one of the following is a key benefit of process plant strategy?

- **Economies of scale**
- Diseconomies of scale
- Product variety
- Task specialization

(page 369)
http://books.google.com/books?id=tqVIT0xE4NAC&pg=PA369&dq=key+benefit+of+process+plant+strategy&hl=en&ei=cjd1TaX5LIfNrQeo39DRCg&sa=X&oi=book_result&ct=result&resnum=2&ved=0CDIQ6AEwAQ#v=onepage&q=key%20benefit%20of%20process%20plant%20strategy&f=false

Question No: 34 (Marks: 1) - Please choose one

Which one the following is an assumption of center of gravity method?

- The quantity to be shipped is variable
- **The quantity to be shipped is fixed**
- The quantity carries no value
- The quantity to be shipped should be extraordinarily high

The center of gravity method is used to determine the location of a single distribution center that will minimize distribution costs. It treats distribution cost as a linear function of the distance and the quantity shipped, which is assumed to be fixed, http://farfromneutral.com/kaizen/center-of-gravity-method/

Question No: 35 (Marks: 1) - Please choose one

Which of the following is the primary input in capacity planning?

- Supply chain capabilities
- Competitors' strengths
- **Demand forecasts**
- Overall cost estimates

(page 31)A statement about the future value of a variable of interest such as resource requirements, capacity planning, SCM and product or service demand.

Question No: 36 (Marks: 1) - Please choose one

The type of processing structure that is used for producing discrete products at higher volume is:

- Continuous Flow

- **Assembly Line**
- Batch
- Job shop

Ref: http://highered.mcgraw-hill.com/sites/0073403296/student_view0/chapter7/multiple_choice_quiz.html

http://www.clarku.edu/~jsarkis/samples/chap005.htm

Question No: 37 (Marks: 1) - Please choose one

Quality, costs, lead times, operating resources are all related to which one of the following strategies.

- Organizational strategy
- Financial strategy
- **Operational strategy**
- Tectical strategy

(page 5)

http://docs.google.com/viewer?a=v&q=cache:Z8OTKodTI24J:bulatov.org.ua/teaching_courses/nam_operations/L2%2520PRODUCTIVITY,%2520COMPETITIVENESS,%2520STRATEGY.doc+Quality,+costs,+lead+times,+operating+resources+are+all+related+to+which+one+of+the+following+strategies.&hl=en&pid=bl&srcid=ADGEESjFppdZdPqJCYGeE5eZ0lbXSbBIaQuAZHRq8WGSAb060LQFyePsZ7uLK3tBxikelBwidDyqI2uehI7dlnTODYpZMU2xVYk6oWk7IHpLh4hW3Brot6pOUAe-f0XbM42tJV6kLRzg&sig=AHIEtbTPrI3D_ojnS5NaIDEX2_ltVEqOrQ

Question No: 38 (Marks: 1) - Please choose one

The Strategies which are more focused on maintaining or improving the quality of an organization's products or services are known as:

- Quality at the source
- Time based strategies
- Cost leadership strategies
- **Quality-based strategies**

(page 18)Quality-based strategies

Focuses on maintaining or improving the quality of an organization's products or services

Question No: 39 (Marks: 1) - Please choose one

Which of the following is NOT an attribute to classify services?

- **Tangibility**
- Perishability
- Simultaneity
- Courtesy

Question No: 40 (Marks: 1) - Please choose one

Forecasting for groups tend to be more accurate than forecasting for individual items because:

- A group is composed of a number of items
- A group exhibits a uniform behavior

- **A group cancels the forecasting errors among items**
- A group behavior is relatively less uncertain

(page 33) Forecasts more accurate for groups vs. individuals naturally because forecasting errors in a group tend to cancel out forecasting errors for individuals

Paper 4

MIDTERM EXAMINATION
Spring 2009 MGT613- Production / Operation Management (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Within the operations function, which one of the following is a long-term management decision?

►Control decision

►Non-operational decision

►Strategic decision

►Tactical decision

(page 87) http://books.google.com/books?id=HGVuSNG-xQ0C&pg=PA87&dq=Within+the+operations+function,+which+one+of+the+following+is+a+long-term+management+decision?+%E2%96%BAControl+decision+%E2%96%BANon-operational+decision+%E2%96%BAStrategic+decision+%E2%96%BATactical+decision&hl=en&ei=4Q1yTeHdB4XyrQfH6ZXSCg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q&f=false

Question No: 2 (Marks: 1) - Please choose one

Which one of the following forms of productivity has units of output per dollar input?

►Capital

►Energy

►Labor

►Machine

Capital Productivity: Units of output per dollar input
Dollar value of output per dollar input

Question No: 3 (Marks: 1) - Please choose one

Which one of the following is a measure of productivity that involves measuring inputs and outputs using a common unit of measurement?

►**Multifactor**

►Partial

►Single

►Total

OPERATIONS STRATEGY

Multifactor productivity measures require inputs and outputs using a common unit of measurement, such as cost or value.

Question No: 4 (Marks: 1) - Please choose one

The major business function consisting of research and development, product design, manufacturing, marketing, distribution, and customer service is refers to:

►Value chain

►The transformation process

►Quality control

►Life cycle

http://books.google.com.pk/books?id=f5p17Sz5NLMC&pg=PA379&lpg=PA379&dq=of+research+and+development,+product+design,+manufacturing,+marketing,+distribution,+and+customer+service+is+refer+to+life+cycle&source=bl&ots=RMJzKlWMHc&sig=xTlAlvhI2ADkAdSG61mOISidtqE&hl=en&ei=5h9yTYa1NY3krAevra3SCg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CBcQ6AEwAA#v=onepage&q&f=false(page 379)

Question No: 5 (Marks: 1) - Please choose one

A business process is a logical set of tasks or activities that:

►Are specific to the operations function

►Are specific to the marketing function

►Are interdependent with other processes

►Have exactly the same performance measures for any process

A *process* is a sequence of related activities, or may be a sequence of related tasks which make up an activity. These activities or tasks are usually interdependent, and there is a well-defined flow from one activity to another.
http://www.martymodell.com/pgsa2/pgsa13.html

Question No: 6 (Marks: 1) - Please choose one

Which one of the following formulae can be used to compute value?

►(Quality + Speed - Flexibility) / Cost

►(Quality + Speed+ Flexibility) / Cost

►(Quality + Speed - Cost) / Flexibility

►(Quality + Speed+ Cost) / Flexibility

(HANDOUT PAGE 10)

Question No: 7 (Marks: 1) - Please choose one

Which one the following formula or function can be used to measure the performance?

► Flexibility + profit+ operations

►Work + profit + value

►Quality + speed + flexibility

►Profit + Incentives + standards

(HANDOUT PAGE 10)

Question No: 8 (Marks: 1) - Please choose one

Which of the following statements corresponds to an order-winning characteristic?

►A factor which may be significant in other parts of the organization

►A factor which gives an organization a competitive edge

►A factor which serves as a minimum standard for purchase

►A factor which increases the profitability of the organization

(Handout page 15)order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitors services.

Question No: 9 (Marks: 1) - Please choose one

As a manager, you have defined the purpose of the forecasts. What should be the **next** step in forecasting process?

►Choose a forecasting technique.

►Determine the purpose of the forecast.

►Set up a time horizon or a time limit.

►Collect and analyze the appropriate data.

(Handout page 34)

Question No: 10 (Marks: 1) - Please choose one

Which one of the following forecasting technique is based on historical data?

►Judgmental

►Associative

► Time series

► Qualitative

(page 35) · *T ime series* - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values.

Question No: 11 (Marks: 1) - Please choose one

Which one of the following forecasting techniques use subjective inputs su from consumer surveys, sales staff, managers and experts?

►Time series

►Quantitative

►Judgmental

►Associative

(page 35) ***J udgmental*** - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts. These insights are not available publicly.

Question No: 12 (Marks: 1) - Please choose one

Which of the following approaches favors adopting a "go for it" strategy?

►Maximin

►Maximax

►Minimax regret

►Laplace

(Handout page 26)

Question No: 13 (Marks: 1) - Please choose one

Possible future demand	
Low (Rs.)	High (Rs.)
10,000	8,000

12,000	20,000
18,000	15,000

Given the table:

Alternatives

Which one of the following is the correct payoff under MAXIMAX approach?

► Rs. 10,000

► Rs. 18,000

► **Rs. 20,000**

► Rs. 32,000

Question No: 14 (Marks: 1) - Please choose one

Which one of the following is NOT a step of decision making process?

►Develop alternatives

►Monitor results

►**Consider risk averseness strategies**

►Specify criteria for decision

Ref: 1. Specify Objectives and the Criteria for decision making

2. Develop Alternatives

3. Analyze and compare alternatives.

4. Select the best alternative.

5. Implement the chosen Alternative

6. Monitor the results to ensure the desired results are achieved.

Question No: 15 (Marks: 1) - Please choose one

Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

►Introduction

►Growth(not sure)

►Maturity

►Decline

Question No: 16 (Marks: 1) - Please choose one

Which one of the following statement is TRUE about cost-volume relationship?

►It represents the relationship between cost, revenue and volume of output.

►It represents the relationship between cost and volume of output.

►It represents the relationship between cost and revenue.

►It represents the relationship between inputs, cost and volume of output.

Ref: Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. (page 73)

Question No: 17 (Marks: 1) - Please choose one

Which one of the following formulae can be used to compute break even point?

►Q = VC / (R - VC)

►Q = FC / (R - VC)

►Q = VC / (R + FC)

►Q = FC / (R + VC)

Question No: 18 (Marks: 1) - Please choose one

ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?

►833 units

►2000 units

►5000 units

►1012 units

Question No: 19 (Marks: 1) - Please choose one

Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?

►Cash flow and fixed cost

►Present value and fixed cost

►**Cash flow and present value**

►Cash flow and profit

Ref: Operations manager along with managerial accountant often work to calculate what cash flow or present value in terms of rupees is available for the organization to proceed with a capacity alternative decision.(page 76)

Question No: 20 (Marks: 1) - Please choose one

Which of the following is a system designed to coordinate all activities and information needed to complete business processes?

►**Enterprise resource planning**

►Supply chain management

►New product development

►Customer relationship management

(page 509)http://books.google.com/books?id=9hm1-xNYbIcC&pg=PA509&dq=is+a+system+designed+to+coordinate+all+activities+and+information+needed+to+complete+business+processes&hl=en&ei=ozJyTayjOIS8rAec6vTRCg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q=is%20a%20system%20designed%20to%20coordinate%20all%20activities%20and%20information%20needed%20to%20complete%20business%20processes&f=false

Question No: 21 (Marks: 1) - Please choose one

Which of the following is **NOT** a characteristic of product layouts?

►**High material handling costs**

►Sequential arrangement of machines

►Standardized output

►Continuous production system

Ref: Lecture slide#19

1. High rate of output.

2. Low unit cost.

3. Labor specialization.

4. Low material handling cost.

5. High utilization of labor and equipment.

6. Established routing and scheduling.

7. Routing accounting and purchasing.

Question No: 22 (Marks: 1) - Please choose one

Which one of the following layout types is associated with car assembly?

►Fixed position layout

►Process layout

►Product layout

►Hybrid layout

(Handout page 80) http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 23 (Marks: 1) - Please choose one

In exponential smoothing model, a denotes:

►Smoothing constant

►Actual forecast

►Forecast error

►Previous forecast

(Handout page 40) α = Alpha smoothing constant

Question No: 24 (Marks: 1) - Please choose one

Which one of the following designs resists modifications?

►Frozen design (review again)

►Product design

►Service design

►Robust design

(Page 48)

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is TRUE about Taguchi approach?

►To test the robustness of a design

►To articulate the "voice of the customer"

►To reduce the degree of automation

►To create a concurrent design

(Q#4)http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144886.cw/index.html

Question No: 26 (Marks: 1) - Please choose one

Which one of the following refers to using some of the components of old products in the manufacturing of new products?

►Manufacturability

►Remanufacturing

►Robust design

►Automation

Question No: 27 (Marks: 1) - Please choose one

Which one of the following is a curve showing failure rate over time?

►Cost curve

►Bath tub curve

►Fish bone diagram

►Reliability curve

(Page 59 and 60)

Question No: 28 (Marks: 1) - Please choose one
ble to operate for 250

What would be the
availability if a carpe hours
between repairs, and the
mean rep?

►1.01

►5.03

►3.0

►0.98

Question No: 29 (Marks: 1) - Please choose one

Which one of the following is the goal of method analysis?

► Dividing and analyzing a job

►Check individual human motions used to perform an operation

►Determining the length of time it will take to undertake a particular task

►Determining the amount of time a worker spends on various activities

(page 87)
Design of Work System also entails method analysis which in turn centers on how jobs are performed.
(page 93)
Supplementary discussions focused on Method Analysis and Motion Study Techniques, which focused on efficiency aspect of the job. This may ignore the behavior aspect but still form an important and integral part of job design.

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is an example of regional factors that
affect location decisions?

►Transportation

►Quality of life

►Development support

►Location of new markets

(page 96)

Regional Factors
Location of raw materials
Location of markets
Labor factors
Climate and taxes

Question No: 31 (Marks: 1) - Please choose one

Which one of the following is an example of site related factors that affect location decision?

►Transportation

►Quality of life

►Location of new markets

►Location of raw materials

(page 96)

•Land

•Transportation

•Environmental

•Legal

Question No: 32 (Marks: 1) - Please choose one

Which one of the following statements is **true** about Occupational Safety Hygiene Administration (OSHA)?

►To safeguard against potential hazards

►To develop cost effective processes

►To implement legal standards

► To carry out implication of manufacturability and fitness

(page 46) OSHA refers to Occupational Safety Hygiene Administration

Question No: 33 (Marks: 1) - Please choose one

Which one of the following is used to produce gasoline and petroleum products?

►Job shop

►Batch processing

►Assembly line

►Continuous processing

Continuous and Semi Continuous Operations

1. A system that produces highly uniform products or continuous services, often performed by machines.

1. Processing of chemicals, photographic film, newsprint and oil products

2. Repetitive Processing. A production system that renders one or a few highly standardized products or services.

1. Automobiles, televisions, computers ,calculators, cameras and video equipments

Question No: 34 (Marks: 1) - Please choose one

The type of processing structure that is used for producing discrete products at higher volume is:

►Continuous Flow

►Assembly Line

►Batch

►Job shop

Ref: http://highered.mcgraw-hill.com/sites/0073403296/student_view0/chapter7/multiple_choice_quiz.html

http://www.clarku.edu/~jsarkis/samples/chap005.htm

Question No: 35 (Marks: 1) - Please choose one

An example of a business/industry that uses batch flow process structure is:

►Commercial printer

►Heavy equipment

►Automobile assembly

►Sugar refinery

http://www.clarku.edu/~jsarkis/samples/chap005.htm (Q#8)

Question No: 36 (Marks: 1) - Please choose one

Services differ from manufacturing in all the following ways EXCEPT:

►Customers typically interact directly with the service delivery process.

►Consumption and production take place simultaneously.

►Services are intangible.

►Services can be stored.

http://wiki.answers.com/Q/How_do_service_operations_differ_from_manufacturing_operations

Question No: 37 (Marks: 1) - Please choose one

Quality, costs, lead times, operating resources are all related to which one of the following strategies.

►Organizational strategy

►Financial strategy

►Operational strategy

►Tectical strategy

Os is related to products, processes, methods, operating resources, quality, costs, lead times, and scheduling.

http://webcache.googleusercontent.com/search?q=cache:Z8OTKodTI24J:bulatov.org.ua/teaching_courses/nam_operations/L2%2520PRODUCTIVITY,%2520COMPETITIVENESS,%2520STRATEGY.doc+Quality,+costs,+lead+times,+operating+resources+are+all+related+to+which+one+of+the+following+strategies.&cd=4&hl=en&ct=clnk&source=www.google.com

Question No: 38 (Marks: 1) - Please choose one

All of the following are examples of the transformation process EXCEPT:

►Cutting

►Packing

►Facilitating

►Labeling(not sure)

Question No: 39 (Marks: 1) - Please choose one

_____ purpose is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

► Total quality control's

►Demand management's

►Forecasting's

►Operations management's

http://books.google.com/books?id=d3eREcsD35sC&pg=PA551&dq=The+purpose+of+demand+management+is+to+coordinate+and+control+all+sources+of+demand+so+the+productive+system+can+be+used+efficiently+and+the+product&hl=en&ei=gTCOTfjdJpCmvgP9pbC5DQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDkQ6AEwAg#v=onepage&q=The%20purpose%20of%20demand%20management%20is%20to%20coordinate%20and%20control%20all%20sources%20of%20demand%20so%20the%20productive%20system%20can%20be%20used%20efficiently%20and%20the%20product&f=false(page 551)

Question No: 40 (Marks: 1) - Please choose one

Which of the following is a characteristic of linear regression?

► It is superior to a moving average

► **It is a causal forecasting model**

► It compensates for both trend and season

► It is superior to an exponential smoothing

http://cwx.prenhall.com/bookbind/pubbooks/russell/chapter10/multiple1/deluxe-content.html

Paper 5

MIDTERM EXAMINATION
Spring 2010
MGT613- Production / Operations Management

Question No: 1 (Marks: 1) - Please choose one

Within the operations function, which one of the following is a long-term management decision?

► Control decision
► Non-operational decision
► **Strategic decision**
► Tactical decision

Question No: 2 (Marks: 1) - Please choose one

The management of systems or processes that creates goods and provides services is known as:

► **Operation Management**
► Operation/production Management
► Operation/Research Management
► Production/Research Management

Page#3 perations Management (The management of systems or processes that *create goods and/or rovide services*)

Question No: 3 (Marks: 1) - Please choose one

Which one of the following decision is NOT made by operations managers?

► How much capacity is required to balance demand?
► What should be the location and layout of a facility?
► How to improve operational efficiency?
► **Which market areas to manufacture the products for?**

Question No: 4 (Marks: 1) - Please choose one

A business process is a logical set of tasks or activities that:

► Are specific to the operations function

► Are specific to the marketing function

► Are interdependent with other processes

► Have exactly the same performance measures for any process

Question No: 5 (Marks: 1) - Please choose one

Which one the following formula or function can be used to measure the performance?

► Flexibility + profit+ operations

► Work + profit + value

► Quality + speed + flexibility

► Profit + Incentives + standards

Question No: 6 (Marks: 1) - Please choose one

Which of the following statements describes an order-qualifier characteristic?

► A competitive dimension used to make final decision among competitors

► A factor which directly and significantly contribute to winning business

► A factor which increases the profitability of the organization

► A factor perceived as a minimum standard as a potential for purchase

Page#15

Order qualifiers are those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase while order winners

Question No: 7 (Marks: 1) - Please choose one

Which one of the following forecasting techniques uses explanatory variables to predict future demand?

► Associative forecast

► Time series forecast

► Consumer survey

► Executive opinion

Question No: 8 (Marks: 1) - Please choose one

In which one of the following decision environments it is impossible to assess the likelihood of various future events?

► Risk

► Bounded rationality

► Certainty

► Uncertainty

• Uncertainty - Environment in which it is impossible to assess the likelihood of various future events

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is an implication of laplace approach of decision making?

► The best of the worst possible payoff

► The best possible payoff

► The best average payoff

► The least of the worst regrets

Page#27 Determines the Average payoff for each alternative

Ø And chooses the alternative with the best average.

Ø This is a cautious approach

Ø Laplace approach treats the states of nature as equally likely.

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is an outcome of MINIMAX regret?

► The best of the worst possible payoff
► The best possible payoff
► The best average payoff
► **The least of the worst regret**

http://books.google.com/books?id=tqVIT0xE4NAC&pg=PA208&dq=Which+one+of+the+following+is+an+outcome+of+MINIMAX+regret?++++++++%E2%96%BA+The+best+of+the+worst+possible+payoff++++++++%E2%96%BA+The+best+possible+payoff++++++++%E2%96%BA+The+best+average+payoff+++++++++%E2%96%BA+The+least+of+the+worst+regret&hl=en&ei=YzOOTbXEBoyougPRpby8DQ&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q&f=false (page 208)

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is a limitation of a moving average having a trend?

► **The forecast lags behind the actual**
► The forecast represents demand more accurately
► The forecast will not be accurate
► The forecast will not be reliable

Question No: 12 (Marks: 1) - Please choose one

Which one of the following refers to the maximum output that a firm can produce under ideal conditions?

► **Design capacity (not sure)**
► Effective capacity
► Capacity planning
► Utilization rate

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is a characteristic of continuous process?

► High lead times
► Short process times
► The ability to handle high variety
► **The ability to handle high volumes**

(Q#11)http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144864.cw/index.html

Question No: 14 (Marks: 1) - Please choose one

Which of the following is an example of a business that uses assembly line process structure?

► **Automobile assembly**
► Sugar refinery
► Heavy equipment
► French restaurants

Assembly line - Example: automobile production line

A good example of an assembly line is an automobile plant.
http://www.netmba.com/operations/process/structure/

Question No: 15 (Marks: 1) - Please choose one

Which of the following layout types is associated with a supermarket?

► Fixed position layout
► **Process layout**
► Product layout
► Cellular layout

(Q#2)http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144918.cw/index.html

Question No: 16 (Marks: 1) - Please choose one

Which one of the following layout types is associated with car assembly?

► Fixed position layout
► Process layout
► **Product layout**
► Hybrid layout

P#80http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 17 (Marks: 1) - Please choose one

A department store discovered that in a four-month period, the best forecast can be determined by using 50 percent of the sales for the most recent month, 20 percent of the sales of two months ago, 10 percent of the sales of three months ago, and 20 percent of the sales of four months ago. Which forecasting method should the store use to forecast demand?

► Simple Moving Average
► Linear Regression
► Time Series Analysis
► **Weighted Moving Average**

http://nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6+FORECASTING+TECHNIQUES-+Formatted.pdf (page 15)

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is an application of simple exponential smoothing?

► Establishing durability
► Finding reliability
► **Scheduling services**
► Quality improvement

Question No: 19 (Marks: 1) - Please choose one

Which of the following takes into consideration the design of aesthetics of the product?

► Functional design
► Production design
► Service design
► **Product design**

http://books.google.com.pk/books?id=CFlyglsIINYC&pg=PA40&dq=design+of+aesthetics+of+the+product&hl=en&ei=gdZzTaWSNM6O4gb8pc3JDQ&sa=X&oi=boo

k_result&ct=result&resnum=4&ved=0CDkQ6AEwAw#v=onepage&q=ROLE%20OF%20AESTHETICS%20IN%20PRODUCT%20DESIGN%20Considering%20the%20importance%20of%20aesthetics&f=false

Product design (i.e., industrial design) is perhaps most associated with aesthetic considerations (Bel Geddes 1934, pp. 222-241).

http://www.acrwebsite.org/volumes/display.asp?id=7824

Question No: 20 (Marks: 1) - Please choose one

Which one of the following statements is TRUE about product life cycle?

► It depicts demand of a product at various price levels

► **It depicts demand of a product with respect to time**

► It relates demand of a product to quality

► It relates demand of a product to market share

http://en.wikipedia.org/wiki/Product_life_cycle_management_%28marketing%29

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is TRUE about Taguchi approach?

► **To test the robustness of a design**

► To articulate the "voice of the customer"

► To reduce the degree of automation

► To create a concurrent design

(Handout page 52) Taguchi Approach To Robust Design

http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144886.cw/index.html

Question No: 22 (Marks: 1) - Please choose one

Which one of the following is a curve showing failure rate over time?

► Cost curve

► **Bath tub curve**

► Fish bone diagram

► Reliability curve

(Handout page 60)

Question No: 23 (Marks: 1) - Please choose one

Which of following statement is **true** about effective capacity?

► It is the actual output achieved

► It is always less than actual output

► It is the maximum output that a firm can produce

► **It is always less than designed capacity**

(page 249)

http://books.google.com.pk/books?id=wUHzc8JtZzUC&pg=PA249&dq=effective+capacity+It+is+the+actual+output+achieved&hl=en&ei=4WV3TfycOIio8AP885jPCw&sa=X&oi=book_result&ct=result&resnum=1&sqi=2&ved=0CCcQ6AEwAA#v=onepage&q=effective%20capacity%20It%20is%20the%20actual%20output%20achieved&f=false

Question No: 24 (Marks: 1) - Please choose one

Which one of the following is used to produce gasoline and petroleum products?

► Job shop

► Batch processing

► Assembly line

► **Continuous processing**

http://highered.mcgraw-hill.com/sites/0073403296/student_view0/chapter7/multiple_choice_quiz.html

Question No: 25 (Marks: 1) - Please choose one

Quality, costs, lead times, operating resources are all related to which one of the following strategies.

► Organizational strategy
► Financial strategy
► **Operational strategy**
► Tectical strategy

Os is related to products, processes, methods, operating resources, quality, costs, lead times, and scheduling.

http://webcache.googleusercontent.com/search?q=cache:Z8OTKodTI24J:bulatov.org.ua/teaching_courses/nam_operations/L2%2520PRODUCTIVITY,%2520COMPETITIVENESS,%2520STRATEGY.doc+Quality,+costs,+lead+times,+operating+resources+are+all+related+to+which+one+of+the+following+strategies.&cd=4&hl=en&ct=clnk&source=www.google.com

Question No: 26 (Marks: 1) - Please choose one

Which one of the following refers to bringing together engineering design and manufacturing personnel early in the design phase.

► Reverse engineering
► **Concurrent engineering**
► Manufacturability
► Serviceability

(Handout page 53) Concurrent engineering is the bringing together of engineering design and manufacturing personnel early in the design phase.

Question No: 27 (Marks: 1) - Please choose one

Which of the following refers to the way an organization chooses to produce its goods or services?

► **Process selection**
► Process reengineering
► Process redesign
► Process design

(page 77) Process Selection refers to the way an organization chooses to produce its good or services

Question No: 28 (Marks: 1) - Please choose one

Which one of the following is the first step in line balancing?

► **To specify the sequential relationship among tasks.**
► To determine the required cycle time.
► To determine the minimum number of workstations.
► To determine the desired output

http://www.slidefinder.net/c/chapter_manufacturing_processes/25822455

Paper 6

MIDTERM EXAMINATION Spring 2010
MGT613- Production and operation management (Session - 3)

Question No: 1 (Marks: 1) - Please choose one
Which one of the following forms of productivity has units of output per shift?
► Capital
► Energy
► Labor
► Machine
Page#19 Labor Productivity Units of output per shift

Question No: 2 (Marks: 1) - Please choose one
All of the following are the decision areas of an operations manager EXCEPT:
► Inventory management
► Scheduling tasks
► Supply chain management
► Financial reporting
http://wiki.answers.com/Q/What_are_Operations_management_decisions

Question No: 3 (Marks: 1) - Please choose one
Which one of the following formulae can be used to compute value?
► (Quality + Speed – Flexibility) / Cost
► (Quality + Speed+ Flexibility) / Cost
► (Quality + Speed - Cost) / Flexibility
► (Quality + Speed+ Cost) / Flexibility
Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost_____ Eq. 1

Question No: 4 (Marks: 1) - Please choose one
Which of the following refers to the essential elements of operations strategy?
► Policies, tactics and objectives
► Plans, strategies and vision
► Mission, goals and plans
► Mission, policies and distinctive competencies
http://books.google.com/books?id=sW1FhvAHIWwC&pg=PA31&dq=Mission,+goals+and+plans+is+operation+strategy&hl=en&ei=AeSMTdv-J8HOrOfP2vngDQ&sa=X&oi=book_result&ct=result&resnum=10&ved=0CGAQ6AEwCQ#v=onepage&q=Mission%2C%20goals%20and%20plans%20is%20operation%20strategy&f=false **(page 31)**

Question No: 5 (Marks: 1) - Please choose one
As a manager, you have defined the purpose of the forecasts. What should be the **next** step in forecasting process?
► Choose a forecasting technique.
► Determine the purpose of the forecast.
► Set up a time horizon or a time limit.
► Collect and analyze the appropriate data.

Question No: 6 (Marks: 1) - Please choose one
Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics?
► Simple moving average
► Delphi method

► Trend adjusted forecast
► Naïve forecast

Ref**:The Moving Average model takes the average of several periods of data; the result is a dampened or smoothed data set; use this model when demand is stable and there is no evidence of a trend or seasonal pattern.**
http://docs.google.com/viewer?a=v&q=cache:d1D_zneuTfMJ:www.kf.vu.lt/~albud/progn/Erasmus/Engl-VU/ppt/General_Quantitative_forecasting_methods_in_library_management.ppt+forecasting+techniques+is+used+to+identify+a+trend+when+data+is+neither+growing+nor+declining+rapidly+and+has+no+seasonal+characteristics&hl=en&pid=bl&srcid=ADGEESg4H4O-NpULiPJqkwY9nZNHhO4G-oJhtEnTEyU7NPYzOKiUnWSpu9iFqs5CxIsf-Y45QRl7sSK_e9L0IKnoBMCuMyaXtjJWdhZEhnmaGVukQ5mUrFxLkCRhM8iOz8gS1dKjwny5&sig=AHIEtbSUhaGN_GXPBrAFvNkOaWVNAFlDxQ&pli=1

Question No: 7 (Marks: 1) - Please choose one
Which one of the following mathematical expressions is used to compute utilization?
► Actual output / effective capacity
► Actual output / design capacity
► Actual output + effective capacity
► Actual output -effective capacity

Question No: 8 (Marks: 1) - Please choose one
Effective capacity is influenced by all of the following factors **EXCEPT**:
► Facilities
► Product mix
► Processes
► Operations

Question No: 9 (Marks: 1) - Please choose one
Which one of the following is concerned with short term capacity needs?
► Cycle
► Trends
► Seasonality
► Average

(page 76)Long term capacity decisions relate to overall level of capacity while short term capacity decisions refer to seasonal, random or irregular variations in demand.

Question No: 10 (Marks: 1) - Please choose one
Which of the following statements is correct about capacity evaluating alternatives?
► Minimum cost and optimal operating rate are functions of size of plant
► Minimum cost and optimal operating rate are functions of fixed cost.
► Minimum cost and productivity are functions of size of plant.
► Maximum cost and optimal operating rate are functions of size of plant.

http://www.eng.uwi.tt/depts/mech/ugrad/courses/meng3006/Week005.pdf (page 6)

Question No: 11 (Marks: 1) - Please choose one
Which of the following is an example of a business that uses assembly line process structure?
► Automobile assembly
► Sugar refinery
► Heavy equipment
► French restaurants

Question No: 12 (Marks: 1) - Please choose one
Which of the following layout types is associated with a supermarket?

► Fixed position layout
► Process layout
► Product layout
► Cellular layout

(Q#2)http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144918.cw/index.html

Question No: 13 (Marks: 1) - Please choose one
Which one of the following defines the range of the smoothing constant (Alpha)?
► 2 and -2
► 1 and -1
► 0 and -1
► 0 and 1

The value of α can be between 0 and 1.
http://nsdl.niscair.res.in/bitstream/123456789/829/1/CHAPTER-6+FORECASTING+TECHNIQUES-+Formatted.pdf (page 17)

Question No: 14 (Marks: 1) - Please choose one
Which method of forecasting is most widely used?
► Regression analysis
► Adaptive forecasting
► Weighted moving average
► Exponential smoothing
(Q#5)http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter9/multiple_choice_quiz.html
Question No: 15 (Marks: 1) - Please choose one
Which one of the following refers to a design that takes into account organization's operational capabilities, when designing a product?
► Design for assembly
► Design for manufacturing
► Design for recycling
► Design for disassembly
Page#51
Design for Manufacturing (DFM): The designers' consideration of the organization's manufacturing capabilities when designing a product. The more general term design for operations encompasses services as well as manufacturing
Question No: 16 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?
► 6.02
► 2.0
► 0.99
► 0.006
Calculation: Availability = (MTBF)/(MTBF + MTR)
Where, MTBF = Mean time between factor =300
MTR = Mean repair time =2 hours
Availability = (300)/(300+2)
=300/302
= 0.99

Question No: 17 (Marks: 1) - Please choose one
Which of the following management level is responsible for long-range capacity planning?
► Lower management
► Middle management
► Top management
► Non managerial employees
Question No: 18 (Marks: 1) - Please choose one
Which of the following is NOT an emerging trend in the workplace?
► Increasing workplace diversity
► Decreasing work schedule flexibility
► Increasing number of part time jobs
► Increasing use of temporary labor
http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html
Question No: 19 (Marks: 1) - Please choose one
Which one of the following is NOT a business application of forecasting?
► Budgeting
► Capacity planning
► Inventory management
► Quality control

Page#31 Forecasting in business forms the basis for budgeting and planning for capacity, sales, production, inventory, manpower, purchasing and more.

Question No: 20 (Marks: 1) - Please choose one
Which one of the following is an example of site related factors that affect location decision?
► Transportation
► Quality of life
► Location of new markets
► Location of raw materials
Ref: Site Related Factors
•Land
•Transportation
•Environmental
•Legal
Question No: 21 (Marks: 1) - Please choose one
Which one of the following is TRUE about work sampling?
► It describes individual human motions that are used in a job task
► It involves determining the length of time it will take to undertake a particular task
► It involves determining the amount of time a worker spends on various activities
► It provides standard times for micro motions such as reach, move and release
Reference
Question No: 22 (Marks: 1) - Please choose one
Services differ from manufacturing in all the following ways EXCEPT:
► Customers typically interact directly with the service delivery process.
► Consumption and production take place simultaneously.
► Services are intangible.

► Services can be stored.

Question No: 23 (Marks: 1) - Please choose one

Which of the following is **NOT** an attribute to classify services?

► Tangibility

► Perishability

► Simultaneity

► Courtesy

http://docs.google.com/viewer?a=v&q=cache:7CDmM-nQZpAJ:www.ucl.ac.uk/aua/documents/presentation051121.doc+Which+of+the+following+is+NOT+an+attribute+to+classify+services%3F+%E2%96%BA+Tangibility+%E2%96%BA+Perishability+%E2%96%BA+Simultaneity+%E2%96%BA+Courtesy&hl=en&pid=bl&srcid=ADGEESg10-3lJxDH8AciWfIoIat35RS0eFgLebwtwddEKTn5__RpeOKNqCbMoog8GlTDrMTtHCCMeMeCzMEuNcTA7B_xrGGEUBuaTFSFWrNNUwqRlRvWJjrmN6w7IBgTMvCOKM-PLn_w&sig=AHIEtbT1KoiQSji6Op5beCjeP1V4mKOPQQ

Question No: 24 (Marks: 1) - Please choose one

Organizational strategies relate to which of the following sets of factors?

► Survival, profitability, growth rate and market share

► Profitability, survival, lead times and target market

► Quality, operating resources, growth rate and market share

► Scheduling, profitability, lead times and survival

Question No: 25 (Marks: 1) - Please choose one

The purpose of _____ is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

► Total quality control

► Demand management

► Forecasting

► Operations management

Question No: 26 (Marks: 1) - Please choose one

Which one of the following forecasting methods uses subjective inputs such as opinions from consumer surveys, sales staff, managers and experts?

► Time series model

► Least Square method

► Judgmental forecasting model

► Associative forecasting model

Page# 35 · Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts. These insights are not available publicly.

Question No: 27 (Marks: 1) - Please choose one

Which one of the following refers to translating the voice of the customer into technical design requirements?

► Concurrent design

► Design for manufacture

► Robust design

► Quality function deployment

Question No: 28 (Marks: 1) - Please choose one

Which one of the following statements represents use of cost-volume analysis?

► It is a tool for reliability measurement
► It provides a base for marketing research
► It helps in comparing capacity alternatives
► It is important in product design

Page#73 Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. The primary purpose of cost volume analysis is to estimate the income of an organization under different operating conditions. It is particularly useful as a tool for comparing capacity alternatives.

Paper 7

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 1)

Question No: 1 (Marks: 1) - Please choose one
A business process is a logical set of tasks or activities that:
Are specific to the operations function
Are specific to the marketing function
Are interdependent with other processes
Have exactly the same performance measures for any process
Question No: 2 (Marks: 1) - Please choose one
Which one of the following formulae can be used to compute value?
(Quality + Speed – Flexibility) / Cost
(Quality + Speed+ Flexibility) / Cost
(Quality + Speed - Cost) / Flexibility
(Quality + Speed+ Cost) / Flexibility
Question No: 3 (Marks: 1) - Please choose one
Which of the following is referred to as plans for achieving goals?
Rules
Strategies
Policies
Mission
(page 17)
http://books.google.com/books?id=vM1jhhj5Bt0C&pg=PA16&lpg=PA16&dq=is+referred+to+as+plans+for+achieving+goals?++++Rules++Strategies++Policies++Mission&source=bl&ots=DlRSEcFeOt&sig=MzEde7IJX7ncidg8QiQMHdYy1hA&hl=en&ei=I2p3TY2mDMXnrAfF7vW_Cg&sa=X&oi=book_result&ct=result&resnum=5&ved=0CDYQ6AEwBA#v=onepage&q&f=false
Question No: 4 (Marks: 1) - Please choose one
Which of the following statements corresponds to an order-winning characteristic?
A factor which may be significant in other parts of the organization
A factor which gives an organization a competitive edge
A factor which serves as a minimum standard for purchase
A factor which increases the profitability of the organization
Question No: 5 (Marks: 1) - Please choose one
To make operations strategy effective it should be:

Independent of the organization's strategy
Consistent with the organization's strategy
Developed by a first line manager
Independent of time dimension
page#14 Operations strategy – The approach, consistent with organization strategy that is used to guide the operations function
Question No: 6 (Marks: 1) - Please choose one
Which one of the following techniques uses historical data to predict future value of a variable of interest?
Time series method
Causal forecasting method
Qualitative forecasting method
Intuitive forecasting method
***(page 35)Time series* - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values. future**
Question No: 7 (Marks: 1) - Please choose one
Which one of the following forecasting techniques uses explanatory variables to predict future demand?
Associative forecast
Time series forecast
Consumer survey
Executive opinion
(Handout page 35) *Associative models* - uses explanatory variables to predict the future for example demand for a small car may be dependant upon increase in price of petrol or CNG
Question No: 8 (Marks: 1) - Please choose one
Which one of the following involves completing a series of questionnaires each developed from the previous one, to achieve a consensus forecast?
Consumer surveys
Executive opinion
Time series forecast
Delphi method
(page 35) Managers and staff complete a series of questionnaires, each developed from the previous one, to achieve a consensus forecast.
Question No: 9 (Marks: 1) - Please choose one
In which one of the following situations, the use of a decision tree is required instead of a payoff table?
When there are more than three states of nature
When there are more than three decision payoffs
When the decision situation encompasses an extended time period
When a series of decisions is required
http://flylib.com/books/en/3.287.1.160/1/
If a decision situation requires a series of decisions, then a payoff table cannot be created, and a decision tree becomes the best method for decision analysis.
Question No: 10 (Marks: 1) - Please choose one
Which one of the following is an outcome of Maximin criterion?

The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets
(page 55)
http://books.google.com.pk/books?id=EXD1O7KwfD0C&pg=PA55&lpg=PA55&dq=Which+one+of+the+following+is+an+outcome+of+MINIMAX+regret?++++++++%E2%96%BA+The+best+of+the+worst+possible+payoff++++++++%E2%96%BA+The+best+possible+payoff++++++++%E2%96%BA+The+best+average+payoff+++++++%E2%96%BA+The+least+of+the+worst+regret&source=bl&ots=n8rZ7KlSlc&sig=L_d_kBf7Z3w7Ow2Z1y4QY6rBCiM&hl=en&ei=q093TbzSBtC2hAf46vCKAg&sa=X&oi=book_result&ct=result&resnum=7&ved=0CEYQ6AEwBg#v=snippet&q=Maximin%20&f=false

http://books.google.com/books?id=_aZmzdlrBZMC&pg=PA278&dq=Which+one+of+the+following+is+an+outcome+of+Maximin+criterion?&hl=en&ei=WHB3TdW3OorJrAfctIDACg&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDQQ6AEwAg#v=onepage&q&f=false
Question No: 11 (Marks: 1) - Please choose one
Given the table:
Possible Alternatives future demand

	Low (Rs.)	High (Rs.)
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct payoff under LAPLACE approach?
Rs. 9,000
Rs. 16,000
Rs. 33,000
Rs. 16,500
Question No: 12 (Marks: 1) - Please choose one
Which one of the following is called as the difference between designed and utilized capacity?
Design capacity(not sure)
Effective capacity
Buffer capacity
Utilization rate
Question No: 13 (Marks: 1) - Please choose one
Which one of the following mathematical expressions is used to compute utilization?
Actual output / effective capacity
Actual output / design capacity
Actual output + effective capacity
Actual output - design capacity
(Handout page 66)
Question No: 14 (Marks: 1) - Please choose one

Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?
Cash flow and fixed cost
Present value and fixed cost
Cash flow and present value
Cash flow and profit
(page 76)Capacity alternatives are often evaluated with the aid of certain financial analyses. Operations manager along with managerial accountant often work to calculate what cash flow or present value
Question No: 15 (Marks: 1) - Please choose one
Which one of the following is the first step in line balancing?
Specify the sequential relationship among tasks.
Determine the required cycle time.
Determine the minimum number of workstations.
Determine the desired output
Question No: 16 (Marks: 1) - Please choose one
Which one of the following layout types is associated with car assembly?
Fixed position layout
Process layout
Product layout
Hybrid layout
Product – Layout should suit to the nature of product and its method of production. i.e. aircraft manufacturing and car manufacturing layouts will be different. Sales also affects the layout.
http://www.scribd.com/doc/7369836/Facility-Layout
Question No: 17 (Marks: 1) - Please choose one
What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?
0.03 minutes
1.8 minutes
2700 minutes
291 minutes
Question No: 18 (Marks: 1) - Please choose one
What would be the output capacity if an assembly line operates for 7 hours per day with a cycle time of 2.0 minutes?
210 units per day
3.5 units per day
0.004 units per day
14 units per day
Question No: 19 (Marks: 1) - Please choose one
Which of the following probability distribution is used most extensively in dealing with forecasting errors?
Normal
Exponential
Beta
Pareto

(question 10)http://highered.mcgraw-hill.com/sites/0072443901/student_view0/chapter3/self_quiz_from_cd.html

Question No: 20 (Marks: 1) - Please choose one

Which of the following takes into consideration the design of aesthetics of the product?

Functional design

Production design

Service design

Product design

Question No: 21 (Marks: 1) - Please choose one

Which of the following factors are considered in product and service design?

Customer satisfaction, quality, and improvement costs

Employee motivation, quality, and production costs

Customer satisfaction, flexibility, and production costs

Customer satisfaction, quality, and production costs

Page#44

A good product/service design can ensure customer satisfaction, quality and production costs

Question No: 22 (Marks: 1) - Please choose one

An automatic car wash is an example of which of the following?

Customized service

Batch processing

Intermittent processing

Standardized service

Standardized service implies that every customer or item processed receives essentially the same service. An automatic car wash is a good example; each car, regardless of how clean or dirty it is, receives the same service. Standardized processes deliver standardized service or produce standardized goods.

http://highered.mcgraw-hill.com/sites/dl/free/0070911894/90584/2ndSampleCh4.pdf

Question No: 23 (Marks: 1) - Please choose one

Which of the following is an advantage of standardization?

Frozen designs

Customized parts

Interchangeable parts

Reduced variety

http://docs.google.com/viewer?a=v&q=cache:irU_blx_IywJ:zonecours.hec.ca/documents/H2011-1-2179442.Session7-ProductandProcessDesign.ppt+is+an+advantage+of+standardization%3F+Frozen+designs+Customized+parts+Interchangeable+parts+Reduced+variety&hl=en&pid=bl&srcid=ADGEESiRCjPPEGCrPoJ5gKeS4jDJi5K2y58gT-tmkGTpUwD2zUUcK2A-JHjO6KXoo3NaS3fYTbXPJFnxrTsh8_gHAMewUhhTMF3zs0Z3DTqgQD54mBQclpeFRV6Xcc2E6GqxGnf7J_s1&sig=AHIEtbSvIibe8xH8bREtNxavtACqS7Idfg

Slides#11 and 13

Question No: 24 (Marks: 1) - Please choose one

Which one of the following is the most significant disadvantage of standardization?

Reduced design costs

Interchangeable parts

Reduced variety
Customized parts
(slide 14)
http://docs.google.com/viewer?a=v&q=cache:irU_blx_IywJ:zonecours.hec.ca/documents/H2011-1-2179442.Session7-ProductandProcessDesign.ppt+is+an+advantage+of+standardization%3F+Frozen+designs+Customized+parts+Interchangeable+parts+Reduced+variety&hl=en&pid=bl&srcid=ADGEESiRCjPPEGCrPoJ5gKeS4jDJi5K2y58gT-tmkGTpUwD2zUUcK2A-JHjO6KXoo3NaS3fYTbXPJFnxrTsh8_gHAMewUhhTMF3zs0Z3DTqgQD54mBQclpeFRV6Xcc2E6GqxGnf7J_s1&sig=AHIEtbSvIibe8xH8bREtNxavtACqS7Idfg
Question No: 25 (Marks: 1) - Please choose one
Product life cycle is based on which of the following components?
Place
Demand
Supply
Price
http://books.google.com.pk/books?id=dKyihzhquckC&pg=PA35&dq=Product+life+cycle+is+based+on+which+of+the+following+components?++Place++Demand++Supply++Price&hl=en&ei=VHl3TavzE4r5rQfTqtW_Cg&sa=X&oi=book_result&ct=result&resnum=2&ved=0CCwQ6AEwAQ#v=onepage&q&f=false
Question No: 26 (Marks: 1) - Please choose one
Which one of the following is the final stage of product life cycle?
Growth
Decline
Maturity
Planning
Question No: 27 (Marks: 1) - Please choose one
Which one of the following statements relates to the final stage of product life cycle?
Improve reliability, and reduce production costs
Improve packaging, and reliability
Improve reliability, and reduce quality
Improve reliability, and reduce promotion costs
http://docs.google.com/viewer?a=v&q=cache:irU_blx_IywJ:zonecours.hec.ca/documents/H2011-1-2179442.Session7-ProductandProcessDesign.ppt+is+an+advantage+of+standardization%3F+Frozen+designs+Customized+parts+Interchangeable+parts+Reduced+variety&hl=en&pid=bl&srcid=ADGEESiRCjPPEGCrPoJ5gKeS4jDJi5K2y58gT-tmkGTpUwD2zUUcK2A-JHjO6KXoo3NaS3fYTbXPJFnxrTsh8_gHAMewUhhTMF3zs0Z3DTqgQD54mBQclpeFRV6Xcc2E6GqxGnf7J_s1&sig=AHIEtbSvIibe8xH8bREtNxavtACqS7Idfg
Question No: 28 (Marks: 1) - Please choose one
Which of the following refers to translate the voice of the customer into technical design requirements?
Concurrent design
Design for manufacture
Robust design
Quality functional deployment

(page43)
http://books.google.com.pk/books?id=ecCBaLGmSX4C&pg=PA43&dq=voice+of+the+customer+into+technical+design+requirements&hl=en&ei=9s10TbD_AcW28QP3paWvCA&sa=X&oi=book_result&ct=result&resnum=2&ved=0CCsQ6AEwAQ#v=onepage&q=voice%20of%20the%20customer%20into%20technical%20design%20requirements&f=false

Question No: 29 (Marks: 1) - Please choose one
Which one of the following is correct about the range of availability on a measuring index?
0.1 to 1.0
0 to 1.0
0.5 to 1.0
0.01 to 1.0
http://books.google.com.pk/books?id=aN9EbTuCve0C&pg=PA78&dq=range+of+availability+on+a+measuring+index&hl=en&ei=AXt3TezSJMLSrQef1MS_Cg&sa=X&oi=book_result&ct=result&resnum=2&ved=0CDIQ6AEwAQ#v=onepage&q&f=false

Question No: 30 (Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 250 hours between repairs, and the mean repair time is expected to be 3 hours?
1.01
5.03
3.0
0.98
Availability = (MTBF)/(MTBF + MTR)

Question No: 31 (Marks: 1) - Please choose one
Capacity planning involves answering all of the following questions EXCEPT:
What kind of capacity is needed?
How much is needed?
When is it needed?
Who is going to decide?
P--64
1. What kind of capacity is needed?
2. How much is needed?
3. When is it needed?

Question No: 32 (Marks: 1) - Please choose one
The disadvantages of specialization to management include all of the following EXCEPT:
More absenteeism
Minimum responsibility
More turnovers
More difficult to teach the job

http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html

Question No: 33 (Marks: 1) - Please choose one

Which one of the following refers to a team having representatives from different functional areas of the organization?
Traditional work group
Self-directed team
Cross-functional team
Self motivated team
(page 109)
http://books.google.com.pk/books?id=G9fVHnQRiMcC&pg=PA109&dq=a+team+having+representatives+from+different+functional+areas+of+the+organization?&hl=en&ei=ViB2TeHcK4SRswaopaH4BA&sa=X&oi=book_result&ct=result&resnum=2&ved=0CCwQ6AEwAQ#v=onepage&q=ross-functional%20team%20containing%20representatives&f=false
Question No: 34 (Marks: 1) - Please choose one
Which one of the following refers to the length of time needed to complete a job?
Work sampling methods
Work measurement
Job design
Methods analysis
(page 90) Work Measurement determines how long it should take to do a job.
Question No: 35 (Marks: 1) - Please choose one
Which one of the following location strategies follows a decentralized approach?
Process plant strategy
Market area plant strategy
Cost conservation strategy
Product plant strategy
http://www.scribd.com/doc/50297174/11/Multiple-Plant-Strategies
Question No: 36 (Marks: 1) - Please choose one
Which one of the following location strategies is favored by automobile manufacturers?
Product plant strategy
Process plant strategy
Market area plant strategy
Cost conservation strategy
(page 369)
http://books.google.com.pk/books?id=tqVIT0xE4NAC&pg=PA369&dq=Process+plant+strategy+is+favored+by+automobile+manufacturers&hl=en&ei=rCh2TZWRE4qTswaD1oCFBQ&sa=X&oi=book_result&ct=result&resnum=1&sqi=2&ved=0CCsQ6AEwAA#v=onepage&q&f=false
Question No: 37 (Marks: 1) - Please choose one
Which of the following refers to bringing together engineering design and manufacturing personnel early in the design phase.
Reverse engineering
Concurrent engineering
Manufacturability
Serviceability
(Handout page 53) Concurrent engineering is the bringing together of engineering design and manufacturing personnel early in the design phase.
Question No: 38 (Marks: 1) - Please choose one

Which of the following is the primary input in capacity planning?
Supply chain capabilities
Competitors' strengths
Demand forecasts
Overall cost estimates
(page 31)A statement about the future value of a variable of interest such as resource requirements, capacity planning, SCM and product or service demand
Question No: 39 (Marks: 1) - Please choose one
Which of the following best describes the concept of the value chain?
The step-wise increases in product prices as raw materials are turned into goods/services
Adding financial value to an organization through the acquisition of other firms
A sequence of activities that involve movement of materials in a production facility
All steps in the transformation process that add value even if they don't come from manufacturing
(Q#12) http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter1/multiple_choice_quiz.html
Question No: 40 (Marks: 1) - Please choose one
The Strategies which are more focused on maintaining or improving the quality of an organization's products or services are known as:
Quality at the source
Time based strategies
Cost leadership strategies
Quality-based strategies
Page#18 •Quality-based strategies
Ø Focuses on maintaining or improving the quality of an organization's products or services

Paper 8

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 2)

Question No: 1 (Marks: 1) - Please choose one
Which one of the following forms of productivity has units of output per dollar input?
Capital
Energy
Labor
Machine
Question No: 2 (Marks: 1) - Please choose one
What would be the productivity if a machine produced 50 units in 3 hours?
0.066 units per hr
16.66 units per hr

6.766 units per hr
60.66 units per hr
50/3=16.66
Question No: 3 (Marks: 1) - Please choose one
The major business function consisting of research and development, product design, manufacturing, marketing, distribution, and customer service is refers to:
Value chain
The transformation process
Quality control
Life cycle
http://books.google.com.pk/books?id=f5p17Sz5NLMC&pg=PA379&lpg=PA379&dq=of+research+and+development,+product+design,+manufacturing,+marketing,+distribution,+and+customer+service+is+refer+to+life+cycle&source=bl&ots=RMJzKlWMHc&sig=xTlAlvhI2ADkAdSG61mOISidtqE&hl=en&ei=5h9yTYa1NY3krAevra3SCg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CBcQ6AEwAA#v=onepage&q&f=false
Page#379
Question No: 4 (Marks: 1) - Please choose one
Which of the following is NOT usually considered a general characteristic of a service?
Production and sales cannot easily be separated functionally
Many services involve both tangible and intangible outputs
Production and consumption can always be separated
Degree of customer contact is high
http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.htmlQ#6
Question No: 5 (Marks: 1) - Please choose one
Which of the following statements corresponds to an order-winning characteristic?
A factor which may be significant in other parts of the organization
A factor which gives an organization a competitive edge
A factor which serves as a minimum standard for purchase
A factor which increases the profitability of the organization
(Handout page 15)order winners are the characteristics of an organization's services that cause it to be perceived as better than the competitors services
Question No: 6 (Marks: 1) - Please choose one
Which one of the following is an implication of Laplace approach of decision making?
The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets
Page#27
Determines the Average payoff for each alternative
Ø And chooses the alternative with the best average.
Ø This is a cautious approach
Ø Laplace approach treats the states of nature as equally likely
Question No: 7 (Marks: 1) - Please choose one
Which one of the following is an outcome of Maximin criterion?

The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets
http://books.google.com.pk/books?id=EXD1O7KwfD0C&pg=PA55&lpg=PA55&dq=Which+one+of+the+following+is+an+outcome+of+MINIMAX+regret?++++++++%E2%96%BA+The+best+of+the+worst+possible+payoff++++++++%E2%96%BA+The+best+possible+payoff++++++++%E2%96%BA+The+best+average+payoff+++++++%E2%96%BA+The+least+of+the+worst+regret&source=bl&ots=n8rZ7KlSlc&sig=L_d_kBf7Z3w7Ow2Z1y4QY6rBCiM&hl=en&ei=q093TbzSBtC2hAf46vCKAg&sa=X&oi=book_result&ct=result&resnum=7&ved=0CEYQ6AEwBg#v=snippet&q=Maximin%20&f=false
Question No: 8 (Marks: 1) - Please choose one
Given the table:
Possible Alternatives future demand
Low (Rs.) High (Rs.)
Small facility 10,000 8,000
Medium facility 12,000 20,000
Large facility 18,000 15,000
Which one of the following is the correct payoff under MAXIMIN approach?
Rs. 8,000
Rs. 12,000
Rs. 18,000
Rs. 20,000
Question No: 9 (Marks: 1) - Please choose one
Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics?
Simple moving average
Delphi method
Trend adjusted forecast
Naïve forecast
http://books.google.com/books?id=d3eREcsD35sC&pg=PA558&dq=trend+when+data+is+neither+growing+nor+declining+rapidly+and+has+no+seasonal+characteristics&hl=en&ei=zVWOTZykAoumvQPP57SmDQ&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCkQ6AEwAA#v=onepage&q=trend%20when%20data%20is%20neither%20growing%20nor%20declining%20rapidly%20and%20has%20no%20seasonal%20characteristics&f=false (page 558)
Question No: 10 (Marks: 1) - Please choose one
Which one of the following refers to the maximum output that a firm can produce under ideal conditions?
Design capacity
Effective capacity
Capacity planning
Utilization rate
Page#66,Design capacity is the maximum output rate or service capacity an operation, process, or facility.

Other ref:
http://www.scribd.com/doc/11569237/Capacity-PlanningPage#7
(Q#9)http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4472/1144974.cw/index.html
Question No: 11 (Marks: 1) - Please choose one
Which one of the following perspectives is the most obvious to be considered while evaluating alternatives for future capacity?
Social
Political
Economic
Legal
http://books.google.com.pk/books?id=tqVIT0xE4NAC&pg=PA192&dq=Economic+perspectives+evaluating+alternatives+for+future+capacity&hl=en&ei=1o13TfntIoKCOrSY1McB&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q=Economic%20perspectives%20evaluating%20alternatives%20for%20future%20capacity&f=false
Question No: 12 (Marks: 1) - Please choose one
Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?
Cash flow and fixed cost
Present value and fixed cost
Cash flow and present value
Cash flow and profit
(page 76)Capacity alternatives are often evaluated with the aid of certain financial analyses. Operations manager along with managerial accountant often work to calculate what cash flow or present value
Question No: 13 (Marks: 1) - Please choose one
Which one of the following manufacturing process is associated with high volume car manufacture?
Job shop
Assembly line
Batch
Automation
http://en.wikipedia.org/wiki/Assembly_line
Question No: 14 (Marks: 1) - Please choose one
The formula for determining the required cycle time is operation time per day divided by:
Sum of task times
Actual output per day (in units)
Number of workstation
Desired output (in units)
Question No: 15 (Marks: 1) - Please choose one
Assembly lines relate most closely to a:
Functional layout
Product layout
Process layout
Departmental layout

(Q#7)http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter8/multiple_choice_quiz.html

Question No: 16 (Marks: 1) - Please choose one

Which one of the following layout type is associated with a restaurant?

Fixed position layout

Process layout

Product layout

Hybrid layout

http://books.google.com/books?id=sWtlOeC-3pEC&pg=PA111&lpg=PA111&dq=following+layout+type+is+associated+with+a+restaurant?+++%09Fixed+position+layout++%09Process+layout++%09Product+layout++%09Hybrid+layout&source=bl&ots=sKhwhoT_jf&sig=QT8hpUDBj8MAKX_WQYluvYycPy4&hl=en&ei=NcN0TerPC4W8rAf5ytnRCg&sa=X&oi=book_result&ct=result&resnum=4&ved=0CCkQ6AEwAw#v=onepage&q&f=false

Question No: 17 (Marks: 1) - Please choose one

Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?

Exponential smoothing

Linear regression

Judgmental forecast (not sure)

Naive forecast

http://books.google.com/books?id=dNThzoekGQcC&pg=PA191&dq=Judgmental+forecast+technique+is+based+on+the+assumption+that+past+data+is+more+indicative+of+the+future+than+the&hl=en&ei=Ish0TYidH4HPrQf9q4XSCg&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDUQ6AEwAw#v=onepage&q&f=false

Question No: 18 (Marks: 1) - Please choose one

In exponential smoothing model, a denotes:

Smoothing constant

Actual forecast

Forecast error

Previous forecast

Page#40

Exponential Smoothing Model

a = Alpha smoothing constant

Question No: 19 (Marks: 1) - Please choose one

Which of the following takes into consideration the design of aesthetics of the product?

Functional design

Production design

Service design

Product design

http://books.google.com.pk/books?id=CFlyglsIINYC&pg=PA40&dq=design+of+aesthetics+of+the+product&hl=en&ei=gdZzTaWSNM6O4gb8pc3JDQ&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDkQ6AEwAw#v=onepage&q=ROLE%20OF%20AESTHETICS%20IN%20PRODUCT%20DESIGN%20Considering%20the%20importance%20of%20aesthetics&f=false

Product design (i.e., industrial design) is perhaps most associated with aesthetic considerations (Bel Geddes 1934, pp. 222-241).
http://www.acrwebsite.org/volumes/display.asp?id=7824
Question No: 20 (Marks: 1) - Please choose one
Which of the following factors are considered in product and service design?
Customer satisfaction, quality, and improvement costs
Employee motivation, quality, and production costs
Customer satisfaction, flexibility, and production costs
Customer satisfaction, quality, and production costs
Page#44.A good product/service design can ensure customer satisfaction, quality and production costs
Question No: 21 (Marks: 1) - Please choose one
Which one of the following is the overall objective of product and service design?
Customer satisfaction and variety
Customer satisfaction and profitability
Reliability and variety
Quality and reliability
Page#44,Importance of Product/Service Design
Product/Service design plays a strategic role in helping an organization achieve its goals. A good product/service design can ensure customer satisfaction, quality and production costs
Question No: 22 (Marks: 1) - Please choose one
CBR stands for which one of the following?
Commercial board of revenue
Central board of recycling
Central board of renovation
Central board of revenue
Question No: 23 (Marks: 1) - Please choose one
Which one of the following designs resists modifications?
Frozen design (not sure)
Product design
Service design
Robust design
Question No: 24 (Marks: 1) - Please choose one
Which one of the following is a curve showing failure rate over time?
Cost curve
Bath tub curve
Fish bone diagram
Reliability curve
Question No: 25 (Marks: 1) - Please choose one
Which of the following management level is responsible for long-range capacity planning?
Lower management
Middle management
Top management
Non managerial employees

REF:
*** Require an extensive knowledge of management roles and skills.**
*** They have to be very aware of external factors such as markets.**
*** Their decisions are generally of a long-term nature**
*** Their decisions are made using analytic, directive, conceptual and/or behavioral/participative processes**
http://en.wikipedia.org/wiki/Management

Question No: 26 (Marks: 1) - Please choose one
Capacity planning involves answering all of the following questions EXCEPT:
What kind of capacity is needed?
How much is needed?
When is it needed?
Who is going to decide?
Page#64
1.What kind of capacity is needed?
2. How much is needed?
3. When is it needed?

Question No: 27 (Marks: 1) - Please choose one
The advantages of specialization to management include all of the following EXCEPT:
Rapid training of the workforce
Ease in recruiting new workers
Fewer turnovers
Less boredom for workers
http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html
Q#5

Question No: 28 (Marks: 1) - Please choose one
The disadvantages of specialization to management include all of the following EXCEPT:
More absenteeism
Minimum responsibility
More turnovers
More difficult to teach the job
http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html
Q#6

Question No: 29 (Marks: 1) - Please choose one
Technology has impacted the work place by:
Adding to the existing geographical barriers for recruiting
Increasing the cost of telecommuting
Increasing the amount required to be spent on training
Unifying the workforce to a common skill level
http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html
Q#10

Question No: 30 (Marks: 1) - Please choose one

Which of the following can be used to compute standard time?
Multiplying the elemental average time by the rating factor
Dividing the average elemental time by the rating factor
Multiplying the normal cycle time by the rating factor
Multiplying the normal cycle time by one plus the allowance factor
P#92, Standard Time=ST=NT X AF is the normal time plus allowance for delays like (getting a glass of water or going to the washroom human needs)
Question No: 31 (Marks: 1) - Please choose one
Which one of the following is the focus of predetermined motion time system?
Individual human motions that are used in a job task
Determining the length of time it will take to undertake a particular task
Determining the amount of time a worker spends on various activities
Providing standard times for micro motions such as reach, move and release
http://books.google.com.pk/books?id=D0P0WX-nz6YC&pg=PA81&lpg=PA81&dq=Providing+standard+times+for+micro+motions+such+as+reach,+move+and+release&source=bl&ots=t5dQaHE5I7&sig=DPL7SZIhD33Bt5lSdfygBD3F0NY&hl=en&ei=El2OTbTBOcyPcbfz7ZcK&sa=X&oi=book_result&ct=result&resnum=6&ved=0CDoQ6AEwBQ#v=onepage&q&f=false (page 81)
Question No: 32 (Marks: 1) - Please choose one
Which one of the following is an example of community factors that affect location decisions?
Transportation
Quality of life
Location of new markets
Location of raw materials
Page#96Community Considerations
□ Quality of life
□ Services
□ Attitudes
□ Taxes
□ Environmental regulations
□ Utilities
□ Developer support
Question No: 33 (Marks: 1) - Please choose one
Which one of the following is an example of site related factors that affect location decision?
Transportation
Quality of life
Location of new markets
Location of raw materials
Page#96
Site Related Factors
•Land
•Transportation
•Environmental
•Legal

Question No: 34 (Marks: 1) - Please choose one
Which one of the following location strategies follows a decentralized approach?
Process plant strategy
Market area plant strategy
Cost conservation strategy
Product plant strategy
Question No: 35 (Marks: 1) - Please choose one
Which of the following is the primary input in capacity planning?
Supply chain capabilities
Competitors' strengths
Demand forecasts
Overall cost estimates
(Handouts Page#31)And other ref:
For conventional goods, demand forecasts are used to set safety stock and replenishment levels; to drive procurement, especially of long lead-time items; to establish production plans; and as input to capacity and financial planning processes. In services, demand forecasts are used primarily for financial planning, capacity and workforce planning.
Question No: 36 (Marks: 1) - Please choose one
Which of the following statements would generally be considered as correct job shop?
A continuous process has lower output volume as compared to job shop
Equipment flexibility is lower in job shop than that of a continuous process
Labour costs are higher in a Job Shop operation than in most other processes
Batch processing produces a more standard range of products than continuous flow processes
http://www.gorecroot.com/Questionpaper/ProcessdesigninOperationManagement.aspx
Another
http://books.google.com.pk/books?id=tqVIT0xE4NAC&pg=PA232&dq=Labor+costs+are+higher+in+a+Job+Shop+operation+than+in+most+other+processes&hl=en&ei=Oit2TeOpEsOsrAepxrG_Cg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCsQ6AEwAA#v=onepage&q=Labor%20costs%20are%20higher%20in%20a%20Job%20Shop%20operation%20than%20in%20most%20other%20processes&f=false
Question No: 37 (Marks: 1) - Please choose one
Which one of the following is TRUE about work sampling?
It describes individual human motions that are used in a job task
It involves determining the length of time it will take to undertake a particular task
It involves determining the amount of time a worker spends on various activities
It provides standard times for micro motions such as reach, move and release
Work Sampling is the statistical technique for determining the proportion of time spent by workers in various defined categories of activity (e.g. setting up a machine, assembling two parts, idle…etc
http://en.wikipedia.org/wiki/Work_sampling
Question No: 38 (Marks: 1) - Please choose one
Services differ from manufacturing in all the following ways EXCEPT:

Customers typically interact directly with the service delivery process.
Consumption and production take place simultaneously.
Services are intangible.
Services can be stored.
http://wiki.answers.com/Q/How_do_service_operations_differ_from_manufacturing_operations
Question No: 39 (Marks: 1) - Please choose one
_____ Purpose is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.
Total quality control's
Demand management's
Forecasting's
Operations management's
Question No: 40 (Marks: 1) - Please choose one
Forecasting for groups tend to be more accurate than forecasting for individual items because:
A group is composed of a number of items
A group exhibits a uniform behavior
A group cancels the forecasting errors among items
A group behavior is relatively less uncertain
Page#33·Forecasts more accurate for groups vs. individuals naturally because forecasting errors in a group tend to cancel out forecasting errors for individuals.

Paper 9

MGT613 mid 2010

Question No: 1 (Marks: 1) - Please choose one

Who developed the use of standardization in large-scale mass production using a moving assembly line?

► Frederick Winslow Taylor

► Frank Gilbreth

► Adam Smith

► Henry Ford

http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter1/multiple_choice_quiz.html Q#5

Question No: 2 (Marks: 1) - Please choose one

Which one of the following forms of productivity has units of output per shift?

► Capital

► Energy

► Labor

► Machine

Page#19 Labor Productivity: Units of output per shift

Question No: 3 (Marks: 1) - Please choose one

Which one of the following forms of productivity has units of output per dollar input?

► Capital

► Energy

► Labor

► Machine

http://www.google.com.pk/#sclient=psy&hl=en&q=Which+one+of+the+following+forms+of+productivity+has+units+of+output+per+dollar+input%3F+%E2%96%BACapital+%E2%96%BAEnergy+%E2%96%BALabor+%E2%96%BAMachine&aq=f&aqi=&aql=&oq=&pbx=1&fp=2c62c1a3e8f07f33

See slides and slide#9

Question No: 4 (Marks: 1) - Please choose one

Which one of the following is a measure of productivity that involves measuring inputs and outputs using a common unit of measurement?

► Multifactor

► Partial

► Single

► Total

Question No: 5 (Marks: 1) - Please choose one

What would be the productivity if 9 workers installed 650 square yards of carpeting in 6 hours?

► 12.03 square yards/hr
► 72.20 square yards/hr
► 108.30 square yards/hr
► 5850 square yards/hr
Question No: 6 (Marks: 1) - Please choose one

Which one of the following formulae can be used to compute value?

► (Quality + Speed – Flexibility) / Cost

► (Quality + Speed+ Flexibility) / Cost

► (Quality + Speed - Cost) / Flexibility

► (Quality + Speed+ Cost) / Flexibility

Question No: 7 (Marks: 1) - Please choose one

All of the following are examples of quantitative forecasting EXCEPT:

► Delphi method

► Time series analysis

► Associative models

► Naïve forecasting

http://books.google.com.pk/books?id=wUHzc8JtZzUC&pg=PA65&dq=examples+of+quantitative+forecasting+EXCEPT:+%E2%96%BA+Delphi+method++%E2%96%BA+Time+series+analysis+%E2%96%BA+Associative+models+%E2%96%BA+Na%C3%AFve+forecasting&hl=en&ei=oWGOTd26G5G3cZbprJIK&sa=X&oi=book_result&ct=result&resnum=2&ved=0CC8Q6AEwAQ#v=onepage&q&f=false (page 65)

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is a limitation of a moving average having a trend?

► The forecast lags behind the actual

► The forecast represents demand more accurately

► The forecast will not be accurate

► The forecast will not be reliable

Ref: However, traditional moving averages have one very serious deficiency. They are a 'lagging' technical indicator. This means that moving averages, due to their mathematical

construction (averaging prices over a number of prior periods) tend to lag behind the current market price.

http://www.tradertech.com/fast_break.asp

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is an index used to measure actual output relative to design capacity?

► Efficiency

► Effective capacity

► Effectiveness

► Utilization

Question No: 11 (Marks: 1) - Please choose one

What would be the utilization, if 34 cars are produced in a day with a design capacity of 50 cars per day?

► 68%

► 1.47%

► 84%

► 16%

Utilization = Actual Output/ Design Capacity

=34/50

68%

Question No: 12 (Marks: 1) - Please choose one

Which one of the following stages of product life cycle relates to more predictable behavior in terms of capacity requirements?

► Introduction

► Growth

► Maturity (not sure)

► Decline

Question No: 13 (Marks: 1) - Please choose one

Which one of the following layout types is associated with car assembly?

► Fixed position layout

► Process layout

► Product layout

► Hybrid layout

http://www.scribd.com/doc/7369836/Facility-Layout

Question No: 14 (Marks: 1) - Please choose one

Which of the following probability distribution is used most extensively in dealing with forecasting errors?

► Normal

► Exponential

► Beta

► Pareto

http://highered.mcgraw-hill.com/sites/0073041912/student_view0/chapter3/interactive_quiz.html Q#10

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is an application of simple exponential smoothing?

► Establishing durability

► Finding reliability

► Scheduling services

► Quality improvement

http://www.google.com/#sclient=psy&hl=en&tbm=bks&source=hp&q=William+Berry%2C+Vincent+Mabert%2C+and+Myles+Marcus+have+shown+that+simple+exponential+smoothing+can+be+valuable+in+scheduling+services%2C+such+as+bank+tellers.6+Their+study+showed+that+the+causes+of+customer+demand+can+be+identified+and+used+...&aq=f&aqi=&aql=&oq=&pbx=1&bav=on.2,or.r_gc.r_pw.&fp=2f96f37b23e704

Question No: 16 (Marks: 1) - Please choose one

Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?

► Naive forecast

► Exponential smoothing

► Linear regression

► Judgmental forecast (review again)

http://books.google.com/books?id=dNThzoekGQcC&pg=PA191&dq=Judgmental+forecast+technique+is+based+on+the+assumption+that+past+data+is+more+indicative+of+the+future+than+the&hl=en&ei=Ish0TYidH4HPrQf9q4XSCg&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDUQ6AEwAw#v=onepage&q&f=false

Question No: 17 (Marks: 1) - Please choose one

Which of the following takes into consideration the design of aesthetics of the product?

► Functional design

► Production design

► Service design

► Product design

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is the overall objective of product and service design?

► Customer satisfaction and variety

► Customer satisfaction and profitability

► Reliability and variety

► Quality and reliability

Page#44 Importance of Product/Service Design

Product/Service design plays a strategic role in helping an organization achieve its goals. A good product/service design can ensure customer satisfaction, quality and production costs

Question No: 19 (Marks: 1) - Please choose one

Which one of the following is the final stage of product life cycle?

► Growth

► Decline

► Maturity

► Planning

Question No: 20 (Marks: 1) - Please choose one

Which one of the following is the goal of method analysis?

► Dividing and analyzing a job

► Check individual human motions used to perform an operation

► Determining the length of time it will take to undertake a particular task

► Determining the amount of time a worker spends on various activities

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is the focus of predetermined motion time system?

► Individual human motions that are used in a job task

► Determining the length of time it will take to undertake a particular task

► Determining the amount of time a worker spends on various activities

► Providing standard times for micro motions such as reach, move and release

http://books.google.com.pk/books?id=QP8gUPePJsIC&pg=SA15-PA12&lpg=SA15-PA12&dq=micro+motions+such+as+reach,+move+and+release&source=bl&ots=g3B2Y1jcEZ&sig=O2r6__MLU6reqkpTKs7UhsWUMvs&hl=en&ei=JsfsTKGWPIOlcYmrgKgP&sa=X&oi=book_result&ct=result&resnum=5&ved=0CDAQ6AEwBA#v=onepage&q=micro%20motions%20such%20as%20reach%2C%20move%20and%20release&f=false

Question No: 22 (Marks: 1) - Please choose one

Which one of the following location strategies follows a decentralized approach?

► Process plant strategy

► Market area plant strategy

► Cost conservation strategy

► Product plant strategy

Question No: 23 (Marks: 1) - Please choose one

Which one of the following location strategies is favored by automobile manufacturers?

► Product plant strategy

► Process plant strategy

► Market area plant strategy

► Cost conservation strategy

Reference (Page#369)

Question No: 24 (Marks: 1) - Please choose one

In which of the following approaches location decision is based on personal opinions and quantitative information?

► Factor rating

► Market area plant strategy

► Currency fluctuations

► Product plant strategy

http://books.google.com.pk/books?id=tqVIT0xE4NAC&pg=PA369&dq=Process+plant+strategy+is+favored+by+automobile+manufacturers&hl=en&ei=rCh2TZWRE4qTswaD1oCFBQ&sa=X&oi=book_result&ct=result&resnum=1&sqi=2&ved=0CCsQ6AEwAA#v=onepage&q=%20personal%20opinions%20and%20quantitative%20information&f=false

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about the importance of capacity planning?

► It is profitable

► It increase the capacity of productive unit

► It helps managers quantify production capability

► It establishes good relationship with the customer

Acts as a major determinant of initial costs. It is typical to see that greater the capacity of a productive unit, greater would be the cost. (page 65)

Question No: 26 (Marks: 1) - Please choose one

Organizational strategies relate to which of the following sets of factors?

► Survival, profitability, growth rate and market share

► Profitability, survival, lead times and target market

► Quality, operating resources, growth rate and market share

► Scheduling, profitability, lead times and survival

http://highered.mcgraw-hill.com/sites/dl/free/0072443901/21708/ste43901_ch02qxd.pdf

Question No: 27 (Marks: 1) - Please choose one

Which one of the following forecasting methods uses subjective inputs such as opinions from consumer surveys, sales staff, managers and experts?

► Time series model

► Least Square method

► Judgmental forecasting model

► Associative forecasting model

Page# 35 · Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts. These insights are not available publicly.

Question No: 28 (Marks: 1) - Please choose one

Transportation method helps in solving which of the following problems?

► Facility location problems

► Allocation of cost problems

► Workforce management problems

► Unfamiliar laws and regulaitons problems

Page#28 Transportation Method
Transportation Method is a quantitative approach that can help solve multiple facility location problems.

Paper 10

MIDTERM EXAMINATION

Spring 2009

MGT613- Production / Operations Management (Session - 1)

A business process is a logical set of tasks or activities that:

Are specific to the operations function

Are specific to the marketing function

Are interdependent with other processes

Have exactly the same performance measures for any process

http://www.martymodell.com/pgsa2/pgsa13.html

Which of the following is referred to as plans for achieving goals?

Rules

Strategies

Policies

Mission

To make operations strategy effective it should be:

Independent of the organization's strategy

Consistent with the organization's strategy

Developed by a first line manager

Independent of time dimension

Chapter 1, Heizer/Render, 5th edition

Operations strategy is the approach consistent with organization strategy that is used to guide the operations function. It is narrower in scope, dealing with the operations aspect of the organization

Which one of the following techniques uses historical data to predict future value of a variable of interest?

Time series method

Causal forecasting method

Qualitative forecasting method

Intuitive forecasting method

□□*T time series* - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values. Some time series forecast try to smoothen out random variations in historical data. There are some time series forecast which identify specific patterns and then may even extrapolate those patterns into the future.

(Q#1)http://cwx.prenhall.com/bookbind/pubbooks/russell/chapter10/multiple1/deluxe-content.html

Which one of the following forecasting techniques uses explanatory variables to predict future demand?

Associative forecast

Time series forecast

Consumer survey

Executive opinion

Ref: • Associative models - uses explanatory variables to predict the future for example demand for a small car may be dependant upon increase in price of petrol or CNG. The analysis in this case would employ a mathematical model that would relate the predicted variable with the predictor variable or variables.

Which one of the following involves completing a series of questionnaires each developed from the previous one, to achieve a consensus forecast?

Consumer surveys

Executive opinion

Time series forecast

Delphi method

Delphi method: Managers and staff complete a series of questionnaires, each developed from the previous one, to achieve a consensus forecast.

In which one of the following situations, the use of a decision tree is required instead of a payoff table?

When there are more than three states of nature

When there are more than three decision payoffs

When the decision situation encompasses an extended time period

When a series of decisions is required

Decision Trees A schematic representation of the alternatives and their possible consequences is presented graphically. You can refer

 The diagram resembles a tree

 Extremely suitable for analyzing and evaluating situations which involve sequential decisions

 Decision Trees

http://businessmanagementcourses.org/Lesson37DecisionTheory&DecisionTrees.pdf

Given the table:

Possible Alternatives future demand

	Low (Rs.)	High (Rs.)
Small facility	**10,000**	**8,000**
Medium facility	**12,000**	**20,000**
Large facility	**18,000**	**15,000**

Which one of the following is the correct payoff under LAPLACE approach?

Rs. 9,000

Rs. 16,000

Rs. 33,000

Rs. 16,500

Which one of the following is called as the difference between designed and utilizes capacity?

Design capacity(not sure)

Effective capacity

Buffer capacity

Utilization rate

Which one of the following mathematical expressions is used to compute utilization?

Actual output / effective capacity

Actual output / design capacity

Actual output + effective capacity

Actual output - design capacity

Ref☹pg66 Utilization = Actual Out put/ Design Capacity

Which one of the following is the first step in line balancing?

Specify the sequential relationship among tasks.

Determine the required cycle time.

Determine the minimum number of workstations.

Determine the desired output

http://www.docstoc.com/docs/25331149/Assembly-Line-Balancing--Flow-Line-Balancing

What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?

0.03 minutes

1.8 minutes

2700 minutes

291 minutes

What would be the output capacity if an assembly line operates for 7 hours per day with a cycle time of 2.0 minutes?

210 units per day

3.5 units per day

0.004 units per day

14 units per day

OC = Output capacity = OT/CT

=7/2.0

=3.5

Which of the following factors are considered in product and service design?

Customer satisfaction, quality, and improvement costs

Employee motivation, quality, and production costs

Customer satisfaction, flexibility, and production costs

Customer satisfaction, quality, and production costs

An automatic car wash is an example of which of the following?

Customized service

Batch processing

Intermittent processing

Standardized service

Ref:

http://books.google.com.pk/books?id=4dC0WP0VrdcC&pg=PA398&lpg=PA398&dq=car+wash+is+the+example+of+Standardized+service&source=bl&ots=qlIIR3kpQV&sig=771YBzi3PRXOPLap7GP58ShHSYg&hl=en&ei=VirtTK-CCtDQcYfl_I4P&sa=X&oi=book_result&ct=result&resnum=2&ved=0CBsQ6AEwAQ#v=onepage&q=car%20wash%20is%20the%20example%20of%20Standardized%20service&f=false

Which of the following is an advantage of standardization?

Frozen designs

Customized parts

Interchangeable parts

Reduced variety

http://docs.google.com/viewer?a=v&q=cache:irU_blx_IywJ:zonecours.hec.ca/documents/H2011-1-2179442.Session7-

ProductandProcessDesign.ppt+is+an+advantage+of+standardization%3F+Frozen+designs+Customized+parts+Interchangeable+parts+Reduced+variety&hl=en&pid=bl&srcid=ADGEESiRCjPPEGCrPoJ5gKeS4jDJi5K2y58gT-tmkGTpUwD2zUUcK2A-JHjO6KXoo3NaS3fYTbXPJFnxrTsh8_gHAMewUhhTMF3zs0Z3DTqgQD54mBQclpeFRV6Xcc2E6GqxGnf7J_s1&sig=AHIEtbSvIibe8xH8bREtNxavtACqS7Idfg Slides#11 and 13

Which one of the following is the most significant disadvantage of standardization?

Reduced design costs

Interchangeable parts

Reduced variety

Customized parts

http://docs.google.com/viewer?a=v&q=cache:irU_blx_IywJ:zonecours.hec.ca/documents/H2011-1-2179442.Session7-ProductandProcessDesign.ppt+is+an+advantage+of+standardization%3F+Frozen+designs+Customized+parts+Interchangeable+parts+Reduced+variety&hl=en&pid=bl&srcid=ADGEESiRCjPPEGCrPoJ5gKeS4jDJi5K2y58gT-tmkGTpUwD2zUUcK2A-JHjO6KXoo3NaS3fYTbXPJFnxrTsh8_gHAMewUhhTMF3zs0Z3DTqgQD54mBQclpeFRV6Xcc2E6GqxGnf7J_s1&sig=AHIEtbSvIibe8xH8bREtNxavtACqS7Idfg Slides#11 and 14

Product life cycle is based on which of the following components?

Place

Demand

Supply

Price

Which one of the following statements relates to the final stage of product life cycle?

Improve reliability, and reduce production costs

Improve packaging, and reliability

Improve reliability, and reduce quality

Improve reliability, and reduce promotion costs

Which of the following refers to translate the voice of the customer into technical design requirements?

Concurrent design

Design for manufacture

Robust design

Quality functional deployment

Which one of the following is correct about the range of availability on a measuring index?

0.1 to 1.0

0 to 1.0

0.5 to 1.0

0.01 to 1.0

What would be the availability if a carpenter is expected to be able to operate for 250 hours between repairs, and the mean repair time is expected to be 3 hours?

1.01

5.03

3.0

0.98

Which one of the following refers to a team having representatives from different functional areas of the organization?

Traditional work group

Self-directed team

Cross-functional team

Self motivated team

Ref: Cross-functional systems were designed to integrate the activities of the entire business process, and are called so because they 'cross' departmental boundaries.

Which one of the following refers to the length of time needed to complete a job?

Work sampling methods

Work measurement

Job design

Methods analysis

p—93 Work Measurement determines how long it should take to do a job.

Which of the following refers to bringing together engineering design and manufacturing personnel early in the design phase?

Reverse engineering

Concurrent engineering

Manufacturability

Serviceability

p#53 Concurrent engineering is the bringing together of engineering design and manufacturing personnel early in the design phase.

Which of the following is the primary input in capacity planning?

Supply chain capabilities

Competitors' strengths

Demand forecasts

Overall cost estimates

Ref: For conventional goods, demand forecasts are used to set safety stock and replenishment levels; to drive procurement, especially of long lead-time items; to establish production plans; and as input to capacity and financial planning

processes. In services, demand forecasts are used primarily for financial planning, capacity and workforce planning.

Which of the following best describes the concept of the value chain?

The step-wise increases in product prices as raw materials are turned into goods/services

Adding financial value to an organization through the acquisition of other firms

A sequence of activities that involve movement of materials in a production facility

All steps in the transformation process that add value even if they don't come from manufacturing

http://www.tarrani.net/kate/docs/KnowledgeValueChain.pdf

The Strategies which are more focused on maintaining or improving the quality of an organization's products or services are known as:

Quality at the source

Time based strategies

Cost leadership strategies

Quality-based strategies

p#18 Quality-based strategies

focuses on maintaining or improving the quality of an organization's products or services

Paper 11

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 1)

Question No: 1 __ (Marks: 1) - Please choose one
Which ONE of the following statements correctly explains the role of operation's manager?
To coordinate the activities between marketing and finance department
To sustain, protect and project the company's long term strategies
To develop organizational strategy that reflects the operational strategy
To sustain, protect and project the company's operation/production side
Question No: 2 __ (Marks: 1) - Please choose one
Which one of the following decision is NOT made by operations managers?
How much capacity is required to balance demand?
What should be the location and layout of a facility?
How to improve operational efficiency?

Which market areas to manufacture the products for?
Question No: 3 __ (Marks: 1) - Please choose one
The major business function consisting of research and development, product design, manufacturing, marketing, distribution, and customer service is refers to:
Value chain
The transformation process
Quality control
Life cycle
Question No: 4 (Marks: 1) - Please choose one
Which of the following is referred to as plans for achieving goals?
Rules
Strategies
Policies
Mission
Question No: 5 (Marks: 1) - Please choose one
Which of the following statements corresponds to an order-winning characteristic?
A factor which may be significant in other parts of the organization
A factor which gives an organization a competitive edge
A factor which serves as a minimum standard for purchase
A factor which increases the profitability of the organization
Question No: 6 __ (Marks: 1) - Please choose one
Which of the following statements describes an order-qualifier characteristic?
A competitive dimension used to make final decision among competitors
A factor which directly and significantly contribute to winning business
A factor which increases the profitability of the organization
A factor perceived as a minimum standard as a potential for purchase
Page#15 Order qualifiers are those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase while order winners
Question No: 7 __ (Marks: 1) - Please choose one
As a manager, you have defined the purpose of the forecasts. What should be the next step in forecasting process?
Choose a forecasting technique.
Determine the purpose of the forecast.
Set up a time horizon or a time limit.
Collect and analyze the appropriate data.
(Handout page 34)
Question No: 8 __ (Marks: 1) - Please choose one
Which one of the following techniques uses historical data to predict future value of a variable of interest?
Time series method
Causal forecasting method
Qualitative forecasting method
Intuitive forecasting method
Question No: 9 __ (Marks: 1) - Please choose one

Which one of the following forecasting techniques use subjective inputs such as opinions from consumer surveys, sales staff, managers and experts?
Time series
Quantitative
Judgmental
Associative
(Handout page 35)
Question No: 10 __ (Marks: 1) - Please choose one
Which of the following approaches favors adopting a “go for it” strategy?
Maximin
Maximax
Minimax regret
Laplace
(Handout page 26)
Question No: 11 (Marks: 1) - Please choose one
In which one of the following situations, the use of a decision tree is required instead of a payoff table?
When there are more than three states of nature
When there are more than three decision payoffs
When the decision situation encompasses an extended time period
When a series of decisions is required
Question No: 12 (Marks: 1) - Please choose one
Which one of the following is a limitation of a moving average having a trend?
The forecast lags behind the actual
The forecast represents demand more accurately
The forecast will not be accurate
The forecast will not be reliable

Ref: However, traditional moving averages have one very serious deficiency. They are a 'lagging' technical indicator. This means that moving averages, due to their mathematical construction (averaging prices over a number of prior periods) tend to lag behind the current market price. http://www.tradertech.com/fast_break.asp

Question No: 13 (Marks: 1) - Please choose one
Which one of the following reasons account for using moving average in forecasting?
It eliminates the trend
It smoothes the random fluctuations
It counteracts the seasonal variations
It approximates the period average
http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter9/multiple_choice_quiz.html
Question No: 14 (Marks: 1) - Please choose one
Which one of the following refers to the maximum output that a firm can produce under ideal conditions?

Design capacity
Effective capacity
Capacity planning
Utilization rate
(page179)http://books.google.com/books?id=tqVIT0xE4NAC&pg=PA179&dq=maximum+output+that+a+firm+can+produce+under+ideal+conditions&hl=en&ei=aqyOTeu0D4PCvQPQ2oC0DQ&sa=X&oi=book_result&ct=result&resnum=2&ved=0CDIQ6AEwAQ#v=onepage&q=maximum%20output%20that%20a%20firm%20can%20produce%20under%20ideal%20conditions&f=false
Question No: 15 __ (Marks: 1) - Please choose one
Which one of the following mathematical expressions is used to compute utilization?
Actual output / effective capacity
Actual output / design capacity
Actual output + effective capacity
Actual output - design capacity
(Handout page 66)
Question No: 16 (Marks: 1) - Please choose one
What would be the utilization, if 40 cars are produced in a day with a design capacity of 60 cars per day?
67%
20%
100%
150%
Actual output / design capacity
40/60 *100 = 67%

Question No: 17 (Marks: 1) - Please choose one
Which of the following statements is correct about capacity evaluating alternatives?
Minimum cost and optimal operating rate are functions of size of plant.
Minimum cost and optimal operating rate are functions of fixed cost.
Minimum cost and productivity are functions of size of plant.
Maximum cost and optimal operating rate are functions of size of plant.
Question No: 18 (Marks: 1) - Please choose one
Which one of the following is the first step in line balancing?
Specify the sequential relationship among tasks.
Determine the required cycle time.
Determine the minimum number of workstations.
Determine the desired output
http://www.slidefinder.net/c/chapter_manufacturing_processes/25822455 Slide#13
Question No: 19 (Marks: 1) - Please choose one
The formula for determining the required cycle time is operation time per day divided by:

Sum of task times
Actual output per day (in units)
Number of workstation
Desired output (in units)
Page#85 *Cycle time* is the maximum time allowed at each workstation to complete its set of tasks on a unit. If CT represents cycle time and D represents the desired output then we can calculate cycle time as
CT = cycle time = OT/D
Question No: 20 __ (Marks: 1) - Please choose one
Which one of the following statements is NOT correct about cycle time?
It represents daily operating time divided by desired production
It is the maximum allowable time at each work station
It determines the time often items take to roll off in assembly line
It is the time required to complete a product from start to finish

http://www.cbpa.ewu.edu/~pnemetzmills/OMch5/pracanswers.html Q#2

Question No: 21 __ (Marks: 1) - Please choose one
What would be the required cycle time for a process that operates 9 hours daily with a desired output of 300 units per day?
0.03 minutes
1.8 minutes
2700 minutes
291 minutes
CT = cycle time = OT/D
=9/300
=0.03

Question No: 22 __ (Marks: 1) - Please choose one
What would be the output capacity if an assembly line operates for 7 hours per day with a cycle time of 2.0 minutes?
210 units per day
3.5 units per day
0.004 units per day
14 units per day
OC = Output capacity = OT/CT
=7/2.0
=3.5
Question No: 23 __ (Marks: 1) - Please choose one
Which one of the following types of manufacturing layout is considered a hybrid?
Process layout
Product layout
Fixed-position layout
All of the given options
Page#80 Hybrid/Combination. A Layout that makes use of the combination of Product, Process or Fixed Position Layout

Question No: 24 __ (Marks: 1) - Please choose one
A department store discovered that in a four-month period, the best forecast can be determined by using 50 percent of the sales for the most recent month, 20 percent of the sales of two months ago, 10 percent of the sales of three months ago, and 20 percent of the sales of four months ago. Which forecasting method should the store use to forecast demand?
Simple Moving Average
Linear Regression
Time Series Analysis
Weighted Moving Average
Question No: 25 __ (Marks: 1) - Please choose one
Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?
Exponential smoothing
Linear regression
Judgmental forecast (review again)
Naive forecast

http://books.google.com/books?id=dNThzoekGQcC&pg=PA191&dq=Judgmental+forecast+technique+is+based+on+the+assumption+that+past+data+is+more+indicative+of+the+future+than+the&hl=en&ei=Ish0TYidH4HPrQf9q4XSCg&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDUQ6AEwAw#v=onepage&q&f=false

Question No: 26 (Marks: 1) - Please choose one
Which of the following takes into consideration the design of aesthetics of the product?
Functional design
Production design
Service design
Product design

http://books.google.com.pk/books?id=CFlyglsIINYC&pg=PA40&dq=design+of+aesthetics+of+the+product&hl=en&ei=gdZzTaWSNM6O4gb8pc3JDQ&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDkQ6AEwAw#v=onepage&q=ROLE%20OF%20AESTHETICS%20IN%20PRODUCT%20DESIGN%20Considering%20the%20importance%20of%20aesthetics&f=false

Product design (i.e., industrial design) is perhaps most associated with aesthetic considerations (Bel Geddes 1934, pp. 222-241).
http://www.acrwebsite.org/volumes/display.asp?id=7824

Question No: 27 (Marks: 1) - Please choose one
Which of the following is an advantage of standardization?
Frozen designs
Customized parts
Interchangeable parts
Reduced variety

Slides No 11&13

Question No: 28 (Marks: 1) - Please choose one

Which one of the following is the most significant disadvantage of standardization?

Reduced design costs

Interchangeable parts

Reduced variety

Customized parts

See Slide#14

Question No: 29 (Marks: 1) - Please choose one

Which one of the following is TRUE about Taguchi approach?

To test the robustness of a design

To articulate the "voice of the customer"

To reduce the degree of automation

To create a concurrent design

Page#52 **Taguchi Approach To Robust Design**

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is correct about the range of availability on a measuring index?

0.1 to 1.0

0 to 1.0

0.5 to 1.0

0.01 to 1.0

http://books.google.com.pk/books?id=aN9EbTuCve0C&pg=PA78&dq=range+of+availability+on+a+measuring+index&hl=en&ei=AXt3TezSJMLSrQef1MS_Cg&sa=X&oi=book_result&ct=result&resnum=2&ved=0CDIQ6AEwAQ#v=onepage&q&f=false

Question No: 31 (Marks: 1) - Please choose one

What would be the availability if a carpenter is expected to be able to operate for 350 hours between repairs, and the mean repair time is expected to be 3 hours?

0.99

1.0

3.0

7.03

Availability = (MTBF)/(MTBF + MTR)

=350/350+3

=0.99

Question No: 32 (Marks: 1) - Please choose one

Which of the following management level is responsible for long-range capacity planning?

Lower management

Middle management

Top management

Non managerial employees

REF:

* Require an extensive knowledge of management roles and skills.
* They have to be very aware of external factors such as markets.

*** Their decisions are generally of a long-term nature**
* Their decisions are made using analytic, directive, conceptual and/or behavioral/participative processes
http://en.wikipedia.org/wiki/Management

Question No: 33 (Marks: 1) - Please choose one
Which one of the following refers to a team having representatives from different functional areas of the organization?
Traditional work group
Self-directed team
Cross-functional team
Self motivated team
Reference (Page#109)

Question No: 34 (Marks: 1) - Please choose one
Which of the following refers to changing the job role of one worker with another?
Job rotation
Job enlargement
Job enrichment
Job design
http://books.google.com.pk/books?id=vtzqtPUPakEC&pg=PA93&dq=changing+the+job+role+of+one+worker+with+another&hl=en&ei=vaZ4TbzKKIfysgbr6PjhBw&sa=X&oi=book_result&ct=result&resnum=10&ved=0CGEQ6AEwCQ#v=onepage&q=However%2C%20in%20job%20rotation%2C%20jobs%20are%20not%20redesigned.%20Employees%20simply%20move%20from%20one%20job%20to%20another%2C%20but%20the%20nature%20of%20the%20work%20does%20not%20change.%20Job%20enlargement%2C%20however%2C%20involves%20actually%20changing%20the%20job&f=false

Question No: 35 (Marks: 1) - Please choose one
Which one of the following is NOT a business application of forecasting?
Budgeting
Capacity planning
Inventory management
Quality control

Page#31 Forecasting in business forms the basis for budgeting and planning for capacity, sales, production, inventory, manpower, purchasing and more.

Question No: 36 __ (Marks: 1) - Please choose one
Which one of the following is an example of site related factors that affect location decision?
Transportation
Quality of life
Location of new markets
Location of raw materials

Page#96 Site Related Factors
•Land

•Transportation

•Environmental

•Legal

Question No: 37 __ (Marks: 1) - Please choose one
In which of the following approaches location decision is based on personal opinions and quantitative information?
Factor rating
Market area plant strategy
Currency fluctuations
Product plant strategy
Reference (Page#379)
Question No: 38 __ (Marks: 1) - Please choose one
Which of the following best describes the concept of the value chain?
• The step-wise increases in product prices as raw materials are turned into goods/services
Adding financial value to an organization through the acquisition of other firms
• A sequence of activities that involve movement of materials in a production facility
• All steps in the transformation process that add value even if they don't come from manufacturing
http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter1/multiple_choice_quiz.html Q#12
Question No: 39 __ (Marks: 1) - Please choose one
The Strategies which are more focused on maintaining or improving the quality of an organization's products or services are known as:
Quality at the source
Time based strategies
Cost leadership strategies
Quality-based strategies
Page#18 •Quality-based strategies
Focuses on maintaining or improving the quality of an organization's products or services
Question No: 40 __ (Marks: 1) - Please choose one
Which one of the following describes the Naïve forecast?
Attempt to predict the future value based on the past data.
Determine long term upward or downward movement in data.
Forecast for any period equals the previous period's actual value.
Collect outside opinion of consumer and potential customers.
REF:
Naive models where output growth is equal to previous output growth are found to perform well so there is little role for indicator variables, particularly in quieter periods.
http://www.statistics.gov.uk/elmr/08_07/downloads/ELMR08_07Chamberlin.pdf (page 42)

http://books.google.com.pk/books?id=5PeNDuM-pnQC&pg=PA42&dq=the+Na%C3%AFve+forecast+any+period+equals+the+previous+period%E2%80%99s+actual+value&hl=en&ei=R8SOTbHTHMmccbaxxfgJ&sa=X&oi=book_result&ct=result&resnum=2&ved=0CCwQ6AEwAQ#v=onepage&q&f=false

Paper 12

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 1)

Question No: 1 (Marks: 1) - Please choose one
The management of systems or processes that creates goods and provides services is known as:

Operation Management
Operation/production Management
Operation/Research Management
Production/Research Management

Page#3 Operations Management (The management of systems or processes that *create goods and/or provide services*)

Question No: 2 (Marks: 1) - Please choose one
Which one of the following forms of productivity has units of output per shift?

Capital
Energy
Labor
Machine

Page#19
Labor Productivity
Units of output per labor hour
Units of output per shift
Value-added per labor hour

Question No: 3 (Marks: 1) - Please choose one
Which one of the following forms of productivity is expressed as dollar value of output per kilowatt hour?

Machine
Capital
Energy
Labor

Page#19 **Energy Productivity**
Units of output per kilowatt-hour
Rupee value of output per kilowatt-hour

Question No: 4 (Marks: 1) - Please choose one
What would be the productivity if a machine produced 50 units in 3 hours?

0.066 units per hr
16.66 units per hr
6.766 units per hr

60.66 units per hr

Question No: 5 (Marks: 1) - Please choose one

Which of the following functions of an organization consists of all activities directly related to production of a good or service?

Operations

Marketing

Accounting

Finance

Page#7 The Operations function consists of all activities that are directly related to production of a good or service.

Question No: 6 (Marks: 1) - Please choose one

Which of the following is NOT a decision to be made by operations managers?

How much capacity is required to balance demand?

What should be the location and layout of a facility?

How to improve operational efficiency?

Which market areas to manufacture the products for?

http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html

Q#8

Question No: 7 (Marks: 1) - Please choose one

All of the following are the decision areas of an operations manager EXCEPT:

Financial reporting

Inventory management

Scheduling tasks

Supply chain management

http://wiki.answers.com/Q/What_are_Operations_management_decisions

Question No: 8 (Marks: 1) - Please choose one

Organizational strategies relate to which of the following sets of factors?

Survival, profitability, growth rate and market share

Profitability, survival, leads times and target market

Quality, operating resources, growth rate and market share

Scheduling, profitability, lead times and survival

http://highered.mcgraw-hill.com/sites/dl/free/0072443901/21708/ste43901_ch02qxd.pdf

Question No: 9 (Marks: 1) - Please choose one

Which of the following statements describes an order-qualifier characteristic?

A competitive dimension used to make final decision among competitors

A factor which directly and significantly contribute to winning business

A factor which increases the profitability of the organization

A factor perceived as a minimum standard as a potential for purchase

Page#15 Order qualifiers are those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase while order winners

Question No: 10 (Marks: 1) - Please choose one

To make operations strategy effective it should be:

Independent of the organization's strategy

Consistent with the organization's strategy

Developed by a first line manager

Independent of time

page#14Operations strategy – The approach, consistent with organization strategy that is used to guide the operations function

Question No: 11 (Marks: 1) - Please choose one

Which one of the following correctly explains the qualitative forecasting technique?

It consists mainly of numerical descriptions and defies subjective inputs of managers.

It consists mainly of subjective inputs and defies particular numerical descriptions.

It consists mainly of subjective inputs and defies human factor, personal opinions.

It consists mainly of analyzing objective and hard data and defies human factor, opinion.

Page#34 Qualitative Techniques which use subjective inputs and no numerical data. It relies solely on soft information like human factors, personal opinion, hunches. Thus Qualitative Forecasts are often biased and tilted towards what the management wants to predict.

Question No: 12 (Marks: 1) - Please choose one

Which one of the following correctly explains the quantitative forecasting technique?

It consists mainly of numerical descriptions and resist subjective inputs of managers.

It consists mainly of subjective inputs and resist particular numerical descriptions.

It consists mainly of subjective inputs and resisit human factor, personal opinions.

It consists mainly of analyzing objective and hard data and resist human factor, opinion.

Question No: 14 (Marks: 1) - Please choose one

Given the table:

Alternatives	Possible future demand	
	Low (Rs.)	High (Rs.)
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct payoff under LAPLACE approach?

Rs. 9,000

Rs. 16,000

Rs. 33,000

Rs. 16,500

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is NOT a step of decision making process?

Develop alternatives

Monitor results

Consider risk averseness strategies

Specify criteria for decision

Page#24 Normally the decision making process involves the following six important steps
1. Specify Objectives and the Criteria for decision making
2. Develop Alternatives
3. Analyze and compare alternatives.
4. Select the best alternative.
5. Implement the chosen Alternative
6. Monitor the results to ensure the desired results are achieved.

Question No: 16 (Marks: 1) - Please choose one

As an operations manager you have collected data about the demand of certain product "P" over time "t". The data shows short-term fairly regular variations over the time period "t". Which one of the following is correctly explaining the behavior of the data?

Cycle

Random variation

Seasonality

Trend

Page#37 • *Seasonality* - short-term fairly regular variations in data related to factors like weather, festive holidays and vacations. Mostly experienced by supermarkets, restaurants, theatres, theme parks.

Question No: 17 (Marks: 1) - Please choose one

Which one of the following formulae can be used to compute break even point?

Q = VC / (R - VC)

Q = FC / (R - VC)

Q = VC / (R + FC)

Q = FC / (R + VC)

Page# 76 QBEP= FC/ (R-VC)

Question No: 18 (Marks: 1) - Please choose one

ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?

833 units

2000 units

5000 units

1012 units

Page# 76 QBEP= FC/ (R-VC)
=10,000/(7-5)
=10,000/2
=5000

Question No: 19 (Marks: 1) - Please choose one

Which one of the following manufacturing process is associated with high volume car manufacture?

Job shop

Assembly line
Batch
Automation
http://en.wikipedia.org/wiki/Assembly_line
Reference

Question No: 20 (Marks: 1) - Please choose one
Which one of the following is a characteristic of continuous process?
High lead times
Short process times
The ability to handle high variety
The ability to handle high volumes
Slide#7 Slide#9

Question No: 21 (Marks: 1) - Please choose one
Which of the following refers the way an organization chooses to produce its good or services?
Process selection
Process reengineering
Process redesign
Process design
Page#77 Process Selection refers to the way an organization chooses to produce its good or services
Question No: 22 (Marks: 1) - Please choose one
Which one of the following is an example of business that uses job shop process structure?
French restaurants
Heavy equipment
Sugar refinery
Automobile assembly
Page#329 Under the heading of competitive advantages
http://books.google.com.pk/books?id=k6f5tti-_cIC&pg=PA329&dq=Job+shop+restaurants&hl=en&ei=uRl2TaC_I83EswaWlLnxBA&sa=X&oi=book_result&ct=result&resnum=2&ved=0CDoQ6AEwAQ#v=onepage&q=Job%20shop%20restaurants&f=false
Question No: 23 (Marks: 1) - Please choose one
In which of the following layouts, work stations are arranged according to the general function they perform without regard to any particular product?
Product
Process
Fixed-position
Storage
In a Process layout, work stations are arranged according to the general function they perform without regard to any particular product.
http://www.scribd.com/doc/12630674/MBA-IInd-SEM-POM-Chapter02-Layoutsimplfied
Question No: 24 (Marks: 1) - Please choose one

Which of the following layout types is associated with a supermarket?

Fixed position layout

Process layout

Product layout

Cellular layout

Reference(Page#28)

Other ref

Supermarket layouts are essentially process layouts, yet we find that most use fixed-path material-handling devices such as roller-type conveyors in the stockroom and belt-type conveyors at the cash registers.

Question No: 25 (Marks: 1) - Please choose one

OSHA stands for which one of the following?

Occupational stock hygiene administration

Occupational safety hygiene administration

Occupational safety hygiene agency

Occupational science hygiene administration

Page#46 OSHA refers to Occupational Safety Hygiene Administration,

Question No: 26 (Marks: 1) - Please choose one

In order to comply with the environmental standards, an organization ABC has to implement Occupational Safety Hygiene Administration (OSHA).Which one of the following is a way to accomplish this task?

Promoting friendly relations among employees

Installing safety guards and devices to reduce the risk of potential accidents

Installing machinery to make the process speedy

Installing machinery that provides cost effective output

Question No: 27 (Marks: 1) - Please choose one

Which one of the following statements is TRUE about product life cycle?

It depicts demand of a product at various price levels

It depicts demand of a product with respect to time

It relates demand of a product to quality

It relates demand of a product to market share

http://books.google.com/books?id=pY9pMcACHjIC&pg=PA27&dq=demand+of+a+product+with+respect+to+time++product+life+cycle&hl=en&ei=yNqOTcOgI4z8vQOa6ZW-DQ&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDIQ6AEwAg#v=onepage&q&f=false

Question No: 28 (Marks: 1) - Please choose one

Which one of the following is TRUE about Taguchi approach?

To test the robustness of a design

To articulate the “voice of the customer”

To reduce the degree of automation
To create a concurrent design

Page#52 Taguchi Approach To Robust Design

Question No: 29 (Marks: 1) - Please choose one
The disadvantages of specialization to management include all of the following EXCEPT:

More absenteeism
Minimum responsibility
More turnovers
More difficult to teach the job

http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.html Q#6

Question No: 30 (Marks: 1) - Please choose one
Technology has impacted the work place by:

Adding to the existing geographical barriers for recruiting
Increasing the cost of telecommuting
Increasing the amount required to be spent on training
Unifying the workforce to a common skill level

http://highered.mcgraw-hill.com/sites/0072402857/student_view0/chapter10/multiple_choice_quiz.htmlQ#10

Question No: 31 (Marks: 1) - Please choose one
Which one of the following refers to a team having representatives from different functional areas of the organization?

Traditional work group
Self-directed
Cross-functional team
Self motivated team

Reference (Page#109)

Question No: 32 (Marks: 1) - Please choose one
Which one of the following is NOT a business application of forecasting?

Budgeting
Capacity planning
Inventory management
Quality control

Page#31: Forecasting in business forms the basis for budgeting and planning for capacity, sales, production, inventory, manpower, purchasing and more.

Question No: 33 (Marks: 1) - Please choose one
Which one of the following factors makes a forecast LESS perfect?

Randomness

Non serious attitude
Non availability of data
Un qualified personnel

Reference (Page#69)

Question No: 34 (Marks: 1) - Please choose one

Which one of the following is an example of community factors that affect location decisions?

Transportation

Quality of life

Location of new markets

Location of raw materials

Page#96 Community Considerations

- **Quality of life**
- **Services**
- **Attitudes**
- **Taxes**
- **Environmental regulations**
- **Utilities**
- **Developer support**

Question No: 35 (Marks: 1) - Please choose one

Which one of the following location strategies is favored by automobile manufacturers?

Product plant strategy

Process plant strategy

Market area plant strategy

Cost conservation strategy

Reference (Page#369)

Question No: 36 (Marks: 1) - Please choose one

Which one the following is an assumption of center of gravity method?

The quantity to be shipped is variable

The quantity to be shipped is fixed

The quantity carries no value

The quantity to be shipped should be extraordinarily high

The center of gravity method is used to determine the location of a single distribution center that will minimize distribution costs. It treats distribution cost as a linear function of the distance and the quantity shipped, which is assumed to be fixed,

http://farfromneutral.com/kaizen/center-of-gravity-method/

Question No: 37 (Marks: 1) - Please choose one

Which of the following statements would generally be considered as correct job shop?

A continuous process has lower output volume as compared to job shop

Equipment flexibility is lower in job shop than that of a continuous process

Labor costs are higher in a Job Shop operation than in most other processes

Batch processing produces a more standard range of products than continuous flow processes

Reference 1

http://www.gorecroot.com/Questionpaper/ProcessdesigninOperationManagement.aspx

Question No: 38 (Marks: 1) - Please choose one

Which one of the following is NOT an input in the transformation process?

Information

Services

Facilities

Materials

http://www.jpcmediallc.com/acrobat/managment.pdf

Question No: 39 (Marks: 1) - Please choose one

Which one of the following describes the Naïve forecast?

Attempt to predict the future value based on the past data.

Determine long term upward or downward movement in data.

Forecast for any period equals the previous period's actual value.

Collect outside opinion of consumer and potential customers.

REF: Naive models where output growth is equal to previous output growth are found to perform well so there is little role for indicator variables, particularly in quieter periods.
http://www.statistics.gov.uk/elmr/08_07/downloads/ELMR08_07Chamberlin.pdf

Question No: 40 (Marks: 1) - Please choose one

Which one of the following is an advantage of a moving average forecast?

All the values in the average are weighted equally

The method is reliable to forecast the demand accurately

The method is easy to compute and easy to understand

The most recent values are given the more weight age

Reference (Page#348)
http://docs.google.com/viewer?a=v&q=cache:G4FeLS_IGOkJ:www.utdallas.edu/~metin/Ba3352/Slides/forecast.ppt+advantage+of+a+moving+average+forecast?+All+the+values+in+the+average+are+weighted+equally+The+method+is+reliable+to+forecast+the+demand+accurately+The+method+is+easy+to+compute+and+easy+to+understand+The+most+recent+values+are+given+the+more+weight+age&hl=en&gl=pk&pid=bl&srcid=ADGEESjewxOkYgodMgJPUN-hX9YUDCsBksxe7BdlUDsE6sQz4DSnEeryf0eatZCXd_tCT2iZddZcq7T_3qNKOaEiGoFkhrWD40TcHmQnd8xlAtu8Y6fKTSGirKkumPw5m7whntTw8pqS&sig=AHIEtbRyfmwVCNBKTpbGG4MO9achWSpMMw&pli=1 **(slide 28)**

Paper 13

MIDTERM EXAMINATION

Spring 2009

MGT613- Production / Operations Management (Session - 2)

The major business function consisting of research and development, product design, manufacturing, marketing, distribution, and customer service is refers to:

Value chain

The transformation process

Quality control

Life cycle

http://books.google.com.pk/books?id=f5p17Sz5NLMC&pg=PA379&lpg=PA379&dq=of+research+and+development,+product+design,+manufacturing,+marketing,+distribution,+and+customer+service+is+refer+to+life+cycle&source=bl&ots=RMJzKlWMHc&sig=xTlAlvhI2ADkAdSG61mOISidtqE&hl=en&ei=5h9yTYa1NY3krAevra3SCg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CBcQ6AEwAA#v=onepage&q&f=false

Which of the following is NOT usually considered a general characteristic of a service?

Production and sales cannot easily be separated functionally

Many services involve both tangible and intangible outputs

Production and consumption can always be separated

Degree of customer contact is high

http://www.globalguideline.com/interview_questions/Answer.php?a=Which_of_the_following_would_not_normally_be_considered_a_general_characteristic_of_a_service

http://wps.pearsoned.co.uk/ema_uk_he_slack_opsman_4/17/4471/1144826.cw/index.html

Which one of the following is an implication of Laplace approach of decision making?

The best of the worst possible payoff

The best possible payoff

The best average payoff

The least of the worst regrets

Which one of the following is an outcome of Maximin critrion?

The best of the worst possible payoff

The best possible payoff

The best average payoff

The least of the worst regrets

http://books.google.com.pk/books?id=EXD1O7KwfD0C&pg=PA55&lpg=PA55&dq=Which+one+of+the+following+is+an+outcome+of+MINIMAX+regret?+++++++%E2%96%BA+The+best+of+the+worst+possible+payoff++++++++%E2%96%BA+The+best+possible+payoff++++++++%E2%96%BA+The+best+average+payoff+++++++++%E2%96%BA+The+least+of+the+worst+regret&source=bl&ots=n8rZ7KlSlc&sig=L_d_kBf7Z3w7Ow2Z1y4QY6rBCiM&hl=en&ei=q093TbzSBtC2hAf46vCKAg&sa=X&oi=book_result&ct=result&resnum=7&ved=0CEYQ6AEwBg#v=snippet&q=Maximin%20&f=false

Given the table:

Possible Alternatives future demand

Low (Rs.) High (Rs.)

Small facility 10,000 8,000

Medium facility 12,000 20,000

Large facility 18,000 15,000

Which one of the following is the correct payoff under MAXIMIN approach?

Rs. 8,000

Rs. 12,000

Rs. 18,000

Rs. 20,000

Which one of the following forecasting techniques is used to identify a trend when data is neither growing nor declining rapidly and has no seasonal characteristics?

Simple moving average

Delphi method

Trend adjusted forecast

Naïve forecast

Which one of the following refers to the maximum output that a firm can produce under ideal conditions?

Design capacity

Effective capacity

Capacity planning

Utilization rate

REF: page#74

http://books.google.com.pk/books?id=HH0vVv6dMb0C&pg=PA74&lpg=PA74&dq=Design+capacity++refers+to+the+maximum+output+that+a+firm+can+produce+under+ideal+conditions?&source=bl&ots=X5YWVj3R7U&sig=kpXkyYt1evcdibLa83oy8Mrpkgw&hl=en&ei=EuXsTJGQFZCrceHk4LkP&sa=X&oi=book_result&ct=result&resnum=6&ved=0CD0Q6AEwBQ#v=onepage&q=ideal%20conditions&f=false

Which one of the following perspectives is the most obvious to be considered while evaluating alternatives for future capacity?

Social

Political

Economic p#70

Legal

Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?

Cash flow and fixed cost

Present value and fixed cost

Cash flow and present value

Cash flow and profit

p# Ref: Operations manager along with managerial accountant often work to calculate what cash flow or present value in terms of rupees is available for the organization to proceed with a capacity alternative decision.(page 76)

Which one of the following manufacturing process is associated with high volume car manufacture?

Job shop

Assembly line

Batch

Automation

The formula for determining the required cycle time is operation time per day divided by:

Sum of task times

Actual output per day (in units)

Number of workstation

Desired output (in units)

Assembly lines relate most closely to a:

Functional layout

Product layout

Process layout

Departmental layout

Which one of the following layout type is associated with a restaurant?

Fixed position layout

Process layout

Product layout

Hybrid layout

In exponential smoothing model, a denotes:

Smoothing constant

Actual forecast

Forecast error

Previous forecast

CBR stands for which one of the following?

Commercial board of revenue

Central board of recycling

Central board of renovation

Central board of revenue

Which one of the following designs resists modifications?

Frozen design p 48 (review again)

Product design

Service design

Robust design

Which one of the following is a curve showing failure rate over time?

Cost curve

Bath tub curve

Fish bone diagram

Reliability curve

Which of the following management level is responsible for long-range capacity planning?

Lower management

Middle management

Top management

Non managerial employees

Capacity planning involves answering all of the following questions EXCEPT:

What kind of capacity is needed?

How much is needed?

When is it needed?

Who is going to decide?

The advantages of specialization to management include all of the following EXCEPT:

Rapid training of the workforce

Ease in recruiting new workers

Fewer turnovers

Less boredom for workers

The disadvantages of specialization to management include all of the following EXCEPT:

More absenteeism

Minimum responsibility

More turnovers

More difficult to teach the job

Technology has impacted the work place by:

Adding to the existing geographical barriers for recruiting

Increasing the cost of telecommuting

Increasing the amount required to be spent on training

Unifying the workforce to a common skill level

Which of the following can be used to compute standard time?

Multiplying the elemental average time by the rating factor

Dividing the average elemental time by the rating factor

Multiplying the normal cycle time by the rating factor

Multiplying the normal cycle time by one plus the allowance factor

Page#92 Standard Time=ST=NT X AF is the normal time plus allowance for delays like (getting a glass of water or going to the washroom human needs)

Which one of the following is an example of community factors that affect location decisions?

Transportation

Quality of life

Location of new markets

Location of raw materials

Community Considerations p#96

Quality of life

Services

Attitudes

Taxes

Environmental regulations

Utilities

Developer support

Which one of the following is an example of site related factors that affect location decision?

Transportation

Quality of life

Location of new markets

Location of raw materials

Site Related Factors

•Land

•Transportation

•Environmental

•Legal

Which of the following statements would generally be considered as correct job shop?

A continuous process has lower output volume as compared to job shop

Equipment flexibility is lower in job shop than that of a continuous process

Labour costs are higher in a Job Shop operation than in most other processes

Batch processing produces a more standard range of products than continuous flow processes

http://www.netmba.com/operations/process/structure/

http://books.google.com.pk/books?id=tqVIT0xE4NAC&pg=PA232&dq=Labour+costs+are+higher+in+a+Job+Shop+operation+than+in+most+other+processes&hl=en&ei=b8F3TajMG8X5rAfS-vC-Cg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCsQ6AEwAA#v=onepage&q&f=false

Which one of the following is TRUE about work sampling?

It describes individual human motions that are used in a job task

It involves determining the length of time it will take to undertake a particular task

It involves determining the amount of time a worker spends on various activities

It provides standard times for micro motions such as reach, move and release

http://books.google.com.pk/books?id=wUHzc8JtZzUC&pg=PA382&dq=It+involves+determining+the+amount+of+time+a+worker+spends+on+various+activities&hl=en&ei=6MF3TZ6VFMzHrQfQl_y-Cg&sa=X&oi=book_result&ct=result&resnum=3&ved=0CDEQ6AEwAg#v=onepage&q&f=false

Purpose is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

Total quality controls

Demand management's

Forecasting's

Operations management's

Forecasting for groups tend to be more accurate than forecasting for individual items because:

A group is composed of a number of items

A group exhibits a uniform behavior

A group cancels the forecasting errors among items

A group behavior is relatively less uncertain

Page#33 •Forecasts more accurate for groups vs. individuals naturally because forecasting errors in a group tend to cancel out forecasting errors for individuals.

Paper 14

MIDTERM EXAMINATION
Spring 2009
MGT613- Production / Operations Management (Session - 2)

Question No: 1 __ (Marks: 1) - Please choose one
Which of the following is NOT a decision to be made by operations managers?
How much capacity is required to balance demand?
What should be the location and layout of a facility?
How to improve operational efficiency?
Which market areas to manufacture the products for?

Question No: 2 (Marks: 1) - Please choose one
Which one of the following forecasting technique is based on historical data?
Judgmental
Associative
Time series
Qualitative

Question No: 3 __ (Marks: 1) - Please choose one
Which one of the following is an outcome of Maximax?
The best of the worst possible payoff
The best possible payoff
The best average payoff
The least of the worst regrets

Maximax
- **Maximax determines**
- **the best possible outcome**
- **Choose the Alternative with the best possible payoff.**
- **It does not take into account any other alternative then the best payoff.**
- **An optimistic approach.**
- **Go for it strategy.**

Question No: 4 __ (Marks: 1) - Please choose one
Given the table:
Alternatives Possible future demand

	Low (Rs.)	High (Rs.)
Small facility	10,000	8,000
Medium facility	12,000	20,000
Large facility	18,000	15,000

Which one of the following is the correct payoff under MAXIMIN approach?
Rs. 8,000
Rs. 12,000
Rs. 18,000
Rs. 20,000

Question No: 5 __ (Marks: 1) - Please choose one
A workers strike represents which of the following behaviors of a time series?

Cycle
Trend
Seasonality
Irregular variations
Question No: 6 (Marks: 1) - Please choose one
Which one of the following is an index used to measure actual output relative to design capacity?
Utilization
Efficiency
Effective capacity
Effectiveness
Question No: 7 __ (Marks: 1) - Please choose one
What would be the utilization, if 34 cars are produced in a day with a design capacity of 50 cars per day?
16%
68%
1.47%
84%
Utilization = Actual Output/ Design Capacity
=34/50
=68%
Question No: 8 __ (Marks: 1) - Please choose one
Effective capacity is influenced by all of the following factors EXCEPT:
Facilities
Product mix
Processes
Operations
Question No: 9 (Marks: 1) - Please choose one
Which one of the following statement represents use of cost-volume analysis?
It is a tool for reliability measurement
It provides a base for marketing research
It helps in comparing capacity alternatives
It is important in product design
Cost Volume Relationship focuses on relationships between costs, revenue and volume of output. The primary purpose of cost volume analysis is to estimate the income of an organization under different operating conditions. It is particularly useful as a tool for comparing capacity alternatives.
Question No: 10 (Marks: 1) - Please choose one
ABC Corporation has planned to purchase a new machine. Total annual fixed cost is Rs. 10,000, variable cost is Rs. 5 per unit and revenue is Rs. 7 per unit. What would be the break even point?
833 units
2000 units
5000 units
1012 units
Question No: 11 __ (Marks: 1) - Please choose one

Which of the following terms of financial analysis are important for the organization to proceed with a capacity alternative decision?
Cash flow and fixed cost
Present value and fixed cost
Cash flow and present value
Cash flow and profit
Question No: 12 (Marks: 1) - Please choose one
Which of the following is an example of a business that uses assembly line process structure?
Automobile assembly
Sugar refinery
Heavy equipment
French restaurants
http://highered.mcgraw-hill.com/sites/0072983906/student_view0/chapter6/multiple_choice_quiz.html
Question No: 13 (Marks: 1) - Please choose one
Which one of the following is a type of layout where equipment, machinery and people are moved as required?
Product layout
Fixed position layout
Process layout
Hybrid layout
http://www.scribd.com/doc/19099888/Types-of-Layout
(Handout page 80) Fixed Position layout. A Layout in which the product or project remains stationary, and workers, materials, and equipment are moved as needed
Question No: 14___(Marks: 1) - Please choose one
A self-service cafeteria is usually positioned as:
Process layout
Fixed position layout
Hybrid layout
Product layout
http://www.scribd.com/doc/28069813/Facilities-Planning-and-Layout
http://books.google.com.pk/books?id=sWtlOeC-3pEC&pg=PA110&dq=A+self-service+cafeteria+is+usually+positioned+as+Hybrid+layout&hl=en&ei=7c53TbXbMYr3sgby17H2BA&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCsQ6AEwAA#v=onepage&q=Self-service%20fast-food%20outlet&f=false
Question No: 15 (Marks: 1) - Please choose one
Which one of the following mathematical expressions can be used to compute output capacity?
OT/CT
CT/OT
CT+OT
CT-OT
(page 85)

Question No: 16 (Marks: 1) - Please choose one
Which one of the following types of manufacturing layout is considered a hybrid?
Process layout
Product layout
Fixed-position layout
All of the given options
(page 80)Hybrid/Combination. A Layout that makes use of the combination of Product, Process or Fixed Position Layout.
Question No: 17 (Marks: 1) - Please choose one
Which of the following forecasting technique is based on the assumption that past data is more indicative of the future than the most recent occurrences?
Exponential smoothing
Linear regression
Judgmental forecast (review again)
Naive forecast
http://books.google.com/books?id=dNThzoekGQcC&pg=PA191&dq=Judgmental+forecast+technique+is+based+on+the+assumption+that+past+data+is+more+indicative+of+the+future+than+the&hl=en&ei=Ish0TYidH4HPrQf9q4XSCg&sa=X&oi=book_result&ct=result&resnum=4&ved=0CDUQ6AEwAw#v=onepage&q&f=false
Question No: 18 (Marks: 1) - Please choose one
Which one of the following is responsible for administering environmental issues about product and service design?
Central Board Revenue
Environmental Protection Agency
Federal Drug Agency
Occupational Safety Hygiene Administration
Question No: 19 __ (Marks: 1) - Please choose one
Which of the following factors are considered in product and service design?
Customer satisfaction, quality, and improvement costs
Employee motivation, quality, and production costs
Customer satisfaction, flexibility, and production costs
Customer satisfaction, quality, and production costs
Question No: 20 (Marks: 1) - Please choose one
OSHA stands for which one of the following?
Occupational stock hygiene administration
Occupational safety hygiene administration
Occupational safety hygiene agency
Occupational science hygiene administration
Question No: 21 (Marks: 1) - Please choose one
In order to comply with the environmental standards, an organization ABC has to implement Occupational Safety Hygiene Administration (OSHA).Which one of the following is a way to accomplish this task?
Promoting friendly relations among employees
Installing safety guards and devices to reduce the risk of potential accidents(not sure)
Installing machinery to make the process speedy

Installing machinery that provides cost effective output
Question No: 22 (Marks: 1) - Please choose one
Which one of the following designs resists modifications?
Frozen design (not sure)
Product design
Service design
Robust design
Question No: 23 __ (Marks: 1) - Please choose one
Which one of the following is TRUE about Taguchi approach?
To test the robustness of a design
To articulate the "voice of the customer"
To reduce the degree of automation
To create a concurrent design
Question No: 24 __ (Marks: 1) - Please choose one
Which one of the following refers to a design that takes into account organization's operational capabilities, when designing a product?
Design for assembly
Design for manufacturing
Design for recycling
Design for disassembly
(page 51)Design for Manufacturing (DFM): The designers' consideration of the organization's manufacturing capabilities when designing a product. The more general term design for operations encompasses services as well as manufacturing.
Manufacturability is the ease of fabrication and/or assembly which is important for:
i. Cost
ii. Productivity
iii. Quality
Question No: 25 (Marks: 1) - Please choose one
Which one of the following refers to using some of the components of old products in the manufacturing of new products?
Manufacturability
Remanufacturing
Robust design
Automation
(page 51)Design for Remanufacturing: Using some of the components of the old products in the manufacture of new products

Question No: 26 __ (Marks: 1) - Please choose one
MTBF refers to which of the following?
Measure time before failure
Mean time between failures ___
Mean time before failure
Measure test before failure
(page 63)If we represent mean time between failures by MTBF
Question No: 27___(Marks: 1) - Please choose one
What would be the availability if a carpenter is expected to be able to operate for 300 hours between repairs, and the mean repair time is expected to be 2 hours?

6.02
2.0
0.99
0.006

Question No: 28 __ (Marks: 1) - Please choose one
Which of the following management level is responsible for long-range capacity planning?
Lower management
Middle management
Top management
Non managerial employees
Question No: 29 (Marks: 1) - Please choose one
Capacity planning involves answering all of the following questions EXCEPT:
What kind of capacity is needed?
How much is needed?
When is it needed?
Who is going to decide?
Question No: 30 (Marks: 1) - Please choose one
Which one of the following is the goal of method analysis?
Dividing and analyzing a job
Check individual human motions used to perform an operation
Determining the length of time it will take to undertake a particular task
Determining the amount of time a worker spends on various activities
Question No: 31 (Marks: 1) - Please choose one
Which one of the following is the goal of work sampling?
Individual human motions that are used in a job task
Determining the length of time it will take to undertake a particular task
Determining the amount of time a worker spends on various activities
Specifying the content and methods to perform a job
Work Sampling is the statistical technique for determining the proportion of time spent by workers in various defined categories of activity (e.g. setting up a machine, assembling two parts, idle…etc
http://en.wikipedia.org/wiki/Work_sampling
Question No: 32 (Marks: 1) - Please choose one
Which one of the following refers to a team having representatives from different functional areas of the organization?
Traditional work group
Self-directed team
Cross-functional team
Self motivated team
Question No: 33 (Marks: 1) - Please choose one
Which one of the following is NOT a business application of forecasting?
Budgeting
Capacity planning
Inventory management

Quality control

Page#31 Forecasting in business forms the basis for budgeting and planning for capacity, sales, production, inventory, manpower, purchasing and more.

Question No: 34 __ (Marks: 1) - Please choose one
Which one of the following factors makes a forecast LESS perfect?
Randomness
Non serious attitude
Non availability of data
Un qualified personnel
http://books.google.com.pk/books?id=tqVIT0xE4NAC&pg=PA69&dq=forecast+LESS+perfect+due+to+Randomness&hl=en&ei=SCR2TYC3E4Pzsgb0lKztCA&sa=X&oi=book_result&ct=result&resnum=10&ved=0CFgQ6AEwCQ#v=onepage&q=randomness%2C%20precludes%20a%20perfect%20forecast&f=false
Question No: 35 (Marks: 1) - Please choose one
An example of a business/industry that uses batch flow process structure is:
Commercial printer
Heavy equipment
Automobile assembly
Sugar refinery
Question No: 36 __ (Marks: 1) - Please choose one
Which one of the following is TRUE about work sampling?
It describes individual human motions that are used in a job task
It involves determining the length of time it will take to undertake a particular task
It involves determining the amount of time a worker spends on various activities
It provides standard times for micro motions such as reach, move and release
Question No: 37 (Marks: 1) - Please choose one
Which of the following is a difference of service organizations as compared to manufacturing organizations?
Manufacturing organizations are more specialized than service organizations
Manufacturing firms have more variety than service organizations.
Service firms are more flexible than manufacturing organizations
Manufacturing decisions are made by maximizing the profit potential (not sure)

Question No: 38 (Marks: 1) - Please choose one
All of the following are examples of time based strategies EXCEPT:
Products /service design time
Processing time
Response time for complaints
Response time for innovation
(handout page 18)
Question No: 39 __ (Marks: 1) - Please choose one

purpose is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.
Total quality control's
Demand management's
Forecasting's
Operations management's
Question No: 40 (Marks: 1) - Please choose one
Which one of the following is an advantage of a moving average forecast?
All the values in the average are weighted equally
The method is reliable to forecast the demand accurately
The method is easy to compute and easy to understand
The most recent values are given the more weight age

Paper 15

MIDTERM EXAMINATION

Spring 2009

MGT613- Production / Operations Management (Session - 2)

Within the operations function, which one of the following is a long-term management decision?

►Control decision

►Non-operational decision

►Strategic decision

►Tactical decision

Which one the following formula or function can be used to measure the performance?

► Flexibility + profit+ operations

►Work + profit + value

►Quality + speed + flexibility

►Profit + Incentives + standards

Ref:Value= Performance/Cost= (Quality +Speed+ Flexibility)/Cost

So Performance = Quality +Speed+ Flexibility

Which of the following statements corresponds to an order-winning characteristic?

►A factor which may be significant in other parts of the organization

►A factor which gives an organization a competitive edge

►A factor which serves as a minimum standard for purchase

►A factor which increases the profitability of the organization

As a manager, you have defined the purpose of the forecasts. What should be the next step in forecasting process?

►Choose a forecasting technique

►Determine the purpose of the forecast

►Set up a time horizon or a time limit

►Collect and analyze the appropriate data.

Which one of the following forecasting technique is based on historical data?

►Judgmental

►Associative

► Time series

► Qualitative

Ref: *time series* - uses historical data assuming the future will be like the past and depend on developing relationships between variables that can be expressed to predict future values.

Which one of the following forecasting techniques use subjective inputs from consumer surveys, sales staff, managers and experts?

►Time series

►Quantitative

►Judgmental

►Associative

Ref: · Judgmental - uses subjective inputs meaning that a judgmental forecast rely on analysis of subjective inputs obtained from various sources, such as consumer surveys, the sales staff, managers and executives, and panels of experts. These insights are not available publicly.

Which of the following approaches favours adopting a "go for it" strategy?

►Maximin

►**Maximax**

►Minimax regret

►Laplace

p#26

Possible future demand	
Low (Rs.)	**High (Rs.)**
10,000	8,000
12,000	20,000
18,000	15,000

Given the table:

Alternatives

Small facility Medium facility large facility

Which one of the following is the correct payoff under MAXIMAX approach?

►Rs. 10,000

►Rs.18,000

►**Rs.20,000**

►Rs.32,000

Which one of the following is NOT a step of decision making process?

►Develop alternatives

►Monitor results

►**Consider risk averseness strategies**

►Specify criteria for decision

Ref: 1. Specify Objectives and the Criteria for decision making

2. Develop Alternatives

3. Analyze and compare alternatives.

4. Select the best alternative.

5. Implement the chosen Alternative

6. Monitor the results to ensure the desired results are achieved.

Which one of the following stages of product life cycle relates to more predictable behaviour in terms of capacity requirements?

►Introduction

►Growth

►Maturity(not sure)

►Decline

***Plateau phase*: In the plateau or market maturity phase the size of market starts to become constant with no considerable growth. Once this phase is reached, organisations tend to have a stable market share, all things kept constant. At this stage, organisations increase profitability by reducing costs and utilising available manufacturing capacity to the maximum. However, there is the possibility of some organisations trying to increase profitability by increasing manufacturing capacity! The strategy is to increase manufacturing capacity, which results in reducing costs resulting in lower pricing which in turn helps gain market share. The increase in manufacturing capacity in the plateau or maturity phase however, is most often in small amounts than in large degrees**

Which one of the following statement is TRUE about cost-volume relationship?

►It represents the relationship between cost, revenue and volume of output.

►It represents the relationship between cost and volume of output.

►It represents the relationship between cost and revenue.

►It represents the relationship between inputs, cost and volume of output.

Ref: Cost Volume Relationship focuses on relationships between costs, revenue and volume of output.

Which one of the following formulae can be used to compute break even point?

►Q = VC / (R - VC)

►Q = FC / (R - VC)

►Q = VC / (R + FC)

►Q = FC / (R + VC)

Ref: QBEP = FC/ R-VC

Which of the following is a system designed to coordinate all activities and information needed to complete business processes?

►Enterprise resource planning

►Supply chain management

►New product development

►Customer relationship management

(page 509)http://books.google.com.pk/books?id=9hm1-xNYbIcC&pg=PA509&dq=system+designed+to+coordinate+all+activities+and+information+needed+to+complete+business+processes?&hl=en&ei=T8R3Te3iMI7QrQel56y_Cg&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q=system%20designed%20to%20coordinate%20all%20activities%20and%20information%20needed%20to%20complete%20business%20processes%3F&f=false

Which of the following is NOT a characteristic of product layouts?

►High material handling costs

►Sequential arrangement of machines

►Standardized output

►Continuous production system

Ref: Lecture slide#19

1. High rate of output.

2. Low unit cost.

3. Labor specialization.

4. Low material handling cost.

5. High utilization of labor and equipment.

6. Established routing and scheduling.

7. Routing accounting and purchasing.

Which one of the following refers to using some of the components of old products in the manufacturing of new products?

►Manufacturability

►Remanufacturing

►Robust design

►Automation

p#51Ref: Design for Remanufacturing: Using some of the components of the old products in the manufacture of new products

What would be the availability if a carp hours between repairs, and the mean rep?

ble to operate for 250

►1.01

►5.03

►3.0

►0.98

Which one of the following is the goal of method analysis?

► Dividing and analyzing a job

►Check individual human motions used to perform an operation

►Determining the length of time it will take to undertake a particular task

►Determining the amount of time a worker spends on various activities

(slide 19)

http://docs.google.com/viewer?a=v&q=cache:7JxnvEitpVAJ:hodgesh.people.cofc.edu/DSCI304/PPT/10%2520Design%2520of%2520Work%2520Systems.pps+is+the+goal+of+method+analysis?+%E2%96%BA+Dividing+and+analyzing+a+job+%E2%96%BACheck+individual+human+motions+used+to+perform+an+operation+%E2%96%BADetermining+the+length+of+time+it+will+take+to+undertake+a+particular+task+%E2%96%BADetermining+the+amount+of+tim

e+a+worker+spends+on+various+activities&hl=en&pid=bl&srcid=ADGEESg98089PrQON31UO76B07KiZnAHJC27_ixZbrsmxk_tTH9ugfa4o-LOC24-Z2pYwoxHbnfe5nai0vGFbUZBAylXV3bq9nQj_xvUtjXq5xsAFOgb3FJ8b98rnwbhCjdKLszZ3_wm&sig=AHIEtbQqxWdZzZ-Z8lYAtU0yR4sqFt-20A&pli=1

Which one of the following is an example of regional factors that affect location decisions?

►Transportation

►Quality of life

►Development support

►Location of new markets

Which one of the following statements is true about Occupational Safety Hygiene Administration (OSHA)?

►To safeguard against potential hazards

►To develop cost effective processes

►To implement legal standards

► To carry out implication of manufacturability and fitness

http://63.234.227.130/dts/shib/shib101003.html

Which one of the following is used to produce gasoline and petroleum products?

►Job shop

►Batch processing

►Assembly line

►Continuous processing

Ref: ob shop produces low standardized products, batch produces multiple products and assembly line produces fewer major products. Project, on the other hand, is not a processing structure.

http://forecast.umkc.edu/ftppub/ba547/chapter_4.htm 2nd p ref

Continuous – Often, a physical system is represented through variables that are smooth and uninterrupted in time. The control of the water temperature in a heating jacket, for example, is an example of continuous process control. Some important continuous processes are the production of fuels, chemicals and plastics.

The type of processing structure that is used for producing discrete products at higher volume is:

►Continuous Flow

►Assembly Line

►Batch

►Job shop

Ref: http://highered.mcgraw-hill.com/sites/0073403296/student_view0/chapter7/multiple_choice_quiz.html

An example of a business/industry that uses batch flow process structure is:

►Commercial printer

►Heavy equipment

►Automobile assembly

►Sugar refinery

Ref: http://highered.mcgraw-hill.com/novella/QuizProcessingServlet

Quality, costs, lead times, operating resources are all related to which one of the following strategies.

►Organizational strategy

►Financial strategy

►Operational strategy

►Tectical strategy

All of the following are examples of the transformation process EXCEPT:

►Cutting

►Packing

►Facilitating

►**Labeling** **(not sure)**

Which of the following is a characteristic of linear regression?

It is superior to a moving average

► **It is a causal forecasting model**

► It compensates for both trend and season

► It is superior to an exponential smoothing

http://www.referenceforbusiness.com/encyclopedia/Fa-For/Forecasting.html

Paper 16

MIDTERM EXAMINATION

Spring 2010

MGT613- Production / Operations Management

Which of the following statements describes an order-qualifier characteristic?

► A competitive dimension used to make final decision among competitors

► A factor which directly and significantly contribute to winning business

► A factor which increases the profitability of the organization

► **A factor perceived as a minimum standard as a potential for purchase**

p#15 Order qualifiers are those significant characteristics that service customers perceive as minimum standards of acceptability to be considered as a potential purchase

In which one of the following decision environments it is impossible to assess the likelihood of various future events?

► Risk

► Bounded rationality

► Certainty

► Uncertainty

Uncertainty - Environment in which it is impossible to assess the likelihood of various future events

http://www.google.com/search?client=gmail&rls=gm&q=%22In%20which%20one%20of%20the%20following%20decision%20environments%20it%20is%20impossible%20to%20assess%20the%20likelihood%20of%20various%20future%20events%3F%22#sclient=psy&hl=en&client=gmail&rls=gm&q=%22impossible+to+assess+the+likelihood+of+various+future+events%3F%22&aq=f&aqi=&aql=&oq=&pbx=1&bav=on.2,or.&fp=369c8973645261b8

Which one of the following is an outcome of MINIMAX regret?

► The best of the worst possible payoff

► The best possible payoff

► The best average payoff

► The least of the worst regret

Maximin (pessimistic) - Choose the alternative with the best of the worst possible payoffs

Maximax (optimistic) - Choose the alternative with the best possible payoff

Laplace - Choose the alternative with the best average payoff of any of the alternatives

Minimax Regret - Choose the alternative that has the least of the worst regrets

Which one of the following is a limitation of a moving average having a trend?

► The forecast lags behind the actual

► The forecast represents demand more accurately

► The forecast will not be accurate

► The forecast will not be reliable

Which of the following is an example of a business that uses assembly line process structure?

► Automobile assembly

► Sugar refinery

► Heavy equipment

► French restaurants

http://www.netmba.com/operations/process/structure/

Which one of the following layout types is associated with car assembly?

► Fixed position layout

► Process layout

► Product layout

► Hybrid layout

A department store discovered that in a four-month period, the best forecast can be determined by using 50 percent of the sales for the most recent month, 20 percent of the sales of two months ago, 10 percent of the sales of three

months ago, and 20 percent of the sales of four months ago. Which forecasting method should the store use to forecast demand?

► Simple Moving Average

► Linear Regression

► Time Series Analysis

► Weighted Moving Average

Which one of the following statements is TRUE about product life cycle?

► It depicts demand of a product at various price levels

► It depicts demand of a product with respect to time

► It relates demand of a product to quality

► It relates demand of a product to market share

Which of following statement is true about effective capacity?

► It is the actual output achieved

► It is always less than actual output

► It is the maximum output that a firm can produce

► It is always less than designed capacity

http://books.google.com.pk/books?id=wUHzc8JtZzUC&pg=PA249&dq=effective+capacity+It+is+the+actual+output+achieved&hl=en&ei=4WV3TfycOIio8AP885jPCw&sa=X&oi=book_result&ct=result&resnum=1&sqi=2&ved=0CCcQ6AEwAA#v=onepage&q=effective%20capacity%20It%20is%20the%20actual%20output%20achieved&f=false

Which one of the following refers to bringing together engineering design and manufacturing personnel early in the design phase?

► Reverse engineering

► Concurrent engineering

► Manufacturability

► Serviceability

Concurrent engineering is the bringing together of engineering design and manufacturing personnel early in the design phase.

Which of the following refers to the way an organization chooses to produce its goods or services?

► Process selection

► Process reengineering

► Process redesign

► Process design

The purpose of _____ is to coordinate and control all the required sources so that productive system can be used efficiently and to ensure the delivery of product in time.

► Total quality control

► Demand management

► Forecasting

► Operations management

Which of the following is NOT **an attribute to classify services?**

► Tangibility

► Perish ability

► Simultaneity

► Courtesy

Which of the following is NOT an emerging trend in the workplace?

► Increasing workplace diversity

► Decreasing work schedule flexibility

► Increasing number of part time jobs

► Increasing use of temporary labor

Which method of forecasting is most widely used?

► Regression analysis

► Adaptive forecasting

► Weighted moving average

► Exponential smoothing

Which one of the following is concerned with short term capacity needs?

► Cycle

► Trends

► Seasonality

► Average

Which relationship exists between the robustness of a product and the probability of failure.

► Positive relation

► Direct relation

► Inverse relation(not sure)

► Negative relation

(page 218)
http://books.google.com/books?id=dSATqILWWhwC&pg=PA218&lpg=PA218&dq=robustness+of+a+product+and+the+probability+of+failure.&source=bl&ots=wW3iHah-Mb&sig=tgBoxG4DCJLRDDKoIh7Zd4C7IyU&hl=en&ei=0_WOTbjaIYf-vQOvreC3DQ&sa=X&oi=book_result&ct=result&resnum=1&ved=0CBMQ6AEwAA#v=onepage&q=robustness%20of%20a%20product%20and%20the%20probability%20of%20failure.&f=false

Which one of the following management functions is based on forecasting?

► Planning

► Organizing

► Leading

► Controlling

(page 35)
http://books.google.com.pk/books?id=YS1ThqtWLcoC&pg=PA34&dq=management+functions+is+based+on+forecasting?+%E2%96%BA+Planning+%E2%9

6%BA+Organizing+%E2%96%BA+Leading+%E2%96%BA+Controlling&hl=en&ei=rcF4TeO_GM-xrAeU3dnVBQ&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCsQ6AEwAA#v=onepage&q&f=false

(page 293)

http://books.google.com.pk/books?id=EK1ZuhUXCzcC&pg=PA292&dq=management+functions+is+based+on+forecasting?+%E2%96%BA+Planning+%E2%96%BA+Organizing+%E2%96%BA+Leading+%E2%96%BA+Controlling&hl=en&ei=rcF4TeO_GM-xrAeU3dnVBQ&sa=X&oi=book_result&ct=result&resnum=2&ved=0CDAQ6AEwAQ#v=onepage&q&f=false

Which one of the following factors provides a basis for comparing alternative forecasting techniques?

► Time dimension

► Reliability factor

► Degree of accuracy

► Measuring units

(page 35) Accuracy. Forecasts should be accurate. In fact it should carry the degree of accuracy, so the users are aware of the limitations of the forecast. This will also help the end users to plan for possible errors and provide a basis for comparing the forecast with other alternative forecasts

Which of the following functions of an organization consists of all activities directly related to production of a good or service?

► Operations

► Marketing

► Accounting

► Finance

Which of following statement is true about effective capacity?

► It is the actual output achieved

► It is always less than actual output

► It is the maximum output that a firm can produce

► It is always less than designed capacity

In which one of the following decision environments it is impossible to assess the likelihood of various future events?

► Risk

► Bounded rationality

► Certainty

► Uncertainty

http://books.google.com/books?id=tqVIT0xE4NAC&pg=PA207&dq=decision+environments+it+is+impossible+to+assess+the+likelihood+of+various+future+events&hl=en&ei=PcN4TdCBJoiyrAfeway9BQ&sa=X&oi=book_result&ct=result&resnum=1&ved=0CCcQ6AEwAA#v=onepage&q=decision%20environments%20it%20is%20impossible%20to%20assess%20the%20likelihood%20of%20various%20future%20events&f=false

Which of the following is NOT mark of a good layout in manufacturing?

► Bottleneck operations

► Straight line flow pattern

► Work stations close together

► Open plant floors (high visibility)

http://forecast.umkc.edu/ftppub/ba547/chapter_10.htm

All of the following are examples of time based strategies EXCEPT:

► Products /service design time

► Processing time

► Response time for complaints

► Response time for innovation

(Handout page 18)

Which one of the following is a key benefit of process plant strategy?

► Economies of scale

► Diseconomies of scale

► Product variety

► Task specialization

http://books.google.com/books?id=tqVIT0xE4NAC&pg=PA369&dq=key+benefit+of+process+plant+strategy&hl=en&ei=cjd1TaX5LIfNrQeo39DRCg&sa=X&oi=book_result&ct=result&resnum=2&ved=0CDIQ6AEwAQ#v=onepage&q=key%20benefit%20of%20process%20plant%20strategy&f=false

Which one of the following refers to a design that takes into account organization's operational capabilities, when designing a product?

► Design for assembly

► Design for manufacturing

► Design for recycling

► Design for disassembly

Question No: 28 (Marks: 1) - Please choose one
Which of the following layouts facilitates the handling of varied processing requirements?
► Product layout
► Process layout
► Fixed-position layout
► Hybrib/Combination layout

(page 80) 2. Process layout. A Layout that can handle varied processing requirements

Which one of the following forecasting techniques uses explanatory variables to predict future demand?
► Quantitative forecast
► Time series forecast
► Consumer survey
► Executive opinion
(Page 35)Quantitative Forecast involves the extension of the historical data. It sometimes makes use of forecasting technique that uses explanatory variables to predict future demands.